

The Living Law: Groups and Borders

*A story-led guide to the CTA Advanced Technical paper, Taxation of Larger Companies and Groups
(Finance Act 2026)*

- Prologue: One loan, two answers.
- Introduction.
- Part One: The Larger Company
 - Chapter 2: Where corporate tax law lives
 - Chapter three: Returns, payments and enquiries
 - Chapter 4: Governance and the anti-avoidance architecture
- Part Two: Measuring Profit.
 - Chapter five: Tax follows the accounts.
 - Chapter six: Deferred tax and the tax charge.
 - Chapter seven: The large company computation.
 - Chapter eight: Plant and machinery for larger companies.
 - Chapter nine: Buildings, fixtures, leasing and successions.
 - Chapter ten: Research and development.
 - Chapter eleven: Intangible assets and intellectual property
 - Chapter 12: Loan relationships and derivatives
 - Chapter thirteen: Companies with investment business.
 - Chapter fourteen: Losses in the larger company
- Part Three: The Group.
 - Chapter fifteen: Group relief, consortia and joint ventures.
 - Chapter sixteen: Company gains: property and leases
 - Chapter seventeen: Gains inside the group
 - Chapter eighteen: Shares: the exemption, reorganisations and earn-outs
 - Chapter nineteen: Reconstructions, demergers and distributions
 - Chapter twenty: Buying and selling companies
 - Chapter twenty one: Stamp taxes for groups.
- Part Four: Across Borders.
 - Chapter 22: Where a company lives, and how it leaves.
 - Chapter twenty-three: Inbound: non-resident companies, permanent establishments and withholding
 - Chapter twenty four: Treaties and double tax relief
 - Chapter twenty five: Outbound: branch or subsidiary.
 - Chapter twenty six: Controlled foreign companies.
 - Chapter 27: Transfer pricing and advance pricing agreements
 - Chapter twenty-eight: The corporate interest restriction

- Chapter twenty nine: Hybrid mismatches.
- Chapter thirty: The global minimum and the end of diverted profits tax.
- Part Five: Putting It Together.
- Chapter 31: The Ridgeway deal.
- Chapter thirty-two: The Advanced Technical craft.
- Conclusion.
- A note on sources.

Prologue: One loan, two answers.

On 11 April 2024, at 10.00am, the Court of Appeal handed down a judgment remotely. Its front page records the time. The case was *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330.

The case was about one set of loans, worth about \$4bn, made inside one group of companies. Two rules of UK corporation tax looked at those loans. The first rule asked what strangers would have done, and it found nothing wrong. The second rule asked why the borrower had borrowed, and it took away every pound of the interest deductions. The taxpayer won the first argument and lost the case.

This prologue tells that story and then stops. It opens a book written for the CTA Advanced Technical paper, **Taxation of Larger Companies and Groups**. The law throughout is the law for **FY2026** (1 April 2026 to 31 March 2027). You met the basic loan relationship rules, and group relief, in *The Living Law* (TKS), chapters 21 and 24. Here the same rules meet a group on a far larger scale.

A British link in an American chain.

In 2009 the BlackRock group bought the business of Barclays Global Investors. Part of the money for that acquisition travelled down a chain of companies formed in Delaware. Each was a limited liability company, and the judgments number them like stepping stones. The one that matters is **LLC5**.

LLC5 was a Delaware company. But it was managed and controlled in the UK, so for corporation tax it was a UK-resident company. Its US parent, **LLC4**, put cash and shares into it. In return LLC4 took common shares and **loan notes of about \$4bn**. LLC5 then put the money and shares into the next company down the chain, **LLC6**, and took **preference shares**. LLC6 used the funds towards the purchase.

Step	Who	What moved	UK tax result for LLC5
1	LLC4 → LLC5	Cash and shares in; LLC5 issues common shares and ~\$4bn loan notes	Interest on the notes: loan relationship debits (CTA 2009 Part 5)
2	LLC5 → LLC6	Cash and shares in; LLC6 issues preference shares to LLC5	Preference dividends: exempt
3	LLC6	Funds used towards the acquisition	—
4	LLC5 → UK group companies	Non-trading deficit surrendered as group relief, for no payment	Deficit used against other UK companies' profits

Picture the chain as a sandwich: American bread on top, American bread underneath, and one British filling in the middle. The filling had a very particular taste.

Look at LLC5’s tax position. Its income was the dividends on its preference shares, and those dividends were **exempt** from UK tax. Its expense was the interest on the loan notes, a deductible **debit** under the loan relationship rules. So each year LLC5 had no taxable income and a large non-trading deficit. It surrendered that deficit, as **group relief**, to other BlackRock companies in the UK, without asking for payment.

Commentators put the deductions claimed at about **£654m** (Macfarlanes; Bloomberg Tax). HMRC refused them on two grounds: **transfer pricing** and the **unallowable purpose rule**. The case climbed through three courts. On each rule the answer changed at least once.

Court	Date and judges	Transfer pricing	Unallowable purpose	Result
First-tier Tribunal, [2020] UKFTT 443 (TC)	3 November 2020; Judge John Brooks	Taxpayer: an independent lender would have lent the same amount on the same interest terms, with covenants that would have been given	Two main purposes (commercial and tax), but all debits apportioned to the commercial purpose	Taxpayer wins
Upper Tribunal, [2022] UKUT 199 (TCC)	19 July 2022; Michael Green J and Judge Rupert Jones	HMRC: covenants absent from the actual deal could not be imported	HMRC: the commercial benefit a by-product of a tax-driven decision; all debits to the tax purpose	HMRC wins
Court of Appeal, [2024] EWCA Civ 330	11 April 2024 (heard 5–6 March 2024); Peter Jackson, Nugee and Falk LJJ (main judgment Falk LJ)	Taxpayer: FTT’s finding restored	HMRC: tax-advantage main purpose; all debits attributable to it	HMRC wins
Supreme Court	Permission refused (Lord Hodge, Lord Hamblen, Lady Simler); “does not raise an arguable point of law”; list dated 13 October 2024	—	—	CA decision stands

What strangers would have done.

Start with transfer pricing. The rules now live in **TIOPA 2010 Part 4**. They apply where provision is made between two connected persons (the participation condition) on terms that differ from the **arm’s length provision**. If the actual provision gives one of them a potential UK tax advantage, that person’s profits are computed as if the arm’s length provision had been made (s 147). The arm’s length provision can even be **no provision at all**, where strangers would never have dealt (s 151(2)).

HMRC argued exactly that: no independent lender would have lent \$4bn to LLC5 on those terms.

The **First-tier Tribunal** disagreed. Judge John Brooks found that an independent lender would have made loans of the same amount, on the same interest terms, provided it received **covenants** (the promises a borrower gives to protect its lender), and that those covenants would have been given.

The **Upper Tribunal** reversed him: you cannot import covenants that never existed in the real deal. Without them the comparison failed, and HMRC won.

The **Court of Appeal** reversed the Upper Tribunal. Falk LJ's reasoning, as the commentaries summarise it: in the real deal the lender belonged to the same group as everyone else in the chain. A stranger lending to LLC5 would face risks the group lender did not, because other group companies might act in ways that damaged the loan. An independent lender would protect itself, so the hypothetical deal must include that protection. The covenants were part of a fair comparison, not an invention, and the FTT's finding was restored. **On transfer pricing, BlackRock won.**

Commentators read one passage of Falk LJ's judgment (para 63 is the one cited) as a hint that HMRC might have done better by looking at the **borrower's** side: would LLC5, if independent, have wanted to borrow at all? That argument was not run and the case did not decide it. Chapter 27 returns to it.

Why this company borrowed.

The law says (CTA 2009 s 441): if a loan relationship has an **unallowable purpose** in an accounting period, the debits are disallowed **so far as attributable** to that purpose **on a just and reasonable apportionment**. A purpose is unallowable if it is not among the company's **business or other commercial purposes** (s 442). A **tax avoidance purpose** counts as commercial only if it is **not the main purpose or one of the main purposes**. The tax advantage need not be the company's own: a tax advantage for **any other person** counts.

The **FTT** found that LLC5 had two main purposes, one commercial and one to obtain a tax advantage, but apportioned all the debits to the commercial purpose. The **UT** treated the commercial benefit as a by-product of a tax-driven decision and apportioned all the debits to the tax purpose.

The **Court of Appeal** agreed with the UT's result, though not with all of its reasoning. It was common ground that purpose is a question of the company's own **subjective intention**. The court began with a plain question: why did LLC5 enter into the loans? The answer was to obtain a tax advantage.

The court did not say that every deductible interest payment is suspect. Falk LJ was careful: awareness that interest is deductible does not make tax a main purpose, and nor does the size of the deduction on its own; something more is needed. Here there was more. LLC5's board did see a commercial margin (dividends in would exceed interest out). But the tax advantage belonged to the group, and the group's plan was why LLC5 was there. Nugee LJ, at [192], repeated Falk LJ's description of taking the loans to obtain that advantage as LLC5's "sole raison d'être".

Then came the **apportionment**. On a "but for" approach, without the tax advantage the loans would not have been made, so **all the debits** were attributable to the unallowable purpose (paras 186–187, 193). None was deductible. The approach echoes *Fidex Ltd v HMRC* [2016] EWCA Civ 385 ("But for this tax avoidance scheme there would have been no debit at all", para 74).

The Supreme Court refused permission to appeal. The Court of Appeal's judgment stands.

Status note. The facts above come from the judgments as summarised on Find Case Law, the Judiciary press summary and practitioner commentaries. The "**sole raison d'être**" words and the paragraph references (97, 186–187, 192–193) were checked against the judgment (9 October 2026). The Supreme Court's permission list prints the date **13 October**

2024 (a Sunday) and the citation [2024] EWCA Civ 419; Find Case Law’s citation is [2024] EWCA Civ 330, which this book uses.

Why one loan can get two answers.

The two rules ask different questions, so they can give different answers about the same loan.

	Transfer pricing (TIOPA 2010 Part 4)	Unallowable purpose (CTA 2009 s 441)
Question	Are the terms what independent parties would have agreed?	Why did this company enter into the loan relationship?
Nature of the test	Objective: a market comparison	Subjective: the company’s purposes
Ignores	Motive	Whether the rate was fair
Effect	Profits computed on arm’s length provision (can be no loan at all)	Debits disallowed so far as attributable (just and reasonable)
BlackRock outcome	Taxpayer won	HMRC won: 100% of debits disallowed

Transfer pricing is a **valuer’s** question; unallowable purpose is a **detective’s** question. A loan can pass the market test perfectly and still fail on purpose.

Misconception: “If an intra-group loan is priced at arm’s length, the interest is safe.” Arm’s length pricing gets you through the first gate only. *BlackRock* is the proof: the pricing passed, and every pound of the deduction still went.

BlackRock was not alone. Within weeks the Court of Appeal decided two more cases on the same rule, both for HMRC: *Kwik-Fit Group Ltd v HMRC* [2024] EWCA Civ 434 (3 May 2024: an intra-group reorganisation of loans so that trapped losses could be used) and *JTI Acquisition Company (2011) Ltd v HMRC* [2024] EWCA Civ 652 (13 June 2024: borrowing to fund a real acquisition, where the tax advantage was “bolted on” to a commercial deal and still everything was disallowed). The Supreme Court refused permission in all three on the same list. Chapter 12 tells the other two stories and the case still on its way up (*Syngenta*).

There is also a gate that *BlackRock*’s 2009 loans never had to pass. The **corporate interest restriction** (TIOPA 2010 Part 10) applies for periods of account starting on or after **1 April 2017**. It caps a worldwide group’s net UK interest deductions, under the default fixed ratio method at **30% of aggregate tax-EBITDA** (subject to the debt cap), with a **£2m** de minimis. A group borrowing like this in FY2026 would meet all three gates. Chapter 28 teaches the third.

Going further: the three gates for an intra-group loan (FY2026). 1. **Transfer pricing** (TIOPA 2010 Part 4): amount, rate and terms at arm’s length? Thin capitalisation is a transfer pricing question. Chapter 27. 2. **Unallowable purpose** (CTA 2009 ss 441–442): is a tax advantage, for the company or any other person, a main purpose? If so, how much of the debits is attributable to it on a just and reasonable basis? Chapter 12. 3. **Corporate interest restriction** (TIOPA 2010 Part 10): how much net interest can the group deduct in the UK in total? Chapter 28.

Run them in that order in a computation: the transfer pricing and unallowable purpose disallowances come first, and the interest restriction then applies to what is left. (The detailed ordering and the treatment of each disallowance in tax-

EBITDA are chapter 28's job.) The tax function's task is to record, at the time, why each group company borrows: purpose is tested subjectively, but tribunals find it from the evidence.

Exam lens. - Grades (2026 grid, v2 extract): loan relationships (CTA 2009 Part 5, excluding Chapters 7, 10, 11, 13 and 14) **1, core**, so the unallowable purpose rule is core; transfer pricing and advance pricing agreements **1, core** (the row carries the words "Awareness – basic principles only"; chapter 27 deals with what that means); corporate interest restriction **1, core**. Check the 2027 grid when published. - **Past appearances:** **M23 Q3 (15 marks)** was a loan from a US company that might take 60% control: transfer pricing (participation condition, thin capitalisation) and CIR, plus withholding. The examiners said the main issues were TP and CIR and that time was wasted on DPT, which does not apply to loan relationships. TP with CIR came again in **M26 Q1** and **N24 Q5**. - **Style:** technical prose and computations; "Explain" or "Calculate, with explanations"; 0.5–1 mark per point; no letter format. - **Traps:** stopping after the pricing point; raising DPT (the M23 examiners said it does not apply to loan relationships; FA 2026 has since replaced it with the UTPP charge, chapter 30); forgetting that a tax advantage for *another* group company counts under s 441.

The questions this book asks.

This one loan leads straight into the four questions that run through the book.

1. **Is a group one taxpayer or many?** LLC5 was a separate company with its own return. Yet its purpose was read through the group's plan, and its deficit was used by other companies through group relief.
2. **Where are profits made, and what stops them drifting?** A British link in an American chain created a UK deduction with no matching UK income. Much of this book is about the rules that watch borders.
3. **What does the law follow: the accounts, the deal or its own purpose?** The loan relationship rules start from the accounts; transfer pricing tests the deal against the market; the unallowable purpose rule overrides both when the purpose is wrong.
4. **What must a group's tax function spot?** An adviser who checked only the interest rate would have missed the point that decided the case. The examiner wants you to identify the issues, all of them, and know which specialist rule answers each.

So when you meet an intra-group loan, in practice or in the exam, ask three things. Are the terms what strangers would agree? Why did this company borrow? And how much of the group's interest can the UK take in total? Chapter 27 answers the first, chapter 12 the second and chapter 28 the third.

Most of this book follows an invented group of companies, **Tarnmoor**, whose story begins in chapter 1. Everything about Tarnmoor is made up. BlackRock is real, and so is every rule in this prologue.

Next comes the introduction, and a map of the ground ahead.

Key rules and figures

Item	Rule or figure	Source	Status
<i>BlackRock</i> loans	~\$4bn of loan notes issued by LLC5 to LLC4; deductions claimed ~£654m	CA judgment; commentaries	V (amount from commentaries)
Transfer pricing	Arm's length provision substituted where actual provision gives a potential UK tax advantage; can be no provision at all	TIOPA 2010 ss 147, 151(2)	V
Unallowable purpose	Debits disallowed so far as attributable (just and reasonable); tax avoidance main purpose; advantage for any person	CTA 2009 ss 441–442	V
<i>BlackRock</i> result	TP: taxpayer; s 441: HMRC, 100% of debits disallowed	[2024] EWCA Civ 330	V
2024 trilogy	<i>BlackRock</i> (11 April), <i>Kwik-Fit</i> (3 May), <i>JTI</i> (13 June); SC refused permission in all three	CA judgments; SC list	V
CIR	Periods of account starting on or after 1 April 2017; 30% of tax-EBITDA (fixed ratio, subject to debt cap); £2m de minimis	TIOPA 2010 Part 10, ss 392, 397	V

Statutory and case references

- CTA 2009 Part 5 (loan relationships); ss 441–442 (unallowable purpose).
- CTA 2010 Part 5 (group relief).
- TIOPA 2010 Part 4 (transfer pricing), ss 147, 151; Part 10 (corporate interest restriction), ss 392, 397.
- *BlackRock HoldCo 5, LLC v HMRC* [2020] UKFTT 443 (TC); *HMRC v BlackRock HoldCo 5, LLC* [2022] UKUT 199 (TCC); *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330; Supreme Court permission refused (UKSC 2024/0070).
- *Fidex Ltd v HMRC* [2016] EWCA Civ 385.
- *Kwik-Fit Group Ltd v HMRC* [2024] EWCA Civ 434.
- *JTI Acquisition Company (2011) Ltd v HMRC* [2024] EWCA Civ 652.

Introduction.

The prologue followed one loan through three courts and found two answers. Keep that picture in mind, because it is a fair picture of the ground ahead. A larger company is not a small company with more noughts on the end. It borrows from its own relatives. It owns companies that own companies. It trades across borders, reports to investors, and answers to a board that must publish its approach to tax. Almost every rule you met in *The Living Law* (TKS) still applies to it. But around those rules sits a second layer of law, written for scale.

This introduction is a map. It sets out the four questions the book keeps asking, the paper the book serves, the way the chapters are arranged, the invented group whose story carries the law, and how the two editions of each chapter work. It ends with some advice on using the book alongside the question practice you already have. The law throughout is the law for **FY2026** (1 April 2026 to 31 March 2027), under **Finance Act 2026** (Royal Assent 18 March 2026).

Five ways the larger company is different.

1. Scale. Size switches rules on. The ladder, for FY2026 (chapter 1 builds it rung by rung):

Threshold	What it switches on	Chapter
Augmented profits > £1.5m (÷ 1 + associated companies)	Large company: quarterly instalment payments (QIPs), months 7, 10, 13, 16	1, 3
Augmented profits > £20m (÷ 1 + associated companies)	Very large company: QIPs in months 3, 6, 9, 12	1, 3
Net interest > £2m a year	Corporate interest restriction (CIR) can bite	28
£5m	Deductions allowance for carried-forward losses (one per group)	14
UK turnover > £200m or balance sheet > £2bn	Senior accounting officer (SAO), published tax strategy, uncertain tax treatment (UTT) notification	4
Leaving the SME category	Transfer pricing applies	27
Consolidated revenue ≥ / > €750m	Country-by-country reporting, TP records (Master File and Local File), Pillar Two	27, 30

2. The group. UK law taxes each company separately; there is **no group return** for corporation tax. Yet a group plans, borrows and invests as one business, and the law builds bridges between its companies: group relief for losses, no gain/no loss transfers of assets, group roll-over, a shared AIA and deductions allowance, shared thresholds. Each bridge has its own entry test, and the tests do not match (chapter 1’s “guest lists”).

3. The border. A large group earns profits in many countries and moves money, goods, people and ideas between them. Most of the second half of this book is about the rules that decide where those profits are taxed, and the rules that stop them drifting to wherever tax is lowest.

4. Governance. A large company's tax is not only computed. It is managed, certified and reported. HMRC's Large Business directorate says it works with around 2,000 of the largest businesses; its customer compliance managers assess each group's tax risk and how well the group manages it (HMRC's Tax Compliance Risk Management manual, TCRM1000). The law adds personal duties for a named officer (the SAO) and a criminal offence for failing to prevent the facilitation of tax evasion (Criminal Finances Act 2017 ss 45–46).

5. The accounts. For a larger company the accounts are not a starting point that tax quickly leaves behind. They decide the timing of loan relationship profits, intangible asset profits and much else (CTA 2009 s 46 and Parts 5, 6 and 8). And the accounts must also show a **tax charge** that investors read, current and deferred, which is a different number from the tax bill (chapter 6).

Four questions.

Those five differences produce four questions, and the book asks them in every chapter.

1. **One taxpayer or many?** The law taxes each company on its own profits, yet it lets losses travel, assets move and gains be rolled over across the group. Where does it build those bridges, and where does it refuse? Chapters 1, 15 and 17 carry this question furthest, and the CIR (chapter 28) and the global minimum tax (chapter 30) push it in a new direction.
2. **Where are profits made, and what stops them drifting?** Residence, permanent establishments, treaties and the foreign branch exemption decide where profits are taxed. Transfer pricing, controlled foreign companies, hybrid mismatches, the CIR and the global minimum tax stop them moving to where they are not. Part Four is built around this question.
3. **What does the law follow: the accounts, the deal or its own purpose?** Tax starts from the accounts. It respects many commercial transactions, such as share exchanges and demergers, on their own terms. And then, again and again, it asks why a company did something, and overrides both the accounts and the deal when the answer is tax. The prologue's loan was the first example. It will not be the last.
4. **How does a large group govern its tax, and what must an adviser spot?** The CIOT says candidates for this paper "are not expected to have deep knowledge of all tax areas but should be able to identify what the potential tax issues are". So every chapter asks what the tax function must do, by when, and what a good adviser would flag.

The paper this book serves.

This book is written for the **CTA Advanced Technical paper, Taxation of Larger Companies and Groups (LCG)**. Until 2023 it was called Taxation of Major Corporates.

Feature	Detail
Duration	3 hours 30 minutes
Shape	Normally 6 questions of 10, 15 or 20 marks; 100 marks; usually three 20s, two 15s and one 10
Pass mark	50%
Scenarios	"Typically be based around multinational groups and larger companies that may be listed, with no individual controlling

Feature	Detail
	shareholders”
Syllabus elements	(1) CT including CT on chargeable gains; (2) capital allowances; (3) stamp duty and SDLT at awareness level
Core rule	At least 70% of the CT element from core material
Grades (syllabus grid)	1 = core (depth, computations); 2 = non-core (working knowledge, main computation); 3 = awareness (recognise and state)
Likely sitting	4 May 2027, 2.30pm (fallback 26 October 2027, 2.30pm)
Law for 2027 sittings	FA 2026 (the settled pattern: year N exams test the Finance Act of year N–1)
Style	Technical prose and computations; no letter, report or email format

So owner-managed companies, close company loans and profit extraction are not this paper’s business, and they are not this book’s either.

The grid this book follows is the **2026 grid**. As this book was finished, in October 2026, the CIOT had not yet published a grid, a prospectus or tax tables for 2027. When they appear, check them against what this book says (each reading edition’s Exam lens gives the 2026 grade).

The book also follows the paper’s habits. Across the seven sittings from May 2023 to May 2026:

Topic	Appearances M23–M26	Main chapters
CT computation (15–20 marks)	Every sitting	7 (with 3, 6, 8, 14)
Capital allowances	Nearly every paper, standalone or embedded	8, 9
Groups and consortia	6	15
Property gains, leases, group roll-over	5	16, 17
SSE, shares and reorganisations	5	18
International (residence, PE, branch exemption, migration)	Every sitting since N24	22–25
Controlled foreign companies	4 (two full 20-mark questions)	26
Transfer pricing	5	27
Corporate interest restriction	4	28
Compliance and governance	8	3, 4

The longest chapters in this book sit where the marks have been. Chapter 32 gives the rest of the evidence: the examiners’ recurring messages, the layouts and the timing.

How the book is built.

After this introduction come 32 chapters in five Parts, then a conclusion and a note on sources.

Part	Chapters	What it covers
One: The Larger Company	1–4	What makes a company large and who counts as its group; where corporate tax law lives; returns, payments and enquiries; governance and the anti-avoidance architecture
Two: Measuring Profit	5–14	Tax follows the accounts; deferred tax; the large company computation; plant and machinery; buildings, fixtures, leasing and successions; R&D; intangibles and IP; loan relationships and derivatives; companies with investment business; losses
Three: The Group	15–21	Group relief, consortia and JVs; company gains on property and leases; gains inside the group; shares, the SSE, reorganisations and earn-outs; reconstructions, demergers and distributions; buying and selling companies; stamp taxes for groups
Four: Across Borders	22–30	Residence and migration; non-resident companies, PEs and withholding; treaties and DTR; branch or subsidiary; CFCs; transfer pricing and APAs; the CIR; hybrid mismatches; the global minimum and the end of DPT
Five: Putting It Together	31–32	The Ridgeway deal (one acquisition through every relevant rule, as a long exam question does); the Advanced Technical craft (software, resources, timing, layouts, examiner messages)

Where *The Living Law* ends.

This book assumes that you know *The Living Law*, the earlier book written for the Tax Knowledge and Skills paper. It does not teach those foundations twice. Where a chapter builds on one, it recaps it in one to three sentences and names the chapter (“*The Living Law*, chapter 24, on groups”). Then it goes further.

Going further means two things:

- **Taught again, in full, at Advanced Technical depth:** topics *The Living Law* touched, such as group relief, loan relationships, R&D, company gains and the foreign branch exemption, because the AT examiner expects mastery, not recall.
- **Taught from first principles:** topics *The Living Law* only signposted: transfer pricing, CFCs, the CIR, hybrid mismatches, the global minimum tax, company migration, deferred tax and demergers.

Tarnmoor, an invented group.

Most chapters follow one group of companies, **Tarnmoor**. **Everything about Tarnmoor is invented for teaching**: its companies, people, numbers and its two overseas countries, **Vallaria** and **Marrovia**. Ireland is real, and so are its 12.5% trading rate and its treaty with the UK (as modified by the MLI), but Tarnmoor’s Irish company is not.

Tarnmoor plc is a listed engineering group with its head office in Leeds and no controlling shareholder. It was built to match the examiner’s description of a typical scenario, and to be large enough to switch on every regime the paper tests (GY1 consolidated revenue £1,180m). Its main trading company, Tarnmoor Engineering, makes industrial valves, actuators and pumps. Around it sit a property company, a treasury company, a joint venture (Helmside), overseas subsidiaries in Vallaria, Marrovia and Ireland, and the companies it buys and sells as the story runs.

The story begins in chapter 1, when Tarnmoor buys **Calder Valve Engineering** for **£32m**. If you have read *The Living Law*, you know Calder: the invented valve maker where **Dan Hartley** worked as an engineer, and his story continues here. So does his sister **Jess**’s. Some years after the group’s story begins, Tarnmoor buys her business, Ridgeway, and chapter 31 tells that deal.

Group Years. Tarnmoor lives in Group Years (GY1, GY2, ...), not calendar years. Group Years are Tarnmoor’s accounting years to 31 December; GY1 is the year in which Calder joins. No calendar year is ever attached to a Tarnmoor event, and **every Tarnmoor computation applies FY2026 law**, whichever Group Year the story has reached. Real rules start on real dates (for example, “accounting periods beginning on or after 1 January 2026”). Where a chapter needs to teach a real commencement date, it uses a **labelled example with real dates**, outside the story. That keeps the story simple and the dates honest.

The story is the spine of the book, not its cage. When the examiner tests a variation the story never reaches, a chapter says “suppose” and works a labelled example. Those examples never become part of the story.

Two editions.

Every chapter comes in two editions.

The audio script is written to be heard once. Numbers are spoken as words, and worked examples are told as stories with a few memorable figures. Each script ends with **“What to take away”**, a spoken recap. The spoken conventions:

Written (reading edition)	Spoken (audio script)
CTA 2009 / CTA 2010	“the two thousand and nine Act” / “the twenty ten Act” (full name first in each chapter)
TIOPA 2010	“the Taxation, International and Other Provisions, Act twenty ten”, then “the International Act”
TCGA 1992	“the Gains Act”
CAA 2001 / TMA 1970	“the Capital Allowances Act” / “the Management Act”
CTA 2010 s 1141	“section eleven forty one” (four-digit sections in pairs)
TCGA 1992 s 171; CTA 2009 s 441	“section one seven one”; “section four four one” (practitioners’ digit-by-digit names)
HMRC; CFC	“H M R C”; “controlled foreign company”, then “C F C” (spaced letters, declared first)

Written (reading edition)	Spoken (audio script)
GAAR; DOTAS; GloBE	Spoken as words
£1.35m; 14.99%; €750m	“one point three five million pounds”; “fourteen point nine nine per cent”; “seven hundred and fifty million euros”

The **reading edition** is the same chapter for the page: digits, statutory references (“s 441 CTA 2009”; “TIOPA 2010 s 371BC”), standard case citations (*BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330), and every computation laid out as the examiner expects, with **£ or £000, never both, in each table**. It adds three kinds of box:

- **Worked example:** the full numbers behind each story, and labelled extra examples.
- **Going further:** planning, the tax function’s tasks and deadlines, interaction between regimes, judgement and ethics.
- **Exam lens:** each topic’s grade on the 2026 grid, its past appearances (sitting, question, marks), what the examiners said, the style, the traps and the layout.

Each reading edition ends with a **Key rules and figures** table and a **Statutory and case references** list.

Status words are the same in both editions:

Words	Meaning
“The law says”	Statute
“The courts have held”	Case law
“HMRC’s view is”	Guidance: not law
“Disputed” / “being litigated”	Not settled
“Announced”	A government statement
“Proposed, not law”	A consultation or draft legislation Parliament has not passed
“In our invented case”	Tarmoor and the Hartleys

How to use this book.

The book teaches. It does not test. There are no practice questions here, because you have the CIOT’s past papers and your own question bank, and those are the right tools for practice.

A good rhythm:

1. **Listen** to a chapter for the story and the reasons.
2. **Read** its reading edition with a pen, working each computation yourself.
3. **Sit a past question** on the same topic, under time (about 2.1 minutes a mark), and mark it against the CIOT’s suggested answer and marking guide.
4. **Read the examiners’ report** for that sitting, and, from May 2024, the **banded example scripts**. Comparing a scraped pass with a strong answer to the same question is one of the best lessons available; chapter 32 shows what to look for.

Practise on the student legislation product you will use on the day, **Croner-i or Tolley**, because in the exam the legislation is your only reference. And practise with the right numbers:

Item	2026 tax tables (FA 2025)	Law for a 2027 sitting (FA 2026)
Main pool WDA	18%	14% (chargeable periods beginning on or after 1 April 2026; hybrid rate for straddling periods)
40% FYA (new main-rate plant)	—	Available (expenditure from 1 January 2026)
Special rate WDA	6%	6%

When the 2027 tables appear, check every rate against them.

Finally, keep the status words in your ear. Several things described in this book are **proposals, not law**. A draft Finance Bill 2026-27 was published on **13 July 2026**, and a Budget is due on **28 October 2026**. None of that changes the law for your sitting. The conclusion says what may be coming, and the note on sources says how to keep up.

So the book starts where Tarnmoor’s story starts, on 1 April in GY1, with a family firm that becomes one company among many.

Key rules and figures

Item	Figure or rule	Source	Status
Law year	FY2026 (1 April 2026 – 31 March 2027); FA 2026 (Royal Assent 18 March 2026)	FA 2026	V
Paper	LCG AT: 3h 30m; normally 6 questions of 10/15/20; 100 marks; pass 50%; ≥70% of CT element core	CIOT LCG page; papers M23–M26	V
Sittings	4 May 2027 2.30pm; 26 October 2027 2.30pm	CIOT key dates	V
Grid	2026 grid (1 core, 2 non-core, 3 awareness); 2027 grid and tables not published at October 2026	CIOT	V (absence at 9 October 2026)
Large Business	HMRC works with around 2,000 of the largest businesses; customer compliance managers; risk reviews	GOV.UK “HM Revenue and Customs: Large Business”; TCRM1000	HMRC’s description
Story time	Group Years; FY2026 law throughout; real dates only in labelled examples	—	Book convention

Statutory and case references

- Finance Act 2026 (2026 c. 11).

- CTA 2009 s 46 (accounts basis); Parts 5, 6 and 8 (loan relationships, derivatives, intangibles).
- Criminal Finances Act 2017 ss 45–46.
- *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 (the prologue).
- HMRC Tax Compliance Risk Management manual, TCRM1000 (risk ratings for large businesses).

Part One: The Larger Company

Chapter 1: One company or many?

On 1 April, at the start of what our story will call Group Year One (GY1), a regional engineering business owned by one family stopped being a family firm. Calder Valve Engineering Ltd woke up that morning as it had gone to bed: same works, same 300 staff, same order book. By lunchtime its shares belonged to Tarnmoor plc, an invented listed engineering group, which had paid £32m for them.

Readers of *The Living Law* (TKS) have met Calder before. It is invented too, like every company and person in Tarnmoor's story. In *The Living Law*, chapter 5, Calder was a company on its own with no associated companies: taxable total profits (TTP) of £2,000,000 and corporation tax of £500,000, paid in four quarterly instalments of £125,000. One company, one return, one bill.

Nothing in the purchase changed Calder's legal identity. It still computes its own profits, files its own return and owes its own tax. And yet, from that 1 April, almost every number around it moves. The point at which it must pay tax early moves. The rules on how it prices its dealings with sister companies switch on. A board in Leeds now answers for its tax governance. Its interest costs are tested against a group it has never met.

So here is the question this chapter answers. **When a company joins a large group, is it still one taxpayer among many, or has it become a small part of one large taxpayer?** The short answer is both, and the skill of this paper lies in knowing which rule takes which view.

This is the first chapter of Part One, on the larger company. It sets up the whole book and builds on *The Living Law*, chapter 20 (corporation tax foundations) and chapter 24 (groups). No single syllabus row belongs to it. Instead it gives you two tools used in every later chapter, a **threshold ladder** and a **group-definitions matrix**, and introduces the invented group whose story runs through the book.

Meet Tarnmoor

Tarnmoor plc is our invented parent company: incorporated in England, head office in Leeds, shares listed on the main market of the London Stock Exchange. Nobody controls it; its shareholders are pension funds, insurers and thousands of private investors. That shape is deliberate. The CIOT describes the paper's scenarios this way: "Scenarios will typically be based around multinational groups and larger companies that may be listed, with no individual controlling shareholders." Tarnmoor is exactly that kind of group.

The Tarnmoor group at 1 April GY1 (all invented except Ireland)

Company (short form)	Incorporated / resident	Ownership	Year end	Role
Tarnmoor plc (TPLC)	England / UK	Listed, widely held	31 Dec	Ultimate parent; company with investment business
Tarnmoor Engineering Ltd (TEL)	England / UK	TPLC 100%	31 Dec	Main trading company (valves, actuators, pumps); GY1 revenue £630m
Tarnmoor Estates Ltd (TES)	England / UK	TPLC 100%	31 Dec	Group property company
Tarnmoor Finance Ltd (TFL)	England / UK	TPLC 100%	31 Dec	Treasury; £550m 5.5% listed notes
Tarnmoor Water Systems Ltd (TWS)	England / UK	TPLC 100%	31 Dec	Water-infrastructure trade
Calder Valve Engineering Ltd (CVE)	England / UK	TPLC 100% from 1 April GY1 (Oldroyd family before)	31 Mar	Acquired for £32m
Tarnmoor Pumps Ltd	England / UK	TPLC 100%	—	Dormant throughout
Tarnmoor Vallaria SA (TVS)	Vallaria / Vallaria (invented country)	TPLC 100%	31 Dec	Overseas manufacturer and distributor
Tarnmoor Capital Ltd (TCM)	Marrovia / Marrovia (invented country)	TPLC 100%	31 Dec	Overseas finance company
Tarnmoor Ireland Ltd (TIL)	Ireland / UK (board meets in Leeds)	TPLC 100%	31 Dec	Irish distribution company, UK resident for now
Helmside Energy Ltd (HEL)	England / UK	TPLC 45%; Greyfell Utilities plc 40%; Northlight Infrastructure Fund LP 15% (from 1 January GY1)	31 Dec	Hydrogen joint venture; consortium company

Group Years are Tarnmoor’s accounting years to 31 December. We never attach a calendar year to them, and **every computation applies the law for FY2026** (1 April 2026 to 31 March 2027) under Finance Act 2026, whatever Group Year the story has reached.

In GY1 consolidated revenue is **£1,180m** (TEL £630m; TVS £330m; TWS £110m; Calder £48m for nine months, about £64m a year; TIL £60m; TES third-party rents £2m), and the group employs about 6,000 people. Three invented people will guide us: **Nadia Kerr**, Tarnmoor’s CFO; **Tom Hesketh**, group head of tax; and **Graham Pike**, Calder’s finance director before and after the deal.

And **Dan Hartley**, the chartered engineer from *The Living Law*, works in Calder’s process valves division. Readers of TKS chapters 8 to 10 followed his commute, his benefits and his pay; by now his long secondment to a client’s plant on Teesside is over. They also know how his time at Calder ends. This book shows the company’s side of that story. For now, Dan is about to be asked to give most of his time to a new research project (chapter 10).

Why one company stays one taxpayer

The Living Law, chapter 20, told how a company became a person in law. The leading case is *Salomon v A Salomon and Co Ltd* [1897] AC 22 (HL): a properly formed company is a legal person distinct from its members, however its shares are held. Corporation tax, created by the Finance Act 1965, was built on that foundation. The taxpayer is the company.

This is the **separate entity principle**. Each company in a group computes its own TTP for its own accounting periods, on its own CT600, and pays its own tax. Each has its own losses, capital allowance pools and base costs. If TES sells a building to TEL, two taxpayers have dealt with each other.

Why does the law insist on this when a group plainly runs as one business?

- **Company law** gives each company its own assets and debts; its creditors look only to it.
- **Groups change shape** constantly. A system based on the separate company follows acquisitions and disposals without reopening a consolidated position.
- **Minority shareholders** (Greyfell and Northlight in Helmside) need each company's profit to be its own.
- **A buyer inherits the company's tax history**, which only makes sense if that history belongs to the company.

But the principle has costs: a loss in one company and a profit in a sister would be taxed as if strangers held them, and an asset moved between sisters would trigger a gain though nothing has left the group. So Parliament has built a **toolkit of bridges**: group and consortium relief (CTA 2010 Parts 5 and 5A), no gain, no loss transfers within a gains group (TCGA 1992 s 171), group roll-over (s 175), group relief from stamp duty (FA 1930 s 42) and SDLT (FA 2003 Sch 7).

The UK never abandons the separate entity; it bridges it, rule by rule, each bridge with its own conditions. Only in its newest regimes, the **corporate interest restriction** (TIOPA 2010 Part 10) and **Pillar Two** (F(No.2)A 2023 Parts 3–4), does the law begin to treat the group as a single economic unit. That tension is the book's first debate (L1), developed in chapters 15, 28 and 30.

The group's tax charge is not its tax bill

Misconception. *The Living Law*, chapter 24, tackled “a group pays tax as one”. The grown-up version is: **“the tax charge in the consolidated accounts is the group's tax bill.”**

People believe it because it is the number they see. Tarnmoor's annual report shows one income tax expense, and analysts quote the effective tax rate that comes from it.

But the consolidated charge is an accounting figure:

- it adds current tax across **every** company, UK and overseas, so it includes Vallarian and Marrovian tax that HMRC never sees;
- it includes **deferred tax**, which is not a payment but a recognition of tax that will fall due, or be saved, in later years (chapter 6);
- it reflects consolidation adjustments that no tax return contains.

The UK tax bill is a set of **separate liabilities, company by company**, each computed on that company’s TTP and paid on its own timetable. In GY1, TEL’s CT after group and consortium relief is **£2,633,750** (TTP £10.535m × 25%); Calder, in its first group accounting period, computes CT of **£750,000** (TTP £3.0m × 25%) before setting off its RDEC. There is **no group return** for corporation tax.

There is a second reason the two numbers differ. The accounts measure profit under accounting standards; tax law then adjusts it, adding back some costs, deducting others, replacing depreciation with capital allowances. Some differences reverse later and some never do. The consolidated charge captures the reversing ones as deferred tax; the return simply taxes this year’s adjusted profit.

The practical lesson is that a tax function **reconciles**: it explains the consolidated charge to the board, auditors and market, builds up the company returns underneath it, and makes the two stories agree. “The tax charge in the accounts” and “the tax payable” are different requirements with different answers, and tax-accounting tails to computation questions are now common (N25 Q1, M25 Q2, M24 Q2; a standalone 10-mark deferred tax question in M26 Q6).

House rules with their own guest lists

The Living Law, chapter 24, pictured a group as a family of separate wallets living under one roof, with house rules about when money can pass between them. The extension this book needs: **each house rule has its own guest list**. Who counts as family depends on which rule you are applying.

The matrix below is owned by this chapter and applied throughout the book. Learn it as a matrix: the exam rarely names the test; it describes a shareholding and expects you to see which lists it puts a company on.

Group-definitions matrix (FY2026)

Guest list	Test	Who counts	Used for	Authority	Chapter
Associated companies	Control (one controls the other, or both under common control; CTA 2010 ss 450–451 meaning)	Any company, UK or overseas ; a company carrying on no trade or business (e.g. dormant) is ignored; a passive holding company is treated as carrying on no business	Marginal relief limits (£50,000 / £250,000 divided by 1 + associates); QIP thresholds (HMRC guidance: divided by associated companies, replacing related 51% group companies, from 2023)	CTA 2010 Part 3A, ss 18E–18F; SI 1998/3175 reg 3; CTM92520, CTM92800	3, 7

Guest list	Test	Who counts	Used for	Authority	Chapter
51% group	> 50% of ordinary share capital, directly or indirectly	Parent and its 51% subsidiaries (any residence)	Group payment arrangements; SSE group (and aggregation for the 10% test); recovery of unpaid CT on gains; tax strategy and UTT group size tests	CTA 2010 s 1154; TMA 1970 s 59F; TCGA 1992 Sch 7AC para 26, s 190(13); FA 2016 Sch 19; FA 2022 Sch 17	3, 4, 17, 18
75% group (group relief)	≥ 75% of ordinary share capital and ≥ 75% of profits available for distribution and of assets on a winding up (equity holder tests)	Losses pass only between UK related companies (UK resident, or non-resident with a UK permanent establishment)	Group relief (Part 5); carried-forward group relief (Part 5A)	CTA 2010 ss 151(4), 152 ff (Ch 6)	15
Consortium	≥ 75% of a trading or holding company's ordinary share capital owned by companies each holding ≥ 5%	Members and the consortium company; link companies	Consortium relief, limited by the member's ownership proportion	CTA 2010 ss 132–133, 143, 153	15
Gains group	Principal company + its 75% subsidiaries (and theirs), each an effective 51% subsidiary of the principal (profits and assets)	Overseas companies can be members; a company is in only one gains group	No gain, no loss transfers; s 171A reallocation; group roll-over; pre-entry losses; degrouping	TCGA 1992 s 170	17
Stamp duty group	Parent holds ≥ 75% of ordinary share capital, profits and assets	Bodies corporate	Stamp duty group relief, denied where arrangements exist for a person to obtain control of the transferee but not the transferor	FA 1930 s 42	21
SDLT group	75% of ordinary share capital, profits and assets	Companies	SDLT group relief; denied for arrangements for the purchaser to leave the group (and other conditions); 3-year clawback	FA 2003 Sch 7 paras 1–3	21

Guest list	Test	Who counts	Used for	Authority	Chapter
Worldwide group	Ultimate parent + subsidiaries consolidated under international accounting standards	All consolidated entities, any residence, including dormant subsidiaries	Corporate interest restriction	TIOPA 2010 ss 373, 473–474 (Part 10 Ch 11); CFM95330	28
MNE group (Pillar Two)	Consolidated group	All consolidated members	MTT/DTT; €750m threshold	F(No.2)A 2023 s 129	30
CbC group	Consolidated group	All consolidated members	Country-by-country reporting; TP records	SI 2016/237 reg 3; SI 2023/818	27
TP participation	One party directly or indirectly participates in the management, control or capital of the other (or common participation)	Any persons	Transfer pricing (Part 4)	TIOPA 2010 s 148	27
CFC control	Legal or economic control (> 50% of proceeds, income or assets on a winding up); accounting control (with a 50% condition); the 40% joint-venture rule	Non-UK resident companies controlled from the UK	CFC charge (with a separate 25% interest test for apportionment)	TIOPA 2010 ss 371RB–371RE	26
“Group other than a small group”	Companies Act 2006 small group tests	Members of medium and large groups	Enquiry window runs from the filing date	FA 1998 Sch 18 para 24	3

Applying the guest lists to Tarnmoor

Run Tarnmoor through the lists in GY1 and the family changes shape.

Associated companies. TPLC controls everything it owns outright: TPLC, TEL, TES, TFL, TWS, TVS, TCM, TIL, and Calder from 1 April. **Nine.** The two overseas companies count (association turns on control, not residence). Tarnmoor Pumps does not count (dormant). Helmside does not count: 45% is not control, and no single shareholder controls it. For marginal relief a company counts if associated **at any time in the AP**, so each company’s limits are divided by **9** at once (itself plus eight associates). The QIP count is taken on a different day (see “Tarnmoor on the ladder”).

Group relief. Every wholly owned company passes the 75% tests, but losses pass only between UK related companies. TVS and TCM are outside the charge, so their losses stay abroad. **TIL**, though incorporated in Ireland, is UK resident while its board meets in Leeds, so it can surrender and claim like any other UK company. **Helmside** is not in the group relief group at all: it is a **consortium company**, and its losses flow in proportion to the members’ holdings (chapter 15).

Gains group. Almost the same list, overseas companies included, with TPLC as principal company.

Worldwide group (CIR). TPLC and every subsidiary in its consolidated accounts, including TVS, TCM and the dormant Pumps company. Helmside sits outside it as an unconsolidated joint venture.

Company	Associated (marginal relief divisor 9)	75% group relief group	Gains group	Worldwide group	Note
TPLC	✓	✓	✓ (principal)	✓ (ultimate parent)	
TEL, TES, TFL, TWS	✓	✓	✓	✓	
Calder (from 1 April GY1)	✓	✓	✓	✓	Joins every list at once
TIL	✓	✓ (UK resident)	✓	✓	Irish-incorporated
TVS, TCM	✓	× (not UK related)	✓	✓	Overseas
Tarnmoor Pumps	× (dormant)	✓	✓	✓	Nothing to surrender
Helmside	× (45%)	× (consortium)	×	×	Consortium company

So which is the real Tarnmoor group? There is no single answer, and that is the lesson. Move a building from TES to TEL, and the gains group and the SDLT group matter. Lend from TFL to TVS, and the transfer pricing participation test matters. Borrow from a bank, and the worldwide group matters.

Calder’s purchase shows why. On 1 April it joins every list at once, and each membership switches on a different consequence. The rest of this chapter is about the consequences that come from size.

What makes a company larger: the threshold ladder

The paper’s title speaks of larger companies; this book uses “**larger company**” as a working term, not a legal one. No statute defines it. Instead, dozens of rules each draw their own line.

Why should size matter? Three reasons recur:

1. **Revenue.** A small number of large businesses pay a large share of corporation tax, so the state wants their money sooner and their risks visible.
2. **Capability.** A group with a tax function, auditors and systems can carry burdens that would crush a small company.
3. **International consensus.** Working through the OECD, governments have agreed common lines, most famously **€750m** of revenue, above which country-by-country reporting and the global minimum tax apply.

Every line is a **cliff edge**: one pound or euro either side changes a company’s obligations, and groups cross thresholds by accident through acquisitions, mergers, currency movements or one good year.

The threshold ladder (FY2026) — owned by this chapter and reused throughout the book

Rung	Measure	Threshold	What it switches on	Authority	Status	Chapter
Marginal relief	Augmented profits	Lower limit £50,000, upper limit £250,000, each divided by 1 + associated companies (associated at any time in the AP) and time-apportioned	Small profits rate 19% / marginal relief (fraction 3/200) below the upper limit; main rate 25% above	CTA 2010 Part 3A	V	7
Large company (QIPs)	Augmented profits	> £1.5m , divided by 1 + associated companies counted on the day before the AP begins, reduced for short periods	Instalments in months 7, 10, 13 and 16; first-year exception where not large in the previous 12 months and profits ≤ £10m (divided)	SI 1998/3175 reg 3; CTM92520, CTM92530	V (rates) / guidance (divisor)	3
Very large company (QIPs)	Augmented profits	> £20m , divided by 1 + associated companies counted on the day before the AP begins, reduced for short periods	Instalments in months 3, 6, 9 and 12; no first-year exception	SI 1998/3175 (APs beginning on or after 1 April 2019); CTM92800, CTM92530	V / guidance (divisor)	3
CIR de minimis	Worldwide group's aggregate net tax-interest expense	> £2m a year (pro rata for long or short periods)	Interest restriction can bite; below it no restriction	TIOPA 2010 s 392(3)	V	28
Deductions allowance	Profits against which carried-forward losses are set	£5m per company or group per 12 months	Only 50% of profits above the allowance can be relieved by carried-forward losses; one allowance per group (nomination needed)	CTA 2010 Part 7ZA (ss 269ZR–269ZV)	V	14
UTT notification	Tax advantage	> £5m	Notify uncertain tax treatments (if also above the £200m/£2bn rung)	FA 2022 Sch 17	V	4

Rung	Measure	Threshold	What it switches on	Authority	Status	Chapter
SAO	Turnover / balance sheet of UK-incorporated companies, aggregated across UK group companies, preceding financial year	> £200m turnover and/or > £2bn balance sheet total	Senior accounting officer main duty and annual certificate; company notification	FA 2009 Sch 46	V	4
Tax strategy	Turnover / balance sheet of UK group (51% test), previous financial year	> £200m and/or > £2bn (or a UK member of a €750m CbC group)	Publish a board-approved tax strategy	FA 2016 Sch 19	V (GOV.UK guidance)	4
UTT	UK turnover / balance sheet of the 51% group's CT-paying members, previous financial year	> £200m and/or > £2bn	UTT notifications	FA 2022 Sch 17 paras 2–5	V	4
International movements of capital	Value of reportable event	> £100m	Report to HMRC within 6 months	FA 2009 Sch 17	V	25
CbC reporting	Consolidated group revenue	€750m	Country-by-country report	SI 2016/237 reg 3	V (threshold)	27
TP records	As CbC	€750m	UK members keep and preserve a Master File and Local File (APs beginning on or after 1 April 2023)	SI 2023/818	V	27
Pillar Two	Consolidated revenue	“Exceeds” €750m in at least 2 of the previous 4 accounting periods (HMRC guidance says “€750m or more”)	Multinational and domestic top-up tax; registration and GloBE return	F(No.2)A 2023 s 129	V (wording discrepancy)	30
TP SME exemption (the	Staff, turnover, balance sheet of the enterprise	Medium: < 250 staff and turnover ≤ €50m or	Below it, most transfer pricing does not apply	TIOPA 2010 ss 166, 172; Commission	V (statute) / S (thresholds)	27

Rung	Measure	Threshold	What it switches on	Authority	Status	Chapter
line that runs the other way)	with linked and partner enterprises	balance sheet ≤ €43m	(subject to exceptions); above it, TP applies	Recommendation 2003/361/EC; INTM412080		
Advance tax clearances (new)	Expected UK expenditure on a qualifying investment project	≥ £1bn	Binding clearance for 5 years	FA 2026 ss 266–274	V	2

Two further points. HMRC’s Large Business directorate works with most UK businesses whose turnover exceeds £200m (GOV.UK, “HMRC’s compliance approach for large businesses”). And the thresholds use **different numbers, from different accounts, over different periods**: profits of the current accounting period (QIPs), the previous financial year (SAO, tax strategy, UTT), two of the previous four periods (Pillar Two). Applying one test to all of them is a classic error.

Exam lens: thresholds and groups - Grades (2026 grid): CT self-assessment 1; SAO 1; tax strategy 1; group relief (consortia included for LCG) 1; CIR 1; TP and APAs 1; CFCs 1; notification of uncertain tax treatment 3; MTT and DTT 3. No row is “thresholds”: they are tested inside these rows. - **Past appearances: N24 Q5 (20 marks):** a US multinational buys a UK SME; the marking guide gave 4 marks for filing and QIPs in a large group (thresholds divided across the group, payment dates), 3 for CbC reporting, 6.5 for TP now applying (not an SME) with master and local file contents, 3.5 for CIR (file to protect the position, reporting company, abbreviated return) and 3 for stamp duty on the share purchase. Examiners: most found TP, but some wrote at length on it and ignored easier points; some raised hybrids with no trigger. **N23 Q5 (10 marks):** SAO thresholds known but misapplied (which companies count). **M25 Q3 (15 marks):** tax strategy thresholds with different year ends; candidates apportioned subsidiaries’ figures instead of using the accounts for the year ending in the parent’s financial year. **M25 Q2:** very large company instalments with changing forecasts done badly. - **Style:** technical prose; list the obligations a transaction switches on, with the threshold and the authority; 0.5–1 mark per point. - **Traps:** dividing by the wrong number (associated companies, counting the company itself), or counting on the wrong day (QIPs: the day before the AP begins; marginal relief: any time in the AP); forgetting that overseas companies count as associates; SAO applies to **UK-incorporated** companies; very large companies have no first-year exception; mixing the tests’ measurement periods; treating TP as optional once a target joins a large group. - **Layout:** a short table or numbered list of obligations, each with threshold, deadline and penalty.

Tarnmoor on the ladder

Worked example: Tarnmoor and Calder in GY1 (invented figures; FY2026 law)

Group-level rungs

Test	Tarnmoor GY1	Threshold	Result
Consolidated revenue (£m)	1,180	—	—

Test	Tarnmoor GY1	Threshold	Result
at the story's assumed €1.15 per £ (£m)	1,357	€750m	Above: CbC report; TP Master/Local File; Pillar Two (the story assumes revenue has been above €750m for years)
UK turnover (TEL alone, £m)	630	£200m	Above: SAO, tax strategy, UTT
Aggregate net tax-interest expense (£m)	24.65	£2m	Above: CIR applies (GY1 disallowance £2.21m, chapter 28)

The €1.15 rate is invented for illustration only; even at parity revenue would exceed €750m.

Thresholds for each 31 December Tarnmoor company in GY1: two counts

Marginal relief counts a company associated **at any time** in the AP, so Calder counts at once: divisor **9**. HMRC's manuals (CTM92530; COM95001) count associates for QIPs **on the day before the AP begins**: on 31 December before GY1 the association was TPLC, TEL, TES, TFL, TWS, TVS, TCM and TIL, so the QIP divisor is **8**.

	£
Marginal relief lower limit: £50,000 ÷ 9	5,556
Marginal relief upper limit: £250,000 ÷ 9	27,778
QIP large: £1,500,000 ÷ 8	187,500
QIP very large: £20,000,000 ÷ 8	2,500,000

Calder before and after

	Calder alone (TKS ch 5)	Calder's first group AP (1 April GY1 – 31 March GY2)
Associated companies	0 (divisor 1)	For QIPs (counted 31 March GY1, the day before the AP): 0 (divisor 1); for marginal relief (any time in the AP): 8 (divisor 9)
TTP (£)	2,000,000	3,000,000
Large threshold (£)	1,500,000	1,500,000
Very large threshold (£)	20,000,000	20,000,000
Status	Large (was large in the prior period)	Large (large before, so no first-year exception)
CT at 25% (£)	500,000	750,000 (before RDEC set-off of £400,000: £350,000 payable)
Instalments	Months 7, 10, 13, 16: 4 × £125,000	Months 7, 10, 13, 16: 4 × £187,500 (14 October GY1; 14 January, 14 April, 14 July GY2); the RDEC does not reduce them (CIRD89870; chapter 3)

Calder's TTP rose from £2.0m to £3.0m, still far below the stand-alone £20m line. On 31 March GY2, the day before its next AP, it has eight associates: QIP divisor 9, very large threshold $\text{£}20,000,000 \div 9 = \text{£}2,222,222$. So Calder becomes **very large one period later**, paying in months 3, 6, 9 and 12 from its AP beginning 1 April GY2: its payment timetable moves four months earlier because it acquired eight associates.

Transfer pricing. With about 300 staff, Calder was never a small or medium-sized enterprise (fewer than 250 staff is required). Many targets are; when they join a group like Tarnmoor the SME exemption is lost, because the size test includes linked enterprises. Calder's dealings with TVS will be priced at arm's length, and tested (chapter 27).

SAO. Nadia Kerr is SAO for every UK-incorporated group company. TIL is UK resident but **incorporated in Ireland**, so it is outside the SAO rules, which apply to UK-incorporated companies. (How the "preceding financial year" test applies to a company joining part-way through a year is taken up in chapter 4.)

Who does the work

A larger company's tax is done by a system, and the paper expects you to know the parts.

- **The group tax function** (Tom Hesketh's team in our invented case): prepares or reviews every company's return; manages instalments; runs TP documentation; prepares the CIR return and the tax numbers in the accounts; keeps the threshold and group-list map.
- **The board:** approves the published tax strategy; owns the group's tax risk appetite.
- **The CFO as senior accounting officer** (Nadia Kerr): takes reasonable steps to ensure appropriate tax accounting arrangements and certifies each year (FA 2009 Sch 46).
- **The audit committee and external auditors:** test the tax numbers in the accounts.
- **HMRC:** the Large Business directorate works with around 2,000 of the UK's largest businesses; each has a **Customer Compliance Manager** who learns the business and coordinates HMRC's specialists. HMRC's Tax Compliance Risk Management manual (TCRM1000) describes rating customers' tax risk on a spectrum from low to high. A good relationship means issues raised early and resolved in real time.
- **Specialists:** TP economists, valuers, R&D claim teams, stamp taxes lawyers, IFRS specialists.

The work runs to a calendar: instalments through the year; year-end tax numbers for the annual report; returns within 12 months, with the CIR return; the SAO certificate by the end of the accounts filing period (6 months after the year end for a public company, 9 months otherwise). Each deadline belongs to a particular company, and each miss carries its own penalty (chapters 3 and 4).

The CIOT's description of the paper explains why this matters. Candidates "are not expected to have deep knowledge of all tax areas but should be able to identify what the potential tax issues are", and should know specialist areas well enough to "coordinate the work of the firm's specialists". Read that as a job description: the examiner rewards the adviser who sees every issue a transaction raises, says precisely what it means, and knows who to call.

Mapping the thresholds every year

Going further: the tax function's threshold map

A tax function maps every threshold and every group list **every year**, and again whenever the group changes shape.

- **Acquisitions** are the usual trigger. A group just under €750m can cross it by buying one company; CbC reporting, TP records and Pillar Two follow.
- **Each new subsidiary changes the associated company count**, lowering every company's thresholds. When Tarnmoor buys Brackenwell Sensors Ltd (invented) on 1 July GY2, the marginal relief count rises to 10 at once; the QIP thresholds fall to £2,000,000 / £150,000 (£20m and £1.5m ÷ 10) from GY3.
- **Disposals and demergers** work the other way (the marginal relief count is 11 in GY5 and GY6 and 10 in GY7; the QIP count stays at 10).
- **Currency**: the highest line is drawn in euros, so a weaker pound can carry a sterling group across it without a single extra sale.

A joiner's checklist (picked up in chapters 3, 4, 10, 14 and 20): different year end (Calder keeps 31 March until GY3); returns and instalments to take over, on an earlier timetable once the QIP count catches up (for Calder, one period later); losses restricted after a change in ownership; loss of SME status (an R&D-intensive SME loses ERIS and falls back on the merged RDEC); a new SAO answerable for its arrangements; TP switching on.

Professional judgement. Thresholds are measured on different numbers, from different accounts, over different periods. Write each test down with the source of each figure, so the SAO can rely on it, and review the map whenever the deal team is busy: the tax function is often the last to hear about a purchase and the first to be blamed for a missed deadline.

How the paper is built

A brief word on the exam this book serves; chapter 32 owns the craft.

Feature	Detail
Paper	CTA Advanced Technical, Taxation of Larger Companies and Groups; renamed for 2023 from Taxation of Major Corporates
Duration and shape	3 hours 30 minutes; normally six questions of 10, 15 or 20 marks; 100 marks; pass mark 50% (every paper M23–M26: usually three 20s, two 15s, one 10)
Syllabus	CT including CT on chargeable gains; capital allowances; stamp duty and SDLT at awareness level. At least 70% of the CT element from core material
Grades	1 core (depth, computation), 2 non-core (working knowledge), 3 awareness (recognition). In the 2026 grid most graded rows are core, including CFCs, TP, CIR and hybrids
Law	Kian's likely sitting, 4 May 2027 (fallback 26 October 2027), is expected to examine FA 2026; the 2027 grid and tax tables are not yet published

Feature	Detail
Scenarios	UK plc heading a multinational; foreign parent acquiring a UK company; JVs and consortia; overseas expansion by branch or subsidiary; group property reorganisations; disposals of subsidiaries; migration
Style	Technical prose and computations (“Calculate, with explanations”, “Explain”, “Discuss”, occasionally “Recommend”); no letter, report or email format (that is the APS paper); 0.5–1 mark per point
Pass rates	M23 70%; N23 61%; M24 62%; N24 59%; M25 65%; N25 67%; M26 74%. The M24 chief examiner reported that Joint Programme candidates had the highest pass rates
Timing	About 2.1 minutes per mark (derived: 210 minutes ÷ 100 marks)

Exam lens: reading a scenario for size and group - Grade: the paper’s 70% core rule means the computation and group topics dominate; awareness topics (Pillar Two, UTT, stamp taxes) earn add-on marks that are often missed. - **Method:** on any acquisition, disposal or restructuring, run two checks before writing: (1) which **guest lists** does each company join or leave? (2) which **rungs** does the group cross? Then list the consequences, each with authority, before going deep on any one. N24 Q5 is the model. - **Traps:** answering a different requirement (residence in a PE question; DPT for loans; hybrids with no trigger); “tax consequences” means all taxes in the syllabus, a named tax means only that tax; keep £ and £000 consistent. - Check the 2027 grid when it is published and correct any grade relied on here.

What to take away

A company that joins a large group is still a separate taxpayer. *Salomon* confirmed that a company is a person distinct from its members, and corporation tax taxes that person: each company computes, files and pays its own tax, and there is no group return for corporation tax.

The law bridges the gap between the many companies and the one business with a toolkit of group regimes, **each with its own guest list**: associated companies (control; overseas companies count; dormant and passive holding companies ignored); the 51% group (GPAs, SSE, s 190 recovery, tax strategy and UTT); the 75% group with equity holder tests (group relief), and the consortium (5% members owning 75%); the gains group (75% plus effective 51%); stamp duty and SDLT groups (75% of shares, profits and assets, with arrangements tests); the worldwide group (CIR); consolidated groups for Pillar Two and CbC reporting.

The consolidated tax charge is not the tax bill. It includes overseas and deferred tax; the UK bill is a set of company liabilities.

The ladder, for FY2026: profits over £1.5m make a company large for QIPs, and over £20m very large, both divided by 1 + associated companies; net interest over £2m brings the CIR into play; £5m is the deductions allowance; £200m turnover or £2bn balance sheet switches on SAO, tax strategy and UTT; €750m switches on CbC reporting, TP records and Pillar Two; leaving the SME category switches on transfer pricing.

For Tarnmoor in GY1: revenue £1,180m (about €1,357m at the invented rate); a marginal relief divisor of 9 at once (limits £5,556 / £27,778); a QIP divisor of 8 for the 31 December companies (£187,500 / £2,500,000), because HMRC's manual counts associates on the day before the AP begins; and Calder still **large** in its first group AP (divisor 1: four instalments of £187,500 in months 7, 10, 13 and 16), becoming very large (divisor 9, £2,222,222) one period later.

And the job: identify the issues, explain them precisely, and coordinate the specialists.

To answer this chapter's question: Calder is **one company among many** for computing and paying its tax, and **part of one large group** for almost every threshold that decides how. Next, chapter 2 asks where all of these rules actually live, and how an adviser finds them.

Key rules and figures

Rule	Figure / test	Authority
Separate entity principle	Each company computes, files and pays; no group CT return	<i>Salomon</i> [1897] AC 22; CTA 2009 s 2
Associated companies	Control; overseas count; dormant and passive holding companies ignored	CTA 2010 ss 18E–18F
Marginal relief	£50,000 / £250,000 ÷ (1 + associates at any time in the AP); 3/200; 19% / 25%	CTA 2010 Part 3A
Large company (QIPs)	> £1.5m ÷ (1 + associates on the day before the AP begins); months 7, 10, 13, 16	SI 1998/3175; CTM92530
Very large company (QIPs)	> £20m ÷ (1 + associates on the day before the AP begins); months 3, 6, 9, 12	SI 1998/3175; CTM92530
51% group	> 50% ordinary share capital	CTA 2010 s 1154
Group relief group	75% shares + 75% profits and assets; UK related	CTA 2010 s 151(4)
Consortium	≥ 75% owned by companies each ≥ 5%	CTA 2010 s 153
Gains group	75% subsidiaries, each effective 51% of principal	TCGA 1992 s 170
Stamp duty / SDLT group	75% shares, profits, assets; arrangements tests	FA 1930 s 42; FA 2003 Sch 7
Worldwide group	Ultimate parent + consolidated subsidiaries	TIOPA 2010 ss 473–474
CIR de minimis	£2m	TIOPA 2010 s 392(3)
Deductions allowance	£5m per group (nominated)	CTA 2010 ss 269ZR–269ZV
SAO, tax strategy, UTT	£200m turnover / £2bn balance sheet	FA 2009 Sch 46; FA 2016 Sch 19; FA 2022 Sch 17
UTT tax advantage	> £5m	FA 2022 Sch 17
CbC, TP records	€750m consolidated revenue	SI 2016/237; SI 2023/818
Pillar Two	> €750m in 2 of previous 4 periods	F(No.2)A 2023 s 129

Rule	Figure / test	Authority
TP SME exemption	Medium: < 250 staff; turnover ≤ €50m or balance sheet ≤ €43m (with linked enterprises)	TIOPA 2010 ss 166, 172
Tarmoor GY1	Revenue £1,180m ≈ €1,357m; marginal relief divisor 9 (£5,556 / £27,778); QIP divisor 8 for 31 December companies (large £187,500; very large £2,500,000); Calder QIP divisor 1 (large: 4 × £187,500), very large from its AP beginning 1 April GY2 (divisor 9; £2,222,222)	Invented

Statutory and case references

- *Salomon v A Salomon and Co Ltd* [1897] AC 22 (HL)
- Finance Act 1965 (creation of corporation tax; recap)
- CTA 2010: Part 3A (ss 18E–18F); Part 5 (ss 132–133, 143, 151–153); Part 7ZA (ss 269ZR–269ZV); ss 450–451; s 1154
- TCGA 1992: ss 170, 171, 175, 190(13); Sch 7AC para 26
- TIOPA 2010: Part 4 (ss 148, 166, 172); Part 9A (ss 371RB–371RG); Part 10 (ss 373, 392(3), 473–474)
- TMA 1970 s 59F
- FA 1930 s 42; FA 2003 Sch 7
- FA 1998 Sch 18 para 24
- FA 2009 Sch 17 and Sch 46; FA 2016 Sch 19; FA 2022 Sch 17
- F(No.2)A 2023 s 129
- FA 2026 ss 266–274
- SI 1998/3175 (instalment payments) reg 3; SI 2016/237 reg 3; SI 2023/818
- HMRC manuals: CTM92520, CTM92530, CTM92800, COM95001 (QIPs); CIRD89870 (RDEC and QIPs); CFM95330 (worldwide group); INTM412080 (SME); TCRM1000 (risk); SAOG11231 (SAO qualifying company)
- GOV.UK: “HMRC’s compliance approach for large businesses”; “Large businesses: publish your tax strategy”
- CIOT: Taxation of Larger Companies and Groups page (paper description)

Chapter 2: Where corporate tax law lives

On 18 March 2026, the Finance Act 2026 received Royal Assent. Sixteen years earlier to the day, on 18 March 2010, the Taxation (International and Other Provisions) Act 2010 had received its own. TIOPA 2010 was the last product of a fourteen-year project to rewrite the UK’s direct tax statutes in a clearer, better ordered form. Its aim was to restate the law, not to change it.

FA 2026 went a step further than any rewrite Act. In its transfer pricing and permanent establishment rules, it points to texts written by the Organisation for Economic Co-operation and Development (OECD), and it tells us to read them as they stand from time to time, not as they stood on the day Parliament voted.

So where does corporate tax law actually live? In Acts and regulations, certainly. But also in treaties, in accounting standards that Parliament never wrote, in judgments, and now in international texts that change without a vote at Westminster. Around all of that sits a large body of HMRC guidance that is not law at all, yet shapes every enquiry.

This is the second chapter of Part One, and it is the book’s “how we know” chapter. *The Living Law* (TKS), chapter 2, explained statute, interpretation, the tribunals and the status of guidance. Here we go further, into the sources a larger company’s tax function uses every week. No single row of the syllabus grid is owned by this chapter, but the 2026 grid makes “Double tax treaties – application of OECD model and supplied extracts from treaties” and “Impact of accounting standards on taxable profits” core (grade 1), and Note 2 of the grid expects knowledge of the Law, Professional Responsibilities and Ethics, and Principles of Accounting manuals. We finish in the exam room, with what the screen gives you and what it does not.

The statute book a group lives in

Start with the Acts. As *The Living Law*, chapter 2, explained, statute is the law; everything else either interprets it or applies it. For a larger company the statute book is a handful of big Acts, and most of them come from the **Tax Law Rewrite Project**. The project began with a blueprint paper, *Tax Law Rewrite: The Way Forward*, in July 1996, and produced seven Acts: CAA 2001, ITEPA 2003, ITTOIA 2005, ITA 2007, CTA 2009, CTA 2010 and TIOPA 2010. The explanatory notes say the rewritten Acts do not generally change the meaning of the law. They restate it, in a new order.

The corporate statute map (FY2026)

Statute	Spoken name (audio)	What a larger company finds there
Corporation Tax Act 2009 (CTA 2009)	“the two thousand and nine Act”	The charge (s 2), its territorial scope (s 5) and residence (s 14); UK PE profits (ss 19–21, as rewritten by FA 2026); the foreign branch exemption (Part 2 Ch 3A, ss 18A–18S); trading income (Part 3, including s 46); loan relationships (Part 5); derivative contracts (Part 7); intangible fixed assets (Part 8); R&D (Part 13)

Statute	Spoken name (audio)	What a larger company finds there
Corporation Tax Act 2010 (CTA 2010)	“the twenty ten Act”	Losses (Part 4); group and consortium relief (Part 5); carried-forward losses and the restriction (Parts 5A, 7ZA); change in ownership (Part 14); Part 22; distributions (Part 23); definitions (Part 24), including control (s 1124), the PE definition (ss 1140A–1144) and GAAP (s 1127)
Taxation (International and Other Provisions) Act 2010 (TIOPA 2010)	“the International Act”	Treaties and DTR (Part 2; Orders in Council under s 2); transfer pricing (Part 4); UTPP (new Part 4A, ss 217A–217T, FA 2026); APAs (Part 5); hybrids (Part 6A); CFCs (Part 9A); CIR (Part 10, Sch 7A)
Taxation of Chargeable Gains Act 1992 (TCGA 1992)	“the Gains Act”	Company gains, groups (ss 171–181), share reorganisations, Sch 7AC SSE
Capital Allowances Act 2001 (CAA 2001)	“the Capital Allowances Act”	Plant and machinery, SBA, fixtures
Taxes Management Act 1970 (TMA 1970)	“the Management Act”	Appeals, group payment arrangements (s 59F), migration notices (s 109B), Sch 3ZB payment plans
FA 1998 Sch 18	“the company return rules in Schedule eighteen to the Finance Act nineteen ninety eight”	CT returns, enquiries, determinations, discovery, return penalties
F(No.2)A 2023 Parts 3 and 4	“the Pillar Two legislation”	Multinational and domestic top-up tax
Free-standing Finance Act schedules	by name	SAO (FA 2009 Sch 46); tax strategy (FA 2016 Sch 19); UTT (FA 2022 Sch 17)

Each year’s Finance Act mostly amends these Acts, so the amended Acts are what you read. But some rules never move into the main Acts: the senior accounting officer, tax strategy and uncertain tax treatment rules still live in schedules to the Finance Acts that introduced them. A researcher who searches only the Corporation Tax Acts will never find them.

Statutory instruments. Beneath the Acts sit regulations made by ministers under powers the Acts give them. They carry the same force of law and often hold the detail that costs money. Five run through this book:

SI	Short name	Why it matters
SI 1998/3175 Corporation Tax (Instalment Payments) Regulations 1998	the instalment payment regulations	When large and very large companies pay (chapter 3)
SI 2004/3256 (the Disregard Regulations)	the Disregard Regulations	Keep certain exchange and hedging movements out of taxable profit for the time being (chapter 12)
SI 2004/3271 (change of accounting practice regulations)	the COAP regulations	Loan relationship and derivative transitions when a company changes its accounting framework (chapters 5, 12)
SI 2016/237 (country-by-country reporting)	the CbC regulations	€750m consolidated revenue threshold (reg 3) (chapters 1, 27)

SI	Short name	Why it matters
SI 2023/818 Transfer Pricing Records Regulations 2023	the TP records regulations	Master File and Local File for CT accounting periods beginning on or after 1 April 2023; UK-to-UK transactions excluded from the Local File (reg 6) (chapter 27)

Treaties arrive by yet another route. TIOPA 2010 s 2 provides that arrangements specified in an Order in Council, declared to have been made with a view to affording relief from double taxation, have effect (in accordance with s 6); s 5(2) requires a draft of the Order to be approved by resolution of the House of Commons first. So a treaty is negotiated by governments, but it reaches a company's tax return only because Parliament has said it may.

When Parliament points at Paris

For most of the history of transfer pricing in this country, the OECD Transfer Pricing Guidelines entered UK law through a narrow, fixed door. TIOPA 2010 s 164 told the reader to construe Part 4 consistently with “the transfer pricing guidelines”. But the phrase meant one particular version, frozen in time, and a newer version counted only when the Treasury **designated it by order**. The July 2017 Guidelines were designated by SI 2018/266 for accounting periods beginning on or after 1 April 2018; the 2022 Guidelines by SI 2022/1147 for corporation tax accounting periods beginning on or after 1 January 2023 (both as summarised in the sources listed in the notes).

FA 2026 opened the door wide. For chargeable periods beginning on or after **1 January 2026**, UK law refers to the OECD's materials in three places, and in the two most important it refers to them **as amended or replaced from time to time**:

Rule	Provision (FA 2026)	OECD material referred to	Dynamic?
Transfer pricing	TIOPA 2010 s 164(3)–(4C), substituted by FA 2026 Sch 6 para 18	Article 9 of the OECD Model Tax Convention approved by the OECD Council on 18 November 2025 ; the Transfer Pricing Guidelines 2022 (published 20 January 2022)	Yes: as amended or replaced from time to time, subject to UK reservations; Treasury may opt out of an update by regulations
Attribution of profits to a UK PE	CTA 2009 s 20(1A)–(1E), substituted by FA 2026 Sch 7 para 4	Article 7(2) of the 18 November 2025 Model and its Commentary; the 2010 Report on the Attribution of Profits to Permanent Establishments (22 July 2010); the TPG 2022; the March 2018 Additional Guidance	Yes: as amended from time to time, subject to UK reservations; Treasury regulation power
The PE definition	CTA 2010 s 1140A (new purpose clause), FA 2026 Sch 7 para 11	Article 5 of the 18 November 2025 Model and its Commentary	Version named; whether the reference is dynamic was not confirmed (see notes)

HMRC's International Manual describes the transfer pricing result plainly: the Model and the Guidelines are now interpretative aids **whether or not a treaty is in place**, and the references are to their most recent versions, with a Treasury power to opt out of specified updates (INTM414120).

Think of the statute as the rulebook and the OECD materials as the official commentary that the rulebook now tells the referee to read. The referee still applies the rulebook. But when a rule could bear two meanings, the referee must prefer the one that fits the commentary, and the commentary is updated in Paris.

Why would Parliament do this? Because transfer pricing and PE disputes are fought between tax authorities, under treaties, through mutual agreement procedures. A UK rule that drifted from the international reading would invite double taxation. The cost is a loss of control: Parliament no longer votes on each change of reading, so the Treasury's power to switch off an update is the safeguard. Chapter 23 owns the "authorised OECD approach" to PE attribution; chapter 27 owns transfer pricing.

The misconception: "the OECD Guidelines are just guidance"

The misconception runs like this. The OECD cannot legislate for the UK; its documents call themselves guidelines and commentaries; so they are just guidance, like HMRC's manuals, to be quoted when helpful and ignored when not.

People believe it for good reasons. The OECD is not a parliament. Its Model is a template that each pair of countries adapts. And for most of the corporation tax code it remains true that nothing outside the statute and the cases binds you.

For transfer pricing it has not been true for a long time, because s 164 has long required consistency with the designated Guidelines. What FA 2026 adds is **reach and currency**: the PE rules now carry the same kind of instruction, and the transfer pricing reference follows the texts as they change. Ignoring them is not choosing a different view of the guidance; it is misreading the statute. An argument about the arm's length price of an intra-group loan, or about how much capital a branch should be treated as having, must now be built from two things together: the words of the Act and the OECD text the Act points to.

Two limits keep the picture honest. First, the OECD texts guide interpretation. They do not override clear statutory words, and the UK's reservations and any Treasury opt-out still apply. Second, the texts are long and they change. **This book could not open the OECD's own website** (oecd.org refused access during the research), so where it describes the Guidelines it relies on the statute and on HMRC's descriptions, and says so.

There is also an exam wrinkle. The examination screen gives you the OECD Model as a PDF of the **2017 articles**, while FA 2026 points to the version approved in 2025. In the exam, use what you are given, and use a supplied treaty extract in preference to either.

Going further: building an argument from statute plus OECD text. A defensible technical position on a TP or PE point now has four layers, in this order: (1) the UK statute in force for the chargeable period (check commencement); (2) the OECD text the statute names, in the version it names, and any later version if the reference is dynamic, checking UK reservations and any Treasury opt-out regulations; (3) HMRC's manual, as the reading the inspector will put forward (INTM414000 onwards for the reformed TP rules); (4) case law, remembering that pre-2026 judgments were decided on older wording. A memo that skips layer 2 on a TP point is now incomplete as a matter of statutory construction, not just of persuasion.

Exam lens: sources and the OECD materials. - **Grade:** DTTs, "application of OECD model and supplied extracts" **1 (core)**; transfer pricing and APAs **1 (core)** (2026 grid; check the 2027 grid when published). Note 2: knowledge of the Law, PR&E and Principles of Accounting manuals' terms is expected. - **Past appearances:** N23 Q1 (20 marks: residence with a **supplied treaty tie-breaker extract**; examiners: some "ignored the supplied treaty article and used the OECD

Model text instead”); N23 Q6 (20 marks: TP methods from the OECD Guidelines; theory good, functional analysis weak). - **Style:** source-awareness is never asked for as such; it earns marks indirectly, by citing the right statute and applying the right version. - **Traps:** using the OECD Model PDF where an extract is supplied; quoting HMRC guidance as if it were law; applying FA 2026 rules to a period that began before 1 January 2026.

Treaties, and the judges who read them

A double tax treaty is an agreement between two states. In the main it allocates taxing rights and limits what each state may take; it is not a free-standing source of tax charges. Its words were negotiated by officials, usually following the OECD Model, and they are read differently from a UK statute. A treaty is meant to mean the same thing in both countries, so its words take an international meaning rather than a purely domestic one.

The leading modern authority is *Fowler v HMRC* [2020] UKSC 22, decided by the Supreme Court on **20 May 2020**. Mr Fowler was a diver resident in South Africa who worked in the UK sector of the continental shelf in 2011/12 and 2012/13. UK domestic law (ITTOIA 2005 s 15) deems an employed seabed diver to be carrying on a trade. Mr Fowler argued that the deeming carried through into the UK–South Africa treaty, so that his income fell under the business profits article, which South Africa alone could tax. The Supreme Court unanimously disagreed. Lord Briggs, giving the judgment, held that the domestic deeming rule did not change which treaty article applied; treaty words take their ordinary international meaning, and the income fell under the employment article, so the UK could tax it.

On the OECD Commentaries, Lord Briggs said they carry persuasive force “as the cogency of their reasoning deserves”, even where a Commentary post-dates the treaty. That describes the general position for treaties. FA 2026 goes further for transfer pricing and PEs, because there the statute itself directs you to the OECD texts.

Treaties also change in bulk now. The **Multilateral Instrument** (MLI), in force for the UK from **1 October 2018**, modifies many treaties at once, and HMRC publishes synthesised texts showing how each covered treaty reads after the modification. The UK–Ireland synthesised text is an example: it applies, among others, MLI Art 7, the **principal purpose test**, which denies a treaty benefit where “it is reasonable to conclude ... that obtaining that benefit was one of the principal purposes of any arrangement or transaction”, unless granting it would accord with the object and purpose of the treaty. So a tax function reading a treaty asks three questions: which text applies after the MLI; what its words ordinarily mean in context; and whether a purpose test could take the benefit away. Chapter 24 owns treaties in depth.

The accounts as a source of tax numbers

The largest source of numbers in a corporation tax computation was not written by Parliament at all. It was written by accounting standard setters.

CTA 2009 s 46(1): the profits of a trade “must be calculated in accordance with generally accepted accounting practice, subject to any adjustment required or authorised by law”. The loan relationship and derivative rules go further: the amounts brought into account are, in general, those recognised in determining profit or loss under GAAP (CTA 2009 ss 307–308; ss 595, 597). CTA 2010 s 1127 defines GAAP to cover both UK GAAP and international accounting standards. In practice that means the

Financial Reporting Council’s standards, chiefly FRS 102 and the reduced disclosure framework in FRS 101, or full IFRS for listed group accounts (HMRC BIM31020; CFM20030).

Why build tax on accounts? Because they exist already, they are audited, and they follow a consistent logic from year to year. A second, tax-only set of books for every company in a group would be costly and easy to manipulate. So the law starts from the accounts and then adjusts them where policy demands: capital allowances replace depreciation; entertaining is disallowed.

The courts have generally held to this line. In *HMRC v NCL Investments Ltd* [2022] UKSC 9, HMRC argued that IFRS 2 debits for employee share options should be disallowed; it lost on every ground, and the debits followed the accounts. The line has limits. In *GDF Suez Teesside Ltd v HMRC* [2018] EWCA Civ 2075, the old FA 1996 requirement that amounts “fairly represent” the profits required a credit that GAAP-compliant accounts did not show.

The consequence is easy to miss: when a standard changes, taxable profit can change without any Finance Act. ICAEW commentary (23 March 2026) notes that the FRS 102 periodic review, effective for periods beginning on or after 1 January 2026, brings most leases onto the balance sheet and that the net transition amount generally falls into the first period on the new basis, which can push companies into instalments for the first time [secondary]. A tax function therefore reads accounting standard updates as closely as Finance Bills. Chapter 5 owns the detail (s 46, change of basis under ss 180–187, leases); chapter 6 owns the tax charge in the accounts.

Exam lens: accounts as a source. Grade: “Impact of accounting standards on taxable profits” **1 (core)**; the Prospectus expects “an understanding of current accounting issues relevant to tax such as deferred tax, profit recognition and share schemes”. **Past appearances:** tax-accounting tails in M24 Q2(b), M25 Q2(b), N25 Q1(b) and a 10-mark deferred tax question in M26 Q6. **Trap:** forgetting that a non-tax accounting change (a framework move or a revised standard) can create a taxable adjustment.

HMRC’s view, and asking first

HMRC publishes thousands of pages of manuals. For a larger company the main ones are:

Manual	Code	Typical use in this book
International Manual	INTM	Treaties (INTM153000 series), DTR (INTM164000 series), CFCs, branch exemption, transfer pricing (reformed guidance from INTM414000)
Corporate Finance Manual	CFM	Loan relationships, derivatives, CIR background (CFM95110–95130)
Company Taxation Manual	CTM	Returns, instalments (CTM92520), losses, change of ownership
Corporate Intangibles Research and Development Manual	CIRD	Intangibles, R&D, CIR guidance
Capital Gains Manual	CG	Company gains, groups, SSE

Manual	Code	Typical use in this book
Business Income Manual	BIM	Trading profits, GAAP (BIM31020, BIM31095)
Business Leasing Manual	BLM	Leasing
Senior Accounting Officers Guidance	SAOG	SAO duties and penalties

Around them sit policy papers, consultation outcomes and tax information and impact notes (TIINs), which explain why a measure was introduced.

Their status is simple to state. **A manual is HMRC's view of the law. It is not law.** A tribunal is not bound by it, and where it conflicts with the statute, the statute wins. Manuals also date: some INTM transfer pricing pages still carry a note that the rules were reformed by Finance Bill 2025-26 and point to draft guidance at INTM414000 for periods from 1 January 2026.

Yet for a larger company HMRC's view has a sharper edge. Under the uncertain tax treatment rules (FA 2022 Sch 17), a qualifying company whose treatment relies on an interpretation **not in accordance with HMRC's known position** (published guidance or dealings with HMRC), with a tax advantage over **£5m**, must notify HMRC (paras 10, 11, 18). Chapter 4 tells that story. So the manuals are not law, but departing from them can create a legal duty to say so.

The practical lesson: read the manual as the argument your inspector will make, test it against the statute and the cases, and record why you agree or disagree.

Asking first. Sometimes the best source of law is an answer from HMRC in advance. There are three main routes, plus APAs for transfer pricing.

Route	Legal basis	When	What you get
Statutory clearance	In the Act concerned: e.g. demergers CTA 2010 s 1091; share exchanges and reconstructions TCGA 1992 s 138; transactions in securities CTA 2010 Part 15 (30 days for HMRC to respond; 30 more after any request for information)	Transactions where the law turns on purpose	Binding on HMRC on the facts disclosed
Non-Statutory Clearance Service	HMRC guidance	Genuine uncertainty about how the law applies to a specific transaction	Written confirmation of HMRC's view; HMRC will not act as a “confirmation service”, advise on tax planning or clear arrangements designed to avoid tax; a statutory route takes precedence
Advance tax certainty for major projects	FA 2026 ss 266–274	A qualifying investment project expected to involve at least £1bn of UK expenditure over its life	Clearance binding on HMRC for up to 5 years , subject to unchanged facts and law; service opened 1 July 2026 ; published scope excludes transfer pricing, valuations, purpose tests and the

Route	Legal basis	When	What you get
			GAAR [launch date and exclusions: secondary sources]
Advance pricing agreement	TIOPA 2010 Part 5 (ss 218 onwards)	Transfer pricing, PE attribution	The Tax Acts apply in accordance with the agreement for covered periods (chapter 27)

Going further: when to ask. A clearance costs time, discloses your thinking and fixes the facts you must then follow. Not asking leaves the risk on the balance sheet and, for a large business, may trigger UTT if the position departs from HMRC's known view. Good practice in a tax function: keep a clearance log; build the statutory clearance timetable into the deal timetable (a demerger or share exchange cannot sensibly complete before clearance); use the non-statutory route only where you can show genuine uncertainty; and use an APA where a recurring transfer pricing question carries real money (chapter 27, Tarnmoor's bilateral APA in GY6).

Case law, and the echo of Europe

The tribunal ladder is as *The Living Law*, chapter 2, described it: First-tier Tribunal (Tax Chamber), Upper Tribunal (Tax and Chancery Chamber), Court of Appeal, Supreme Court. A First-tier decision binds no later tribunal, though it can persuade; the Upper Tribunal and the courts above it make precedent.

Since **April 2022** the National Archives has published judgments free of charge through **Find Case Law** (caselaw.nationalarchives.gov.uk), searchable by neutral citation, party and judge. Most of the corporate cases in this book, from *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 in the prologue to the unallowable purpose cases in chapter 12, can be read there in full, and so can First-tier decisions such as *DSG Retail Ltd v HMRC* [2009] UKFTT 31 (TC). Read the judgment, not a summary. Two habits help: note the court (a Court of Appeal judgment outranks a First-tier decision however recent), and check what happened next (a pending appeal, such as *Syngenta Holdings Ltd v HMRC*, where the Upper Tribunal granted permission in [2025] UKUT 338 (TCC), can change the answer).

The echo of Europe. While the UK was a member state, the Court of Justice tested UK tax rules against freedom of establishment. In *Cadbury Schweppes plc v IRC* (Case C-196/04), judgment 12 September 2006, it held that CFC-type rules could be justified only against “wholly artificial arrangements”. *Marks and Spencer*, the cross-border group relief litigation that *The Living Law*, chapter 24, described, shaped the rules on foreign losses. The present CFC regime (TIOPA 2010 Part 9A, from 2012) was built partly in answer to that case law, and its finance company exemption then spent years in a State aid dispute: Commission decision 2 April 2019; annulled by the Court of Justice on 19 September 2024 [dates from secondary sources]; SI 2024/1307 and FA 2026 s 51 dealt with the repayments.

Brexit has not erased that history. Since the end of 2023 the principle of the supremacy of EU law is not part of UK domestic law, and what was “retained EU law” is now “assimilated law” (Retained EU Law (Revocation and Reform) Act 2023). But the rules shaped by those judgments remain on the statute book, and the judgments still explain why they look as they do. Chapters 22, 25 and 26 return to them.

Reading the law on the right day

A section of TIOPA 2010 does not have one meaning. It has a meaning on a date, and the online text you read may not be the text that applies to your client’s period.

The free official source is **legislation.gov.uk**. Each page carries a “**Changes to legislation**” box stating the date up to which the text is up to date with changes known to be in force, and listing effects the editorial team has not yet applied (“outstanding” or “changes not yet applied”). When that box lists outstanding effects, the text on screen may be out of date. The site also keeps **point-in-time** versions: you can read CTA 2010 s 1141 as it stood on 31 December 2025 (old dependent agent test: an agent who “has and habitually exercises there authority to do business on behalf of the company”) beside the current version (a person who “habitually concludes contracts, or habitually plays the principal role leading to the conclusion of contracts...”). Pending effects are not shown on point-in-time views.

The site also holds each Act **as enacted** (add /enacted to the URL, e.g. FA 2026 is ukpga/2026/11). The revised text shows the law as amended; the enacted text shows what the amending Act did and from when. Commencement rules often sit at the end of a Schedule: for the UK-to-UK exemption, FA 2026 Sch 6 para 32(1).

Commencement in practice (real-calendar illustration, not the Tarnmoor story). Most of FA 2026’s international changes (PE definition and attribution, transfer pricing, UTPP) apply to chargeable periods **beginning on or after 1 January 2026**:

Company’s accounting period	FA 2026 PE / TP / UTPP rules?
1 January 2026 – 31 December 2026	Yes, for the whole period
1 April 2025 – 31 March 2026	No: old rules (and DPT) for the whole period; new rules from the AP beginning 1 April 2026
1 October 2025 – 30 September 2026	No: old rules for the whole period, although most of it falls after 1 January 2026

So the same section, read on the same day, can give different answers to three companies. Ask three questions every time: which version applies to this period; has the site applied every change; and what does the Act as enacted say about commencement?

Going further: coming next. The draft Finance Bill 2026-27 (published 13 July 2026) includes reform of the foreign PE exemption, including a further amendment to CTA 2010 s 1140A for accounting periods beginning on or after 1 January 2027 in the draft legislation. This is **proposed, not law**, and not examinable on FA 2026.

Tom Hesketh’s question

Our invented group, Tarnmoor, the listed UK engineering group introduced in chapter 1. Every company and person in it is invented.

In the first weeks of GY1, Tarnmoor’s group head of tax, Tom Hesketh, receives a question from the CFO, Nadia Kerr.

The group’s treasury company, Tarnmoor Finance Ltd (TFL), has lent £430m to four UK group companies, all at 6%. It has also lent £120m to Tarnmoor Vallaria SA (TVS) in the invented country of Vallaria. And Tarnmoor plc has lent £20m, interest free, to Tarnmoor Ireland Ltd (TIL), which is incorporated in Ireland but, on our invented facts, centrally managed and controlled from Leeds and so UK resident.

Tarnmoor’s consolidated revenue (GY1 £1,180m, about €1,357m at the story’s assumed €1.15 per £) is far above €750m, so its UK companies already keep a Master File and Local File under SI 2023/818, which already leaves UK-to-UK transactions out of the Local File (reg 6). Nadia’s question goes further: does the pricing of the UK loans still have to be tested at all? Tom does not answer from memory, because the law on this point was rewritten by FA 2026. He sets his team a research memo, and it follows the order of this chapter.

Why the question arises. The transfer pricing rules (then ICTA 1988 Sch 28AA) originally applied only to transactions between a UK and an overseas person. FA 2004 (ss 30–37) extended transfer pricing and thin capitalisation to UK-to-UK transactions for chargeable periods beginning on or after **1 April 2004** (INTM413250). The change followed the Court of Justice’s judgment in *Lankhorst-Hohorst* (2002), which held that national thin capitalisation rules could in principle breach freedom of establishment; the usual explanation is that the UK chose to apply its rules at home too, **an explanation, not something the statute says**. Two decades later the Corporate Tax Roadmap (October 2024, para 2.48) said that “the potential removal of UK-to-UK transfer pricing ... would reduce the UK compliance burden”. FA 2026 did it.

Testing the exemption

Worked example 2.1: the research memo on TIOPA 2010 s 164A (in our invented case, GY1)

Step 1: statute. TIOPA 2010 s 164A, inserted by FA 2026 Sch 6 para 16: s 147(3) and (5) do not apply to “qualifying UK to UK provision”. HMRC guidance: INTM414320 (the exemption) and INTM414330 (transfer pricing notices).

Step 2: commencement. Chargeable periods commencing on or after 1 January 2026 (FA 2026 Sch 6 para 32(1)). Every Tarnmoor story period runs on FA 2026 law, so the exemption is available from GY1.

Step 3: conditions (s 164A(2) and (5); INTM414320).

Condition	Tarnmoor’s four UK loans	Point to check
Both affected persons UK-resident companies, within the charge to CT on the relevant profits	TFL, TEL, TPLC, TES, TWS: all UK-incorporated and UK resident	—
Same rate of CT	All profitable UK members pay 25% (with a marginal relief divisor of 9 in GY1 the upper limit is about £27,778 per company)	TPLC has excess management expenses and no taxable profits most years: read the exact wording of the rate condition
Same reference currency	Sterling throughout	—
No one-sided s 589 derivative; no s 18A exemption adjustments; not patent box provision	None	—
Neither party an excluded company (e.g. banking company, ring fence, tonnage	TFL is a group treasury company taking no deposits	Read the statutory definition of “banking company” rather than relying on the label

Condition	Tarnmoor's four UK loans	Point to check
tax, BLAGAB life, OEICs, AUTs, investment trusts, UK REITs, securitisation companies, QAHCs, electricity generator levy and RPDT cases)		

Step 4: off-switches. An irrevocable election that the exemption is not to apply (per provision or per period); and an HMRC **transfer pricing notice** where expedient to prevent a loss of tax judged across both parties, normally only after a notice of enquiry, appealable on the ground that there is no such loss.

Step 5: purpose (INTM414320). Where both parties are taxed in the UK at the same rate, compensating adjustments under s 174 usually make UK-to-UK pricing tax neutral; the exemption removes compliance cost while HMRC keeps a power to act where a net loss of tax could arise.

The loans (£m, a year)

Lender → borrower	Principal	Rate	Interest	Within s 164A?
TFL → TEL	200.0	6%	12.0	Yes
TFL → TPLC	120.0	6%	7.2	Yes (subject to the rate-condition check)
TFL → TES	70.0	6%	4.2	Yes
TFL → TWS	40.0	6%	2.4	Yes
UK-to-UK total	430.0		25.8	
TFL → TVS (Vallaria)	120.0	6%	7.2	No: cross-border; full Part 4 (chapter 27)
TPLC → TIL	20.0	nil	nil	Yes while TIL is UK resident; full Part 4 if it ceases to be

TFL's lending: £550m in total (matching its £550m 5.5% notes, interest £30.25m), of which £430m (78%) is UK-to-UK.

Illustration: why the old rule protected nothing (labelled hypothetical, not a story fact). Suppose an arm's length rate for TEL's loan had been 5.5% rather than 6%.

	£
Excess interest: £200m × (6.0% – 5.5%)	1,000,000
TEL: deduction disallowed under s 147(3); extra CT at 25%	250,000
TFL: compensating adjustment claim (s 174), interest income reduced; CT saved at 25%	(250,000)
Net effect on the group's UK tax	nil

Conclusion (in our invented case). No TP adjustment on the four UK loans; the Vallarian loan stays fully within Part 4; the TIL loan qualifies only while TIL remains UK resident. The exemption switches off one rule, not the code:

unallowable purpose (CTA 2009 s 441, chapter 12) and the corporate interest restriction (chapter 28) still apply to every one of these loans. The memo feeds chapters 12 and 27.

Going further: the tax function's tasks. (1) Record the s 164A analysis for each UK-to-UK provision and re-test it each period (a change of residence, a company becoming a bank or a QAHC, or a patent box election can take a provision out). (2) Decide whether any election out is wanted: advisers have noted that groups may sometimes prefer arm's length pricing where other rules depend on it [secondary, RSM]. (3) Keep the cross-border pricing (TVS) and its Master File and Local File in order. (4) Remember that the CIR and Pillar Two computations, not transfer pricing, now carry most of the weight on intra-UK financing.

Exam lens: s 164A. Grade: within transfer pricing **1 (core)**. **Past appearances:** none yet (new in FA 2026; first examinable in 2027 sittings on FA 2026). **Likely angle:** a UK group with UK and overseas subsidiaries where candidates must say which intra-group loans need TP (cross-border, and UK-to-UK only if a condition fails) before computing a CIR. **Traps:** applying s 164A to a cross-border loan or to a CFC (s 371SD(5A)); forgetting that the SME exemption (s 166) is a different rule; assuming the exemption also switches off s 441 or CIR.

Research in the exam room

On the day of the exam, the sources shrink. The paper is closed book, sat on **RM Assessment Master** (replacing Exam4 from the October 2026 sitting). Behind the “open book” icon you will find: the **tax tables** (also on your desk in hard copy); the **OECD Model Convention** as a PDF of the 2017 articles, available only on screen; and links to **Croner-i** or **Tolley** student legislation, which you must buy in advance (work subscriptions will not log in).

You cannot make notes in either legislation product. You may highlight, and you may tag: a tag may carry a section number or a topic name (the CIOT's example: “Corporate rescue exception = CTA 2009 (s 361D)”), but not a pro forma or formula, and invigilators may spot-check.

Navigation map to practise now

Regime	Where	Sections worth tagging
Transfer pricing	TIOPA 2010 Part 4	s 147 (basic rule), s 148 (participation), s 155 (potential advantage), s 164 (OECD interpretation), s 164A (UK-to-UK), s 166 (SME), s 174 (compensating adjustments)
CFCs	TIOPA 2010 Part 9A	s 371BC (charge), Ch 3 (gateway), Chs 10–14 (exemptions)
CIR	TIOPA 2010 Part 10; Sch 7A	Part 10 contents page; s 392 (interest capacity); Sch 7A (reporting company)
Hybrids	TIOPA 2010 Part 6A	contents page

Regime	Where	Sections worth tagging
DTR	TIOPA 2010 Part 2	s 2, s 18, s 42, s 52, s 58
PE	CTA 2010 ss 1140A–1144; CTA 2009 ss 19–21	s 1141 (definition), s 1142 (independent agents), s 1143 (preparatory or auxiliary)

Practise with the product you will use on the day: each publisher lays out the Acts and its search differently.

The examiners have also told candidates how to use treaty material. After N23 they reported that some candidates ignored the supplied treaty article and used the OECD Model instead. When a question supplies an extract, the extract is the treaty for that question. Use the Model only when nothing else is given, and quote the article number so the marker can follow you.

The exam does not test your ability to find an obscure manual page, and it rewards statute over guidance. It does test whether you know which rule applies to which period, so state the law year you are applying. For a 2027 sitting that will almost certainly be FA 2026 (FY2026), and the 2027 tax tables, when the CIOT publishes them (not yet published at 9 October 2026), will show it.

Exam lens: research under exam conditions. - **Resources:** tax tables (paper and PDF), OECD Model (2017 articles, PDF only), Croner-i or Tolley online legislation; nothing else; no watches; two sheets of note paper (not marked). - **The spreadsheet rule:** “Calculations left in the spreadsheet and not copied to the answer box will not be marked” (Candidate Instructions, October 2026); examiners cannot see formulae. - **Rubric:** “All workings should be shown and made to the nearest month and pound unless the question specifies otherwise.” - **Style:** no letter, report or email format in LCG AT; technical prose and computations; 10, 15 or 20-mark questions; 0.5–1 mark per point. - **Traps:** citing a manual as authority; using the Model over a supplied extract; citing pre-FA 2026 PE sections (old ss 22–32 CTA 2009 are omitted for periods from 1 January 2026). Chapter 32 owns exam craft in full.

What to take away

Corporate tax law lives in several places at once, and a tax function needs to know which kind of source it is holding.

- **Statute first.** CTA 2009 computes profits; CTA 2010 gives reliefs and structure; TIOPA 2010 holds DTR, TP, CFCs, hybrids and CIR; TCGA 1992, CAA 2001, TMA 1970 and FA 1998 Sch 18 complete the core, with free-standing schedules for SAO, tax strategy and UTT. SIs carry equal force; treaties take effect by Order in Council under TIOPA 2010 s 2.
- **OECD materials in statute (FY2026).** TIOPA 2010 s 164 (TP), CTA 2009 s 20(1A)–(1E) (PE attribution) and CTA 2010 s 1140A (PE definition) refer to the Model and Commentary approved on 18 November 2025 and the TPG 2022; for TP and attribution, as amended from time to time; chargeable periods beginning on or after 1 January 2026. There the Guidelines are not “just guidance”. Elsewhere, *Fowler*: Commentaries persuade “as the cogency of their reasoning deserves”.
- **Accounts** supply most of the numbers (CTA 2009 s 46; ss 307–308), so a change of accounting standard can change taxable profit without a Finance Act.
- **HMRC’s manuals** are its view, not law; but departing from its known position can trigger a UTT notification above £5m.

- **Certainty in advance:** statutory clearance where one exists; the non-statutory service only for genuine uncertainty; the advance tax certainty service for projects of at least £1bn (binding up to 5 years); an APA for TP.
- **Read the law on the right day:** “Changes to legislation” box; point-in-time versions; commencement words applied precisely.
- **In our invented case,** Tarnmoor’s four UK loans (£430m at 6%) fall within the UK-to-UK exemption in s 164A; the Vallarian loan stays inside transfer pricing.

The next chapter turns from where the law lives to how a large group lives with it: returns, payments and enquiries.

Key rules and figures

Item	Rule or figure	Authority	Status
FA 2026 Royal Assent	18 March 2026	legislation.gov.uk	V
TIOPA 2010 Royal Assent	18 March 2010 (last Rewrite Act)	TIOPA 2010 explanatory notes	V
Tax Law Rewrite Project	July 1996 blueprint; seven Acts 2001–2010	Law Commission list; explanatory notes	V (secondary summary)
Treaties into UK law	Order in Council; draft approved by the House of Commons	TIOPA 2010 ss 2, 5(2), 6	V
OECD Model referred to by UK law	Approved by the OECD Council on 18 November 2025	TIOPA 2010 s 164; CTA 2009 s 20(1B); CTA 2010 s 1140A	V
Transfer Pricing Guidelines	2022 (published 20 January 2022), as amended or replaced from time to time; Treasury opt-out	TIOPA 2010 s 164 (FA 2026 Sch 6 para 18); INTM414120	V
Previous designations	2017 TPG: SI 2018/266 (APs from 1 April 2018); 2022 TPG: SI 2022/1147 (CT APs from 1 January 2023)	—	S (search summaries)
PE attribution sources	2025 Model Art 7(2) and Commentary; 2010 AOA Report; TPG 2022; March 2018 Additional Guidance	CTA 2009 s 20(1A)–(1E)	V
FA 2026 international commencement	Chargeable periods beginning on or after 1 January 2026	FA 2026 Schs 5–7	V
UK-to-UK TP exemption	Chargeable periods commencing on or after 1 January 2026	TIOPA 2010 s 164A; FA 2026 Sch 6 para 32(1)	V
UK-to-UK TP introduced	Chargeable periods beginning on or after 1 April 2004	FA 2004 ss 30–37	V (legislation.gov.uk and INTM via search)

Item	Rule or figure	Authority	Status
<i>Fowler v HMRC</i>	[2020] UKSC 22, 20 May 2020; Lord Briggs; Commentaries persuasive “as the cogency of their reasoning deserves”	—	V
MLI	In force for the UK 1 October 2018	—	V
GAAP basis	“subject to any adjustment required or authorised by law”	CTA 2009 s 46	V
UTT threshold	Tax advantage over £5m; HMRC’s known position trigger	FA 2022 Sch 17	V
Advance tax certainty	≥ £1bn UK expenditure; binding up to 5 years; launched 1 July 2026	FA 2026 ss 266–274	V (statute) / S (launch, exclusions)
Find Case Law	National Archives; launched April 2022	—	V (secondary reports)
Exam resources	RM Assessment Master; OECD Model 2017 articles PDF; Croner-i or Tolley; tags with section numbers only	CIOT Candidate Instructions (Oct 2026); FAQs	V
Story: TFL’s UK-to-UK loans	£430m at 6% = £25.8m a year	invented (story)	I

Statutory and case references

Statute and regulations: CTA 2009 ss 5, 14, 18A–18S, 19, 20(1A)–(1E), 21, 46, 307, 308, 441, 595, 597; CTA 2010 ss 1091, 1124, 1127, 1140A, 1141–1144, Part 15; TIOPA 2010 ss 2, 5, 6, Part 2, Part 4 (ss 147, 148, 155, 164, 164A, 166, 174), Part 4A (ss 217A–217T), Part 5 (ss 218–226), Part 6A, Part 9A (s 371SD(5A)), Part 10, Sch 7A; TCGA 1992 s 138; TMA 1970; FA 1998 Sch 18; FA 2004 ss 30–37; FA 2009 Sch 46; FA 2016 Sch 19; FA 2022 Sch 17; F(No.2)A 2023 Parts 3–4; FA 2026 ss 47, 49, 51, 266–274, Sch 6 (paras 16, 18, 32), Sch 7 (paras 4, 11); SI 1998/3175; SI 2004/3256; SI 2004/3271; SI 2016/237 reg 3; SI 2018/266; SI 2022/1147; SI 2023/818 reg 6; SI 2024/1307; Retained EU Law (Revocation and Reform) Act 2023.

HMRC guidance: INTM153000 series; INTM413250; INTM414000; INTM414020; INTM414120; INTM414320; INTM414330; CFM95130; BIM31020; CFM20030; Non-statutory clearance service guidance; Advance tax certainty service guidance and policy paper.

Cases: *Fowler v HMRC* [2020] UKSC 22; *HMRC v NCL Investments Ltd* [2022] UKSC 9; *GDF Suez Teesside Ltd v HMRC* [2018] EWCA Civ 2075; *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330; *DSG Retail Ltd v HMRC* [2009] UKFTT 31 (TC); *Syngenta Holdings Ltd v HMRC* [2024] UKFTT 998 (TC), permission [2025] UKUT 338 (TCC); *Cadbury Schweppes plc v IRC* (C-196/04), 12 September 2006; *Lankhorst-Hohorst* (Court of Justice, 2002); *Marks and Spencer* (recap, *The Living Law* ch 24).

OECD (not opened; described via statute and HMRC): Model Tax Convention and Commentary (18 November 2025; 2017 articles as the exam PDF); Transfer Pricing Guidelines 2022; 2010 Report on the Attribution of Profits to Permanent Establishments; Multilateral Instrument (UK–Ireland synthesised text, GOV.UK).

Chapter three: Returns, payments and enquiries

Part One: The Larger Company

When should a company pay tax on profits it has not yet finished making? For most of the life of corporation tax the answer was simple. You made the profit, you closed the books, and months later you paid. Then the rules changed for accounting periods beginning on or after 1 April 2019. The very largest companies were told to pay inside the year itself. A company with a calendar year end now hands over the first quarter of its tax bill on 14 March, when nine months of the trading that will produce it have not yet happened.

That rule, and the machinery around it, is the subject of this chapter. Corporation tax for a larger company is not one event a year. It is a calendar. Instalments fall due every quarter. Returns fall due a year after the accounts close. HMRC's enquiry window stays open longer for a company in a large group than for a company on its own. Discovery can reach back 4, 6 or 20 years. And every one of those dates carries a price when it is missed, in interest or in penalties.

This is the third chapter of Part One. CT self-assessment, the charge to CT and accounting periods, disclosure and discovery, penalties and interest, and CTA 2010 Part 22 (which includes the Chapter 4 surrender of tax refunds) are all **core (grade 1)** on the 2026 LCG grid. *The Living Law* (TKS), chapter 5, built the compliance machine for a single invented company, Calder Valve Engineering Ltd, paying four equal instalments. Here we put Calder into a group, and the machine starts to behave differently. The law throughout is FY2026 (1 April 2026 to 31 March 2027).

Abbreviations used in this chapter. Sch 18 = FA 1998 Sch 18 (company returns); TMA = Taxes Management Act 1970; the QIP Regulations = Corporation Tax (Instalment Payments) Regulations 1998, SI 1998/3175; CTA 2009 / CTA 2010; QIP = quarterly instalment payment; AP = accounting period; POA = period of account; RDEC = research and development expenditure credit.

The accounting period, again.

Every date in this chapter hangs from one idea, the accounting period (CTA 2009 ss 9–12; recapped from TKS chapter 20). An AP begins when a company comes within the charge to CT, or when its previous AP ends. It ends on the first of these events:

- 12 months after it began;
- the company's accounting date, or the end of a period for which it makes up accounts;
- the company starting or ceasing to trade, or coming within or ceasing to be within the charge to CT;
- the company ceasing to be UK resident (chapter 22);
- the start of a winding up, or the company entering administration (CTA 2009 ss 10, 12; chapter 14).

What is missing from the list: a change of owner. When our invented group, Tarnmoor, buys Calder on 1 April GY1, Calder's AP simply begins as usual that day, because its old year ended on 31 March. When Tarnmoor buys Brackenwell Sensors Ltd on 1 July GY2, Brackenwell's AP runs straight on to 31 December GY2. The acquisition matters enormously for losses (chapter 14), group relief (chapter 15) and the associated company count (below). It does not reset the tax calendar.

The running case. Tarnmoor plc is an **invented**, widely held, London-listed engineering group. Every company, person and number in its story is invented for teaching. Its story years are Group Years (GY1, GY2, ...), never calendar years, and every computation applies FY2026 law. Short forms: TPLC (Tarnmoor plc), TEL (Tarnmoor Engineering Ltd), TES (Tarnmoor Estates Ltd), TFL (Tarnmoor Finance Ltd), CVE (Calder), BSL (Brackenwell).

Long and short periods. The 12-month ceiling creates the long period problem. A company may make up accounts for 15 months, for example on a change of year end or in its first period. Tax cannot follow: the first 12 months form one AP and the last 3 months a second. Two returns, two computations, two payment dates, from one set of accounts. A short POA (such as the 9 months Calder uses in GY3 to move its year end) is one AP, and every threshold in it is scaled by 9/12.

Notification. A company must notify HMRC that it has come within the charge to CT within **3 months** after the start of its first AP (FA 2004 s 55). A company chargeable for an AP that has not received a notice to deliver a return must notify chargeability within **12 months** after the AP ends (Sch 18 para 2). Failure to notify is penalised under FA 2008 Sch 41, geared to the potential lost revenue and the company’s behaviour. In a large group the risk lies with newcomers: the hive-down vehicle, the new holding company formed for a deal. The group tax function keeps an entity list and adds every new company the day it is incorporated.

When the return is due.

The return is built on the accounts, so its deadline is built on the accounts too. Sch 18 para 14 sets the **filing date** as the **last** of:

	Date	Applies
(a)	12 months after the end of the AP for which the return is made	always
(b)	12 months after the end of the relevant POA	POA of 18 months or less
(b)	30 months after the start of the relevant POA	POA longer than 18 months
(c)	3 months after the notice to deliver the return	always

The “relevant period of account” is the POA in which the AP’s last day falls (para 14(2)). Put simply, **the filing date follows the period of account**: the point that decided marks in N25 Q4 (administration of a new subsidiary).

Worked example 3.1: a 15-month first period (labelled illustration, not part of the story)

A new subsidiary starts trading on 1 October (Year A) and makes up its first accounts for 15 months to 31 December (Year B). Assume it is outside the QIP regime and in a large (not small) group.

	AP 1	AP 2
Period	1 Oct Year A – 30 Sep Year B (12 months)	1 Oct – 31 Dec Year B (3 months)
Normal payment date (9 months + 1 day after the AP end; TMA s 59D)	1 July Year C	1 October Year C

	AP 1	AP 2
Filing date (Sch 18 para 14: 12 months after the end of a POA of up to 18 months)	31 December Year C	31 December Year C
Enquiry window closes (large group: 12 months from the filing date, Sch 18 para 24)	31 December Year D	31 December Year D
Ordinary discovery limit (4 years after the AP end, para 46)	30 September Year F	31 December Year F

AP 1's return gets 15 months, not 12; its enquiry window runs 27 months from its own year end. Both returns must be delivered by the same day; the tax for AP 1 is due six months before that.

The trap: payment does not follow the period of account. For a company outside the instalment rules, the tax for each AP is due 9 months and 1 day after that AP ends (TMA s 59D). The law lets the paperwork wait for the accounts, but not the money: profit can be estimated, finished accounts cannot be rushed.

In a group, the return is where the group regimes are switched on. Group relief claims and surrenders, and many elections and claims, are made in or with the return of the company concerned. Each of Tarnmoor's UK companies files its own return with its own filing date; the tax function's real deadline is the earliest of them, because a surrender in one company's return must match a claim in another's (chapter 15).

Exam lens: accounting periods and filing dates - Grade: the charge to CT and accounting periods 1; CT self-assessment 1. - **Past appearances:** N25 Q4 (20 marks, 4/8/8; part (a) admin on incorporation: notification, APs, "the filing date is based on the period of account"); M25 Q6 (10 marks, 5/5; a 15-month POA shifting filing and enquiry dates, answered poorly). - **Traps:** moving the payment date with the filing date; forgetting that a long POA gives two APs with the same filing date; treating an acquisition as ending an AP. - **Layout:** a short table of APs with payment date, filing date, enquiry window close and discovery limits, each as a full date.

Paying before the bill is known.

History. Quarterly instalments arrived with CT self-assessment, for APs ending on or after **1 July 1999** (SI 1998/3175), and were phased in. HMRC's COTAX manual (COM95005) records that 60% of a large company's liability went through instalments for APs ending 1 July 1999 to 30 June 2000, 72% for the next year, 88% for the year after, and 100% for APs ending on or after **1 July 2002**. The effect was to bring large companies' tax forward, closer to the time the profits were earned. The **very large** company regime, inserted by SI 2017/1072, applies to APs beginning on or after **1 April 2019** (CTM92520).

Analogy. Paying the bill while the meal is still being eaten: a large company pays for two courses before the meal ends and two shortly after; a very large company pays the whole bill before it puts down its fork.

The rules (SI 1998/3175 reg 3, as substituted).

	Large company	Very large company
Test	Augmented profits > £1.5m	Augmented profits > £20m
Instalments (12-month AP)	14th day of months 7, 10, 13, 16 from the start of the AP	14th day of months 3, 6, 9, 12
Calendar-year AP	14 July, 14 October, 14 January, 14 April	14 March, 14 June, 14 September, 14 December
Amount of each instalment	$3/n \times \text{total liability}$ (n = months in the AP, maximum 12)	same
Thresholds	$\div (1 + \text{associated companies}); \times \text{months}/12$ for a short AP	same
Year of grace	Not large if profits $\leq$ £10m (also divided) and not large in the previous 12 months (reg 3(5))	None: very large in the first AP in which the threshold is exceeded (CTM92520, CTM92800)
De minimis	Not large if total liability $\leq$ £10,000 (pro rata for a short AP) (reg 3(4))	—

Augmented profits are TTP plus exempt distributions received, other than those from companies in the recipient's own group (TKS chapter 20 recap). Calder held no shareholdings, so its augmented profits equal its TTP.

The misconception: “a company always gets a year’s grace before instalments”. The grace is for **large** companies only. HMRC’s manual is explicit that the CTM92530 period of grace does not apply in deciding whether a company is very large. There is no warning year.

Counting the family.

The thresholds are divided by **one plus the number of associated companies** and scaled down for a short AP. Since 1 April 2023 the associated company test is control (CTA 2010 ss 18E–18J, as recapped from TKS chapter 20): companies are associated if one controls the other or both are under the control of the same person or persons. Dormant companies and passive holding companies are disregarded; non-UK companies count.

When do you count? Two different answers.

Purpose	When associates are counted	Authority
Small profits rate and marginal relief	Associated at any time in the AP (even for part of it)	CTA 2010 s 18E; CTM03580
QIP thresholds (£1.5m, £20m, £10m)	As at the day before the AP begins (or on its first day if the day before was not in an AP)	HMRC’s reading of SI 1998/3175 reg 3: CTM92530

So the same acquisition has two timings. Join a group and your marginal relief limits are divided at once, for the whole AP in which you join; your **instalment** thresholds are divided only from the next AP that begins after you joined. The logic is practical: a very large company’s first instalment falls in month 3, so it must know its regime at the start of the year. **Status:**

this is HMRC's manual; the regulation's current text was not opened for this chapter (see the notes). In an exam, cite reg 3 and HMRC's reading.

Worked example 3.2: Tarnmoor's thresholds (invented)

Company / AP	Counting date	Associates	Divisor	Large threshold (£)	Very large threshold (£)	£10m grace limit (£)
31 December companies, GY1	31 Dec before GY1 (TPLC, TEL, TES, TFL, TWS, TVS, TCM, TIL)	7	8	187,500	2,500,000	1,250,000
31 December companies, GY2	31 Dec GY1 (+ Calder)	8	9	166,667	2,222,222	1,111,111
31 December companies, GY3 and GY4	31 Dec GY2 / GY3 (+ Brackenwell)	9	10	150,000	2,000,000	1,000,000
Calder, AP 1 Apr GY1 – 31 Mar GY2	31 Mar GY1 (owned by the Oldroyd family, who own no other companies)	0	1	1,500,000	20,000,000	10,000,000
Calder, AP 1 Apr GY2 – 31 Mar GY3	31 Mar GY2 (Brackenwell joins 1 July GY2: too late)	8	9	166,667	2,222,222	1,111,111
Calder, 9-month AP 1 Apr – 31 Dec GY3	31 Mar GY3	9	10	112,500 ($\times 9/12$)	1,500,000 ($\times 9/12$)	750,000 ($\times 9/12$)

Tarnmoor Pumps Ltd (dormant) never counts. For **marginal relief** the divisors are (GY1 9, because Calder is associated for part of GY1; GY2 10; GY3 10): irrelevant in practice, since every trading company is far above £250,000. Every main trading company is far above every QIP threshold too, so conclusions do not change; but the divisor and the counting date earn the marks.

Calder joins the group.

The Living Law, chapter 5: in its year to 31 March 2027, Calder was a standalone company with TTP **£2,000,000**, no associated companies, CT **£500,000**, paid as a large company (large in the prior year, so no grace) in four instalments of **£125,000** on 14 October 2026, 14 January, 14 April and 14 July 2027.

Some years later, in our invented story, TPLC buys Calder from the Oldroyd family on **1 April GY1** for **£32m**. Calder keeps its 31 March year end for now. Graham Pike, Calder's finance director, asks Tom Hesketh, Tarnmoor's head of tax, whether Calder is now very large: eight associates, forecast profits £3.0m, and $£20m \div 9 = £2,222,222$.

Worked example 3.3: Calder's first two group APs (invented)

AP 1 April GY1 – 31 March GY2

	£
Taxable total profits (including taxable RDEC £400,000) = augmented profits	3,000,000
Divisor for QIPs (associates counted at 31 March GY1)	1
Large threshold £1,500,000: exceeded?	Yes
Very large threshold £20,000,000: exceeded?	No
Year of grace? (large in the previous 12 months)	No
CT at 25%	750,000
Less RDEC set off at step 1 (chapter 10), given effect in the return	(400,000)
Net CT for the AP	350,000

Instalments. HMRC's view (CIRD89870) is that the RDEC is not taken into account when computing QIPs; it is claimed in the return. So the instalments are $3/12 \times £750,000$:

Due date	Month of AP	£
14 October GY1	7	187,500
14 January GY2	10	187,500
14 April GY2	13	187,500
14 July GY2	16	187,500
Total		750,000

The £400,000 of credit is recovered once the return is filed and the claim made; CIRD89870 says the credit may then be used to discharge later QIPs. Calder files its return early, in summer GY2, so the credit goes towards its next AP's instalments.

AP 1 April GY2 – 31 March GY3. Associates counted at 31 March GY2: 8; divisor 9; very large threshold £2,222,222. Calder's forecast profits are comfortably above it (the AP's figures are fixed in later chapters), so Calder is **very large** (no grace): instalments on **14 June GY2, 14 September GY2, 14 December GY2 and 14 March GY3**.

Calder's instalment dates in calendar GY2: 14 January, 14 April, 14 July (AP to 31 March GY2) and 14 June, 14 September, 14 December (AP to 31 March GY3): **six instalments in twelve months**.

Going further: acquisitions and the instalment calendar - Diligence point: on any acquisition, establish the target's QIP status for its current AP (its own history, not the buyer's divisor) and the date its first very large instalment will fall once the group's associates count. - **Cash:** a company moving from large to very large pays six (or more) instalments in the transition year. Treasury needs the dates before the first is due. - **Merged R&D scheme:** the RDEC raises TTP (it is taxable) but does not reduce QIPs, so it can tip a company into instalments and increases the cash paid in the year. Filing early lets the credit discharge the next AP's QIPs.

Exam lens: instalments - Grade: CT self-assessment 1; penalties and interest 1. - **Past appearances:** M25 Q2 (15 marks, 10/5): very large company instalments with changing forecasts, done badly ("forecast changes were not trued up, and some candidates did not know the very large company rules"); N24 Q5 (20 marks): a US group buys a UK SME: filing and instalments now that the company is in a large group, thresholds divided, payment dates (4 marks); quarterly instalments also appear as the tail of a full computation in N25 Q1. - **Style:** compute the threshold (show the divisor and the counting date), state the regime, list every due date in full, then the amounts. - **Traps:** months counted from the start of the AP; very large has no grace; the £10m grace limit is divided too; the RDEC does not reduce QIPs; short APs scale the thresholds and change the number of instalments.

Truing up.

An instalment is judged afterwards. Once the final liability is settled, each instalment "should have been" 3/n of it, and interest runs on any shortfall from each due date until it is paid (or until the normal due date, after which ordinary late payment interest applies). The company's duty is to pay on its best estimate and to correct as the estimate moves: if the forecast rises, the next instalment catches up so that the cumulative total matches what should by then have been paid on the new forecast; if it falls, the company can claim back an overpayment (reg 6). The examiners' M25 Q2 comment is the warning: forecast changes were not trued up.

Worked example 3.4: truing up (labelled illustration, not part of the story)

A very large company with a calendar year forecasts a liability of £4.0m in March and June, £6.0m in September; the final liability is £6.4m. QIP debit interest 6.25%.

Due date	Forecast (£)	Cumulative due on forecast (£)	Paid (£)	Cumulative paid (£)	Should have been, on final £6.4m (£)	Shortfall (£)	Interest to next date, 3 months at 6.25% (£)
14 March	4,000,000	1,000,000	1,000,000	1,000,000	1,600,000	600,000	9,375.00
14 June	4,000,000	2,000,000	1,000,000	2,000,000	3,200,000	1,200,000	18,750.00
14 September	6,000,000	4,500,000	2,500,000	4,500,000	4,800,000	300,000	4,687.50
14 December	6,400,000	6,400,000	1,900,000	6,400,000	6,400,000	nil	nil
Total			6,400,000				32,812.50

Honest forecasting avoids penalties, not interest. (Interest simplified to three-month blocks; HMRC computes it daily.)

Penalty. Reg 13 allows a penalty where a company knowingly or recklessly pays too little by instalments (EM8330's description) (or makes a fraudulent or negligent repayment claim). The maximum is **twice the interest** on the shortfall (EM8330). HMRC's manual adds that a penalty arises only after the return has been filed and the normal due date has passed (COM95070). In the example above, had the March and June instalments been deliberately low, the maximum would be £65,625.

Short APs for very large companies (CTM92815). Where the AP ends on the last day of a month, the final instalment is due on the 14th of that last month; the first is due 2 months and 13 days after the AP starts; later ones at 3-month intervals; an instalment date that would fall on or after the final date drops out, the liability being spread over the remaining dates.

Worked example 3.5: Calder's 9-month AP, 1 April – 31 December GY3 (invented)

Associates at 31 March GY3	9 (divisor 10)
Very large threshold	$\text{£}20\text{m} \div 10 \times 9/12 = \textbf{£1,500,000}$
First instalment	1 April + 2 months 13 days = 14 June GY3
Second	14 September GY3
Third (would be 14 December = the final date)	14 December GY3 (final)
Amount of each	$3/9 = \textbf{one third}$ of the total liability

The June instalment rests on a trading forecast. On 15 June Calder announces the closure of its process valves division (restructuring provision £1.8m), and on 1 October it sells the business to Tarnmoor Vallaria SA (TVS, in the invented country of Vallaria) for £6.0m of intangible assets (a taxable realisation credit; chapter 11) and £1.4m of plant. Neither was in the June forecast; the December instalment carries the catch-up and interest runs on the earlier shortfalls. Calder's TTP for this AP is computed in later chapters; this chapter fixes only the dates and the threshold.

The tax function's lesson: a known transaction belongs in the forecast as soon as it is probable, not when it completes.

Paying as a family.

Each company is a separate taxpayer with its own instalments, and that separateness costs money: one company overpays and earns 3.50%, another underpays and is charged 6.25%. Two tools close the gap.

Group payment arrangements (TMA s 59F). HMRC may agree that one company pays CT on behalf of members of its group. The group is a company and its **51%** subsidiaries (and theirs). The nominated company must be UK resident; members must have the **same accounting date** and be up to date with filing and payments; and **the liability stays with each company** (GOV.UK, "Corporation Tax: group payment arrangements"). The arrangement changes who writes the cheque, not who owes the tax. HMRC's guidance describes a single payment on each due date by the nominated company, allocated among the members once their liabilities are known: one member's overpayment covers another's shortfall from the day it was paid.

In our invented case Tom Hesketh sets up a group payment arrangement from **GY3** for the 31 December companies, with **TFL** as nominated company. Calder cannot join while its year ends on 31 March: one reason for its 9-month AP in GY3. From **GY4** it has a calendar year and joins.

Surrender of tax refunds within a group (CTA 2010 Part 22 Ch 4, ss 963–966). A group company due a tax refund for an AP may surrender all or part of it to another member of the same group (s 963(1)). Conditions:

- the group is the **75% group relief group** (COM122020);
- both companies have the **same AP**, and are members of the group from the start of that AP until the notice;
- the companies give a **joint notice** to HMRC **before the refund is made**.

QIP Regulations **reg 9** extends the rule to instalment overpayments so that the recipient is treated as having paid the surrendered tax on the dates the surrendering company actually paid it: the debit/credit interest differential is neutralised (CTM92740). Payments between the companies for the surrender are dealt with by s 966.

Worked example 3.6: TES surrenders a refund to TEL, GY2 (invented)

Both companies are very large in GY2 (divisor 9; threshold £2,222,222) and pay on 14 March, 14 June, 14 September and 14 December GY2. No group payment arrangement exists yet.

	TES (£)	TEL (£)
Final CT for GY2	(forecast included the depot gain; sale slipped to 30 April GY3)	2,226,250
Overpaid / (underpaid) in total	569,375 (tax at 25% on the expected £2,277,500 gain)	(400,000)
Per instalment	142,343.75 over	100,000 short
Refund surrendered (joint notice before repayment)	(400,000)	+400,000
Repaid to TES	169,375	—

TEL paid four instalments of £456,562.50 (£1,826,250) on an early forecast; a stronger second half took its liability to £2,226,250. Because TES's overpayment on each date (£142,343.75) exceeds TEL's shortfall on that date (£100,000), reg 9 leaves TEL with no QIP shortfall at any date.

Interest saved (simplified): assume that without the surrender TEL's shortfalls and TES's overpayments would each have been settled on the normal due date, 1 October GY3; months to the nearest month from each instalment date: 19, 16, 13 and 10 (58 in total).

	£
TEL's QIP debit interest avoided: $£100,000 \times 6.25\% \times 58/12$	30,208
TES's credit interest forgone: $£100,000 \times 3.50\% \times 58/12$	(16,917)
Net saving to the group (before tax effects)	13,291

Rule of thumb: $£400,000 \times (6.25\% - 3.50\%) = \textbf{£11,000 a year}$.

Exam lens: group payment arrangements and refund surrenders - Grade: CT self-assessment 1; Part 22 CTA 2010 (excluding Chs 3 and 8 and ss 990–995) 1. - **Traps:** the GPA group is 51% with the same accounting date, the refund surrender group is the 75% group relief group with the same AP; the surrender notice must precede the refund; a GPA does not transfer liability.

The enquiry window.

HMRC may open an enquiry into a return only by giving notice within a window (Sch 18 para 24):

Return	Enquiry window
Delivered on or before the filing date, company not in a group, or in a small group	12 months after the day the return was delivered
Delivered on or before the filing date by a member of a group that is not a small group (Companies Act 2006 ss 383, 474)	12 months after the filing date
Delivered late, or amended	To the quarter day after the first anniversary of the day of delivery (or amendment)

Large groups file early; without the group rule, early filing would shorten HMRC's time to look. With it, filing early buys a large group nothing in finality. Each return has its own window; once notice is given in time, the enquiry itself can run on well beyond it.

M25 Q6 combined the rules: a company in a large group with a 15-month POA. Candidates applied the small-company limits and missed the long period. In worked example 3.1, both returns are due 31 December Year C and both windows close 31 December Year D: for AP 1, 27 months after its own year end.

The story. Calder's return for its 9-month AP to 31 December GY3 is due by **31 December GY4**. Calder is in a large group, so the window runs to **31 December GY5**, however early it files. On **1 June GY5** HMRC opens an enquiry into the price of the GY3 sale to TVS (chapter 27).

An enquiry ends with a **closure notice** stating HMRC's conclusions and making any amendments to the return; the company can appeal. The tax function's best defence is the file built when the return was prepared: computations, reasoning on uncertain points, the evidence behind transfer prices.

Discovery.

Once the window has closed, the return is normally final; the exception is a **discovery assessment** where HMRC discovers that tax has been lost (profits omitted, relief excessive). Sch 18 para 46 time limits run from the **end of the AP**:

Behaviour	Time limit
Ordinary	4 years

Behaviour	Time limit
Loss of tax brought about carelessly	6 years
Brought about deliberately; failure to notify chargeability; certain DOTAS failures (including failure to notify a scheme reference number)	20 years

For a delivered return the statute also protects the company: in broad terms, a discovery assessment needs careless or deliberate conduct, or a loss of tax that an officer could not reasonably have been expected to be aware of from the information made available before the window closed (Sch 18 discovery provisions, paras 41 onwards). Hence the practice of disclosing contentious positions in or with the return: full disclosure narrows the door through which discovery can come.

Misconception: “once the enquiry window closes, we are safe”. Safe from an enquiry, not from discovery. Discovery needs something new or something hidden; an enquiry needs no reason at all.

Worked example 3.7: Calder’s 9-month AP to 31 December GY3 (invented)

Limit	Last date for a discovery assessment
Ordinary (4 years)	31 December GY7
Careless (6 years)	31 December GY9
Deliberate (20 years)	31 December GY23

Records. A company must keep the records needed to deliver a correct return; failure can cost up to **£3,000** per AP (Sch 18 para 23). In a group, “records” also means TP documentation (chapter 27) and the reasoning behind each judgement; the UTT notification (chapter 4) shares the same logic of telling HMRC early.

Exam lens: enquiries and discovery - Grade: disclosure and discovery 1; CT self-assessment 1. - **Past appearances:** M25 Q6 (10 marks, 5/5: large group enquiry windows with a 15-month POA; discovery for careless behaviour; poor); M24 Q3 (15 marks; part (c) 3 marks on HMRC enquiry/discovery on a loss return). - **Traps:** small-group time limits applied to a large group; ignoring the long POA; counting discovery limits from the filing date rather than the AP end.

Late, wrong or silent.

Late filing: flat-rate penalties (Sch 18 para 17, as amended by FA 2026 s 265). For returns with a filing date on or after **1 April 2026**:

Failure	Within 3 months after the filing date	Otherwise
Late return	£200 (was £100)	£400 (was £200)
Third successive failure (liable to a fixed penalty for each of the two preceding periods)	£1,000 (was £500)	£2,000 (was £1,000)

The statute says £200 then £400 in total (GOV.UK's "another £200" means the same). FA 2026 s 265 also lets HMRC change the amounts by regulations.

Real-calendar illustration (labelled): year ended 31 March 2025 → filing date 31 March 2026 → old amounts; year ended 30 April 2025 → filing date 30 April 2026 → new amounts.

Late filing: tax-gearred penalties (Sch 18 para 18). If the return is not delivered within **18 months** after the end of the AP (or by the filing date if later): **10%** of the tax unpaid at that time; **20%** if delivered more than **2 years** after the AP end.

Story: Brackenwell's third return (invented). At completion on 1 July GY2, Brackenwell's return for its year to 31 December GY1 is still unfiled. It carries the ERIS payable credit claim of **£943,950** (chapter 10). Its two previous returns, from before the story, were both late, so the next late return would be a third successive failure: **£1,000**, or **£2,000** if more than 3 months late. Tom Hesketh's team files well before the filing date, **31 December GY2**. The amount is small; the signal to HMRC about a newly acquired company's controls is not.

Inaccuracy (FA 2007 Sch 24). Careless or deliberate inaccuracies in a return: maximum **30%** (careless), **70%** (deliberate), **100%** (deliberate and concealed) of the potential lost revenue, reduced for disclosure.

Failure to notify (FA 2008 Sch 41). Penalties for failing to notify chargeability, geared to the potential lost revenue and behaviour.

Interest (rates in force when this chapter was written; they move with Bank Rate).

	Rate	From
Late payment interest (Bank Rate + 4%)	7.75%	9 January 2026
Repayment interest (Bank Rate – 1%, minimum 0.5%)	2.75%	9 January 2026
QIP underpayments (Bank Rate + 2.5%)	6.25%	29 December 2025
QIP overpayments (Bank Rate – 0.25%)	3.50%	29 December 2025

The margins over Bank Rate for QIP underpayments and late payment rose on **6 April 2025** (from + 1% and + 2.5%); Bank Rate has been 3.75% since 18 December 2025.

Late payment penalty pending further appeal (FA 2026 s 264). FA 2009 Sch 56 item 18 is extended to amounts payable under TMA s 56(3)(b), tax due after a tribunal decision while a further appeal is pending, for amounts payable on or after **1 April 2026**. A group that loses at the tribunal and appeals further can no longer sit on the tax without that risk.

Exam lens: penalties and interest - Grade: penalties and interest on under/overpayments/failure to notify etc 1. - **Traps:** using the pre-FA 2026 amounts (an FA 2026 sitting will expect £200/£400 and £1,000/£2,000); describing the persistent penalty as an extra £1,000 on top; forgetting the tax-gearred 10%/20%; treating QIP interest as a penalty.

The rest of the calendar.

Returns and instalments are the spine of the calendar, but a large group's year is crowded with other dates, each owned by its own chapter:

Obligation	Chapter
R&D claim notification (first claim, or first for 3 years: within 6 months after the POA ends) and the additional information form	10
Interest restriction return and reporting company	28
Pillar Two registration, GloBE information return and top-up tax returns	30
Country-by-country report; TP master file and local file	27
SAO notification and certificate; tax strategy; uncertain tax treatment notification	4

Going further: three planning choices

- 1. The accounting date of an acquired company.** Leaving Calder on 31 March kept it out of the group payment arrangement and gave the tax function two calendars. The 9-month AP aligned it but created a forecasting problem. A long POA instead (up to 18 months) would have pushed the filing date out but not the payment dates.
- 2. Cash.** Joining a group moves a company from large to very large one AP later (on HMRC's counting date); treasury needs the six-instalment year in the forecast.
- 3. Interest management.** A group payment arrangement, refund surrenders made before the refund is paid, and forecasts updated before each instalment are worth real money in a group the size of Tarnmoor. None changes a pound of tax; all change what the tax costs.

A typical Tarnmoor year (invented): 31 December companies pay through the GPA on 14 March, June, September and December; Calder (until GY4) runs its own calendar; returns are due by 31 December after the year, with group relief claims and surrenders lined up across them; every new company enters the calendar on the day it arrives, with its own counting date for associates and its own history of late returns.

How the examiner tests it.

Administration is a regular 10–15 mark question or the tail of a computation (compliance and governance appeared in N23 Q5, M25 Q3, M25 Q6, M24 Q3(c), N24 Q5, N25 Q4(a), M26 Q1(a), N23 Q1(b)).

- **M25 Q2** (15 marks, 10/5): CT computation then very large instalments with changing forecasts: badly done (no truing up; very large rules unknown).
- **M25 Q6** (10 marks, 5/5): enquiry windows for a large-group company with a 15-month POA; discovery for careless behaviour: poor (small-group limits applied; long period missed).
- **N24 Q5** (20 marks): UK compliance after a US group buys a UK SME: filing and QIPs now that the company is in a large group (4 marks), alongside CbC, TP, CIR and stamp duty.
- **N25 Q4** (20 marks, 4/8/8): admin on incorporation of a new subsidiary: notification, APs, the filing date following the POA.

Style: technical prose and computation; no letter or report format; 0.5–1 mark per point, so state each date, threshold and conclusion separately; the rubric wants workings to the nearest month and pound, so give full dates. **Layout:** threshold working (limit ÷ divisor × months/12) → regime → table of due dates and amounts → truing up and interest. **Where the question says “administrative obligations”:** notification, filing, payment, enquiry, then penalties for each.

What to take away.

An AP lasts at most 12 months; a 15-month POA gives two APs and two returns; a change of ownership does not end an AP. The filing date follows the POA; payment (9 months and 1 day after each AP, outside QIPs) does not. Large (> £1.5m) pay in months 7, 10, 13, 16; very large (> £20m) in months 3, 6, 9, 12; both divided by 1 + associates and scaled for short APs; for QIPs, HMRC counts associates at the day before the AP begins. Large companies have a year of grace (≤ £10m, divided; not large before); very large have none; no QIPs if the liability is £10,000 or less. True up when forecasts change; interest 6.25%/3.50%; penalties only for knowing or reckless underpayment (up to twice the interest); the RDEC does not reduce QIPs. GPAs (51%, same accounting date) and refund surrenders (75%, same AP, joint notice before the refund) cut the interest cost. Enquiry window: 12 months from delivery, but from the filing date for a company in a group that is not small. Discovery: 4/6/20 years from the AP end. Late filing: £200/£400; £1,000/£2,000 for a third successive failure; 10%/20% tax-geared.

The calendar tells a group when to pay and when to file. The next chapter asks who answers for it: the senior accounting officer, the board that publishes a tax strategy, and the rules that make large groups tell HMRC what they are unsure about.

Key rules and figures

Rule	Figure / detail	Authority
Maximum AP	12 months; long POA split	CTA 2009 s 10
Notify coming within charge	3 months after the first AP begins	FA 2004 s 55
Notify chargeability	12 months after the AP end	Sch 18 para 2
Filing date	Latest of 12 months after AP end; 12 months after POA end (POA ≤ 18 months) or 30 months after POA start (POA > 18 months); 3 months after notice	Sch 18 para 14
Normal payment date	9 months and 1 day after the AP end	TMA s 59D
Large company	Augmented profits > £1.5m; months 7, 10, 13, 16	SI 1998/3175 reg 3
Very large company	> £20m; months 3, 6, 9, 12; APs beginning on or after 1 April 2019; no grace	SI 1998/3175 (SI 2017/1072); CTM92520, CTM92800
Divisor	1 + associated companies; × months/12; counted at the day before the AP begins (HMRC)	reg 3; CTM92530
Year of grace (large only)	Profits ≤ £10m (divided) and not large in the previous 12 months	reg 3(5)

Rule	Figure / detail	Authority
De minimis	Liability $\leq$ £10,000 (pro rata)	reg 3(4)
Instalment amount	$3/n \times$ total liability	QIP Regulations
RDEC and QIPs	Not taken into account; credit usable against later QIPs once claimed	CIRD89870
QIP penalty	Knowing/reckless underpayment: up to $2 \times$ interest	reg 13; EM8330
Interest	7.75% late / 2.75% repayment (9 Jan 2026); QIP 6.25% / 3.50% (29 Dec 2025)	HMRC rates
Group payment arrangement	51% group; same accounting date; UK nominated company; liability stays with each company	TMA s 59F
Refund surrender	75% group; same AP; joint notice before refund; reg 9 for QIPs	CTA 2010 ss 963–966; SI 1998/3175 reg 9
Enquiry window	12 months from delivery; from the filing date for a non-small group member; late/amended: quarter day after first anniversary	Sch 18 para 24
Discovery	4 / 6 / 20 years after the AP end	Sch 18 para 46
Records penalty	Up to £3,000 per AP	Sch 18 para 23
Late filing	£200 / £400; persistent £1,000 / £2,000 (filing dates on or after 1 April 2026)	Sch 18 para 17; FA 2026 s 265
Tax-geared	10% at 18 months after AP end; 20% after 2 years	Sch 18 para 18
Inaccuracy	30% / 70% / 100% of PLR	FA 2007 Sch 24
Late payment penalty on further appeal	Amounts payable on or after 1 April 2026	FA 2026 s 264

Statutory and case references

- Finance Act 1998 Sch 18 paras 2, 14, 17, 18, 23, 24, 41 onwards, 46.
- Taxes Management Act 1970 ss 56(3)(b), 59D, 59F.
- Corporation Tax (Instalment Payments) Regulations 1998, SI 1998/3175, regs 3 (as substituted, including by SI 2017/1072), 6, 9, 13; SI 1999/1929 (amendments); transitional percentages (COM95005).
- CTA 2009 ss 9–12. CTA 2010 ss 18E–18J; Part 22 Ch 4 (ss 963–966).
- FA 2004 s 55. FA 2007 Sch 24. FA 2008 Sch 41. FA 2009 Sch 56. FA 2026 ss 264, 265.
- Companies Act 2006 ss 383, 474 (small group).
- HMRC manuals: CTM92520, CTM92530, CTM92740, CTM92800, CTM92810, CTM92815, CTM93040, CTM03580; CIRD89870; EM8330; COM95005, COM95070, COM122020.
- GOV.UK: “Corporation Tax: group payment arrangements”; HMRC interest rates for late and early payments.
- Cases: none cited. This is a chapter of statute and regulations; the leading discovery cases are not taught here.

Chapter 4: Governance and the anti-avoidance architecture

In August 2025 HMRC charged a company with an offence no company in Britain had been charged with before. The company was an accountancy firm in Stockport. The charge was failing to prevent the criminal facilitation of tax evasion, under s 45 of the Criminal Finances Act 2017. According to the published reports (law firm commentaries), it was linked to an alleged fraud involving R&D tax credit repayments, and six individuals, including a former director, were charged with separate offences such as cheating the public revenue and money laundering. **These are allegations only.** Nothing has been proved, and the reports say the trial is listed for 27 September 2027, after your exam.

The offence had been in force since 30 September 2017. For almost eight years it sat unused, and commentators called it a paper tiger. The striking thing about it is this: a company can commit the offence without any director knowing anything, without the company gaining a penny, and without the company itself evading any tax. Its crime is to have failed to prevent someone acting for it from helping someone else to evade.

This chapter asks a question that sounds managerial but is pure law: **who, inside a large group, answers to HMRC for the tax, and what does the law make them do?** It closes Part One. On the LCG paper the senior accounting officer (SAO) rules, tax strategy publication and the corporate criminal offence (CCO) are **core (grade 1)**; DOTAS, follower notices (FNs), accelerated payment notices (APNs), the GAAR, avoidance versus evasion and Part 14B are **non-core (grade 2)**; notification of uncertain tax treatment (UTT) and alternative dispute resolution (ADR) are **awareness (grade 3)**. It builds on *The Living Law*, chapter 3 (avoidance, evasion and the courts). Law: **FY2026**.

The ladder of accountability

For most of the twentieth century HMRC’s question to a company was: *is this return right?* The modern question to a large group is: *are your systems the kind that produce right returns, and who will put their name to that?* Large groups are too big to audit line by line, so the law moved upstream. It now regulates the people and processes that produce the numbers, and it makes the group say publicly how it approaches tax. A group like Tarnmoor files dozens of returns across many taxes every year; an inspector cannot check every journal. Regulating systems scales where checking returns does not, and naming a person, publishing an attitude and flagging uncertainty all change behaviour before the return is filed. Whether transparency actually changes behaviour is one of the book’s debates: supporters point to better-resourced tax functions and fewer surprises on enquiry; critics to box-ticking certificates and boilerplate strategies.

Rung	Regime	Who is accountable	Grade
1	Senior accounting officer (FA 2009 Sch 46)	A named individual: systems and an annual certificate	1
2	Tax strategy publication (FA 2016 Sch 19)	The head of the group (the board’s published attitude)	1
3	Notification of uncertain tax treatment (FA 2022 Sch 17)	The company: flag large uncertain positions unprompted	3

Rung	Regime	Who is accountable	Grade
4	Corporate criminal offence (CFA 2017 ss 45–46)	The company, in the criminal courts	1

Beside the ladder stands the **anti-avoidance architecture**: DOTAS (disclosure before HMRC has looked), FNs and APNs (stop the user keeping the money while appeals run), the GAAR (a general backstop), and the promoter rules.

The thresholds are those on chapter 1’s threshold ladder: SAO, tax strategy and UTT all start at **turnover > £200m or balance sheet > £2bn**. The examiner’s favourite point is that **each regime aggregates a different set of companies** (table at the end of the UTT section).

Our invented case. Tarnmoor plc is a widely held, LSE-listed engineering group with its head office in Leeds; every person and company in it is invented. Its CFO, **Nadia Kerr**, is the SAO for every UK company; **Tom Hesketh** is group head of tax. Consolidated revenue GY1 **£1,180m**; Tarnmoor Engineering Ltd (TEL) alone turned over **£630m**. Every rung applies.

Who must have a senior accounting officer

The rules are in **FA 2009 Sch 46** and apply for financial years beginning on or after **21 July 2009**. In these rules “financial year” means the company’s Companies Act financial year, not the CT financial year.

Qualifying company (Sch 46 para 15; SAOG11210–11290). Both conditions:

1. **Incorporated in the UK** under the Companies Act 2006 (or a former Companies Act). **Tax residence is irrelevant**: HMRC’s guidance (SAOG11260) says the regime is “based upon the country of incorporation”.
2. In the **preceding financial year**, relevant turnover > **£200m** and/or relevant balance sheet total > **£2bn**.

Groups. If the company was a **member of a group at the end of its preceding financial year**, its figures are aggregated with those of the **other UK-incorporated companies in that group** (SAOG11240, SAOG11270). A group is a company and its **51% subsidiaries** (CTA 2010 s 1154). HMRC’s guidance adds: **intra-group turnover is included**; in aggregating balance sheets, **investments in other UK group companies are excluded**. Members with different year ends aggregate the figures for the financial years in force at the end of the relevant preceding year (SAOG11290).

Once the aggregate passes the threshold, **every UK-incorporated company in the group is a qualifying company**, however small, dormant ones included. Each needs an SAO and each must be notified.

The acquisition point deserves slow reading. Calder has a 31 March year end and joins Tarnmoor on 1 April GY1. For Calder’s financial year starting that day, the preceding financial year ended on 31 March GY1, the day before the deal, when Calder belonged to the Oldroyd family and to no group; its own turnover (about £64m a year) was far below £200m. So Calder is **not** a qualifying company for its first year in the group, even though it is part of one of the largest groups in the story. For its next financial year (from 1 April GY2) the test looks at 31 March GY2, when Calder was firmly inside Tarnmoor: it qualifies from then on. HMRC’s further guidance on joining and leaving (SAOG11300 onwards) is not covered here; the conclusion follows from the “member of a group at the end of the preceding year” rule in SAOG11240.

Worked example: Tarnmoor’s SAO coverage (invented case)

Test applied at the end of each company's *preceding* financial year. Aggregate UK turnover far exceeds £200m every year (TEL alone £630m).

Company	Incorporated	In 51% group?	Qualifying company?
Tarnmoor plc (TPLC)	England	Head	Yes, every year
TEL, TES, TFL, TWS	England	100%	Yes (TWS until the GY5 demerger)
Tarnmoor Pumps Ltd (dormant)	England	100%	Yes: dormant companies are not excluded
Tarnmoor Ireland Ltd (TIL)	Ireland	100%	No: UK resident (CMC in Leeds) until GY4, but not UK-incorporated
Tarnmoor Vallaria SA, Tarnmoor Capital Ltd	Vallaria, Marrovia (invented)	100%	No: not UK-incorporated
Helmside Energy Ltd	England	45% GY1–GY4	No: not a 51% subsidiary (from GY6, see below)
Calder Valve Engineering Ltd (31 March year end; acquired 1 April GY1)	England	From 1 April GY1	FY 1 April GY1–31 March GY2: No (at 31 March GY1 it was owned by the Oldroyd family and in no group; own turnover about £64m). FY from 1 April GY2: Yes . Its 9-month FY to 31 December GY3: Yes
Brackenwell Sensors Ltd (31 December; acquired 1 July GY2)	England	From 1 July GY2	GY2: No (not in the group at 31 December GY1). GY3 onwards: Yes
Helmside after 1 March GY5 (85%)	England	From 1 March GY5	GY5: No (45% at 31 December GY4). GY6 onwards: Yes

The reasoning (company by company: incorporation, 51% membership at the end of the preceding year, which year's figures) is exactly what the examiner rewards.

Exam lens: SAO (grade 1) - N23 Q5 (10 marks): which companies count towards the thresholds (a 50% UK subsidiary excluded; a company incorporated in Greece but UK resident), the main duty, the certificate, notification, penalties. The examiners: thresholds known but misapplied; **show workings, because marks are available even when the conclusion is wrong.** - **Traps:** using tax residence instead of incorporation; using a 75% test instead of 51%; forgetting dormant companies; testing the current year instead of the preceding year; forgetting that a newly acquired company is tested on its group membership at the end of its preceding financial year. - **Layout:** a table of companies with columns for incorporation, 51% membership, figures used and conclusion.

The main duty, the certificate and the penalties

The SAO is the director or officer with overall responsibility for the company's financial accounting arrangements. One person may act for many companies.

Main duty (Sch 46 para 1): take reasonable steps to ensure the company **establishes and maintains appropriate tax accounting arrangements**; take reasonable steps to **monitor** them; and **identify any respects in which they are not appropriate**. HMRC describes appropriate arrangements as those allowing the company's liabilities to be "calculated accurately in all material respects" (SAOG10300; para 14). Taxes covered: CT (including QIPs), VAT, PAYE, IPT, SDLT, SDRT, PRT, customs and excise duties and the bank levy.

Analogy: the SAO signs the boiler's safety certificate; he or she does not light the boiler. Nadia does not prepare returns: she makes sure there is a properly designed, tested system for producing them, and says honestly whether it worked.

Paperwork:

Obligation	Who	Deadline
Notify HMRC of the SAO's name (para 3)	Company	End of the Companies Act accounts filing period: 6 months after the year end (public company), 9 months (private)
Certificate: whether the company had appropriate tax accounting arrangements throughout the year; if not, the shortcomings (para 2)	SAO	Same

Groups may file combined notifications and certificates (by the earliest deadline among the companies covered). A **qualified certificate is not a failure**: it is the regime working.

Penalties (Sch 46 paras 4–8): fixed **£5,000** each.

Failure	Liable
Failing to notify the SAO's name	Company
Breach of the main duty	SAO personally
No certificate, or late	SAO personally
Certificate inaccurate carelessly or deliberately	SAO personally

No reduction for disclosure or cooperation. A reasonable excuse can defeat a penalty **except for an inaccurate certificate**.

Cases (as reported; full judgments not opened). *Thathiah v HMRC* [2017] UKFTT 601 (TC): the first SAO penalty appeal; HMRC lost. The FTT held that HMRC had focused on whether the officer had a reasonable excuse rather than whether he had breached the main duty; errors, even material or repeated ones, do not automatically show a breach of the duty to take reasonable steps. *Castlelaw (No 628) Ltd and Douglas v HMRC* [2020] UKFTT 34 (TC) (17 January 2020): the £5,000 penalties on the company and its SAO for **omitting a dormant company from the group notification** were upheld (no reasonable excuse); the tribunal could not review HMRC's discretion but said HMRC should have considered it on the facts; HMRC's guidance (SAOG18850) was then updated to say penalties should not normally be charged where a dormant company is omitted and the risk is low.

Worked example: Tarnmoor’s SAO deadlines (invented case)

Company and financial year	Status	Notification and certificate due
TPLC, year to 31 December GY1	plc	30 June GY2 (6 months)
TEL and other private UK companies, year to 31 December GY1	Ltd	30 September GY2 (9 months)
Calder, year 1 April GY2–31 March GY3 (first qualifying year)	Ltd	31 December GY3
Calder, 9 months 1 April–31 December GY3	Ltd	30 September GY4
Brackenwell, year to 31 December GY3 (first qualifying year)	Ltd	30 September GY4

Tarnmoor Pumps (dormant) stays on Nadia’s list every year.

Going further: what “reasonable steps” look like in a group tax function Process maps for each tax and each company; documented controls (reconciliations of tax ledgers, review of instalment forecasts, sign-off of returns); a risk register; testing by internal audit; a tracker for new acquisitions (Calder and Brackenwell enter the certificate on the dates above, but their systems need bringing up to group standard from the day they are bought); and evidence of how shortcomings were fixed. A qualified certificate with a remediation plan is better governance, and better protection, than an unqualified certificate that is wrong.

Publishing a tax strategy

FA 2016 Sch 19 (the tax strategy rules) requires large groups and companies to publish a tax strategy on the internet, free of charge, annually, for financial years beginning on or after **15 September 2016**, the day FA 2016 was passed (FA 2016 s 161).

Two routes in (GOV.UK, “Large businesses: publish your tax strategy”, updated 30 July 2024):

1. **Size:** a UK group, sub-group, company or partnership whose turnover was > **£200m** or balance sheet > **£2bn** in the **previous financial year**. Groups aggregate all UK members (51% group).
2. **CbC route:** UK entities of an MNE group meeting the CbC reporting threshold (global revenue **€750m**).

HMRC treats the routes as **mutually exclusive**: in its guidance, a UK company in an MNE group with global turnover below €750m need not publish even if it personally exceeds £200m.

Who: the **head of the group** (the member that is not a 51% subsidiary of another member); if the head is not UK-incorporated, the top UK company. Any UK member may actually publish.

Content: the group’s approach to **risk management and governance** for UK tax; its **attitude to tax planning**; the **level of risk** it is prepared to accept; its **approach to dealings with HMRC**; and a statement that it is published in compliance with

para 16(2) (the guidance gives the required wording).

Timing (para 16(3)): before the **end of the financial year** to which it relates; and, where a strategy was published for the previous year, **not more than 15 months** after the previous one.

Penalties (para 18 onwards): **£7,500** for failure to publish a compliant strategy; a further **£7,500** if still unpublished 6 months after it was due; then **£7,500 for each further month**. HMRC usually issues a non-statutory 30-day warning first.

Different year ends. HMRC's guidance: a member with a different year end uses its **latest financial year ending before the end of the head company's latest financial year**; **do not apportion** overlapping periods.

Worked example: different year ends (HMRC's guidance example; real calendar, labelled)

Entity	Year end	Turnover
Head company	31 December 2017	£150m
UK subsidiary	31 March 2017	£80m
Aggregate for the group's year to 31 December 2017		£230m

£230m > £200m, so the group must publish a strategy for its financial year ending **31 December 2018**. The subsidiary's figure is **not** time-apportioned.

Worked example: Tarnmoor (invented case) Tarnmoor qualifies by both routes: GY1 consolidated revenue £1,180m ≈ **€1,357m** at the story's assumed €1.15 per £ (never a real rate), and UK turnover far above £200m. TPLC, as head of the group, publishes the group's strategy **by 31 December each year**. Among other things it states that the group **does not use marketed tax avoidance schemes**. Calder's figures in any aggregation would be its accounts for the year to 31 March ending within Tarnmoor's year, unapportioned.

Going further: writing a strategy that means something The statute prescribes topics, not content. A useful strategy says concretely how tax risk is governed (who owns it, how it reaches the audit committee), what the group will and will not do (Tarnmoor: no marketed schemes; transfer pricing at arm's length; reliefs claimed as Parliament intended), how it decides on uncertain positions (external advice above a threshold; UTT review), and how it works with HMRC (real-time discussion with the CCM). Because the strategy is public, it becomes a standard the group can be held to by investors, journalists and HMRC. A strategy that promises more than the group does is a reputational risk; one that says nothing is a missed opportunity. Keep it consistent with the SAO certificate, the UTT register and the CCO risk assessment: they describe the same governance from different angles.

Exam lens: tax strategy (grade 1) - M25 Q3 (15 marks): thresholds where group companies have different year ends, publication requirements, penalties. The examiners: rules known, but candidates **apportioned subsidiary figures instead of using the accounts for the year ending in the parent's financial year**. - **Traps:** apportioning; forgetting the

CbC route; putting the duty on the wrong company; confusing “before the end of the financial year” with a filing deadline; mixing up SAO and strategy penalties (£5,000 fixed v £7,500 escalating).

Uncertain tax treatment, two triggers and five million pounds

FA 2022 Sch 17 applies to returns required to be filed on or after **1 April 2022** (para 33). The purpose: HMRC would rather hear about a large uncertain position when the return is filed than find it years later.

Qualifying company (paras 2–5): in the **previous financial year**, relevant **UK turnover > £200m** and/or **UK balance sheet total > £2bn**, aggregated across the members of its **51% group that are within the charge to CT**. Taxes: CT, income tax (including PAYE and partnership returns) and VAT.

Triggers (para 10): only two.

1. **Provision trigger:** the company has recognised a **provision in its accounts** reflecting the probability that a different tax treatment will be applied.
2. **Known position trigger:** the treatment relies on an interpretation or application of the law **not in accordance with the way HMRC is known to interpret or apply it** (published guidance, or dealings with the company).

Threshold (para 11): notification only where the **tax advantage** in the relevant period from the uncertain amount (aggregating related amounts) exceeds **£5m**. (HMRC’s manual, UTT14100, is summarised in the search extract as “£5m or more”; the statute says over £5m. The difference never matters in this book’s story.)

Exemption (para 18): no notification where it is reasonable to conclude that **HMRC already has all, or substantially all, of the information** (for example through discussion with the Customer Compliance Manager or a disclosure under another regime such as DOTAS).

Deadline (para 9): for CT, by the **later of the CT return filing date and the Companies Act accounts filing deadline**.

Penalties (paras 20–21): **£5,000** first failure; **£25,000** second; **£50,000** further (counting failures in the 3 preceding financial years).

Proposed, not law: a consultation (12 March to 4 June 2026) proposed extending UTT to SDLT, NICs, CIS, IHT and CGT, bringing wealthy individuals and trusts into scope, and adding a further trigger.

Who is aggregated: the three governance regimes compared

Regime	Companies aggregated	Test year	Thresholds
SAO	UK- incorporated companies in the 51% group (any residence)	Preceding financial year; group membership at its end	Turnover > £200m and/or balance sheet > £2bn
Tax strategy	UK members of the 51% group (figures for years ending in the head’s year, unapportioned); or CbC route	Previous financial year	> £200m / > £2bn, or €750m CbC
UTT	Members of the 51% group within the charge to CT (UK	Previous financial year	> £200m / > £2bn

Regime	Companies aggregated	Test year	Thresholds
	turnover and balance sheet)		

So **TIL** (Irish-incorporated, UK resident until GY4) is **outside** the SAO aggregation but **inside** the UTT aggregation while it is within the charge to CT.

A notification in practice

Misconception: “UTT means telling HMRC whenever you’re unsure.” It does not. Uncertainty alone triggers nothing: the statute needs one of **two** triggers, an advantage over **£5m**, and no exemption. The draft legislation once had a third trigger (a substantial possibility that a tribunal would find the treatment incorrect); it was removed before Royal Assent (secondary sources). The 2026 consultation would add a further trigger: proposed, not law.

Worked example: TEL’s ERP costs, GY2 (invented case)

TEL finishes implementing a new enterprise resource planning (ERP) system. Implementation costs **£24m** are deducted as revenue expenditure; the point is arguable and, with the auditors’ agreement, TEL books a provision against the risk that the deduction is denied.

Test	Application	Result
Qualifying company?	TEL’s own UK turnover £630m > £200m (previous year)	Yes
Trigger	Provision in the accounts (trigger 1). If HMRC’s published guidance took the capital view, trigger 2 would also apply: one notification covers it	Met
Tax advantage in the period	$£24,000,000 \times 25\% = \textbf{£6,000,000}$	> £5m
Exemption	HMRC has not been given the information	Not available
Deadline	Year end 31 December GY2; accounts due 30 September GY3 (9 months); CT return due 31 December GY3; later date	31 December GY3

Notification is required; Tom files it with the return.

The notification is made online. HMRC’s statutory notice requires, among other things, the company’s name, the tax regime, tax references and the periods affected, and says an incomplete notification will not be accepted as valid. Most of TEL’s advantage is **timing** (if the costs are capital, relief may come later through capital allowances or the intangibles rules), but the statutory question is the advantage in the period of the return: £6m in GY2.

Going further: notification is **not an admission**: it records that a position is uncertain, not that it is wrong. The provision that triggered it also feeds the accounts (chapter 6 covers the current tax charge and uncertain tax provisions).

Good practice is a group-wide register of uncertain positions, reviewed at each year end against the two triggers and the £5m threshold, aggregated across related amounts, and cross-checked with the tax provision.

Exam lens: UTT (grade 3) Not examined M23–M26. At awareness level know: the thresholds and 51% CT group; the two triggers; £5m; the exemption; the deadline; penalties £5,000/£25,000/£50,000; the 2026 consultation is not law.

Trap: confusing UTT and SAO aggregation.

The corporate criminal offence

Criminal Finances Act 2017 Part 3 (ss 44–52), in force **30 September 2017**. The offences are modelled on the failure to prevent bribery offence in the Bribery Act 2010 (s 7), and the defence mirrors its “adequate procedures”.

Three stages:

1. **Criminal tax evasion** by a taxpayer (anyone: customer, supplier, employee).
2. **Criminal facilitation** of that evasion by an **associated person** of the relevant body, acting in that capacity.
3. The relevant body **failed to prevent** the facilitation.

Associated person (s 44): an employee, an agent, or any other person who performs services for or on behalf of the body, acting in that capacity: sales agents, distributors, consultants, contractors. **Relevant body:** a body corporate or partnership.

	s 45: UK tax	s 46: foreign tax
Evasion	UK tax evasion offence	Offence under foreign law
Extra conditions	—	Dual criminality (criminal abroad and would be criminal in the UK); UK nexus: the body is incorporated under UK law, or carries on business (or part) in the UK, or any part of the facilitation takes place in the UK
Defence	Reasonable prevention procedures (or not reasonable to expect any); burden on the body	Same
Penalty	Unlimited fine (indictment)	Same

The offence does **not** require the company to benefit, the board to know, or the company to be dishonest. The individuals (evader and facilitator) remain liable for their own offences.

Exam lens: CCO (grade 1) Not examined M23–M26. Expect: the three stages; associated person; s 46’s dual criminality and UK nexus; the defence and HMRC’s six principles; unlimited fine. **Trap:** assuming the company must benefit or the board must know.

Reasonable prevention procedures

HMRC's official guidance (GOV.UK, "Corporate offences for failing to prevent criminal facilitation of tax evasion") is not law, but it is the likely yardstick. Six guiding principles:

Principle	What it means
Risk assessment	Assess the nature and extent of exposure to associated persons facilitating evasion; drives everything else
Proportionality of procedures	Procedures proportionate to the risk and to the nature, scale and complexity of the business
Top level commitment	Senior management visibly committed
Due diligence	Risk-based checks on associated persons
Communication (including training)	Policies embedded and understood
Monitoring and review	Procedures checked and improved

Risk factors include country, sector, transaction and business opportunity risk.

Worked example: the Marrovia agent, GY3 (invented case) A Marrovia customer of TEL rings TEL's whistleblowing line: TEL's self-employed local sales agent (commission-paid) has offered to split an invoice so part of the price can be paid offshore and left out of the customer's Marrovia return. - **Associated person?** Yes: he performs services for TEL. - **Which offence?** s 46 (foreign tax). **UK nexus:** TEL is UK-incorporated. **Dual criminality** and an actual evasion and facilitation offence would have to be shown under Marrovia law (Marrovia is invented: the story does not describe its criminal law); in the story the customer refused and reported it at once. - **Protection:** TEL's risk assessment had rated Marrovia agents high risk; agency contracts prohibited facilitation and allowed termination; agents had been trained; the whistleblowing line worked. - **Response:** agent dismissed; other Marrovia agents reviewed and findings recorded; legal advice on reporting (a judgement for lawyers, not answered here).

Going further: the same evidence that protects TEL under the CFA 2017 supports Nadia's SAO certificate and the tax strategy's statements on risk. Keep records (training logs, contract clauses, investigation files): a defence of reasonable procedures is proved from documents, not memory.

Avoidance, evasion and the disclosure rules

The Living Law, chapter 3, drew the line. **Evasion** is illegal and involves dishonesty. **Avoidance** uses the law to reduce tax, sometimes as Parliament never intended: lawful, but it often fails. Since *WT Ramsay Ltd v IRC* (HL, 1981) the courts read tax statutes purposively and view transactions realistically, confirmed by the Supreme Court in *RFC 2012 plc v Advocate General for Scotland* [2017] UKSC 45 (Rangers). The profession's **PCRT** Standard for Tax Planning (from 1 March 2017) forbids members to create, encourage or promote tax planning arrangements that set out to achieve results contrary to the clear intention of Parliament, or that are highly artificial or highly contrived and seek to exploit shortcomings in the legislation.

DOTAS (FA 2004 Part 7; s 306): arrangements are **notifiable** if they fall within a prescribed description (**hallmark**) and are expected to give a tax advantage as **a main benefit**.

Hallmark (selected)	Test
Confidentiality	A promoter might reasonably be expected to want to keep the arrangements (or how they secure the advantage) confidential from HMRC or other promoters
Premium fee	A fee attributable to a significant extent to the tax advantage, or contingent on obtaining it
Standardised tax products	“Plug and play” schemes with standardised documentation and transactions
Others	Specified loss schemes, leasing arrangements, employment income and financial products

Case: *HMRC v AML Tax (UK) Ltd* [2022] UKFTT 174 (TC) (29 April 2022): on HMRC’s application the FTT held the arrangements notifiable, finding the premium fee hallmark met and AML a promoter. The confidentiality and premium fee hallmarks are hypothetical tests: the question is whether a promoter might reasonably be expected to want confidentiality or to obtain a premium fee, not whether one was actually paid (as also in *Curzon* and *Hyrax*) (headnote and secondary summaries).

Mechanics: the promoter normally notifies within **5 days** of making the scheme available or of its first implementation; HMRC issues a **scheme reference number (SRN)**; the promoter passes it to clients; users report it on their returns. Where there is no promoter (in-house schemes), the user notifies.

Penalties (FA 2026 s 216: new FA 2004 s 315, replacing TMA 1970 s 98C): initial daily “applicable rate” up to **£600** (or **£5,000 a day** after an order under s 306A or s 314A), and up to **£1m** where the amount would otherwise be inappropriately low; **£5,000** fixed maximum for many information duties; s 313 other-party failures **£5,000 / £7,500 / £10,000**. Penalty proceedings already under way continue under the old rules (FA 2026 s 219). No separate commencement date was found (commencement on Royal Assent is inferred); secondary sources describe the reform as letting HMRC issue penalties directly rather than seeking tribunal approval.

Discovery: a **20-year** time limit applies where the loss of tax is connected with DOTAS non-compliance (FA 1998 Sch 18 para 46).

Follower notices and accelerated payment notices

FA 2014 Part 4. Disclosure tells HMRC about a scheme; it does not collect the tax.

Follower notice (ss 204–218): conditions: an enquiry or appeal is open; the return or claim relies on particular arrangements; HMRC is of the opinion that a **final judicial ruling** in another case, on relevantly similar arrangements, would deny the advantage. The taxpayer must take **corrective action** (give up the advantage). If it does not and loses, **penalty 30%** of the denied advantage (s 208; **20%** under s 208A).

R (Haworth) v HMRC [2021] UKSC 25 (2 July 2021): HMRC issued an FN (and an APN) relying on *HMRC v Smallwood* [2010] EWCA Civ 778 in a round-the-world trust scheme case. The Supreme Court unanimously dismissed HMRC’s appeal against the quashing of the notice. As commentators summarise it, HMRC may give an FN only where it considers there is “no

scope for a reasonable person to disagree” that the earlier ruling denies the advantage; a higher threshold than the Court of Appeal’s “substantial degree of confidence”.

Accelerated payment notice (ss 219–229): conditions: an enquiry or appeal is open, and **either** an FN has been given, **or** the arrangements are DOTAS-notifiable, **or** a GAAR counteraction notice has been given. Pay within **90 days** (or **30 days** after HMRC determines any representations, if later) (s 223). There is **no right of appeal** against the notice: the taxpayer may make written **representations within 90 days** (s 222) that a condition was not met or the amount is wrong, and otherwise only judicial review is available (the courts expect representations to be made first: *R (Archer) v HMRC* [2019] EWCA Civ 1021). If the taxpayer later wins, the tax is repaid with interest.

Going further: for a large group, an APN turns a marketed scheme’s saving from an interest-free loan into a cash cost from day one; an FN forces a quick decision between corrective action (amend and pay) and risking the 30% penalty against a ruling that, after *Haworth*, HMRC must believe is decisive.

The general anti-abuse rule

FA 2013 Part 5 (ss 206–215), from **17 July 2013**. *The Living Law*, chapter 3, told how it grew out of Graham Aaronson’s report for the government.

Stage 1: tax arrangements (s 207(1)): it would be reasonable to conclude that obtaining a tax advantage was **the main purpose, or one of the main purposes**.

Stage 2: abusive (s 207(2)): entering into or carrying out the arrangements **cannot reasonably be regarded as a reasonable course of action** in relation to the relevant tax provisions, having regard to all the circumstances (**double reasonableness**), including whether the result is consistent with the provisions’ principles and policy, whether the means involve **contrived or abnormal steps**, and whether the arrangements **exploit shortcomings** in the legislation. Statutory **indicators of abuse** (s 207(4)): income, profits or gains for tax purposes significantly less than the economic amount; deductions or losses significantly greater; or a claim to repayment or crediting of tax (including foreign tax) that has not been, and is unlikely to be, paid; each counts **only if it is reasonable to assume that the result was not anticipated** when the relevant provisions were enacted. Arrangements in line with **established practice HMRC had accepted** point the other way (s 207(5)). The examples are not exhaustive.

The GAAR connects to the rest of the architecture. A GAAR counteraction notice is one of the conditions for an APN, so a group facing the GAAR may also face paying the tax up front. The Advisory Panel is independent of HMRC; its opinion is not binding, but the tribunal must take it into account, and a published Panel opinion that an arrangement is abusive is a powerful signal for every user of similar arrangements.

Consequences: counteraction on a **just and reasonable** basis (s 209); referral to the independent **GAAR Advisory Panel**, whose opinion the tribunal must take into account (s 211); **penalty 60%** of the counteracted advantage (s 212A, FA 2016).

Scope: CT (including amounts charged as if they were CT), income tax, CGT, IHT, SDLT and other listed taxes.

Why it exists alongside the TAARs: targeted rules reach only the schemes their drafters foresaw. The GAAR is for the egregious scheme nobody foresaw; ordinary planning (debt versus equity, claiming allowances, making elections) is not

abusive. *Ramsay* asks what the statute, read purposively, means for the facts; the GAAR asks whether the arrangement is abusive even if it works on that reading. In practice the corporate code’s specific purpose tests (unallowable purpose, chapter 12; share exchange main purpose tests, chapter 18; Part 14B, chapter 14) usually decide a corporate case first.

Exam lens: avoidance and anti-avoidance (grade 2) DOTAS, APNs/FNs, GAAR and avoidance v evasion: none examined M23–M26. Most likely as a few marks inside a scenario (a promoter’s proposal; a TAAR question). Know the conditions, the time limits (5 days; 90 days; 20-year discovery), the penalty rates (30%; 60%) and *Haworth*. **Trap:** treating the GAAR as the first line of attack where a targeted rule applies.

The loss refresh pitch

Worked example: the promoter’s proposal, GY3 (invented case) Brackenwell’s pre-acquisition losses of **£8.6m** are fenced off by the change of ownership rules (chapter 14); at 25% they would be worth **£2.15m**. A promoter offers to “refresh” them through a pre-packaged series of intra-group steps routing income and deductions. His fee is a **percentage of the tax saved**, and he requires a **confidentiality agreement** before explaining the steps.

Layer	Analysis
DOTAS	Premium fee and confidentiality hallmarks: very likely notifiable; SRN on the return; 20-year discovery window
APN	DOTAS-notifiable arrangements are an APN condition: tax payable up front once under enquiry
Targeted rule	CTA 2010 Part 14B (ss 730E–730H, tax avoidance involving carried-forward losses; grade 2): aimed at arrangements to unlock carried-forward losses; chapter 14
GAAR	Contrived, pre-packaged steps; backstop with a 60% penalty
Tax strategy	Conflicts with Tarnmoor’s published statement that it does not use marketed avoidance schemes
SAO	Nadia must consider whether such a position fits appropriate tax accounting arrangements
UTT	If provided for and over £5m, notifiable

Tom’s board paper recommends that the group decline, record the approach and send a short written refusal. The board declines in a single meeting. The architecture works not only by defeating schemes but by making them unattractive before anyone has to defeat them.

FA 2026 Part 6 continues the pressure on promoters: a prohibition on promoting certain marketed avoidance arrangements (s 159 onwards), promoter action notices and anti-avoidance information notices. Non-core background: know that it exists. (Commencement dates not verified.)

Working with HMRC when things are disputed

HMRC's large business directorate gives many of the largest groups a named **Customer Compliance Manager (CCM)**; HMRC's UTT guidance refers to businesses raising uncertain issues through the CCM. Early conversations mean agreed positions and fewer surprises on enquiry.

Litigation and Settlement Strategy (LSS) (HMRC internal manual, LSS10000 onwards): as HMRC describes it, each dispute is resolved on its own merits, **not as part of a package deal**; HMRC will not settle for less than the tax it believes the law requires simply to save costs; strong cases are settled for what a tribunal would likely award, weak ones conceded.

ADR (grade 3) (GOV.UK, "Tax disputes: alternative dispute resolution"): non-statutory; an HMRC mediator not involved in the case helps narrow issues or reach agreement; available during a compliance check when talks stall, or after an appealable decision; **does not affect rights of appeal or review**. HMRC also has guidance for large or complex cases.

Behind it all sit the formal routes (*The Living Law*, chapter 2): statutory review by an HMRC officer not involved in the decision, or appeal to the First-tier Tribunal. ADR runs alongside them and the appeal continues if it fails. Litigation is public, slow and expensive and may set a precedent for a whole sector; settlement is private but must follow the LSS, so issues cannot be traded.

Going further: choosing the route For a group tax function the decision is commercial as well as technical: the size of the issue, the strength of the argument, whether the point recurs every year (a recurring issue may be worth settling for the future, or litigating for certainty), the publicity of a hearing, management time, and the precedent for other companies in the sector. ADR is most useful where the dispute is about facts or evidence rather than a pure point of law, and where the relationship with the CCM matters for the future. Record the decision and its reasoning: it is part of the governance the SAO certifies and the strategy describes.

In the invented story, HMRC opens an enquiry into Calder's return for its 9-month period in GY3 (opened 1 June GY5); chapter 27 tells how that transfer pricing dispute ends.

Exam lens: ADR (grade 3) Recognition only: what ADR is, when it is available, and that it does not affect appeal rights.

How the examiner tests governance

- **N23 Q5 (10 marks):** SAO: which companies count; main duty; certificate; notification; penalties. Show workings.
- **M25 Q3 (15 marks):** tax strategy with different year ends: use the accounts for the year ending in the parent's year; do not apportion.
- **Compliance and governance** appeared at nearly every sitting M23–M26 (with enquiries, instalments and notification; chapter 3): a 10–15 mark "admin" question is very common.
- **Not seen M23–M26:** CCO, DOTAS, GAAR, FNs/APNs, UTT, ADR.

Style: explain and apply; no letter, report or email format; 0.5–1 mark per point (for example 0.5 for "must be UK-incorporated", 1 for applying it to the foreign-incorporated company, 0.5 for the deadline, 1 per penalty correctly stated). Deal

with every company given. Answer the tax in the requirement only.

Method for any threshold question: list each company → incorporation → 51% membership (at which date) → which year's figures → aggregate → conclusion → consequences (deadlines, penalties).

What to take away

Rung 1, SAO (FA 2009 Sch 46): UK-incorporated (residence irrelevant); preceding-year turnover > £200m or balance sheet > £2bn, aggregated with UK-incorporated members of the 51% group at the end of that year; then every UK-incorporated member qualifies, dormant included; a joiner that did not qualify alone is outside for its first financial year in the group. Main duty (reasonable steps; appropriate tax accounting arrangements); certificate; notification; deadlines 6 months (plc) / 9 months; £5,000 fixed penalties, no reduction, reasonable excuse except for an inaccurate certificate.

Rung 2, tax strategy (FA 2016 Sch 19): > £200m / > £2bn (51% UK group) or €750m CbC route; head of group publishes before the end of the financial year and within 15 months of the last; four content elements; £7,500 + £7,500 at 6 months + £7,500 a month; different year ends: latest year ending in the head's year, unapportioned.

Rung 3, UTT (FA 2022 Sch 17, grade 3): £200m / £2bn across CT-paying members of the 51% group; two triggers; £5m; exemption where HMRC has the information; due with the later of the CT filing date and accounts deadline; £5,000 / £25,000 / £50,000.

Rung 4, CCO (CFA 2017 ss 45–46): evasion → facilitation by an associated person → failure to prevent; s 46 needs dual criminality and UK nexus; defence of reasonable prevention procedures (six principles); unlimited fine; first corporate charge August 2025 (allegations untried).

Anti-avoidance: DOTAS (hallmarks; 5 days; SRN; FA 2026 penalties; 20-year discovery); FN 30% (*Haworth* limits); APN 90 days; GAAR (double reasonableness; Panel; 60%).

The chapter's question was who answers for the tax inside a large group. The law gives everyone a part: a named officer for the systems, the board for the published attitude, the company for its uncertain positions, and the company again, in the criminal courts, for the people who act for it.

Part Two turns from who answers for the tax to how the profit is measured. Chapter 5 begins where every corporate computation begins: with the accounts.

Key rules and figures

Rule	Figure / test	Authority
SAO qualifying company	UK-incorporated; preceding FY turnover > £200m and/or balance sheet > £2bn, aggregated with UK-incorporated 51% group members at the end of that FY	FA 2009 Sch 46 paras 15–16; CTA 2010 s 1154; SAOG11240–11290
SAO start	Financial years beginning on or after 21 July 2009	FA 2009 Sch 46

Rule	Figure / test	Authority
SAO deadlines	End of accounts filing period: 6 months (public), 9 months (private)	Sch 46 paras 2–3
SAO penalties	£5,000 fixed each; no reduction; no reasonable excuse for an inaccurate certificate	Sch 46 paras 4–8
Tax strategy	> £200m / > £2bn (51% UK group) or €750m CbC; FYs beginning on or after 15 September 2016	FA 2016 Sch 19
Tax strategy timing	Before the end of the FY; within 15 months of the previous	Sch 19 para 16(3)
Tax strategy penalties	£7,500; £7,500 at 6 months; £7,500 per further month	Sch 19 para 18 onwards
UTT	> £200m / > £2bn (CT-paying 51% group members); returns due on or after 1 April 2022	FA 2022 Sch 17 paras 2–5, 33
UTT triggers and threshold	Provision; departure from HMRC’s known position; advantage > £5m	Sch 17 paras 10–11
UTT penalties	£5,000 / £25,000 / £50,000	Sch 17 paras 20–21
CCO	In force 30 September 2017; unlimited fine	CFA 2017 ss 45–46; SI 2017/739
DOTAS	Promoter notifies within 5 days (normally); penalties up to £600 a day (£5,000 a day after an order), up to £1m	FA 2004 Part 7; s 315 (FA 2026 s 216)
Discovery (DOTAS failure)	20 years	FA 1998 Sch 18 para 46
Follower notice penalty	30% (20% under s 208A)	FA 2014 ss 208, 208A
APN	Pay within 90 days (or 30 days after representations); no appeal, representations within 90 days, otherwise judicial review	FA 2014 ss 222, 223
GAAR	From 17 July 2013; double reasonableness; penalty 60%	FA 2013 ss 206–215, 212A
Tarnmoor UTT (GY2)	£24m × 25% = £6m > £5m: notify by 31 December GY3	invented case

Statutory and case references

Statute and guidance - Finance Act 2009 Sch 46 (senior accounting officers), paras 1–3, 4–8, 14–16; HMRC SAOG10300, SAOG11210–11290, SAOG13400, SAOG15700, SAOG18200. - Corporation Tax Act 2010 s 1154 (51% subsidiary); Part 14B ss 730E–730H. - Finance Act 2016 Sch 19 (tax strategy), paras 16(2), 16(3), 18; GOV.UK “Large businesses: publish your tax strategy” (updated 30 July 2024). - Finance Act 2022 Sch 17 (uncertain tax treatment), paras 2–5, 8–11, 18, 20–21, 33; HMRC UTT manual (UTT14100); HMRC notice under para 86 on how to notify; consultation of 12 March 2026 (not law). - Criminal Finances Act 2017 Part 3, ss 44–52; SI 2017/739; GOV.UK “Corporate offences for failing to prevent criminal facilitation of tax evasion”. - Finance Act 2004 Part 7 (s 306; s 315 as substituted by FA 2026 s 216); FA 2026 ss 159 onwards, 216–219. -

Finance Act 1998 Sch 18 para 46. - Finance Act 2014 Part 4: ss 204–218 (follower notices; ss 208, 208A), ss 219–229 (APNs; ss 222, 223). - Finance Act 2013 Part 5, ss 206–215 (s 207, s 209, s 211, s 212A). - HMRC Litigation and Settlement Strategy (LSS10000); ADR guidance (ADRG02600; GOV.UK “Tax disputes: alternative dispute resolution”).

Cases - *WT Ramsay Ltd v IRC* [1982] AC 300 (HL, decided 12 March 1981) (recap). - *RFC 2012 plc v Advocate General for Scotland* [2017] UKSC 45 (recap). - *HMRC v Smallwood* [2010] EWCA Civ 778. - *Thathiah v HMRC* [2017] UKFTT 601 (TC) (as reported). - *Castlelaw (No 628) Ltd and Douglas v HMRC* [2020] UKFTT 34 (TC) (TC07540; 17 January 2020). - *R (Haworth) v HMRC* [2021] UKSC 25. - *HMRC v AML Tax (UK) Ltd* [2022] UKFTT 174 (TC) (headnote). - *R (Archer) v HMRC* [2019] EWCA Civ 1021.

Part Two: Measuring Profit.

Chapter five: Tax follows the accounts.

In 2022 the Supreme Court decided a case about money that never moved. A group of companies had recorded a large expense in their accounts for share options granted to their staff. No cash left the companies. The options came from a trust set up by the parent. Yet the accounting standard (IFRS 2) said the staff's services had been consumed, and their value had to be charged as an expense.

HMRC said the tax computation should ignore that charge. It argued four separate grounds. It lost on every one. The case was *HMRC v NCL Investments Ltd* [2022] UKSC 9, and the judgment was given by Lord Hamblen and Lady Rose, with whom Lord Reed, Lord Briggs and Lord Sales agreed.

So here is this chapter's question. When the accountants change their minds, or their rulebook, does the tax bill change too? And if it does, who decides when the law should step in and say no?

This chapter opens Part Two, on measuring profit. It sits underneath almost every computation the Advanced Technical examiner sets. The impact of accounting standards on taxable profits is **core (grade 1)** in the LCG syllabus, and so are the **general calculation rules in Part 20 CTA 2009**. *The Living Law* (TKS), chapter 11, taught the adjustment of profits and the line between capital and revenue. This chapter asks why the starting point is the accounts at all, and what happens when the accounts themselves change. Everything here is **FY2026 law** (1 April 2026 to 31 March 2027) under Finance Act 2026.

The shadow and the walker.

Start with the statute. **CTA 2009 s 46(1)**: the profits of a trade “must be calculated in accordance with generally accepted accounting practice, subject to any adjustment required or authorised by law”.

That one sentence carries two ideas. Tax begins with the accountant's number; and the law may overrule it, but only where a rule says so. Section 46(2) adds that there is no requirement to comply with company law on accounts except as to the basis of calculation. The tax computation borrows the method, not the paperwork.

Why build tax on the accounts? Three reasons: - **Cost**. Accounts already exist; a second, separate measurement of profit would double the compliance cost for every company. - **Discipline**. Large companies' accounts are audited and must give a true and fair view. - **Expertise**. Accounting standards are written by people whose job is to measure profit over a period, which is exactly the question tax needs answered.

The courts reached the same view long before Parliament wrote it down. In *Odeon Associated Theatres Ltd v Jones* (1971) 48 TC 257 (CA), the issue was the cost of catching up on deferred repairs to cinemas the company had acquired. HMRC's manual (BIM31095) summarises Salmon LJ's approach as two steps: follow the ordinary principles of commercial accounting so far as practicable, then check that no rule of tax law is violated.

Two later cases pushed further. In *Gallagher v Jones* (1993) 66 TC 77 (CA; [1994] Ch 107), a taxpayer leased boats with heavily front-loaded rents; the Court of Appeal held that the rents should be spread across the lease as the accounts spread them, not deducted when paid. In *Johnston v Britannia Airways Ltd* (1994) 67 TC 99 (Knox J), an airline provided each year

for the future cost of overhauling its jet engines (certification required an overhaul after 17,000 hours); the provision was accepted for tax because it reflected accepted accounting practice.

Here is an image to hold. Tax follows the accounts the way a shadow follows a walker. Wherever the accountant goes, the taxable profit goes too. But at certain spots Parliament has nailed the shadow to the floor: the walker moves on, and the shadow stays put. Those nails are the adjustments “required or authorised by law”.

The precise rule matters more than the image. Accounting practice decides **when** income and expense are recognised and **how** they are measured. It does not decide whether an item is capital or revenue for tax, whether an expense is wholly and exclusively for the trade (s 54), or whether a specific statute blocks it. Those are questions of law. Accounting evidence is relevant to them, often persuasive, never conclusive.

What counts as generally accepted.

GAAP has a statutory meaning: **CTA 2010 s 1127**. In outline, UK GAAP means practice for UK companies’ accounts intended to give a true and fair view; for companies preparing IAS accounts, GAAP means international accounting standards.

A large group meets three rulebooks:

Framework	What it is	Typical user in a listed group
IFRS (international accounting standards)	Issued by the IASB	Consolidated accounts of every listed group
FRS 101 (reduced disclosure framework)	UK GAAP: IFRS recognition and measurement with reduced disclosures	UK subsidiaries of IFRS groups
FRS 102	The main UK standard, originally based on the IFRS for SMEs; amended by the FRC’s Periodic Review 2024 (periods beginning on or after 1 January 2026)	Independent companies; some subsidiaries

The FRC’s standards run from FRS 100 to FRS 105 (HMRC BIM31020, CFM20030). For tax, the distinction matters because recognition and measurement drive the numbers: a company on FRS 101 usually recognises income and expense at the same time as its parent’s group accounts.

Our invented group, **Tarnmoor**, shows the pattern. Tarnmoor plc is a listed engineering group, invented for this book; it prepares consolidated accounts under IFRS, and its group policy (invented) is that every UK subsidiary reports under FRS 101, so each subsidiary’s numbers feed into the group accounts without a second set of adjustments.

Mixed GAAP in a group (CTA 2010 s 996). A group that mixes rulebooks can create a tax gap. Suppose one company uses IFRS and its sister uses FRS 102, and they transact with each other: one standard makes the seller recognise income later, the other lets the buyer take the expense earlier, and across the group the deduction runs ahead of the taxable income. Section 996 closes that gap: where two companies in a group use different frameworks and the difference gives a tax advantage on a transaction between them, **both are treated as using UK GAAP**. The rule does not ban mixed frameworks; it removes the advantage that mixing would create.

Where Parliament nails the shadow down.

The adjustments required by law come in layers.

Layer 1: case law and general statute (TKS chapter 11 recap). Capital expenditure is not deductible (CTA 2009 s 53); expenses not incurred wholly and exclusively for the trade are not deductible (s 54); depreciation is replaced by capital allowances.

Layer 2: Part 20 CTA 2009, “General calculation rules” (ss 1288–1309), grade 1. It reads like a list of the places where the accounts are not trusted:

Section (CTA 2009)	Rule	Owned by
s 1288	Employees’ remuneration unpaid 9 months after the period end: deductible only when paid	Ch 7
ss 1290–1297	Employee benefit contributions: qualifying benefits within 9 months; 5-year cut-off; tax and NIC within 12 months	Ch 7
s 1298 (exceptions ss 1299–1300)	Business entertainment and gifts	Ch 7
s 1301B	No deduction for qualifying charitable donations in computing income (relief instead against total profits, CTA 2010 Part 6)	Ch 7
s 1302	Social security contributions	—
s 1303	Penalties and interest on tax	Ch 7
s 1304	Crime-related payments	Ch 7
s 1305	Dividends and other distributions	Ch 19
s 1305A	Transfer of corporate profits	—
s 1305B (new, FA 2026 s 63)	Non-derecognition liabilities	this chapter

Section 1305B is the newest nail. A company transfers assets to a securitisation company (or a party to the same capital market arrangement) but the assets stay on the transferor group’s balance sheet because the risks never left; the company shows a liability alongside the asset. Deductions for losses, expenses or debits on that liability are denied, on a just and reasonable apportionment, where **a main purpose of any party** is a tax advantage. It has effect for **accounting periods beginning on or after 26 November 2025** (Budget day), with straddling periods split. Awareness-level detail; the point for the exam is that Part 20 is still growing.

Layer 3: statutory tests that override correct accounts. *GDF Suez Teesside Ltd v HMRC* [2018] EWCA Civ 2075. The company (formerly Teesside Power, which had operated the Teesside power station) held claims against companies in the collapsed Enron group and transferred them to a non-resident subsidiary in exchange for shares. Its accounts complied with GAAP, and on that basis the transfer produced no taxable credit reflecting the claims’ value. The loan relationship rules then in force (FA 1996 s 84(1)) required the accounting to “fairly represent” the company’s profits and losses. The Court of Appeal held that requirement could override GAAP-compliant accounts: a credit equal to the claims’ value had to be brought in, and the appeal was dismissed.

The lesson is not that accounts can be ignored at will. “Fairly represents” was itself a statutory adjustment. When the loan relationship rules were reformed from 2016 (F(No.2)A 2015), Parliament moved them onto a simpler footing (amounts in profit or loss: see below; CFM76010). The principle survived: tax follows the accounts unless a rule of law says otherwise, and the rule must be found, not assumed.

A debit with no cash.

In *NCL Investments*, the companies employed staff and made them available to other group companies for a fee. The parent’s employee benefit trust granted options over the parent’s shares to those staff (accounting periods to 30 April 2010, 2011 and 2012). IFRS 2 required the companies to charge the fair value of the options as an expense, because the staff’s services had been consumed in return for them. The matching credit went to equity as a capital contribution from the parent.

HMRC argued four grounds: 1. an adjustment was **required by law** under s 46; 2. the expense was not **wholly and exclusively** for the trade (s 54); 3. the debits were **capital** (s 53); 4. the **employee benefit contribution** rules (s 1290) blocked them.

The First-tier Tribunal, the Upper Tribunal, the Court of Appeal and the Supreme Court rejected every argument. The debits were properly computed under GAAP; they reflected a real cost of the trade (employees’ services consumed); no statute required their removal. In the Supreme Court’s words: “What matters is the character of the Debits, not that of any corresponding credit”. A capital credit to equity did not turn a revenue expense into a capital one.

The case is a warning to anyone who thinks a deduction needs a cash payment. Under s 46 it needs an accounting debit the law does not reject, and the burden is on the person who says the accounts should be overridden to find the rule.

The exam twist. NCL concerned periods before **FA 2013 s 40** substituted **CTA 2009 s 1038** and inserted **s 1038A**. For shares and options within Part 12 (employee share acquisition relief), s 1038 now blocks a deduction for the IFRS 2 (or FRS 102 s 26) charge itself; the company gets the statutory Part 12 deduction instead (broadly market value less consideration, in the period the employee acquires the shares; lapsed options nothing, s 1038A). Chapter 7 owns that relief. The point here is method: the courts followed the accounts, and when Parliament wanted a different answer, it legislated.

Loan relationships and derivatives follow profit or loss.

The loan relationship rules apply the same philosophy with a sharper edge (chapter 12 owns the regimes):

Rule	Reference
Amounts brought into account are those recognised in determining profit or loss under GAAP	CTA 2009 s 307(2), s 308(1)
Amounts in OCI are taxed only when recycled into profit or loss	s 308(1A)
Same for derivative contracts	ss 595, 597
Any GAAP-compliant basis may normally be used	s 313(1)
Connected companies relationships: amortised cost compulsory, even if the accounts fair value	s 349

Rule	Reference
Certain fair value movements on hedging derivatives left out, since 2015 only by election or in automatic cases	Disregard Regulations, SI 2004/3256 regs 6A–9

An entry made directly in **equity** is not an amount recognised in profit or loss at all. *Union Castle Mail Steamship Co Ltd v HMRC* [2020] EWCA Civ 547, decided under the older derivative rules, concerned a scheme that tried to turn an equity entry on derivatives (the derecognition of FTSE put options, debited to equity) into a £39.1m tax debit; the Court of Appeal held the amount did not count, and the appeals (with Ladbroke's) were dismissed. Today's profit-or-loss focus makes that kind of scheme harder still.

In our invented group, Tarnmoor Finance Ltd hedges its £550m listed notes with an interest rate swap designated as a fair value hedge. Since 2015 the Disregard Regulations' hedging rules (regs 7–9) apply only by election (reg 6A) or in the automatic cases HMRC lists; TFL has made no election and, on HMRC's guidance, because its notes are themselves taxed in line with the accounts, the swap simply follows profit or loss (chapter 12).

Provisions, present obligations and the general reserve.

A provision is an accountant's estimate of a cost the business has become committed to but not yet paid. It is where the shadow most often parts company with the cash, so it is where HMRC looks hardest.

HMRC's view (BIM46510): a provision is deductible if 1. it is made in accordance with GAAP; 2. it relates to revenue, not capital, expenditure; 3. it does not conflict with a statutory rule about when the expense is allowed (BIM46565: for example s 1288 unpaid remuneration; FA 2004 s 196 pension contributions, deductible when paid); and 4. it is estimated with sufficient accuracy (BIM46555).

The accounting test now has teeth. IAS 37 and FRS 102 Section 21 allow a provision only where there is a present obligation from a past event, an outflow is probable, and the amount can be reliably estimated. HMRC's manual (BIM46550) points out that today's standards would **not** allow *Britannia Airways'* provision for overhauling engines on aircraft the company owns: no present obligation exists until the work is done. The tax law has not changed; the accounts have, and the tax has followed them.

The capital test catches provisions for costs that would themselves be capital (a write-down of plant; demolition of a building). **The timing test** catches provisions a statute overrides (unpaid pay beyond 9 months; pensions on a paid basis). **The accuracy test** catches round-sum guesses (*Southern Railway of Peru* is the classic authority on imprecise provisions [S, via secondary commentary]).

General versus specific bad debt provisions. A general provision (a reserve against unidentified customers' default, often a flat percentage of debtors) is not an estimate of any particular loss, so it is not deductible. A specific impairment of a named customer's debt, properly estimated, is deductible. For companies, trade debts are money debts and impairment losses on them come in through the loan relationship rules (CTA 2009 Part 6 Ch 2, relevant non-lending relationships; HMRC BIM42701 notes that companies' bad trade debts are dealt with under the loan relationship rules; CTA 2009 s 55 now deals only with non-money debts). Modern expected credit loss accounting (IFRS 9) blurs the old general/specific line; that debate is beyond the exam. **In an exam question, follow the examiner's label.**

Worked example: the direction of a general provision (illustrative, not story)

For this example, suppose a company's general bad debt provision falls from £50,000 to £30,000. The accounts show a £20,000 **credit** in profit. Because the increases were never deductible, the release is not taxable: **deduct £20,000** in the computation. Had the provision risen by £20,000, you would **add back** £20,000.

Calder's restructuring provision (GY3)

Now a moment from our invented case. On **15 June GY3**, Calder Valve Engineering Ltd (the regional manufacturer *The Living Law* followed, invented for that book, and by now a Tarnmoor subsidiary reporting under FRS 101) announces the closure of its process valves division. The announcement gives staff a valid expectation that the closure will happen: under IAS 37 a constructive obligation, so a provision is recognised.

Worked example: Calder's restructuring provision, 9-month AP 1 April to 31 December GY3 (invented)

Component	Charged in AP (£)	Paid by 31 Dec GY3 (£)	Provided at 31 Dec GY3 (£)
Redundancy and notice pay (including Dan Hartley's package)	1,200,000	1,000,000	200,000 (paid March GY4)
Onerous supply contract (castings no longer usable)	400,000	200,000	200,000
Outplacement and retraining	200,000	100,000	100,000
Total	1,800,000	1,300,000	500,000

Tax analysis (Tom Hesketh, Tarnmoor's head of tax; invented): - GAAP-compliant (IAS 37 via FRS 101): yes. - Revenue, not capital: yes; Calder's trade continues in its other divisions, so redundancy costs are ordinary trading expenses; no asset write-down is included (the process-valve plant is sold to TVS on 1 October GY3 at £1.4m: a capital allowances disposal, chapters 8 and 11). - Statutory timing rules: the redundancy pay still owed is paid in March GY4, within 9 months of 31 December GY3, so s 1288 cannot bite whatever its scope; Dan's £10,000 pension contribution was paid on 30 September GY3 (FA 2004 s 196: paid basis satisfied). - Accuracy: specific obligations, carefully estimated.

Result: the whole £1,800,000 is deductible in Calder's 9-month AP to 31 December GY3.

Graham Pike (Calder's finance director, invented) asked whether the £500,000 still provided was deductible now. On HMRC's four tests, yes. Dan Hartley's package (statutory £9,012; ex gratia £60,000 of which £10,000 into his pension; PENP £25,000), told from his side in TKS chapter 9, is part of the redundancy line (his holiday pay of £3,800 is ordinary pay, outside the provision); chapter 7 deals with the employer's deduction for each element.

Exam lens: provisions and impairments - Grade: impact of accounting standards **1**; Part 20 **1**. - **Past appearances:** M23 Q1 (20 marks): a **general bad debt provision** movement was a credit, not a debit; the examiners reported this as the common mistake in an otherwise well answered computation. N24 Q4 (20 marks): impairments of a trade debt (deductible) versus a loan to a fellow subsidiary (connected loan relationship: no debit, CTA 2009 s 354). M25 Q2 (15 marks): impairment of **land** (capital: add back). N23 Q4 (20 marks): **capitalised revenue expenditure** handled badly (it should be deducted unless capital allowances apply or it is truly capital). - **Traps:** the direction of a provision movement;

treating a capital write-down as deductible; forgetting that a specific timing rule (s 1288, FA 2004 s 196) overrides an accrual. - **Layout:** start from profit before tax; one line per adjustment with the reason and authority; £ or £000 throughout, never both.

When the accountants change their minds.

Accounting policies change: a new standard arrives, a group imposes its rulebook on a company it buys, or a company adopts a policy that gives a truer picture. Each time, income or expense can fall between two stools: taxed twice, or never taxed.

CTA 2009 Part 3 Chapter 14 (ss 180–187) stops both outcomes.

Element	Rule	Reference
When it applies	A company changes, from one period of account to the next, the basis on which it calculates trade profits; the old basis accorded with the law and practice for the earlier period and the new basis with the law and practice for the later period	s 180(1)
What is a change of basis	(a) a change of accounting policy , expressly including UK GAAP to IAS and IAS to UK GAAP (s 180(4)); HMRC treats any change of accounting framework as a change of policy (BIM34050); or (b) a change in the tax adjustments applied, including a change of view as to what the law requires	s 180(3), (4), (6)
What is not	A change made to comply with amending legislation not applying to the previous period (s 180(5)); a prior period adjustment correcting a material error (the old basis was not valid: BIM34135)	s 180(5)
Computing the adjustment	Step 1: understatements (receipts that fell out of the old periods untaxed; expenses deducted twice; stock and WIP mismatches; depreciation not adjusted); Step 2: overstatements; net = adjustment	s 182
Timing	Positive adjustment = receipt ; negative = expense ; either way arising on the first day of the first period of account on the new basis. No general spreading for CT	s 181
No double relief	Expenses deducted under the old basis that would be deducted again under the new: no adjustment and no further deduction	s 183
Stock and depreciation	Where the change is a tax adjustment affecting stock or depreciation, the receipt or	s 184

Element	Rule	Reference
	expense is deferred until the asset is realised or written off	
Mark to market	Trading stock moved from realisation basis to fair value: receipt deferred to realisation (s 185) or a 6-period spreading election at one-sixth a year, made within 12 months of the end of the first new-basis period (s 186)	ss 185–186

Property businesses have the equivalent rules in CTA 2009 ss 261–262; partnerships in ss 1267–1269.

Calder changes its rulebook.

Back to our invented case, a year earlier. Tarnmoor bought Calder on **1 April GY1**; Calder kept its 31 March year end, and its accounts for the AP to 31 March GY2 were still prepared under FRS 102. From **1 April GY2**, group policy applies and Calder reports under **FRS 101**.

The switch is a change of accounting policy within Chapter 14 (both frameworks valid for their periods). In our invented case, applying the group's IFRS 15 revenue policies (as FRS 101 requires) brings forward revenue on part-completed installation contracts: revenue that Calder's old policy would have recognised in the new period is, on the new view, already earned in the old one. Without Chapter 14 it would never be taxed.

Worked example: Calder's change of basis (invented; AP 1 April GY2 to 31 March GY3)

	£
Step 1: understatement (revenue earned before 1 April GY2 on the new basis, not recognised under the old)	400,000
Step 2: overstatements	nil
Net adjustment: receipt arising on 1 April GY2 (s 181)	400,000
Taxed in the AP to 31 March GY3, in full (no spreading)	400,000
Additional CT at 25%	100,000

Instalments. Calder is a very large company in the Tarnmoor group (chapter 3 explains the thresholds and the divisor), so it pays in months 3, 6, 9 and 12 of the AP:

Instalment due	Additional amount (£)
14 June GY2	25,000
14 September GY2	25,000
14 December GY2	25,000
14 March GY3	25,000

Instalment due	Additional amount (£)
Total	100,000

Graham Pike’s cash forecast had assumed the change cost nothing, because the group’s consolidated (IFRS) accounts were unaffected. The tax function’s job is to spot the gap before the first instalment, not after it.

Leases come onto the balance sheet.

For decades a tenant’s accounts showed rent as an expense, and the tax computation deducted it. Then the accounting changed. Under **IFRS 16** (periods beginning on or after 1 January 2019) a lessee no longer distinguishes finance and operating leases: almost every lease goes on balance sheet as a **right-of-use (RoU) asset** with a **lease liability**, and the profit and loss account shows depreciation plus interest instead of rent. Short-term (12 months or less) and low-value leases are exempt.

FRS 102 has followed. The FRC’s Periodic Review 2024 amendments (new Section 20 Leases; new Section 23 Revenue) apply to **accounting periods beginning on or after 1 January 2026** (early application permitted if all amendments are applied together). FRS 102 transition uses a modified retrospective approach only (comparatives not restated; cumulative effect to opening reserves), so adjustments arise less often than under IFRS 16, because the liability usually equals the RoU asset (BLM17050, BLM52005) [S]. In our invented case, Calder adopted the amended standard in the year TKS followed it through (its year to 31 March 2027, the first beginning after 1 January 2026).

Parliament’s two instincts. FA 2011 s 53 froze the tax treatment of leases against accounting change. When IFRS 16 arrived, **FA 2019 Sch 14** took the opposite view: para 11 repealed the freeze, and **Part 3 (paras 12–17)** let tax follow the new accounts with a cushion.

The cushion: spreading. For lessee periods of account beginning on or after 1 January 2019, where a change of accounting policy results in an RoU asset being first recognised (for a lease that would not be a finance lease if classification were required), any change-of-basis receipt or expense under CTA 2009 Part 3 Ch 14 (or ss 261–262) is spread over the **spreading period: the weighted average remaining lease term**. Each lease’s share of the total net adjustment is multiplied by its unexpired term and the results summed (Steps 1–5); amounts are apportioned by days. The spread follows a lease transferred to a connected UK-taxable transferee where there is no avoidance (para 15), accelerates on cessation (para 16), and covers portfolios (para 17). The rule is not tied to IFRS 16 by name, so it **automatically covers FRS 102 (2024) adopters**; HMRC BLM52005 confirms that transition adjustments from adopting a standard introducing RoU assets are spread. No FA 2026 provision was needed.

Worked example: lease transition spreading (illustrative; “for this example, suppose”)

Suppose Calder’s transition to the amended FRS 102 left a net expense of £90,000:

Lease	Adjustment (£)	Share of total	Remaining term (years)	Weighted term (years)
Warehouse	60,000	2/3	8	5.333
Forklift fleet	30,000	1/3	2	0.667

Lease	Adjustment (£)	Share of total	Remaining term (years)	Weighted term (years)
Total	90,000	1		6.000

Spreading period 6 years: deduction **£15,000 a year** (apportioned by days in any short period) instead of £90,000 at once.

Beyond transition, the tax law is unchanged. HMRC’s guidance (BLM50010) says the FA 2019 changes were designed to give “no tax advantage or disadvantage to lessees”. HMRC’s view is that the tenant typically deducts the depreciation and interest; capital elements inside the RoU asset (premiums, SDLT, fit-out, payments to a previous tenant, dilapidations) must be stripped out (BLM50005, BLM50010; ICAEW, 23 March 2026) [S]. Every lease must still be tested against the **long funding lease** rules (CAA 2001 ss 70A–70YI; CTA 2010 ss 377, 377A, 379): a long funding lease of plant gives the lessee capital allowances and restricts its revenue deduction (chapter 9).

CIR interaction. TIOPA 2010 s 426 (amended by FA 2019 Sch 14 para 18) brings the spread amounts into the CIR group computations; para 19 excludes certain lessee change-of-policy amounts; TIOPA s 494 defines a “right-of-use lease”. The ICAEW’s reading is that interest on a lease liability counts as tax-interest only where the lease would have been a finance lease under the old classification, so for leases that would have been operating leases there should be no CIR impact, but an implicit classification test means the old classification must be kept in the records [S]. Chapter 28 picks this up.

The spreading myth.

Misconception: “a change of accounting standard can be spread for tax.” Usually it cannot. People believe it because the most famous recent change (leasing) was spread, and the loan relationship rules spread some amounts; the exception is mistaken for the rule.

The rule is Chapter 14’s: a trading change of basis is taxed or relieved **in full on the first day of the new basis**. That includes the revenue change in the amended FRS 102 (Section 23: a five-step model aligned with IFRS 15). The ICAEW warned on 23 March 2026 that FRS 102 transition profits could push a company into QIPs (payments “as early as 14 March 2026” for some 31 December 2026 year ends), into very large company QIPs, or over the £5m deductions allowance for carried-forward losses, in a single year [S].

Only three established routes to spreading:

Route	What is spread	How	Reference	Status
Lease transition	Change-of-basis adjustment on first recognising RoU assets	Weighted average remaining lease term, by days	FA 2019 Sch 14 Part 3	V
Mark-to-market election	Trading stock moved to fair value	One-sixth a year over 6 periods (election within 12 months of the end of the first new-basis period)	CTA 2009 s 186	V
COAP Regulations	Prescribed loan relationship and	One-tenth a year over 10 years (reg 3A); IFRS 9 own-credit amounts	SI 2004/3271 as amended	S (amended text not on legislation.gov.uk; CFM76090)

Route	What is spread	How	Reference	Status
	derivative transition amounts	over 5 years at 40%, 25%, 15%, 10%, 10% (reg 3A(2A)); acceleration if the company leaves the CT charge (with exceptions)		

Worked example: the COAP patterns (illustrative)

A prescribed transition debit of £300,000: £30,000 a year for 10 years. An own-credit transition amount of £200,000: £80,000, £50,000, £30,000, £20,000, £20,000 over 5 years (total £200,000).

“Prescribed” amounts are those under CTA 2009 ss 308 and 597 (prior period adjustments) and ss 316, 318, 614 and 615 (carrying value differences), excluding instruments maturing in the transition period (except IFRS 9 impairment transition amounts) (CFM76080) [S]. The COAP Regulations were made on 9 December 2004 for the move to IAS 39 and FRS 26 and now cover FRS 101/102 (2015) and IFRS 9 (2018) transitions (CFM76010).

Loan relationship transitions outside COAP (CTA 2009 ss 315–316; derivatives ss 613–615). Where a change of accounting policy (or a change to comply with Part 5) means the tax-adjusted carrying value at the end of one period differs from that at the start of the next, a credit or debit equal to the difference is brought in for the later period. A change to comply with amending legislation not applying to the earlier period is excluded (s 315).

So the honest answer to a finance director who asks whether a change of standard can be spread is a question back: which change, and under which rule?

Exam lens: change of accounting basis - Grade: impact of accounting standards **1** (the LCG prospectus expects “an understanding of current accounting issues relevant to tax such as deferred tax, profit recognition and share schemes”). - **Past appearances:** not the main focus of any M23–M26 question; a natural add-on to a computation or an “advise the CFO” requirement on a GAAP transition. - **What earns marks:** (1) identify Chapter 14 and why it applies (change of policy between valid bases); (2) compute the adjustment; (3) say it arises on day one of the new basis and is taxed in that AP; (4) state that no spreading applies (unless leases, s 186 or COAP); (5) the knock-ons: QIPs, the £5m allowance, CIR, deferred tax (chapter 6). - **Traps:** spreading a revenue transition; treating an error correction as a change of basis; treating a change forced by new legislation as within Chapter 14; forgetting that a change of view of the law **is** a change of basis (s 180(6)).

Accounts in another currency.

Some businesses do not think in pounds. A UK company that buys, sells and borrows mainly in euros may find that its accounts measure everything in euros: its **functional currency** is the currency of the primary economic environment in which it operates.

CTA 2010 Part 2 Chapter 4 (ss 5–17).

Section	Rule
s 5	Basic rule: taxable total profits are calculated and expressed in sterling
s 6	UK resident company whose accounts are in a currency other than sterling but whose functional currency is sterling: profits calculated in sterling as if the accounts had been prepared in sterling
s 7	UK resident company whose functional currency (or, for an investment company, designated currency) is not sterling: profits calculated in that currency
s 8	Residual rule: accounts in a non-sterling currency, outside ss 6 and 7 (for example where the functional currency is the accounts currency): profits calculated in the accounts currency
s 9A (with ss 9B–9C)	Designated currency election for a UK resident investment company (Condition A: HMRC reads it as a significant proportion of assets and liabilities in that currency; or Condition B); profits computed as if the designated currency were the functional currency (s 9A(9), as substituted by F(No.2)A 2015); periods of account beginning on or after 1 April 2011 (CFM64510)
s 11	Translation into sterling: HMRC (CFM64330, CFM64170) says the average rate for the period or an appropriate spot rate (a just and reasonable blend where several transactions); an average rate usually appropriate; method applied consistently
ss 12–17	Losses carried back or forward between periods with different tax calculation currencies: special translation rules (for example s 15: translate into the later currency at the start of the first affected period, then to sterling at the later period's s 11 rate)

Status: ss 5–8 from the legislation.gov.uk explanatory notes and FA 2011 Sch 7 amendments; ss 9A and 11 from HMRC's manual (search extracts, 9 October 2026). The full current text was not opened.

Worked example: euro functional currency (illustrative; not story)

For this example, suppose a UK subsidiary with a euro functional currency has taxable profits of €4,600,000. At the book's **assumed** rate of €1.15 per £ (invented for illustration; never a real rate): £4,000,000. CT at 25%: **£1,000,000**. The point: exchange movements on its euro assets and debts largely drop out, because tax is measured in euros; its sterling items now generate the exchange differences.

Exchange gains and losses on loans are loan relationship amounts (CTA 2009 s 328(1)), except translation differences on a translation of results into another currency recognised in **OCI** (s 328(3)); for investment companies, no amount arises only from a change of functional currency (s 328(3B)). Matching of liabilities hedging shares: Disregard Regulations reg 3 (chapter 12).

Exam lens: foreign currency - Grade: the LCG grid's core row "Calculation of liability in respect of profits" (grade 1) is not limited to sterling (the OMB row reads "excluding foreign currency"); the LCG narrative syllabus names "profits accounted for in a foreign currency and the functional currency election" and "exchange gains and losses". - **Past appearances:** none as a main topic M23–M26. Expect add-on marks. - **Traps:** translating each line instead of the final profit; forgetting that the designated currency election is for **investment companies** only.

Going further: the tax function and accounting change.

Going further

For a group tax function, accounting change is a project, not a footnote. Four tasks recur.

1. **Get a seat at the table early.** When a group moves a subsidiary onto its policies (as Tarnmoor did with Calder), model the Chapter 14 adjustment **before** the first day of the new basis. A positive adjustment is taxed at once, through instalments that may start in month 3.
2. **Quantify the cash effect separately from the accounting effect.** A change that leaves the consolidated accounts untouched can still move a subsidiary's CT, its QIPs, its use of carried-forward losses (the £5m allowance), the group's CIR position (tax-EBITDA and tax-interest) and its deferred tax (chapter 6).
3. **Document provisions as they are made.** HMRC's four tests are factual. A board paper with the announcement date, the people affected and the basis of each estimate is the evidence that wins an enquiry years later (chapter 3 on enquiry windows for large-group companies).
4. **Connect accounting judgements to governance.** A provision reflecting uncertainty about a tax position can itself trigger notification under the uncertain tax treatment rules (FA 2022 Sch 17; chapter 4, where Tarnmoor Engineering's £24m ERP costs are the example). The SAO's certificate (FA 2009 Sch 46) depends on accounting systems that get these adjustments right.

Judgement and ethics. A company may face a choice of accounting policy that happens to defer tax. Choosing a policy because it gives a truer picture is ordinary. Choosing it only for the tax, especially across group companies, invites s 996, the loan relationship purpose tests (s 441, chapter 12), and the PCRT question every adviser should ask (TKS chapter 4).

How the examiner tests it.

Exam lens: tax follows the accounts (whole chapter) - Grades (2026 grid, LCG column): impact of accounting standards on taxable profits 1; general calculation rules, Part 20 CTA 2009 1; deferred tax 1 (chapter 6). At least 70% of the CT element comes from core material. - **How it appears:** rarely a whole question; accounting items run through every computation (M23 Q1, N23 Q4, M24 Q6, N24 Q4, M25 Q2, M25 Q4, N25 Q1, M26 Q4), increasingly with a tax-accounting tail. - **What the examiners said:** M23 Q1, the general bad debt provision credit taken in the wrong direction; N23 Q4, capitalised revenue expenditure handled badly; N24 Q4, impairments split between a trade debt and a loan to a

fellow subsidiary; M25 Q2, impairment of land; M26 Q4, errors of direction when adjusting the accounting profit, and inconsistent units (£ versus £000). - **Style:** technical prose and computation; no letter format; 0.5–1 mark per point; “Calculate, with explanations”. - **Layout:** profit before tax → adjustments (each labelled with reason and authority) → tax-adjusted trading profit → capital allowances → other income → total profits → reliefs → TTP → CT. One unit throughout. - **Traps:** adding when you should deduct (and vice versa); general versus specific provisions; capital write-downs; s 1288 and pension timing overriding accruals; spreading a change of basis that cannot be spread; mistaking a change forced by legislation or an error correction for a Chapter 14 change; forgetting OCI amounts are not taxed until recycled. - **Check the 2027 grid** when published: a grade change would not be expected here, but confirm.

What to take away.

The chapter asked whether the tax bill changes when the accountants change their minds. Mostly, yes. Tax follows the accounts by Parliament’s deliberate choice, because accounts are already prepared, audited and built to measure profit over time. But the law nails the shadow down wherever it chooses to.

- **s 46 CTA 2009:** GAAP, subject to adjustments required or authorised by law. Accounts decide timing and measurement; the law decides capital/revenue, wholly and exclusively, and statutory blocks.
- **Cases:** *Odeon*, *Gallagher*, *Britannia Airways* built the principle; *NCL* [2022] UKSC 9: a properly computed debit counts unless a statute removes it, cash or no cash; *GDF Suez Teesside* [2018] EWCA Civ 2075: a statutory test overriding correct accounts.
- **Part 20:** ss 1288, 1290–1297, 1298, 1301B, 1303, 1304, 1305, and new s 1305B (FA 2026, APs beginning on or after 26 November 2025).
- **Loan relationships and derivatives:** profit or loss; OCI only when recycled; amortised cost between connected companies.
- **Provisions:** GAAP, revenue, no statutory timing conflict, accurate (HMRC BIM46510). General provisions not deductible; watch the direction. *Calder*’s £1.8m restructuring provision deductible in its 9-month AP.
- **Change of basis:** Ch 14, ss 180–187: day one of the new basis, no general spreading. *Calder*’s FRS 101 move: + £400,000, CT £100,000, +£25,000 per instalment.
- **Spreading routes:** leases (FA 2019 Sch 14), s 186 mark to market (6 periods), COAP (10 years; own credit 5 years at 40/25/15/10/10).
- **Leases:** amended FRS 102 for periods beginning on or after 1 January 2026; tax law unchanged; records matter.
- **Mixed frameworks:** CTA 2010 s 996.
- **Currency:** sterling, or the functional currency where that is not sterling, translated at (usually) an average rate; designated currency election for investment companies (s 9A).

The accounts give tax its profit. Chapter 6 turns to the other side of the same page: the tax charge the accounts must show, and the deferred tax that measures what the timing differences will cost in years to come.

Key rules and figures

Topic	Rule or figure	Reference	Status
Starting point	GAAP subject to adjustments required or authorised by law	CTA 2009 s 46	V
Meaning of GAAP	UK GAAP (true and fair) or IAS	CTA 2010 s 1127	V
Mixed GAAP	Both treated as UK GAAP where the mismatch gives a tax advantage	CTA 2010 s 996	V
Part 20	ss 1288–1309 (unpaid remuneration 9 months; EBCs; entertaining; QCDs; penalties; crime; distributions; s 1305B)	CTA 2009	V
s 1305B	Non-derecognition liabilities; APs beginning on or after 26 November 2025	FA 2026 s 63	V
LRs and derivatives	Profit or loss; OCI when recycled; amortised cost if connected	CTA 2009 ss 307–308, 349, 595, 597	V
Provisions	GAAP; revenue; no statutory timing conflict; sufficient accuracy	BIM46510 (HMRC view)	S
Change of basis	Day one of the new basis; no general spreading	CTA 2009 ss 180–182	V
Mark to market	6-period spreading election; within 12 months	CTA 2009 s 186	V
Lease transition	Weighted average remaining lease term	FA 2019 Sch 14 paras 12–17	V
COAP	Prescribed amounts 1/10 a year for 10 years; own credit 40/25/15/10/10	SI 2004/3271 reg 3A	S
FRS 102 Periodic Review 2024	Periods beginning on or after 1 January 2026	FRC	S
IFRS 16	Periods beginning on or after 1 January 2019	IASB	S
Currency	Sterling; functional currency; designated currency (investment companies); s 11 translation	CTA 2010 ss 5–17	S (statute not opened in full)
Calder (invented)	FRS 101 from 1 April GY2: + £400,000 receipt; CT £100,000; +£25,000 per QIP	—	I
Calder (invented)	Restructuring provision £1.8m, 9-month AP to 31 December GY3, fully deductible	—	I
CT rate	25% (FY2026)	FA 2025 s 13; FA 2026 ss 11–12	V

Statutory and case references

Statute - CTA 2009 ss 46, 53, 54, 55, 180–187, 261–262, 297, 307, 308, 313, 315–316, 328, 349, 354, 595, 597, 613–615, 1038, 1038A, 1267–1269, 1288–1305B (Part 20) - CTA 2010 ss 5–17 (Part 2 Ch 4), 377, 377A, 379, 996, 1127 - FA 2019 Sch 14 (paras 11–19); FA 2011 s 53 (repealed) - FA 2026 s 63 (CTA 2009 s 1305B); FA 2013 s 40; FA 2004 s 196 - TIOPA 2010 ss 426, 494 - SI 2004/3271 (Loan Relationships and Derivative Contracts (Change of Accounting Practice) Regulations 2004); SI 2004/3256 (Disregard Regulations)

Cases - *HMRC v NCL Investments Ltd* [2022] UKSC 9 - *GDF Suez Teesside Ltd v HMRC* [2018] EWCA Civ 2075 - *Union Castle Mail Steamship Co Ltd v HMRC* [2020] EWCA Civ 547 - *Odeon Associated Theatres Ltd v Jones* (1971) 48 TC 257 (CA) - *Gallagher v Jones* (1993) 66 TC 77 (CA), [1994] Ch 107 - *Johnston v Britannia Airways Ltd* (1994) 67 TC 99, [1994] STC 763

HMRC guidance - BIM31020, BIM31095, BIM34050, BIM34135, BIM42701, BIM46510, BIM46550, BIM46555, BIM46565; BLM17050, BLM50005, BLM50010, BLM52005; CFM20030, CFM64170, CFM64330, CFM64510, CFM64520, CFM76010, CFM76080, CFM76090

Chapter six: Deferred tax and the tax charge.

After the November 2025 sitting of this paper, the examiners wrote a sentence every candidate should read before the exam. Question 1 had asked for “the total tax charge required for the profit and loss account (current year tax charge and deferred tax charge), and the closing deferred tax balance”. In the examiners’ words, “only a small number of candidates calculated the deferred tax charge”. Most referred only to balances, and many dealt with fixed asset timing differences and forgot the short-term ones.

So here is the question this chapter answers. Why does a company that owes HMRC £750,000 report a tax charge of £950,000? And why is the higher figure, not the lower one, the honest number for a shareholder to read?

This is the second chapter of Part Two, on measuring profit. Chapter 5 showed that taxable profit starts from the accounts; this chapter runs the other way and shows how the accounts report the tax. Deferred tax is a **core (grade 1)** item on the LCG grid. *The Living Law* (TKS) signposted deferred tax but never taught it, so we start from first principles and go to Advanced Technical depth.

Two numbers for one year.

Every company’s profit and loss account carries one line for tax. Behind it sit two numbers:

- **Current tax:** the corporation tax the company expects to pay HMRC for the period, computed on taxable total profits, plus adjustments for earlier periods.
- **Deferred tax:** an accounting measure of the tax effects of items that the accounts and the tax computation recognise in different periods.

Together they make the **total tax charge:** the number analysts divide by profit before tax, and the number the examiner asks you to compute.

Our running case is the invented Tarnmoor group, a listed engineering group whose companies, people and figures are all made up for teaching. On 1 April GY1, Tarnmoor plc bought Calder Valve Engineering Ltd, the invented manufacturer from *The Living Law*. Calder kept its 31 March year end; its first year end inside the group is **31 March GY2**.

For that year, in our invented case, Calder’s taxable total profits are **£3.0m**. At 25%, its corporation tax is **£750,000**. Its RDEC of **£400,000** is set off against that liability (step 1), so the cash it sends HMRC is **£350,000**. Yet Calder’s accounts show a tax charge of **£950,000**.

Misconception: “deferred tax is tax you owe HMRC”. It is not. HMRC never assesses deferred tax, never sends a bill for it and never refunds a deferred tax asset. Deferred tax exists only in the financial statements. It measures how today’s transactions will change tomorrow’s tax bills, so that the accounts report the tax consequences of this year’s profit in this

year. People believe the myth because the balance sheet line is called a “liability” and because, for a growing company, it usually is real future cash. But the “creditor” is the company’s own future tax computation, not HMRC.

The gap between £750,000 and £950,000 is £200,000 of deferred tax. By the end of this chapter you will be able to build it from the ground up.

Law year. FY2026 (1 April 2026 to 31 March 2027). The main rate is 25% (FY2026 by FA 2025 ss 13–14, which also set the 19% small profits rate); FA 2026 ss 11–12 set the FY2027 main rate at 25%, the small profits rate at 19% and the marginal relief fraction at 3/200. Every balance in this chapter is measured at 25%.

Why the accounts need deferred tax.

Accounting rests on matching (accruals): income and the costs of earning it belong in the same period. Tax is a cost of earning profit, so the tax charge should broadly follow the profit that produced it.

Corporation tax does not cooperate. It recognises many items in a different year from the accounts:

Item	Accounts	Tax	Authority
New main-rate plant	Depreciated over its useful life	Full expensing in year 1	CAA 2001 s 45S
Bonus / cash LTIP unpaid 9 months after the period end	Accrued this year	Deducted when paid	CTA 2009 s 1288
Pension contribution accrued	Accrued this year	Deducted when paid	FA 2004 s 196
Contribution to an EBT	Charged when paid to the trust	Deducted when qualifying benefits are provided	CTA 2009 s 1290
Share option charge	Fair value over vesting period	No deduction; Part 12 relief on acquisition of the shares	CTA 2009 s 1038; Part 12

If the tax line showed only current tax, the reported rate would swing from year to year for reasons unrelated to how profitable the company is.

Analogy: the bill in the post. The timing difference has already happened: the profit has been earned, or the cost spent. The tax consequence has not landed, but it is on its way and its amount is known with reasonable confidence. A prudent householder who knows the gas bill is in the post does not pretend the winter was free.

The precise rule. A **deferred tax liability** (DTL) records tax that will become payable in future periods because of differences existing at the balance sheet date. A **deferred tax asset** (DTA) records tax that will be saved in future periods. The **movement** in those balances is the deferred tax charge or credit. It is recognised in profit or loss when the underlying item went through profit or loss, and in other comprehensive income or equity when the underlying item went there.

The charge is a movement, not a balance. The N25 question asked for both. Always compute opening position, closing position and the difference.

There is a cash story too: a large DTL tells a reader that the company has paid less tax so far than its profits suggest and will pay more later. Lenders and analysts read the deferred tax note for exactly that reason.

Temporary differences and timing differences.

There are two accounting languages for deferred tax in the UK, and a group tax adviser must speak both.

IAS 12 Income Taxes governs Tarnmoor's consolidated accounts (a listed group reports under UK-adopted international accounting standards) and any subsidiary using **FRS 101** (IFRS recognition and measurement with reduced disclosure; chapter 5 tells Calder's move to FRS 101 from 1 April GY2).

IAS 12 is a **balance sheet** approach. For each asset and liability it compares the **carrying amount** with the **tax base** (broadly, the amount deductible for tax in future):

- carrying amount of an asset > tax base → **taxable temporary difference** → DTL;
- carrying amount of an asset < tax base, or a liability that will be deductible when settled → **deductible temporary difference** → potential DTA.

FRS 102 Section 29 (Calder's framework until 31 March GY2) is a **profit and loss** approach. It recognises deferred tax on **timing differences** (gains and losses recognised in the accounts in a different period from the tax computation) and then **adds** items that are not strictly timing differences: deferred tax on fair value adjustments in a business combination, and on revaluations. The ACCA calls this the "timing differences plus" approach [ICAEW helpsheet and ACCA In Practice: secondary].

Permanent differences create no deferred tax in either language: a regulatory fine (CTA 2009 s 1303 territory), depreciation on a building that attracts no allowance, customer entertaining. They change the effective rate permanently.

For most items in a trading company the two languages give the same answer: plant (NBV less TWDV), unpaid bonuses and pension accruals work the same way. They part company at the edges: share schemes, the IAS 12 initial recognition exception, and business combinations.

Exam lens: which standard? - Grade: deferred tax **1 (core)**; impact of accounting standards **1** (2026 grid, v2 extract). The 2026 Prospectus says an understanding of "deferred tax, profit recognition and share schemes" is expected for LCG. - **Read the question:** M26 Q6 concerned "a new company reporting under IFRS": an IAS 12 question. Use its vocabulary (carrying amount, tax base, temporary difference). - **Check the 2027 grid** when published; no change in grade is expected but none is confirmed.

Liabilities always, assets only when probable.

The recognition rules are deliberately asymmetrical.

Liabilities. IAS 12 requires a DTL for **all** taxable temporary differences, subject to a short list of exceptions; Section 29 does the same for timing differences. A company cannot decline to book a DTL because it hopes the difference will never reverse or plans more full expensing to keep it rolling. The M26 examiners' report made the point: liabilities are always provided.

Assets. A DTA is recognised only to the extent that it is **probable** that taxable profit will be available to absorb the deduction. Section 29 applies the same idea (and para 29.7 adds, for losses, that their existence is itself evidence against future profits [ICAEW helpsheet: secondary]). It is a judgement, and it is where the auditors spend their time.

IAS 12 gives two sources of comfort:

1. **Taxable temporary differences** (para 28): sufficient taxable temporary differences relating to the **same taxation authority** and the **same taxable entity**, expected to reverse in the same period as the deductible difference or in periods to which a resulting loss can be carried back or forward. So an asset can be recognised up to the amount of suitable liabilities. This was the M26 Q6 point: a tax loss can be recognised as an asset to offset the liability from accelerated capital allowances.
2. **Forecast taxable profit** (paras 29, 34–36): here the standard is stern. “The existence of unused tax losses is strong evidence that future taxable profit may not be available” (para 35). An entity with a history of recent losses needs sufficient taxable temporary differences or “convincing other evidence”.

Exceptions to the liability rule that matter here:

- **Goodwill** (para 15(a)): no DTL on the initial recognition of goodwill.
- **Initial recognition exception** (paras 15(b), 24): no deferred tax for an asset or liability first recognised in a transaction that is not a business combination and affects neither accounting nor taxable profit. The **May 2021 amendment** (*Deferred Tax related to Assets and Liabilities arising from a Single Transaction*; annual periods beginning on or after 1 January 2023) removed the exception where the transaction gives rise to **equal taxable and deductible temporary differences**. Leases and decommissioning obligations are the main examples: a lessee recognises deferred tax on both the right-of-use asset and the lease liability.
- **Pillar Two** (para 4A): below.

Measurement rules: deferred tax is **never discounted** (para 53); DTAs and DTLs are offset in the balance sheet only where they relate to taxes levied by the same authority and there is a legally enforceable right of set-off [IAS 12 para 74: not opened; general statement].

Which rate, and when.

Deferred tax is measured at the rate expected to apply when the difference reverses, using rates and laws **enacted or substantively enacted** by the balance sheet date (IAS 12 para 47; FRS 102 para 29.12).

Substantive enactment in the UK. A rate is substantively enacted when the Bill containing it has passed all its House of Commons stages (the Lords can debate a rate but cannot change it), or when it is in a resolution having statutory effect under the Provisional Collection of Taxes Act 1968 [ICAEW; professional sources: secondary].

The real illustration: 2021. The March 2021 Budget announced a rise in the main rate from 19% to 25% from 1 April 2023. The Finance Bill completed its Commons stages on **24 May 2021** and received Royal Assent on **10 June 2021** (as FA 2021). UK GAAP and IFRS reporters with balance sheet dates on or after 24 May 2021 remeasured deferred tax at 25% for differences expected to reverse after 1 April 2023 (US GAAP reporters used Royal Assent). A DTL built up at 19% rose by almost a third ($25/19 = 1.316$) and the increase went straight through the tax charge. For balance sheets dated before 24 May 2021 the change was a non-adjusting post-balance sheet event, disclosed if material. That is the origin of the line “effect of changes in tax rates” in many reconciliations.

FY2026 and FY2027. FA 2026 (Royal Assent 18 March 2026) ss 11–12 fix FY2027 at 25% main rate, 19% small profits rate and 3/200 marginal relief fraction. For a large company, 25% is enacted for every reversal the examiner is likely to set. Use it, and say why.

Marginal relief companies measure at the rate they expect to pay on reversal (in 2021 practice, “up to 25%”). Every Tarnmoor company pays at the main rate (with nine associated companies in GY2, divisor 10, the limits are £5,000 and £25,000 per company), so the point never arises in the story.

Allowance changes are not rate changes. FA 2026 s 28 cut the main pool WDA from 18% to 14% for CT chargeable periods beginning on or after 1 April 2026 (hybrid rate for straddling periods). That does not remeasure existing deferred tax, because the rate of tax is unchanged; it changes the pattern of reversal, which matters to scheduling of DTAs, not to measurement.

The fixed asset difference.

In most trading companies the largest balance comes from capital allowances:

Fixed asset timing difference = NBV of assets qualifying for capital allowances – TWDV (pools and single asset pools), $\times 25\%$ = DTL (or DTA if TWDV exceeds NBV).

The trap is “qualifying”. Land never attracts allowances; including it creates a phantom difference (the M25 examiners reported that deferred tax answers sometimes wrongly included land). A building with no allowances is outside the comparison. The N25 suggested answer excluded £92,000k of land and buildings before comparing qualifying NBV £31,250k with TWDV £2,990k (difference £28,260k; DTL £7,065k, down from £8,375k: a credit of £1,310k). Buildings attracting SBA need more care and practice varies [flag: not researched].

Worked example: full expensing and deferred tax (Tarnmoor Engineering, GY2; invented)

TEL claims full expensing of **£9.0m** on new plant in GY2 (chapter 8). Ignoring depreciation in the year for simplicity:

£000	Current tax	Deferred tax	Total
Effect of full expensing $\text{£}9,000 \times 25\%$	(2,250)	2,250	0

The plant sits in the accounts near cost; its tax base is nil. **Full expensing is a cash benefit, not a reduction in the effective tax rate.** The company gains time, and the value of money over that time.

The **40% FYA** (CAA 2001 s 45U; main-rate plant, new and unused, expenditure on or after 1 January 2026; plant for leasing allowed under s 46(4B)) works the same way on a smaller scale. TEL’s **£800,000** of test rigs leased to customers: FYA £320,000 in GY2; the £480,000 balance joins the main pool after the WDA for the period and draws 14% from GY3 (CAA 2001 s 58(5)). Relief of £320,000 against a modest first-year depreciation charge, so a DTL builds.

Reversal. When a fully expensed asset is sold, the special balancing charge (CAA 2001 s 59A) brings the tax into current tax and the DTL unwinds. A company that keeps investing may see its DTL grow for years, which is why it is tempting, and wrong, to think it will never be paid.

Going further: talking to the board about full expensing. Boards often hear “full expensing saves 25%”. It saves 25% *now*, and costs it back later through lower future allowances or a balancing charge. The tax function’s job is to translate this into the cash flow forecast (lower instalments, which for a very large company fall in months 3, 6, 9 and 12 of the period) while making clear that the reported ETR will not move. Present value is the real benefit.

Short-term differences.

The second family is short-term. These are the ones candidates forget (N25, M25), so learn the list:

Item	Tax rule	Deferred tax
Remuneration (bonus, cash LTIP) unpaid 9 months after the period end	Deductible in the period paid (CTA 2009 s 1288)	DTA on the accrual
Pension contributions accrued, unpaid	Deductible when paid (FA 2004 s 196); spreading of large increases (s 197)	DTA on the accrual and on any amount spread forward
Employee benefit contributions (EBT etc.)	Deductible when qualifying benefits are provided, within 9 months, otherwise later; 5-year cut-off; tax and NIC paid within 12 months (CTA 2009 ss 1290–1297; chapter 7)	DTA while relief is deferred
General provisions (relief only when the expenditure is incurred or a loss specifically identified)	Deduction deferred	DTA
Specific provision deductible when made	Tax follows the accounts	None
Lease transition adjustment spread (FA 2019 Sch 14 Part 3; chapter 5)	Spread over the weighted average remaining lease term	Difference on the unspread balance

Direction. Accelerated allowances → **liabilities** (relief has come early). Accrued costs relieved later → **assets** (relief still to come). If you find yourself creating a liability from an unpaid bonus, stop. The M26 examiners reported candidates confusing assets with liabilities.

Short-term DTAs are usually easy to recognise: a profitable company paying its bonuses and pensions next year will have the profit to absorb the deductions. Recognition is a live judgement mainly for losses.

Calder’s first year end in the group.

Calder’s numbers, all invented, for its year to **31 March GY2**. Calder still reports under **FRS 102** for this year; FRS 101 applies from 1 April GY2 and does not affect these balances.

Worked example: Calder’s current tax (year to 31 March GY2; £000)

	£000	Note
Profit before tax (includes RDEC income £400k above the line)	3,800	Invented (story)
Add: depreciation of qualifying plant	600	Replaced by capital allowances; Calder's heavy plant has long useful lives, so its depreciation is low against its allowances
Less: capital allowances	(1,800)	Chapter 8
Add: LTIP and pension accruals unpaid at the year end (paid more than 9 months later / paid basis)	800	CTA 2009 s 1288; FA 2004 s 196
Less: opening accruals paid in the year	(400)	Deductible when paid
Taxable total profits	3,000	Invented (story)
Corporation tax at 25%	750	
Less: RDEC set off (step 1)	(400)	CTA 2009 Part 13 Ch 1A (s 1042I)
Payable (large, not very large: QIPs in months 7, 10, 13 and 16, 4 × £187,500 on the £750k before the RDEC; chapter 3)	350	

(The adjusted trading profit before RDEC of £2.6m (chapter 10) is £3,000k less the taxable RDEC of £400k. Calder has no permanent differences this year: a story simplification.)

Worked example: Calder's deferred tax (£000, 25%)

	31 March GY1 (opening)	31 March GY2 (closing)	Movement
Qualifying NBV		14,000	
TWDV		(8,400)	
Fixed asset timing difference	4,400	5,600	
DTL at 25%	1,100	1,400	300 charge
Short-term differences: LTIP accrual 600; pension accrual 200	(400)	(800)	
DTA at 25%	(100)	(200)	(100) credit
Net DTL	1,000	1,200	200 charge

The DTA is recoverable: Calder is profitable, and the reversing DTL alone would cover it.

Journal: Dr deferred tax charge (P&L) £200,000; Cr deferred tax liability £200,000 (net presentation; the DTA and DTL relate to the same company and authority).

Worked example: Calder's tax note and rate reconciliation (£000)

Tax charge	£000
Current tax: UK CT for the year	750

Tax charge	£000
Deferred tax: origination and reversal of timing differences	200
Total tax charge	950

Reconciliation	£000
Profit before tax	3,800
× 25%	950
Permanent differences	0
Total tax charge	950 (ETR 25.0%)

Current tax alone is $750/3,800 = 19.7\%$ of profit. Deferred tax has done its job: timing differences have dropped out of the reported rate. That answers the opening question.

Where does the RDEC go? The merged-scheme RDEC is taxable income in the computation and, in common practice, is presented **above the tax line** (as other income or a reduction in R&D costs, typically as a government grant), so it sits in profit before tax and the tax on it sits in current tax [practice and secondary commentary; not a statutory point]. Setting it against the CT liability is a payment mechanism, not a reduction of the tax charge.

In the invented story, Nadia Kerr, Tarnmoor's CFO, likes the result: low cash tax because of the allowances, a 25% book rate, no surprises.

Exam lens: laying out a deferred tax answer. - Past appearances: M24 Q2(b) (4 of 15 marks: deferred tax on vehicles only; some computed it for all assets); M25 Q2(b) (5 of 15: deferred tax movement; land wrongly included, bonus and pension differences missed); N25 Q1(b) (3 of 20: total tax charge and closing balance; “only a small number of candidates calculated the deferred tax charge”); **M26 Q6** (10 marks: a new IFRS company with full expensing, unpaid pensions, a tax loss and the recognition criteria). - **Style:** “Calculate” requirements; 0.5–1 mark per point: fixed asset difference, short-term difference, rate, recognition comment, movement, total charge. - **Layout:** fixed asset and short-term differences on separate lines; opening, closing, movement; then current + deferred = total. £ or £000 throughout, never both. - **Traps:** liabilities always provided; recognise a loss asset to offset a liability; a new company has **no b/f balances**; include short-term differences; land usually has no CA difference; compute the **charge**, not just balances.

Losses and the asset nobody books.

Tax losses carried forward reduce future tax, so in principle they support a DTA. In practice, this is where the recognition test bites hardest.

Brackenwell (invented). Tarnmoor bought Brackenwell Sensors Ltd on **1 July GY2**. Its pre-change losses were **£8.6m** (£5.3m + £0.7m + £2.6m). Potential DTA at 25%: **£2.15m**. Tarnmoor recognises **none**:

1. **General:** a company with a history of losses needs convincing other evidence of future profit (IAS 12 para 35); a venture-funded developer rarely has it.

2. **Tax law:** after a change in ownership, CTA 2010 Part 14 restricts the use of pre-change losses where (among other things) there is a major change in the nature or conduct of the trade; Brackenwell's switch to captive supplier makes that likely, and chapter 14 explains why the losses may never be usable. The accounts carry the asset at nil and disclose the unrecognised losses.

The loss restriction and scheduling. Carried-forward losses can be set against profits up to the **£5m deductions allowance** plus **50%** of profits above it (CTA 2010 s 269ZD and related provisions); a group shares one allowance, allocated by nomination. A group recognising a loss asset must schedule forecasts; the longer the horizon, the less is probable.

Worked example: a new company with a loss (labelled hypothetical, modelled on M26 Q6)

Suppose a new company reporting under IFRS buys plant for £4.0m, full expenses it, and depreciates it by £0.4m in year 1. It has a tax loss of £2.0m and an unpaid pension accrual of £0.2m at the year end.

£000	Carrying amount	Tax base	Temporary difference	Deferred tax at 25%
Plant	3,600	0	3,600 taxable	900 DTL
Pension accrual (liability)	(200)	0	200 deductible	(50) DTA
Tax loss carried forward	—	—	2,000	(500) DTA
Net DTL				350

The DTA of £550k is recognised in full: the £900k DTL relates to the same company and authority and will reverse to generate taxable profit (para 28). A new company has **no opening balances**, so the deferred tax charge is the whole **£350k**. The examiners' three errors on M26 Q6 (paraphrased): treating the temporary difference as accounting loss minus tax loss; asking for b/f balances; confusing assets with liabilities.

Going further: loss assets and judgement. The decision to recognise a loss DTA is an accounting estimate the auditors will test hard (forecasts, the £5m allowance and its group allocation, the Part 14 rules, the trade-specific streaming of losses). Tax functions should keep a loss "utilisation schedule" by company and reconcile it to the group allowance nomination each year.

Share schemes, revaluations and other awkward items.

Share schemes. The IFRS 2 / FRS 102 Section 26 charge is recognised over the vesting period but is **not deductible** (CTA 2009 s 1038). **Part 12** gives a deduction in the AP in which the employee acquires the shares, equal to market value less any consideration (chapter 7). So the accounting charge comes early and the tax deduction comes late, in a different amount.

Under IAS 12 the employer recognises a DTA on the **estimated future deduction**, measured on the share price at the reporting date for the portion earned to date. If the estimated deduction exceeds the cumulative remuneration expense, the tax effect of the excess goes to **equity**, not profit or loss (IAS 12 paras 68A–68C, as described by KPMG and Deloitte: **not opened**). A rising share price increases the asset; a falling one shrinks it. Contrast US GAAP, which takes excess benefits through profit or loss.

Revaluations and investment property. If land or investment property is revalued upwards, the carrying amount exceeds the tax base. IAS 12 para 51C presumes that investment property at fair value under IAS 40 is recovered **through sale** (rebuttable for depreciable property held to consume its benefits over time); deferred tax is measured on the sale basis. Guidance on FRS 102 (paras 29.15–29.16, as described by ICAEW and practitioners) measures deferred tax on non-depreciable revalued assets and investment property at the rates and allowances applying on **sale** [secondary]. For a UK company, that means the chargeable gain, after **indexation frozen at December 2017**.

Roll-over relief. The ICAEW helpsheet says deferred tax is still provided on a revaluation even if the company expects to roll the gain over, because roll-over only postpones the tax [secondary].

Uncertain tax positions. IFRIC 23 *Uncertainty over Income Tax Treatments* (annual periods beginning on or after 1 January 2019) asks whether it is **probable that the taxation authority will accept** a treatment, assuming it examines the point with full knowledge. If not, the company reflects the uncertainty using the **most likely amount** or the **expected value**, whichever better predicts the resolution. Where the dispute is only about timing, a provision in current tax is matched by a deferred tax asset and the total charge moves little. A provision of this kind can trigger notification under the **uncertain tax treatment** rules (FA 2022 Sch 17; chapter 4; in the invented story, TEL’s GY2 provision on its £24m ERP costs).

Fair values when a company is bought.

On a business combination the consolidated accounts restate the target’s identifiable assets and liabilities at acquisition-date fair value (IFRS 3). A **share purchase changes nothing in the target’s tax position**: there is no step-up in the tax base. So each fair value uplift creates a temporary difference in the group accounts (IAS 12 para 19), and the resulting deferred tax is part of the acquisition accounting, adjusting goodwill (para 66). No deferred tax is recognised on goodwill itself (para 15(a)); it is a residual, and grossing it up would only increase it again.

Worked example: Calder’s customer relationships in Tarnmoor’s group accounts (invented)

£000	
Customer relationships recognised on acquisition (fair value)	4,000
Tax base (internally generated by Calder; no tax value)	0
Taxable temporary difference	4,000
DTL at 25% (recognised in the acquisition balance sheet)	1,000
Effect on goodwill	+1,000

After acquisition the group amortises the asset over **10 years** (invented): **£400k a year** (£300k for the 9 months of GY1). Calder gets no deduction, because the asset does not exist in Calder. The DTL unwinds by **£100k a year** (£75k in GY1), a deferred tax credit that exactly offsets the tax effect of the amortisation, so the reported rate stays at 25%. None of this touches Calder’s own computation, returns or instalments.

Contrast an asset purchase, which gives the buyer new tax bases under the intangible fixed assets regime (CTA 2009 Part 8), subject to the restrictions on goodwill and customer-related intangibles (chapter 11). A share purchase buys the target’s history, including its tax bases.

Brackenwell is the mirror image: at acquisition the group judged its losses irrecoverable and recognised no DTA, so goodwill was correspondingly higher. How a later recognition would be accounted for is governed by IAS 12 and IFRS 3 and is a matter for the auditors, beyond this paper.

Exam lens: acquisitions. Not examined M23–M26 as such, but a natural “tax accounting” add-on to a share acquisition question (chapters 20 and 31). Key points: no tax base step-up on a share deal; DTL on fair value uplifts; no DTL on goodwill; the target’s own tax unaffected.

Explaining the rate.

IAS 12 para 81(c) requires an explanation of the relationship between tax expense and accounting profit in one or both of two forms: a **numerical reconciliation** between tax expense and accounting profit multiplied by the applicable rate(s), or a reconciliation between the **average effective tax rate** and the applicable rate, together with the basis on which the applicable rate is computed. Para 85 says the entity uses the rate that provides the most meaningful information; most UK groups use the UK rate of 25%.

Timing differences fully provided at 25% **do not appear** in the reconciliation. What remains: permanent disallowances; overseas rate differences; unrecognised losses and other unrecognised DTAs; rate changes; prior year adjustments; top-up taxes; CFC charges.

Worked example: Tarnmoor’s simplified ETR reconciliation, GY2 (invented)

	£000	% of PBT
Consolidated profit before tax	100,000	
Tax at the UK rate of 25%	25,000	25.00
Overseas rate: TVS profit £30,000k at Vallaria’s 20%	(1,500)	(1.50)
Overseas rate: TCM profit £3,300k at Marrovia’s 9%	(528)	(0.53)
UK CFC charge on TPLC in respect of TCM	132	0.13
Expenses not deductible (fines, customer gifts, capital deal costs) £2,000k	500	0.50
CIR disallowance £2,300k: carried forward, no DTA recognised	575	0.58
TPLC management expenses carried forward (CFC threshold), no DTA recognised: $825 \times 25\%$	206	0.21
Total tax charge	24,385	24.39

TPLC’s surplus management expenses that the CFC threshold traps (CTA 2010 s 105(3A); chapter 13) carry forward with no asset recognised.

Not in the list: full expensing, unpaid bonuses, pension accruals, the customer relationship amortisation. All timing; all absorbed by deferred tax.

Simplifications: top-up tax under the Pillar Two rules (Marrovia) is omitted (£66,000 for GY2; chapter 30 computes Tarnmoor's); the equity-accounted Helmside loss and the consortium relief claimed for it are treated as offsetting; intra-group interest eliminates on consolidation, and the overseas lines use each company's own profit.

Disallowed interest and deferred tax. CIR disallowances carried forward can be reactivated (chapter 28; Tarnmoor reactivates £1.87m in GY3 as first filed, £2.47m after a later revision). In principle the carried-forward amount is a deductible item supporting a DTA if reactivation is probable. In GY2 Tarnmoor judges future interest capacity too uncertain and recognises none (invented judgement).

Going further: the reconciliation as a control. Tom Hesketh (invented head of tax) reviews the reconciliation line by line before the audit committee sees it: an unexplained item usually means an error in the provision. Year-on-year movements in each line should be explicable by events (an acquisition, a rate change, a new CFC charge).

Pillar Two and the emergency exception.

On **23 May 2023** the IASB issued *International Tax Reform: Pillar Two Model Rules* (amendments to IAS 12). The central feature was a **mandatory temporary exception**, effective immediately and retrospectively.

Why. The OECD GloBE rules impose top-up tax where a group's jurisdictional effective rate falls below 15%; the UK implemented them in F(No.2)A 2023 Part 3 (multinational top-up tax; domestic top-up tax). Top-up tax depends on jurisdictional ETRs computed under the GloBE rules' own mechanics, including their own deferred tax. Applying IAS 12's ordinary deferred tax requirements to it would have been extraordinarily hard to do consistently in time.

The amendments:

Paragraph	Requirement	Effective
4A	Neither recognise nor disclose information about DTAs and DTLs related to Pillar Two income taxes	Immediately, retrospectively (IAS 8)
88A	Disclose that the exception has been applied	Immediately
88B	Disclose current tax expense (income) related to Pillar Two income taxes separately	Annual periods beginning on or after 1 January 2023
88C–88D	Where legislation is enacted or substantively enacted but not yet in effect, disclose known or reasonably estimable information about exposure (may be an indicative range)	Annual periods beginning on or after 1 January 2023 (not interim periods ending on or before 31 December 2023)

UK adoption. The UK Endorsement Board adopted the amendments on **19 July 2023**. The FRC amended **FRS 102** (Section 29) and **FRS 101** in **July 2023** with an equivalent temporary exception and targeted disclosures (IAS Plus dates the FRC

announcement 12 July 2023; the FRC document says only “July 2023”). The exception was described as temporary, but no end date was set (FRC: “no specified end date” [secondary]).

Tarnmoor. With consolidated revenue far above €750m, any top-up tax (such as multinational top-up tax on low-taxed Marrovia profits) is **current tax**, disclosed separately; no deferred tax is recognised for it. The rules belong to chapter 30.

Exam lens: Pillar Two in a tax accounting tail. Pillar Two (MTT/DTT) is **awareness (3)** and was not examined M23–M26. If a tax accounting requirement touches it, one or two sentences on the IAS 12 exception (no deferred tax; separate current tax disclosure) score better than a description of the GloBE computation.

The tax function, the board and the examiner.

In a group like Tarnmoor, deferred tax is a quarterly discipline. The tax function:

- prepares a **tax provision** for each reporting entity (current and deferred) at each reporting date, for both the statutory accounts (FRS 101/102) and group reporting (IFRS);
- **true up** the provision when returns are filed (12 months after the period end), booking prior year adjustments;
- maintains a **fixed asset deferred tax schedule** (qualifying NBV against pool TWDVs by company) and a **short-term differences schedule** (bonuses, pensions, EBCs, provisions);
- supports the **senior accounting officer** (FA 2009 Sch 46; chapter 4): Tarnmoor’s CFO must certify each year that the UK companies have appropriate tax accounting arrangements; an unreconciled deferred tax balance is a warning sign;
- documents **uncertain positions** (IFRIC 23) and checks the UTT notification triggers.

Three recurring board conversations:

1. **The ETR.** Full expensing and the 40% FYA lower cash tax, not the rate. The rate falls only through permanent items (overseas rate differences, non-taxable income, reliefs with no reversal).
2. **Loss assets.** Recognising Brackenwell’s losses would have flattered the balance sheet by £2.15m. The function’s job is an honest forecast, scheduled against the £5m allowance and the Part 14 rules, and resistance to pressure to recognise what the law will probably take away.
3. **Rate changes.** A rate change becomes a remeasurement when the Bill clears the Commons. Model it before the vote.

Exam lens: the whole topic. - **Frequency:** M24 Q2(b), M25 Q2(b), N25 Q1(b), M26 Q6: growing; “a tax-accounting tail” is now common after a computation. - **Marks:** 3–5 marks as a tail; 10 marks standalone (M26). - **What scores:** both categories of difference; 25% with a reason (enacted); the movement and the total charge; a recognition sentence for any DTA; exclusion of land; no b/f balances for a new company. - **What wastes time:** describing IAS 12 in general terms without numbers; computing deferred tax on all assets when only one class is asked (M24).

What to take away.

- Deferred tax is an **accounting** measure, not a tax. HMRC never assesses it.
- **Total tax charge = current tax + deferred tax**; deferred tax is the **movement** in the balances. The examiner wants the charge, not just balances.
- **Two languages**: IAS 12 (carrying amount v tax base: temporary differences) and FRS 102 s 29 (timing differences plus business combinations and revaluations). Permanent differences create no deferred tax.
- **Liabilities always** (except goodwill, the initial recognition exception, Pillar Two); **assets when probable**; a reversing DTL in the same company and authority is the strongest support; unused losses are strong evidence against forecast profits; **no discounting**.
- **Rate**: enacted or substantively enacted (UK: Bill through the Commons). **25%** for FY2026 and FY2027 (FA 2026 ss 11–12).
- **Fixed asset difference** = qualifying NBV – TWDV, excluding land. Full expensing creates a DTL equal to the tax it saves: cash, not ETR.
- **Short-term differences** usually create DTAs: bonuses unpaid at 9 months, pension accruals, EBCs, general provisions, unspread lease transition amounts.
- **Calder (invented), 31 March GY2**: NBV £14.0m – TWDV £8.4m = £5.6m → DTL £1.4m; short-term £0.8m → DTA £0.2m; opening DTL £1.1m, DTA £0.1m; **deferred tax charge £0.2m**; current tax £750,000; **total £950,000 = 25% × PBT £3.8m**.
- **Brackenwell**: losses £8.6m, potential DTA £2.15m, **not recognised** (Part 14; history of losses).
- **Acquisitions**: fair value uplifts create deferred tax in the group accounts only; Calder’s customer relationships £4.0m → DTL £1.0m, increasing goodwill and unwinding £0.1m a year; no DTL on goodwill.
- **ETR reconciliation** shows only permanent and rate items: Tarnmoor GY2 (simplified) **24.39%**.
- **Pillar Two exception** (IASB 23 May 2023; UKEB 19 July 2023; FRC July 2023): no deferred tax on top-up taxes; current top-up tax disclosed separately.

The next chapter takes the profit we have learned to account for and turns it into a full large company computation, line by line, the way the examiner sets it every sitting.

Key rules and figures

Rule	Detail	Source
CT main rate FY2026 / FY2027	25% (19% small profits; 3/200)	FA 2025 ss 13–14; FA 2026 ss 11–12
Measurement rate	Enacted or substantively enacted at the balance sheet date	IAS 12 para 47; FRS 102 para 29.12
UK substantive enactment	Bill through all Commons stages; or PCTA 1968 resolution	ICAEW / practice (secondary)
DTL recognition	All taxable temporary differences (exceptions: goodwill, IRE, Pillar Two)	IAS 12 paras 15, 4A
DTA recognition	To the extent probable; taxable temporary differences of the same entity and authority; losses strong evidence against	IAS 12 paras 24, 28, 34–35
Discounting	Never	IAS 12 para 53

Rule	Detail	Source
Single transaction amendment	Leases and decommissioning; periods beginning on or after 1 January 2023	IAS 12 (May 2021)
Business combinations	DTL on fair value uplifts; adjusts goodwill; none on goodwill	IAS 12 paras 15(a), 19, 66
Investment property at FV	Presumed recovered through sale	IAS 12 para 51C
Share options	DTA on estimated deduction; excess over cumulative expense to equity	IAS 12 paras 68A–68C (secondary)
Rate reconciliation	Amounts and/or rates; basis of applicable rate	IAS 12 paras 81(c), 85
Uncertain tax treatments	Probable acceptance? Most likely amount / expected value	IFRIC 23 (from 1 January 2019)
Pillar Two exception	No DT; disclose use; separate current tax	IAS 12 paras 4A, 88A–88D (23 May 2023); UKEB 19 July 2023; FRC July 2023
Unpaid remuneration	9 months	CTA 2009 s 1288
Pension contributions	Paid basis; spreading	FA 2004 ss 196–197
Share option charge	Not deductible; Part 12 relief on acquisition	CTA 2009 s 1038; Part 12
Full expensing; 40% FYA; WDA	100%; 40% from 1 January 2026; main pool 14% from 1 April 2026	CAA 2001 ss 45S, 45U; FA 2026 ss 28–29
Loss restriction	£5m allowance + 50% of excess	CTA 2010 Part 7ZA (s 269ZD)
Calder GY2 (invented)	DTL £1.4m; DTA £0.2m; charge £0.2m; total £950,000	invented (story); this chapter
Tarnmoor GY2 ETR (invented, simplified)	24.39% on PBT £100m	this chapter

Statutory and other references

Statute: CTA 2009 ss 46, 1038, 1288, 1290–1297, Part 8, Part 12, Part 13 Ch 1A (merged RDEC); CTA 2010 Part 7ZA (s 269ZD), Part 14; CAA 2001 ss 45S, 45U, 46(4B), 58(5), 59A; FA 2004 ss 196–197; FA 2009 Sch 46; FA 2019 Sch 14 Part 3; FA 2022 Sch 17; F(No.2)A 2023 Part 3; FA 2025 ss 13–14; FA 2026 ss 11, 12, 28, 29; Provisional Collection of Taxes Act 1968.

Accounting standards and interpretations: IAS 12 *Income Taxes* (paras 4A, 15, 19, 24, 28, 34–35, 47, 51C, 53, 66, 68A–68C, 81(c), 85, 88A–88D); IAS 12 amendments *Deferred Tax related to Assets and Liabilities arising from a Single Transaction* (May 2021) and *International Tax Reform: Pillar Two Model Rules* (23 May 2023); IFRIC 23 *Uncertainty over Income Tax Treatments*; IFRS 2; IFRS 3; IAS 40; FRS 101; FRS 102 Section 29 (paras 29.7, 29.12, 29.15–29.16) and the FRC’s July 2023 Pillar Two amendments.

Exam sources: CIOT LCG November 2025 Q1 (question, suggested answer, examiners’ report); May 2026 Q6; May 2025 Q2; May 2024 Q2 (tax.org.uk past papers pages).

Cases: none central to this chapter (deferred tax is an accounting measure; the tax-follows-the-accounts cases are in chapter 5).

Chapter seven: The large company computation.

On the morning our invented group, Tarnmoor, published its results for Group Year Two (GY2), an analyst rang the investor relations team with a simple question. Tarnmoor Engineering Ltd (TEL), the group's main UK trading company, had made a profit before tax of £23.5m. The main rate of corporation tax is 25%. So why was its current tax bill about £2.2m, and not nearly £6m?

The call was passed to Tom Hesketh, the group's head of tax. Like everyone and everything at Tarnmoor, he is invented for teaching. His answer took twenty minutes. This chapter takes a little longer, because it is the full answer.

This is the third chapter of Part Two, on measuring profit. Chapter 5 showed that tax starts from the accounts; chapter 6 showed how the accounts then report the tax. This chapter is the engine room between them: the corporation tax computation of a large company, at the depth the Advanced Technical paper expects. Every topic in it is **core (grade 1)** in the syllabus grid, and every LCG sitting since May 2023 has carried a computation question worth 15 or 20 marks. It builds on *The Living Law* (TKS), chapters 20 and 21, which set out the basic pro forma and the rates. Throughout, the law is that for **FY2026** (1 April 2026 to 31 March 2027).

A checkpoint, not a calculator.

Start with the misconception, because the analyst held it and so do many people who should know better: **“a large company simply pays 25% of its accounting profit.”** It is easy to see why. The headline rate is 25%, the accounts show a profit, and the tax note even reconciles one to the other. But the accounting profit is where the computation starts, not where it ends.

Three things separate accounting profit from tax. First, the accounts measure profit under GAAP, while tax overrides GAAP where the law says so. Second, some reliefs pass *between* companies: in a group, losses and expenses in one company reduce profits in another. Third, the rate rules themselves (marginal relief, associated companies, straddling years) depend on facts the accounts do not show.

Think of the computation as a customs checkpoint. Everything in the profit and loss account passes through it. Some items are **stopped** (a fine; whisky given to customers). Some are **held at the barrier and released later**, because tax allows them only when cash moves (unpaid bonuses; pension contributions). Some are **swapped for a different document**, because tax has its own measure (capital allowances for depreciation; Part 12 share relief for the IFRS 2 charge). The officer at the checkpoint is the law.

The Living Law, chapters 20 and 21, set out the shape: corporation tax is charged on a company's taxable total profits (TTP) for an accounting period; those profits gather income under several headings and chargeable gains, less reliefs. At AT level the shape is the same, but every line has more rules behind it.

Two statutes do most of the work: the **Corporation Tax Act 2009** (CTA 2009: computing income) and the **Corporation Tax Act 2010** (CTA 2010: rates, reliefs, charitable donations). Pensions come from the **Finance Act 2004**.

The AT pro forma (single company)

Step	Line	Authority / chapter
1	Profit before tax (per accounts)	CTA 2009 s 46
2	± adjustments, each labelled with reason	ss 53, 54; Part 20; this chapter
3	= Tax-adjusted trading profit before CAs	
4	– Capital allowances (+ balancing charges)	CAA 2001; chapters 8–9
5	= Trading profits	
6	+ Property income; NTLR profits; non-trading IFA gains; income not otherwise charged; chargeable gains	chapters 11–13, 16–18; CTA 2009 s 979
7	= Total profits	
8	– Current-year and brought-forward losses (with the £5m allowance)	chapter 14
9	– Qualifying charitable donations	CTA 2010 s 189
10	– Group and consortium relief	chapter 15
11	= TTP	
12	CT at 25% / 19% / marginal relief; RDEC set-off; payment dates (QIPs)	CTA 2010 Part 2 (rates and marginal relief; TKS ch 20); chapters 3, 10

Spoken once, so you can hear its rhythm: begin with profit before tax; make the adjustments, each labelled with its reason; that gives the tax-adjusted trading profit before capital allowances; deduct capital allowances to reach trading profits; add the other sources; that is total profits; then the reliefs in statutory order (losses of the same period and losses brought forward, then qualifying charitable donations, and group relief last); what remains is TTP. Apply the rate, with marginal relief if it applies, set off any expenditure credit, and work out when the tax is paid. The analyst's mistake was to stop at line 1 and jump to line 12.

Capital allowances belong to chapters 8 and 9, R&D to 10, intangibles to 11, loan relationships to 12, losses and group relief to 14 and 15. This chapter owns the trading adjustments, employment costs, entertaining and gifts, fines, income not otherwise charged, charitable donations, the lessee's side of long funding leases, and the rates; then it assembles TEL's GY2 computation.

Trade or investment, for a company.

Before any adjustment, ask whether the company trades at all. For a company the answer decides:

- capital allowances against a trade **v** management expenses for investment business (chapter 13);
- **trading** loan relationship debits **v** non-trading debits with different loss rules (chapter 12);
- flexible trading loss relief **v** the narrower investment-company reliefs (chapter 14);
- the SSE's trading conditions (chapter 18), the R&D reliefs (which need a trade: chapter 10) and the transactions in UK land rules (CTA 2010 Part 8ZB: chapter 16).

The Living Law, chapter 11, taught the badges of trade (subject matter, length of ownership, frequency, supplementary work, circumstances of sale, motive). Two cases show how the courts use them:

- **Marson v Morton** (Ch D, 1986): Sir Nicolas Browne-Wilkinson V-C stressed that whether there is a trade is a question of fact on all the circumstances; the badges are not a comprehensive list and no single one is decisive (as summarised in HMRC's BIM20205 and secondary sources).
- **Eclipse Film Partners No 35 LLP v HMRC** [2015] EWCA Civ 95 (17 February 2015): a partnership that acquired film rights and sub-licensed them to a distributor, playing no meaningful part in marketing or distribution, was not trading. Whether a trade exists is for the tribunal of fact; speculation indicates trade but is not essential. HMRC estimated about £635m of tax protected (HMRC's estimate, not a finding).

Marson v Morton concerned a single purchase and sale of land, which is why it is cited so often for property: the sale of an investment does not become trading just because a profit was made or planning permission obtained. *Eclipse* concerned a highly structured arrangement financed by borrowing, and shows the opposite pressure: taxpayers who *want* a trade (for loss relief or interest relief) must show real commercial activity.

Eclipse matters for groups because activity, money and paperwork are not enough: the company itself must do something commercial.

In our invented group the question arises company by company (each is a separate taxpayer):

Company	Activity	Likely classification
TEL	Designs, makes and sells valves, actuators, pumps	Trading
Tarnmoor plc (TPLC)	Holds shares, raises money, directs the group	Company with investment business
Tarnmoor Estates (TES)	Owens and lets sites, mostly to group companies	Investment business; dealing or Part 8ZB if it bought to develop and sell
Tarnmoor Finance (TFL)	Borrows on the bond market, lends to the group	Trading or non-trading loan relationships: chapter 12

The classification is a fact-finding exercise, not a label chosen for convenience. A holding company that also provides management services does not become a trader by sending invoices; a property company that buys a site, obtains planning permission and sells to a developer may become one. In a group the tax team keeps a short note for each company explaining its classification, because HMRC enquiries into losses, the SSE and R&D claims often start with the question “does this company trade?”.

Exam lens: badges and classification. Grade 1 (Badges of Trade; Trading income). Rarely a standalone question, but the classification drives every later line (M24 Q1: most candidates failed to identify that the parent had an investment business). Trap: computing trading profits for a holding company. Say *why* a company trades or invests before computing.

From profit before tax to trading profit.

CTA 2009 s 46(1): trade profits “must be calculated in accordance with generally accepted accounting practice, subject to any adjustment required or authorised by law”. Chapter 5 explored the first half; this chapter lives in the second. The general

adjustments are s 53 (no deduction for capital items) and s 54 (expenses must be incurred wholly and exclusively for the trade); **Part 20 (ss 1288–1309)** adds specific rules.

Method. Start from profit **before tax** (not operating profit). Add back items deducted that tax disallows or delays. Deduct items tax allows that the accounts did not deduct, and items taxed elsewhere or not at all (dividends received; an accounting profit on selling plant). The M26 examiners noted candidates adding items that should have been deducted: mark every line + or –.

- **Depreciation** is added back; CAs replace it (chapter 8). An accounting **profit on disposal** of plant is deducted; the proceeds come off the pool. **Building depreciation** is added back; SBA may replace part (chapter 9).
- **Interest:** TEL borrowed £200m from TFL at 6% for its trade: £12.0m a year, a **trading loan relationship debit** (CTA 2009 Part 5; chapter 12), left in with no adjustment. The CIR disallowance falls on TPLC, not TEL (chapter 28).
- **Impairments:** a specific impairment of a customer’s trade debt follows the accounts and is deductible; an impairment of a loan to a fellow subsidiary is a connected-company loan relationship debit, generally with **no debit** (chapter 12). N24 Q4 turned on this contrast.
- **Legal and professional costs** follow purpose: collecting trade debts, defending a patent or a customer claim is revenue; acquiring or improving a capital asset is capital. TEL’s **£70,000 planning appeal** for a factory extension is capital: added back, and not SBA expenditure.
- **No adjustment, but say so:** TEL expensed **£24m** of ERP implementation costs as revenue. Tax follows; HMRC might argue part is capital, which is why the uncertainty was notified under the UTT rules (chapter 4).

Going further: building the adjustment schedule. In practice the tax team maps every P&L nominal code to a tax treatment each year, reviews new codes, and agrees capital/revenue splits with the finance team for projects (ERP, refurbishments, restructurings). Provisions need a GAAP-compliance check (chapter 5). Large one-off items go to the UTT review (chapter 4).

Pay that waits.

CTA 2009 s 1288: where remuneration is charged in the accounts for a period of account but **not paid within 9 months after the end of that period**, it is deductible only for the period in which it is paid (and never if never paid). Provisions for future remuneration count. If the computation is made before the 9 months have run, assume unpaid and amend later (**s 1289(3)**). “Paid” follows ITEPA 2003 ss 18–19: the earliest of actual payment, entitlement, and (for directors) further moments such as crediting in the company’s records.

Why: to stop an accrual deducted now for pay received (and taxed) much later, or never.

In our invented case (TEL, GY2):

Item	Charged in GY2 accounts	Paid	Within 9 months (by 30 Sept GY3)?	Treatment
Annual bonus	£2.0m	31 March GY3	Yes	Deductible GY2: no adjustment

Item	Charged in GY2 accounts	Paid	Within 9 months (by 30 Sept GY3)?	Treatment
Cash LTIP (vested 31 Dec GY2)	£1.4m	15 November GY3	No	Add back £1.4m in GY2; deduct in GY3

The 9 months run from the end of the **period of account**: Calder’s 9-month AP to 31 December GY3 had its window to 30 September GY4.

The November 2025 examiners set exactly this trap: an LTIP bonus unpaid at 9 months. Note that the rule bites on the *timing* of the deduction, not its amount: the £1.4m is not lost, it moves to GY3. That timing difference also produces a deferred tax asset in TEL’s accounts (chapter 6). Two refinements matter at this level. First, the 9 months run from the end of the period of account, so a short period moves the deadline. Second, the rule is about remuneration: share awards have their own regime (Part 12), and contributions to trusts for employees have theirs (ss 1290–1297).

Going further. Check the payroll calendar against large accruals at the year end. Paying in month 9 keeps the deduction in the year of charge; paying in month 10 moves it a year, which matters if the company is about to become loss-making, change rate, or leave the group. Employer’s NIC on bonuses is a separate deduction question; check the treatment applied in the accounts.

Money held in trust for employees.

Employee benefit trusts (EBTs) were long used to take a deduction now and defer or avoid employees’ tax.

- **Macdonald v Dextra Accessories Ltd** [2005] UKHL 47 (7 July 2005): contributions to an EBT whose trustee paid no emoluments but made loans to beneficiaries were “potential emoluments” (FA 1989 s 43(11)), so not deductible until paid out as emoluments. HMRC’s guidance (IHTM42959) applies *Dextra* to contributions made **before 27 November 2002**; the statutory rule governs later ones.
- **RFC 2012 plc v Advocate General for Scotland** [2017] UKSC 45 (the Rangers case; TKS chapter 3): remuneration routed through a trust is still the employee’s earnings.

The pattern of the story is one of Parliament and the courts closing a timing gap step by step. In *Dextra* the companies had deducted the contributions when they paid them into the trust, while the trustee made loans rather than paying salaries, so nobody was taxed on pay. The House of Lords looked at what the money was held *for*. The statutory rule now in s 1290 generalised that answer, and the 2017 amendments added two further locks: a long-stop on how long a deduction can wait, and a requirement that the employee’s tax is actually paid. The result is a deduction that tracks the employee’s taxable receipt.

CTA 2009 ss 1290–1297 (employee benefit contributions):

Rule	Detail
Basic rule (s 1290(2))	Deductible only so far as qualifying benefits are provided (or qualifying expenses paid) in the period or within 9 months after it; otherwise when provided (s 1290(3))

Rule	Detail
5-year cut-off (s 1290(1A), F(No.2)A 2017 s 37)	No deduction for a period beginning more than 5 years after the end of the period of contribution
Tax paid (s 1290(2B), (3B)–(3E))	Where benefits give rise to both IT and NIC, deduction only if those are paid within 12 months after the period end
Qualifying benefits (s 1292)	Payments giving IT and NIC charges; termination payments; EFRBS payments; Part 7A “relevant steps”. Loans are not qualifying benefits
Exclusions (s 1290(4))	Registered pension schemes; Part 11 and Part 12 share relief

Worked example (hypothetical, not story). Suppose TEL contributes **£1.0m** to an EBT in GY2. By 30 September GY3 the trustee pays **£600,000** of cash bonuses through payroll, with PAYE and NIC paid on time. Deduction GY2: **£600,000**. The remaining **£400,000** is deductible only when paid out as qualifying benefits, and never for a period beginning more than 5 years after the end of GY2.

Pensions, paid and sometimes spread.

FA 2004 s 196: employer contributions to a registered pension scheme are **not capital** and, so far as deductible, are deducted **in the period in which they are paid**. Accrued but unpaid contributions are added back; earlier accruals paid this year are deducted.

In our invented case: TEL’s employer contributions are paid on the 22nd of the following month.

£m	GY1	GY2
Contributions paid in the year	11.0	11.5 (incl. £0.6m GY1 accrual)
Accrual at year end (unpaid)	0.6	0.9
Accounts charge GY2 ($11.5 - 0.6 + 0.9$)		11.8
Computation GY2: add back accrual		+0.9
Computation GY2: deduct GY1 accrual paid		−0.6

Why spreading exists. A company might pay one enormous contribution, perhaps to repair a defined benefit deficit, and wipe out a year’s profits (or move profits between years with very different rates or loss positions). Section 197 spreads the deduction for genuinely exceptional contributions, but only when two tests are both met. The examiners say it is over-applied.

Spreading (FA 2004 s 197) applies only if **both** tests are met:

- contributions paid in the current chargeable period (CCCP) **exceed 210%** of those paid in the previous period (CPCP); and
- the **relevant excess** ($\text{CCCP} - 110\% \times \text{CPCP}$) is **at least £500,000**.

Relevant excess	Spreading
Under £500,000	None

Relevant excess	Spreading
£500,000 to under £1m	Half this period, half next
£1m to under £2m	Thirds: this period and the next two
£2m or more	Quarters: this period and the next three

(CPCP is adjusted for unequal period lengths; cost-of-living increases for pensioners and funding of future service for new members are excluded from CCCP; s 198 deals with cessation.)

TEL: $210\% \times £11.0\text{m} = £23.1\text{m}$; £11.5m paid: **no spreading**.

Worked example (hypothetical). CPCP **£1.0m**; CCCP **£2.6m**. Test 1: $£2.6\text{m} > 210\% \times £1.0\text{m} = £2.1\text{m} \checkmark$. Relevant excess: $£2.6\text{m} - (110\% \times £1.0\text{m}) = \textbf{£1.5m}$ (thirds band). Deferred: $2/3 \times £1.5\text{m} = £1.0\text{m}$ (**£0.5m** treated as paid in each of the next two periods). Deduction this period: $£2.6\text{m} - £1.0\text{m} = \textbf{£1.6m}$.

Exam lens: employment costs. Grade 1 (CT relief for expenses relating to employment including remuneration, benefits, pension contributions). Appearances: M23 Q1 (pension spreading of a one-off contribution), M24 Q6 (spreading of an earlier excess), M25 Q2 (unpaid bonuses and pensions), N25 Q1 (LTIP unpaid at 9 months; pensions). **N25 examiners:** many candidates spread pensions when the rules were not triggered (the N25 suggested answer's short explanation simplifies the statutory two-part test). Traps: deduct prior-year accruals paid this year; run both s 197 tests; the 9 months run from the end of the period of account.

Shares for staff.

Under IFRS 2 (and its UK GAAP equivalents) a company charges the fair value of share options over the vesting period though no cash leaves it. **CTA 2009 Part 12** instead ties the company's deduction to the employee's gain.

Why Part 12 exists. The IFRS 2 charge is an estimate of the value of the option at grant, spread over vesting, and bears no relation to what the employee eventually receives. Part 12 swaps it for a deduction equal to the employee's actual gain, given when the employee acquires the shares, so the company's relief mirrors the employee's income tax charge in amount and timing.

Condition (ss 1007–1009)	Detail
Employer	Within the CT charge on the business for which the employee works
Shares	Ordinary, fully paid, not redeemable; listed, or in a company not under the control of another company, or in a company controlled by a listed company
Whose shares	Employer, its parent, or a consortium member owning the employer or its parent (s 1008)
Employee	Subject to an ITEPA charge on acquisition, or the restricted-shares conditions met (s 1009)

- **Amount (ss 1010, 1018):** market value when acquired less consideration given (NIC transferred to the employee is not consideration).
- **Timing (s 1013):** the AP in which the shares are **acquired** (for options, exercise, not grant); a trading deduction, or a management expense for a company with investment business.
- **No other deduction (s 1038, substituted by FA 2013 s 40):** nothing for providing the shares or options, including the IFRS 2 charge; **set-up and administration costs, borrowing costs and acquisition fees, stamp duty and SDRT remain deductible** (s 1038(6)).
- **Lapsed options (s 1038A):** nothing, unless the employee is chargeable on an amount.
- Contrast **HMRC v NCL Investments Ltd** [2022] UKSC 9 (chapter 5): IFRS 2 debits allowed under the earlier law (periods to 2012).

In our invented case: TPLC's option plan (not tax-advantaged; employees taxed on exercise).

TEL GY2	£m
IFRS 2 charge in accounts: add back	+1.1
Part 12 relief: MV at exercise less exercise prices, options exercised by TEL employees in GY2: deduct	-0.8

Relief goes to **TEL as employer**, though the shares are in TPLC. The timing difference is a deferred tax item (chapter 6).

Exam lens: share schemes. Grade 1 (Relief for employee share acquisition schemes). Trap: deducting the IFRS 2 charge, or giving relief at grant. Add back the charge; deduct MV less price paid in the year of exercise; scheme costs stay deductible; lapses give nothing.

Going further. The deduction moves with the share price and exercise behaviour: forecast it with the reward team, not from the accounts. Make sure the charge and the employees sit in the company with profits to absorb the relief.

When people leave.

On **30 September GY3**, Calder Valve Engineering (Calder) closed its process valves division and **Dan Hartley** (invented, as in TKS) was made redundant after 12 years' service (*The Living Law*, chapter 9, covered his side).

Calder's payments to Dan (paid 30 September GY3)	£
Statutory redundancy	9,012
Holiday pay	3,800
Post-employment notice pay	25,000
Ex gratia (of which £10,000 paid into his pension)	60,000
Total (excluding the legal fee paid direct)	97,812

CTA 2009 ss 76–79:

- **s 76:** a statutory redundancy payment, or an approved contractual payment in its place, is deductible where it would not otherwise be.
- **s 79:** where a trade **or part of a trade** permanently ceases, an **additional payment** that would have been deductible but for the cessation is allowed, **up to 3 × the redundancy payment**; a payment after cessation is treated as made on the last day of trading. HMRC (BIM47210) says entitlement under s 76 must come first, and that payments made as part of a bargain for the sale of shares do not qualify (*George Peters & Co Ltd v Smith*, per BIM47210).

Why the cap? On a cessation the usual justification for a payment, that it serves the continuing trade, has gone. Without s 79 an ex gratia payment made only because the business is closing might not be deductible at all; Parliament allows a generous but limited amount anyway. HMRC's manual stresses that s 79 only rescues payments that would have been deductible but for the cessation.

Calder's position. Its trade continued; one division closed. **In our invented case** the payments were made to secure an orderly closure and protect Calder's standing with the remaining workforce, so they are deductible under the ordinary rules (ss 46, 54) as expenses of the continuing trade. That is this book's view on the invented facts. If HMRC argued the extras were made only because part of the trade ceased, s 79 would still allow additional payments up to $3 \times £9,012 = \text{£}27,036$. The £10,000 pension element follows the paid basis (FA 2004 s 196). All paid within Calder's 9-month AP to 31 December GY3, so all deductible in that AP, within the restructuring costs provided for (chapter 5).

Entertaining, gifts, fines and crimes.

CTA 2009 s 1298: no deduction for business entertainment or gifts. **s 1299** exceptions for entertainment:

- **Case A:** entertainment of a kind the company provides in the ordinary course of business, for payment or free to advertise to the public generally;
- **Case B:** entertainment for **employees**, unless also provided for others and the employees' part is incidental to that.

s 1300 exception for gifts: a gift carrying a **conspicuous advertisement** for the company, **not** food, drink, tobacco or exchangeable vouchers, with the company's gifts to that person in the AP costing **no more than £50**.

TEL GY2 item	£000	Treatment
Staff party	120	Deductible (s 1299 Case B); the £150 per head figure is an employee income tax exemption, irrelevant to the company's deduction
Customer hospitality at a trade fair (incl. hosting staff)	50	Add back (business entertainment)
Branded whisky to customers	30	Add back (drink excluded whatever the branding)
Branded pens, diaries (under £50 per recipient)	—	Would be allowed

Fines and penalties. Not in the statute: disallowed by case law. *McKnight v Sheppard* [1999] 1 WLR 1333 (HL): a stockbroker's Stock Exchange fines were not deductible, but his legal costs of defending the proceedings were (wholly and exclusively to preserve the trade). Lord Hoffmann explained that a fine is meant to punish and a deduction would pass part of it

to taxpayers generally (paraphrase). TEL's **£250,000** fine after a health and safety prosecution: **add back**; its legal costs of defence: deductible.

The principle in *McKnight* is a public policy rule, not a statutory one, which is why its edges are argued case by case. A regulator's penalty is plainly within it; the costs of defending the proceedings are plainly outside it; a payment to customers agreed with a regulator sits between the two.

Being litigated: ScottishPower. Between 2013 and 2016 ScottishPower settled investigations by the energy regulator, paying nominal penalties and about **£28m** to consumers and consumer organisations. The FTT largely, and the UT wholly, agreed with HMRC that the payments were not deductible. In *ScottishPower (SCPL) Ltd v HMRC* [2025] EWCA Civ 3 (January 2025) the Court of Appeal held they were not fines or penalties, so nothing prevented deduction, and rejected the idea that a payment takes the treatment of what it replaces. The Supreme Court (UKSC/2025/0047) heard HMRC's appeal on 18–19 May 2026 and had **reserved judgment** when this chapter was written. **Check the outcome before the exam.**

Statute: - **s 1303:** no deduction for listed tax penalties and interest (for example FA 2007 Sch 24 and FA 2008 Sch 41 penalties; VAT penalties). Absence from the list does not make a penalty deductible (HMRC, BIM42520). - **s 1304:** no deduction for a payment whose making is a criminal offence (such as a bribe), or a payment in response to blackmail. The failure-to-prevent offences are in chapter 4.

Exam lens: Part 20 items. Grade 1 (General calculation rules, Part 20 CTA 2009). Appearances: N24 Q4 (whisky gifts), N25 Q1 (gifts and entertainment, penalties), M26 Q4 (entertaining and gifts). **M26 examiners:** candidates applied employee limits to staff entertaining. Branded drink disallowed; branded pens allowed.

Income the other rules miss.

CTA 2009 Part 10 Ch 8, s 979: corporation tax is charged on income “not otherwise” within the charge: the successor of old Schedule D Case VI.

Why a sweeper? A tax built on named headings leaks at the joins. The residual charge means the question is never *whether* income is taxed, only under which heading, and the heading decides what can be set against it and how losses behave.

- It charges **income**, not capital; gains go to the gains rules.
- It does not apply to **annual payments** (Part 10 Ch 7) or exempt income.
- **s 980:** commercial woodlands; **s 981:** certain gains on financial futures; **s 982:** priority rules.

In a group, the sweeper earns its place at head office, where income often arises that is neither trading, property nor financing.

In our invented case: TPLC charges Tarnmoor Vallaria SA (TVS; Vallaria is an invented country) for management services: **£2.2m in GY2**, at arm's length. TPLC does not trade; the fees are not property income or a loan relationship credit, so Tom treats them as **income not otherwise charged**. TPLC's management expenses (£8.5m) exceed its gross profits (that income) by £6.3m, but CTA 2010 s 105(3A) limits surrender to the excess over the **profit-related threshold**: gross profits plus the controlled foreign company (CFC) profits apportioned to TPLC from its Marrovia subsidiary Tarnmoor Capital Ltd (TCM; Marrovia is another invented country), **£825,000**. Threshold £2.2m + £0.825m = £3.025m; surrender **£5.475m** to TEL; the

other £825,000 is carried forward (chapters 13 and 15). (*Classification is the book's working assumption; whether the recharge could be trading is not settled, and the s 105 outcome is the same either way.*)

Exam lens. Grade 1 (Income not otherwise charged, Part 10 Ch 8). Recognition marks: name the charge and why it applies.

Giving to charity.

CTA 2009 s 1301B: a qualifying charitable donation (QCD) is not deductible in computing income: add back any charge in the accounts. Relief is under **CTA 2010 Part 6**, from total profits.

Relief is given from total profits rather than as a trading expense because a donation is not, in principle, an expense of earning profits: it is a use of them. The order matters most in the exam. Because QCDs come *before* group relief, a company that will claim group relief should still deduct its own donations first; because they cannot create a loss or be carried forward, a donation in a year of low profits can simply be wasted unless the excess is surrendered.

Rule	Detail	Reference
Qualifying payment	Money; not repayable; payer not a charity; no associated acquisition; not a disqualifying distribution; benefits within limits	ss 190–195
Benefits limits	25% of a gift of £100 or less; £25 + 5% of the excess above £100; aggregate benefits to that charity in the AP ≤ £2,500	s 197
Gifts of investments and land	Listed shares and similar, or a qualifying interest in land: market value less consideration is a QCD on a claim (land needs a charity certificate)	ss 203–217
Order	After all other reliefs except group relief ; cannot create a loss	s 189
Excess	Not carried forward (except an investment company, for its investment business, as a management expense: CTA 2009 s 1223); surrenderable as group relief (s 99(1)(d)) only so far as it exceeds the surrendering company's profits (s 105, now the "profit-related threshold"), and QCDs are treated as surrendered first	ss 99, 105
Charity-owned companies	May treat a payment as made in an AP within the 9 months before	s 199
Tainted donations (FA 2026 s 56, Sch 9)	Donations made on or after 6 April 2026 : outcome test replaces the purpose test in s 939C(5). Condition B: a linked person who is not a charity receives financial assistance	CTA 2010 Part 21C

Rule	Detail	Reference
	(loan, guarantee, indemnity or any investment, arm's length or not) from the charity or a connected charity under or in connection with the arrangements. Associated donation rules (new s 939FB). A tainted donation gets no relief (s 939F)	

Worked example (hypothetical, not story). Suppose TEL had given **£200,000** to an engineering education charity in GY2: added back in the trading computation; deducted from total profits before group relief. TTP £26.0m – £0.2m – £17.095m = **£8.705m** (instead of £8.905m); CT £2,176,250 (instead of £2,226,250): saving **£50,000**. In the story TEL made no such gift.

Going further. Give listed shares rather than cash where held (relief at market value); place the gift in a company with profits; check, from 6 April 2026, that no charity in the arrangement lends to or invests in any group company.

Exam lens. Grade 1 (Charitable donations relief). Traps: deducting the donation in the trading computation; letting QCDs create a loss or carrying them forward; forgetting s 105 on surrender.

Leases the lessee pays for.

Under a **long funding lease** the lessee is treated as owning the plant and gets capital allowances on deemed expenditure (CAA 2001 s 70A; chapter 9). This chapter owns the other half: the revenue deduction for rentals is limited so the capital is not relieved twice.

Lease	Lessee's revenue deduction	Reference
Long funding finance lease	Capped at the finance charge / interest expense under GAAP	CTA 2010 s 377
Right-of-use lease (remeasurement of the liability)	Deduction adjusted	s 377A
Long funding operating lease	Reduced by the time-apportioned expected fall in value	s 379

Why the lessee “owns” the plant: a long funding lease is, in economic substance, a purchase financed by borrowing. The allowances go to the party bearing the economics of ownership, and the revenue deduction is cut back so the capital is not relieved twice: capital through allowances, financing cost through the P&L.

Gateways: a lease of **7 years or less** is a short lease and cannot be a long funding lease (CAA 2001 s 70I); the lessee's return for the initial period must treat it as one (s 70H), and that choice cannot be corrected later as an error, so the treatment must be

decided when the lease is signed.

Worked example (hypothetical). TEL leases a machine for 10 years under a long funding finance lease. Rentals charged in the year **£500,000**, of which finance charge **£120,000**. Deductible as rental: **£120,000**; add back **£380,000** (relieved through CAs). **N25 examiners:** candidates put long funding lease plant in the special rate pool; it belonged in the main pool.

Exam lens. Grade 1 (Leasing plant and machinery: long funding leases only). N25 Q1.

Rates, marginal relief and the straddle.

FY2026: main rate **25%**; small profits rate **19%**; lower limit **£50,000**; upper limit **£250,000**; both divided by **1 + associated companies** and time-apportioned for short APs. Marginal relief (CTA 2010 Part 2; TKS chapter 20):

$MR = (U - A) \times N/A \times 3/200$, where U = upper limit, A = augmented profits (TTP plus exempt distributions other than from group companies), N = TTP.

The 26.5% trap. The M26 examiners: “whilst the marginal rate of tax between the thresholds is 26.5%, this is not the rate that should be applied in full.”

Worked example (hypothetical). Stand-alone company, TTP **£150,000**, no dividends. CT at 25%: £37,500. MR: $3/200 \times (£250,000 - £150,000) = £1,500$. **CT £36,000.** Check: $19\% \times £50,000 = £9,500 + 26.5\% \times £100,000 = £26,500 = £36,000$.

The same answer comes from charging 19% on the first £50,000 and 26.5% on the next £100,000: the marginal rate applies to the slice, never to the whole.

Large groups. TEL in GY2 has **9 associated companies** (divisor 10): limits **£5,000** and **£25,000**; every member with real profits pays 25%. Calder’s 9-month AP to 31 December GY3 (divisor 10): limits **£3,750** and **£18,750**. MR questions therefore come in small groups (M26 Q4: the best answers used group relief to keep profits in the 19% band).

Straddling financial years. Rates are set for financial years from 1 April. Profits of an AP that straddles 1 April are apportioned by time, and each FY’s rates and limits applied (TKS chapter 20). *Real-calendar example (labelled):* a year ended 31 December 2026 has **90 days** in FY2025 and **275 days** in FY2026; rates and limits are identical, so the split changes nothing (say so). The split mattered when the main rate rose from 19% to 25% on 1 April 2023 (TKS chapter 20). FY2027 keeps the same rates (FA 2026 ss 11–12), so every Tarnmoor computation uses one set of figures.

Exam lens: calculation of liability. Grade 1 (Calculation of liability; Companies with small profits). M24 Q6 (straddling FY, marginal relief: “many missed marginal relief”), M26 Q4 (the 26.5% remark). Traps: divisor ignores dormant and passive holding companies but includes non-UK companies; apportion limits for short APs; apply 26.5% only to the slice.

Tarnmoor Engineering’s computation, start to finish.

Worked example: TEL, year ended 31 December GY2 (all figures £000). Invented case; FY2026 law.

	£000	Reason / authority
Profit before tax	23,500	Accounts (CTA 2009 s 46)
Add:		
Depreciation: plant and machinery	15,000	Capital; CAs instead (s 53; CAA 2001)
Depreciation: buildings	1,200	Capital; SBA where available
Cash LTIP accrued, paid 15 Nov GY3 (outside 9 months)	1,400	s 1288; deduct in GY3
Pension contributions accrued, unpaid at year end	900	Paid basis, FA 2004 s 196
IFRS 2 share option charge	1,100	s 1038
Fine (health and safety prosecution)	250	<i>McKnight v Sheppard</i>
Customer hospitality	50	s 1298
Branded whisky gifts	30	ss 1298, 1300 (drink)
Legal fees: planning appeal for factory extension	70	Capital, s 53
Total added	20,000	
Deduct:		
GY1 pension accrual paid in GY2	(600)	FA 2004 s 196
Part 12 relief on options exercised	(800)	ss 1010, 1013
Accounting profit on disposal of plant	(100)	Proceeds to CA pool (chapter 8)
Total deducted	(1,500)	
Tax-adjusted trading profit before CAs	42,000	after the £12,000 trading LR debit to TFL
Capital allowances (chapter 8)	(16,000)	
Trading profits = total profits	26,000	no other income

	£000	Reason / authority
Group relief: TPLC excess management expenses (over its profit-related threshold)	(5,475)	CTA 2010 s 105(3A); chapters 13, 15
Group relief: TPLC NTLR deficit (after CIR disallowance)	(7,670)	chapters 12, 28
Group relief: Brackenwell post-acquisition loss	(2,600)	chapter 15
Consortium relief: Helmside (link company route)	(1,350)	chapter 15
TTP	8,905	
CT at 25% (9 associates: upper limit £25,000; no MR)	2,226.25	
Less: RDEC surrendered by Brackenwell (step 2 £114 + step 5 £486)	(600.00)	CTA 2009 s 1042L; chapter 10
CT payable after the surrendered credit	1,626.25	

No adjustment (each worth stating): annual bonus £2,000 paid 31 March GY3 (within 9 months); staff party £120 (s 1299 Case B); trading LR debit £12,000 (CTA 2009 Part 5); ERP costs £24,000 (revenue per accounts; UTT, chapter 4); specific trade debt impairment; legal costs of defending the prosecution.

Payment: very large company (chapter 3): QIPs of **£556,562.50** each due 14 March, 14 June, 14 September and 14 December GY2, based on the full liability of £2,226.25 (the surrendered credit does not reduce them: chapter 3). Brackenwell's surrendered RDEC then discharges £600 of the liability when its claim is made (chapter 10).

Cross-check: TEL's tax-EBITDA for CIR (chapter 28) = £42,000 + £12,000 = **£54,000**.

Told in words: profit before tax of £23.5m; add back £20.0m (depreciation £16.2m, the unpaid LTIP £1.4m, unpaid pensions £0.9m, the IFRS 2 charge £1.1m, and £0.4m between the fine, hospitality, whisky and planning fees); deduct £1.5m (last year's pension accrual £0.6m, Part 12 relief £0.8m, the accounting profit on plant £0.1m). That gives £42.0m before capital allowances, already after the £12.0m of trading interest to TFL. Capital allowances of £16.0m (chapter 8 builds them line by line) leave trading profits of £26.0m, which are also total profits because TEL has no other income. Group relief of £17.095m (chapter 15) comes from three places: TPLC's excess management expenses and NTLR deficit, Brackenwell's post-acquisition loss, and consortium relief from the Helmside hydrogen joint venture. TTP is £8.905m and CT £2,226,250, due in four very large company instalments of £556,562.50 during the year itself (chapter 3).

The answer to the analyst (£m):

Step	Profit	Tax at 25%
Profit before tax	23.50	5.875
+ net adjustments (20.0 – 1.5)	+18.50	+4.625

Step	Profit	Tax at 25%
– capital allowances	–16.00	–4.000
– group and consortium relief	–17.095	–4.27375
TTP / CT	8.905	2.22625

CT is about 9.5% of profit before tax. That is not a gap in the law: it is the law working as designed, with much of the relief bought by losses and expenses elsewhere in the same group.

Going further: the tax function’s year-end checklist for the computation. - **Remuneration:** list every bonus, LTIP and commission accrual with its expected payment date; flag anything paid after month 9 (s 1288) and diarise the later deduction. - **EBTs:** reconcile contributions to benefits paid out in the period and the following 9 months; confirm PAYE and NIC on those benefits were paid within 12 months; track the 5-year long-stop for undistributed balances. - **Pensions:** reconcile the accounts charge to cash paid; run both s 197 tests every year a large or special contribution is paid, and keep the workings for the CPCP comparison (adjusting for period length). - **Share plans:** obtain exercise data (dates, market values, prices paid) from the plan administrator by employing company; add back IFRS 2; keep scheme set-up and administration invoices separate because they stay deductible. - **Entertaining and gifts:** split staff from customer events at the coding stage; record gift recipients so the £50 per-person test can be shown. - **Fines and settlements:** read the settlement documents: a fine is disallowed, but a compensatory payment may not be (*ScottishPower*); legal costs of defence are usually deductible. - **Donations:** confirm the recipient is a charity, check benefits against the s 197 limits, and from 6 April 2026 ask whether the charity, or a connected charity, has lent to, guaranteed, indemnified or invested in any group company. - **Group interaction:** confirm group relief surrenders and claims (chapter 15) and consortium shares; the CIR disallowance allocation (chapter 28); the RDEC surrender (chapter 10); and QIP true-ups when forecasts change (chapter 3).

Going further: interaction with other regimes. Every adjustment in this chapter moves at least one other number. Timing adjustments (LTIP, pensions, Part 12) create deferred tax balances (chapter 6). Disallowances such as fines and entertaining are permanent differences that appear in the effective tax rate reconciliation (chapter 6). Tax-EBITDA for the corporate interest restriction is built from the same adjusted profits before capital allowances and interest, so an error in the adjustments flows straight into the interest capacity (chapter 28). And the adjusted profit is also the starting point for the QIP forecasts on which very large companies pay four times during the year (chapter 3).

How the examiner sets it.

Exam lens: the CT computation. Grade 1 throughout. **Every LCG paper M23–M26** has a 15–20 mark computation: M23 Q1, N23 Q4, M24 Q6, N24 Q4, M25 Q2, M25 Q4, N25 Q1, M26 Q4. Requirement style: “Calculate, with explanations”; 0.5–1 mark per point; single company or two-company group; increasingly a tail on QIPs, current and deferred tax (N25 Q1, M25 Q2).

Recurring items: bonuses/LTIPs unpaid at 9 months; pensions (spreading tested, usually not triggered); staff v customer entertaining; branded drink v pens; fines and penalties; donations; trade debt v intra-group loan impairments; long funding leases; capitalised revenue expenditure (N23 Q4: handled badly); then CAs, losses, MR.

Habits that earn marks: list every item, including nil adjustments, with a short reason; follow the statutory order of reliefs; keep **£ or £000 consistent** within a table (M26 examiners); apply MR properly, with associated companies and any straddle.

Favourite companions: CAs, losses, QIPs and deferred tax; in group questions, group relief or a property disposal. Practise carrying the adjusted profit forward into all of them.

Reported traps (M23–M26): spreading pensions when neither test is met; employee entertaining limits applied to the company; LFL plant as special rate; missing MR in a small group or applying 26.5% to everything; skipping the tax charge tail.

Four habits. (1) List every item, including those needing no adjustment, with a few words of reason: nil adjustments earn marks too. (2) Follow the statutory order of reliefs. (3) Never mix £ and £000 in one table. (4) Deal with the rate properly, and never apply 26.5% to the whole profit.

RM Assessment Master (from October 2026): “Calculations left in the spreadsheet and not copied to the answer box will not be marked.” Build or copy the computation into the answer box.

What to take away.

A large company does not pay 25% of its accounting profit. It pays 25% of TTP, after a checkpoint that stops some items, delays others and swaps some for tax’s own measures, and after reliefs that may come from elsewhere in the group. The computation starts at profit before tax under CTA 2009 s 46; capital is out (s 53); expenses must be wholly and exclusively for the trade (s 54). Whether a company trades is a question of fact (*Marson v Morton*; *Eclipse 35*). Remuneration unpaid 9 months after the period end is deductible when paid (s 1288); EBCs only as qualifying benefits are provided within 9 months, with a 5-year cut-off and a 12-month tax-paid condition (s 1290). Pensions are deductible when paid; spreading only if CCCP > 210% of CPCP **and** the excess over 110% is at least £500,000 (halves, thirds, quarters at £500k, £1m, £2m). Part 12 relief is MV less price paid in the year of acquisition; the IFRS 2 charge is added back. Redundancy costs are deductible while the trade continues; on a cessation, extras up to 3× statutory (s 79). Entertainment and gifts are disallowed, except staff entertaining (any cost) and branded non-consumable gifts up to £50 a head. Fines are disallowed (*McKnight*); *ScottishPower* awaits the Supreme Court. Income not otherwise charged sweeps up the rest (s 979). QCDs come off after other reliefs but before group relief, cannot create a loss, are not carried forward (except for investment companies), and since 6 April 2026 are tested for taint by outcome. Long funding lease lessees deduct only the finance charge. FY2026 rates: 25% / 19%; limits £50,000 / £250,000 ÷ (1 + associates); 26.5% only on the slice.

Sixteen million pounds of capital allowances did a great deal of work in TEL’s answer. The next chapter opens that line and shows how the allowances for plant and machinery are built.

Key rules and figures

Topic	Rule / figure	Reference
Starting point	GAAP subject to adjustment required or authorised by law	CTA 2009 s 46
Unpaid remuneration	Not paid within 9 months of period-of-account end: deductible when paid	CTA 2009 ss 1288–1289
EBCs	Qualifying benefits within 9 months; 5-year cut-off; IT/NIC paid within 12 months	CTA 2009 ss 1290–1297
Pensions	Paid basis; spreading if CCCP > 210% CPCP and excess (CCCP – 110% CPCP) ≥ £500,000	FA 2004 ss 196–198
Share relief	MV less consideration, AP of acquisition; no IFRS 2 deduction; set-up/admin costs allowed; lapses nil	CTA 2009 ss 1007–1038A
Redundancy	s 76 statutory/approved contractual; s 79 extras on cessation up to 3 × statutory	CTA 2009 ss 76, 79
Entertaining	Disallowed; employees excepted unless incidental to others’	CTA 2009 ss 1298–1299
Gifts	Allowed only if branded, not food/drink/tobacco/vouchers, ≤ £50 per recipient per AP	CTA 2009 s 1300
Fines	Not deductible (case law); legal defence costs deductible	<i>McKnight v Sheppard</i>
Tax penalties; crime	Listed penalties/interest disallowed; criminal payments and blackmail disallowed	CTA 2009 ss 1303, 1304
Income not otherwise charged	Sweeper charge on income	CTA 2009 s 979
QCDs	After other reliefs, before group relief; no loss; no c/f (except investment cos); benefits 25% / £25 + 5% / £2,500; tainted donations outcome test from 6 April 2026	CTA 2010 ss 189–217, 939A–939FB; FA 2026 s 56, Sch 9
Excess QCD surrender	Only the excess over the surrendering company’s profits (profit-related threshold)	CTA 2010 ss 99(1)(d), 105
LFL lessee	Finance lease: finance charge only; operating lease: reduced by expected fall in value	CTA 2010 ss 377, 377A, 379
Rates FY2026	25% / 19%; £50,000 / £250,000 ÷ (1 + associates); 3/200; marginal rate 26.5%	CTA 2010 Part 2; FA 2025 ss 13–14; FA 2026 ss 11–12
TEL GY2	PBT £23.5m → £42.0m → CAs £16.0m → £26.0m → GR £17.095m → TTP £8.905m → CT £2,226,250	invented (story)
Dan’s package (Calder)	£97,812 deductible in the 9-month AP to 31 Dec GY3; s 79 safety net £27,036	invented (story); this chapter

Statutory and case references

Statute: CTA 2009 ss 46, 53, 54, 76, 79, 979–982, 1007–1010, 1013, 1018, 1038, 1038A, 1223, 1288–1290, 1292, 1298–1300, 1301B, 1303, 1304; CTA 2010 Part 2 (rates, marginal relief), ss 99, 105(3)–(3A), 189–217, 377, 377A, 379, 939A–939FB; FA 2004 ss 196–198; CAA 2001 ss 70A, 70H, 70I; F(No.2)A 2017 s 37; FA 2013 s 40; FA 2025 ss 13–14; FA 2026 ss 11–12, 56, Sch 9; ITEPA 2003 ss 18–19.

Cases: - *Marson v Morton* (Ch D, 1986) (report citation not checked) - *Eclipse Film Partners No 35 LLP v HMRC* [2015] EWCA Civ 95 - *Macdonald (HM Inspector of Taxes) v Dextra Accessories Ltd* [2005] UKHL 47 - *RFC 2012 plc (in liquidation) v Advocate General for Scotland* [2017] UKSC 45 - *HMRC v NCL Investments Ltd* [2022] UKSC 9 - *McKnight (HM Inspector of Taxes) v Sheppard* [1999] 1 WLR 1333 (HL) - *ScottishPower (SCPL) Ltd v HMRC* [2025] EWCA Civ 3 (appeal to the Supreme Court, UKSC/2025/0047, heard May 2026, judgment reserved) - *George Peters & Co Ltd v Smith* (cited via HMRC BIM47210)

HMRC guidance: BIM20205, BIM42520, BIM45000–45070, BIM47210; IHTM42959; CTM80142.

Chapter eight: Plant and machinery for larger companies.

In our invented group, Tarnmoor, the capital expenditure committee meets early in GY2 with a list of purchases for Tarnmoor Engineering Ltd (TEL), the main trading company. New computer-controlled machining centres for the valve factory. Chillers and a new electrical system for the test hall. Test rigs that will be hired out to customers. A second-hand milling line bought from a competitor that is closing a site. Tom Hesketh, the group’s head of tax, reads the list and asks the engineers the same question about every line: is it new, or has somebody used it before?

That question is worth millions of pounds. On the answer turns whether a machine is written off for tax in the year it is bought, or drips into relief over a decade and more. And there is a second question Tom asks, which the engineers find stranger still: what will we do with it when we have finished with it? The most generous relief in the code comes with a receipt that must be handed back on the way out.

This chapter takes plant and machinery allowances to Advanced Technical depth, for **FY2026** (1 April 2026 to 31 March 2027), under the Capital Allowances Act 2001 (CAA 2001) as amended by Finance Act 2026. Every syllabus row this chapter covers is **core (grade 1)**, except “Additional VAT liabilities and rebates (ss 234–240)”, which is **non-core (grade 2)**. *The Living Law* (TKS), chapter 12, built the basic machine: plant as the tools of the trade rather than the setting in which it is carried on; the main and special rate pools; the AIA; full expensing. Here we go further: the special balancing charge, the 40% FYA, the hybrid rate, the group’s single AIA, cars, long-life and short-life assets, software, hire purchase, part use and business entertainment, and how allowances are claimed and given effect. Buildings (SBA), fixtures, long funding leases and successions belong to chapter 9; R&D allowances to chapter 10.

Why the tax code ignores depreciation.

A company that buys a machine for £1m does not charge £1m against its profit that year. Its accounts spread the cost over the machine’s useful life as depreciation. Depreciation is an estimate: it depends on the directors’ view of useful lives, residual values and impairment, and two honest companies with identical machines can depreciate them quite differently. A tax system that followed depreciation would let every board choose its own timetable of relief.

So the tax code refuses it. Depreciation, amortisation and impairment of plant are capital and are added back in the computation. In their place CAA 2001 gives statutory allowances at rates Parliament sets. The swap makes relief uniform (the same machine earns the same relief in any company) and hands the government a lever: by changing the rates, Parliament can pull investment forward or push it back.

The last few years show the lever at full stretch:

Date	Event	Status
Spring Budget 2023 (15 March 2023)	Full expensing announced: 100% FYA for companies’ new main-rate plant, 50% FYA for special rate, from 1 April 2023 to 31	announced; enacted F(No.2)A 2023 (CAA ss 45S–45T)

Date	Event	Status
	March 2026 , replacing the temporary super-deduction	
Autumn Statement, 22 November 2023	Full expensing made permanent ; uncapped; cars, leasing and second-hand assets excluded	policy paper; end date removed by FA 2024
Budget, 26 November 2025	Main pool WDA 18% → 14% ; new 40% FYA reaching plant for leasing and unincorporated businesses	policy paper; enacted FA 2026 ss 28–29

Read together, the policy is clear: generous to new investment, less generous to old pools. The government’s policy paper says the rate cut affects businesses with pools of historic main rate expenditure (pre-dating the super-deduction or full expensing) and spending that does not qualify for an FYA.

For a large group, every asset has to be **sorted**: new or used; main rate or special rate; owned, hired or leased out; kept or sold. Each answer sends the asset down a different road. A good capital allowances computation is a sorting machine, and it is only as good as the fixed asset register behind it.

Misconception to drop: “a large company just depreciates its plant for tax.” No depreciation, amortisation or impairment of plant is deducted. The computation adds it back and substitutes allowances, which may be far faster (full expensing) or far slower (a 6% special rate pool) than the accounts. The gap between the two is the largest source of deferred tax in most industrial groups (chapter 6).

What counts, and when.

Qualifying activities (CAA 2001 s 15) include a trade, an ordinary UK property business (how Tarnmoor Estates Ltd (TES) claims for plant in the buildings it lets), the management of a company with investment business (how Tarnmoor plc (TPLC) claims for its head office equipment), and an employment (irrelevant for companies).

Qualifying expenditure (s 11): capital expenditure on the provision of plant or machinery wholly or partly for the purposes of the qualifying activity, the person owning the plant as a result. Each word matters: - *capital*: revenue repairs are simply deducted; - *provision*: includes installation, and alterations to a building incidental to installation (s 25); - *owns*: hence the special rules for hire purchase (s 67) and lessee-provided plant (s 70); - *plant*: still case law. As TKS chapter 12 explained, plant is the apparatus with which the business is carried on, not the setting in which it is carried on. The statute fences off buildings and structures (ss 21–23, with List C saving items), which chapter 9 covers.

Timing (s 5). Capital expenditure is incurred when the obligation to pay becomes **unconditional**, even if payment is due later (s 5(1)–(2)). Refinements:

Rule	Effect	Ref
Ownership by the period end; obligation unconditional within one month after the end	Treated as incurred immediately before the end of the period	s 5(4)

Rule	Effect	Ref
Amount not due until more than 4 months after the obligation becomes unconditional	Incurred on the date it is required to be paid	s 5(5)
Obligation made unconditional earlier than normal commercial practice, mainly to accelerate relief	Incurred on the date it is required to be paid	s 5(6)
Hire purchase	Unpaid capital instalments treated as incurred when the plant is brought into use	s 67(3)

The examiner tested timing with plant built in stages in M24 Q6.

Use for other purposes, and connected parties. Plant already owned and then brought into a qualifying activity gives deemed qualifying expenditure when brought into use (s 13), but **no FYA** (s 46, general exclusion 8). Plant bought from a **connected person** (s 214) gets **no AIA or FYA** (s 217), and the buyer's qualifying expenditure is capped at the seller's disposal value (s 218). A machine sold from one Tarnmoor company to another therefore carries no AIA and no FYA for the buyer, however new it is.

Full expensing and the 50% allowance.

The law (CAA 2001 s 45S). An FYA is available on expenditure: - incurred **on or after 1 April 2023**; - by a **company within the charge to corporation tax**; - on plant or machinery that is **unused and not second-hand**; - not incurred under **disqualifying arrangements** (s 45T: broadly, arrangements with a main purpose of securing the allowance); - not excluded by s 46.

The rate is **100%** for main rate expenditure ("full expensing") and **50%** for **special rate expenditure** (s 52(3) Table), with the balance of a 50% asset going to the special rate pool. That balance is allocated to the pool only after the WDA for the period of expenditure, so it first draws 6% in the next period (s 58(5)). There is **no cap**.

General exclusions (s 46) include: (1) the final chargeable period of the qualifying activity; (2) cars; (6) plant for **leasing** (including hire), except, for s 45S, an **excluded lease of background plant or machinery for a building** (s 46(4A)); (8) s 13/13A/14 cases.

Special rate expenditure (s 104A): thermal insulation, **integral features** (s 33A: electrical and lighting systems, cold water, space or water heating, powered ventilation, air cooling or purification, and the rest of the list), **long-life assets**, cars that are not main-rate cars, cushion gas and solar panels.

No double relief (s 52A). The AIA and an FYA cannot both be claimed on the same expenditure, nor two FYAs. A company may claim less than the full FYA (s 52(4)); unclaimed expenditure is relieved through the pool.

Worked example: TEL's GY2 first-year allowances (invented)

Item	Cost £	Treatment	Allowance £	To pool £
New machining centres (main rate, own use)	9,000,000	Full expensing 100% (s 45S)	9,000,000	—

Item	Cost £	Treatment	Allowance £	To pool £
New chillers and electrical systems (special rate)	1,200,000	50% FYA (s 45S)	600,000	600,000 to special rate pool
New test rigs for hire to UK customers (main rate, leasing)	800,000	Not full expensing (leasing); 40% FYA (s 45U)	320,000	480,000 to main pool
Second-hand milling line (unconnected seller)	500,000	No FYA (second-hand); no AIA allocated to TEL	—	500,000 to main pool

The analogy from *The Living Law*: the main pool is a bath draining at 14% a year that never quite empties. Full expensing tips the whole bucket out at once. But a bucket emptied at once raises a question the bath never had to answer: what happens if you sell the bucket?

Exam lens: full expensing and FYAs - Grade: first year qualifying expenditure, other allowances and charges, special rate expenditure: all **core (1)**. - **Past papers:** M26 Q2 (15 marks: new versus second-hand plant; FE not available on second-hand); M24 Q6 (20 marks: FE and instalment timing of plant built in stages; integral features); N24 Q4 (20 marks: used vans, cars, integral features); M23 Q1 (balancing charge on FE plant). - **Traps:** second-hand plant gets no FE; integral features and long-life assets get 50%, not 100%; leased plant gets no FE (but see the 40% FYA); cars never get FE. - **Style:** “Calculate, with explanations”: half a mark to a mark per item, for the treatment and a one-line reason.

The receipt you hand back.

The misconception: “selling a fully expensed machine just reduces the main pool.” It does not. A disposal of an asset that had full expensing triggers a **special balancing charge**.

Why. Under the pool system the clawback (a disposal value off the pool) is as slow as the relief. Full expensing gave the relief in one year. If the proceeds merely went into the pool, the company would repay over many years a relief it enjoyed in one, and a company with a large old pool might never feel the proceeds at all. So Parliament built a charge that matches the speed of the relief.

The law. - s 59A (main rate, full expensing): where a company has had an s 45S FYA on non-special-rate expenditure and must bring a disposal value into account, it is liable to a balancing charge for that period equal to the **relevant proportion of the disposal value**. Relevant proportion = expenditure that had the s 45S FYA ÷ total expenditure on the asset that has been the subject of that or any other FYA, or allocated to a pool. The company’s TDR for the pool is reduced by the charge, so the proceeds are not counted twice. - **s 59B (special rate, 50%):** the same, but the FYA expenditure is **halved** in the numerator: half the disposal value (for an asset wholly within s 45S) is a charge, and the other half reduces the special rate pool. - **s 59C:** arrangements with a main purpose of avoiding or reducing a s 59A/59B charge are disregarded. - As for any disposal value, the amount brought in cannot exceed the original qualifying expenditure (s 62). - The 40% FYA (s 45U) has **no** special balancing charge: ss 59A–59B refer only to s 45S.

Worked example: a split asset (hypothetical, not a story fact)

A company buys a new main-rate machine for £500,000, sets £200,000 against the AIA (allocated to the main pool) and claims full expensing on £300,000. It later sells the machine for £250,000.

	£
Disposal value	250,000
Relevant proportion 300,000 / 500,000	3/5
Special balancing charge (s 59A)	150,000
Disposal value deducted from main pool (250,000 – 150,000)	100,000

N24 Q4 part 2 (5 marks) turned on exactly this split; the examiners called it the harder part of the question.

Worked example: Calder's GY3 sale of process-valve plant (invented)

On 1 October GY3 Calder Valve Engineering Ltd (CVE) sells the plant of its process-valve business to Tarnmoor Vallaria SA (TVS, resident in the invented country of Vallaria) for £1.4m, alongside the £6.0m intangibles sale (chapters 11 and 27). The disposal values (each below original cost) split as follows. Calder's 9-month AP runs 1 April–31 December GY3.

Plant	Disposal value £	Original relief	Relevant proportion	Special balancing charge £	Pool deduction £
Machines bought new, fully expensed	900,000	100% FE (s 45S)	1	900,000	—
Heavy test bed (long-life asset, so special rate)	200,000	50% FYA (s 45S)	½ (s 59B)	100,000	100,000 (special rate pool)
Older plant (pre-FE or second-hand)	300,000	Main pool	—	—	300,000 (main pool)
Total	1,400,000			1,000,000	

The charges (£1.0m) are taxable in Calder's 9-month AP; at 25% they cost **£250,000**. TVS is a connected company, so the price must be at arm's length (TIOPA 2010 Part 4; chapter 27). TVS is outside UK tax, so s 218 is irrelevant to it.

Going further: special balancing charges in group reorganisations - Intra-group sales of FE plant. Selling fully expensed plant to a fellow UK group company triggers the seller's s 59A charge on the disposal value, while the buyer, being connected, gets no AIA or FYA and is capped at the seller's disposal value (ss 217–218). The group pays tax now and gets only pool relief back. Consider whether the plant can stay where it is, or whether a transfer of the whole trade within CTA 2010 Part 22 Ch 1 (s 948: allowances continue as if the successor had always carried on the trade, with no balancing adjustments) is the better route (chapters 9 and 19). How s 948 interacts with each asset's s 59A history should be confirmed on the facts. - **Cross-border sales** (Calder to TVS) add an arm's length price requirement, so the disposal

value is effectively market value whatever the intra-group contract says. - **s 59C** disregards arrangements with a main purpose of avoiding or reducing a special balancing charge, for example routing a sale through a company that never had full expensing. - **Due diligence.** When buying a company, ask for the FE history of its plant: later sales or scrapping of that plant bring contingent special balancing charges, a hidden tax cost (reflected in the target's deferred tax liability, chapter 6).

The 40% first-year allowance.

Full expensing has a hole: plant for leasing is excluded, and so is anything bought by a business outside corporation tax. Before 2026, a company buying new plant to lease out got only the AIA (if any was left) and then the main pool.

The law (CAA 2001 s 45U, inserted by FA 2026 s 29). A **40% FYA** on expenditure incurred **on or after 1 January 2026** on plant or machinery that is **unused and not second-hand** and **not special rate expenditure**, not incurred under disqualifying arrangements (s 45V) and not excluded by s 46. Key features: - **any business** (no “company” condition); - **leasing allowed** (s 46(4B)): the lessee must use the plant wholly or almost wholly to earn income within the charge to tax, or be UK resident and not use it to a significant extent to earn untaxed non-UK income; DTR-relieved income counts as outside the charge (s 46(4C)). In short: plant leased into the UK tax net qualifies; plant leased overseas does not; - cars excluded (general exclusion 2); - the **60% balance goes to the main pool** (GOV.UK guidance), but only after the WDA for the period of expenditure, so it first draws 14% in the next period (s 58(5)); - **no special balancing charge** on disposal: proceeds come off the main pool.

Commencement (real-calendar example). A leasing company with a year ending **31 March 2026** buys a new machine to lease to a UK customer. If the obligation to pay became unconditional on **20 December 2025**, there is no FYA at all (full expensing excludes leasing; s 45U had not started). If it became unconditional on **5 January 2026**, the company has 40%. Section 5 decides which.

In our invented case, TEL's £0.8m of new test rigs are hired to UK utility customers on two-year hires. Full expensing is barred (leasing); the 40% FYA applies: **£320,000** now and **£480,000** to the main pool. The hires are short, so TEL as lessor keeps the allowances; a long, finance-type lease could have been a **long funding lease** moving allowances to the lessee (chapter 9).

The three FYAs by whom they serve: full expensing is for companies investing in their own new main-rate plant; the 50% FYA is its special rate companion; the 40% FYA is for everyone else's new main-rate plant, including plant leased into the UK.

14%, and the hybrid rate.

FA 2026 s 28 amends CAA 2001 s 56(1): main pool WDA **14%** for **corporation tax chargeable periods beginning on or after 1 April 2026** (income tax: 6 April 2026). The special rate (s 104D) stays at **6%**.

Hybrid rate (FA 2026 s 28(3)–(6)) for a chargeable period straddling 1 April 2026:

$$X = (18\% \times \text{BRD} / \text{CP}) + (14\% \times \text{ARD} / \text{CP}),$$
 using **days, rounded up** to 2 decimal places,

where BRD = days before 1 April 2026, ARD = days on or after, CP = days in the period.

Worked example: hybrid rates (real-calendar, computed in Python)

Chargeable period	BRD	ARD	Unrounded %	Hybrid rate
1 Jan 2026 – 31 Dec 2026	90	275	14.9863	14.99%
1 Oct 2025 – 30 Sep 2026	182	183	15.9945	16.00%
1 Jul 2025 – 30 Jun 2026	274	91	17.0027	17.01%

On a main pool of £1,000,000, the calendar-2026 company's WDA is **£149,900**.

Short and long periods. The WDA is proportionately reduced for a chargeable period of less than 12 months (s 56(3)): Calder's 9-month AP to 31 December GY3 gets $9/12 \times 14\% = 10.5\%$. The AIA is likewise proportioned: a 9-month period's maximum is **£750,000**.

The rest of the pool mechanics are as TKS chapter 12 taught: a pool of **£1,000** or less may be written off (small pools allowance); a balancing allowance on the main pool arises only in the final chargeable period.

In our invented case, every story period is run on FY2026 rules, so Tarnmoor's pools use 14% with no hybrid rate. TEL's main pool brings forward **£39.5m**, mostly pre-full-expensing spend. After the second-hand addition and the disposal it stands at **£39.7m**; 14% gives **£5,558,000**. At 18% it would have been £7,146,000: the policy paper's "historic pool" in the flesh. (The £480,000 balance of the test rigs joins the pool after the WDA: s 58(5).)

Exam lens: rates and the 2027 tables - Grade: other allowances and charges **1**. - **Trap for 2027 sittings:** the **2026 CIOT tax tables show 18%** (FA 2025). Papers set on **FA 2026** use **14%**, with the 40% FYA (s 45U). The 2027 tables are not yet published: check them when they appear. Hybrid rates are rounded **up**, by **days**. - **Style:** state the rate and, for a straddling period, show the day-weighting.

One annual investment allowance for the whole group.

The AIA (ss 38A, 51A) gives 100% relief on up to **£1,000,000** a year (proportioned for short or long periods). For companies it matters less than before, because full expensing gives 100% on new main-rate plant without limit. It still covers ground full expensing does not: second-hand plant; special rate expenditure (where 100% beats 50%); fixtures acquired with a second-hand building. **Cars** are excluded (s 38B), as is expenditure in the final chargeable period.

The group rule (s 51C). Where a company is a **parent undertaking** (Companies Act 2006 s 1162) of other companies in a financial year, the parent and its subsidiaries are entitled to **only one AIA** between them for their chargeable periods **ending in that financial year**. Section 51C has no definition of its own and does not import the Companies Act 2006 s 390 meaning, so, read with the Interpretation Act 1978 (Sch 1: "the twelve months ending with 31st March"), "**financial year**" means **the year to 31 March**, not the parent's accounting year (the book's reading of the statute). A company is treated as the parent's subsidiary for this purpose if the parent holds that status at the end of the subsidiary's chargeable period. Groups and companies under common control that are "related" share one AIA under ss 51D–51E (with ss 51F–51G). The companies allocate the AIA **as they think fit**.

Acquisitions and changing year ends: - A target's period that **ended before** the acquisition is outside the group. Calder's year to 31 March GY1 ended the day before TPLC bought it: Calder kept its own £1m AIA for that year. - Calder's year to **31 March GY2** ended while TPLC was its parent: it shares the AIA for the **year to 31 March GY2** with the other companies' GY1 periods (to 31 December GY1). - Calder's year to **31 March GY3** shares the AIA with the other companies' GY2 periods; its **9-month AP to 31 December GY3** falls in the **next** AIA year (to 31 March GY4), with their GY3 periods, and is capped at **£750,000** on its own. Calder's two periods ending in calendar GY3 therefore draw on **different** AIA years.

Where should it go? Every Tarnmoor company pays 25%, so the question is timing. The AIA adds most relief this year where **no FYA is available at all**, and most of all where the alternative is the 6% special rate pool.

Worked example: the group AIA for the year to 31 March GY3 (invented)

Company	Chargeable period ending in the year to 31 March GY3	Expenditure	AIA allocated £	Why
TES	Year to 31 December GY2	Fixtures in the office bought in GY2 (s 198 figure £0.4m: chapter 9)	400,000	Second-hand integral features: special rate, no FYA
CVE	AP to 31 March GY3	Second-hand special rate plant	600,000	Second-hand special rate plant: no FYA
TEL	Year to 31 December GY2	—	nil	Its £0.5m second-hand milling line is main rate (14%); special rate first. New main-rate plant has FE; new special rate plant has the 50% FYA
Total			1,000,000	

The AIA displaces a 6% WDA on the TES and Calder items, but only a 14% WDA on TEL's milling line. Calder's £600,000 of second-hand plant in its AP to 31 March GY2 used the previous AIA year's allowance.

The allocation is a group decision that must reach each company's return; record it centrally each year.

Going further: the AIA and acquisitions - Test date. Because s 51C looks at the parent's status at the end of the subsidiary's chargeable period, a target acquired just before its year end shares the group's AIA for that whole period, including spending incurred while it was independent. If the target has already claimed its own AIA on that spending, the group's allocation must absorb it. - **Year-end changes.** Calder's move to a 31 December year end gave it two periods ending in calendar GY3, but they fall in different AIA years: its year to 31 March GY3 shares the AIA with the other companies' GY2 periods; its 9-month AP to 31 December GY3 falls in the next AIA year, with their GY3 periods (and is capped at £750,000 on its own). Plan purchases across the change. - **Documentation.** Each company's return claims only its allocated share; keep a group schedule each financial year so that an amendment in one company can be matched elsewhere within the para 82 window.

Exam lens: the AIA in groups - Grade: Annual Investment Allowance **1.** - **Past papers:** M26 Q4 (AIA and instalment timing in a two-company group); M24 Q6 (FE and instalment timing, two-company computation). - **Traps:** one AIA per group, not per company; the AIA is not available for cars; allocate it to expenditure with no FYA, special rate first; time-apportion for short periods.

Cars and long-life assets.

Cars. “Car” (s 268A) excludes motorcycles, vans and vehicles not commonly used or suitable for private use. A **main-rate car** (s 104AA) has CO2 emissions **not exceeding 50g/km**, is electric, or was first registered before 1 March 2001; every other car is special rate. Cars get **no AIA, no full expensing, no 50% and no 40% FYA**. The exception: a **new zero-emission car** has a **100% FYA** for expenditure to **31 March 2027** (CT) (FA 2026 s 30): coming next, that window closes.

Hypothetical: a new car at 120g/km costing £40,000 goes to the special rate pool: WDA 6% = **£2,400** (at 14% it would have been £5,600). A new van, not being a car, can be fully expensed.

Long-life assets (LLA) (ss 90–102). Plant with an expected useful economic life, when new, of **at least 25 years** (s 91). LLA expenditure is special rate expenditure (s 104A). **De minimis (s 99):** a company’s LLA expenditure in a chargeable period is not treated as such if it is within **£100,000**, but for a company that limit is: - **divided by 1 + the number of associated companies** (s 99(4), (4A); CTA 2010 ss 18E–18J); - **reduced** for a period shorter than a year, **not increased** for a longer one (s 99(3)); - **all or nothing:** exceed it, and *all* the period’s LLA expenditure is LLA (s 100).

Worked example: the LLA trap (hypothetical, not a story fact)

In GY2 each Tarnmoor company has 9 associated companies, so its LLA limit is £100,000 / 10 = **£10,000**. Suppose TEL also bought a new heat-treatment furnace for £300,000 with a 30-year life.

	Treated as main rate (wrong) £	Treated as LLA, special rate (right) £
FYA	300,000 (100%)	150,000 (50%)
Balance to special rate pool (WDA from the next period, s 58(5))	—	150,000
Relief in GY2	300,000	150,000

Misclassification overstates first-year relief by **£150,000** on one asset.

The examiner hides long-life assets in a passing sentence about useful lives.

Short-life assets and software.

Short-life assets (ss 83–86). An election puts an asset in its own single asset pool, so that a sale or scrapping below TWDV gives an immediate balancing allowance. For CT the election is due **within 2 years** after the end of the chargeable period of the expenditure and is **irrevocable**. If the asset is still held at the **8th anniversary** of the end of that period, the balance moves to the main pool. Not available for cars, special rate expenditure, plant for leasing (with exceptions) or s 13/14 cases. With full expensing the election matters less: it earns its keep on main-rate assets that cannot be fully expensed, such as second-hand computer equipment beyond the AIA. A sale above TWDV gives a balancing charge.

Software (CAA 2001 ss 71–72). Capital expenditure on software, or a right to use it, is treated as plant; a capital sum for a sub-licence is a disposal value. But most company software is also an intangible fixed asset under CTA 2009 Part 8 (chapter 11). The interface:

Software	Regime	Ref
Treated in the accounts as part of the cost of related hardware	Excluded from Part 8 (except royalties): capital allowances	CTA 2009 s 813
Other capital software	Part 8, unless the company elects for capital allowances	CTA 2009 s 815

HMRC's guidance (CIRD25180) says the s 815 election must be in writing, identify the expenditure, and be made **within 2 years** after the end of the AP in which the expenditure was incurred; it is **irrevocable**. Why elect? Capital allowances may give faster relief than amortisation, which the intangibles regime generally follows. Realisation is then dealt with mainly through capital allowances (s 815(4)–(5)).

Going further: a group software implementation Large enterprise system projects mix capital licence costs, capitalised implementation costs, subscription and service costs, and data migration. Sort each element: hardware-bundled software to capital allowances; other capital software to Part 8 or, by election, capital allowances; revenue costs deducted (with the uncertain tax treatment rules in view where a provision is involved, as with TEL's £24m ERP costs in GY2: chapters 3 and 4). Diarise the s 815 deadline (2 years) when the asset is first capitalised.

Exam lens: special assets - Grade: cars, short life assets, long life assets, computer software, special rate expenditure: all **core (1)**. - **Past papers:** M24 Q2 (15 marks: hotel, thermal insulation, cars on HP over 50g/km); N23 Q4 (SLAs in a CT computation); M25 Q2 (cars, HP plant, cloud/software costs in R&D). - **Traps:** dividing the LLA limit by the associated companies; LLA gets 50% not 100%; cars in the AIA or FE column; vans are not cars.

Hire purchase and plant provided by lessees.

Hire purchase (s 67). A person incurring capital expenditure under a contract providing that it **shall or may become the owner** of plant on performing the contract is treated as the owner while entitled to the benefit of the contract. When the plant is **brought into use**, all capital expenditure still to be incurred under the contract is treated as incurred **at that time**: the **whole capital element** enters the computation at once. The interest element is not capital expenditure: it is a finance cost relieved over the contract.

Modern twist (s 67(2A)–(2C)). Where the contract is (or would be) a lease under GAAP, s 67 applies only if it is accounted for as a **finance lease** (or, for a right-of-use lessee, would be). Operating leases stay out; long leases of plant fall to the long funding lease rules (chapter 9).

The sorting questions apply at the date the asset is brought into use: new main-rate plant (full expensing for a company); second-hand (AIA or pool); a car (car rules: over 50g/km, special rate pool).

Plant provided by a lessee (s 70). A lessee required by its lease to provide plant that is not a fixture is treated as owner while using it for its qualifying activity; no disposal value when the lease ends; the lessor brings in a disposal value on a later disposal.

Exam lens: hire purchase - Grade: hire purchase etc and plant provided by lessee **1**. - **Past papers:** M26 Q2 (HP vans: examiners named the HP capital element as an error); M24 Q2 (cars on HP); M25 Q2 (HP plant). - **Trap:** spreading the capital element over the instalments; claiming the interest as capital.

Part use and business entertainment.

Partly qualifying use (ss 205–208). Where plant is used partly for other purposes, an FYA or AIA is reduced to a **just and reasonable** amount (s 205), and the asset goes into a **single asset pool** (ss 206–207) so that WDAs and balancing adjustments are reduced in the same way.

Employees' private use: HMRC's view (CA27100). Where an employer provides an asset to a director or employee as part of the remuneration package, HMRC accepts the cost as incurred for the business's qualifying activity, and the company's claim is not restricted; the employee is taxed on the benefit. The manual adds that where the asset is blatantly incongruous with the business's commercial needs, allowances may be restricted on grounds of personal choice, citing *G H Chambers (Northiam Farms) Ltd v Watmough* (as cited in CA27100; citation not re-verified).

Business entertainment (s 269). Use of plant for **business entertainment** (which includes hospitality of any kind provided in connection with the business) is treated as use **not** for the qualifying activity. Exceptions: where providing entertainment is the function of the trade (a hotel, an events business), and hospitality provided only for staff; **directors count as employees** (s 269(5)).

Hypothetical: Tarnmoor buys a launch on a lake near its head office, used on 60 days a year: 40 customer days and 20 staff summer events. The customer days are business entertainment, so allowances are reduced to a just and reasonable proportion, here about **one third** (20/60), in a single asset pool. Read the facts: a hotel's televisions are not restricted; the same televisions in a manufacturer's hospitality suite are. The profit-computation side of entertaining is in chapter 7.

Exam lens: part use - Grade: assets provided or used only partly for qualifying activities **1**; use of plant or machinery for business entertainment **1**. - **Past paper:** M24 Q2 (hotel: televisions, paintings, kitchen equipment). - **Trap:** applying individuals' private-use restrictions to a company's employee-benefit assets.

Giving effect, claiming, and VAT adjustments.

Giving effect.

Qualifying activity	How allowances and charges are given	Ref
Trade	Allowance an expense, charge a receipt, in calculating trade profits (so CAs can create or increase a trading loss for s 37, s 45A or group relief)	CAA 2001 s 247
Property business	Expense / receipt of the property business (TES)	s 248
Company with investment business	Deducted from that business's income, any excess treated as management expenses (TPLC: adds to excess management expenses surrendered to TEL, chapters 13 and 15)	s 253; CTA 2009 s 1233

Claims. A company claims capital allowances in its company tax return (FA 1998 Sch 18 Part IX). A claim can be made, amended or withdrawn **only by amending the return** (para 81). The time limit (para 82) is the **last** of: the first anniversary of the filing date (in practice about 2 years after the end of a 12-month AP, CA11140); **30 days after an enquiry is completed**; and other dates where the return is amended after an enquiry or determination.

Case: HMRC v Dundas Heritable Ltd [2019] UKUT 208 (TCC). A pub and bar operator filed its returns for the years to 31 March 2012 and 2013 years late (on 3 February 2015 and 26 November 2015), with CA claims inside them. HMRC opened enquiries in time and then disallowed the claims as out of time. The Upper Tribunal dismissed HMRC's appeal: the opening of the enquiries brought the late claims within the para 82 enquiry limb. HMRC's own enquiry cured the lateness. The practical lesson is not to rely on a lucky enquiry: the window is statutory and the claim lives in the return, so a group that wants to claim less (for example, to preserve losses) must amend within the window.

VAT adjustments (ss 234–240; grade 2). An **additional VAT liability** (for example under the capital goods scheme) is treated as further qualifying expenditure in the chargeable period in which it accrues, and attracts the AIA or an FYA if the original expenditure did. An **additional VAT rebate** is a disposal value (or added to one). The CGS thresholds changed from **29 July 2026** (SI 2026/765), and computer equipment was removed from the scheme. Principle: allowances follow the net cost the business bears.

Exam lens: giving effect and claims - Grade: giving effect to allowances and charges **1**; Part 1 CAA 2001 **1**; VAT adjustments **2**. - **Past papers:** M24 Q1 and M26 Q4 (investment companies, where CAs on management assets feed management expenses); N25 Q4 (CAs in a loss-making new subsidiary; R&D allowances often missed). - **Trap:** treating an investment company's allowances as a trading deduction.

Tarnmoor's sixteen million pounds.

Worked example: TEL capital allowances, year ended 31 December GY2 (invented; FY2026 law)

	FYA / FE £	Main pool £	Special rate pool £	Allowances £
TWDV b/f		39,500,000	7,720,000	
Additions not qualifying for FYAs				
Second-hand milling line (no AIA allocated to TEL)		500,000		
Disposals				
Old plant, never fully expensed (no s 59A charge)		(300,000)		
		39,700,000	7,720,000	
WDA 14%		(5,558,000)		5,558,000
WDA 6%			(463,200)	463,200
		34,142,000	7,256,800	
Additions qualifying for FYAs				
New machining centres: full expensing 100%	9,000,000			
FE claimed	(9,000,000)			9,000,000
New chillers and electrical systems (special rate): 50% FYA	1,200,000			
FYA 50%	(600,000)			600,000
Balance to special rate pool (after the WDA: s 58(5))	(600,000)		600,000	
New test rigs for leasing to UK customers: 40% FYA	800,000			
FYA 40%	(320,000)			320,000
Balance to main pool (after the WDA: s 58(5))	(480,000)	480,000		
TWDV c/f		34,622,000	7,856,800	
SBA: factory extension £1,960,000 × 3% (chapter 9)				58,800
Total allowances				16,000,000

Why the FYA balances come in at the foot. CAA 2001 s 58(5) says that where an FYA is made on first-year qualifying expenditure, none of it is allocated to a pool for the chargeable period in which it is incurred. The £600,000 and £480,000 balances therefore join the pools **after** the WDA and first draw WDA in GY3. The second-hand milling line, which had no FYA, is pooled at once and draws 14% in GY2.

TEL's tax-adjusted trading profit before capital allowances is **£42.0m** (chapter 7); after allowances of **£16.0m**, its trading profit is **£26.0m**. At 25%, the allowances are worth **£4.0m** of tax.

Notice what the computation does not contain: no AIA (the group allocated it to special rate spending in TES and Calder), no special balancing charge, and no depreciation (added back in chapter 7). Notice how much came from the sorting: had the machining centres been second-hand, £9.0m of full expensing would have been £1.26m of WDA. Tom's question was worth more than **£7.7m** of first-year relief.

A year later, Calder's sale to TVS runs the sorting in reverse: **£1.0m** of special balancing charges and **£250,000** of tax fall in the same 9-month AP in which Calder bears the cost of closing the process valves division where Dan Hartley worked (his redundancy on 30 September GY3 is a deductible restructuring cost: chapter 7). The relief came fast, and so does the clawback.

Planning, and how the examiner tests it.

Going further: the tax function's year

- 1. Timing.** Expenditure is incurred when the obligation becomes unconditional (s 5), so a purchase committed just before a year end can bring a year's relief forward, subject to the 4-month rule (s 5(5)) and the anti-acceleration rule (s 5(6)). For a very large company paying QIPs, relief in the current year reduces the instalments still to come: update the forecast when a large purchase is committed (chapter 3).
- 2. Sorting at procurement.** New rather than second-hand; main rather than special rate; bought rather than leased; useful life under 25 years. Buying reconditioned plant to save cash can forfeit full expensing worth far more than the saving.
- 3. AIA allocation.** Allocate the group's single AIA deliberately each financial year, to expenditure with no FYA, special rate first.
- 4. Claiming less.** Allowances are not compulsory. A company that is loss-making, or whose carried-forward losses would be restricted above the £5m deductions allowance (chapter 14), may claim less and keep expenditure in the pool; in a group, compare with surrendering a CA-driven loss as group relief (chapter 15). Any change must be made within FA 1998 Sch 18 para 82.
- 5. Interactions.** Capital allowances are excluded from **tax-EBITDA** for the CIR (TIOPA 2010 s 407), so full expensing does not reduce interest capacity (chapter 28). Full expensing creates large deferred tax liabilities (NBV far above TWDV: chapter 6). An intra-group or cross-border disposal of FE plant needs a transfer pricing check and a special balancing charge together.
- 6. Records.** Tag every addition in the fixed asset register: new or second-hand; main or special rate; owned, HP, leased in or leased out; useful life; claim history (FE, 50%, 40%, AIA, pool). A disposal ten years later can then be sorted without archaeology.

Exam lens: capital allowances overall - Frequency: standalone M24 Q2 (15), M26 Q2 (15), N23 Q3(b); embedded in nearly every computation (M23 Q1, M24 Q6, N24 Q4, M25 Q2, N25 Q1, M26 Q4) and in property questions (M23 Q4, N25 Q4, N25 Q5). - **What the examiners said:** M24 Q2: "some did not use a conventional CA layout"; M26 Q2: errors on the HP capital element; N24 Q4: the FE disposal split was the harder part; M23 Q1: disposal of FE plant gives a

balancing charge. - **Style:** “Calculate, with explanations”; 0.5–1 mark per item; no letter format. - **Layout:** columns for FYA/FE, main pool, special rate pool, single asset pools, allowances; additions without FYAs and disposals (pool deduction or special balancing charge); WDAs; then additions with FYAs, their balances transferred to the pools after the WDA (s 58(5)); c/f; £ throughout (never mix £ and £000). - **Traps:** second-hand plant gets no FE; HP capital element in full when brought into use; cars excluded from AIA and FYAs (except new zero-emission cars to 31 March 2027); FE disposals give a balancing charge; LLA limit divided by associated companies; **14% not the 2026 tables’ 18%.**

What to take away.

- The tax code ignores depreciation and gives statutory allowances; every allowance depends on **sorting**: new or used, main or special rate, owned, hired or leased, kept or sold.
- **Full expensing (s 45S)**: companies; new and unused; 100% main rate, 50% special rate; from 1 April 2023; permanent; not for second-hand plant, cars, leasing (except background plant), or the final period.
- **Special balancing charge (ss 59A–59C)**: disposal value × FE expenditure ÷ total; half for 50% assets, the other half off the special rate pool. Calder’s GY3 sale: **£1.0m** of charges.
- **40% FYA (s 45U)**: from 1 January 2026; new main-rate plant; any business; leasing into the UK allowed; 60% to the main pool; no special balancing charge.
- **WDA 14%** for CT periods beginning on or after 1 April 2026; hybrid by days, rounded up (calendar 2026: **14.99%**); special rate **6%**.
- **AIA £1m**, one per group for chargeable periods ending in the same financial year, the year to 31 March (s 51C; Interpretation Act 1978); allocate to expenditure with no FYA, special rate first.
- **Cars**: over 50g/km special rate; no AIA or FYA except new zero-emission cars to 31 March 2027. **LLA**: 25 years; £100,000 ÷ (1 + associates); all or nothing. **SLA**: 2-year election; 8-year cut-off. **Software**: plant, but Part 8 unless s 815 election within 2 years.
- **HP**: whole capital element when brought into use. **Part use and entertainment**: just and reasonable reduction, single asset pool.
- **Giving effect**: trade expense; property business expense; investment business, then management expenses. **Claims**: in the return; para 82 window (*Dundas Heritable*).
- **TEL GY2 (invented)**: total allowances **£16,000,000** (FE £9.0m; 50% FYA £0.6m; 40% FYA £0.32m; main pool WDA £5,558,000; special rate WDA £463,200; SBA £58,800). FYA balances join the pools after the WDA (s 58(5)).

The SBA in that total is the bridge to the next chapter. Plant is the apparatus; chapter 9 turns to the setting itself (buildings and the fixtures inside them) and to what happens to allowances when assets are leased or a whole trade changes hands.

Key rules and figures

Rule	FY2026 figure or test	Reference
Qualifying expenditure	Capital expenditure on provision of P&M for the qualifying activity, owned as a result	CAA 2001 s 11
When incurred	Unconditional obligation; 1-month rule; >4 months: due date; anti-acceleration	s 5

Rule	FY2026 figure or test	Reference
Full expensing / 50% FYA	Companies; new and unused; from 1 April 2023; 100% main / 50% special rate; uncapped; permanent	ss 45S, 45T, 46, 52
Special balancing charge	$DV \times FE \text{ expenditure} \div \text{total (s 59A)}$; half (s 59B); anti-avoidance (s 59C)	ss 59A–59C
40% FYA	From 1 January 2026; new; main rate; any business; leasing into UK tax net; 60% to main pool; no special charge	s 45U, 45V, 46(4B)–(4C); FA 2026 s 29
Main pool WDA	14% (CT periods beginning on or after 1 April 2026); hybrid by days, rounded up	s 56; FA 2026 s 28
Special rate WDA	6%	s 104D
AIA	£1,000,000; one per group (parent undertaking + subsidiaries) for periods ending in the financial year (year to 31 March); related companies	ss 38A, 51A, 51C–51G; Interpretation Act 1978 Sch 1
No double relief	Not AIA + FYA, or two FYAs	s 52A
FYA balances	Pooled only after the WDA of the period of expenditure	s 58(5)
Connected-party purchase	No AIA or FYA; cost capped at seller's disposal value	ss 214, 217, 218
Cars	Main rate $\leq 50\text{g/km}$ or electric; otherwise special rate; no AIA/FE/40%; new zero-emission 100% FYA to 31 March 2027	ss 104AA, 268A; FA 2026 s 30
Long-life assets	≥ 25 years; $\text{£}100,000 \div (1 + \text{associates})$; reduced for short periods; all or nothing; special rate	ss 90–102
Short-life assets	Election within 2 years; 8th anniversary transfer	ss 83–86
Software	Plant (s 71); Part 8 unless hardware-bundled (CTA 2009 s 813) or s 815 election (2 years, irrevocable)	CAA ss 71–72; CTA 2009 ss 813, 815
Hire purchase	Treated as owner; capital element incurred when brought into use; finance-lease condition for GAAP leases	s 67
Lessee-provided plant	Lessee treated as owner; no DV at lease end	s 70
Part use	Just and reasonable reduction; single asset pool	ss 205–208
Business entertainment	Non-qualifying use; exceptions for hospitality trades and staff	s 269
VAT adjustments (grade 2)	Extra VAT = qualifying expenditure; rebate = disposal value	ss 234–240

Rule	FY2026 figure or test	Reference
Giving effect	Trade s 247; property business s 248; investment business s 253	ss 247–253
Claims	In the return; para 82 time limits	FA 1998 Sch 18 paras 78–83
Small pools	≤ £1,000 written off	s 56A
Story: TEL GY2	£16,000,000 total; main pool c/f £34,622,000; special rate c/f £7,856,800	invented
Story: group AIA, year to 31 March GY3	TES £400,000; Calder £600,000 (second-hand special rate plant, AP to 31 March GY3); TEL nil	invented
Story: Calder GY3 plant sale	DV £1.4m; special balancing charges £1.0m; pool deductions £0.3m main, £0.1m special rate	invented

Statutory and case references

- Capital Allowances Act 2001 ss 5, 11, 13, 15, 21–23, 25, 33A, 38A, 38B, 45S, 45T, 45U, 45V, 46, 51A, 51C–51G, 52, 52A, 56, 58, 56A, 59A, 59B, 59C, 61, 62, 67, 70, 71, 72, 83–86, 90–102, 104A, 104AA, 104D, 205–208, 214, 217, 218, 234–240, 247, 248, 253, 268A, 269.
- Finance Act 2026 ss 28 (14% WDA; hybrid rate), 29 (40% FYA), 30 (zero-emission cars).
- Finance (No. 2) Act 2023 (full expensing, CAA ss 45S–45T); Finance Act 2024 (permanence; ss 59A–59C as amended).
- Corporation Tax Act 2009 ss 813, 815 (software), 1233 (excess capital allowances as management expenses).
- Corporation Tax Act 2010 ss 18E–18J (associated companies).
- Taxation (International and Other Provisions) Act 2010 s 407 (tax-EBITDA).
- Finance Act 1998 Sch 18 paras 78–83 (claims).
- Companies Act 2006 s 1162 (parent undertaking).
- Interpretation Act 1978 Sch 1 (“financial year”: the twelve months ending with 31 March).
- HMRC manuals: CA11140 (claims), CA11800 (when expenditure is incurred), CA27100 (assets provided for directors or employees), CIRD25180 (software election).
- GOV.UK policy papers: *Capital allowances: permanent full expensing* (22 November 2023); *Capital allowances: new first-year allowance and reducing main rate writing-down allowances* (26 November 2025); Spring Budget 2023 full expensing factsheet.
- *HMRC v Dundas Heritable Ltd* [2019] UKUT 208 (TCC).
- *G H Chambers (Northiam Farms) Ltd v Watmough* (as cited in HMRC CA27100; citation not re-verified).

Chapter nine: Buildings, fixtures, leasing and successions.

On 1 September in Group Year Three (GY3), Tarnmoor Engineering Ltd (TEL) takes the keys to a new distribution centre. Our invented group, Tarnmoor, is a listed engineering group, and everything about it in this book is made up for teaching. The building is brand new, bought from the developer who built it, for £5.2m. To the tax system it is at least three things, and possibly four.

The ground it stands on gets no allowance at all. The heating, the lighting and the electrical systems are plant, and they join a pool. The concrete, steel and roof are a structure, and they earn a slow, straight-line allowance that will outlive most of the people in the room.

This chapter is about the assets that sit between land and machinery, and about the moments when allowances move from one owner to another. It is the second capital allowances chapter in Part Two. Chapter 8 dealt with plant and machinery in the pools. Here we take the structures and buildings allowance (SBA) at Advanced Technical depth, then fixtures, long funding leases (LFLs), successions, contributions and the rules that stop allowances being bought and sold. Almost every topic here is **core** on the LCG syllabus; allowance buying and freeport special tax sites are **awareness** only. *The Living Law* (TKS), chapter 12, taught the basics of plant, pools and the SBA. We build on it.

Abbreviations. CAA 2001 = Capital Allowances Act 2001 (spoken “the Capital Allowances Act”); TCGA 1992 = Taxation of Chargeable Gains Act 1992 (“the Gains Act”); CTA 2010 = Corporation Tax Act 2010 (“the twenty ten Act”). All law is the law for **FY2026** (1 April 2026 to 31 March 2027) after Finance Act 2026. FA 2026 left the SBA, fixtures and LFLs unchanged; its 14% main pool WDA (FA 2026 s 28) matters here because fixtures and leased plant often land in the main pool.

One building, four tax assets.

Start with the price. A building purchase contract usually gives one figure; the tax rules need it split, because each piece follows a different regime. Where property is sold together, the price is apportioned on a **just and reasonable** basis, whatever the parties call each part (CAA 2001 s 562). A contractual label does not bind HMRC if it is not just and reasonable.

Piece	Examples	Tax treatment
Land	The site; rights over land	No allowance. SBA expressly excludes land acquisition costs (s 270BG); HMRC’s manual (CA94010) adds that fees and SDLT relating to the land are excluded. Base cost for gains only
Structure	Walls, floors, roof, foundations, car parks, roads, bridges	SBA at 3% a year (Part 2A)
Fixtures that are plant	Integral features (s 33A: electrical and lighting systems, cold water, space or water heating, powered ventilation, air cooling and	P&M allowances: integral features to the special rate pool (6%); other plant usually to the main pool (14%)

Piece	Examples	Tax treatment
	others); other fixed plant (sprinklers, racking bolted down)	
Everything else	Land alteration (reclamation, remediation, landscaping that does not create a structure)	Nothing

People assume that buying a building means buying allowances. Often it means buying allowances only on the parts the law recognises, only if the paperwork is right, and only at the rate the law sets for each piece. **A building is a bundle of tax assets, and the bundle is only as good as its weakest document.**

For TEL's distribution centre, the developer's price is split in our invented case as follows (a surveyor's report supports the split as just and reasonable):

Component	£
Land	1,200,000
Integral features	600,000
Structure	3,400,000
Total price	5,200,000

Why buildings got an allowance again.

For years before 2018, most new commercial buildings in the UK earned no capital allowance: a company could claim for the machines inside a factory and for some fixtures, but the shell was relieved only on sale, against a gain. The Budget of 29 October 2018 filled that gap with the SBA.

- **Start date.** The SBA is available only where the construction contract was entered into on or after **29 October 2018** (CAA 2001 s 270AB). If any contract for the physical construction predates it, the building does not qualify at all.
- **Rate.** 2% a year originally; **3% from 1 April 2020** for companies (6 April 2020 for income tax), so the allowance now runs for **33½ years** (s 270AA).
- **Three design ideas.** (1) A straight-line allowance on original qualifying cost, not a pool: no balancing allowance or charge on sale. (2) The allowance belongs to the building: a buyer carries on claiming the same annual amount for the rest of the 33½ years. (3) Clawback is through the **gains** computation: the seller adds the SBA it claimed to its disposal consideration (TCGA 1992 s 37B; GOV.UK: "add the total amount of structures and buildings allowance you've claimed to your disposal receipts").
- **Non-residential use.** Dwellings and residential use are excluded. A period of disuse after qualifying use does not stop the allowance; a switch to residential use does.
- **Allowance period start.** The later of (a) the date the building is first brought into non-residential use and (b) the date the qualifying expenditure is incurred.
- **Older buildings.** A building constructed under pre-29 October 2018 contracts earns nothing, but **capital expenditure on later alterations, extensions or renovations** can qualify in its own right if contracted for after the start date. The May 2026 paper tested exactly this with an office built in 2010: many candidates gave SBA on the whole office; only the alterations qualified.

TEL's GY2 extension (invented). TEL's GY2 capital allowances (£16.0m in total, chapter 8) include SBA on a **£1.96m extension** to an older factory, contracted for after the start date and in use throughout GY2: $3\% \times £1,960,000 = \text{£}58,800$. The older factory earns nothing.

What qualifies, and what does not.

Construction by the claimant. Qualifying expenditure is the capital cost of construction. Site preparation counts, and HMRC's manual treats demolition of an existing building to clear the site as site preparation. Excluded: land; land alteration (other than site preparation); plant (which qualifies under Part 2 instead); planning permission costs.

Purchases. Three rules (and the examiner likes them):

Building bought	Qualifying expenditure for the buyer	Authority
Unused, from a developer (sold in the course of its development trade)	The price paid for the relevant interest, apportioned to exclude land and non-structure items; if there were further sales before first use, the lower of the last buyer's price and the developer's sale price	CAA 2001 s 270BD; CA93650
Unused, from a non-developer	Lower of the price paid and the original construction expenditure	s 270BC; CA93500
Used (after first use)	No relief on the price. The buyer steps into the seller's shoes and claims 3% of the original qualifying expenditure for the rest of the period, if it has an allowance statement	Part 2A; GOV.UK guidance

HMRC's guidance adds that if a buyer pays more than market value, the claim is limited to market value.

Worked example: buying a used building (hypothetical, not a story fact) A warehouse cost £2,000,000 to construct (post-October 2018 contract). A buyer later pays £3,000,000, of which £800,000 is land.

	£
Original qualifying expenditure	2,000,000
Buyer's SBA a year (3%)	60,000
Price paid for the structure (irrelevant to SBA)	2,200,000

The buyer claims £60,000 a year for the remaining period, not 3% of £2.2m.

Demolition. HMRC's manual: where the **whole** building is demolished it ceases to qualify, any unclaimed allowance is lost, and allowances already claimed are added to the consideration in the gains computation. Partial demolition is different: restoration works are new capital expenditure under the renovation and conversion provisions.

Time apportionment. The allowance is an annual amount, proportionately reduced for a period shorter than a year or for part-period qualifying use (s 270AA). Exam answers work to the nearest month (“All workings should be shown and made to the nearest month and pound unless the question specifies otherwise”). In November 2025 (Q4), faced with a new company’s short first period, some candidates cut SBA to 1/9th of 3% a month instead of 1/12th. **The annual figure is the starting point; a month is always a twelfth of it.**

Exam lens: SBA - Grade: “Buildings and structures allowances” **1 (core)** (2026 grid; check the 2027 grid when published). - **Past appearances:** M26 Q2 (15 marks: warehouse bought from a developer on the price paid excluding land and integral features; office built in 2010 where only alterations qualified, not planning permission); M25 Q4 (20 marks: SBA on second-hand buildings with conversion costs; the examiners found SBA qualifying expenditure weak); N25 Q4 (20 marks: SBA time-apportioned, 1/12th not 1/9th); M23 Q1 (20 marks: SBA on a new factory in a CT computation); N23 Q3(b) (CAs/SBA on a training facility: land, levelling, buildings). - **Style:** computations with explanations; 0.5–1 mark per point; conventional CA layout with SBA shown separately from the pools. - **Traps:** SBA on land, land alteration or integral features; SBA on a pre-29 October 2018 building beyond its alterations; using the price paid for a used building; months wrongly counted; forgetting the gains add-back on sale.

Tarnmoor’s distribution centre.

TEL buys and pays for the distribution centre on **1 September GY3** and first uses it the same day, so the allowance period starts then. TEL’s year ends on 31 December: 4 months of qualifying use in GY3.

Worked example: TEL’s distribution centre (story, GY3)

	£
Price paid to developer	5,200,000
Less: land (no allowance)	(1,200,000)
Less: integral features (P&M, special rate)	(600,000)
SBA qualifying expenditure (s 270BD)	3,400,000
SBA a year: $3\% \times £3,400,000$	102,000
GY3 SBA: $£102,000 \times 4/12$	34,000
GY4 onwards (full year)	102,000
Total over $33\frac{1}{3}$ years	3,400,000

Check by days (for interest only): $£102,000 \times 122/365 = £34,093$. The exam convention (months) gives £34,000, the figure used in this book.

The integral features (£600,000). These are special rate expenditure. Do they also earn the **50% special rate FYA** (CAA 2001 s 45S; chapter 8)? That needs the plant to be **unused and not second-hand**. Fixtures in a new building bought straight from the developer arguably meet the test, because nobody has used them, but no HMRC statement settling the point for

fixtures in a building bought from a developer was found in the research for this chapter. In our invented case the tax team logs the question and the computation takes the cautious route:

Integral features, GY3	Cautious (no FYA) £	If the 50% FYA is available £
50% FYA	—	300,000
Addition to special rate pool	600,000	300,000
WDA 6% on this addition in GY3	36,000	nil (the balance joins the pool after the WDA: CAA 2001 s 58(5))
Allowances on the £600,000 in GY3	36,000	300,000

(Special rate WDAs are not time-apportioned for part-year ownership within a 12-month period. Where an FYA is claimed, the balance is pooled only after the WDA of the period of expenditure, so it first draws 6% in GY4.)

No fixtures requirements here. The developer held the building as trading stock: it never incurred capital expenditure on the fixtures and was never entitled to allowances on them. The pooling and fixed value requirements (ss 187A–187B, below) apply only where a **past owner was entitled to claim**. Buying new from a developer avoids them; the split is governed only by s 562.

The gains thread. Chapter 16 tells how Tarnmoor Estates Ltd (TES) sells its depot on 30 April GY3 for £6.0m and rolls part of the gain into this distribution centre: proceeds not reinvested £0.8m chargeable; £1,477,500 rolled over; **TEL's base cost £3,722,500**. When TEL eventually sells, every pound of SBA claimed is added to its disposal consideration. So the SBA is a deduction now against trading profits at 25%, matched by a larger gain later, which may itself be rolled over, covered by capital losses, or never realised. That timing advantage is the real value of the SBA to a group that holds buildings for decades.

The allowance statement and the life of a building.

Because the allowance travels with the building, each new owner needs facts it cannot easily discover. The law answers with the **allowance statement** (CAA 2001 s 270IA).

- **No statement, no claim.** The person who incurred the expenditure must make one; a later buyer must obtain a copy from a past owner.
- **Contents:** a written statement identifying the building, and stating (a) the date of the **earliest contract for construction**, (b) the **amount of qualifying expenditure**, (c) the date the building was **first brought into non-residential use**, and (d) where further qualifying expenditure is incurred after that date, the date it is incurred (item (d) added by FA 2022 for expenditure from Royal Assent). Where the expenditure includes special tax site qualifying expenditure, the statement must show that amount separately (s 270IA(5)).
- Think of it as the building's **birth certificate**: lose it, and a later owner cannot prove the allowance life that is left.

Due diligence. On buying a used building: obtain the allowance statement, warranties that no construction contract predates 29 October 2018, and the seller's records of claims. On buying a company that owns buildings, ask the same questions inside the target. On selling, pass on the statement: a buyer who cannot claim will pay less.

Life cycle. On a sale the allowance for the year is apportioned between seller and buyer, and the buyer continues at the same annual amount; the seller adds its claims to its gains consideration. Demolition ends the allowance permanently.

Worked example: the seller's gain (hypothetical, not a story fact) A company built a warehouse for £2,000,000 on land bought for £800,000 (all after December 2017, so no indexation). It claims £60,000 a year for 5 years and then sells for £3,000,000.

	£
Disposal proceeds	3,000,000
Add: SBA claimed ($5 \times £60,000$) (TCGA 1992 s 37B)	300,000
Deemed consideration	3,300,000
Less: cost (land £800,000 + building £2,000,000)	(2,800,000)
Chargeable gain	500,000

The allowances are **added to proceeds**, not deducted from cost. The buyer continues at £60,000 a year.

This is why the SBA behaves so differently from plant allowances: a pool claws back excess relief through a balancing charge taxed as income; a building claws it back through the gain, which may be rolled over or covered by capital losses.

Going further: the SBA in deferred tax and in groups - Intra-group transfers. A building moving between group companies at no gain, no loss (TCGA 1992 s 171) still carries its SBA: the transferee continues at 3% of the original cost and needs the allowance statement. Do not confuse the gains base cost (transferor's cost) with the SBA base (original qualifying expenditure). - **Deferred tax (chapter 6).** The SBA creates a temporary difference between the carrying amount of the building and its tax base; the land usually creates none. - **Pricing.** A buyer of a used building values the remaining SBA stream (and its clawback for the seller) in the price; a seller who has claimed SBA should model the add-back before agreeing a sale price.

Fixtures, and who owns what is fixed.

A **fixture** is plant or machinery so installed or fixed in or to a building or other land that it becomes, in law, part of that building or land (CAA 2001 Part 2 Ch 14, from s 172). Lifts, heating, air conditioning, wiring and sanitary fittings are classic examples.

Fixtures raise a problem ordinary plant does not. A machine moves with its buyer; a fixture belongs in law to whoever owns the land, which may be held by a freeholder, let, sublet, mortgaged and sold while the same boiler sits in the basement. Without special rules, several people could claim for one boiler, or none could.

- **Ownership rules (ss 176–184)** decide who is treated as owning a fixture: broadly, the person with an interest in the land who incurred the expenditure.
- **Ceasing to own (ss 188–192A)** and the **disposal value** table (s 196): on a sale of the qualifying interest, the seller's disposal value is normally the part of the sale price attributable to the fixtures.
- **Past-owner cap (s 185):** if a past owner claimed and brought a disposal value into account, the new owner's qualifying expenditure is capped at that disposal value (plus s 25 installation costs). It stops a fixture growing in value for tax as it

passes from hand to hand.

Analogy. Fixtures are like luggage on a journey with connecting flights. Checked through properly at each change, it arrives with every passenger who comes after. If one owner fails to check it through, it is lost for every later owner too. The precise rule is the pooling requirement and the fixed value requirement (next section).

Two practical points for a group: 1. Integral features go to the **special rate pool**; other fixtures to the **main pool**. A landlord company such as TES can claim on fixtures in commercial buildings it lets, because a property business is a qualifying activity (s 15); allowances are given effect against the property business, with any excess added to management expenses (s 253; CTA 2009 s 1233). 2. Fixtures are plant, so they can attract the **AIA** even when second-hand; **full expensing and the 50% FYA cannot** be claimed on second-hand fixtures (s 45S: unused and not second-hand).

The pooling and fixed value requirements.

Before 2012, a seller could claim on fixtures for years, sell the building without a meaningful disposal value, and leave the buyer to claim again on its own valuation of the same fixtures: two claims on one boiler. Parliament closed this in two steps:

Requirement	Applies from	Met if	Authority
Fixed value (where the past owner must bring in a disposal value under s 196 items 1, 5 or 9)	1 April 2012	Within 2 years of the transfer, a joint s 198/s 199 election , or an application to the tribunal to fix the value (or the statements route for intervening non-claimants)	s 187A
Pooling	1 April 2014 (CT)	The past owner allocated the expenditure to a pool, or claimed an FYA on it, in a chargeable period beginning on or before the day it ceased to own the fixture	s 187A
Disposal value statement (other s 196 cases; s 61 item 7)	—	A written statement within 2 years	s 187A

The law says that where a **past owner was entitled to claim** on the fixture, a buyer's new expenditure is treated as **nil** unless the requirements are met, and the nil carries through to every later owner whose title passes through it. The **burden** of showing the requirements were met is on the current owner (s 187B). In practice: copies of the seller's computations and the signed election.

Misconception: “a property buyer can always claim allowances on the fixtures it buys.” Wrong. A buyer can claim only if the seller pooled and the value was fixed within 2 years. If the seller never claimed although entitled to, the buyer may claim nothing. The exception is where no past owner was ever entitled to claim (for example a developer holding the building as trading stock): then ss 187A–187B do not bite. A buyer who wants allowances must make them a condition of the deal before exchange; after completion, the seller has no reason to help.

The section 198 election.

The tool for meeting the fixed value requirement is the joint election in **CAA 2001 s 198** (s 199 is its twin on the **grant of a lease**).

- **Joint:** made by seller and buyer.
- **Effect:** fixes the part of the sale price attributable to the fixtures. It is the seller's disposal value and the buyer's qualifying expenditure. The balance of the price is the price of the rest of the property.
- **Cap:** cannot exceed the seller's original qualifying expenditure on the fixtures, or the actual price.
- **Irrevocable;** made within **2 years** of the sale (GOV.UK guidance).

The negotiation. The seller wants a **low** figure (smaller pool reduction, no balancing charge); the buyer wants a **high** figure (more qualifying expenditure). Every pound moved is a pound of allowances moved from one side to the other. A common outcome is a figure that leaves the seller with no balancing charge, with the price adjusted to compensate.

Worked example: TES's office fixtures (story, GY2) TES buys an office building in GY2. The seller's original qualifying expenditure on the fixtures was **£700,000**. A s 198 election fixes the fixtures at **£400,000** (within the cap: lower than £700,000 and than the price). The fixtures are all integral features.

TES, GY2	Special rate pool £
Addition: s 198 elected value	400,000
AIA	(400,000)
c/f	nil

The group allocates £400,000 of its single £1m AIA to TES (chapter 8: the AIA for the year to 31 March GY3), so the whole £400,000 is relieved at once. Without the AIA, the 6% WDA would have given only £24,000 in GY2, leaving £376,000 in the pool.

The gains trap. The election does **not** change the gains computation. TES's base cost is the **whole price** paid for the office, including the fixtures element; on a sale, the **whole price** is the proceeds. The examiners reported after M23 (Q4) that candidates deducted fixtures amounts from gains computations, and the N25 (Q5) report stressed that CA-claimed expenditure adjusts the gains computation only where there is a loss. The only interaction is the **loss restriction** for capital allowances (TCGA 1992 s 41): an allowable loss is restricted by the net allowances given.

Worked example: the loss restriction (hypothetical figures, TES's office) Suppose TES paid £3,000,000 for the office (no indexation: bought after December 2017) and has had allowances of £400,000 on the fixtures.

	Sale at £3.6m £	Sale at £2.5m £
Proceeds (whole price, including fixtures element)	3,600,000	2,500,000
Less: cost (whole price)	(3,000,000)	(3,000,000)
Unadjusted gain / (loss)	600,000	(500,000)

	Sale at £3.6m £	Sale at £2.5m £
Restriction: net allowances (£400,000 claimed less £100,000 disposal value fixed by a new s 198 election)	n/a (gain)	300,000
Chargeable gain / (allowable loss)	600,000	(200,000)

The figure for “net allowances” is stated broadly (allowances given less the disposal value brought into the pool).

Exam lens: fixtures - Grade: “Fixtures” 1 (core). - **Past appearances:** M23 Q4 (20 marks: property, factory hived down, s 198 elections, group roll-over; candidates deducted fixtures amounts from gains computations); N25 Q5 (20 marks: group property, intra-group NGNL transfer, refurbishment with integral features, s 198 joint election, SDLT, roll-over; only a minority dealt with CAs and the fixtures election); M26 Q4 (fixtures disposal value in a property question). - **Traps:** fixtures values deducted from gains; forgetting the pooling and fixed value requirements on a second-hand building; elected value above the seller’s original cost; forgetting that a developer seller means no s 198 election is needed (or possible). - **Layout:** the elected figure enters the CA columns (special rate or main pool), never the gains computation (except the loss restriction).

Long funding leases, where allowances follow the economics.

Leasing raises a different question: when one company owns a machine and another uses it, who gets the allowances? Historically the owner, meaning the lessor. Lessors with taxable profits bought plant, claimed the allowances and passed part of the benefit to lessees in lower rentals. The largest deals ended in court.

The best known is *Barclays Mercantile Business Finance Ltd v Mawson* [2004] UKHL 51. BMBF paid about £91m for part of a gas pipeline under the Irish Sea and leased it back to Bord Gáis Éireann. The Revenue’s case was that the payment produced no real commercial benefit and existed mainly to generate allowances; the House of Lords held that the lessor had incurred the expenditure and was entitled to the allowances. (Facts from secondary reports; the judgment was not opened for this chapter.)

In FA 2006 (Sch 8, inserting CAA 2001 Part 2 Ch 6A) Parliament changed the question for **long funding leases**: the allowances move from lessor to **lessee**, on the idea that a lease that really finances the purchase of an asset should be taxed like a loan. The lessor is taxed on its finance return and claims nothing (CTA 2010 Part 9).

Test	Rule	Authority
Long funding lease	A funding lease that is not a short lease , not an excluded lease of background plant for a building (s 70R), and not excluded by s 70U (plant leased with land)	CAA 2001 s 70G
Funding lease	Meets at least one test at inception: (a) finance lease test : under GAAP it is (or would be) a finance lease or loan (s 70N); (b) lease payments test : PV of minimum lease	s 70J

Test	Rule	Authority
	payments (at the implicit rate) $\geq$ 80% of fair value (s 70O); (c) useful economic life test : term $>$ 65% of remaining useful economic life (s 70P)	
Short lease	Term of 7 years or less , with anti-avoidance for linked leases and leasebacks	s 70I
Lessee's return	For the lessee it is an LFL only if its tax return for the initial period treats it as one ; not correctable by an error or mistake claim	s 70H
Right-of-use lessees	An RoU lease that is an LFL meeting the s 70O or s 70P test is a long funding finance lease for the lessee	s 70YI

The lessee's position. The lessee is treated as owning the plant and incurring capital expenditure at the start of the term (s 70A): for a long funding operating lease the amount is set by s 70B, for a long funding finance lease by s 70C (broadly, the present value of the minimum lease payments recognised in the accounts: HMRC BLM42010). In return, the lessee's deduction for rentals under a long funding **finance** lease is capped at the **finance charge** under GAAP (CTA 2010 s 377; s 377A for RoU remeasurements); under a long funding **operating** lease, deductions are reduced by the time-apportioned expected fall in value (s 379).

Tarnmoor's machine on a lease.

In our invented case, from **1 January GY3**, TEL takes a large, **refurbished (previously used)** computer-controlled machining centre on a **10-year finance lease** from an unconnected leasing company. PV of the minimum lease payments: **£1,500,000**; rentals £203,802 a year in arrears; implicit rate 6%.

Test	Result
Finance lease test (s 70N)	Met: the accounts treat it as a finance lease, so a funding lease
Short lease (s 70I)	No: 10 years $>$ 7
Excluded (s 70R, s 70U)	No
Lessee's return (s 70H)	TEL's GY3 return treats it as an LFL
Result	LFL: TEL (lessee) claims; the lessor claims nothing

Worked example: TEL's LFL (story, GY3)

Capital allowances	Main pool £
Addition: deemed expenditure (s 70A/70C)	1,500,000
FYA	nil: second-hand, so no full expensing (s 45S) and no 40% FYA (s 45U)

Capital allowances	Main pool £
WDA 14% attributable to this addition	210,000

Profit adjustments, GY3	£
Rental paid (annuity: $\text{£}1,500,000 \times 0.06 / (1 - 1.06^{-10})$)	203,802
Deductible: finance charge ($6\% \times \text{£}1,500,000$) (CTA 2010 s 377)	90,000
Not deductible: capital element (relieved by allowances)	113,802
Depreciation of the asset in the accounts	added back

Examiner's angle. N25 Q1 (20 marks) included “machinery on long funded lease”; the suggested answer put it in the **main pool**, and the examiners listed “treating the long-funding lease as special rate expenditure (rather than an addition to the main pool)” as a common error. LFL plant goes in the pool its own nature dictates.

Open question: full expensing for an LFL lessee of new plant. The Act contains an express bar on AIA and FYAs for **transfer and long funding leaseback** arrangements (CAA 2001 s 70DA; BLM62110). No express bar was found for an ordinary LFL of new plant, and secondary commentary (KPMG) says a lessee treated as tax owner can claim FYAs if the other conditions are met. The N25 suggested answer gave main pool WDAs without discussing the point. **This is not settled in the sources checked.** In an exam, follow the facts, state your assumption and move on. The story avoids the question by making TEL's machine second-hand.

Exam lens: long funding leases - Grade: “Long funding leases” **1 (core)** in the CA section, and “Leasing plant and machinery – long funding leases only” **1** in the CT section (2026 grid). The 2028 grid drops leases; Kian's 2027 sitting keeps them core. - **Past appearance:** N25 Q1 (LFL machinery in the main pool; error: special rate). - **Traps:** a lease of 7 years or less is a short lease (not an LFL); the lessee, not the lessor, claims; rentals deductible only to the extent of the finance charge; the return must treat it as an LFL.

Going further: leases and the tax function - Classify every plant lease at inception (term, finance lease test, 80% and 65% tests) and record the classification: the s 70H choice cannot be corrected later. - Map lease accounting (FRS 101/IFRS 16 right-of-use assets) to tax: the depreciation add-back, the finance charge deduction, the CA addition. - Chapter 28 explains how lease finance charges are treated in the corporate interest restriction.

Successions, when a business changes hands.

When one person succeeds to another's qualifying activity, the plant passes with it (CAA 2001 ss 265–268).

- **General rule (s 265):** the plant is treated as sold at **market value** at the date of succession. The predecessor brings market value into its pool as a disposal value (balancing adjustments in its final period). The successor's expenditure is market value, with **no AIA and no FYA**. Without that bar, a business could be passed around to refresh allowances on old plant.

- **Was there a succession?** A question of fact. Tribunals still use Widgery J's test in *Kenmir Ltd v Frizzell* [1968] 1 All ER 414 at 418: "the vital consideration is whether the effect of the transaction was to put the transferee in possession of a going concern...", quoted by the FTT in *Haymarket Media Group Ltd v HMRC* [2022] UKFTT 168 (TC) (Judge Heidi Poon and Julian Sims; a VAT transfer of a going concern case on the sale of the Teddington Studios site, appeal dismissed). *Kenmir* was an employment case: use it as the going concern test, not as capital allowances authority. Buying assets is not succeeding to a business.
- **Connected-party election (ss 266–267):** where predecessor and successor are **connected** (s 575 plus the extended tests in s 266(5)) and both are within the charge to UK tax on the activity, they may **jointly elect within 2 years** of the succession for the plant to pass at **tax written down value**: no balancing adjustment for the predecessor; the successor steps into its shoes. Not available to a **dual resident investing company**, or where s 561 applies.

Worked example: market value or the election (hypothetical)

Connected succession; plant TWDV £2,000,000; market value £3,000,000	No election £	s 266 election £
Predecessor: disposal value	3,000,000	2,000,000
Predecessor: balancing charge	1,000,000	nil
Successor: qualifying expenditure	3,000,000 (no AIA/FYA)	2,000,000 (continues pools)

Inside a group: Part 22. Where a trade passes between companies under common ownership, **CTA 2010 Part 22 Ch 1** can apply automatically; **s 948** then continues allowances as if the successor had always carried on the trade, and the transfer gives no allowances or charges. Chapter 19 owns Part 22. In our invented case, when TEL hives its actuators trade down into Tarnmoor Actuators Ltd (TAL) on **1 February GY6**, the plant passes at TWDV under s 948: no balancing charge, no election needed. (Where the cross-border rule in CAA 2001 s 561 applies, s 948 is disapplied.)

Exam lens: successions - Grade: "Successions" 1 (core). - **Past appearances:** no standalone CA succession question M23–M26; M23 Q4 included a factory hived down with the trade (gains and Part 22 context). Expect it embedded in a reorganisation or acquisition question. - **Traps:** giving AIA or FYA to a successor; forgetting the 2-year joint election; using s 266 where Part 22 Ch 1 applies automatically; ignoring that a mere asset purchase is not a succession.

Connected parties, cross-border transfers and the Act's toolbox.

Connected sales of plant (ss 214, 217, 218). A group company selling plant to a fellow group company is a connected-party transaction (s 575). The buyer gets **no AIA and no FYA** (s 217), and its qualifying expenditure is **capped at the seller's disposal value** (or, if none, the lower of market value and the original cost to the seller or a connected person) (s 218). The aim: no fresh allowances from selling plant to yourself at a high price.

Non-P&M Parts (ss 567–570). Where buyer and seller are under common control, or the sole or main benefit of the sale is a tax advantage, the sale is treated as at **market value** (ss 567–568). Where control is the only reason and there is no tax advantage, the parties may elect for the **alternative amount** (broadly the lower of market value and the unrelieved balance) (s

569); barred where the buyer is a **dual resident investing company** (s 570). These sections do not apply to Part 2 (P&M) or where s 561 applies; within the syllabus they matter mainly for R&D allowances (chapter 10). **s 570A** denies a balancing allowance where a tax avoidance scheme has reduced the proceeds.

Cross-border transfers (ss 561, 561A). s 561 applies to a transfer within TCGA 1992 s 140A between qualifying companies (“relevant state” = the UK or a member State, s 561(4A)), where the transferee is UK resident or carries on the business through a UK PE: **no allowances or charges**, and the transferee **stands in the transferor’s shoes** (CTA 2010 s 948 then disappplied). s 561A covers cross-border mergers (TCGA s 140E). These rules were built for EU law; **how far TCGA s 140A’s conditions still operate after Brexit is unclear**. In an exam, recognise them, state the effect, and note that the conditions turn on the definition of a relevant state.

Apportionment (s 562) and final provisions (ss 571–581): the Act’s toolbox of definitions, including transfers treated as sales (s 573) and connected persons (s 575). They answer three questions every transaction raises: was there a sale, at what price, and between whom?

Exam lens: transfers, miscellaneous and final provisions - Grades: “Transfers – s.561, 561A CAA 2001” **1**; “Miscellaneous – s.562–570A” **1**; “Final provisions – s.571–581” **1** (all core in the 2026 grid). - **Past appearances:** not examined as standalone questions M23–M26; connected-party sales and apportionment appear inside property and reorganisation questions. - **Traps:** AIA/FYA on a connected purchase; a price above the seller’s disposal value; forgetting the just and reasonable apportionment when the contract allocates artificially.

Contributions and grants.

Capital allowances relieve the cost a business bears.

Rule	Detail	Authority
General rule	Expenditure is treated as not incurred by a person to the extent it is met, directly or indirectly, by a public body or another person . Applies across the Act, including the SBA	CAA 2001 s 532
Insurance and compensation	Outside the general rule	s 535
Non-relievable contributor	Where the contributor is not a public body and cannot get allowances or a deduction for its contribution, the recipient is treated as incurring the expenditure	s 536
Contribution allowances	A contributor paying towards another’s capital expenditure for its own trade or other qualifying activity can claim allowances as if it owned the asset, if not connected with the recipient	ss 537–538
SBA version	Contribution allowances adapted for Part 2A	s 538A

The group consequence. Group companies are connected, so a group company that pays towards a fellow member's building gets **no contribution allowance**; because it cannot claim, s 536 leaves the allowances with the recipient. For a group, that is usually the right place for them.

Worked example: TES's flood wall (story, GY3) In GY3 TES builds a concrete flood wall protecting a riverside site it lets to TEL. Cost **£500,000**; in qualifying use from **1 January GY3**. The local authority (a public body) pays a grant of **£200,000**.

	£
Cost of the wall	500,000
Less: local authority grant (s 532)	(200,000)
SBA qualifying expenditure	300,000
SBA a year (3%), full year in GY3	9,000

Chapter 28 returns to the grant in the corporate interest restriction.

Exam lens: contributions - Grade: "Contributions" 1 (core). Not seen as a standalone question M23–M26; expect a line in a CA computation (a grant towards plant or a building). - **Traps:** claiming on the gross cost when a public grant has been received; giving a contribution allowance to a connected contributor.

Anti-avoidance and the special tax sites.

Allowance buying (awareness). A company whose plant has a tax written down value above its balance sheet value holds latent allowances that a buyer with profits might exploit. **FA 2010 (s 26, Sch 4)** inserted **CAA 2001 Part 2 Ch 16A (ss 212A–212S)**, effective from **21 July 2009**. It applies where there is a **qualifying change** in ownership (s 212C) of a company with a **relevant excess of allowances** (TWDV above balance sheet value, ss 212J–212L) and a **limiting condition** is met (s 212LA, FA 2013): excess **£50m or more**; excess **£2m or more** and not insignificant relative to the benefits of the change; or a smaller excess where the change has an **unallowable purpose** (s 212M); or arrangements to keep below the thresholds. FA 2013 also renamed the Chapter "restrictions on allowance buying" and extended it to all qualifying activities. When the rules bite, the excess is restricted so that the change of ownership cannot be used to put it to work for the new owners (detailed mechanics, ss 212N–212S, not opened for this chapter). CTA 2010 Part 9 separately deals with sales of lessor companies. **Pattern to recognise:** tax value above book value plus a change of ownership.

Freeports and investment zones: special tax sites (awareness). - **P&M:** 100% FYA for companies on unused plant for use **primarily** in a special tax site, in a trade, incurred by the site's sunset date (CAA 2001 ss 45O–45R); the plant must remain primarily in use in the site for **5 years** (s 45R). - **SBA:** an enhanced **10% a year over 10 years** for special tax site qualifying expenditure (s 270AA(2A), (5)). - **Sunset dates:** GOV.UK guidance gives the enhanced SBA for expenditure up to **30 September 2031** for English freeport tax sites and **30 September 2034** for Scottish Green Freeports, Welsh Freeports and Investment Zones (the building must also be brought into qualifying use by then). The original date was 30 September 2026. The government's policy paper extending the sunset dates gives the same new dates for the special tax site reliefs generally,

including the plant FYA; reliefs vary by investment zone, so check the site's designation before use. - Tarnmoor has no freeport site. In an exam, a scenario that mentions a freeport invites a line on these reliefs.

Exam lens: avoidance and freeports - Grades: “Avoidance involving allowance buying and other anti-avoidance” **3 (awareness); “Freeports” 3 (awareness).** - **Past appearances:** none M23–M26. - **Style:** recognition and a brief statement of the rule; no computation expected.

The tax function's checklist, and the examiner's.

Going further: the checklist

Transaction	Questions	Deadline
Buying a building	Just and reasonable split (s 562): land, structure, integral features, other plant, non-qualifying; developer, non-developer or used (s 270BC–270BE); allowance statement and contract-date warranties; seller pooled? s 198 election	s 198: 2 years from the sale; but negotiate before exchange
Selling a building	SBA add-back to gains consideration; fixtures disposal value; pass on the allowance statement	Same s 198 deadline
Leasing plant	LFL classification at inception; return treatment (s 70H); rentals limited to the finance charge	The return for the initial period
Reorganisations	Succession (s 265), Part 22 (s 948) or connected sale (ss 214–218)? Use s 266 where it helps	s 266: 2 years from the succession
Grants and contributions	Net public grants (s 532); connected contributors get no allowance (s 537)	—
Intra-group property transfers (e.g. Calder's works to TES, the water-systems factory to TWS in GY3)	Fixtures: connected sale (no AIA/FYA; cap); s 198 election between the group companies; SBA continues with the statement	2 years

How the examiner tests this chapter. Usually embedded in a larger question: M26 Q2 (warehouse from a developer; 2010 office with alterations), M25 Q4 (second-hand buildings with conversion costs), N25 Q4 (time apportionment by twelfths), M23 Q4 and N25 Q5 (fixtures elections; fixtures values wrongly deducted from gains; few dealt with the election), N25 Q1 (LFL in the main pool). Answers are technical prose with computations in the conventional CA columns (FYA/FE, main pool, special rate pool, single asset pools, allowances, with SBA shown separately); never letters or reports. Keep £ and £000 consistent within each table.

What to take away.

- A building is a bundle of tax assets: land (nothing), structure (SBA), integral features and other fixtures (P&M). A just and reasonable apportionment (s 562) splits the price, whatever the contract says.
- **SBA:** 3% a year of qualifying construction cost for 33½ years from the later of first non-residential use and the expenditure; construction contract on or after 29 October 2018; older buildings: only later alterations and extensions. Land, land alteration and plant excluded. Bought unused from a developer: price paid; unused from anyone else: lower of price and construction cost; used: 3% of the original cost continues. No balancing adjustment on sale; the seller adds its SBA to its gains consideration. Demolition ends it. No claim without an allowance statement.
- **TEL's distribution centre:** structure £3.4m, SBA £102,000 a year, **£34,000** for 4 months of GY3; land £1.2m nothing; integral features £0.6m to the special rate pool.
- **Fixtures:** a buyer claims only if the past owner pooled (from April 2014) and the value was fixed (from April 2012), usually by a joint **s 198 election** within 2 years, capped at the seller's original cost. Miss either and the claim is nil for every later owner. The election affects allowances, not gains (except the loss restriction). TES's office fixtures: **£400,000**, covered by the group AIA.
- **LFLs:** a funding lease (finance lease, 80% payments or 65% useful life test) of more than 7 years; the lessee claims on the PV of the payments and deducts only the finance charge. TEL's machine: **£1.5m** to the main pool.
- **Successions:** market value, no AIA/FYA (s 265), unless connected parties elect within 2 years for TWDV (ss 266–267), or Part 22 Ch 1 passes it at TWDV automatically (s 948). Connected plant sales: no AIA/FYA; cost capped at the seller's disposal value.
- **Contributions:** public grants reduce qualifying expenditure; connected contributors get no contribution allowance. TES's flood wall qualifies on **£300,000** (SBA £9,000 a year).
- **Awareness:** allowance buying (Ch 16A) and freeport special tax sites (100% FYA; 10% SBA).

Next, chapter 10 turns from buildings and machines to ideas, and to research and development.

Key rules and figures

Item	Rule / figure	Authority
SBA rate and life	3% a year (from 1 April 2020 for CT; 2% before); 33½ years	CAA 2001 s 270AA
SBA start date	Construction contracts on or after 29 October 2018	s 270AB
SBA period start	Later of first non-residential use and the expenditure	s 270AA
SBA exclusions	Land and rights over land; land alteration (except site preparation); plant; dwellings/residential use	ss 270BG–270BI; CA94010
Bought unused from developer	Price paid (apportioned)	s 270BD
Bought unused from non-developer	Lower of price and construction cost	s 270BC
Bought used	Continue 3% of original cost; allowance statement needed	Part 2A; s 270IA

Item	Rule / figure	Authority
SBA on sale	No balancing adjustment; seller adds SBA claimed to gains consideration	TCGA 1992 s 37B (GOV.UK)
Allowance statement	Earliest construction contract date; qualifying expenditure; first non-residential use; later expenditure dates; special tax site amount	s 270IA
Fixtures requirements	Fixed value (from April 2012); pooling (from April 2014, CT); else nil for buyer and later owners	ss 187A–187B
s 198 / s 199 election	Joint; 2 years; capped at seller's original qualifying cost and the price; irrevocable	ss 198–201
Past-owner cap	New owner's expenditure $\leq$ past owner's disposal value	s 185
Fixtures and gains	Election ignored for gains; loss restricted by net allowances	TCGA 1992 s 41
LFL	Funding lease (finance lease / 80% / 65%) not short ($\leq$ 7 years); lessee claims; return must treat it as an LFL	CAA 2001 ss 70A, 70G–70J, 70N–70P
LFL lessee deduction	Finance charge only (finance LFL)	CTA 2010 s 377
Leaseback bar	No AIA or FYA on a transfer and long funding leaseback	CAA 2001 s 70DA
Succession	Market value; no AIA/FYA	s 265
Connected succession election	Joint; 2 years; TWDV; not DRIC or s 561 cases	ss 266–267
Part 22 transfer	Allowances continue; no charges	CTA 2010 s 948
Connected plant sale	No AIA/FYA; cost capped at seller's disposal value	CAA 2001 ss 214, 217, 218
Contributions	Public or other contributions not incurred by recipient; exceptions; contribution allowances if unconnected	ss 532–538A
Allowance buying	Ch 16A; thresholds £50m / £2m / unallowable purpose	ss 212A–212S
Special tax sites	100% FYA; 10% SBA over 10 years; SBA sunset 30 Sept 2031 (England) / 30 Sept 2034 (Scotland, Wales, IZs)	ss 45O–45R, 270AA
Story	TEL distribution centre SBA £102,000 a year, £34,000 GY3; TEL GY2 extension £58,800; TES office fixtures £400,000 (AIA £400,000); TEL LFL £1.5m (main pool, WDA effect £210,000); TES flood wall £300,000 (SBA £9,000)	invented (story)

Statutory and case references

Statute - Capital Allowances Act 2001: s 15; s 25; s 33A; s 45O–45S, 45U; s 52; s 61; ss 70A–70YJ (Part 2 Ch 6A), especially ss 70A, 70B, 70C, 70DA, 70G, 70H, 70I, 70J, 70N, 70O, 70P, 70R, 70U, 70YI; ss 172–204 (Part 2 Ch 14), especially ss 176–185, 187A, 187B, 196, 198–201; ss 212A–212S (Part 2 Ch 16A); ss 214, 217, 218; s 253; ss 265–268; Part 2A (ss 270AA–270IH), especially ss 270AA, 270AB, 270BC, 270BD, 270BE, 270BG, 270IA; ss 532–538A; ss 561, 561A, 562, 567–570A, 571–581 (ss 573, 575). - Corporation Tax Act 2010: Part 9 (ss 360–381, including ss 377, 377A, 379); Part 22 Ch 1 (s 948). - Taxation of Chargeable Gains Act 1992: s 37B; s 41; ss 140A, 140E; s 171. - Finance Act 2006 Sch 8 (long funding leases); Finance Act 2010 s 26 and Sch 4 (allowance buying); Finance Act 2013 (s 212LA thresholds); Finance Act 2022 (allowance statement item (d)); Finance Act 2026 s 28 (14% WDA).

HMRC guidance - CA93500, CA93650 (SBA purchases); CA94010 (SBA excluded expenditure: land); BLM42010, BLM62110 (LFL lessees; leaseback restriction). - GOV.UK: *Claiming capital allowances for structures and buildings; Plant and machinery allowances on fixtures when there's a change of ownership; Check if you can claim enhanced structures and buildings allowance relief in Freeport tax sites.*

Cases - *Barclays Mercantile Business Finance Ltd v Mawson* [2004] UKHL 51 (secondary sources). - *Kenmir Ltd v Frizzell* [1968] 1 All ER 414 (as quoted in *Haymarket Media Group Ltd v HMRC* [2022] UKFTT 168 (TC)). - *Haymarket Media Group Ltd v HMRC* [2022] UKFTT 168 (TC).

Chapter ten: Research and development.

In our invented case, it is a grey morning in early April of GY2, and Graham Pike, the finance director of Calder Valve Engineering Ltd (CVE), is reading a checklist from the group tax team. Calder is the invented valve maker from *The Living Law* (TKS), now owned by our invented group, Tarnmoor. Its first year inside the group has just ended on 31 March GY2. Calder has spent £2.0m developing a valve that can sense its own wear. Item four on the checklist asks a simple question: has Calder made a research and development claim in the last three years? Graham checks the files. Calder has never claimed at all.

That one fact sets a clock running. If Calder does not tell HMRC that it intends to claim within six months of the end of that period of account, the claim is invalid. Not reduced: invalid. A credit worth £400,000 would be lost for want of a short online form.

This chapter is about the relief that pays companies to invent, and the machinery around it, which is now as much about proof and procedure as about rates. It sits in Part Two (measuring profit) because the relief works inside the trading computation. All three syllabus rows it covers are **core (grade 1)**: the research and development expenditure credit, R&D intensive companies, and R&D allowances. *The Living Law*, chapter 21, introduced the merged scheme and ERIS at TKS level. Here we go deeper: the payment steps, group surrender, the size tests that catch a start-up the day a large group buys it, the overseas restriction, and the claim notification trap that Graham has just found.

The law is **FY2026** law under FA 2026. The main rules are in **CTA 2009 Part 13** (Chapter 1A, the merged RDEC, ss 1042A ff; Chapter 2, ERIS, ss 1044 ff; and the general provisions later in the Part) and the allowances in **CAA 2001 Part 6** (ss 437–451).

Why the state pays for ideas.

When a company discovers something, it cannot keep all of the value. Competitors learn from its products, its engineers move on, and other firms build on what it has shown is possible. Economists call this a **positive externality**: the company bears the whole cost but captures only part of the benefit, so left alone it under-invests.

GOV.UK's guidance on the merged scheme gives the policy aim as “to support and incentivise R&D, helping overcome a market failure (positive externality) which causes underinvestment in R&D”. The relief is a subsidy delivered through the tax system, and a large one. HMRC's *Research and Development Tax Credits Statistics* (September 2026) give a **provisional £8.2bn** of relief claimed for 2024–25, on about **40,325 claims**, down about **17%** in a year, driven by a fall of about 19% in SME claims (large company claims rose about 4%).

Does it work? An HMRC working paper (2015) estimated that each £1 of tax forgone stimulated **£1.53 to £2.35** of extra R&D spending. HMRC's evaluation of RDEC (published November 2020) put the figure for that scheme at **£2.40 to £2.70** per £1 of relief. Both count only extra spending by existing claimants (the “intensive margin”), not wider spillovers.

The other side is abuse. During the years of easy claims, a market grew up of advisers who promised refunds for routine work and took a percentage. HMRC revised its estimate of error and fraud for 2020–21 to **16.7%** of the cost of the reliefs (about

£1.13bn), with **24.4%** in the old SME scheme. Later HMRC publications give lower figures for later years on different bases (for example 9.9% for 2022–23 in the HMRC Annual Report and Accounts 2024–25), which do not fully reconcile. Those numbers explain almost every procedural rule in this chapter: advance notification, the additional information form, the overseas restriction and the PAYE cap.

The debate. One side says R&D relief is among the most effective things the tax system does, and that complexity and compliance burdens deter the honest small firms who need it most. The other says a relief paid in cash to loss-making companies will attract fraud unless it is fenced, and that the fences are the price of keeping the relief. The law today reflects the second view tempered by the first. As a larger-company adviser you will meet both the group that under-claims because nobody joined up the engineers and the tax team, and the boutique adviser who offers to find a refund that is not there.

What counts as research and development.

The tax definition starts from GAAP (the definition is aligned with ITA 2007 s 1006 and the regulations made under it) and is shaped by the government’s *Guidelines on the Meaning of Research and Development for Tax Purposes*, which the definition adopts. The heart of the test is that a project **seeks an advance in science or technology** through the **resolution of scientific or technological uncertainty**. The Guidelines ask whether a **competent professional** in the field would regard the advance as one, rather than as routine. Work that applies known techniques, however clever or valuable commercially, is not R&D for tax.

The cases. Both recent decisions are First-tier Tribunal decisions and bind no one:

- *Get Onbord Ltd v HMRC* [2024] UKFTT 617 (TC): an AI tool for “know your client” checks. HMRC refused the claim, saying the project did not advance overall knowledge or capability. The **taxpayer won**. The tribunal accepted the company’s evidence and said that once a taxpayer has shown enough to suggest an overall advance, HMRC must produce some material to show the advance was only routine (a point about the evidential burden, as reported by ICAEW).
- *Tills Plus Ltd v HMRC* [2024] UKFTT 614 (TC): a software project found to combine existing technology and products rather than to develop something new. The tribunal found no evidence of an advance achieved by resolving scientific or technological uncertainty, and **HMRC won**. Commentators noted that an expert report for the company lacked evidence and reasoning.

The lesson: the test is the same, and **evidence decides it**. A claim stands or falls on contemporaneous records showing what was uncertain, why a competent engineer could not look the answer up, and what the team tried.

Project Ashlar (invented). Calder’s smart process valve carries sensors inside the valve body to measure vibration and seal wear, so that a refinery can replace a valve before it fails. Nobody knew whether sensors and wiring could survive the pressure and heat, or whether a signal could pass reliably through thick steel. Dan Hartley (TKS; invented), a chartered engineer, spends **60%** of his time on Ashlar in Calder’s first group year (AP 1 April GY1 to 31 March GY2). His design notes and failed prototypes are exactly the evidence a tribunal looks for.

Misconception (minor): R&D need not happen in a laboratory. A workshop where a team cracks open a failed prototype qualifies if the project seeks a genuine advance; the shiniest laboratory does not qualify for routine testing of a known product.

The merged expenditure credit.

For many years the UK ran two schemes: an enhanced deduction (with a payable credit for loss makers) for SMEs, and an above-the-line expenditure credit (RDEC) for larger companies. At the **Autumn Statement of 22 November 2023** the government announced a merger. **FA 2024 Sch 1** enacted the merged scheme and a separate enhanced relief for loss-making R&D-intensive SMEs, from an appointed day set by regulations (SI 2024/286): **accounting periods beginning on or after 1 April 2024**.

Feature	Merged scheme RDEC (CTA 2009 Part 13 Ch 1A)
Rate	20% of qualifying expenditure (s 1042G); 49% for ring fence trades (outside LCG)
Who	Any trading company, any size (including SMEs that are not R&D intensive)
Tax treatment	Taxable trading receipt of the AP (above the line)
Net value	$20\% \times (1 - 25\%) = 15\%$ at the main rate; $20\% \times (1 - 19\%) = 16.2\%$ at the small profits rate
Use	Seven payment steps (ss 1042I ff): own CT first, cash last

Three features set the credit apart from the old enhanced deduction.

First, the credit is taxable. It is a trading receipt of the period. The company deducts its R&D spending in full as normal trading expenses and then adds the credit back as income. That is why it appears above the line, like a grant, and why it increases accounting profit before tax.

Second, the net value is lower than the headline. For a company paying 25%, a 20% credit is worth 20% less a quarter of itself: 15% of the spending. For a company taxed at 19%, the net value is 16.2%. On £1m of qualifying expenditure that is £150,000 or £162,000. Compare the ERIS ceiling below (£269,700 on £1m), which is why the size tests matter so much to a start-up.

Third, the credit is used through fixed payment steps that pay the company’s own CT first and produce cash only at the end. Those steps are where the examiners have caught candidates, so we take them slowly below.

Worked example 10.1: Calder’s first claim (AP 1 April GY1 to 31 March GY2) (invented)	
£	
Tax-EBITDA (before CAs and before RDEC)	4,400,000
Less capital allowances (incl. R&D allowance £500,000; WE 10.4)	(1,800,000)
Adjusted trading profit before RDEC (after deducting £2,000,000 R&D costs as normal expenses)	2,600,000
Add RDEC: $20\% \times £2,000,000$ (taxable trading receipt)	400,000
Taxable total profits	3,000,000
CT at 25%	750,000
Step 1: RDEC discharges CT of the period	(400,000)

£	
CT payable	350,000

Net benefit to the group: £400,000 – (25% × £400,000) = **£300,000**, i.e. 15% of qualifying expenditure. Calder is large, not very large, in this AP (its associates are counted on 31 March GY1, when it had none: chapter 3), so it pays four instalments of £187,500 in months 7, 10, 13 and 16; the credit does not reduce them (CIRD89870).

Qualifying expenditure.

The credit is 20% of qualifying expenditure, and the law lists the categories (CTA 2009 ss 1123 ff as applied by Ch 1A). A cost outside them does not count, however closely it relates to the project.

Category	Rule	Calder AP to 31 March GY2 (£)
Staffing costs	Salaries, employer's NIC and employer pension contributions of staff directly and actively engaged in R&D; partly engaged staff apportioned on a just and reasonable basis	Dan Hartley: 60% × £120,000 = 72,000 ; other engineers and technicians 1,428,000; total 1,500,000
Externally provided workers (EPWs)	Unconnected provider: 65% of the payment; connected (or electing) providers: by reference to the provider's own relevant costs	—
Contractor payments (contracted-out R&D)	Unconnected contractor: 65% of the relevant (UK or s 1138A) portion (CIRD138000); connected or jointly elected (s 1135): different measure	Brackenwell (unconnected throughout the AP): 65% × £400,000 = 260,000
Consumable items	Materials used up or transformed in the R&D (prototype castings, seals, sensors)	180,000
Software, data licences and cloud computing	So far as used directly in the R&D (data and cloud from APs beginning on or after 1 April 2023)	60,000
Qualifying expenditure		2,000,000
RDEC at 20%		400,000

Dan Hartley's employment costs (salary, employer's NIC and employer pension contributions) are about £120,000 a year; 60% of his time goes on Ashlar, so £72,000 qualifies. Calder subcontracted part of the sensor design to Brackenwell Sensors Ltd, an invented start-up, for £400,000. Brackenwell was unconnected throughout Calder's AP (Tarnmoor bought it on 1 July GY2, after the AP ended), so 65% qualifies. Had Calder paid Brackenwell after 1 July GY2, the two would have been connected and the connected-party measure, by reference to Brackenwell's own relevant costs, would have applied instead.

The categories are also a test of judgement. A cost is either in a category or out. The adviser's job is to resist stretching a category to cover something that feels like research but is not, and to make sure genuine costs, such as cloud processing of test data, are not left out because nobody told the tax team they existed.

Payment condition. Every category has one: nothing can be claimed until it has been paid (CIRD132000).

What is out. Repairs to the test bay (the N25 Q1 examiners criticised candidates who included repairs); rent, rates and general overheads; **capital expenditure** (Calder's £500,000 test rig gets an R&D allowance instead: below); overseas contractor costs outside s 1138A.

Who claims, and research done abroad.

Contracted-out R&D. Under the merged scheme the company that **decides to undertake or initiate** the R&D claims it (CIRD161000). A contractor cannot claim for R&D contracted to it where the customer intended or contemplated the R&D when the contract was made. So Calder claims 65% of what it paid Brackenwell for the Ashlar sensor design, and Brackenwell cannot claim for that work. This ends the old problem of both parties claiming the same project under different schemes.

The overseas restriction (CTA 2009 s 1138A). For APs beginning on or after 1 April 2024, contractor payments for R&D undertaken **outside the UK**, and EPW costs for workers not subject to UK PAYE and NIC, are excluded from **both** schemes unless:

1. conditions necessary for the R&D (geographical, environmental, social, legal or regulatory) are **not present in the UK**;
2. they **are present** where the R&D is undertaken; and
3. it would be **wholly unreasonable** to replicate them in the UK.

The **cost and availability of workers are disregarded** (s 1138A). The unconnected-contractor 65% applies only to the UK (or qualifying overseas) portion: HMRC's draft guidance illustrates a contractor with half its R&D in the UK giving $50\% \times 65\% = 32.5\%$ of the payment.

For example, a payment of £200,000 to an unconnected contractor that performs half of the work in the UK and half abroad (with no s 1138A exception) gives qualifying expenditure of $50\% \times 65\% \times £200,000 = \text{£65,000}$.

For this example only, suppose Calder paid a laboratory in Vallaria (an invented country) to run the pressure tests because it was cheaper: excluded, because cheaper labour is exactly what the law disregards. If the tests needed a natural geological condition found only in Vallaria, the exception might apply. M25 Q2 tested overseas subcontracting.

FA 2026 s 34. Northern Ireland companies claiming ERIS may escape the overseas restriction (a Windsor Framework relaxation, alongside the de minimis State aid limit in s 1112J). FA 2026 s 34 amends s 1138A(1)(b) to begin "for the purposes of relief under Chapter 2", confirming that the relaxation is **ERIS-only**, with effect for claims made on or after **30 October 2024** (retrospective).

Seven steps to cash.

The credit is not simply paid out. It flows through seven steps (CTA 2009 ss 1042I ff; CIRD112100). Picture a waterfall: the credit first fills the company's own tax pool, loses a notional-tax splash, meets a weir set by payroll taxes, and only then flows to other periods, group companies, other taxes and finally the bank.

Before step 1: any step 2 amount brought forward from an earlier AP discharges the current AP's CT.

Step	What happens	Key points
1	Discharge the company's CT liability for the AP of the claim	Calder stops here: £400,000 < £750,000
2	Notional tax deduction on any amount left	Rate: 25% if profits are chargeable at the main rate (including marginal relief companies); otherwise 19% (small profits and loss-making companies). The deducted "step 2 amount" is not lost : it may be surrendered to a group member or carried forward to discharge the company's CT of later periods (s 1042L(3))
3	PAYE cap	Payable amount limited to £20,000 + 300% of the company's relevant PAYE and NIC liabilities for the AP (s 1112B(2); CIRD140000); excess carried forward as credit of the next AP. Exempt (HMRC guidance) where the company's staff create or manage IP that it can exploit and connected-party EPW and subcontractor spend is no more than 15% of qualifying expenditure
4	Discharge CT of any other AP	
5	Surrender to another group member	Used by the recipient to discharge its CT
6	Discharge other liabilities to HMRC (VAT, PAYE, contract settlements)	
7	Payment	Conditions apply (for example the company must be a going concern, and HMRC need not pay while the return is under enquiry: s 1112H as summarised in CIRD112100)

Step by step, in words. Step 1 uses the credit against the company's own CT for the period of the claim. Calder stops here, because its £400,000 credit is less than its £750,000 liability. Only if something is left does step 2 apply: the remainder is reduced by notional tax at 25% (main rate profits, including marginal relief companies) or 19% (everyone else, including loss makers). The lower rate for loss makers is the main design concession in the merged scheme (CIRD112100). Step 3 is the payroll weir: cash cannot exceed £20,000 plus three times the company's relevant PAYE and NIC, which targets shell companies with no real payroll, where much of the fraud sat. Anything above the cap is not lost but carried forward as credit of the next AP. Steps 4 to 6 use what remains against the company's CT for other periods, then surrender it to group members, then set it against other HMRC liabilities. Only at step 7 is cash paid.

Worked example 10.5: all seven steps (labelled hypothetical, not part of the Tarnmoor story)

Suppose a standalone UK trading company with no associated companies and no group has qualifying expenditure of £1,500,000, adjusted trading profit before RDEC of £100,000, and relevant PAYE and NIC of £40,000. The PAYE cap exemption does not apply.

	£
RDEC: $20\% \times £1,500,000$	300,000
TTP: $£100,000 + £300,000$	400,000
CT at 25% (TTP above £250,000)	100,000
Step 1: discharge CT of the AP	(100,000)
Remaining	200,000
Step 2: notional tax at 25% (profits chargeable at the main rate) = step 2 amount, carried forward against future CT	(50,000)
Remaining	150,000
Step 3: PAYE cap $£20,000 + 300\% \times £40,000 = £140,000$; excess carried forward as credit of the next AP	(10,000)
Steps 4 to 6: no other CT, no group, no other liabilities	—
Step 7: payable	140,000

Had TTP fallen in the marginal relief band (£50,001 to £250,000 with no associates), step 2 would still use **25%**: marginal relief companies are “chargeable at the main rate” for this purpose (CIRD112100).

Why notional tax? The credit is taxable. A loss maker pays no tax on it this year, but the credit reduces its loss and so its future relief. Step 2 stops it taking cash today for the tax element.

Mnemonic: own tax, notional tax, payroll cap, other periods, group, other taxes, cash.

Exam lens: RDEC (grade 1 core) - Past appearances: M24 Q4 (10 marks: linked enterprises and the RDEC steps; “poor”; candidates confused step 1, the CT set-off, with step 2, the net value restriction); M25 Q2 (merged scheme inside a CT computation with overseas subcontracting and cloud/software costs; marked leniently because of the rule change); N25 Q1 (merged scheme inside a full computation; repairs wrongly included). - **Style:** usually embedded in a 15–20 mark computation; “Calculate, with explanations”. 0.5–1 mark per point: the credit as a trading receipt, the 20% rate, each excluded cost, the step 1 set-off, the step 2 rate with its reason. - **Traps:** treating RDEC as a deduction rather than a taxable credit; 25% versus 19% notional tax (marginal relief companies use 25%); including capital items, repairs or overseas contractor costs; 65% for unconnected contractors and EPWs; forgetting claim notification for a first claim. - **Layout:** add the RDEC in the CT pro forma as trading income; deduct it from the CT liability below the line; show steps in order.

Surrender inside the group.

Step 5 is where a large group finds value. A loss-making subsidiary can take cash, net of notional tax and subject to the PAYE cap; or it can surrender the credit to a taxpaying group company, which uses it to pay its own CT. Inside a group with a large

tax bill, surrender turns a deferred, restricted asset into an immediate saving, and the step 2 amount, which would otherwise sit idle in a company that will make losses for years, can travel too.

In our invented case, Tom Hesketh, the group head of tax, compares the options for Brackenwell's GY2 credit. Cash would bring in £486,000 now, with the £114,000 step 2 amount carried forward against tax Brackenwell may not pay for years. Surrender to Tarnmoor Engineering, whose GY2 CT is £2,226,250, uses the whole £600,000 at once. He surrenders both amounts. The surrendered credit discharges TEL's liability when Brackenwell's claim is made; TEL's instalments are still based on its full liability (our reading of HMRC's guidance at CIRD89870, which deals with a company's own credit).

Worked example 10.2: Brackenwell's merged credit, GY2 (year to 31 December GY2) (invented)

Tarnmoor plc buys Brackenwell Sensors Ltd (BSL) on **1 July GY2**. Its founder Dr Asha Varma stays as CTO. BSL is linked to Tarnmoor at the end of GY2, so (HMRC's view: next section) it is large for the **whole** year and claims the merged RDEC on qualifying expenditure of **£3,000,000**.

Step	£
RDEC: $20\% \times £3,000,000$	600,000
Step 1: BSL's own CT for GY2 (loss-making)	nil
Step 2: notional tax at 19% (loss maker)	(114,000)
Remaining after step 2	486,000
Step 3: PAYE cap £20,000 + $300\% \times £900,000$ relevant PAYE/NIC = £2,720,000: not restrictive	—
Step 4: no other CT liabilities	—
Step 5: surrendered to Tarnmoor Engineering Ltd (TEL)	(486,000)
Step 2 amount also surrendered to TEL (s 1042L)	114,000
Total credit discharging TEL's GY2 CT of £2,226,250	600,000

Group economics: the credit is taxable in BSL, so BSL's GY2 loss is £600,000 smaller. The loss is time-apportioned, so half of that reduction (£300,000) falls on the post-acquisition loss surrendered to TEL and half on the pre-acquisition loss, which is restricted (chapter 14). Valuing the whole reduction at 25% gives a cost of £150,000 and a net benefit of **£450,000** = 15% of £3,000,000; because the pre-acquisition half may never be usable, the near-term cost is lower. The steps move cash; the rate decides value.

Payment for the surrender. TEL pays BSL £600,000 under a written agreement. Under **CTA 2009 s 1042N(5)–(6)** (inserted by **FA 2026 s 31**, for payments made on or after **26 November 2025**), a payment for surrendered RDEC that does not exceed the credit surrendered is **ignored** in computing both companies' profits and is **not a distribution**. Any excess is outside the protection.

Research and development intensive companies.

ERIS (enhanced R&D intensive support, CTA 2009 Part 13 Ch 2) is for one kind of company only: a **loss-making R&D-intensive SME**.

Size (CIRD91400–92000). The R&D SME definition in CTA 2009 Part 13 is the European Commission Recommendation 2003/361/EC with the ceilings **doubled**:

Test	Recommendation ceiling	R&D relief ceiling
Staff headcount	under 250	under 500
Turnover	€50m	€100m
Balance sheet total	€43m	€86m

Staff **and** either the turnover or the balance sheet test. **Linked enterprises** (broadly control, usually more than 50% of voting rights) are aggregated **in full**; **partner enterprises** (broadly 25% to 50%) are aggregated **in proportion** (CIRD91500, CIRD91700). Sterling figures are converted to euros at the balance sheet date rate. The 2026 CTA tax tables reproduce the SME definition, including notes for R&D (check the 2027 tables).

Intensity. Relevant R&D expenditure at least **30%** of total relevant expenditure, with connected companies' figures aggregated; **one year's grace** if the test was met in the previous 12-month AP with a valid claim.

The relief. - Extra deduction **86%** of qualifying expenditure (186% in total). - **Surrenderable loss** = the lower of the **unrelieved trading loss** (after current-period sideways relief and group relief; losses brought forward or carried back ignored) and **186% of the related qualifying expenditure** (CIRD122000). - Payable credit **14.5%** of the loss surrendered; **not taxable**; the loss surrendered is extinguished. - Maximum value $186\% \times 14.5\% = 26.97\%$ of qualifying expenditure in cash. - The **PAYE cap** and its exemption apply. NI companies: extra relief limited to de minimis State aid (s 1112J, substituted by FA 2025 s 29).

The two reliefs differ in kind, not just in rate. RDEC is a taxable credit that any trading company can use. ERIS is an enhanced deduction that creates or increases a loss, part of which can then be swapped for a non-taxable cash credit. A company that surrenders its loss for ERIS cash gives up that loss for carry-forward or group relief; a company with taxable profits gets the extra deduction but no cash. ERIS is therefore aimed at one profile: the young, cash-hungry, loss-making developer whose research is most of what it does, which is exactly what Brackenwell was before the acquisition.

Worked example 10.3: Brackenwell before acquisition (year to 31 December GY1) (invented)

BSL: independent; 45 staff; owned by its founders and venture investors (no partner or linked enterprise on the invented facts).

	£
Intensity: $\text{£}3,500,000 \div \text{£}5,000,000$	70% ($\geq 30\%$)
Trading loss before enhancement (after deducting $\text{£}3,500,000$ qualifying expenditure)	(4,200,000)
Extra deduction: $86\% \times \text{£}3,500,000$	(3,010,000)
Trading loss after enhancement	(7,210,000)
Cap: $186\% \times \text{£}3,500,000$	6,510,000

	£
Unrelieved loss (no other profits, no group)	7,210,000
Surrenderable loss (lower)	6,510,000
Payable credit: 14.5% × £6,510,000	943,950
PAYE cap: £20,000 + 300% × £900,000 = £2,720,000: not restrictive	—
Loss carried forward (£7,210,000 – £6,510,000)	700,000

Effective rate $£943,950 \div £3,500,000 = 26.97\%$. The pending credit is a deal point: the SPA should say whether the price includes it and who bears any HMRC reduction (chapter 20).

Linked enterprises and the cliff edge of acquisition.

The misconception: “a subsidiary of a large group can claim the SME-style intensive relief if it is small itself”. It cannot. Size is tested across **linked enterprises**. The moment Tarnmoor owns BSL, the group’s staff (about 6,000) and revenue (over £1bn) are added to BSL’s: BSL is no longer an SME and can claim only the merged RDEC. M24 Q4 turned on exactly this (a parent and its R&D subsidiary were linked; most candidates missed it).

Timing (HMRC’s view). The Recommendation normally lets a company keep its status until it crosses the thresholds in **two consecutive** years. **HMRC’s view** (CIRD92000) is that the cushion does not apply on a **takeover** by a large group: the company is treated as **large for the whole AP** in which it is acquired, including the months before completion. Hence BSL’s GY2 claim is a merged RDEC claim on all £3.0m, including January to June.

This is HMRC guidance, not statute, but it is how claims are processed. Advisers sometimes suggest ending the target’s AP at completion so that the pre-acquisition months form a separate AP that can still be tested as an SME. *In our invented case*, nobody thought of it in time: put R&D status on the due diligence list before signing.

Partner enterprises in reverse. A small company part-owned (25%–50%) by an investor must include a proportion of the investor’s figures. The Recommendation has special rules for some investor types (for example certain venture capital investors); check them in CIRD92800 (text of the Recommendation) on real facts. *In our invented case* BSL’s venture investors did not make it a partner or linked enterprise of any larger group.

Going further: R&D in the Brackenwell deal (invented) - Pending credit. BSL’s GY1 ERIS credit of £943,950 related to a period when it was independent. If the claim is made after completion, the cash arrives in a Tarnmoor company; the SPA should say whether the price already reflects it, and who bears the loss if HMRC enquires into the claim and reduces it (an indemnity or a price adjustment: chapter 20). - **Status of the acquisition year.** On HMRC’s whole-period view, BSL’s January to June GY2 spending gets the merged RDEC, not ERIS. Ending BSL’s AP on 30 June GY2 was the planning point that was missed. - **Payment step 7 conditions.** A target that is not a going concern, or has PAYE or VAT arrears, may find its cash credit delayed; due diligence should check both. - **Losses.** The ERIS credit extinguishes the losses surrendered, and the remaining £0.7m joins BSL’s other pre-acquisition losses, which chapter 14

shows are restricted after the change in ownership. - **Claim history.** HMRC enquiries into past R&D claims are common; a target with aggressive historic claims (or contingent-fee advisers) is a warranty and indemnity issue.

Exam lens: ERIS and linked enterprises (grade 1 core in 2026; not examined from 2028) - Past appearances: M24 Q4 (linked enterprises; poor). - **Traps:** testing the subsidiary alone; forgetting partner enterprises; using the transfer pricing SME thresholds (250 staff, €50m/€43m) instead of the doubled R&D ceilings (500, €100m/€86m); applying 14.5% to the whole enhanced loss rather than the lower of the unrelieved loss and 186% of qualifying expenditure; treating the ERIS credit as taxable. - **2028:** the reformed syllabus drops R&D-intensive SMEs from LCG; this does not affect the 2027 sittings.

Telling HMRC first.

Back to Graham Pike and his clock. Two procedural requirements now guard every claim, and both were responses to the error and fraud figures.

Claim notification (CTA 2009 s 1142A). For APs beginning on or after 1 April 2023, a company must notify HMRC in advance if: - it is claiming for the **first time**; or - it has not made a claim in the **3 years ending with the last day of the claim notification period** (also where HMRC removed an earlier claim, and ignoring amendment-claims for pre-April 2023 APs made on or after 1 April 2023).

The **claim notification period** runs from the **first day of the period of account** to **6 months after the end of the period of account** (GOV.UK guidance). Without a notification, a claim made after that period ends is **invalid**. Content: SI 2023/813 (Content of Claim Notifications, Additional Information Requirements and Miscellaneous Amendments) Regulations; delivered electronically under HMRC’s directions, naming the company officer responsible.

Company	Period of account	Previous claim in 3 years?	Notification deadline
Calder	1 April GY1 – 31 March GY2	No (never claimed: invented assumption)	30 September GY2 (filed April GY2)
BSL	Year to 31 December GY2	Yes (ERIS for GY1)	Not required

Traps. The window runs from the **period of account**, not the accounting period: where a long period of account is split into two APs, the six months run from the end of the period of account. A company whose last claim was over three years ago is a first-time claimant again.

Additional information form (FA 1998 Sch 18 para 83EA). Mandatory for claims made on or after **8 August 2023**, submitted **before** the claim in the return, giving projects, costs by category and people involved. HMRC may **remove** a claim made without complying with a requirement (para 83EB).

Time limit (FA 1998 Sch 18 para 83E). A claim may be made, amended or withdrawn within **2 years** from the end of the period of account (periods up to 18 months; 42 months from the start for longer periods). HMRC has a discretion to accept late claims (para 83E(5); SP 5/01).

Going further: the group R&D calendar Tom Hesketh’s team keeps a register of every company doing R&D: period of account, last claim date, notification deadline, AIF status, return date. Joiners, newly formed subsidiaries and companies that pause R&D are the usual casualties. A missed notification is not a technicality HMRC can overlook: the law says the claim cannot be made.

Research and development allowances.

Capital expenditure never enters RDEC or ERS. **CAA 2001 Part 6** gives an **R&D allowance of 100%** (s 441) for capital expenditure on R&D related to the trade, undertaken by the trader or on its behalf (s 437). The meaning of R&D follows the same GAAP-based definition and Guidelines. **Land does not qualify.** The allowance is given for the chargeable period in which the expenditure is incurred (or, if before trading, the period in which the trade starts); the company may claim less than 100%. A later disposal brings in a disposal value and a balancing charge.

Worked example 10.4: Calder’s test rig (invented)

£	AP to 31 March GY2
Test rig (capital, used for Ashlar R&D): R&D allowance 100%	500,000
Plant and machinery allowances (chapter 8)	1,300,000
Calder’s capital allowances (WE 10.1)	1,800,000

The rig is not qualifying expenditure for RDEC.

Why choose it over full expensing? For a company, new plant may already get full expensing at 100% (chapter 8). The R&D allowance also covers **buildings** used for R&D, which full expensing never does. Against that, a disposal triggers a balancing charge. N25 Q4 (a new subsidiary) expected R&D allowances; “few mentioned” them. A new company may incur R&D capital spending before it trades: the allowance then falls in the period the trade begins, which affects the timing of tax and instalments.

Why the allowance exists. Without it, research buildings and equipment would be relieved slowly or not at all, and the incentive would favour R&D done with people and materials over R&D that needs heavy kit. The allowance gives the whole cost at once, matching the credit’s treatment of revenue spending.

Exam lens: R&D allowances (grade 1 core) - Past appearances: N25 Q4 (CA, SBA and R&D allowances with instalment timing). - **Traps:** putting capital R&D spend into RDEC; forgetting the allowance exists; land.

Where the regimes meet.

Research relief does not live alone, and the examiner likes the joins. The most important for a computation is the corporate interest restriction: the credit does not increase interest capacity, and the allowances (including the R&D allowance) do not reduce it, because tax-EBITDA is computed before both. The most important for the group's reported numbers is the accounts: the RDEC is income above the line and taxed, whereas the ERIS credit is untaxed and usually presented in the tax line. The most important for planning is transfer pricing: R&D functions create the intangibles whose profits chapters 11 and 27 follow.

Regime	Interaction	Chapter
CIR	RDEC and ERIS deductions excluded from tax-EBITDA (TIOPA 2010 s 407(3)(a), (b)); capital allowances (including R&D allowances) also excluded. Calder's tax-EBITDA £4.4m is before both its allowances and its credit	28
Accounts and deferred tax	RDEC above the line (operating profit) and taxable; ERIS payable credit not taxable and in practice often shown in the tax charge, affecting the reported ETR. The 100% R&D allowance on Calder's rig against depreciation over its life creates a temporary difference and a DTL that unwinds as the rig is depreciated	6
Patent Box	Ashlar patents (filed GY2) qualify from GY4; the nexus fraction favours R&D done by the company itself over acquired IP and connected-party R&D	11
Transfer pricing	Intra-group R&D services priced at arm's length (cost plus: N23 Q6); location of DEMPE functions. Contrast: if BSL does R&D for Calder after 1 July GY2, the FA 2026 UK-to-UK exemption (TIOPA 2010 s 164A) will usually take it out of TP (subject to its conditions: chapter 27), but for RDEC the two are now connected , so Calder's payments are measured by the connected-party rule, not 65%	27
Groups	RDEC surrender (step 2 and step 5) and FA 2026 s 31 payments; separate from loss group relief, though the credit reduces the surrendering company's loss	15

Going further, the tax function's work.

Going further: running R&D relief in a large group 1. Find the R&D. Engineers do not think in tax categories, and in a group of Tarnmoor's size R&D happens where the tax team never visits (a pump-seal product team, a controls

software group, last year's acquisition). In an HMRC enquiry the questions are about the project: what was uncertain, who resolved it, and how do you know? Build a process that reaches project leads, asks what was uncertain, and records answers when the work happens (time sheets, technical narratives, prototype logs). Dan Hartley's notes are worth more than an adviser's narrative written two years later. 2. **The calendar.** Claim notifications, AIFs and returns, company by company (above). 3. **Location.** Overseas contractor R&D will usually not qualify (s 1138A); weigh that with the transfer pricing consequences of placing valuable functions abroad. 4. **Acquisitions.** Due diligence: has the target claimed correctly? Is its SME status right? Are credits pending? Will the acquisition end ERIS (HMRC's whole-period view)? Consider ending the target's AP at completion. 5. **Surrender and payments.** Decide where step 2 and step 5 amounts are used; document an agreement so that payments fall within s 1042N(5)–(6). 6. **Ethics.** *In our invented case*, a firm offers to review the group's claims for a percentage of any extra refund. Tom asks it to explain each extra project technically; it cannot; he declines. PCRT (chapter 4) expects an adviser to stand behind every claim; HMRC's compliance work in recent years has targeted vague narratives and contingent-fee claims.

How the examiner tests it.

R&D has appeared three times in the seven LCG papers from M23 to M26, plus the R&D allowances point in N25 Q4. Expect it to arrive **inside a computation** more often than on its own. The credit is a trading receipt, so add it to the adjusted profit, then use it at step 1 against the tax; show the step 2 rate and why; test size across linked enterprises before choosing the relief; strip out capital items, repairs and overseas contractor costs and give the R&D allowance for capital items; and if the scenario mentions a company that has not claimed before, write the words "claim notification".

Sitting	Question	Marks	R&D content	Examiners' comments
M24	Q4	10	Parent and R&D subsidiary are linked enterprises ; RDEC steps	Poor: missed the linking; confused step 1 with step 2
M25	Q2	15 (10/5)	Merged scheme within a plc computation: overseas subcontracting, cloud and software costs	R&D marked leniently because of the rule change
N25	Q1	20 (17/3)	Merged scheme within a full computation	Repairs wrongly included in R&D
N25	Q4	20 (4/8/8)	R&D allowances for a new subsidiary	Few mentioned R&D allowances

Exam lens: how to answer - Grades (2026 grid): R&D intensive companies **1**; RDEC **1**; R&D allowances **1**. At least 70% of the CT element comes from core material. (Check the 2027 grid; the 2028 grid keeps CTA 2009 Part 13 Chs 1, 1A, 8, 9 at 1 but drops R&D-intensive SMEs.) - **Style:** technical prose and computations; no letter format; 0.5–1 mark per point. R&D is usually a few marks inside a 15–20 mark computation; M24 Q4 was the only standalone question (10 marks). - **Tax tables:** give the RDEC rate, the ERIS extra deduction and payable credit rates and the SME definition; they do **not** give the step order, the 25%/19% notional tax rule or claim notification. - **Method:** (1) test size across linked and partner enterprises; (2) strip out capital items, repairs, overheads and overseas contractor costs; apply 65% to unconnected contractors and EPWs; (3) RDEC = 20%, added as trading income; (4) step 1 against the AP's CT; step 2 at

25% or 19% with the reason; (5) R&D allowances for capital items; (6) mention claim notification where the company has not claimed before.

What to take away.

R&D relief exists because ideas leak; the state shares the cost. The price was fraud and error on a large scale, and almost every procedural rule is a fence built in response.

- **Merged RDEC** (APs beginning on or after 1 April 2024): **20%** taxable credit; net **15%** at 25% CT, **16.2%** at 19%.
- **Qualifying expenditure:** staffing, EPWs, contractor payments, consumables, software, data and cloud; unconnected contractors and EPWs at **65%**; payment condition; no capital, repairs or overheads; overseas contractor R&D excluded unless s 1138A applies (cost and availability of workers ignored). The **decider** claims.
- **Seven steps:** own CT; notional tax **25%/19%** (step 2 amount surrendered or carried forward); PAYE cap **£20,000 + 300%** unless exempt; other APs; group surrender; other taxes; cash. FA 2026 s 31: payments up to the credit surrendered ignored and not distributions.
- **ERIS:** loss-making SMEs only (< **500 staff**; ≤ **€100m turnover** or ≤ **€86m balance sheet**, linked in full, partners pro rata); intensity ≥ **30%**; **86%** extra deduction; **14.5%** credit on the lower of the unrelieved loss and **186%** of qualifying expenditure; not taxable. A large group’s subsidiary cannot claim; HMRC’s view: an acquired company is large for the **whole** AP of acquisition.
- **Claim notification** for a first claim or after 3 years: within **6 months** of the end of the period of account, or the claim is invalid; **AIF** for every claim.
- **R&D allowances:** 100% for capital R&D spend (not land).
- *In our invented case:* Calder RDEC £400,000 against CT £750,000, payable £350,000; BSL ERIS credit £943,950 (GY1); BSL merged RDEC £600,000 (GY2), all used against TEL’s CT.

Ashlar has produced something valuable, and the law treats valuable knowledge as an asset of its own. The next chapter follows the patents and know-how into the intangibles regime.

Key rules and figures

Item	Figure / rule	Authority
Merged RDEC rate	20% (ring fence 49%)	CTA 2009 s 1042G
Start	APs beginning on or after 1 April 2024	FA 2024 Sch 1; SI 2024/286
Notional tax (step 2)	25% if profits chargeable at main rate (incl. marginal relief); otherwise 19%	ss 1042I ff; CIRD112100
PAYE cap	£20,000 + 300% of relevant PAYE/NIC; IP and 15% connected-party exemption	s 1112B(2); CIRD140000
Unconnected contractors and EPWs	65%	CIRD138000
Overseas restriction	Excluded unless conditions absent in UK, present abroad, wholly unreasonable to	s 1138A; FA 2026 s 34

Item	Figure / rule	Authority
	replicate; cost/availability of workers ignored	
RDEC surrender payments	Ignored and not a distribution up to the credit surrendered (payments from 26 November 2025)	s 1042N(5)–(6); FA 2026 s 31
ERIS	86% extra deduction; 14.5% credit; intensity 30%; surrenderable loss ≤ 186% of QE	Part 13 Ch 2; CIRD122000
SME (R&D)	< 500 staff; ≤ €100m turnover or ≤ €86m balance sheet; linked and partner aggregation	CTA 2009 Part 13 (Rec 2003/361/EC as modified); CIRD91400–91700
Acquired company	Large for whole AP of acquisition (HMRC view)	CIRD92000
Claim notification	First claim or none in 3 years; first day of period of account to 6 months after its end	s 1142A; SI 2023/813
Additional information form	Claims on or after 8 August 2023	FA 1998 Sch 18 para 83EA
Claim time limit	2 years from end of period of account	FA 1998 Sch 18 para 83E
R&D allowance	100%; not land	CAA 2001 ss 437, 441
CIR	RDEC and ERIS excluded from tax-EBITDA	TIOPA 2010 s 407(3)

Statutory and case references

- CTA 2009 Part 13: Ch 1A (ss 1042A–1042N, including s 1042G rate, ss 1042I–1042L steps, s 1042N(5)–(6)); Ch 2 (ss 1044 ff); s 1112B (PAYE cap); s 1112H; s 1112J (NI de minimis, substituted by FA 2025 s 29); the SME definition (Recommendation 2003/361/EC as modified); s 1135 (connection election); s 1138A (overseas restriction); s 1142A (claim notification).
- ITA 2007 s 1006 (meaning of R&D) and the *Guidelines on the Meaning of Research and Development for Tax Purposes*.
- CAA 2001 Part 6, ss 437–451 (especially ss 437, 441).
- FA 1998 Sch 18 paras 83E, 83EA, 83EB.
- FA 2024 Sch 1; SI 2024/286 (appointed day); SI 2023/813 (content of claim notifications and additional information).
- FA 2026 s 31 (RDEC surrender payments); s 34 (overseas restriction, ERIS-only).
- TIOPA 2010 s 407(3)(a), (b).
- HMRC manuals: CIRD91400, CIRD91500, CIRD91700, CIRD92000, CIRD92800, CIRD112100, CIRD112300, CIRD122000, CIRD132000, CIRD138000, CIRD140000, CIRD150500, CIRD161000.
- *Get Onbord Ltd v HMRC* [2024] UKFTT 617 (TC); *Tills Plus Ltd v HMRC* [2024] UKFTT 614 (TC).
- HMRC, *Research and Development Tax Credits Statistics* (September 2026); HMRC Working Paper 17 (2015); HMRC, *Evaluation of the Research and Development Expenditure Credit* (November 2020).

Chapter eleven: Intangible assets and intellectual property

On 30 September, in Group Year Three (GY3) of our invented group, Tarnmoor, Dan Hartley clears his desk at Calder Valve Engineering Ltd (CVE). His division is closing. The next morning, 1 October GY3, Calder sells that division's customer contracts and its manufacturing know-how to the group's Vallarian subsidiary, Tarnmoor Vallaria SA (TVS), for **£6.0m**. Vallaria, like everything else in this story except Ireland, is invented.

Think about what was sold. Not a building. Not a machine: the machines went separately. What crossed the border was a set of promises from customers and a body of knowledge, much of it written down in the weeks before from interviews with engineers like Dan. You cannot drop it on your foot. Yet it was worth £6.0m, and the tax system has to decide three things about it. Is the money income or a capital gain? What was it worth, when the buyer and the seller answer to the same board? And when the buyer is abroad, what stops the know-how leaving the UK tax net at a bargain price?

This chapter answers those questions. It sits in Part Two, on measuring profit, because the intangibles code is the clearest case of tax following the accounts. **Intangible fixed assets (IFAs) are core (grade 1)** for the LCG paper; the **Patent Box is awareness (grade 3)**. *The Living Law* (TKS), chapter 21, introduced the regime at the level of a company buying and writing off an asset. Here we go deeper: goodwill, reinvestment, groups, degrouping, related parties, the FA 2026 move to arm's length pricing, and the Patent Box. Everything is taught on FY2026 law (Finance Act 2026).

Statutes in this chapter: CTA 2009 Part 8 (ss 711–906); CTA 2010 Part 8A (Patent Box); TIOPA 2010 Part 4 (transfer pricing) and s 407 (CIR tax-EBITDA); TCGA 1992 s 179 (for contrast); FA 2026 Sch 6.

Why intangibles got their own code

Before April 2002 a company's intangible assets lived in an awkward place. Goodwill and most other intangibles were capital assets: a company that bought goodwill got no deduction as it wore away, and on a sale it had a chargeable gain. Patents and know-how had their own small capital allowance codes. Trade marks and brands generally got nothing. The patchwork bore little relation to how the accounts treated the same assets, and it fitted badly with an economy whose value was moving from factories to ideas.

The answer was a single code, introduced by **FA 2002 Sch 29** and rewritten as **CTA 2009 Part 8**. Its central idea is simple: **for a company, an intangible fixed asset is taxed as income, not capital**. Amortisation and impairment in the accounts are deductions (debits); receipts and profits on sale are taxable credits; losses on sale are debits. Tax follows the accounts, with a few deliberate departures, which are where most of the exam marks sit.

The code is **symmetrical**, and that is its purpose. A company that gets a deduction as an asset is written down must give it back if it later sells for more. Think of a meter running in both directions: every pound of relief is metered out, and if the asset turns out to have kept its value, the meter runs back.

The boundary. Part 8 applies to assets created on or after **1 April 2002**, to assets acquired from an unrelated party on or after that date, and (from **1 July 2020**) to any asset acquired on or after 1 July 2020 whoever the seller is (s 882, as amended by FA

2020 s 31). Older assets stayed in the capital gains world. Their detailed rules (Part 8 Chs 16, 16A, 16B) are **outside the LCG syllabus**: spot that an asset is old and say it sits outside the code.

For a large group the code matters in four ways: it relieves bought intangibles; it taxes the sale of home-grown ones, often at far more than book value; it lets assets move round a group without tax but polices them when a company leaves; and it sets the price when an intangible crosses a border to a related company.

What counts as an intangible fixed asset

The definition starts with the accounts. An **intangible asset** has its GAAP meaning (s 712) and includes **intellectual property**: patents, trade marks, registered designs, copyright and design right, and also **any idea, information or technique not protected by such a right**, which is how know-how gets in. Goodwill is expressly included (s 715).

The word **fixed** matters: the asset must be acquired or created **for use on a continuing basis** in the company's activities (s 713). Know-how bought to be resold quickly is not a fixed asset.

Excluded assets (Part 8 Ch 10, ss 800–816) include rights over land and tangible movable property, financial assets, and **shares and rights in companies and trusts**. Shares are the big one: when a group buys a company it buys shares, and the goodwill inside that company never becomes the group's IFA. A company may also elect to keep capital spending on computer software within capital allowances.

An asset inside the code is a **chargeable intangible asset**. It is used in a **trade**, held for a **property business**, or held for another purpose. Trading credits and debits go straight into trading profits; everything else is **non-trading** and pools into a non-trading gain or loss on intangibles (below).

In our invented case, the customer contracts and know-how Calder sold were trading assets and home-grown: built up over decades, with the cost of building them always charged in the accounts as incurred. So they had **no balance sheet cost and no tax cost**. That decides the size of the tax bill on the sale.

The same is true of most intellectual property a group creates. Project Ashlar's research costs were expensed and relieved through the RDEC (chapter 10); the resulting patents carry only a small capitalised cost such as filing fees. That is fair (the research was relieved once), but it means that **when home-grown IP is sold, almost all of the price is taxable**. Groups that think of their patents as capital assets protected by the substantial shareholding exemption (SSE) are often surprised: the SSE protects a sale of **shares**, never a sale of the assets themselves.

Writing down by the accounts, or at 4%

The default (s 729). The tax debit follows the accounts: amortisation and impairment charged in the profit and loss account are deductible; a later reversal of an impairment is a credit. Where the tax cost differs from the accounting value, the accounting write-off is scaled by the ratio of tax written down value (WDV, s 742) to accounting value (AV) immediately before the charge.

The problem. Some intangibles are never amortised. Under IFRS (IFRS 3 and IAS 38), goodwill and intangibles with an indefinite useful life are not amortised, only tested for impairment. Under FRS 102 every intangible, goodwill included, is

treated as having a finite life and amortised. Two identical acquisitions can produce very different deductions depending on the framework.

The fixed-rate election (ss 730–731). A company may elect to write an asset down at **4% of cost a year** whatever the accounts do. The debit is the **lower of 4% of cost and the remaining tax WDV** (pro rata for short periods). At 4% the cost is relieved over 25 years.

Condition	Rule
Form	In writing to HMRC
Deadline	Within 2 years after the end of the AP in which the asset was created or acquired
Scope	All capitalised expenditure on that asset; asset by asset
Revocation	Irrevocable

Worked example 11.1 (labelled; not a story fact): the 4% election

Suppose Tarnmoor Engineering Ltd (TEL) buys a registered trade mark for £5,000,000 and its IFRS-based accounts give it an indefinite life (no amortisation).

	Without election	With 4% election
Annual debit	£0 (unless impaired)	£200,000
CT saving at 25%	£0	£50,000 a year
Years to relieve cost	indefinite	25

For a long-lived asset the accounts never amortise, the election is usually worth making. For an asset written off over five years in the accounts, it would slow relief down. Choose asset by asset, inside the two-year window.

One twist for goodwill: goodwill and customer-related assets that qualify for relief at all are written down at a fixed **6.5%** (s 879B), not 4% and not by the accounts (see below).

Realisation, when an intangible leaves

A **realisation** (s 734) is a transaction that results in the asset ceasing to be recognised on the balance sheet, or in a reduction in its accounting value; an asset with no balance sheet value is treated as if it had one (s 734(3)). A sale is the obvious case; a part disposal is a part realisation.

Asset's history	Credit (or debit if negative)	Authority
Written down for tax	Proceeds – tax WDV	s 735
Not written down for tax	Proceeds – cost recognised for tax	s 736
Part realisation	Proceeds – matching proportion of cost / WDV	Ch 4

Proceeds are the amount recognised in the accounts, less incidental costs of realisation; non-money consideration is treated as money equal to its open market value (s 739, including s 739(1A) from FA 2018).

Because an asset never on the balance sheet is treated as having a balance sheet value, **home-grown assets are caught in full**: their cost was expensed long ago, so their tax cost is nil, and the whole of the proceeds is a credit.

Worked example 11.2 (invented story): Calder's sale to TVS, 1 October GY3

	£
Proceeds (customer contracts and know-how)	6,000,000
Less: cost recognised for tax (home-grown, never capitalised)	0
Realisation credit (trading)	6,000,000
CT at 25% (Calder: main rate, very large)	1,500,000

The credit is taxed in trading profits in Calder's **9-month AP 1 April–31 December GY3**. There is no capital gain, no indexation, no capital loss to offset and no SSE: it is income. The related plant (£1.4m) follows the capital allowance rules of chapter 8.

The price. £6.0m is what Calder and TVS agreed; both are owned by Tarnmoor plc. The law does not simply accept it: it asks what independent parties would have paid (see the related party section). In our invented case HMRC later argues for £9.5m, and the dispute settles in GY6 at £8.0m (an adjustment of £2.0m: CT £500,000 plus interest), which is chapter 27's story. **A realisation credit is only as good as the price behind it.**

Non-trading debits, credits and losses

Not every intangible is used in a trade. A holding company may own a brand and license it to subsidiaries; an investment company may hold a patent portfolio. For those assets, royalties, write-downs and realisation credits and debits are **pooled** into a single **non-trading gain or loss on intangible fixed assets** for the period (Part 8 Ch 6).

- A **net gain** is taxed as part of total profits.
- A **net loss** (s 753) may be (1) set against **total profits of the same AP** on a claim, (2) **surrendered as group relief** (chapter 15), or (3) **carried forward** as a non-trading debit of the next AP, joining that period's pool.

Worked example 11.3 (labelled): the non-trading pool

Suppose a holding company owns brands licensed to the group's trading companies.

	£
Royalties received	1,000,000
Write-down of brands	(300,000)
Loss on sale of one brand	(200,000)

	£
Non-trading gain on IFAs (taxed with total profits)	500,000

Two exam points. First, a debit that the goodwill rules deny as a write-down may still arise on **realisation**, and it is then a **non-trading debit** even if the asset was used in the trade: a blocked deduction cannot be turned into a trading loss. Second, the change-of-ownership rules in **CTA 2010 Part 14** can block the carry-forward of non-trading intangibles losses, as they block other carried-forward reliefs (chapter 14).

For a trading group like Tarnmoor most intangibles are trading assets. In the exam, a holding company with a licensing arm is a favourite way of moving an intangible out of the trade and into the pool: **read the facts for who uses the asset, not who owns it.**

Goodwill, a door that opened, slammed and reopened

Picture a door. In **2002** it opened: companies buying a business could write off purchased goodwill, following their accounts. For acquisitions from **8 July 2015** it slammed shut: relief for goodwill and customer-related intangibles was withdrawn (F(No.2)A 2015; the date is written into s 879D). From **1 April 2019** it reopened, but only for visitors carrying intellectual property (FA 2019, CTA 2009 Part 8 Ch 15A).

Why slam it? HM Treasury's 2015 policy paper said relief was available only where a company bought a business directly, not where it bought the shares of a company owning the business, which distorted deals towards asset purchases; removing it "brings the UK regime in line with other major economies, reduces distortion and levels the playing field for merger and acquisition transactions". **Why reopen it?** HMRC's tax information and impact note on the 2019 reform said the reinstatement was meant to support UK investment in intangible assets and improve the UK's attractiveness as a place to do business. The 2019 compromise is the law today.

Relevant assets (s 879A): goodwill; information relating to customers or potential customers; customer relationships (contractual or not); unregistered trade marks and other signs used in a business; and licences of any of these.

The rate (s 879B): a relevant asset acquired or created on or after 1 April 2019 is written down at a fixed **6.5% a year** (a deemed fixed-rate election at 6.5% instead of 4%).

Three restrictions (no write-down debits; any realisation debit is non-trading):

#	Restriction	Authority
1	Pre-2019 cases: asset caught by the 2015 regime (acquired 8 July 2015–31 March 2019 and chargeable in the 29 October 2018–31 March 2019 window), or acquired later from a related party in such a case	ss 879C–879H
2	Not acquired as part of a business , or acquired with a business that includes no qualifying IP assets	s 879I

#	Restriction	Authority
3	Acquired from a related individual or firm (typically an incorporation), unless the third-party acquisition condition is met	s 879K

Qualifying IP assets (s 879J): patents, registered designs, copyright and design right, plant breeders’ rights, and their foreign equivalents and licences (not excluded or pre-FA 2002 assets).

The 6× cap (ss 879M–879O). Where the business includes qualifying IP but the relevant assets cost more than **6 × the IP expenditure**, the debits are scaled down in proportion: in effect relief on relevant-asset cost is limited to six times the qualifying IP spend. The statute does this with a “relevant amount”: $RA = (A \times N) \div B$, where A is the expenditure on qualifying IP assets, B the expenditure on the relevant assets and $N = 6$ (s 879M(3), s 879O(6)). If RA is less than 1, each debit is multiplied by RA (s 879O(2)); HMRC’s own example is IP of £1m against a relevant asset of £10m, RA 0.6 (CIRD44093).

Worked example 11.4 (labelled): the 6× cap

Suppose a group company buys a business for £20,000,000: patents £2,000,000; goodwill and customer relationships £15,000,000; plant and stock £3,000,000.

	£
Qualifying IP expenditure (A)	2,000,000
Cap: $6 \times A$	12,000,000
Relevant assets (B)	15,000,000
$RA = (A \times 6) \div B = 12,000,000 / 15,000,000$	0.8
$6.5\% \times £15,000,000 \times 0.8 = \text{annual debit}$	780,000
CT value at 25%	195,000

The patents themselves are relieved separately (accounts basis or 4% election).

In our invented case: in GY2 Tarnmoor Ireland Ltd (TIL), then UK resident because its board met in Leeds, bought an Irish distributor’s business including its **customer list** for **£3.0m**. The distributor had no qualifying IP, so the list is a relevant asset acquired with a business with no qualifying IP: **no debits** (s 879I). Its tax value stays at its cost of **£3.0m**. That matters when TIL migrates in GY4 and the list is deemed realised at market value (chapter 22). Had the business included enough qualifying IP, the list would have attracted $6.5\% \times £3.0m = £195,000$ of debits a year.

The myth of relief for bought goodwill

Misconception: “Goodwill bought with a business always gets tax relief.” People believe it because it was true from 2002 to 2015, because accountants amortise goodwill under FRS 102, and because “acquisition” sounds like a purchase of assets.

It is wrong in at least four ways:

1. **Buying shares gives no relief.** The goodwill is the subsidiary's, or appears only on consolidation; Part 8 never sees it (shares are excluded assets). Most large acquisitions are share deals. Nor can a group fix that by **hiving the business up** afterwards: the intra-group transfer is tax-neutral (s 775), so the transferee takes over the subsidiary's own tax cost (for home-grown goodwill usually nil), not the price paid for the shares.
2. **An asset deal with no qualifying IP gives no debits** (s 879I), as TIL found.
3. **The 6× cap** limits relief even where IP is acquired.
4. **Related-individual acquisitions** (incorporations) are blocked (s 879K).

And where relief is due it is at **6.5%** (just over 15 years for the whole cost), not the accounts rate.

Going further: asset deal or share deal?

A **buyer** often prefers an asset deal: relief on the IP (accounts or 4%) and, within the cap, on goodwill at 6.5%; capital allowances on plant at its price. A **seller** that is a company usually prefers a share sale: a trading subsidiary's shares can often be sold within the SSE, while an asset sale by the subsidiary taxes home-grown intangibles in full as income. The tension is at the heart of chapter 20 (buying and selling companies); price usually settles it. Stamp taxes differ too (chapter 21): stamp duty at 0.5% on shares against SDLT on any land in an asset deal.

Exam lens: goodwill and IFAs in a computation

- **Grade:** IFAs and IP (excluding Part 8 Chs 16, 16A, 16B, 17) **core (1)** in the 2026 grid (up from 2 in the draft 2025 grid); **falls to 2 in the 2028 grid** (not your sitting).
- **Past appearance: N23 Q4 (20 marks):** a loss-making retailer's CT computation included **goodwill and registered designs acquired in 2019**. The registered designs were qualifying IP, which opened the door for the goodwill; then the cap and the 6.5% rate. The examiners reported the question was very well answered overall. IFAs have not been a standalone question M23–M26.
- **Style:** "Calculate, with explanations, the tax-adjusted trading profit"; 0.5–1 mark per point; explain each adjustment (add back the accounts amortisation; deduct the tax debit; say why).
- **Traps:** the three restrictions; the 6× cap; 6.5% not 4%; acquisition date (from 1 April 2019); shares never give relief; restricted goodwill's realisation debit is non-trading.

Reinvestment relief

Should a company that sells an intangible at a profit and buys another be taxed on the first sale? The gains code says no through roll-over relief; Part 8 has **reinvestment relief** (Ch 7, ss 754–763).

Conditions: - the old asset was a chargeable intangible asset throughout the company's ownership; - **proceeds exceed the old asset's cost recognised for tax** (s 755); - expenditure on **other chargeable intangible assets** in the window **12 months before to 3 years after** the realisation (HMRC may extend) (s 756); - the new expenditure is **capitalised** in the accounts; - a **claim** (HMRC's manual, CIRD20150: normal 4-year claim time limit; a provisional declaration is possible).

Computation (s 758; CIRD20210–20220):

Case	Relief
Expenditure on new assets $\geq$ proceeds	Proceeds – cost of old asset
Expenditure < proceeds	Expenditure – cost of old asset (nil if negative)

The realisation credit is reduced by the relief, and so is the **tax cost of the new asset**. **Write-downs already given are always clawed back**: the relief defers only profit above original cost. The shape mirrors the gains rule, where the amount not reinvested comes into charge.

Worked example 11.5 (labelled): partial reinvestment

Suppose a company bought a brand for £1,000,000, wrote it down for tax to £600,000, and sells it for £3,000,000. Within the window it spends £2,500,000 on a new patent (capitalised).

	£
Proceeds	3,000,000
Less tax WDV	(600,000)
Realisation credit before relief	2,400,000
Relief: expenditure £2,500,000 – cost £1,000,000 (expenditure < proceeds)	(1,500,000)
Taxable credit	900,000
= write-downs clawed back £400,000 + proceeds not reinvested £500,000	
New patent: cost £2,500,000 – relief £1,500,000 = tax cost	1,000,000

Had the company spent £3,200,000 (at least the proceeds), relief would be £3,000,000 – £1,000,000 = £2,000,000; taxable credit £400,000 (the clawback only); new asset tax cost £1,200,000.

Groups. Expenditure by another company in the same intangibles group counts, on a joint claim (s 777). If a group company **acquires control of a company** that owns chargeable intangibles, the underlying assets can count as reinvestment (ss 778–779), even though the group bought shares.

In our invented case, Tom Hesketh, the group head of tax, considers whether Calder's £6.0m credit could be deferred. With a nil tax cost, the potential relief is large, but it needs capitalised spending on new chargeable intangibles by Calder or a group company inside the window, and a claim cuts that new asset's tax cost by the same amount. He finds nothing that makes a claim worth having. **No claim is made; Calder pays the tax.**

Tax-neutral transfers inside a group

Groups move intangibles: a brand to a brand-owning company; patents into a new subsidiary before a sale. If each move were a taxable realisation at market value, groups would be stuck. So Part 8 makes intra-group transfers **tax-neutral**.

The group (ss 764–773): built like the gains group: a principal company, its 75% subsidiaries and their 75% subsidiaries, provided each is an **effective 51% subsidiary** of the principal company. Non-resident companies can be members.

The rule (s 775). A transfer is tax-neutral if: 1. both companies are **members of the same group** at the time of the transfer; 2. the asset is a **chargeable intangible asset of the transferor immediately before** the transfer; and 3. it is a **chargeable intangible asset of the transferee immediately after**.

Effect (s 776): no credit or debit for the transferor; the transferee is treated as having held the asset all along and done everything the transferor did (same cost, same WDV, same history). **TIOPA 2010 Part 4 (transfer pricing) does not apply** to the transfer (s 775).

Exclusions include a transferee that is a dual resident investing company, and a transferor with a **branch exemption election (s 18A)** where the asset has been used in its exempt foreign PE.

Why the TVS sale is not neutral. TVS is a member of the Tarnmoor intangibles group, but after the sale the know-how is **not a chargeable intangible asset of TVS**, which is not within UK CT on it. Condition 3 fails: the 1 October GY3 sale is a **realisation at the transfer price**, taxed in Calder. Tax neutrality is only for assets that stay inside the UK net.

A transfer that passes. On **1 February GY6** TEL hives down its actuators business into **Tarnmoor Actuators Ltd (TAL)**. The assets include TEL's actuator **patents: tax WDV £1.2m; market value £4.0m**. Both companies are group members within UK CT, so the patents pass tax-neutrally: TAL takes over WDV £1.2m. (Chapter 19 covers the hive-down of the trade under CTA 2010 Part 22 Ch 1; chapter 17 the factory under TCGA s 171.)

The degrouping charge and its switch-off

Tax neutrality invites a game: move an asset into a subsidiary at no tax cost, then sell the subsidiary's shares. The **degrouping charge (s 780)** stops it.

The rule. Where a company (the transferee) **leaves the group within 6 years** of acquiring an asset in a tax-neutral transfer, and still holds the asset (or an associated company leaving with it does, s 783), it is treated as having **realised and immediately reacquired the asset at its market value at the time of the original transfer**. The resulting credit or debit is brought into account **immediately before it leaves**.

Contrast with TCGA 1992 s 179:

	Gains (s 179)	Intangibles (s 780)
Time limit	6 years	6 years
Value	Market value at the intra-group acquisition	Market value at the time of the transfer
Who bears it	Since FA 2011 (leavers via share disposals): added to the seller's consideration for the shares (s 179(3D)), so the SSE can exempt it	The leaving company
SSE share sale	Exempt through the SSE on the adjusted proceeds	Switched off (s 782A)
Buyer's tax cost after an SSE sale	Rebased to market value at the transfer	No uplift: the company keeps the transferred WDV

Section 782A (FA 2019 s 26; degroupings on or after **7 November 2018**). Where a company leaves because of a **disposal of shares by another group company** and that disposal would qualify for the SSE (ignoring TCGA Sch 7AC para 6, and provided it is not part of arrangements for an onward disposal), **s 780 does not apply**. It also covers the s 783 associated-company charge (CIRD40570–40575). HMRC’s manual describes the purpose as stopping degrouping adjustments impeding genuine commercial disposals of trading businesses. Think of it as the twin of the gains rule reached by a different road: the gains rule moves the charge into an exempt sale; the intangibles rule switches it off.

Worked example 11.6 (invented story; the counterfactual is labelled): TAL’s patents

On **31 December GY6** TEL sells TAL to Brennock Industries Inc (invented US buyer) for £48.0m plus an earn-out, 11 months after the hive-down. Chapter 20 explains why the sale qualifies for the SSE (TCGA Sch 7AC para 15A). **So s 782A switches off the patents’ degrouping charge.**

Counterfactual (no switch-off; ignoring write-downs since 1 February GY6)	£
Market value of patents at the transfer (1 February GY6)	4,000,000
Less tax WDV	(1,200,000)
Degrouping credit in TAL	2,800,000
CT at 25%	700,000
Actual charge (s 782A)	nil

The price of the switch-off: with no deemed reacquisition, the patents keep their tax WDV of **£1.2m** in TAL. Brennock gets no uplift, which a well-advised buyer reflects in the price.

Where the switch-off does not apply, the group’s tools are: an election to **reallocate** the degrouping credit to another group company (s 792); **reinvestment relief** against it (s 791); and HMRC’s power to **recover** unpaid tax from other group companies or a controlling director (s 795). There are also exceptions for certain mergers (s 789) and other cases (ss 782, 785, 787). In the exam, the first question is always whether the share sale qualifies for the SSE.

Exam lens: groups and degrouping

- **Grade:** core (1), within IFAs.
- **How tested:** inside a sale-of-subsidiary question alongside TCGA s 179 and the SSE (compare M24 Q3, 15 marks: degrouping added to proceeds and SSE). A complete answer covers both regimes.
- **Traps:** (1) the intangibles charge is on the **leaving company**, not added to the seller’s proceeds; (2) market value **at the time of the transfer**; (3) s 782A needs an **SSE-qualifying share disposal**; (4) a transfer to a non-UK group company is **not** tax-neutral.

Related parties and the arm’s length turn of 2026

The group rules cover transfers inside the UK net; the **related party rules (ss 835–847)** cover everything else between parties not at arm’s length. Without them a company could sell an intangible cheaply to a friendly party, or buy one dearly, and shift profit with a stroke of a pen.

Related parties (s 835) include a company that controls or is controlled by another, companies under common control, a company in which another has a **major interest**, and, for close companies, participators and their associates. Between related parties a transfer of a chargeable intangible asset is treated as made at **market value** (s 845), except for tax-neutral group transfers.

Two valuation standards. Market value asks what the asset would fetch in an open market. The **arm’s length price** under **TIOPA 2010 Part 4** asks what independent enterprises would have agreed in comparable circumstances, considering each party’s functions, assets, risks and realistic options. For a cross-border transfer both could apply, with different answers.

FA 2026 Sch 6 paras 25 and 28 chose one:

Point	Rule
Scope	A cross-border transfer of a chargeable intangible asset between related parties that is subject to transfer pricing (TIOPA Part 4)
Effect	Market value rule disapplied ; transfer treated as made at the arm’s length price (new s 845(4ZA)–(4ZG), (6), (7); new s 846)
Other related-party transfers	Market value still applies
Commencement	Transfers and grants made on or after 1 January 2026 , unless made under a contract that became unconditional before that date

Worked example 11.7 (labelled real-calendar example)

A UK company sells a brand to its French sister company on **15 February 2026**. The transfer is cross-border and subject to transfer pricing, so it is priced at **arm’s length**, not market value. Had it been made under a contract that became **unconditional in December 2025**, the old market value rule would govern.

In our invented case every story period falls under FA 2026 law, so Calder’s sale to TVS is priced at arm’s length. The £6.0m came from a valuation report. Whether it was the arm’s length price is a transfer pricing question about who really controlled the development and exploitation of the know-how; Dan’s functional analysis interview returns in chapter 27.

Exam lens: related parties and FA 2026

- New for FA 2026 sittings: expect a cross-border restructuring (IP moved to an overseas subsidiary) where the answer must say **arm’s length price under TIOPA Part 4, not s 845 market value**, and that **s 775 does not apply** because the asset leaves the UK charge.
- Do not drift into a full transfer pricing analysis unless asked (the examiners penalise answering the question not asked); one paragraph flagging TP and documentation earns the marks.

The Patent Box, a 10% rate for inventions

The last tool is a reward. The **Patent Box (CTA 2010 Part 8A)** lets a company elect to have profits from patented inventions taxed at an effective **10%** (the “special IP rate”). It is **awareness (grade 3)**: principles, not full computation.

Why it exists. It is an incentive: cutting the tax on profits from patented inventions makes the UK more attractive as a place to own and exploit them, not just to do the research. It began on **1 April 2013**, phased in so that the full benefit applied from **1 April 2017** (CIRD201010). It was reshaped by the OECD’s BEPS work on harmful tax practices (Action 5), which requires IP regimes to reward R&D done by the company itself: the **nexus approach**, for elections made **after 30 June 2016**; Ch 2A computes relevant IP profits for APs beginning on or after **1 July 2021** (and for new entrants).

Conditions (outline; Part 8A Ch 2; GOV.UK guidance, last updated 2020): - liable to CT; makes a **Patent Box election**; - holds **qualifying IP rights** (patents granted by the UK IPO, the European Patent Office or specified EEA states, and certain similar rights) or an **exclusive licence** of them; - the **development condition**: it, or a group company, carried out **qualifying development** on the invention; - if a group company did the development, the **active ownership** condition: the holder must actively manage its portfolio.

The mechanism: a deduction, not a rate (s 357A).

$$\text{Deduction} = \text{RP} \times (\text{MR} - \text{IPR}) / \text{MR}$$

where RP = relevant IP profits, MR = main rate (25%), IPR = 10%. At 25% the deduction is **15/25 = 3/5 of RP**. (For a company taxed at the small profits rate, the formula uses that rate so the 10% result still holds.)

Relevant IP profits in outline (Ch 2A, streaming; CIRD275000): 1. stream total gross income between **relevant IP income** (sales of patented items, licence fees and royalties, infringement income, notional royalties) and other income, allocating expenses; 2. deduct a **routine return** of **10%** of specified costs (ordinary manufacturing profit is not a reward for invention); 3. deduct a **marketing assets return** (or, for small claims, a simplified small claims figure); 4. multiply by the **R&D (nexus) fraction**:

$$\text{R\&D fraction} = (\text{D} + \text{S1}) \times 1.3 / (\text{D} + \text{S1} + \text{S2} + \text{A}), \text{ capped at } 1$$

where D = the company’s own qualifying R&D expenditure; S1 = R&D subcontracted to **unconnected** persons; S2 = R&D subcontracted to **connected** persons; A = cost of **acquiring** qualifying IP (including licence fees for the right to exploit it).

Worked example 11.8 (labelled): the nexus fraction

Suppose a later patent family cost: own R&D (D) £3,000,000; unconnected subcontractor (S1) £500,000; connected group subcontractor (S2) £1,000,000; acquired licence (A) £500,000.

$$\text{R\&D fraction} = (3,000,000 + 500,000) \times 1.3 / 5,000,000 = \mathbf{0.91}.$$

If the stream’s profit after the routine and marketing returns were £2,000,000, relevant IP profits would be £1,820,000 and the deduction $\text{£1,820,000} \times 15/25 = \text{£1,092,000}$.

Worked example 11.9 (invented story; simplified): Calder’s Patent Box, GY4

Calder filed Project Ashlar patents in **GY2**; they were **granted in GY4**. Calder elects into the Patent Box from **GY4** and licenses the patents to TVS for a royalty of **6% of TVS's Ashlar valve sales: £1.2m a year** (implying Ashlar sales of £20m). Calder did the development itself, with work subcontracted to Brackenwell Sensors Ltd before Tarnmoor acquired it (then unconnected: S1), so the nexus fraction is $(D + S1) \times 1.3 / (D + S1) \rightarrow$ capped at **1**.

	£
Relevant IP profits (simplified; after streaming, routine and marketing returns)	900,000
Patent Box deduction: $900,000 \times (25\% - 10\%) / 25\%$	(540,000)
Taxable	360,000
CT at 25%	90,000 (= 10% of £900,000)
CT without the Patent Box ($25\% \times £900,000$)	225,000
Saving	135,000

Simplified: the real computation streams Calder’s income and applies every step. The royalty bears Vallarian withholding at the invented treaty rate of 5% (£60,000); credit relief and its limit after the Patent Box deduction are chapter 24’s.

Election and exit: the election must be made no later than the last day for amending the return for the first AP it is to cover, that is within **12 months after the filing date** (CIRD260100). A company may revoke; it **cannot re-elect for 5 years** after the end of the AP in which the revocation takes effect (CIRD260110).

Exam lens: Patent Box

- **Grade:** awareness (3). **Not examined M23–M26.**
- **What you need:** spot that an election would help a company with profits from patents; state the 10% effective rate and the deduction formula; name the main conditions (qualifying patents, development, active ownership, election) and the nexus restriction. You will not be asked to stream profits.
- **Interactions:** RDEC and Patent Box can both apply to the same invention (one relieves the research cost, the other the profits); the Patent Box deduction is **excluded from CIR tax-EBITDA** (TIOPA s 407(3)(l)); dealings that are **patent box provision** are excluded from the new UK-to-UK TP exemption (TIOPA s 164A; chapter 27).

The tax function’s work, and the other regimes

Acquisitions. On an asset deal the **purchase price allocation** drives everything: how much is qualifying IP, how much goodwill can be relieved within the 6× cap, what capital allowances and SDLT follow. The tax team works with the valuers before the accounts are finalised and diarises every **4% election** inside its two-year window.

Internal moves. Before any hive-down, confirm s 775 applies and **record the market value at the date of transfer** (the value a degrouping charge would use within six years). Before any share sale, check the SSE, because it decides whether s 782A applies.

The calendar:

Item	Deadline
4% fixed-rate election	2 years after the end of the AP of creation or acquisition
Patent Box election	12 months after the filing date of the return for the first AP
Patent Box re-entry after revocation	Not for 5 years
Reinvestment relief claim	Normal claim time limit (CIRD20150); provisional declaration possible
Degrouping exposure	6 years from each tax-neutral transfer

Cross-border transfers. Since 1 January 2026 a transfer to an overseas group company is priced at arm's length: a functional analysis, a valuation and contemporaneous TP documentation (Master File and Local File for a group like Tarnmoor). A restructuring that moves know-how abroad is exactly the transaction HMRC reviews (chapter 27).

Royalties. A UK company paying a royalty for IP to a non-resident must normally deduct income tax at the basic rate (ITA 2007 s 906), unless it reasonably believes a lower treaty rate applies (s 911) (chapter 23). Calder's royalty from TVS bears Vallarian withholding of 5% (£60,000 a year); the credit and its limit are chapter 24's.

CIR (chapter 28). Tax-EBITDA ignores the **Patent Box deduction** (TIOPA s 407(3)(l)). It also ignores **relevant intangibles debits and credits** (s 407, defined in s 408). The debits are amortisation, including 4% write-downs, and losses on disposals of IFAs. The credits are narrower: the s 408 table excludes a realisation credit under s 735 only **to the extent that the cost of the asset exceeds its tax written-down value**, that is, only so far as it claws back earlier tax debits. Amortisation in, amortisation out. HMRC's summary in CFM95805 (excluded credits are "mainly" gains on disposal) is looser than the statute. Calder's know-how and customer contracts had no tax cost and no past debits, so its £6.0m credit is a gain over cost: it raises **both** taxable profits **and** interest capacity. Chapter 28 works through the effect on Tarnmoor's figures.

Going further: judgement and ethics

Pricing an intra-group IP transfer is a judgement with a wide range. The tax function's duty is to document a defensible arm's length price at the time, not to pick the lowest number in a valuer's range. Where the advantage of a filing position exceeds the UTT threshold, consider notification (chapter 4). Penalties for an understated TP price turn on reasonable care; Tarnmoor's records later spare it a penalty (chapter 27).

How the examiner tests it

Exam lens: the chapter as a whole

- **Grades (2026 grid):** IFAs and IP (excluding Part 8 Chs 16, 16A, 16B, 17) **1**; Patent Box **3**. 2028 grid: IFAs **2** (not your sitting). Check the 2027 grid when published.
- **Past papers:** N23 Q4 (goodwill and registered designs in a computation). No standalone IFA question M23–M26; no Patent Box question.

- **Style:** technical prose and computations; “Calculate, with explanations”; 0.5–1 mark per point; no letter or report format. Show the accounts amortisation added back and the tax debit deducted, each with a reason. Keep £ consistent within each table.
- **Traps:**
 1. Goodwill: three restrictions, the 6× cap, **6.5%** (not 4%, not the accounts), from 1 April 2019.
 2. 4% election: **2 years** after the end of the AP of acquisition; **irrevocable**.
 3. Tax-neutral transfers need the asset **chargeable in both companies’ hands**.
 4. Degrouping: on the **leaving company**; market value **at the transfer**; **switched off** by an SSE-qualifying share sale (s 782A), the twin of TCGA s 179(3D).
 5. A realisation of a **home-grown** asset taxes the **whole proceeds** as income.
 6. FA 2026: cross-border related-party transfers at the **arm’s length price**.
 7. A restricted asset’s realisation debit is **non-trading**.

What to take away

- IFAs are taxed as **income following the accounts** (CTA 2009 Part 8), for assets created or acquired from **1 April 2002** and all acquisitions from **1 July 2020**.
- Write-downs follow the accounts unless the company elects for **4% a year**: within **2 years** after the end of the AP of acquisition; **irrevocable**; best for assets the accounts never amortise.
- **Realisation**: proceeds – tax WDV (or – cost if never written down). A home-grown asset has no tax cost: **Calder’s £6.0m sale to TVS gave a £6.0m trading credit and £1.5m of CT**.
- **Goodwill and customer-related assets** acquired from 1 April 2019: **6.5%** a year, only if acquired with a business that includes **qualifying IP**, and only up to **6×** the IP spend; none for related-individual acquisitions. **TIL’s £3.0m customer list gets no debits**. Buying shares never gives relief.
- **Reinvestment relief**: window 12 months before to 3 years after; capitalised spend; defers only profit above original cost; write-downs always clawed back.
- **Groups**: a 75% / effective 51% group; transfers tax-neutral only if the asset is **chargeable in both companies’ hands**; a transfer to an overseas company outside the UK net is a realisation.
- **Degrouping**: leaving within **6 years** holding the asset → realisation at market value at the transfer, charged on the **leaving company**; **switched off** by an SSE-qualifying share sale (s 782A), which saved **TAL a £2.8m credit (£700,000 CT)**, at the cost of no uplift.
- **Related parties**: market value; since **1 January 2026**, cross-border transfers subject to TP at the **arm’s length price** (FA 2026 Sch 6 paras 25, 28).
- **Patent Box**: effective **10%** via a deduction of $RP \times 15/25$; for Calder, RP **£900,000** → deduction **£540,000** → CT **£90,000**.
- All of this is FY2026 law.

The intangibles code showed tax following the accounts for things you cannot touch. Chapter 12, on loan relationships and derivatives, follows the accounts for the most intangible thing of all: money owed and money promised.

Key rules and figures

Rule	Figure / test	Authority
Regime start	1 April 2002; all acquisitions from 1 July 2020	CTA 2009 s 882
Accounts-basis debits	Amortisation / impairment, scaled by tax WDV / accounting value	s 729
Fixed-rate election	4% of cost (lower of that and WDV); 2 years; irrevocable	ss 730–731
Realisation	Proceeds – WDV (or – cost)	ss 734–736, 739
Non-trading loss	Same-AP total profits; group relief; carry forward as next AP's debit	s 753
Goodwill and customer-related assets	6.5% from 1 April 2019; qualifying IP needed; $6 \times \text{cap (debits} \times \text{RA, where RA} = 6 \times \text{IP spend} \div \text{relevant-asset spend, if below 1)}$; no related-individual relief	ss 879A–879O; CIRD44093
Goodwill withdrawn	Acquisitions 8 July 2015–31 March 2019	ss 879C–879H
Reinvestment relief	12 months before to 3 years after; capitalised; claim	ss 754–763
Group	75% subsidiaries; effective 51%	ss 764–773
Tax-neutral transfer	Same group; chargeable before and after; TP disapplied	ss 775–776
Degrouping charge	6 years; MV at transfer; on leaving company	s 780
SSE switch-off	Degroupings from 7 November 2018	s 782A (FA 2019 s 26)
Related party transfers	Market value	ss 835–847 (s 845)
Cross-border, subject to TP	Arm's length price; transfers and grants from 1 January 2026	FA 2026 Sch 6 paras 25, 28
Patent Box	Deduction $\text{RP} \times (\text{MR} - 10\%) / \text{MR}$; full from 1 April 2017; nexus for elections after 30 June 2016	CTA 2010 s 357A
Nexus fraction	$(\text{D} + \text{S1}) \times 1.3 / (\text{D} + \text{S1} + \text{S2} + \text{A})$, max 1	Part 8A Ch 2A; CIRD275000
Patent Box election	Within 12 months after the filing date; 5-year bar after revocation	CIRD260100–260110
CIR	Patent Box deduction and intangibles debits excluded from tax-EBITDA; realisation credits excluded only to the extent of cost less TWDV (s 408)	TIOPA s 407(3)(l), s 408; CFM95805
Story	Calder credit £6.0m (CT £1.5m); TIL list £3.0m no debits; TAL patents WDV £1.2m / MV £4.0m (charge switched off); Calder Patent Box RP £0.9m, deduction £540,000, CT £90,000; royalty £1.2m, WHT £60,000	invented

Statutory and case references

- CTA 2009 Part 8: ss 711–715 (definitions), 729–731 (debits; fixed-rate election), 734–739 (realisation; proceeds), 741–742 (chargeable intangible asset; tax WDV), Ch 6 incl. s 753 (non-trading gains and losses), Ch 7 ss 754–763 (reinvestment; ss 755, 756, 758), ss 764–773 (groups), 775–779 (tax-neutral transfers; group reinvestment), 780–799 (degrouching; ss 782A, 783, 789, 791, 792, 795), Ch 10 ss 800–816 (excluded assets), ss 835–847 (related parties; s 845, new s 846), Ch 15A ss 879A–879O (goodwill and relevant assets; inserted by FA 2019 Sch 9), s 882 (pre-FA 2002 boundary) — legislation.gov.uk.
- FA 2002 Sch 29 (origin of the regime); FA 2019 s 26 (s 782A); FA 2020 s 31 (1 July 2020 change); FA 2026 Sch 6 paras 25 and 28.
- CTA 2010 Part 8A (Patent Box), s 357A; Part 14 (change in ownership).
- TIOPA 2010 Part 4 (transfer pricing), s 164A (UK-to-UK exemption), ss 407–408 (CIR tax-EBITDA).
- TCGA 1992 s 179 (gains degrouching, for contrast); Sch 7AC paras 6 and 15A.
- ITA 2007 ss 906, 911 (royalty withholding).
- HMRC manuals: CIRD20150, CIRD20210, CIRD20220 (reinvestment); CIRD40510, CIRD40560–40575 (degrouching); CIRD201010, CIRD260100, CIRD260110, CIRD275000 (Patent Box); CIRD44075, CIRD44086, CIRD44093 (goodwill restrictions); CFM95805, CFM95800 (CIR).
- HM Treasury / HMRC, *Restriction of CT relief for business goodwill amortisation* (policy paper, July 2015); TIIN *Reform of tax relief for goodwill amortisation in the corporate intangibles regime* (for FA 2019).
- GOV.UK, *Corporation Tax: the Patent Box* (guidance, updated 7 May 2020).
- CIOT, November 2023 LCG paper, Q4, suggested answer and examiners' report.
- No case law is relied on in this chapter.

Chapter 12: Loan relationships and derivatives

Between 11 April and 13 June 2024 the Court of Appeal decided three corporation tax cases about interest. In each one, a group had lent money from one of its companies to another. In each one, the group said the borrowing served a commercial end. And in each one, HMRC won. That October, the Supreme Court refused permission to appeal in all three.

Those cases are the sharp end of a much larger body of law. Every company that borrows or lends, issues a bond, pays an arrangement fee, writes off a loan or hedges a price with a derivative is inside it. So this chapter asks a plain question. The tax system follows the accountant on debt. When does it stop following?

This is the financing chapter of Part Two. Loan relationships are **core (grade 1)** on the Advanced Technical paper; derivatives and hedging, and relationships treated as loan relationships, are **non-core (grade 2)**. *The Living Law* (TKS), chapter 21, introduced the basic code. Here we take it to the depth the examiner expects, with the groups, the cases and the traps.

Law year. Financial year 2026 (1 April 2026 to 31 March 2027) under Finance Act 2026; 2026/27 for the income tax withholding point. Statutes: Corporation Tax Act 2009 (CTA 2009), Corporation Tax Act 2010 (CTA 2010), Taxation (International and Other Provisions) Act 2010 (TIOPA 2010), the Loan Relationships and Derivative Contracts (Disregard and Bringing into Account of Profits and Losses) Regulations 2004, SI 2004/3256 (“the Disregard Regulations”).

The 1996 bargain

Start with the problem the code was built to solve. Before 1996, the tax treatment of company debt turned on labels. Was a payment interest, or a premium? Was a loss on a loan capital, or revenue? The answers decided whether anything was taxed or relieved at all, and clever drafting could move a return from one label to another.

Finance Act 1996 (Part IV, Chapter II) replaced the labels with a single idea for companies. **Debt is income.** Every profit, loss, interest payment and cost connected with lending money is a credit or a debit in computing income, and the amounts come from the accounts. The Court of Appeal’s judgment in *Greene King plc v HMRC* [2016] EWCA Civ 782 sets out the original 1996 provisions. The rules now live in **CTA 2009 Part 5** (ss 292–476).

Recap from *The Living Law*, chapter 21. A loan relationship is a money debt, owed to or by a company, that arises from a transaction for the lending of money (s 302). Trading debits are those on borrowing for the trade; trading credits arise only where lending is integral to the trade, as for a bank (ss 297, 301). Everything else goes into a non-trading pot, which produces either a **non-trading loan relationship (NTLR) profit** or an **NTLR deficit**.

The Advanced Technical layer.

Rule	Detail	Authority
Matters taxed	Profits and losses on the relationships and related transactions (excluding interest and expenses); interest; expenses incurred directly in bringing a relationship into	CTA 2009 s 306A

Rule	Detail	Authority
	existence, in related transactions, in making payments, or in securing receipts	
Abortive and pre-loan costs	Brought in by a separate rule	s 329
Accounting basis	Amounts recognised in profit or loss under GAAP	ss 307(2), 308(1)
Other comprehensive income	Left out until recycled into profit or loss	s 308(1A)
Period mismatch	Accounting period $\neq$ period of account: time-apportion	s 307; CTA 2010 s 1172
Measurement	Any GAAP-compliant basis; “amortised cost basis” = amortised cost using the effective interest method (adjusted for fair value hedges)	s 313(1), (4)
Mandated basis	Connected companies: amortised cost	s 349

So the starting rule is simple. Find the debt, find the amounts in profit or loss, and tax them as income. The rest of this chapter is about where Parliament stops the accountant at the door. Think of **three bouncers**:

1. the **connected companies rules**, which make a group’s two sides of a debt mirror each other;
2. the **unallowable purpose rule** (s 441), which turns away debits that exist for a tax advantage;
3. the **Disregard Regulations**, which decide how derivatives that hedge risks are let in.

Each bouncer has its own guest list, and the examiner tests all three.

What goes into the pot

The pot holds more than interest. Discounts and premiums accrue over the life of a loan under the effective interest method. Profits and losses on selling or repaying a loan are credits and debits. Fees and other costs of raising finance are debits, spread as the accounts spread them. And exchange gains and losses on a loan go in too (s 328(1)).

Fees are the classic examination point. When a company borrows to buy a business, the arrangement fee is not part of the cost of the shares, and for an investment holding company it is not a management expense either. It is a loan relationship debit under s 306A. The examiners reported, after the May 2023 sitting (Q6, 10 marks), that some candidates missed exactly this.

Our **invented** group, Tarnmoor, shows how it works. Tarnmoor plc (TPLC), the listed parent, drew £30m on a revolving credit facility (RCF) from its bank on 1 April GY1 to buy Calder Valve Engineering Ltd, and drew £24m more on 1 July GY2 to buy Brackenwell Sensors Ltd. In our invented case each drawing carried an arrangement fee of **£300,000**, so **£600,000** in all.

Worked example 12.1: TPLC’s RCF fees (invented)

The accounts spread each fee over the expected life of its drawing using the effective interest method. The group expected to pay most of the facility down quickly (the RCF was reduced to £20m throughout GY3), so the amortisation is front-loaded.

£000	GY1	GY2	GY3	Total
Fee 1 (£30m drawing, paid 1 April GY1)	250	50	—	300
Fee 2 (£24m drawing, paid 1 July GY2)	—	200	100	300
Loan relationship debit (non-trading)	250	250	100	600

TPLC does not trade, so these are non-trading debits (s 301). They are kept apart from TPLC's management expenses (chapter 13). These amortisation amounts (£0.25m, £0.25m, £0.1m) feed the CIR figures in chapter 28.

Exchange movements follow the same logic. Section 328 brings exchange gains and losses on loan relationships into account, except translation differences on a functional-currency translation recognised in other comprehensive income (s 328(3)).

Worked example 12.2: an exchange gain (labelled hypothetical, not a story fact)

Suppose a UK company lent euros to a foreign subsidiary and over a year the sterling value of the loan rose by **£2.4m**. That is a taxable exchange gain of £2.4m: CT at 25% **£600,000**, although no cash moved. (Loan assets cannot be matched with shares; the matching rule below applies to liabilities and derivatives hedging shares.)

Groups manage this in two ways. They hedge the currency, which brings in the derivative rules later in this chapter. Or, where a company borrows in a foreign currency to fund a holding of shares in that currency, the Disregard Regulations (regs 3 and 4) can **match** the exchange movements on the liability (or currency contract) with the shares, so that the movements are left out of income. The matching rule exists because the shares are capital assets whose exchange movement is not taxed as it accrues.

Tarnmoor's treasury

For FY2026, the law we apply throughout, Tarnmoor's debt sits mainly in one company. In our invented case, **Tarnmoor Finance Ltd (TFL)** is the group treasury company. Before the story begins it issued **£550m of listed 5.5% notes**: interest **£30.25m** a year. Because the notes are listed and pay interest, they are **quoted Eurobonds**, so the interest can be paid without deducting income tax (ITA 2007 s 882): chapter 23.

TFL lends every pound on at 6%.

Worked example 12.3: TFL's loan relationship profit (invented, every year)

Borrower	Loan £m	Interest at 6% £m	Character in the borrower
Tarnmoor Engineering Ltd (TEL)	200	12.00	Trading debit (borrowing for the trade)
Tarnmoor Water Systems Ltd (TWS)	40	2.40	Trading debit

Borrower	Loan £m	Interest at 6% £m	Character in the borrower
Tarnmoor Estates Ltd (TES)	70	4.20	Non-trading debit (property investment)
Tarnmoor plc (TPLC)	120	7.20	Non-trading debit (no trade)
Tarnmoor Vallaria SA (TVS)	120	7.20	Vallarian company: outside UK CT; TP applies (ch 27)
Total	550	33.00	

TFL (£m)	
Non-trading credits: interest receivable	33.00
Non-trading debits: interest on the notes (£550m × 5.5%)	(30.25)
Running costs	(0.60)
Taxable total profits	2.15
CT at 25%	0.5375

TFL's lending is not a banking trade, so its credits and debits are non-trading (s 297). The swap's net settlements are left out of the book's figures for simplicity.

The same interest can be trading for one company and non-trading for another. TEL's £12.0m is a trading debit; it reduces the trade profit (TEL GY1: tax-EBITDA £50.0m – CAs £14.0m – £12.0m = £24.0m before reliefs). TWS's £2.4m is trading for the same reason (TTP £7.1m = 12.0 – 2.5 – 2.4). TES's £4.2m is non-trading (TES TTP £8.4m = 13.0 – 0.4 – 4.2). TPLC's £7.2m is non-trading.

That distinction matters three times over: it decides where a **deficit** goes; it decides which debits the **corporate interest restriction** disallows first (TIOPA 2010 s 377: NTLR debits first; chapter 28); and it decides whether a loss is trading or non-trading when the group plans its claims.

Two more features complete the picture. TFL has an **interest rate swap** designated in its accounts as a **fair value hedge** of the notes (see “Derivatives and the hedging rules”). And the loan to TVS crosses a border, so **transfer pricing** applies to it (chapter 27). The loans between UK companies fall within the **UK-to-UK exemption** (TIOPA 2010 s 164A, inserted by FA 2026 Sch 6), which applies for chargeable periods commencing on or after 1 January 2026.

When both sides belong to the group

Here is the first bouncer. Inside a group, one board controls both sides of a debt. Left to the accounts, the creditor could write a loan down and claim a debit, while the debtor kept the full liability and recognised no income. The group would have a deduction with no matching receipt. The connected companies rules stop that by forcing the two sides to mirror each other.

Rule	Detail	Authority
Connection	One company controls the other, or both are under the control of the same person	CTA 2009 s 466

Rule	Detail	Authority
When	A connection at any time in the accounting period makes the relationship connected for the whole period; indirect connection through a series of loans also counts	s 348
Basis	Amortised cost compulsory, even if the accounts use fair value (hedging assumption in s 349(2A))	s 349
Related transactions	Credits cannot be less, and debits cannot be more, than if a related transaction had not occurred	s 352
Creditor	No impairment loss or release debit (exceptions: debt-for-equity s 356; insolvent creditor s 357); exchange losses unaffected	s 354
Debtor	No release credit, unless a deemed release (ss 361, 362)	s 358

Every loan from TFL to a group company is a connected companies relationship.

Why the rigidity? If a group could choose the measurement basis for loans between its own companies, it would choose whichever one gave a debit today and a credit never. Amortised cost means the debtor's liability and the creditor's asset are measured on the same footing, so what one side loses the other gains.

Worked example 12.4: fair value ignored (labelled hypothetical)

Suppose a parent lends £10m to a subsidiary at a fixed rate and market rates then rise. At fair value the loan asset would fall, and an unconnected lender using fair value would book a loss. Between connected companies tax ignores that fall: the creditor recognises interest at the effective rate on amortised cost, the debtor deducts the same, and the two figures match year after year. The connected rules do not stop the group using fair value in its accounts; they stop it being taxed.

A practical warning. Connection is about **control**, not the 75% group relief test or the 51% group payment arrangement test. The examiner likes a company owned at, say, 60%: outside group relief, but connected for loan relationship purposes.

No bad debt, no free release

The creditor side. A company with a connected creditor relationship brings in **no impairment loss and no release debit** (s 354). If TEL lent money to a struggling fellow subsidiary and wrote the loan down, the write-down would be added back; if TEL then forgave the loan, the release would be added back too. Two exceptions: a **debt-for-equity swap** (s 356: release in exchange for ordinary shares in the debtor) and an **insolvent creditor** (s 357). Exchange losses are not affected.

The debtor side. A debtor in a connected relationship (amortised cost) brings in **no credit** when the debt is released (s 358). Together: **symmetry**. The creditor gets no debit, the debtor pays no tax, and the group is left where it started. This is what makes intra-group rescues tax-neutral.

The misconception. People assume a bad debt is a bad debt, and that relief follows the loss. Between connected companies, relief does not follow the loss, because the matching income never arises either.

Outside a group a release normally gives the debtor a taxable credit: that is the point of following the accounts. But s 322 lifts the credit if any condition applies:

Condition	When the debtor brings in no release credit
A	Release is part of a statutory insolvency arrangement
B	Release in consideration of ordinary shares in the debtor (not “relevant rights”)
C	Debtor in insolvent liquidation, administration, receivership (or foreign equivalent), and the relationship is not connected
D	Bank resolution instruments
E	Corporate rescue: not a deemed release, and a material risk that within 12 months the company would be unable to pay its debts without the release (s 322(5B); HMRC: releases on or after 1 January 2015)

A related rule (s 323A) gives no credit on a change in carrying value when a debt is **substantially modified** or replaced in the same distress; later reversal debits are barred.

Why the generosity? Because taxing a distressed company on the very debts it cannot pay would kill the rescue the creditors are trying to achieve. The tax bill would simply become one more debt the company could not meet.

Exam lens: connected companies and releases

- **Grade:** loan relationships (CTA 2009 Part 5, excluding the chapters the grid lists) **1 (core)**.
- **Past appearances:** **M24 Q6** (20 marks): a two-company computation with a **reversed intra-group debt write-off**; the examiners reported candidates were weaker on the connected-party reversal. **N24 Q4** (20 marks): impairments of a **trade debt** (deductible) and a **loan to a fellow subsidiary** (not deductible), plus interest on a loan to buy shares. **M23 Q6** (10 marks): a loan **arrangement fee** as a loan relationship debit; some missed it.
- **Style:** “Calculate, with explanations”: in a computation, show the add-back with a one-line reason (“connected companies relationship: no impairment debit, s 354”); 0.5–1 mark per point.
- **Traps:** treating an intra-group write-off as deductible; forgetting the debtor side (no credit, s 358); applying the 75% group test instead of control; forgetting s 322 condition C does not apply to connected debts.

Buying the debt cheaply

The connected companies symmetry has a gap, and the **deemed release** rule closes it.

Worked example 12.5: why s 361 exists (labelled hypothetical)

A target owes £10m to outside lenders; the debt trades at £4m because the market doubts repayment. A group buys the debt for £4m, buys the shares, then releases the debt. Without s 361: debtor and creditor are connected, so the release produces no credit (s 358) and no debit (s 354). A £6m debt has vanished untaxed. Had the outside lenders released it themselves, the debtor would normally have been taxed.

With s 361: the acquiring creditor is treated as releasing the shortfall at the moment of acquisition, so the debtor brings in a credit of **£10m – £4m = £6m**, before the connected protection takes effect.

The rule (s 361). Where a company acquires a creditor relationship for less than the debtor’s carrying value, from a party it is not connected with, and immediately afterwards creditor and debtor are connected, the creditor is treated as releasing the shortfall, and the **debtor** is taxed on the deemed release.

The exceptions (in the form given by F(No.2)A 2015; the old ss 361A and 361B are repealed):

Exception	Conditions	Authority
Equity-for-debt	Acquisition at arm’s length; consideration only ordinary shares of the acquiring company or a company connected with it	s 361C
Corporate rescue	(1) acquisition at arm’s length ; (2) the acquirer, or a company connected with it, releases the debt within 60 days of acquiring it; (3) reasonable to assume that, without the release and related arrangements, there would be a material risk that within the next 12 months the debtor would be unable to pay its debts (cash-flow or balance-sheet test). HMRC: acquisitions on or after 18 November 2015	s 361D; CFM35570
Parties becoming connected while the creditor holds impaired debt	Deemed release, with a parallel rescue exception	ss 362, 362A

The design is careful. The law is not against groups buying distressed debt. It is against a group using the connected companies rules to make a commercial gain disappear. Where the purchase is part of a genuine rescue and the group follows through quickly, the law lets the rescue proceed without a tax charge on money the company never had.

Brackenwell’s notes

Brackenwell Sensors Ltd (BSL), in our invented case, was a loss-making sensor developer founded by **Dr Asha Varma**. Before Tarnmoor bought it, its venture investors held **£3.0m** of its convertible notes. On **1 July GY2** TPLC bought BSL’s shares (£22.2m; stamp duty £111,000, plus £9,000 on the convertible notes: chapter 21) and, the same day, bought the notes from the (unconnected) venture investors for **£1.8m**, at arm’s length.

Immediately afterwards TPLC and BSL were connected, and TPLC had paid £1.8m for a debt carried at £3.0m: the deemed release rule’s exact target.

Worked example 12.6: the Brackenwell notes (invented)

£	Without an exception	Corporate rescue exception applies (actual)
BSL's carrying value of the notes	3,000,000	3,000,000
Consideration paid by TPLC	(1,800,000)	(1,800,000)
Shortfall	1,200,000	1,200,000
Deemed release credit in BSL (s 361)	1,200,000	nil (s 361D)
CT at 25% (before any loss relief)	300,000	nil

Conditions for s 361D, as met: arm's length purchase from unconnected investors; release by TPLC **within 60 days** (by **29 August GY2**); board minutes and BSL's cash-flow forecasts recorded a **material risk** that BSL could not pay its debts within 12 months without the release.

The actual release (accounting entries and tax):

Company	Accounts	Tax	Authority
TPLC (creditor)	Writes off the notes: loss £1,800,000	No release debit (connected creditor relationship)	s 354
BSL (debtor)	Release of liability: gain £3,000,000	No release credit (connected debtor relationship)	s 358

Whether BSL's old losses could have absorbed a £1.2m credit is a chapter 14 question (Part 14 restrictions after the change of ownership); the group did not rely on them. The book treats the notes as plain debt in TPLC's hands: their conversion rights fell away with the release.

Three practical lessons. First, the 60-day clock starts on acquisition, so the release must be planned **before completion**. Second, the material risk condition is a matter of **evidence**, made at the time in board papers and forecasts. Third, the exceptions are **conditions, not elections**: if they fail, the credit arises whether or not anyone notices.

The alternatives. Had TPLC paid the investors in its own **ordinary shares**, s 361C would have been available and no 60-day release would have been needed. Had TPLC kept the notes and released them six months later, neither exception would apply: a £1.2m credit in BSL on 1 July GY2. Had the investors released the notes before the sale, BSL would have faced a release credit from **unconnected** lenders, relieved only if one of s 322's conditions A–E applied. Much the same commercial result, three different tax outcomes. That is why the tax function sits at the deal table.

Going further: running a debt purchase in a share deal

- Map every debt of the target before signing: who holds it, at what carrying value, at what price it will be acquired, and whether the buyer will be connected immediately afterwards.
- Choose the route: refinance at par (no shortfall), equity-for-debt (s 361C), or rescue (s 361D with a diary note for day 60).

- Evidence the material risk: cash-flow forecast, balance sheet, board minute; keep it with the tax file for the enquiry window.
- Check the debtor side if neither exception applies: is the credit trading or non-trading, and what reliefs can shelter it (subject to the Part 14 change of ownership rules: chapter 14)?
- Consider stamp duty on the shares (chapter 21) and the loss restrictions (chapter 14) in the same memo.

Exam lens: deemed releases and corporate rescue

- **Grade:** 1 (within loan relationships).
- **Past appearances:** not the main focus of an LCG question M23–M26; a natural add-on to any “acquisition of a loss-making target” scenario.
- **Traps:** taxing the **creditor** (it is the debtor that is taxed); forgetting the 60-day window; describing the rescue test loosely (“the company was struggling”) rather than as a material risk of inability to pay debts within 12 months; confusing s 322 (actual release by an unconnected lender) with s 361 (deemed release on acquisition).

Interest paid late

For years one of the most common traps in company tax was **late-paid interest**. The rule’s aim was sensible: a debtor accruing interest it did not pay could deduct it year after year, while a creditor outside the charge to CT paid nothing until the cash arrived, if it ever did. So in certain cases the debtor’s deduction was deferred until payment.

The general rule (s 373) still exists. If interest is not paid within **12 months** after the end of the accounting period in which it accrues, and the creditor does not bring the full amount into account as it accrues, the debtor gets relief only when the interest is paid. But it now applies only in two kinds of case:

Case	Conditions	Authority
Close company	Debtor is a close company ; creditor is a participator, an associate of one, or a company controlled by (or with a major interest held by) a participator. Carve-outs for certain SME debtor and collective investment scheme cases. If the creditor is a company , only if it is resident in a non-qualifying territory (broadly, no suitable treaty)	s 375; s 375(4A)
Pension scheme loans	Loans by trustees of an occupational pension scheme to the employer (or certain connected companies)	s 378

The connected companies case (s 374) and the major-interest case (s 377) were **omitted by FA 2015 s 25**. Connected UK companies accrue interest in the normal way.

For Tarnmoor the point is quickly answered: a subsidiary controlled by a widely held listed parent is not a close company, so the late interest rules do not apply to its intra-group debts.

Where the rule does apply, the debit moves from the period of accrual to the period of payment: nothing is lost, only delayed. In an answer: (1) identify the close company and the participator link; (2) check the 12-month window; (3) if the creditor is a company, check its residence before applying the deferral at all.

The purpose test

Now the second bouncer, and the most powerful: **CTA 2009 ss 441–442**.

Element	Rule	Authority
Effect	If a loan relationship has an unallowable purpose in an accounting period, the debits for that period are disallowed so far as attributable to that purpose on a just and reasonable apportionment	s 441
Unallowable purpose	A purpose that is not among the company's business or other commercial purposes	s 442
Tax avoidance purpose	Counts as a business purpose only if it is not the main purpose, or one of the main purposes, for which the company is party to the loan	s 442
“Any other person”	A tax avoidance purpose is any purpose of securing a tax advantage for the company or any other person	s 442
Outside the charge	Purposes of activities not within the charge to CT are not business purposes	s 442

What the test examines. The purpose of **being a party** to the loan, **period by period** and **loan by loan**. A loan taken for good reasons can acquire an unallowable purpose later if it is restructured for tax; a tainted loan can become clean when its purpose changes. The apportionment is a judgement for the tribunal, not a formula, and the answer can be all of the debits. The rule disallows debits; it does not reduce the lender's matching credits, which is why a failed plan inside a group usually costs more than doing nothing.

The leading earlier case. *Fidex Ltd v HMRC* [2016] EWCA Civ 385 (21 April 2016) concerned a scheme, “Project Zephyr”, that used the move to international accounting standards to produce a debit on bonds. It was decided under the predecessor rule, FA 1996 Sch 9 para 13. The scheme failed. In the words of the Court of Appeal (para 74): “But for this tax avoidance scheme there would have been no debit at all.” Once a debit exists only because of the scheme, all of it is attributable to the scheme.

That **“but for”** reasoning became the template. The hard question, which the 2024 cases answered, is what happens when there is a real commercial transaction in the picture too.

Three cases in nine weeks

Case	Facts (as recorded in the sources noted)	Outcome
<i>BlackRock HoldCo 5, LLC v HMRC</i> [2024] EWCA Civ 330 (11 April 2024)	US group acquisition; LLC5, a Delaware LLC resident in the UK, took on about \$4bn of intra-group loans to buy preference shares (prologue)	Taxpayer won on transfer pricing (the loans could have been made at arm's length) but lost on unallowable purpose: a main tax avoidance purpose, and on the facts all debits attributable to it
<i>Kwik-Fit Group Ltd v HMRC</i> [2024] EWCA Civ 434 (3 May 2024)	Reported facts (secondary commentary): one company (Speedy 1) held about £48m of pre-2017 NTLR deficits usable only against its own non-trading profits; expected use about 25 years, cut to about 3 by reorganising intra-group loans (new loans, assignments, higher rates) so that interest income flowed to it	Appeals dismissed: debits on the new loans attributable to an unallowable purpose. As commentators read it, the advantage was the deductions made available to the paying companies while the receiving company's income was sheltered. HMRC accepted that once the target losses were used, continued denial would no longer be just and reasonable (paras 101–103)
<i>JTI Acquisition Company (2011) Ltd v HMRC</i> [2024] EWCA Civ 652 (13 June 2024)	UK company set up by a US group to buy a US business (LeTourneau Technologies), borrowing from a group company; interest surrendered as group relief (secondary commentary)	Appeal dismissed: the FTT's finding of no commercial purpose for the borrower's part stood; the tax advantage was "bolted on" to a commercial deal (paras 81–83); debits wholly attributable

In **October 2024** the Supreme Court refused permission to appeal in all three cases.

The chapter's misconception. "Interest on money borrowed to buy a company must be deductible, because buying a company is commercial." The Court of Appeal has closed that argument. The test looks at the **borrower's purpose in being party to the loan**, not the purpose of the acquisition. A commercial deal can carry a loan whose own purpose is tax.

The debate. The profession argues that the trilogy leaves groups uncertain: ordinary acquisition finance with a tax benefit attached is common, and the line between a tax-efficient structure and a main purpose is hard to draw. HMRC's view is that the rule asks a factual question and the tribunals answer it. **Still being litigated:** *Syngenta Holdings Ltd v HMRC* [2024] UKFTT 998 (TC) (FTT for HMRC, 1 November 2024); the Upper Tribunal gave permission to appeal on some grounds ([2025] UKUT 338 (TCC), October 2025). Commentators report the main question is whether a genuine business purpose must lead to **apportionment** rather than total disallowance. No Upper Tribunal decision had been published by October 2026.

Exam lens: unallowable purpose

- **Grade:** 1 (s 441 is within Part 5).
- **Past appearances:** no LCG question M23–M26 was built around s 441, but it is the natural "discuss" point in any intra-group debt, debt pushdown or acquisition finance scenario, and the 2024 trilogy is recent enough to be topical.
- **Style:** "Explain whether the interest will be deductible": state the test (business or commercial purpose; tax avoidance main purpose; any person), apply it to the facts, and conclude on apportionment.
- **Traps:** arguing that a commercial acquisition guarantees deductibility (*JTI*); looking only at the borrower's own advantage (s 442: any person); forgetting that s 441 can apply even where transfer pricing is satisfied

(BlackRock); raising DPT/UTPP (not relevant to loan relationships: M23 Q3).

The plan Tarnmoor turned down

In our invented case, the test arrived at Tarnmoor in **GY2**, a few months after the Brackenwell deal. The idea came from Calder's own finance team, whose results were measured on Calder's profit after tax: TPLC would sell BSL to Calder for **£24m**, and Calder would borrow the price from TFL at **6%**.

Worked example 12.7: the debt pushdown (invented; rejected)

£ a year	As pitched (deduction allowed)	If s 441 disallows all debits
Calder: interest debit (£24m × 6%)	(1,440,000)	(1,440,000) disallowed
Calder: CT effect at 25%	(360,000)	nil
TFL: interest credit	1,440,000	1,440,000
TFL: CT effect at 25%	360,000	360,000
Group CT effect	nil	+360,000

TP would not have questioned the rate (UK-to-UK exemption, s 164A), and the CIR is measured across the worldwide group, so neither rule stood in the way. The purpose test did.

Tom Hesketh's analysis for the board made three points:

1. **Commercial.** BSL already supplied sensors to Calder and TEL; owning it from Calder changed nothing about that supply. Calder had no need of the money and no business reason to borrow it. On any honest reading the only purpose of Calder becoming a debtor was the deduction.
2. **The group view.** TFL would be taxed on the same £1.44m. The group's bill would barely move; Calder's would. That is still a tax advantage, for Calder: s 442 counts an advantage for the company or any other person, and, as commentators read *Kwik-Fit*, deductions made available to one company can be the advantage even where the receiving side is not better off. The rule asks what the company was trying to do, not whether the group came out ahead.
3. **The case law.** On the reasoning of *JTI* and *Kwik-Fit*, a tribunal would very likely find a main tax avoidance purpose and attribute **all** the debits to it. Calder's deduction would be disallowed while TFL's income stayed taxable: a neutral position turned into a £360,000 a year cost.

The board declined and minuted why.

Going further: documenting purpose

- Purpose is a question of fact, decided years later from documents. For every material intra-group loan, the board paper should state the business case: what the money is for, why this company borrows it, why debt rather than equity.
- Record refusals too. Groups offered plans whose only case is tax should be able to show they said no.

- Senior accounting officer and tax strategy duties (chapter 4) make “we never thought about it” an uncomfortable answer.
- Debt pushdowns are not automatically bad: borrowing in the company that owns and runs the acquired business, to fund that acquisition, usually has an evident commercial purpose. The question is always the borrower’s purpose in being party to the loan.

When the debits outrun the credits

When a company’s non-trading debits exceed its non-trading credits, it has a **non-trading deficit**. For deficits of accounting periods beginning on or after **1 April 2017** (CTA 2009 Part 5 Chapter 16A, ss 463A–463I):

Route	Rule	Claim / time limit	Authority
1 Current year	Set against any profits of the deficit period	Claim within 2 years after the end of the deficit period	ss 463B(1)(a), 463C, 463D
2 Carry back	Against NTLR profits only of the previous 12 months	Same claim and time limit	ss 463B(1)(b), 463C, 463E–463F
3 Group relief	Current-year deficit surrendered to a group company	Group relief claim (chapter 15)	CTA 2010 Part 5 (s 99)
4 Carry forward	Unclaimed and unsurrendered amount carried forward; set against total profits of a later period; surrenderable under Part 5A; within the Part 7ZA restriction (£5m deductions allowance + 50% of profits above it)	Claim within 2 years after the end of the later period; confined to non-trading profits if the company has ceased its investment business (or it has become small or negligible)	ss 463G, 463H; CTA 2010 Parts 5A, 7ZA

Pre-1 April 2017 deficits (Chapter 16, ss 456–463) were carried forward only against the company’s own later non-trading profits: exactly the kind of trapped deficit behind *Kwik-Fit*.

Two warnings. The carry-back is narrow: it cannot touch trading profits of the earlier year. And even the **current-year set-off needs a claim**; a deficit nobody claims simply rolls forward.

Worked example 12.8: TPLC’s deficits (invented)

£m	GY1	GY2
Interest payable to TFL (£120m × 6%)	7.20	7.20
RCF interest: GY1 £30m × 6% × 9/12; GY2 £30m × 6% + £24m × 6% × 6/12	1.35	2.52
Arrangement fee amortisation (WE 12.1)	0.25	0.25
Non-trading debits	8.80	9.97

£m	GY1	GY2
Less: CIR disallowance (allocated to NTLR debits first; chapter 28)	(2.21)	(2.30)
Non-trading credits	nil	nil
NTLR deficit surrendered to TEL as group relief	6.59	7.67

TES is the other pattern: its £4.2m of non-trading interest exceeds its non-trading credits, so it **claims** (s 463B) to set the deficit against its own property profits of the same period.

Layout in the exam. Total the non-trading credits and debits (including fees, exchange movements and non-trading derivative amounts); take out disallowed amounts (s 441, CIR); state the deficit; then walk through the options in order with the time limit for each claim, and say what each would achieve (tax saved at 25% this year against a refund for last year).

Exam lens: NTLR deficits

- **Grade: 1.**
- **Past appearances:** N25 Q4 (20 marks, 4/8/8): a new subsidiary, including the options for relieving **trading losses and NTLR deficits**. M24 Q6 (20 marks): **NTLR deficit group relief** in a two-company computation.
- **Traps:** carrying back a deficit against **trading** profits (only NTLR profits); forgetting that current-year set-off is a **claim**; forgetting Part 7ZA on carried-forward deficits; confusing NTLR deficits with trading losses in the s 37 sense.

Debts that are not loans

CTA 2009 Part 6 extends the loan relationship rules to things that are not loans in the ordinary sense. It is **non-core (grade 2)**; the grid excludes Chapters 3, 4, 5, 6A, 9, 10 and 11. The idea: the same economic return should get the same tax treatment, whatever its legal form.

Part 6 chapter	What it catches	Authority
Ch 2: relevant non-lending relationships	A money debt not arising from lending (for example a trade debt) comes into Part 5 where (a) interest is payable on it, (b) exchange gains or losses arise, (c) an impairment loss or release debit arises on an unpaid business payment, or (d) a debt for which a trading or property deduction was given is released	ss 478–486 (s 479)
Ch 2A: disguised interest	A return “economically equivalent to interest” (a return on an investment of money at a reasonably commercial rate, reflecting the time value of money, with no practical	ss 486A–486E

Part 6 chapter	What it catches	Authority
	likelihood it will cease) is taxed as a loan relationship profit on an amortised cost basis; exclusions where the return is otherwise taxed, where there is no tax avoidance main purpose, and for excluded shares	
Ch 2B: transferred income streams	A company that sells a right to income (such as interest) for a lump sum is taxed on the lump sum as the income it replaces	Part 6 Ch 2B (headings)
Ch 6: alternative finance arrangements	Finance structured to comply with Islamic principles treated in the same way as interest	Part 6 Ch 6 (headings)
Ch 7: shares with guaranteed returns	Shares designed to produce an interest-like return treated as a creditor relationship (outline)	Part 6 Ch 7 (headings)

Worked example 12.9: interest on overdue customer accounts (labelled hypothetical)

Suppose TEL charges interest on customer accounts paid more than 60 days late. The balances are trade debts, not loans. Because interest is payable on them, they are **relevant non-lending relationships** (s 479), and the interest is a loan relationship credit rather than a sales receipt. TEL's dollar receivables, revalued at the year end, produce exchange gains and losses also brought in under these rules.

Exam lens: Part 6

- **Grade:** 2 (non-core).
- **Style:** a recognition point inside a computation or a “discuss” requirement: an overdue debt with interest, a preference share with a fixed redemption premium, a sale of a stream of payments. Marks come for naming the rule and saying it brings the return into the loan relationship regime.

Derivatives and the hedging rules

Derivatives are the third bouncer's territory: **CTA 2009 Part 7** (ss 570–710), **non-core (grade 2)**.

Rule	Detail	Authority
Definition	A relevant contract (option, future, contract for differences) that meets an accounting condition (in essence, treated as a derivative in the accounts) and is not excluded by its underlying subject matter; interest rate swaps, currency contracts and commodity futures are the everyday examples	ss 576, 577, 579, 589

Rule	Detail	Authority
Accounts basis	Credits and debits are amounts recognised in profit or loss (including amounts recycled from OCI)	ss 595, 597
Trading / non-trading	Trading derivatives in trade profits; non-trading derivatives into the NTLR pot	ss 573, 574

The courts have patrolled the edges. *Union Castle Mail Steamship Co Ltd v HMRC* [2020] EWCA Civ 547 (22 April 2020) concerned a scheme producing a claimed debit of about **£39.1m** on derivative contracts from amounts recognised in **equity** rather than in profit or loss; the appeals (Union Castle and Ladbrokes) were dismissed. HMRC's manual (CFM76010) explains that since 2016 the loan relationship and derivative rules focus on amounts in profit or loss.

The Disregard Regulations (SI 2004/3256). The problem: a company hedges a risk (say the price of a commodity it buys) with a derivative at fair value, whose movements hit profit or loss now, while the hedged purchase affects profit only later. Tax following the accounts would tax the derivative's swings before the matching cost arrives.

Point	Rule	Authority
Default (periods from 2015)	Follow the accounts: regs 7–9 do not apply automatically	HMRC CFM57040, CFM57360 (guidance)
Election	A company may elect (reg 6A) for regs 7 (currency contracts), 8 (commodity and debt contracts) and/or 9 (interest rate contracts) to apply; in writing; same treatment for the same type of contract	reg 6A; CFM57370
Effect of regs 7 and 8	Fair value movements on the hedging derivative left out and brought back into account in line with the hedged item	regs 7, 8
Effect of reg 9	Interest rate contracts brought in on an appropriate accruals basis	reg 9
Election timing	New adopters of fair value accounting: within the later of 6 months after the start of the first relevant period or 6 months after first holding a fair-valued derivative (non-SAO companies: up to 12 months after the period end); otherwise prospective; initial lock-in	reg 6A
Automatic cases (HMRC's guidance; not exhaustive)	Where the hedged item is not taxed in line with the accounts (for example connected company debt), the regulations apply without an election. HMRC's list also mentions designated fair value hedges and hedges of loan relationships accounted for at fair value; where the hedged item is itself taxed in line with the accounts, the derivative simply follows profit or loss	reg 6; CFM57071, CFM57075

Point	Rule	Authority
Anti-avoidance	Regs 7–9 can apply where a main purpose is to avoid them	reg 6; CFM57371
Matching with shares	Exchange movements on liabilities and currency contracts hedging shares	regs 3, 4
Cash flow hedges	Reg 9A (the old default for designated cash flow hedges) revoked (SI 2015/1961)	—

Worked example 12.10: Tarnmoor's two derivatives

TEL's copper futures (invented; election made when TEL first used derivatives, before the story). TEL hedges copper purchases for its trade, so the futures are **trading** derivatives (s 573). Suppose, for illustration only, a year-end fair value gain of **£400,000**:

£	With reg 6A election (actual)	Without an election
Fair value gain in profit or loss	400,000	400,000
Taxed this year	nil (disregarded; brought in when the hedged copper purchases reach profit or loss, reg 8)	400,000
CT at 25% this year	nil	100,000

TFL's interest rate swap. Designated as a **fair value hedge** of the external notes. In a fair value hedge the accounts already adjust the notes for the hedged risk, so the two movements offset in profit or loss. TFL has made **no election**. On HMRC's guidance it **needs none**: tax follows the accounts. The swap's amounts are **non-trading** (TFL does not trade), in the same pot as the interest.

Exam lens: derivatives and the Disregard Regulations

- **Grade:** derivatives and hedging, basic principles 2 (**non-core**). (From 2028, derivatives beyond knowing they are treated like loan relationships leave the syllabus; the 2027 sittings are under the current grid.)
- **Past appearances:** N23 Q3 (15 marks, 7/8): a **fuel future not hedge-accounted**: fair value through profit or loss, taxed as it arises unless the company has elected; only a minority mentioned the Disregard Regulations. N25 Q3 (migration): some candidates **wrongly discussed** the Disregard Regulations, which were not relevant.
- **Traps:** saying the regulations apply automatically to every hedge (default since 2015 is to follow the accounts); forgetting trading/non-trading classification; raising them where no hedging derivative exists.

Financing the group

The examiner's narrative syllabus names **loan relationships and derivative contracts and common financing transactions** as part of this paper. Here is how the pieces fit.

Debt or equity. Interest on debt is in principle deductible; dividends are not. That asymmetry is why every regime in Part Four exists:

Regime	Question it asks of the same interest	Chapter
Unallowable purpose (s 441)	Why is this company party to this loan?	12
Transfer pricing (TIOPA 2010 Part 4)	Would an independent lender have lent this much, on these terms? (cross-border; UK-to-UK exempt from 2026)	27
Corporate interest restriction (TIOPA 2010 Part 10)	Is the group's net UK interest within 30% of tax-EBITDA (or the group ratio), subject to the debt cap?	28
Hybrid mismatches (TIOPA 2010 Part 6A)	Is the payment deducted here but not included there?	29
Withholding (ITA 2007 Part 15)	Must income tax be deducted on payment?	23

A debit can survive one rule and fall to another: *BlackRock* won on transfer pricing and lost on purpose.

Acquisition finance. The arrangement fee is a loan relationship debit, spread as the accounts spread it (M23 Q6). The interest follows the accounts, subject to s 441. Where the target owes debt to outsiders, decide **before completion** whether to buy, refinance or release it (s 361 and the 60-day rescue window).

Bonds. Listed interest-bearing bonds are quoted Eurobonds and pay gross (ITA 2007 s 882). Yearly interest paid to lenders abroad on other debt may require deduction of income tax: **20%** for 2026/27 (ITA 2007 s 874; basic rate). **Coming next (enacted):** 22% from 2027/28 (FA 2026 ss 5–6). Chapter 23.

Cash pooling. In a physical pool, balances are swept into a header account daily, so each participant has a loan relationship with the header company: connected companies relationships, amortised cost, transfer pricing where a border is crossed, and exchange movements where currencies differ. (Practice point; not separately verified.)

Going further: the tax function's financing calendar and checklist

Item	Deadline or trigger	Authority
NTLR deficit claims (current year, carry back)	2 years after the end of the deficit period	s 463C
Carried-forward deficit claim	2 years after the end of the later period	s 463G
Disregard Regulations election	Within the reg 6A window	SI 2004/3256 reg 6A
Corporate rescue release	Within 60 days of acquiring the debt	s 361D
Group allowance for carried-forward deficits	Nomination and allocation statement (chapter 14)	CTA 2010 Part 7ZA
CIR return and allocation of disallowances	Chapter 28	TIOPA 2010 Sch 7A

Tom Hesketh's five questions for any new intra-group loan (invented): **Is it connected? Is the purpose documented? Does it cross a border? How does it affect the CIR? Will any payment need income tax deducted?** Treasury decides the funding, the accountants the measurement basis and hedge designation, the lawyers the loan terms and release deeds,

corporate finance the timetable. The tax team's job is to see the tax answer before each choice is made: the "identify the issues and coordinate the specialists" skill the paper claims to test.

Exam lens: financing transactions

- **Past appearances: M23 Q3** (15 marks): a loan from a US company that might take 60% control: TP (participation condition, thin capitalisation), CIR and withholding; the examiners reported time **wasted on DPT, which does not apply to loan relationships** (DPT is now repealed and replaced by UTPP: chapter 30). **M23 Q6** (10 marks): acquisition costs including the arrangement fee.
- **Favourite combinations:** TP with CIR (M23 Q3, M26 Q1, N24 Q5); computations with intra-group write-offs and NTLR group relief (M24 Q6).
- **Approach:** on a financing question, think loan relationships, transfer pricing, CIR and withholding first; keep £ and £000 consistent within each working.

What to take away

- **Debt is income** (FA 1996; CTA 2009 Part 5). Interest, discounts, fees, profits and losses on loans and exchange movements are credits and debits; amounts in profit or loss under GAAP; OCI amounts wait until recycled; trading debits on borrowing for the trade, everything else non-trading.
- **First bouncer: connected companies.** Control at any time in the period; amortised cost compulsory; creditor no impairment or release debit (exceptions: debt-for-equity, insolvent creditor); debtor no release credit. Symmetry. Reversing an intra-group write-off is a favourite examination point.
- **Deemed release (s 361):** buying a debt below carrying value and becoming connected taxes the **debtor** on the shortfall, unless **equity-for-debt** (s 361C) or **corporate rescue** (s 361D: arm's length; release within **60 days**; material risk of inability to pay debts within **12 months**). Unconnected releases: taxable on the debtor unless one of **s 322 conditions A–E**. Brackenwell: £3.0m notes bought for £1.8m; deemed release £1.2m avoided; TPLC no debit, BSL no credit.
- **Late-paid interest:** only close company participator cases (corporate creditors only in non-qualifying territories) and pension scheme loans. Tarnmoor is not close.
- **Second bouncer: s 441.** Debits disallowed so far as attributable to an unallowable purpose; tax advantage for **any person**; per loan, per period; just and reasonable apportionment, which can be 100%. *Fidex* ("but for"); *BlackRock*, *Kwik-Fit*, *JTI* (2024; permission refused October 2024); *Syngenta* pending. Tarnmoor rejected a £24m debt pushdown (Calder saving £360,000 a year; group cost £360,000 a year if disallowed).
- **NTLR deficits (post-2017):** current year; carry back 12 months against NTLR profits only; group relief; carry forward against total profits (Part 5A, Part 7ZA). Claims within **2 years**. TPLC surrendered £6.59m (GY1) and £7.67m (GY2) to TEL.
- **Third bouncer: the Disregard Regulations.** Derivatives follow profit or loss; since 2015 regs 7–9 apply only by **election** (reg 6A) or automatically where the hedged item is not taxed in line with the accounts, or in the other automatic cases HMRC lists. TEL's copper futures: elected. TFL's fair value hedge: follows the accounts.
- **Grades:** loan relationships **1**; relationships treated as loan relationships **2**; derivatives and hedging **2**.

Next: one kind of company sits at the centre of all this borrowing, and its costs are among the most misunderstood on the paper. Chapter 13 turns to companies with investment business.

Key rules and figures

Topic	Rule or figure	Authority
Matters taxed	Profits/losses, interest, expenses directly incurred; abortive and pre-loan costs	CTA 2009 ss 306A, 329
Accounting basis	Profit or loss under GAAP; OCI only when recycled	ss 307, 308
Exchange	In loan relationships except OCI translation differences; matching with shares	s 328; SI 2004/3256 regs 3–4
Connected companies	Control (s 466) at any time in the AP; amortised cost	ss 348, 349, 466
Creditor	No impairment/release debit (exceptions s 356, s 357)	s 354
Debtor	No release credit	s 358
Deemed release	Shortfall taxed on the debtor	ss 361, 362
Exceptions	Equity-for-debt; corporate rescue (60 days; 12 months; arm's length); HMRC: from 18 Nov 2015	ss 361C, 361D, 362A
Unconnected release	No credit if conditions A–E (E: corporate rescue, releases from 1 Jan 2015)	s 322
Distressed modification	No credit	s 323A
Late interest	12 months after AP end; s 375 (close; s 375(4A)) and s 378 only; ss 374, 377 omitted	ss 373–378; FA 2015 s 25
Unallowable purpose	Just and reasonable attribution; main purpose; any person	ss 441–442
NTLR deficits	Current year / 12-month carry back (NTLR profits only) / group relief / c/f against total profits; 2-year claims	ss 463A–463I
Part 6	Relevant non-lending relationships; disguised interest	ss 479, 486A–486E
Derivatives	Relevant contract + accounting condition; profit or loss	ss 576–579, 595
Disregard Regulations	Elect-in (reg 6A); regs 7, 8, 9; reg 9A revoked	SI 2004/3256
Withholding on yearly interest	20% (2026/27); 22% from 2027/28 (enacted)	ITA 2007 s 874; FA 2026 ss 5–6
Tarnmoor (invented)	TFL notes £550m at 5.5% (£30.25m); lends £550m at 6% (£33.0m); TTP £2.15m	invented (story)

Topic	Rule or figure	Authority
	RCF fees £300,000 + £300,000; debits £250,000 (GY1), £250,000 (GY2), £100,000 (GY3)	this chapter
	BSL notes: £3.0m bought for £1.8m on 1 July GY2; deemed release £1.2m avoided (s 361D); released by 29 August GY2	invented (story)
	Rejected pushdown: £24m at 6% = £1.44m a year; £360,000	invented (story)
	TPLC NTLR deficit surrendered: £6.59m (GY1), £7.67m (GY2)	invented (story)

Statutory and case references

Statute and regulations - Finance Act 1996, Part IV Chapter II and Sch 9 para 13 (original code; old unallowable purpose rule) - CTA 2009 Part 5: ss 292–476, especially ss 297, 301, 302, 306A, 307, 308, 313, 322, 323A, 328, 329, 348, 349, 352, 354, 356, 357, 358, 361, 361C, 361D, 362, 362A, 373, 375, 378, 441, 442, 456–463, 463A–463I, 466 - CTA 2009 Part 6: ss 477–486E (esp. ss 479, 486A–486E); Part 7: ss 570–710 (esp. ss 573, 574, 576, 577, 579, 589, 595, 597) - CTA 2010 Part 5 (s 99), Part 5A, Part 7ZA; s 1172 - TIOPA 2010 s 164A (UK-to-UK exemption, FA 2026 Sch 6); Part 10 (CIR, s 377 ordering) - ITA 2007 ss 874, 882 - FA 2015 s 25 (omission of ss 374, 377); F(No.2)A 2015 (ss 361C, 361D, s 322 condition E) - FA 2026 ss 5–6 (22% from 2027/28) - SI 2004/3256 (Disregard Regulations) regs 3, 4, 6, 6A, 7, 8, 9 (9A revoked by SI 2015/1961)

HMRC guidance (guidance, not law) - CFM35570, CFM35580 (ss 361D, 362A); CFM33191 ff (s 322(5B)); CFM32050 (deficit claims); CFM38167 (unallowable purpose case law); CFM41020 (relevant non-lending relationships); CFM57040, CFM57075, CFM57360, CFM57370, CFM57371 (hedging); CFM76010

Cases - *Fidex Ltd v HMRC* [2016] EWCA Civ 385 - *Greene King plc v HMRC* [2016] EWCA Civ 782 - *Union Castle Mail Steamship Co Ltd v HMRC* [2020] EWCA Civ 547 - *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 - *Kwik-Fit Group Ltd v HMRC* [2024] EWCA Civ 434 - *JTI Acquisition Company (2011) Ltd v HMRC* [2024] EWCA Civ 652 - *Syngenta Holdings Ltd v HMRC* [2024] UKFTT 998 (TC); permission [2025] UKUT 338 (TCC) (pending)

Chapter thirteen: Companies with investment business.

Two and a half million pounds of advice.

On 16 July 2024 the Supreme Court gave judgment in a case about a bundle of invoices. The company was Centrica Overseas Holdings Ltd, the overseas investment arm of the energy group Centrica. In 2005 the group had bought Oxxio, a Dutch energy supplier. The investment failed. By mid-2009 Centrica had resolved to sell Oxxio, and it instructed advisers to make it happen. Deutsche Bank, PwC and the Dutch law firm De Brauw worked on the disposal, which completed in March 2011. Their fees, paid between July 2009 and March 2011, came to £2,529,697.

The holding company claimed those fees as expenses of management. HMRC refused. The case climbed through every tier of the tribunals and courts. Five Justices decided it in the end: Lord Hodge (Deputy President), Lord Stephens, Lady Rose, Lord Richards and Lady Simler. By then everyone accepted that the fees were expenses of management. But the Supreme Court held that they were also capital, so nothing could be deducted (*Centrica Overseas Holdings Ltd v HMRC* [2024] UKSC 25).

That outcome holds the whole of this chapter in miniature. A company that holds investments, rather than trading, gets a special deduction for the cost of running itself. But the deduction has edges. It stops at capital. It stops at costs that belong to someone else's trade. It stops at expenses the company cannot use, and it can be frozen when the company changes hands. The question for this chapter: **when the parent of a large group spends money, which of its costs does the tax system recognise, and when?**

This is chapter 13, the last but one chapter of Part Two (measuring profit). Companies with investment business are **core (grade 1)** on the LCG Advanced Technical paper, and so is change in company ownership. *The Living Law* (TKS), chapter 11, drew the line between trading and investing. Here we take the investing side to Advanced Technical depth. Throughout, the law is that for **FY2026**, under Finance Act 2026.

A business of making investments.

The relief belongs to a **company with investment business**. CTA 2009 s 1218B defines it as “any company whose business consists wholly or partly in the making of investments”. Credit unions are excluded.

“Wholly or partly” matters, and it is newer than it looks. Before 1 April 2004 the relief belonged only to an *investment company*, whose business consisted wholly or mainly of making investments. FA 2004 relaxed that test. HMRC's manual (CTM08040) explains that the change helped “hybrid companies”, which held investments but could not claim because they also ran a substantial trade. Since then one company can be both a trader and an investor: its trade is taxed under the trading rules, and the costs of managing its investment business are management expenses.

Who has an investment business in practice? The parent of a group almost always does: holding and managing shares in subsidiaries is making investments. A property company that lets buildings rather than dealing in them is another example; so is a company holding a portfolio of shares or bonds. HMRC's manual (CTM08060) sorts parent companies into those whose

income is only dividends, interest and rents from subsidiaries, those whose income also includes management charges, and hybrids that also trade.

Our invented group, Tarnmoor. Everything about it is invented for teaching. Its parent, **Tarnmoor plc (TPLC)**, is listed in London, widely held, with its head office in Leeds. It does not trade. It owns the shares in the group's companies, borrows on a bank revolving credit facility (RCF), holds 12% of Coldwater Instruments plc (AIM-quoted), and provides head office services to its overseas subsidiary **Tarnmoor Vallaria SA (TVS)** in the invented country of Vallaria. It is the group's main company with investment business. A second is **Tarnmoor Estates Ltd (TES)**, the property company, which owns sites and lets them, mostly to group companies.

The trading companies sit beside them: **Tarnmoor Engineering Ltd (TEL)** (valves, actuators, pumps) and **Calder Valve Engineering Ltd (CVE)**, bought on 1 April GY1. Their costs are deducted under the trading rules (CTA 2009 ss 53–54). Nothing in this chapter applies to a cost of their trades.

Recognising the investment business is the first mark in any question about a parent company. The examiners reported after the **May 2024** sitting (Q1) that most candidates did not identify that the company had an investment business at all.

Why the relief exists.

Imagine an orchestra. The conductor plays no instrument, yet without the conductor the music falls apart, and the conductor's fee is a real cost of the concert. A holding company is the conductor: it makes no product, but owns, directs and finances the companies that do.

The tax system has a structural gap. Corporation tax charges income under separate heads: trading profits, property income and loan relationships each have their own computation and deductions; dividends from subsidiaries are usually exempt (CTA 2009 Part 9A). The cost of running a non-trading company (its board, listing, finance team, audit) belongs to none of those heads. Without a special rule it would vanish. Management expenses relief fills the gap.

The rule (CTA 2009 s 1219). Expenses of management of the company's investment business, so far as referable to the accounting period, are deducted **from total profits**: not just from investment income, but from all the company's profits for the period.

Priority (s 1219(1A)). Current-period management expenses are deducted **before any other deduction** at Step 2 of CTA 2010 s 4(2): ahead of brought-forward losses, qualifying charitable donations and group relief claimed. In a computation, show them as the first deduction from total profits, with the authority beside them.

Exempt dividends do not reduce the deduction. Many people assume a parent cannot deduct the costs of holding shares that pay exempt dividends. Section 1222 does reduce the deduction by income from a source not charged to tax, but s 1222(4) carves out "exempt ABGH distributions" (distributions within paras A, B, G or H of CTA 2010 s 1000(1) that are exempt under Part 9A). So TPLC's exempt dividends from its subsidiaries do not reduce its management expenses. Parliament has chosen to relieve the cost of holding investments even when the income they produce is exempt.

What counts as an expense of management.

Misconception: "a holding company's costs are all deductible management expenses." They are not. The statute gives no definition; the courts and HMRC's manual fill it in, and three ideas do most of the work.

1. **A cost of managing the company's own investment business, not of buying or selling a particular investment.** On the authority of *Capital and National Trust Ltd v Golder* and *Sun Life Assurance Society v Davidson*, which HMRC's manual still cites (CTM08190), brokerage and stamp duty on changing investments are not expenses of management: they are part of the price.
2. **The company's own business, not a subsidiary's trade.** CTM08180: a holding company gets no special position because it belongs to a group; its deductible costs are those of managing its own investments, not of running its subsidiaries' trades.
3. **Not every corporate cost is a cost of managing investments.** In *Dawsongroup plc v HMRC* [2010] EWHC 1061 (Ch) (Mann J, 11 May 2010) the company, having floated 25% of its shares in 1988, decided in 2000 to delist. The costs (just over £433,000) were held not to be expenses of management. (Reports differ on the judge's view of whether Dawsongroup was an investment company at all; both versions agree on the result.)

HMRC's 2025 letter campaign. HMRC sent "one-to-many" letters to agents in the week beginning 15 September 2025 and to companies from the week beginning 29 September 2025, aimed at large-business UK holding companies of overseas subsidiaries that claim management expenses (CIOT summary; Deloitte, KPMG and Saffery commentary). As advisers report it, **HMRC's view** is that "shareholder costs" are management expenses (unless capital), but costs that serve a subsidiary's business are not, unless the subsidiary is recharged on arm's length terms.

That is exactly TPLC's position in our invented case.

Worked example 13.1: TPLC's management expenses, GY1 (invented)

Component	£
Cost of services provided to TVS (group purchasing, engineering standards, IT support)	2,000,000
Strategic review of acquisition targets (pre-decision; see 13.2)	300,000
Other head office costs (board, listing, investor relations, group finance and tax, plc audit)	5,700,000
Management expenses, GY1	8,000,000

TPLC charged TVS **£1,600,000**. Transfer pricing (chapter 27) requires an arm's length charge of cost + 5% = **£2,100,000**, so TPLC's income is adjusted upwards by **£500,000** (CT £125,000). With the recharge at arm's length, the £2,000,000 of service costs can stay in management expenses, matched by £2,100,000 of taxable income.

The capital line.

For accounting periods beginning on or after **1 April 2004** the law says expenses of a capital nature are not expenses of management (now s 1219(3)(a)). That exclusion was first enacted by **FA 2004 s 38**, as the Supreme Court recorded in *Centrica* (para 18).

Before that date there was no express exclusion. In *Camas plc v Atkinson* [2004] EWCA Civ 541, on the earlier law, the costs of an abortive bid for another company were treated as expenses of management, because they were spent in deciding whether

to acquire. HMRC's manual (CTM08250) accepts that for periods up to 31 March 2004 capital expenditure could qualify if it was an expense of management. The capital exclusion closed that door for later periods.

That left the question *Centrica* answered: what does "capital" mean for a company with no trade? The Upper Tribunal had found the Oxxio fees to be revenue, partly because, when they were incurred, nobody could be sure a sale would happen. The Court of Appeal allowed HMRC's appeal, and the Supreme Court dismissed the company's appeal.

The holding to remember. The courts have held that the capital test in s 1219(3)(a) is the **same as the test for a trader's expenses under s 53**: a question of law applied to the facts. As commentators summarise the reasoning, the acquisition or disposal of an identifiable asset with an enduring benefit is a strong indication of capital, and money spent to dispose of a capital asset is generally capital itself. The uncertainty of a sale does not turn disposal costs into revenue.

Where does management stop and capital start? HMRC's manual (CTM08260) gives the working line: expenditure on appraising and investigating investments will in general be revenue, but the appraisal eventually reaches the stage where the company decides which companies, if any, it is seeking to acquire. HMRC's view (CTM08190) is that costs do not become acquisition costs until, **at the earliest, the date of the decision** to acquire. *Centrica* applied the same thinking to a sale: once *Centrica* had decided to sell an identifiable asset, the fees of selling it were capital.

The decision is not a magic date. It is evidence of what the money was spent on. A cost incurred after the decision, on the deal itself, is capital. A cost incurred before it, choosing between options, is more likely to be revenue. A cost that straddles the two must be looked at for what it actually bought.

Drawing the line at Tarnmoor.

In our invented case TPLC bought Calder on 1 April GY1 for £32.0m. The tax team, led by the group head of tax, Tom Hesketh, had to sort £1.2m of advisers' fees.

Worked example 13.2: Calder deal costs in TPLC (invented; the boundary is the book's application of *Centrica* and CTM08190/08260)

Cost	When	Treatment	Authority	£
Strategic review: market mapping, long-list screening (Calder one of many; no target chosen)	January GY1	Revenue: expense of management	s 1219; CTM08260	300,000
<i>Board minute: decision to make an offer for Calder</i>	<i>3 February GY1</i>			
Financial and tax due diligence	after 3 Feb	Capital: excluded	s 1219(3)(a); <i>Centrica</i>	450,000
Legal: sale and purchase agreement	after 3 Feb	Capital: excluded	as above	300,000
Corporate finance adviser	after 3 Feb	Capital: excluded	as above	150,000

Cost	When	Treatment	Authority	£
Total advisers' fees				1,200,000
of which deductible as management expenses				300,000
of which capital (excluded)				900,000

Two further deal costs take other routes: - **Stamp duty £160,000** on the Calder shares: part of the price (like brokerage in *Sun Life*); not a management expense. - **RCF arrangement fee £300,000**: a **loan relationship debit** (CTA 2009 s 306A), recognised as the accounts amortise it (chapter 12). Section 1219(3)(b) bars a management expense deduction for anything deductible elsewhere.

TPLC's management expenses for GY1: **£8,000,000** (after excluding the £900,000; including the £300,000).

Does capital mean lost? Not quite. Some of the £900,000 may be incidental costs of acquiring the Calder shares (TCGA 1992 s 38). But if TPLC ever sold Calder, the substantial shareholding exemption would very likely make the gain exempt and the base cost irrelevant. As practitioners noted after *Centrica*, where the SSE applies, capital deal costs usually get no relief at all.

The facts carried the analysis: the board minute of 3 February fixed the turning point, and the consultants' invoices showed that the review was about the market, not Calder. Without those papers HMRC could argue that the review was the first step of the Calder deal.

Other gates, and deemed expenses.

Passing the capital test is not enough. Each of these gates is an examiner favourite.

Gate	Rule	Reference
Overlap	No deduction for amounts deductible in computing profits under another provision: interest and loan fees are loan relationship debits; a property company's repairs and agents' fees are property business expenses. TES deducts its buildings' running costs against its rents; only its company-level costs (board, audit) are management expenses	s 1219(3)(b)
Unallowable purpose	No deduction for expenses referable to an investment held for an unallowable purpose (not a business or commercial purpose of the company, including tax-advantage arrangements, or held for activities outside the CT charge); just and reasonable apportionment	s 1220
Timing	Referable to the AP in which debited in GAAP-compliant accounts (time-apportioned if the period of account differs)	ss 1224–1227

Gate	Rule	Reference
Clawback	A credit reversing a deducted expense (for example a released provision) first reduces that period's management expenses; any balance is taxed as income	s 1229
Mirror restrictions	Unpaid remuneration (deductible when paid if not paid within 9 months of the period end); car hire; expenses connected with tax avoidance	ss 1248–1251

Picture the year-end cost ledger as a hall with several doors: capital, overlap, purpose, timing. Only what walks through every one of them is an expense of management.

Deemed management expenses (Part 16 Ch 3). Some items are treated as management expenses whatever their nature. - **Excess capital allowances (s 1233).** Managing the business of a company with investment business is a qualifying activity (CAA 2001 s 15(1)(g); for SBA s 270CA(f)). Allowances are first set against the investment business's income (CAA 2001 s 253(2)); so far as they cannot be, s 1233 treats them as management expenses of the period for which the company is entitled to them. So TPLC's allowances on head office computers and furniture end up with the priority and flexibility of management expenses. - **Other deemed items** mirror trading deductions: payments for restrictive undertakings, seconded staff, payroll giving costs, counselling and retraining, redundancy payments (ss 1239–1243), contributions to local enterprise organisations and flood defence, and certain levies.

Charitable donations. A trading company's excess qualifying charitable donations die at the end of the period. A company with investment business can carry forward unrelieved donations made for the investment business as management expenses of the next period (s 1223).

When expenses outrun income.

A parent's management expenses usually exceed its taxable income. In GY1 TPLC's only taxable income is the £2.1m arm's length recharge. Its £8.0m of management expenses come off total profits first, wiping out the £2.1m and leaving **£5.9m** unused.

The obvious user of the surplus is TEL, which pays 25%. Group relief lets a parent surrender current-period management expenses (CTA 2010 s 99(1)(f)); chapter 15 teaches the mechanics. Here the question is **how much is available**.

The profit-related threshold (CTA 2010 s 105). Management expenses are one of the "relevant amounts" in s 99(1)(d)–(g) (with QCDs, UK property business losses and non-trading intangibles losses). They can be surrendered only so far as their total exceeds the surrendering company's **profit-related threshold**, and only the excess may be surrendered (s 105(2)–(3)). For surrender periods ending on or after 20 March 2013 (FA 2013), the threshold (s 105(3A)) is the sum of: - the company's **gross profits** of the period (broadly its profits ignoring trading losses, excess CAs, NTLR deficits, property losses, management expenses, QCDs and non-trading intangibles losses of the period, and amounts from other periods: s 105(5); CTM80142); and - any **CFC chargeable profits apportioned** to it under step 3 of TIOPA 2010 s 371BC where it is a chargeable company at step 4.

TPLC's Marrovia finance company, **Tarnmoor Capital Ltd (TCM)** (invented country), is a CFC (chapter 26). Each year GY1–GY4, **£825,000** of its chargeable profits (25% of £3.3m, after the Ch 9 exemption) is apportioned to TPLC.

And there is no escape against the CFC charge: TIOPA 2010 s 371UD (relief against the sum charged) was **omitted by F(No.2)A 2015 s 36** for CFC accounting periods beginning on or after 8 July 2015. So TPLC's management expenses can neither shelter the CFC charge nor be surrendered up to the amount of the apportionment.

Worked example 13.3: TPLC, GY1: management expenses, surplus and group relief (£; invented)

	£
Recharge income from TVS as charged	1,600,000
Transfer pricing adjustment to arm's length (cost + 5%)	500,000
Recharge income (non-trading; see Going further)	2,100,000
Dividends from subsidiaries: exempt (CTA 2009 Part 9A); do not reduce management expenses (s 1222(4))	exempt
Non-trading loan relationships: debits £8,800,000 (TFL interest £7,200,000; RCF interest £1,350,000; fee £250,000) less CIR disallowance £2,210,000 = deficit £6,590,000 (surrenderable in full; chapters 12, 28)	—
Total profits	2,100,000
Less: management expenses of GY1 (first deduction, s 1219(1A)), £8,000,000, used to	(2,100,000)
Taxable total profits	nil

Surrenderable management expenses (s 105)

	£
Management expenses of GY1 (relevant amounts)	8,000,000
Gross profits	2,100,000
CFC chargeable profits apportioned from TCM	825,000
Profit-related threshold	(2,925,000)
Maximum surrender to TEL	5,075,000
Excess over gross profits	5,900,000
Carried forward as surplus management expenses (s 1223)	825,000

Check: 2,100,000 used + 5,075,000 surrendered + 825,000 carried forward = 8,000,000. Cost of the trap: £825,000 × 25% = **£206,250** of relief a year that the group may never obtain (see “Carrying the surplus forward”).

GY2: management expenses £8,500,000; arm's length recharge £2,200,000; excess over gross profits £6,300,000; threshold £2,200,000 + £825,000 = £3,025,000; **maximum surrender £5,475,000**; £825,000 carried forward. (NTLR deficit £7,670,000 surrendered separately.)

With these caps, and its other group and consortium relief, TEL's TTP is **£10,535,000** in GY1 and **£8,905,000** in GY2 (chapter 7 builds the GY2 computation).

Carrying the surplus forward.

Surplus management expenses do not die. Section 1223 carries them forward as management expenses of the next AP. Since the 2017 loss reform, three conditions apply that current-period expenses do not have (s 1223(3B)–(3E)):

1. **A claim** is needed, within 2 years after the end of the later AP; the claim may be partial.
2. **No priority**: carried-forward amounts lose the s 1219(1A) first place and queue with other brought-forward losses.
3. **The loss restriction** (CTA 2010 Part 7ZA, s 269ZD): carried-forward amounts can relieve only the **£5m deductions allowance** plus **50%** of relevant profits above it, counted together with carried-forward trading losses, deficits and capital losses. Chapter 14 covers the group's single allowance and its nomination.

Group route: carried-forward management expenses from APs beginning on or after 1 April 2017 can be surrendered under the rules for group relief for carried-forward losses (CTA 2010 Part 5A; s 1223(3A)), taught in chapter 15.

For TPLC, that route is closed on this book's reading. HMRC's guidance (CTM82030, on CTA 2010 s 188BE) says a company may not surrender carried-forward losses under Part 5A so far as it could deduct them from its own total profits. TPLC's recharge income can always absorb carried-forward expenses, but using them there only displaces current expenses that the s 105 cap then traps. So TPLC's carried-forward management expenses are **stranded**: cumulative **£825,000** (end GY1), **£1,650,000** (GY2), **£2,475,000** (GY3) and **£3,300,000** (GY4), plus a further **£1,275,000** in GY5 if TPLC's excess still exceeds the threshold. No deferred tax asset is recognised on them (chapter 6).

Exam lens: management expenses and the surplus - Grade: companies with investment businesses, **core (1)** (2026 grid; check the 2027 grid when published). - **Past appearances**: **M23 Q6** (10 marks: acquisition costs: due diligence, legal fees, a loan arrangement fee, compensation for loss of office, retention bonuses; generally good, but some missed the loan relationship treatment of the arrangement fee); **M24 Q1** (20 marks, 5/11/4: a UK parent's administrative expenses, capital costs of a share sale, then CIR; "most did not identify that the company had an investment business"); **M25 Q5** (20 marks: share disposals by an investment company, SSE, pooling, share exchange base cost); **M26 Q4** (20 marks: an investment company landlord with a loss-making trading subsidiary, lease grant, group relief, £5m allowance; keep £ and £000 consistent). - **Style**: "Calculate, with explanations"; 0.5–1 mark per point; technical prose and computation, no letter format. - **Traps**: deducting post-decision capital deal costs; deducting brokerage or stamp duty; deducting finance fees as management expenses instead of loan relationship debits; forgetting that current management expenses come off total profits **first**; forgetting the **claim** and the **50% restriction** on carried-forward amounts; treating the whole excess over own profits as surrenderable when the s 105 threshold (including any CFC apportionment) limits it; reducing management expenses for exempt dividends. - **Layout**: income by type (exempt dividends shown as exempt) → management expenses as the first relief, with a one-line reason for each exclusion → surplus → threshold → amount available for group relief → amount carried forward.

When the owner changes.

Carried-forward reliefs have value, and value attracts buyers. If a company with surplus management expenses could be bought, its business replaced by a profitable one, and the old expenses set against new profits, the tax system would be selling relief. **CTA 2010 Part 14 Chapter 3 (ss 677–691)** stops that.

Change in ownership (s 719): Condition A, one person acquires more than half the ordinary share capital; Condition B, two or more persons each acquire at least 5% and together more than half; Condition C, two or more persons acquire holdings together more than half, ignoring holdings under 5% unless they are top-ups. Indirect ownership counts (s 723); the insertion of a new holding company is disregarded (s 724A).

The three conditions (s 677). Chapter 3 applies on a change in ownership of a company with investment business if:

Condition	Test
A: significant increase in capital (ss 688–691)	Amount B exceeds amount A by at least £1m and is at least 125% of amount A (both; the “or twice” alternative applied only to changes before 1 April 2014). Amount A: the lower of capital immediately before the change and the highest 60-day minimum amount in the year before it (s 689). Amount B: the highest 60-day minimum amount in the post-change period (s 690; HMRC’s manual CTM08750 says five years, formerly three). Capital: paid-up share capital (including share premium), certain outstanding debts and redeemable loan capital (s 691)
B: major change	A major change in the nature or conduct of the business within the 8 years beginning 3 years before the change (including a major change in the nature of investments held, even if gradual)
C: small or negligible	The change occurs while the business is small or negligible, before a significant revival

Effect. The AP is split notionally at the change (s 678). Pre-change management expenses, non-trading LR deficits and debits, non-trading intangibles losses and property losses cannot be carried forward against post-change profits (ss 679–684), with apportionment under s 685; excess capital allowances treated as management expenses are caught too (s 682(4)). Chapter 2A (post-1 April 2017 reliefs; “major change in the business”) does not apply where Chapter 3 (or Chapter 2) can apply instead (s 676AB; CTM06775); it is taught with the trading company rules in chapter 14.

Worked example 13.4: the capital test (labelled hypotheticals, not story facts)

	Case 1 (£)	Case 2 (£)
Amount A (capital before)	4,000,000	50,000,000
Amount B (capital after)	5,500,000	60,000,000
Increase	1,500,000	10,000,000
B as % of A	137.5%	120.0%
At least £1m?	yes	yes
At least 125%?	yes	no
Significant increase?	yes	no

Case 2 shows why the 125% limb matters for a large company: a £10m increase is not significant on a £50m base.

A labelled hypothetical (not part of the story). Suppose an activist investor bought more than half of TPLC's shares (a change in ownership under s 719 Condition A). Suppose TPLC was then carrying forward £2m of surplus management expenses, and within the window the new owner sold the engineering subsidiaries and turned TPLC into the holder of a property portfolio: a major change in the nature of its investments (Condition B). The £2m could not be used against post-change profits. For a listed parent with a large capital base, Condition A is hard to trigger (Case 2); Condition B is the realistic risk.

Exam lens: investment company change of ownership - Grade: change in company ownership, **core (1).** - **Past appearances:** M24 Q3(b) tested a major change after a change of ownership (trading company; chapter 14). No M23–M26 question isolated Part 14 Ch 3, but it sits naturally in an acquisition question about a holding or property company. - **Traps:** the capital test needs **both** £1m **and** 125%; the major change window is **8 years beginning 3 years before** (not the 5-year trading window); check the s 719 definition (more than half; 5% holdings aggregated).

Going further.

Going further: the tax function's tasks - Record the decision. The *Centrica* boundary turns on what the money was spent on. A board minute fixing when the group decided to pursue a specific target, and engagement letters that separate the strategic review from the deal, are the best evidence. Tom Hesketh's team asks for both at the start of every project. - **Price the recharges.** After HMRC's 2025 letter campaign, check that costs serving subsidiaries (especially overseas ones) are recharged at arm's length and documented under the transfer pricing records rules (SI 2023/818; chapter 27). Otherwise the costs fall out of management expenses, and a transfer pricing adjustment may still follow. - **Characterise the recharge income.** The book treats TPLC's recharge as non-trading income (income not otherwise charged, CTA 2009 s 979), with the service costs inside management expenses. If HMRC argued that TPLC trades in providing services, the £2.0m of costs would move into a trading computation (trading profit £100,000; management expenses £6.0m). The surrenderable amount would be unchanged: threshold £100,000 + £825,000 = £925,000; £6,000,000 – £925,000 = **£5,075,000**; £825,000 carried forward. - **Map the surplus.** Calculate the s 105 threshold, including any CFC apportionment, before deciding the surrender, and keep the calculation in the same working paper as the group relief schedule. Over-surrendering means a reduced claim, more tax for the claimant and interest. - **Keep a register** of carried-forward management expenses with the 2-year claim deadlines and the Part 14 windows. - **Deferred tax.** Carried-forward management expenses work like unused tax losses: a deferred tax asset is recognised only so far as future taxable profits (including group relief) make recovery probable (chapter 6). - **Interaction.** For CIR, each company's tax-EBITDA includes its current-period management expenses but not brought-forward amounts (TIOPA 2010 ss 405–407), which is why TPLC's tax-EBITDA is negative (–£5.9m in GY1; chapter 28). An arguable capital/revenue position may need an uncertain tax treatment notification if it crosses the £5m threshold (chapter 4).

How the examiner tests it.

The topic appears often but quietly: four papers in a row (M23 Q6, M24 Q1, M25 Q5, M26 Q4; details in the Exam lens boxes above). The investment company rarely appears on its own. It arrives as the parent in a group relief question, the landlord in a property question, or the seller in an SSE question. The management expenses marks are often the easy marks hidden inside a

bigger question: bank them first. Keep the whole table in £ or the whole table in £000; the examiners warned about mixing them after the May 2026 sitting.

What to take away.

- A **company with investment business** is any company whose business consists wholly or partly in making investments (s 1218B). Since 1 April 2004 that includes a company that also trades. Group parents and property letting companies are the classic examples.
- **Management expenses** of the investment business are deducted from **total profits**, and current-period expenses come **first** (s 1219(1A)). Exempt dividends do not reduce them (s 1222(4)).
- An expense of management is a cost of managing the company's **own** investment business: not brokerage or stamp duty, not a subsidiary's trade, not a cost deductible elsewhere.
- **Capital is excluded** (s 1219(3)(a), FA 2004 s 38). *Centrica* [2024] UKSC 25: the capital test is the trader's test; £2,529,697 of Oxxio disposal fees were capital. HMRC's view: appraisal is revenue; acquisition costs begin, at the earliest, at the decision to acquire. Record that decision.
- In our invented case TPLC allowed **£300,000** of strategic review costs and excluded **£900,000** of post-decision Calder deal costs. Management expenses: **£8.0m** (GY1), **£8.5m** (GY2).
- Other gates: unallowable purpose (s 1220), accounts timing (s 1225), clawback (s 1229), 9-month remuneration rule. Excess CAs on head office assets become management expenses (s 1233); an investment business's excess QCDs can be carried forward.
- Surplus can be group-relieved only above the **profit-related threshold**: gross profits **plus apportioned CFC profits** (s 105(3A)). TPLC: excess over gross profits £5.9m, but only **£5,075,000** to TEL; **£825,000** carried forward (stranded).
- Carried-forward management expenses need a **claim within 2 years**, lose priority, and sit within the **£5m allowance and 50% restriction**; post-2017 amounts can go via **Part 5A**, but not where the company could deduct them itself (s 188BE, HMRC's view): TPLC's are stranded.
- After a **change in ownership**, pre-change management expenses are lost if there is a **significant increase in capital** ($\geq$ **£1m and $\geq 125\%$**), a **major change within 8 years beginning 3 years before**, or a change while the business is **small or negligible** (Part 14 Ch 3).

The question was which of a parent's costs the tax system recognises, and when. The answer: the costs of running its own investments, judged as a trader's would be, used first, and used fully only if the company keeps its business and remembers its claims.

Next, chapter 14 turns from the parent's surplus to the losses of the trading companies, and to what happens to them when a company is bought.

Key rules and figures

Rule	Figure or test	Reference
Company with investment business	Business consists wholly or partly in making investments	CTA 2009 s 1218B
Relief	Deduct from total profits; current period first	s 1219(1), (1A); CTA 2010 s 4(2)

Rule	Figure or test	Reference
Capital exclusion	APs beginning on or after 1 April 2004; trader's test	s 1219(3)(a); FA 2004 s 38; <i>Centrica</i>
Amounts deductible elsewhere	Not management expenses	s 1219(3)(b)
Unallowable purpose	Just and reasonable apportionment	s 1220
Non-taxed income	Reduces deduction; exempt ABGH distributions excluded	s 1222
Timing / clawback	Debited in GAAP accounts / reversing credits	ss 1225, 1229
Excess capital allowances	Treated as management expenses	s 1233; CAA 2001 ss 15(1)(g), 253
Carry forward	Claim within 2 years; no priority; partial claims allowed	s 1223(3B)–(3E)
Loss restriction	£5m allowance + 50%	CTA 2010 Part 7ZA
Group relief cap	Excess over gross profits + apportioned CFC profits	CTA 2010 s 105(3A)
No relief against CFC charge	s 371UD omitted (CFC APs beginning on or after 8 July 2015)	F(No.2)A 2015 s 36
Change of ownership	> 50% (s 719); capital $\geq$ £1m and $\geq$ 125%; major change within 8 years beginning 3 years before; small or negligible	CTA 2010 ss 677–691, 719
TPLC GY1 (invented)	ME £8.0m; income £2.1m; surrender £5,075,000; c/f £825,000 (stranded)	—
TPLC GY2 (invented)	ME £8.5m; income £2.2m; surrender £5,475,000; c/f £825,000 (stranded; cumulative £1,650,000)	—

Statutory and case references

- CTA 2009 Part 16: ss 1218B, 1219, 1220, 1222, 1223, 1224–1229, 1233, 1239–1243, 1248–1251; ss 53, 307, 979; Part 9A.
- CTA 2010: s 4; ss 99, 105 (including s 105(3A), (5)); Part 5A (s 188BE); Part 7ZA (s 269ZD); Part 14 Ch 3 (ss 677–691), ss 719, 723, 724A; s 1000(1).
- CAA 2001 ss 15(1)(g), 253, 270CA(f).
- TIOPA 2010 s 371BC; s 371UD (omitted by F(No.2)A 2015 s 36).
- FA 2004 s 38.
- *Centrica Overseas Holdings Ltd v HMRC* [2024] UKSC 25 (16 July 2024).
- *Camas plc v Atkinson* [2004] EWCA Civ 541.
- *Dawsongroup plc v HMRC* [2010] EWHC 1061 (Ch).
- *Capital and National Trust Ltd v Golder; Sun Life Assurance Society v Davidson* (as cited in CTM08190).
- HMRC manuals: CTM08040, CTM08060, CTM08180, CTM08190, CTM08250, CTM08260, CTM08580, CTM08750, CTM80110, CTM80142, CTM82030.

Chapter fourteen: Losses in the larger company

On 1 July GY2, Tarnmoor plc completed its purchase of Brackenwell Sensors Ltd. Tarnmoor, its companies, its people and its numbers are invented for teaching, as they are throughout this book. Brackenwell was a young developer of industrial sensors, founded by Dr Asha Varma, and it had never made a profit. In the data room sat a schedule headed “tax losses available”. The total at the bottom was £8.6m.

At the main rate of 25%, £8.6m of losses looks like £2.15m of tax that will never have to be paid. The sellers’ advisers were happy for the buyer to see it that way. Tarnmoor’s group head of tax, Tom Hesketh, wrote two words in the margin of his copy: *value at nil*.

This chapter explains why he was right, and what a large group can and cannot do with a loss. It is the last chapter of Part Two. Loss relief, change in company ownership and companies in liquidation or administration are all **core (grade 1)** on the LCG grid; tax avoidance involving carried-forward losses (Part 14B) is **non-core (grade 2)**. The chapter builds on *The Living Law* (TKS), chapter 22, which taught the single-company rules. Here we take them to Advanced Technical depth and into the group.

Most of the law is in the Corporation Tax Act 2010 (CTA 2010), with a few rules in the Corporation Tax Act 2009 (CTA 2009) and one in the Taxation of Chargeable Gains Act 1992 (TCGA 1992). We apply the law for FY2026. Finance Act 2026 made no change to the loss reliefs, Part 5A, Part 7ZA or Part 14, so the framework here is stable.

The 2017 bargain

Every loss rule in this chapter makes more sense once you see the deal that shaped it. Before April 2017, a company’s carried-forward trading loss was a narrow thing. It could only be set against future profits of the same trade (CTA 2010 s 45). It could not be used against interest income or gains. It could not be passed to another group company: group relief was for current-year losses only.

In return for that narrowness, the old rules had no general cap outside banking. A company with £100m of old trading losses could wipe out £100m of later trading profits in a single year.

The reform that took effect on 1 April 2017, legislated in the Finance (No. 2) Act 2017, turned both dials at once:

- **Relaxation.** Losses arising in accounting periods beginning on or after 1 April 2017 can be carried forward against **total profits** (s 45A), not just the same trade, and can be **surrendered to group companies** in later years (Part 5A, group relief for carried-forward losses).
- **Restriction.** Above a **£5m deductions allowance**, carried-forward losses can shelter only **50%** of a company’s profits (Part 7ZA).
- **Tighter loss-buying rules.** The change in ownership rules were widened: the window for a major change in a trade grew from 3 years to 5, and for investment businesses to 8 (Part 14 Chs 2 and 3), and new chapters (2A to 2E) were added.

The logic of the restriction is easy to see. Without it, a large company returning to profit after heavy losses could pay no corporation tax for years. With it, a profitable large company pays some tax every year, while companies whose profits rarely exceed £5m are largely untouched.

Think of carried-forward losses as credit sitting in a bank account. After 2017 you can spend that credit in more shops. But the bank now limits how much a large customer can withdraw in any one year. And if the account changes hands and the business behind it changes, the bank freezes the account. The rest of the chapter is the fine print on each of those three features.

For the exam, almost every loss you meet arose after April 2017. It is therefore a **flexible** loss (total profits, group surrender), a **restricted** loss (Part 7ZA) and a **fragile** loss (Part 14). The examiner tests all three properties together.

Relief now, in the current year and the year before

The first question for any trading loss is whether it can be used now. **CTA 2010 s 37** lets a company set a trading loss against its **total profits** (trading profits, interest, rents, chargeable gains) of the same accounting period and, if the loss exceeds them, carry the balance back against total profits of accounting periods falling within the **previous 12 months**.

Three features catch candidates:

- 1. **Current year first.** The carry-back is available only after the current-year claim; you cannot skip the loss year.
- 2. **All or nothing.** Within each period the relief is the maximum available; you cannot use only part of the loss to leave profits in charge.
- 3. **Straddling periods.** Where an earlier period falls only partly within the 12 months, its profits are time-apportioned and only the part inside the window is relievable.

Section 37 relief is **not restricted by Part 7ZA**. A current-year claim and a 12-month carry-back are unlimited in amount, which is why a tax function looks at them first.

The temporary three-year carry-back of the pandemic years has **expired**. The examiners reported after November 2023 (Q4) that many candidates still thought it applied. For FY2026 the trading carry-back is 12 months, except in the terminal year (below).

Other kinds of loss have their own rules, and the differences are a favourite trap:

Amount	Same period	Carry back	Carry forward	Group relief (current year)
Trading loss (post-2017)	Total profits (s 37)	12 months, total profits (s 37)	Total profits by claim within 2 years after the later period, any amount (s 45A)	Yes, in full
NTLR deficit (post-2017; chapter 12)	Total profits (CTA 2009 s 463B)	12 months, NTLR profits only (ss 463E–463F)	Total profits, claim within 2 years after the later period (s 463G)	Yes, in full
Excess management expenses (chapter 13)	Deducted first from total profits (CTA 2009 s 1219)	None	As next period’s expenses, by claim within	Only the excess over the company’s profit-related threshold (gross profits

Amount	Same period	Carry back	Carry forward	Group relief (current year)
			2 years; priority lost (s 1223)	plus apportioned controlled foreign company (CFC) profits)
Capital loss	Gains only	None	Gains only	No (s 171A instead; chapter 17)

One more current-year route matters most of all in a group: the loss-making company can **surrender its current-year loss as group relief** to a company in the same 75% group for the overlapping period (Part 5; chapter 15). Current-year group relief, like s 37, is **outside Part 7ZA**. A pound of loss used now, somewhere in the group, is almost always worth more than a pound carried forward.

Relief later, by carrying forward

What is not used now is carried forward. For losses of periods beginning on or after 1 April 2017, **s 45A** lets the company claim to set the carried-forward loss against its total profits of a later period. The claim can be **for any amount**, so loss can be held in reserve, and it must be made **within 2 years after the end of the period in which the loss is used** (or later if HMRC allows; CTM04135). Unused carried-forward losses can also be surrendered to group companies under **Part 5A** (chapter 15).

The flexible route has exclusions. Where the trade has become small or negligible, or s 37 relief was not available for the loss in the first place (for example an uncommercial trade), the loss falls under **s 45B** and is set **automatically** against later profits of the **same trade** only. Losses of periods before 1 April 2017 follow **s 45**: same trade, automatic. (Since 2017 a company may claim, within the same 2-year limit, that some or all of an s 45 or s 45B loss is **not** used in a period: CTM04135.) *The Living Law*, chapter 22, told *Leekes Ltd v HMRC* [2018] EWCA Civ 1185 on streaming such losses when trades are combined; you need only the outline here.

Other carried-forward amounts follow the same pattern (table above). Capital losses carry forward against chargeable gains only.

Helmside's losses

Helmside Energy Ltd, our invented hydrogen joint venture, was formed on 1 January GY1: Tarnmoor plc (TPLC) 45%, Greyfell Utilities plc 40% (an invented listed utility), Northlight Infrastructure Fund LP 15% (an invented partnership). Most of each year's loss went to the corporate members as consortium relief (chapter 15). The 15% matching Northlight's stake stayed in Helmside, because Northlight is a partnership, not a company, and cannot claim consortium relief.

Worked example 14.1: Helmside's loss memorandum (invented; £000)

	GY1	GY2	GY3	GY4
Trading loss / (profit)	4,000	3,000	1,000	(2,500)
Consortium relief: TEL via TPLC as link company (45%)	(1,800)	(1,350)	(450)	—

	GY1	GY2	GY3	GY4
Consortium relief: Greyfell (40%)	(1,600)	(1,200)	(400)	—
Loss carried forward in Helmside (15%)	600	450	150	—
Cumulative loss carried forward	600	1,050	1,200	—

GY4 computation (£000): trading profit 2,500; less carried-forward losses (s 45A claim) (1,200); TTP before consortium relief **1,300**.

Part 7ZA check: Helmside is owned by a consortium and is not a 75% subsidiary of any company, so it is not in a group for Part 7ZA and has its own £5m deductions allowance. Qualifying profits £2.5m are below £5m, so the relevant maximum equals the profits and the whole £1.2m is deductible. Chapter 15 continues with TPLC's surrender down to Helmside (a full-year ceiling of $45\% \times £1.3\text{m} = £585,000$, cut to £536,250 by the arrangements rules: chapter 15).

The fifty per cent rule

Part 7ZA CTA 2010 (ss 269ZA–269ZZB) is the loss restriction. It applies only to **carried-forward** amounts:

- carried-forward trading losses (ss 45, 45A, 45B);
- carried-forward NTLR deficits;
- carried-forward management expenses;
- carried-forward UK property losses;
- group relief for carried-forward losses (Part 5A) claimed;
- and, from **1 April 2020**, carried-forward capital losses.

The mechanism: each company, or each group, has a **deductions allowance of £5m** for a 12-month period (reduced proportionately for a shorter one). Carried-forward losses can relieve profits up to the allowance in full; above it, only **50%** of the profits. The ceiling is the **relevant maximum**.

HMRC's manual (CTM05030 onwards) builds the calculation in steps:

1. **Modified total profits:** total profits (s 4(2) step 1) with adjustments (for example excluding Part 9A distributions and losses relieved automatically under s 45(4)(b) and s 45B).
2. Deduct **in-year reliefs** (current-year losses, current-year group relief and similar) to give **qualifying profits**.
3. Deduct the **deductions allowance** to give **relevant profits**.
4. **Relevant maximum** = deductions allowance + $50\% \times$ relevant profits.

The company keeps separate tallies for trading profits, non-trading profits and (from April 2020) chargeable gains, and divides its allowance between them (s 269ZB, s 269ZC, s 269ZD; s 269ZF). HMRC's own example: qualifying profits £21m, allowance £5m, relevant profits £16m, relevant maximum £13m (CTM05260).

Worked example 14.2: the restriction (invented; not a Tarnmoor story fact; £000)

	£000
Qualifying profits	14,000
Carried-forward trading losses available	20,000
Deductions allowance	5,000
Relevant profits (14,000 – 5,000)	9,000
Relevant maximum: 5,000 + 50% × 9,000	9,500
Losses deducted (lower of 9,500 and 20,000)	(9,500)
Taxable total profits	4,500
CT at 25%	1,125
Losses carried forward (20,000 – 9,500)	10,500

Three things are **outside** the restriction, and the examiner likes all three: current-year relief (including the s 37 carry-back and current-year group relief); **terminal relief** for carried-forward losses under s 45F; and the fact that the restriction **defers** rather than destroys (unused loss simply carries forward).

Misconception: “a large company can only ever use half its losses.” It cannot use carried-forward losses to cover more than £5m plus half of the excess **in any one year**. Given enough profitable years, every pound of loss can still be used.

One allowance for the whole group

If every company had its own £5m, groups would multiply companies. So a group has **one** £5m **group deductions allowance** (ss 269ZR–269ZV).

The procedure is the trap:

- **Nomination.** The group nominates one company. The nomination must be **signed on behalf of each group company within the charge to CT**. HMRC’s guidance (CTM05180) says it need not be sent to HMRC, but the group must have a compliant nomination and be able to produce it. It continues until replaced by a new nomination, revoked in writing, or the nominated company leaves the group.
- **Group allowance allocation statement (GAAS).** The nominated company files a statement for each of its accounting periods allocating the £5m among members. No member may be given more than £5m (pro rata for short periods). **A member allocated nothing has a deductions allowance of nil** (CTM05140).
- **Deadline.** The GAAS must reach HMRC before the **first anniversary of the filing date** of the nominated company’s return for the period; for periods beginning on or after 1 April 2021 the deadline is the latest of that date and 30 days after the close of an enquiry into, or the final determination of an amendment to, a relevant return (or later if HMRC allows) (CTM05200).
- **No statement, no allowance.** If no GAAS is filed in time, **no company in the group** has any deductions allowance for the period.

In our invented case, every UK company in the Tarnmoor group signed a nomination of **TPLC** with effect from the start of GY1. As a matter of the group's own practice (not a legal requirement), Tom Hesketh has each new member countersign it on joining, so Calder (from 1 April GY1) and Brackenwell (from 1 July GY2) are on the document. Each year TPLC files the GAAS; in **GY1 to GY4 it allocates the whole £5m to Tarnmoor Engineering Ltd (TEL)**.

Notice the timing: the GAAS is filed long after the year end, when the group knows which companies actually need the allowance. **Allocate with hindsight** to the company whose carried-forward losses meet profits above £5m.

Exam lens: loss relief and the deductions allowance

- **Grade:** loss relief 1 (core).
- **Past appearances:** N23 Q4 (20 marks: a loss-making retailer; 12-month carry-back only: many candidates applied the expired three-year rule); M24 Q6 (20: b/f losses and NTLR deficit group relief in a two-company computation: losses well done); N25 Q4 (20 marks, 4/8/8: options to relieve a new subsidiary's trading losses and NTLR deficits; examiners criticised irrelevant payment detail when there were losses); **M26 Q4** (20: b/f losses and the £5m allowance: **no restriction in amount, but a nomination and allocation are still needed**; best answers used group relief to keep profits in the 19% band).
- **Style:** computation plus explanation; 0.5–1 mark per point. Lay out reliefs in statutory order: total profits; current-year claims; carry-back; carried-forward claims within the relevant maximum; group relief; QCDs; TTP.
- **Traps:** the three-year carry-back; carrying an NTLR deficit back against trading profits; carrying management expenses back; forgetting the GAAS; treating the 50% rule as permanent loss; applying the restriction to current-year or carry-back relief; mixing £ and £000.

Deficits and expenses in a group

In a listed group the largest losses are often not trading losses but the holding company's interest and running costs.

Worked example 14.3: TPLC's non-trading amounts, GY1 (invented; £000)

	£000
Interest payable to TFL ($£120\text{m} \times 6\%$)	7,200
RCF interest and amortised arrangement fee ($1,350 + 250$)	1,600
NTLR debits	8,800
Less CIR disallowance allocated to TPLC (chapter 28)	(2,210)
NTLR deficit	6,590
Management expenses (after excluding £0.9m capital deal costs; chapter 13)	8,000
Less recharge income from TVS at arm's length (chapter 27)	(2,100)
Excess over gross profits	5,900

	£000
Less CFC chargeable profits apportioned to TPLC from Tarnmoor Capital Ltd (TCM, the group's Marrovia finance company), part of the profit-related threshold (s 105(3A); chapters 13 and 26)	(825)
Excess management expenses surrenderable	5,075
Carried forward as surplus management expenses (s 1223)	825
Surrendered to TEL as current-year group relief (6,590 + 5,075)	11,665

The options, in the order the examiner expects (N25 Q4 asked exactly this):

- **NTLR deficit:** against TPLC's own total profits of GY1 (none left); carry back 12 months against **NTLR profits** only (none); carry forward against total profits by claim (then within Part 7ZA); or **surrender in full** as current-year group relief, whatever TPLC's own profits.
- **Excess management expenses:** no carry-back; carry forward as next period's management expenses by claim (within Part 7ZA, s 1219(1A) priority lost); or surrender as current-year group relief **only to the extent they exceed TPLC's profit-related threshold, gross profits plus apportioned CFC profits** (CTA 2010 s 105(3A); chapter 15).

Order of events. The CIR comes first. The £2.21m disallowed is not part of the deficit: it is carried forward under TIOPA 2010 Part 10 and can be reactivated later (some of Tarnmoor's was reactivated in GY3, chapter 28).

TPLC surrendered the deficit and the surrenderable management expenses, £11.665m in all, to TEL; the other £825,000 of management expenses carried forward. Current-year group relief is unrestricted and certain; carried forward, the same amounts would face the 50% rule, claim deadlines, and the risk that a later change in ownership would strand them.

Going further: the holding company's deficits. A recurring audit point in large groups is a parent with years of carried-forward NTLR deficits and management expenses that "nobody claimed". Check each year that current-year group relief claims and consents are made (FA 1998 Sch 18 Part 8; chapter 15), that the CIR allocation of disallowed amounts to particular companies (TIOPA 2010 Sch 7A) is chosen with group relief in mind, and that carried-forward balances are tracked for Part 7ZA and Part 14.

Endings and terminal relief

When a trade ends, two special reliefs open up:

- **Terminal loss relief (s 39).** A loss of the **final 12 months** of trading can be carried back against total profits of the **3 years** before, not just 12 months.
- **Terminal relief for carried-forward losses (s 45F).** On cessation, losses carried forward into the terminal period (under s 45, 45A or 45B) and not relieved there can be set against profits of the terminal period and accounting periods falling within the **3 years ending with it** (total profits for s 45A losses; trade profits for s 45 and s 45B losses). It is **unrestricted by Part 7ZA**; it cannot be set against profits of the period in which the loss was made or any earlier

period; it cannot reach any period beginning before **1 April 2017**; the claim is due within **2 years** (CTM04130; FA 2019 Sch 10 refined straddling periods).

Limit. On a transfer of trade under common ownership (CTA 2010 Part 22 Ch 1; chapter 19), the predecessor cannot make a terminal claim under s 39 or s 45F; the losses pass to the successor (CTM06065).

Both are claims, and both reward planning: map the 3-year look-back before fixing a cessation date.

A Tarnmoor point. In GY3 Calder Valve closed its process valves division, the closure that made Dan Hartley redundant on 30 September GY3 (TKS chapter 9 told it from his side). **Closing a division is not ceasing a trade.** Whether a company carries on one trade or several is a question of fact. In our invented case Calder carries on a single engineering trade and continues to trade, so the closure costs are deductible in the ordinary way, but there is no terminal loss and no s 45F claim.

Why buying losses was a business

Imagine a company that has run out of business but kept its tax losses. Its shares are worth almost nothing, except to a buyer with profits. The buyer acquires the shell, feeds profitable activity into it, and the old losses shelter the new profits. The seller gets a price for a corpse; the buyer gets a tax saving; the Exchequer pays for both. That trade in **tax shells** is what the change in ownership rules exist to stop. They have existed in some form for decades and now live in **CTA 2010 Part 14**.

Part 14 chapter	Target	Sections
Ch 2	Trading losses: major change in nature or conduct of trade; small or negligible trade	ss 673–676
Ch 2A	Post-2017 carried-forward losses: major change in the business (wider)	ss 676AA–676AL
Ch 2B, 2D	Gains on assets transferred into the company after the change (pre-change losses; Part 5A)	ss 676BA–676BE; 676DA–676DE
Ch 2C	Part 5A surrender of pre-acquisition losses barred for 5 years	ss 676CA–676CI
Ch 2E	Transfers of trade after a change	ss 676EA–676EE
Ch 3 (chapter 13)	Companies with investment business (significant increase in capital; 8-year window)	ss 677–691
Ch 5A	Shell companies	ss 705A–705G
Ch 6	Recovery of unpaid CT from linked persons	ss 706–718
Ch 7	Meaning of change in ownership	ss 719–726
Ch 8	Supplementary (extended assessment time limit; information about share ownership)	ss 727–728 ff

Change in ownership (s 719).

- **Condition A:** a single person acquires more than half the ordinary share capital.
- **Condition B:** two or more persons each acquire at least 5% and together more than half.

- **Condition C:** two or more persons together acquire more than half, ignoring holdings under 5% unless they top up an existing holding.
- Indirect ownership counts (s 723): selling a parent changes the ownership of its subsidiaries. Other interests, such as voting power, can be taken into account where the share capital test gives anomalous results (s 721).
- **Disregards:** insertion of a company between a parent and its subsidiaries (s 724); insertion of a **new top holding company** with mirror-image shareholdings (s 724A, inserted by FA 2014 s 37, for changes on or after 1 April 2014; CTM06355).
- **Group-based trigger for Chs 2A–2E:** in HMRC’s summary (CTM06720), an acquisition that brings the company into the group condition with another company can itself be a change in ownership for those chapters (s 719(4A); for Ch 2E only from 1 April 2021).

Misconception: “when you buy a loss-making company, you buy its losses.” You buy a company that *has* losses. Whether they survive depends on what the company does next.

A major change in the nature or conduct of a trade

Chapter 2 (s 673) applies on a change in ownership if:

- **Condition A:** within **any period of 5 years beginning no more than 3 years before the change**, there is a **major change in the nature or conduct of a trade** carried on by the company; or
- **Condition B:** the change occurs at any time after the scale of the trade has become **small or negligible** and before any significant revival.

(The window was 3 years for accounting periods ending before 1 April 2017, and the 5-year window applies only where both the change in ownership and the major change occur on or after 1 April 2017: CTM06370; F(No.2)A 2017 Sch 4 para 72.)

Read the window slowly. It is not “5 years after the change”. A change the sellers made two years before the sale, to dress the company up, can count; so can a change the buyer makes four years after.

Meaning (s 673). A major change includes a major change in the type of property dealt in or services or facilities provided, and a major change in customers, outlets or markets; it can result from a gradual process. HMRC’s view is in **Statement of Practice 10/91** (revised 1996; CTM06380), and CTM06370 reports the cases:

- *Purchase v Tesco Stores Ltd* (1984) 58 TC 46: “major” means more than significant but less than fundamental (as HMRC’s manual summarises it).
- *Williams v Peeters Picture Frames Ltd* (1983) 56 TC 436 (HMRC’s spelling of the name; other reports give it as *Willis v Peeters Picture Frames Ltd* [1983] STC 453): after a takeover the company sold through a group distributor, which sold on to the company’s original customers. The Special Commissioners thought this could be a major change looked at in isolation; on the special facts, as the manual reports it, it was held not to be a major change. The end customers were unchanged; only the route to them changed.

Consequences. Losses made before the change cannot be carried forward against profits after it (ss 45, 45A, 45B); a loss made after the change cannot be carried back to a pre-change period (s 37). Where the change falls mid-period, the period is split into two notional accounting periods and amounts are apportioned on a time basis, or another basis if time would be unjust (s 674). Because a later change can disallow losses already used, **Chapter 8 extends HMRC’s assessment time limit** (s 727). The tax function’s job does not end at completion.

Brackenwell's £8.6m

Worked example 14.4: Brackenwell's pre-change losses (invented; £000)

Source	£000
Losses brought forward from years before GY1	5,300
Year to 31 December GY1 (standalone SME): trading loss after the ERIS extra deduction 7,210, less 6,510 surrendered for the 14.5% payable credit (chapter 10)	700
Year to 31 December GY2: trading loss after taxable RDEC 5,200, split at the change on 1 July GY2 by months (6/12 : 6/12)	
— pre-change notional period 1 January–30 June GY2	2,600
Pre-change losses	8,600
— post-change notional period 1 July–31 December GY2 (not affected by Ch 2; surrendered to TEL as current-year group relief, chapter 15)	2,600

A day-count apportionment (181/365) would give £2,578,630 before and £2,621,370 after; the story uses months, as the exam rubric (“nearest month”) does. Either is a time basis under s 674.

The analysis. Tarnmoor's integration plan, agreed before completion, made Brackenwell the group's captive sensor developer and supplier: it would design and make sensors for Calder's and TEL's valves and run down its sales to the outside industrial customers it had served for years. Tom Hesketh's team concluded:

- customers change from many unconnected buyers to two group companies;
- markets change from general industrial sensing to components for the group's own products;
- unlike *Peeters*, the end customers are not the same people;
- so, **on the group's analysis**, a major change in the nature or conduct of the trade, inside the 5-year window (Ch 2, s 673; Condition A).

Consequence. None of the £8.6m can be carried forward against Brackenwell's post-change profits. The post-change £2.6m loss of GY2 is untouched and goes to TEL as current-year group relief.

Even without a major change, the losses would have been worth little to the group. **Chapter 2C** bars Part 5A surrender of pre-acquisition losses for five years, measured (per HMRC's guidance, CTM06815) from the end of the accounting period in which the change happens: for Brackenwell, from 31 December GY2 to the end of **GY7**. They could only have been used against Brackenwell's own profits, within Part 7ZA.

Worked example 14.5: hypothetical: no major change (invented; not a story fact; £000)

Suppose Brackenwell's trade had continued unchanged and it made trading profits (qualifying profits) of £4.0m in GY4.

	GAAS gives BSL £1.0m	GAAS gives BSL £5.0m
Qualifying profits	4,000	4,000
Deductions allowance	1,000	5,000
Relevant profits	3,000	0
Relevant maximum	$1,000 + 50\% \times 3,000 = 2,500$	4,000
Losses deducted	(2,500)	(4,000)
TTP	1,500	0
CT at 25%	375	0
Pre-change losses carried forward (8,600 – deducted)	6,100	4,600

The allocation decides whether £375,000 of tax is paid. That is why the GAAS is a planning document, not just a form.

The price reflected nothing for the losses (chapter 20), and the group accounts recognised no deferred tax asset for them (chapter 6). Dr Varma, in our invented story, said at the integration meeting that it felt as if the company's history had been written off. In a sense it had: the law treats a company that changes hands and changes course as a new taxpayer for the purpose of its old losses.

Exam lens: change in company ownership

- **Grade:** change in company ownership **1** (core). Part 14A is not listed separately on the grid; treat it with this row.
- **Past appearances: M24 Q3(b)** (part of a 15-mark question, split 7/5/3: losses after a change of ownership on the sale of a subsidiary; “MCINOCOT” rules discussed and well answered; some wasted time on pre-sale loss relief, which was not asked). Favourite combination: sale of a subsidiary + degrouping + SSE + change of ownership + enquiries.
- **Style:** explain the definition (s 719), the window, what counts as a major change (statutory examples; *Peeters* and *Tesco* as HMRC reports them), the consequence for pre-change and post-change losses, the s 674 split, and Ch 2C for group surrender. Conclusions on “major” are judgements: state the facts that drive yours.
- **Traps:** “5 years after the change” instead of any 5-year period starting up to 3 years before; forgetting that post-change losses cannot be carried back; ignoring Ch 2C when the business is unchanged; applying Ch 2A where Ch 2 applies.

The wider net after 2017

The 2017 reform made losses more useful, so it also made them more attractive to buy. Parliament added chapters to Part 14 (all for changes in ownership on or after 1 April 2017: CTM06715).

- **Chapter 2A** looks for a **major change in the business** of the company, wider than a change in a trade. In HMRC's summary (CTM06750, on s 676AC) it includes a major change in **scale**, the **beginning or ending** of a trade or business, and a change in the **nature of investments**, as well as changes in property dealt in, services, customers, outlets and markets; gradual changes count; transfers between companies related before the change are ignored. Where

it applies, it restricts pre-change carried-forward losses of various kinds (trade losses, non-trading deficits, management expenses, property losses) against post-change profits, with windows of 5 or 8 years depending on the relief. **Priority:** Chapter 2A does not apply where Chapter 2 or Chapter 3 can apply instead (CTM06775). Brackenwell is therefore a **Chapter 2** case.

- **Chapters 2B and 2D:** after the change, an asset is moved into the company on a no gain, no loss basis (TCGA s 171) or tax-neutrally (CTA 2009 s 775) and a gain arises within **5 years**: pre-change losses (2B) and Part 5A group relief (2D) cannot shelter it. Chapter 17 covers the parallel Sch 7A rule for pre-entry capital losses.
- **Chapter 2C:** Part 5A surrender of pre-acquisition losses barred for 5 years; applies even if the business is unchanged.
- **Chapter 2E:** restriction where a trade with post-2017 losses is transferred after a change.
- **Chapter 5A (shell companies):** a company with no trade, investment business or UK property business: NTLR debits and deficits and non-trading intangibles losses restricted after a change.
- **Chapter 6 (recovery of unpaid CT):** where CT for a pre-change period is unpaid more than **6 months after assessment** and conditions about the company's trade or business are met (s 711), HMRC may assess a **linked person** (a person who controlled the company before the change, and companies they control), within **3 years** of the final determination (s 710).

Helmside and timing. On 1 March GY5 TPLC bought Greyfell's 40% and went from 45% to 85% (chapter 18). Whether that is a change in ownership under s 719 is not something we need to decide: Helmside used its last carried-forward loss in GY4, so there was nothing left for Part 14 to restrict.

Going further: due diligence on losses. For each target: (1) schedule losses by type and by period (pre- or post-April 2017); (2) map the integration plan against Ch 2, Ch 2A and Ch 3 windows, including changes the sellers made in the 3 years before; (3) model Ch 2C (5 years) and Part 7ZA using a realistic GAAS allocation; (4) check Chs 2B/2D before moving assets in; (5) price losses at nil unless the trade continues unchanged, and keep any "loss value" out of the headline price (use an earn-out or deferred payment if the seller insists); (6) take an indemnity for Ch 6 linked-person exposure where the target has unpaid pre-change tax.

Loss refreshing and the purpose rules

Mechanical rules invite mechanical schemes, so two purpose-based rules sit behind Part 14.

Part 14A: transfer of deductions (CTA 2010 ss 730A–730D; FA 2013 Sch 14). After a **qualifying change** (defined by reference to CAA 2001 Part 2 Ch 16A, the allowance-buying rules), "deductible amounts" (trade and property expenses, management expenses, NTLR and derivative debits, IFA debits) cannot be used in a s 37 claim, group relief or Part 5A relief if, at the change date, it was **highly likely** they would be so used and a **main purpose** of the change arrangements was to achieve that (s 730C). Section 730D blocks deductions against profits from **profit transfer arrangements** made with that main purpose.

Part 14B: tax avoidance involving carried-forward losses (ss 730E–730H; FA 2015, for accounting periods beginning on or after 18 March 2015; grade 2). HMRC's manual (CTM07505) calls the target "**corporate loss refreshing**": converting old, restricted carried-forward losses into new, flexible in-year deductions. A group company makes a deductible payment to the loss company; the payer gets a fresh deduction usable across the group; the loss company's old losses absorb the matching income. Section 730G denies the carried-forward losses against the arrangement profits where **all five conditions** are met:

Condition	Content (s 730G)
A	Relevant profits arise to the company as a result of the arrangements, and without the section it could deduct carried-forward losses from them
B	The company or a connected company (s 1122) brings in a deductible amount it is reasonable to assume would not otherwise have arisen
C	A main purpose of the arrangements is a relevant CT advantage (or relevant CFC charge advantage)
D	It is reasonable to assume the tax value of the arrangements exceeds their non-tax value
E	Priority: the banking company rule in Part 7A (s 269CK) does not apply

The promoter's pitch (GY3; invented). A promoter proposed a “loss refresh”: TEL would pay Brackenwell a large upfront fee for future development work, deductible at once; Brackenwell would book the income and set its old losses against it; to get round the major change, Brackenwell would restart a small external sales channel.

Tom Hesketh's advice turned on **two locks, either sufficient**:

1. If the group's analysis was right, the major change had **already happened**, and nothing done later undoes it: the losses were dead under Ch 2.
2. If the promoter was right and the losses were alive, **Part 14B** would bar them against the scheme profits: Condition B (TEL's deduction), Condition C (main purpose) and Condition D (a fee paid to refresh losses has tax value far above its non-tax value).

The board declined. Chapter 4 covers the DOTAS hallmarks (a premium fee and confidentiality) and the GAAR.

Exam lens: Part 14B and Part 14A

- **Grade:** tax avoidance involving carried-forward losses (Part 14B) **2** (non-core): working knowledge and recognition.
- **Past appearances:** none M23–M26.
- **Style:** short explanation marks: name the rule, list the conditions, apply the tax value v non-tax value test to the facts.
- **Traps:** confusing Part 14A (transfer of deductions after a qualifying change) with Part 14B (refreshing carried-forward losses); forgetting that Part 14B only matters if the losses would otherwise be usable (Condition A).

When a company is wound up

Companies in liquidation or administration are **core** and have not been examined standalone recently: easy marks for the prepared.

Rule	Liquidation	Administration
Accounting period ends	Immediately before the winding up starts (resolution; for a compulsory winding up, presentation of the petition if an order follows) (CTA 2009 s 12)	Immediately before the day the company enters administration; also when it leaves (CTA 2009 s 10(1)(i), (j), (2))
Later periods	12 months each until completion of the winding up	Normal rules
Final-year rate	Rate fixed for the year; else proposed by Budget resolution; else the penultimate year's rate (CTA 2010 s 628)	Same approach (s 630)
Assessments	Liquidator may assume a completion date; if wrong, a new AP begins (s 629)	Equivalent (s 631)
Repayment interest	£2,000 or less in the final period not taxable (s 633)	Same
Beneficial ownership	Lost on commencement of winding up (<i>Ayerst v C & K (Construction) Ltd</i> [1976] AC 167, 50 TC 651, House of Lords, 21 May 1975)	Not generally thought to be lost (secondary commentary; facts matter)

Group relief. Group relief requires beneficial ownership of the shares in a 75% subsidiary (s 152; CTM80151). When an intermediate holding company goes into liquidation it loses beneficial ownership of its subsidiaries' shares, so, in HMRC's view, its subsidiaries are no longer grouped with it or, through it, with the rest of the group. HMRC's guidance (CTM97750) also treats the appointment of an insolvency practitioner as taking control away from the owners and breaking the group relationship; the "arrangements" rules (s 154) sit behind that view (chapter 15).

Gains groups survive. TCGA 1992 s 170(11): a company does not cease to be a member of a gains group merely because of a resolution, order or other act for the winding up of it or another group member (CG45135). Without it, liquidating an intermediate holding company would drop its subsidiaries out of the gains group, with degrouping charges.

Worked example 14.6: liquidating an intermediate holding company (invented; not a Tarnmoor story fact)

A group's intermediate holding company (H) owns two trading subsidiaries (S1, S2). The group resolves to liquidate H to simplify the structure.

- H's accounting period ends immediately before the resolution; then 12-month periods to completion.
- From the start of the winding up, S1 and S2 can no longer surrender or claim current-year group relief with the rest of the group through H (HMRC's view, based on loss of beneficial ownership).
- No degrouping charge arises merely because of the liquidation (s 170(11)).
- Better plan, if losses need to move: transfer S1 and S2 up to the parent (no gain, no loss within the gains group) **before** the winding up starts.

Exam lens: companies in liquidation or administration

- **Grade: 1** (core).

- **Past appearances:** N24 Q2 (20 marks: group and consortium relief over two years including a **holding company in liquidation**; the examiners said its impact was missed). Not otherwise seen M23–M26.
- **Traps:** liquidation v administration period ends (before the winding up *starts* v before the *day* of administration); forgetting that group relief through a liquidating holding company ends while the gains group survives; the final-year rate rules.

Choosing the claim in a group

The examiner often asks you to minimise tax or “long-term costs”. In a group that means choosing among current-year relief, carry-back, group relief and carry-forward, and choosing where each pound of loss lands.

Value. In a small group, a pound of loss saves most where it keeps a company’s profits below the upper limit (M26 Q4: the best answers used group relief to keep profits in the 19% band; the marginal rate of 26.5% is not “the rate that should be applied in full”, as the examiners put it). In a large group the marginal relief limits are divided by each company plus its associated companies. For Tarnmoor the divisor was **9** in GY1 and **10** from GY2:

	GY1 (divisor 9)	GY2–GY4 (divisor 10)
Lower limit (£50,000 ÷ divisor)	£5,556	£5,000
Upper limit (£250,000 ÷ divisor)	£27,778	£25,000

Every profitable Tarnmoor company pays at **25%**; a pound of loss is worth 25p wherever it lands.

The choice then turns on:

1. **Certainty.** Current-year relief and carry-back are unrestricted; carried-forward losses face Part 7ZA, Part 14 and the risk of a cessation that strands them. Use losses early.
2. **Cash.** For very large companies paying instalments in months 3, 6, 9 and 12 (chapter 3), expected current-year group relief reduces the instalments due in the year itself; a carry-back produces cash only after the loss year ends.
3. **The group allowance.** Allocate with hindsight in the GAAS.
4. **Interaction.** The CIR (chapter 28) can disallow interest and change which companies have profits to relieve; deferred tax (chapter 6) depends on whether future profits will absorb carried-forward losses.

Going further: the tax function’s annual loss tasks

- Keep the group deductions allowance nomination current as companies join and leave; diarise the GAAS deadline (first anniversary of TPLC’s filing date).
- Track each acquired company’s Part 14 windows (Ch 2: any 5 years from 3 years before; Ch 2C: 5 years from the end of the acquisition period) and record the integration plan honestly.
- Before liquidating any group company, test its effect on group relief and the gains group, and the timing of the accounting period end.
- On acquisitions: value losses at nil unless the trade will continue unchanged, and discount even then for Ch 2C and Part 7ZA.

- Ethics: a promoted “refresh” with confidentiality and a premium fee is a DOTAS and GAAR conversation for the board (chapter 4), not just a technical one.

Exam lens: how losses are examined overall

Losses appear in nearly every CT computation question (M23–M26). The paper is technical prose and computations, normally 10/15/20-mark questions, 0.5–1 mark per point, no letter or report format. Lay out loss relief in statutory order, show each claim separately with its time limit, and state what carries forward. Use a consistent unit (£ or £000) in each table.

What to take away

- **The 2017 bargain:** post-1 April 2017 losses are flexible (total profits; group surrender), restricted (Part 7ZA) and fragile (Part 14).
- **Current year:** s 37 against total profits, then 12 months back; current year first; all or nothing; unrestricted. The three-year carry-back has gone. NTLR deficits carry back only against NTLR profits; management expenses do not carry back; capital losses never touch income.
- **Carry forward:** s 45A against total profits by claim (2 years after the period of use), any amount; s 45B and s 45 same trade, automatic.
- **Part 7ZA:** £5m deductions allowance; above it 50% (worked example: £14m qualifying profits allowed £9.5m relief). Current-year relief, carry-back and s 45F are outside it.
- **Groups:** one £5m allowance; nomination signed for every CT member; GAAS by the first anniversary of the nominated company’s filing date; otherwise nil for everyone.
- **Cessation:** s 39 final-year loss back 3 years; s 45F carried-forward losses against the final 3 years, unrestricted, not before April 2017, not the loss-making period. Closing a division is not ceasing a trade.
- **Part 14:** change in ownership under s 719; Ch 2 major change within any 5-year period beginning up to 3 years before the change; Ch 2A wider but gives way to Chs 2 and 3; Ch 2C bars Part 5A surrender for 5 years. Brackenwell’s £8.6m was lost to the major change; Helmside’s £1.2m was used before TPLC took control.
- **Part 14B:** no carried-forward losses against loss-refreshing profits where tax value exceeds non-tax value.
- **Liquidation:** AP ends immediately before winding up starts, then 12-month periods; beneficial ownership lost (group relief through the company ends, HMRC’s view); gains group survives (s 170(11)).

When you buy a loss-making company, you do not buy its losses. You buy a chance to use them, and the law takes that chance away if the business changes.

Losses are only half of the group story. Chapter fifteen, on group relief, consortia and joint ventures, shows how a loss in one company becomes relief in another, and finishes Helmside’s story.

Key rules and figures

Rule	Figure / effect	Reference
Current-year and carry-back relief	Total profits; 12 months back; current year first; unrestricted	CTA 2010 s 37
Terminal loss	Final 12 months' loss back 3 years	CTA 2010 s 39
Carry forward (post-2017)	Total profits; claim within 2 years after the end of the period of use; any amount	CTA 2010 s 45A; CTM04135
Carry forward (restricted cases; pre-2017)	Same trade; automatic	CTA 2010 ss 45B, 45
Terminal relief for c/f losses	Final period and 3 years before; unrestricted; not pre-1 April 2017 periods; claim 2 years	CTA 2010 s 45F
NTLR deficit	Carry back 12 months v NTLR profits only; c/f v total profits, claim within 2 years	CTA 2009 ss 463B–463I
Surplus management expenses	C/f as next period's expenses; claim within 2 years; no priority	CTA 2009 s 1223
Loss restriction	£5m allowance + 50% of relevant profits; capital losses from 1 April 2020	CTA 2010 Part 7ZA
Group deductions allowance	One £5m; nomination signed for all CT members; GAAS by first anniversary of nominee's filing date; none filed = nil	ss 269ZR–269ZV; CTM05180, CTM05200
Change in ownership	More than half of ordinary share capital (conditions A–C); new top holdco disregarded	ss 719, 723, 724, 724A
Major change (Ch 2)	Any 5-year period beginning $\leq$ 3 years before the change; small or negligible trade	ss 673–674
Ch 2A	Major change in the business (scale etc); gives way to Chs 2 and 3	ss 676AA–676AL; CTM06775
Ch 2B/2D	Gains on assets transferred in within 5 years	ss 676BA–676BE, 676DA–676DE
Ch 2C	No Part 5A surrender of pre-acquisition losses for 5 years	ss 676CA–676CI
Ch 6	Linked persons; tax unpaid 6 months after assessment; within 3 years	ss 706–718
Part 14A	Highly likely use + main purpose	ss 730A–730D
Part 14B	Conditions A–E; tax value > non-tax value	ss 730E–730H
Liquidation AP	Ends immediately before winding up starts; 12-month periods	CTA 2009 s 12
Administration AP	Ends immediately before the day of entry	CTA 2009 s 10
Final-year rate; repayment interest	Fixed / proposed / penultimate; $\leq$ £2,000 not taxable	CTA 2010 ss 626–633
Gains group in liquidation	Survives	TCGA 1992 s 170(11)
Story: Brackenwell pre-change losses	£5.3m + £0.7m + £2.6m = £8.6m ; restricted (Ch 2)	invented (story)

Rule	Figure / effect	Reference
Story: Helmside	c/f £1.2m used v £2.5m profit in GY4; TTP £1.3m; own £5m allowance	invented (story)
Story: TPLC GY1	NTLR deficit £6.59m + surrenderable ME £5.075m (excess £5.9m less CFC apportionment £825,000) = £11.665m to TEL; £825,000 ME c/f	invented (story)
Story: GAAS	TPLC nominated from GY1; whole £5m to TEL in GY1–GY4	this chapter

Statutory and case references

Statute. CTA 2010 ss 4, 37, 39, 45, 45A, 45B, 45F; Part 5 (ss 99, 105, 152, 154) and Part 5A; Part 7ZA (ss 269ZA–269ZZB, especially 269ZB–269ZD, 269ZF, 269ZR–269ZV); Part 13 Ch 5 (ss 626–633); Part 14 (ss 672–730, especially 673, 674, 676AA–676AL, 676BA–676BE, 676CA–676CI, 676DA–676DE, 676EA–676EE, 677–691, 705A–705G, 706–718, 719, 721, 723, 724, 724A, 727); Part 14A (ss 730A–730D); Part 14B (ss 730E–730H); Part 22 Ch 1. CTA 2009 ss 10, 12, 463A–463I, 1219, 1223. TCGA 1992 s 170(11). F(No.2)A 2017 Sch 4; FA 2013 Sch 14; FA 2014 s 37; FA 2015 (Part 14B); FA 2019 Sch 10.

HMRC manuals. CTM04130 (s 45F); CTM05030, CTM05040, CTM05120, CTM05140, CTM05180, CTM05200, CTM05260 (Part 7ZA); CTM06065 (trade transfers and terminal claims); CTM06355 (s 724A); CTM06370, CTM06380 (major change; SP 10/91); CTM06715, CTM06720, CTM06725, CTM06750, CTM06775 (Chs 2A–2E); CTM06815 (Ch 2C); CTM07505, CTM07520 (Part 14B); CTM80151 (group relationship); CTM97750 (insolvency practitioners); CG45135 (s 170(11)); SDLTM23084 (*Ayerst* cited).

Cases. *Williams v Peeters Picture Frames Ltd* (1983) 56 TC 436 (as reported in CTM06370; also reported as *Willis v Peeters Picture Frames Ltd* [1983] STC 453); *Purchase v Tesco Stores Ltd* (1984) 58 TC 46 (as summarised by HMRC); *Ayerst (Inspector of Taxes) v C & K (Construction) Ltd* [1976] AC 167, 50 TC 651 (HL, 1975); *Leekes Ltd v HMRC* [2018] EWCA Civ 1185 (recap).

Part Three: The Group.

Chapter fifteen: Group relief, consortia and joint ventures.

On 27 October 2021, a Budget day, a set of rules written to satisfy European law quietly stopped working. For more than a decade a UK company had been able, in narrow circumstances, to claim relief for the losses of a subsidiary resident elsewhere in the European Economic Area (CTA 2010 Part 5 Ch 3, ss 111–128). Those rules were the long shadow of the *Marks and Spencer* litigation (*HMRC v Marks and Spencer plc* [2013] UKSC 30 and [2014] UKSC 11), which *The Living Law* (TKS), chapter 24, told. **Finance Act 2022 s 24(3)**, enacted the following year, repealed Chapter 3 with effect from that Budget day. In substance, HMRC’s manual (CTM81502) now says that relief for the overseas losses of group companies resident in the EU, for periods after 26 October 2021, is no longer available.

So the border is back where it began. Losses move between companies inside the UK tax net, and almost nowhere else. And even inside it they do not flow freely. They move one company at a time, by claim and by consent, measured period by period, and they stop dead when the ownership tests fail or when someone has agreed to sell.

This chapter asks a simple question. **A group plans, borrows and reports as one business. Why does the law make its losses travel company by company, and what decides how far each one can go?**

This is the first chapter of Part Three. On the 2026 LCG grid, **group relief (including consortia) is core (grade 1)**; so are **joint ventures (1), partnerships: company as a partner (1)** and **non-resident and dual resident companies (1)** (the group relief part is here; residence is chapter 22). The grid’s “excluding consortia” note applies to the Awareness module, not to LCG: consortium relief is examinable, as November 2024 Q2 proved. The chapter builds on *The Living Law*, chapter 24 (75% test, basic group relief, non-coterminous periods, consortia in outline, *Marks and Spencer*, *Farnborough*).

Most of the law is in the **Corporation Tax Act 2010 (CTA 2010) Part 5** (ss 97–188) and **Part 5A** (ss 188AA–188FD); the partnership and JV rules are in the **Corporation Tax Act 2009 (CTA 2009)**; claims are governed by **FA 1998 Sch 18 Part 8**. We apply the law for **FY2026**.

Why relief, and not one tax return.

The Living Law, chapter 24, made the basic point: the UK taxes each company separately. There is no consolidated return. A parent with 50 subsidiaries files 51 returns, and each company pays its own tax.

Some countries let a group file as one taxpayer. The UK chose a different bridge. **Group relief** lets one company surrender a current-year loss to another company in the same group, which claims it against its own profits. The effect looks like consolidation, but only for the amounts surrendered, only for the periods that overlap, and only between companies that pass the tests.

Picture a building with a separate water tank for every flat. Group relief is a set of pipes between the tanks. Each pipe has a valve, a gauge and a rule about which tanks it may join. The tanks are never merged.

Three consequences run through the chapter:

1. **Relief is a claim, never automatic.** Someone must make it, with consent, on time.
2. **The amount is the lower of two figures:** what the surrendering company can give and what the claimant can take (s 138).
3. **The relationship must exist throughout the period measured.** If it stops existing, even on paper (arrangements), the pipe closes.

The debate (separate entity or single unit?). One side says the group is the real economic unit, so tax should follow the consolidated result; the CIR (chapter 28) and the Pillar Two rules (chapter 30) already look at the worldwide group. The other side says separate companies are separate legal persons with their own creditors, minorities and regulators, and a claim-based bridge keeps the Exchequer's protections company by company. The UK keeps the second model for losses while borrowing the first for some anti-avoidance rules. The conclusion returns to the tension.

Misconception: "a group pays tax as one". It does not. It pays tax as many companies, some of which have agreed to pass relief to others.

Our invented group, **Tarnmoor**, shows the scale. Tarnmoor plc (TPLC), the listed parent, sits above trading, property and finance companies. Its companies, people and numbers are invented for teaching, as throughout this book. In GY2 Tarnmoor Engineering Ltd (TEL) claimed **£17.095m** of group and consortium relief from three sources, each with its own limit. This chapter takes them one at a time.

Who is in the group.

Two companies are in the same group for group relief if one is the **75% subsidiary** of the other, or both are 75% subsidiaries of a third company (CTA 2010 s 152), holdings being traced directly or indirectly.

Three tests, not one (s 151). The parent must:

Test	Requirement	Reference
Ordinary share capital	Beneficially own $\geq 75\%$, directly or indirectly	s 151(1); CTA 2010 Part 24 Ch 3 (s 1154)
Profits	Be beneficially entitled to $\geq 75\%$ of profits available for distribution to equity holders	s 151(4)(a)
Assets	Be beneficially entitled to $\geq 75\%$ of assets available to equity holders on a winding up	s 151(4)(b)

Equity holders are defined in Part 5 Ch 6 (ss 157–182): in outline, ordinary shareholders and loan creditors whose loans are not normal commercial loans. If the company has no profits in the period, a notional profit of £100 is assumed for the profits test (CTA 2010 explanatory notes). The extra tests stop a parent holding 75% of the shares on paper while the economic interest sits elsewhere through preference shares or special loans; **November 2024 Q2** put preference shares in the facts.

Indirect holdings multiply. If P owns 90% of A, and A owns 80% of B, P's indirect interest in B is $90\% \times 80\% = 72\%$: P and B are not grouped for group relief, although P–A and A–B are. Adding instead of multiplying, or stopping at the first link, are classic slips.

Beneficially. Chapter 14 showed that a company in liquidation loses beneficial ownership of its shares and, in HMRC's view, the group relationship through it ends (gains groups survive: TCGA 1992 s 170(11); chapter 17).

Tracing through non-residents; relief only between UK related companies. The chain may run through non-UK companies, but both surrendering and claimant companies must be **UK related** (s 134): UK resident, or non-UK resident and carrying on a trade in the UK through a permanent establishment.

The case behind it. In *HMRC v FCE Bank plc* [2012] EWCA Civ 1290, two UK companies had a common US parent; under the law as it then stood, the parent's non-residence stopped them being grouped. The Court of Appeal held that the non-discrimination article of the UK–US treaty (Art 24(5)) required group relief to be allowed. Treaties can reach into group relief; chapter 24 returns to the article.

In our invented case (GY1–GY4):

Company	In the group relief group?	Can surrender / claim?	Why
TPLC, TEL, TES, TFL, TWS	Yes	Yes	UK resident, 100%
Calder (CVE) from 1 April GY1; Brackenwell (BSL) from 1 July GY2	Yes from those dates	Yes	Join on completion
TIL	Yes	Yes until 30 June GY4	UK resident (CMC in Leeds) until it migrates (chapter 22)
TVS (Vallaria), TCM (Marrovia) (invented countries)	Yes (can be in the chain)	No	Not UK related
Tarnmoor Pumps	Yes	Nothing to surrender	Dormant
Helmside (HEL)	No (45%)	Consortium relief instead	Consortium company until 1 March GY5

What can be surrendered.

CTA 2010 s 99(1) lists seven surrenderable amounts for the **surrender period** (the surrendering company's accounting period). They fall into two families:

Family	Amounts	Rule
A: surrender in full	(a) trading losses; (b) excess capital allowances; (c) non-trading loan relationship deficits	Surrenderable whether or not the company has other profits of its own (s 99)
B: surrender only above the profit-related threshold	(d) excess qualifying charitable donations; (e) UK property business losses; (f) management expenses; (g) non-trading losses on intangible fixed assets	Only so far as their total exceeds the threshold, and only the excess (s 105)

Two features of the surrendering side:

- **Choice and splitting.** The surrendering company chooses how much to surrender and to whom; one amount may be split between several claimants, as long as the total stays within what it has.
- **Charitable donations.** A trading company cannot carry excess QCDs forward (a company with investment business can carry those made for the investment business forward as management expenses: chapter 13), so a trading company's unsurrendered excess is lost.

The profit-related threshold (s 105(3A)). For surrender periods ending on or after 20 March 2013 (FA 2013), the threshold is:

- the company's **gross profits** of the surrender period (broadly profits before deducting family A and B amounts of the period and any amounts of other periods: s 105(5); CTM80142); **plus**
- any **CFC chargeable profits apportioned** to it under TIOPA 2010 s 371BC step 3 (where it is a chargeable company at step 4), for CFC accounting periods ending in the surrender period.

The logic: a company should use its own family B amounts against its own income before passing the surplus to someone else; and since 2013 the CFC apportionment counts as "income" for this purpose (and the old relief against a CFC charge, TIOPA 2010 s 371UD, was repealed by F(No.2)A 2015).

Worked example 15.1: TPLC's surrender to TEL (£; invented)

£	GY1	GY2
Management expenses of the period	8,000,000	8,500,000
Gross profits: recharge income from TVS at arm's length (non-trading, CTA 2009 s 979)	2,100,000	2,200,000
CFC chargeable profits apportioned from TCM (chapter 26)	825,000	825,000
Profit-related threshold	2,925,000	3,025,000
Excess over gross profits only (not the limit)	5,900,000	6,300,000
Maximum management expenses surrender (family B)	5,075,000	5,475,000
Management expenses carried forward (CTA 2009 s 1223)	825,000	825,000
NTLR debits	8,800,000	9,970,000
Less CIR disallowance allocated to TPLC (chapter 28)	(2,210,000)	(2,300,000)
NTLR deficit surrendered (family A, in full)	6,590,000	7,670,000
Total surrendered to TEL	11,665,000	13,145,000

Check GY1: £2,100,000 used against TPLC's own income + £5,075,000 surrendered + £825,000 carried forward = £8,000,000.

Order of events. The CIR runs first. The £2.21m (GY1) and £2.30m (GY2) of disallowed interest are not part of the deficit: they carry forward under TIOPA 2010 Part 10 and can never be surrendered as group relief (some were reactivated in GY3: chapter 28).

The sting: stranded expenses. The £825,000 carried forward each year is, on the book's reading of CTA 2010 s 188BE (HMRC: a company may not surrender carried-forward losses under Part 5A if it could deduct them from its own total profits; CTM82030), not surrenderable later while TPLC has recharge income that could absorb it; and using it against that income merely displaces current expenses that the s 105 cap then traps. In our invented case these expenses are **stranded**: cumulative **£825,000** (GY1), **£1.65m** (GY2), **£2.475m** (GY3), **£3.3m** (GY4), with no deferred tax asset recognised (chapter 6). GY3 and GY4 surrenders apply the same cap; in GY5 the TCM apportionment in the threshold rises to **£1,275,000**.

How much the claimant can take.

The surrendering company's side is half the sum. **Section 137** gives relief by deduction from the claimant's total profits of the **claim period**; s 138 limits it to the **lower** of:

- the **unused part of the surrenderable amount** for the overlapping period (s 139); and
- the **unused part of the claimant's available total profits** for the overlapping period (s 140).

Available total profits (s 140, by reference to s 137(4)(b)) are the claimant's total profits after its own reliefs: its own current-year losses, carried-forward losses (within Part 7ZA), and QCDs; carry-backs from later periods are ignored. Group relief therefore comes **last**, just above TTP (chapter 7's pro forma, line 10).

Worked example 15.2: TEL, GY2 (£; invented)

£	
Trading profits after CAs (chapter 7) = total profits	26,000,000
Own losses, b/f losses, QCDs	nil
Available total profits	26,000,000
Group relief: TPLC management expenses (s 105 cap)	(5,475,000)
Group relief: TPLC NTLR deficit	(7,670,000)
Group relief: BSL post-acquisition loss (1 July–31 December GY2)	(2,600,000)
Consortium relief: Helmside (link company route)	(1,350,000)
Total group and consortium relief	(17,095,000)
TTP	8,905,000
CT at 25%	2,226,250
Very large company QIPs: $4 \times £556,562.50$ (14 March, June, September, December GY2), on the full liability	2,226,250
RDEC surrendered by BSL (£600,000): discharges part of the liability once claimed; not group relief; does not reduce the QIPs	(600,000)

£	
(CIRD89870, HMRC's view)	
Net CT for GY2 after the credit	1,626,250

GY1, for comparison: TTP before reliefs £24,000,000; group relief £11,665,000 (TPLC) + consortium relief £1,800,000 = £13,465,000; **TTP £10,535,000; CT £2,633,750.**

Two practical points:

- **Cash during the year.** A very large claimant pays in months 3, 6, 9 and 12; its instalments must reflect the liability after the group relief it expects to claim. A wrong forecast means QIP interest (chapter 3).
- **Keep the regimes in separate boxes.** The RDEC surrendered by Brackenwell (chapter 10) is not group relief and never nets off an instalment computation.

When the years do not match.

The **overlapping period** (s 142) is the time common to the surrender period and the claim period. Any part of it during which the group (or consortium) condition is not met is treated as not part of the overlapping period (s 142(2)). Both companies' figures are apportioned to the overlapping period, on HMRC's approach by **time unless that would be unjust or unreasonable** (CTM80260–CTM80265, not opened: label as HMRC's guidance).

Several claims for the same months (s 140(3)–(6); s 139 does the same on the surrendering side). Where a claimant takes relief for overlapping periods that cover the same months, prior claims attributable to those months reduce the unused part of its available total profits, so no slice of profit is relieved twice.

Worked example 15.3: TEL's capacity for BSL's loss, 1 July–31 December GY2 (£; invented)

£	
TEL available total profits for the 6 months ($26,000,000 \times 6/12$)	13,000,000
Prior claims attributable to those months: TPLC ($5,475,000 + 7,670,000$) $\times 6/12$	(6,572,500)
Helmside $1,350,000 \times 6/12$	(675,000)
Unused part for the BSL claim	5,752,500
BSL's surrenderable loss for the overlapping period	2,600,000
Relief (lower)	2,600,000

Joining: Brackenwell (invented). TPLC signed a conditional SPA for BSL on **1 May GY2** and completed on **1 July GY2**. On the usual analysis the group relationship began at completion, when TPLC became beneficial owner: a contract whose conditions are outstanding does not by itself pass beneficial ownership (general principle; HMRC's specific guidance on conditional contracts for group relief was not opened: see notes). BSL kept its 31 December year end.

£	
BSL trading loss for the year to 31 December GY2 (after taxable RDEC; chapter 10)	5,200,000
Overlapping period with TEL's GY2 (group condition met from 1 July)	6 months
Surrenderable for the overlapping period ($5,200,000 \times 6/12$)	2,600,000
Pre-acquisition part (1 January–30 June): pre-change loss, restricted (Part 14 Ch 2; chapter 14)	2,600,000

Worked example 15.4: non-coterminous year ends (labelled hypothetical; not a story fact; £)

Suppose Calder (year end then 31 March) had claimed BSL's loss instead of TEL. Calder's AP 1 April GY2–31 March GY3 overlaps BSL's AP for 9 months (1 April–31 December GY2), but the group condition is met only from 1 July: **overlapping period 6 months**. Suppose Calder's available total profits for its AP were £4,000,000.

£	
Calder's available total profits for the overlapping period ($4,000,000 \times 6/12$)	2,000,000
BSL's surrenderable amount for the overlapping period ($5,200,000 \times 6/12$)	2,600,000
Relief: the lower	2,000,000

Draw the time line. Mark each AP, the dates the group condition starts and stops, and the overlap. The examiners' first criticism after November 2024 Q2 was **wrong joining and leaving dates**.

Arrangements, and the day a group ends early.

If groups ended only at completion, a seller could agree to sell a loss-making subsidiary and keep its losses flowing to the rest of its group until the last day, while the buyer's group lined up to use them too. **CTA 2010 s 154** stops that: two companies are treated as **not in the same group** if one of them has surrenderable amounts and arrangements exist with any of the effects in s 154(3):

Effect	In outline
1	One company (or a successor) could cease to be in the same group as the other and could become a member of the same group as a third company
2	A person has or could obtain control of one company but not of the other
Others	Further effects in s 154(3) (not opened in full)

Arrangements means arrangements of any kind, written or not; no tax purpose is required (CTM80170; CTM80206 gives a simple commercial sale of a subsidiary as the standard example).

When do they begin? (HMRC's view.) A question of fact; usually the point of **agreement in principle that the transaction will proceed, even if still subject to contract and not binding** (CTM80190). CTM80195's example: terms agreed subject to contract on 31 January 2012, unconditional contract signed 29 February 2012: arrangements from **31 January**. They can arise earlier (for example an option granted during negotiations). Enabling arrangements (rights in existing documents) count even if not yet operable (CTM80185). The relationship is broken **only while the arrangements exist**, so the overlapping period shrinks to the time before they began.

The case (TKS recap). In *Farnborough Airport Properties Co v HMRC* [2019] EWCA Civ 118 (8 February 2019), a receiver was appointed over the whole property of a loss-making sister company (Piccadilly Hotels 2 Ltd) under an existing debenture. The Court of Appeal, agreeing with the FTT and UT ([2017] UKUT 394 (TCC)), held that the appointment was an arrangement under which the shareholders lost control (Effect 2): group relief for losses of about £10.6m (£10,627,709) was denied.

Safe harbours (ss 155A–155B). For arrangements made in accounting periods beginning on or after **1 March 2012** (previously ESC C10), certain ordinary JV provisions are not arrangements: share transfer clauses or suspended voting rights triggered by a member's voluntary departure, insolvency, change of control or default, a threatened viability event, or an unresolved disagreement between members (CTM80181). Without them almost every JV agreement would break relief from the start.

The asymmetry. Arrangements can **end** a relationship early; they never **start** one early. A company joins only when the ownership tests are actually met. So an acquisition delays relief on the way in and can cut it off on the way out; November 2024 Q2 tested both.

For the tax function: diarise the deal timetable, not just completion. When Tarnmoor sells its actuators company in GY6 (chapter 20), the date for group relief is the day the deal is agreed in principle.

Exam lens: group relief

- **Grade:** group relief **1** (core), consortia included for LCG; non-resident and dual resident companies **1**.
- **Past appearances:** **N24 Q2** (20 marks: group and consortium relief over two years; joining by conditional contract and arrangements; leaving; a holding company in liquidation; a DRIC; preference-share equity holder tests; the link company; consortium limits). Examiners' verdict: poor; wrong joining and leaving dates, DRIC bar missed, liquidation missed, consortium % applied to the member's loss instead of the consortium company's profit, trading requirement and link company missed. **M24 Q6** (20: a two-company computation with NTLR deficit group relief: losses well done). **M26 Q4** (20: group relief "to minimise long-term costs"; the best answers used it to keep a profit in the 19% band; keep £ and £000 consistent).
- **Style:** "Calculate, with explanations" / "Explain"; technical prose and computations, no letter format; 0.5–1 mark per point.
- **Layout:** a time line; for each claim, the overlapping period, surrenderable amount for it, claimant's available total profits for it, relief = lower; then the claimant's computation with group relief last.
- **Traps:** adding indirect percentages; forgetting the profits and assets tests; family B amounts surrendered in full; the CFC element of the s 105 threshold; completion v exchange dates; ignoring arrangements; mixing £ and £000.

Claims, consents and payments.

Group relief is claimed in the **claimant's company tax return** (FA 1998 Sch 18 Part 8, paras 66–77).

Rule	Detail	Reference
Consent	Surrendering company gives written notice of consent to HMRC at or before the claim; a copy accompanies the claim	Sch 18 para 70; CTM97020
Consortium claims	Consent of every member of the consortium as well, whichever way relief flows (a member = a company owning $\geq 5\%$); copies accompany the claim	para 70(2), (5); CTM80520
Amending	A notice of consent cannot be amended: withdraw and replace it. Consents are given company by company and period by period; a missing consent sinks the claim	COM53100
Amount	The claim is for a stated amount and may be less than the maximum	Sch 18 Part 8
Time limit	Made or withdrawn up to the latest of: first anniversary of the claimant's filing date; 30 days after an enquiry into the claimant's return is completed; 30 days after HMRC amend the return after an enquiry; 30 days after an appeal against that amendment is finally determined (HMRC may allow later)	para 74; CTM97060
Simplified arrangements	One authorised company may make and withdraw claims and consents for the group without sending copies of every notice	SI 1999/2975; CT600C guidance (HMRC's description)

Payments for group relief (s 183). Where surrendering company and claimant agree, and the claimant pays an amount **not exceeding the amount surrendered**, the payment is ignored in computing both companies' profits and losses and is not a distribution. The cap is the **amount of loss**, not the tax saved: a payment of 25p per £ (the tax value) is usual, but up to £1 per £ is within the rule. Minority shareholders and directors' duties are why groups pay at all.

Contrast the RDEC payment. TEL's £600,000 payment to BSL for the surrendered expenditure credit (GY2) falls under a different, new rule (FA 2026 s 31, as HMRC's guidance describes it: ignored for CT if it does not exceed the credit surrendered; payments from 26 November 2025): chapter 10.

Losses brought forward, and the group.

Before April 2017 group relief was for current-year amounts only. **CTA 2010 Part 5A** (ss 188AA–188FD) allows surrender of amounts carried forward from APs beginning on or after 1 April 2017: trading losses, NTLR deficits, management expenses, UK property losses and non-trading intangibles losses.

Restriction	Content	Reference
Surrendering company's own use first	HMRC: a company may not surrender carried-forward losses under Part 5A if it could deduct them from its own total profits	s 188BE; CTM82030
Claimant's own use first	The claimant must first use its own carried-forward losses	Part 5A Ch 3
Loss restriction	The claimant's Part 5A relief is within Part 7ZA (group's single £5m deductions allowance plus 50%)	chapter 14
Joiners	Pre-acquisition losses of a company joining the group not surrenderable for 5 years	Part 14 Ch 2C; chapter 14
Payments	Disregarded up to the amount of the loss	s 188FA; CTM82170
Consortia	Carried-forward losses can pass between consortium companies and members, within the ownership proportion (link company: its proportion of the claimant's relevant maximum)	CTM82505–CTM82525

Think of current-year relief as the main door between the tanks; Part 5A is a second door that opens only after each company has used its own carried-forward losses, and the loss restriction still caps how much old loss shelters new profit wherever it lands. For the exam Part 5A matters most as a contrast: current-year relief is unlimited and immediate; carried-forward relief is conditional, capped and slow.

The first restriction explains TPLC's **stranded** £825,000 a year (book's reading, as above; not tested in any decided case). BSL's pre-acquisition losses were in any case barred until **31 December GY7** (Ch 2C) and restricted under Part 14 Ch 2 (chapter 14).

Non-residents, branches and dual residents.

1. Non-resident companies with a UK PE. A non-UK resident company trading in the UK through a PE is UK related and can surrender and claim, but (in outline: s 107 not re-read) it can surrender only losses of its UK PE activities that are not deductible or otherwise allowable against non-UK profits for foreign tax. The UK will not relieve a loss another country is also relieving.

2. EEA losses: repealed. CTA 2010 Part 5 Ch 3 (ss 111–128) let a UK parent claim the losses of an EEA-resident subsidiary where every possibility of relief abroad was exhausted (the *Marks and Spencer* “no possibilities” test). FA 2022 s 24(3) repealed it with effect from **27 October 2021** (CTM81502; the policy paper “Abolition of cross-border group relief” explains that the UK was no longer required to keep the rules after leaving the EU). EEA-resident companies with UK PEs are now treated like other non-residents.

3. Dual resident investing companies (s 109). A UK resident company also within a non-UK tax charge (by incorporation, place of management or other residence criteria) cannot surrender if, in outline, it is not a trading company or its trade is mainly acquiring and holding shares or making loans and similar (conditions A–C). The fear is “double dipping”: one interest

cost relieved in two countries. A DRIC also cannot receive assets at no gain, no loss (TCGA 1992 s 171(2)(d); chapter 17). The examiners reported after N24 that many candidates missed the bar.

Spotting a DRIC. The point usually hides in the facts: a company incorporated abroad whose board meets in London, or a UK company whose directors meet abroad. Ask in turn: is it UK resident? Is it also within another country's charge? Does it carry on a real trade other than holding shares or lending? Only yes, yes and no leads to the bar.

TIL, the near miss (invented). Before 30 June GY4 TIL was UK resident (CMC in Leeds) with an Irish incorporation, and the UK and Irish competent authorities had agreed it was UK resident for treaty purposes. Even if Ireland had also treated it as resident, s 109 would not have bitten: TIL trades. From 30 June GY4 it is Irish resident with no UK PE (its UK warehouse is let: a UK property business, not a PE), so it is not UK related and neither surrenders nor claims.

Consortia, and the four tape measures.

Joint ventures between groups are everywhere in infrastructure, energy and property: two or three companies put in capital and none controls the venture. None owns 75%, so group relief fails. **Consortium relief** fills the gap.

Owned by a consortium (s 153). A company is owned by a consortium if it is **not a 75% subsidiary of any company** and **at least 75%** of its ordinary share capital is beneficially owned by **companies each owning at least 5%** (the **members**). A trading company that is a **90% subsidiary** of a consortium-owned holding company is also consortium-owned.

Consortium conditions (ss 132–133).

Condition	Who surrenders	Who claims	Requirements
1 (s 132)	Consortium company → member, or member → consortium company		Consortium company is a trading company or holding company ; both UK related; not if a profit on a sale of the member's shares would be a trading receipt
2 (s 133)	Consortium company	A company in the same group as a link company (a member)	Both UK related; same trading-receipt exclusion
3 (s 133)	A company in the same group as a link company	Consortium company	As above

Refinements (in outline). Where the consortium company heads a group of its own, relief its own group could give is taken into account first (ss 148–149; CTM80585). Where a member is in a group, its group companies can claim or surrender through it as link company (below).

Helmside (invented). Helmside Energy Ltd was formed on **1 January GY1** to make hydrogen balance-of-plant equipment, and it trades from the start (a consortium company must be a trading or holding company: a pre-trading company fails). Shareholders: TPLC 45%; Greyfell Utilities plc (invented listed utility) 40%; Northlight Infrastructure Fund LP (invented limited partnership) 15%.

Test	Helmside
A 75% subsidiary of any company?	No (largest holding 45%)
Ordinary share capital owned by companies each $\geq 5\%$	TPLC 45% + Greyfell 40% = 85% $\geq 75\%$
Northlight	A partnership, not a company: not a member; its 15% neither counts towards the 75% nor gives relief
Members	TPLC, Greyfell
Trading company?	Yes

Ownership proportion (ss 143–144). Relief is limited by the member’s ownership proportion: the **lowest** of its percentage of (1) ordinary share capital, (2) profits available for distribution, (3) assets on a winding up, and (4) **voting power**; if any changes during the overlapping period, the average is used (s 144). In our invented case Helmside’s articles give every share identical rights, so all four measures equal the shareholdings: **TPLC 45%, Greyfell 40%**.

Think of the consortium as a shared allotment: each member takes produce only in proportion to its plot, but the plot is measured with four tape measures, and the smallest reading wins.

Misconception: “a consortium member takes the JV’s losses in proportion to its shares”. It takes them in proportion to the **lowest of four ratios**, one of which is voting power, and only against its own available total profits.

Exam lens: consortium relief

- **Grade:** group relief 1, consortia included (the “excluding consortia” note is for the Awareness module).
- **Past appearances:** N24 Q2 (above): consortium surrender limits, the link company, trading requirement; M23 Q5 (20: a JV at 75% v 65%: some candidates missed that the second structure was a consortium).
- **Traps:** counting a partnership or individual as a member; ignoring the 5% floor; using shares rather than the lowest of four ratios; applying the % to the member’s loss when the member surrenders down; forgetting consortium consents from every member; ignoring s 147(3) (the consortium company’s own potential s 37 claim) and s 155 arrangements.

Relief up, and relief down.

Up: consortium company to members. The member’s claim is limited to its ownership proportion of the consortium company’s surrenderable amount for the overlapping period (s 143). But first, **s 147(3)**: for a consortium claim, the consortium company’s loss is reduced by any s 37 claim it **could** make against its own total profits of the period. HMRC’s example (CTM80696): a £10,000 trading loss and £5,000 of gains; a 50% member’s claim is limited to $50\% \times (£10,000 - £5,000) = £2,500$. Helmside had no other income in GY1–GY3, so nothing is deducted.

Why Northlight’s share is lost. Consortium relief is relief between companies within the charge to CT. Northlight’s investors may be individuals, pension funds or overseas institutions; the relief has no home in their hands. Each corporate member gets its fair slice and the rest stays where it fell.

The link company (ss 133, 145, 146). TPLC, the member, had no taxable profits (its own management expenses and deficits covered its income). Under consortium condition 2 a claimant that is not a member can claim if it is in the same group as a member, the **link company**: TPLC is the link company and **TEL claims**. The limit is measured by the **link company's** ownership proportion (s 145), and the total claimed by the link company and all its group companies cannot exceed what the link company itself could have claimed (s 146(1); CTM80525).

Worked example 15.5: Helmside's losses, GY1–GY3 (£; invented)

£	GY1	GY2	GY3
Helmside trading loss	4,000,000	3,000,000	1,000,000
Less potential own s 37 claim (no other profits) (s 147(3))	nil	nil	nil
Loss available for consortium claims	4,000,000	3,000,000	1,000,000
TEL via TPLC as link company (45%)	(1,800,000)	(1,350,000)	(450,000)
Greyfell (40%)	(1,600,000)	(1,200,000)	(400,000)
Retained by Helmside (Northlight's 15%)	600,000	450,000	150,000
Helmside losses carried forward (cumulative)	600,000	1,050,000	1,200,000
Payment by TEL to Helmside at 25p per £ (s 183)	450,000	337,500	112,500
Payment by Greyfell to Helmside at 25p per £	400,000	300,000	100,000

Consents: TPLC and Greyfell (the members) consent to every claim (Sch 18 para 70(2)); Helmside gives notice as surrendering company. The payment terms are in Helmside's shareholders' agreement (invented); each payment is within s 183 (less than the amount surrendered).

Down: member to consortium company. When a member surrenders to the consortium company, the limit is the member's ownership proportion of the **consortium company's available total profits** for the overlapping period (s 144; s 143 governs the claim going up). **Not the member's loss.** This is the trap the examiners named after N24 Q2.

Helmside GY4 (invented). Helmside's first profit was **£2.5m**. It first used its own carried-forward losses of **£1.2m** (s 45A; within its own £5m deductions allowance, since a consortium company is not in a 75% group: chapter 14), leaving available total profits of **£1.3m**. TPLC had surplus current-year management expenses, and the shareholders' agreement asks members to offer surplus relief to Helmside at full value (25p per £). On a **full year**, the ceiling would be $45\% \times £1.3m = \text{£}585,000$. Section 155 changes that: see the next section.

Anti-avoidance (ss 146A–146B). For claims for APs beginning on or after **12 July 2010**, relief is **halved** where arrangements prevent a member from controlling the consortium company and a main purpose is a tax advantage for the member (CTM80525). The target is a structure that keeps a member just short of control so that relief flows as consortium relief. The

Upper Tribunal applied s 146B in *HMRC v South Eastern Power Networks* [2019] UKUT 367 (TCC) (as summarised in HMRC’s manual commentary and the professional press; later history not checked).

When the consortium ends.

On **1 December GY4** TPLC and Greyfell signed **heads of terms**: TPLC would acquire Greyfell’s 40% for new TPLC shares. Completion was on **1 March GY5** (chapter 18 tells the share exchange).

Section 155 (consortium arrangements). A trading company is **not owned by a consortium** if the trading company or a member has surrenderable amounts for an AP and arrangements exist with an effect in s 155(3), including **Effect 1: the trading company could become a 75% subsidiary of a third company**. A “third company” is one that is not, apart from the arrangements, in the same group as the trading company. TPLC held 45% and was not in Helmside’s group, so on the statute’s words **TPLC is a third company even though it is also a member**. TPLC (a member) had surrenderable amounts in GY4. The consortium relationship is broken only while the arrangements exist (CTM80605).

When did the arrangements begin? (HMRC’s view.) Direct arrangements usually exist from agreement in principle, even if subject to contract (CTM80625, CTM80630). Tom Hesketh, Tarnmoor’s group head of tax, took **1 December GY4**: in our invented case the heads of terms named a price, a structure and a timetable, and both boards had approved them.

Worked example 15.6: TPLC’s surrender to Helmside, GY4 (£; invented)

£	
Helmside trading profit	2,500,000
Less own carried-forward losses (s 45A)	(1,200,000)
Available total profits for the AP	1,300,000
Consortium condition met 1 January–30 November GY4: overlapping period 11 months	
Available total profits for the overlapping period ($1,300,000 \times 11/12$)	1,191,667
Maximum relief: $45\% \times 1,191,667$	536,250
Full-year ceiling without arrangements ($45\% \times 1,300,000$)	585,000
Relief lost to the arrangements	48,750
Helmside TTP ($1,300,000 - 536,250$)	763,750
Helmside CT at 25%	190,937.50
Payment by Helmside to TPLC at 25p per £ (s 183)	134,062.50

Exact arithmetic: $1,300,000 \times 11/12 \times 45\% = £536,250$ exactly. A day basis (334/365) would give £535,315; the story uses months, as the exam rubric does (“nearest month”). TPLC’s surrender is within its s 105(3A) cap (threshold = recharge income + £825,000). Helmside’s QIP divisor for GY4 is 1 (no company controlled it at 31 December GY3) and its profits are below £1.5m: it is not large and pays on 1 October GY5.

Did it cost the group anything? Very little. The £48,750 of TPLC's management expenses not used by Helmside can go to TEL instead (within TPLC's s 105 cap), worth 25p per £ either way. The arrangements rule bites hardest where relief has nowhere else to go; here it changed which company used it.

GY5. From **1 March GY5** TPLC owns 85% and Helmside joins the 75% group: group relief, not consortium relief, is the pipe (overlapping period 1 March–31 December GY5 with each 31 December company). For 1 January–28 February GY5 the arrangements still existed, so Helmside was neither consortium-owned nor in the group: no relief either way. On 1 March GY5 Helmside also joined the group deductions allowance and countersigned TPLC's standing nomination (chapter 14). Whether TPLC's acquisition is a change in ownership of Helmside under CTA 2010 s 719 need not be decided: Helmside had no carried-forward losses left after GY4 (chapter 14).

Going further: managing a consortium exit

- Treat heads of terms as the likely start of arrangements; if relief matters, model the cost of signing on 1 December rather than 31 December, or of completing before the year end.
- Check whether the JV agreement's existing pre-emption and default clauses fall within the ss 155A–155B safe harbours, so they do not break relief from day one.
- Record the evidence (board minutes, the date terms were agreed) in the tax file; HMRC may ask for a full account of the negotiations (CTM80190).
- On joining the group: add the company to the group deductions allowance nomination, the group payment arrangement, SAO and the CIR group (chapters 3, 4, 14, 28).

Choosing a joint venture structure.

The examiners asked in **M23 Q5** to compare a 75% subsidiary with a 65% one; some candidates missed that the second was a consortium.

	75% subsidiary	Consortium company (e.g. 65% / 35%)	Partnership or LLP
Taxpayer	JV company	JV company	Each partner on its share
Losses	Group relief to the investor's group, no proportion limit; the minority partner gets none	Each corporate member its ownership proportion; relief can also flow down	Each corporate partner's share is its own loss
Assets moving in	No gain, no loss (gains group: chapter 17)	Market value; no gains group	No gains group; each partner taxed on its share of partnership gains
Exit	Degrouping charges (chapter 17); arrangements	Arrangements (s 155); s 146A–146B	Partnership disposal rules
Dividends received	Exempt (subsidiary)	Exempt: the 40/55 JV class or ordinary shares class	Not applicable

Worked example 15.7: 75% v 65% (labelled illustration; not a story fact)

A new venture loses £1,000,000 in its first year. At **75%**, it is in the investor's group: the investor's group can claim the whole £1,000,000; the 25% partner gets nothing. At **65%**, with a company partner at 35%, it is a consortium company: investor £650,000, partner £350,000. Which is better depends on who has profits and what the partners agree about sharing relief.

Three more JV rules.

- **Dividends (CTA 2009 s 931E).** A distribution is in the controlled company exempt class where the recipient is one of two persons who together control the payer, the recipient holds **at least 40%** of the relevant interests, and the other holds **at least 40% but no more than 55%** (the 40/55 JV test). TPLC (45%) and Greyfell (40%) fit. Otherwise JV dividends usually fall within the ordinary shares class (s 931F).
- **SSE (TCGA 1992 Sch 7AC paras 23–24).** Special look-through rules for holdings in JV companies so that a venture's trade can count towards the investor's trading status: chapter 18.
- **Employee shares (CTA 2009 s 1008).** Part 12 relief extends to shares in a consortium member that owns the employer or its parent: Helmside's staff could receive TPLC shares, and Helmside could claim the deduction.

Exam lens: joint ventures

- **Grade:** joint ventures **1** (core).
- **Past appearances: M23 Q5** (20 marks: a 75% v 65% JV; gains group v consortium; a property transfer with a rolled-over gain and an earlier no gain, no loss transfer; loss utilisation). Examiners: confusion over the second structure; few saw that a no gain, no loss transfer means a lower base cost later.
- **Style:** compare structures in a table or short paragraphs; quantify relief; recommend if asked (the examiners deduct for a missing recommendation).

Companies as partners.

Moorgate Logistics LLP (invented). In GY4 **Tarnmoor Estates Ltd (TES)** and an unconnected developer formed Moorgate Logistics LLP, **50:50**, to build and let a logistics park.

Rule	Detail	Reference
Transparency	An LLP carrying on business with a view to profit is treated as a partnership of its members	CTA 2009 s 1273
Computation	For a corporate partner, the firm's profits (and losses) are computed as if a UK resident company carried on the trade; extended to non-trading businesses	ss 1257, 1259

Rule	Detail	Reference
Allocation	Shared according to the profit-sharing arrangements for the period; QCDs made by the firm shared the same way	s 1262
Periods	Each partner's share is apportioned to its own APs	s 1265
Mixed membership	Profit may be reallocated from a corporate partner to an individual partner (deferred profit, Condition X; excess over an appropriate notional profit plus power to enjoy, Condition Y); s 1264A makes just and reasonable adjustments to the company's share	ITTOIA 2005 s 850C; CTA 2009 s 1264A (FA 2014 Sch 17)

Worked example 15.8: Moorgate Logistics LLP, GY4 (£; invented)

£	LLP	TES 50%
Rents	1,600,000	
Property expenses	(400,000)	
Bank interest	(300,000)	
Fair value gain on investment property	900,000	
Profit per accounts	1,800,000	900,000
<i>Corporation tax basis (s 1259):</i>		
Rents less expenses	1,200,000	
Capital allowances on plant in the buildings (claimed in the firm's computation)	(100,000)	
UK property business profit	1,100,000	550,000
Bank interest: non-trading loan relationship debit (loan relationship rules)	(300,000)	(150,000)
Fair value gain: capital, not income; taxed only on a disposal, as a chargeable gain of the partners	excluded	excluded
TES's net taxable share		400,000

TES has investment business: its £150,000 NTLR debit joins its own NTLR position (TES already claims under CTA 2009 s 463B against its property profits: chapter 12). No mixed membership issue: Moorgate has no individual members. Later years of Moorgate are not used in the story.

Losses. If the firm makes a trading loss, in outline the corporate partner's share is computed on CT rules and treated as its own loss of the period, usable like any other loss, including by group relief within its own group.

Purpose of the mixed membership rules. They stop individuals sheltering profits at CT rates inside a corporate partner (FA 2014).

Exam lens: partnerships with a corporate partner

- **Grade:** partnerships: company as a partner **1** (core); not seen M23–M26 as a standalone question.
- **Traps:** computing the share on income tax rules; ignoring loan relationship and CA rules in the firm's computation; failing to apportion the share to the partner's own AP; forgetting QCDs are shared; forgetting s 850C / s 1264A where individuals and companies are partners together.

Planning, and the tax function's year.

For a group like Tarnmoor, group relief is a cycle, not a year-end sum.

Going further: the group relief year

1. **Forecast** each company's profits and losses at the start of the year and decide where relief will land; for very large claimants the forecast drives QIPs (cash in month 3).
2. **Watch the deal pipeline.** Any agreement in principle to sell a subsidiary or change a JV's ownership may start arrangements (s 154, s 155). Signing heads of terms on the 1st of a month rather than the last can cost a month of relief.
3. **Order of surrenders.** Current-year relief is unrestricted and certain: use it first. Fill the most valuable claimants first; watch companies whose own carried-forward losses would otherwise sit behind Part 7ZA. In Tarnmoor every profitable company pays 25%; in a smaller group, a pound of loss used to bring a company down from the marginal relief band (marginal rate 26.5%) is worth more than one used where it saves 19% or 25% (M26 Q4: the best answers used group relief to keep profits in the 19% band).
4. **Thresholds.** Test s 105(3A) for each family B surrenderer, including CFC apportionments; for consortium claims, check all four ownership measures, not just the register.
5. **Returns.** Collect consents (all members for consortium claims); diarise para 74 deadlines; document payments within s 183; consider simplified arrangements.
6. **Interaction.** Group relief changes which companies are taxable, and so deferred tax (chapter 6) and the CIR allocation of disallowed interest (chapter 28).
7. **Structure with the exit in mind.** The cleanest structure for losses on day one can be the costliest when the partners part.

What to take away.

- **Separate taxpayers.** Group relief is a claim-based pipe between companies, measured for the overlapping period, limited to the **lower** of the surrenderable amount and the claimant's available total profits (ss 137–142).

- **Group.** 75% of ordinary share capital (indirect holdings multiplied), held beneficially, **plus** 75% of profits and assets available to equity holders (s 151). Traced through non-residents; relief only between **UK related** companies (s 134).
- **What goes.** Trading losses, excess CAs, NTLR deficits in full; QCDs, property losses, management expenses and non-trading intangibles losses only above the **profit-related threshold** (gross profits + apportioned CFC profits: s 105(3A)). TPLC: **£5,075,000** (GY1) and **£5,475,000** (GY2) of management expenses, not £5.9m/£6.3m; **£825,000** a year stranded.
- **Claimant.** Takes group relief last. TEL GY2: relief **£17.095m**; TTP **£8.905m**; CT **£2,226,250**; QIPs $4 \times £556,562.50$; net after the RDEC **£1,626,250**.
- **Dates.** Groups begin on beneficial ownership (usually completion) and end early under **arrangements** (s 154; HMRC: agreement in principle, even subject to contract). *Farnborough* [2019] EWCA Civ 118: a receiver's appointment broke the group.
- **Claims.** In the claimant's return with notice of consent; consortium claims need every member's consent; deadline the latest of the first anniversary of the claimant's filing date and 30 days after enquiry or appeal events (Sch 18 paras 70, 74). Payments up to the amount surrendered ignored (s 183).
- **Part 5A.** Carried-forward losses surrenderable only after own use, within Part 7ZA, never a joiner's pre-acquisition losses within 5 years.
- **Abroad.** UK PEs of non-residents can surrender losses not relievable abroad; EEA relief repealed from 27 October 2021; DRICs cannot surrender (s 109).
- **Consortium.** Not a 75% subsidiary; $\geq 75\%$ owned by companies each $\geq 5\%$ (s 153). Ownership proportion = lowest of four ratios (ss 143–144). Up: proportion of the consortium company's loss (after its own potential s 37 claim, s 147(3)). Down: proportion of the consortium company's **available total profits**. Link company route (ss 133, 145–146). Helmside: TEL **£1.8m / £1.35m / £0.45m**; Greyfell £1.6m / £1.2m / £0.4m; Helmside c/f **£1.2m**; GY4 surrender down **£536,250** (11 months, after the 1 December heads of terms) instead of £585,000.
- **JVs.** 75% v consortium v partnership; 40/55 dividend class; SSE look-through; s 1008.
- **Corporate partner.** Share computed on CT rules (s 1259) and allocated by profit-sharing arrangements (s 1262); mixed membership rules (s 850C, s 1264A). TES's GY4 share of Moorgate: **£400,000** net (property £550,000 less NTLR debit £150,000).

So the chapter's question has its answer. The law makes losses travel company by company because the group is not a taxpayer. It lets them travel at all because the group is a business. Every limit in this chapter sits on the line between those two truths.

Losses are not the only thing a group moves. Chapter sixteen turns to company gains on property and leases, and chapter seventeen shows how assets, like losses, move inside the group.

Key rules and figures

Rule	Figure / effect	Reference
Group relief group	75% ordinary share capital + 75% profits + 75% assets (equity holders); beneficial	CTA 2010 ss 151–152, 157–182
UK related	UK resident, or non-resident trading through a UK PE	s 134
Surrenderable amounts	(a)–(c) in full; (d)–(g) above the profit-related threshold	ss 99, 105

Rule	Figure / effect	Reference
Profit-related threshold	Gross profits + apportioned CFC profits (surrender periods ending on or after 20 March 2013)	s 105(3A)
Relief limit	Lower of unused surrenderable amount and unused available total profits, for the overlapping period	ss 137–142
Overlapping period	Common period, excluding any part when the group condition is not met; time apportionment (HMRC)	s 142; CTM80225
Arrangements (groups)	Effects 1 and 2 (and others); agreement in principle (HMRC)	s 154; CTM80170, CTM80190, CTM80195
JV safe harbours	Arrangements made in APs beginning on or after 1 March 2012	ss 155A–155B; CTM80181
DRIC	Cannot surrender; no NGNL receipt	s 109; TCGA s 171(2)(d)
EEA losses	Ch 3 repealed from 27 October 2021	FA 2022 s 24(3); CTM81502
Claims	Consent notice (all members for consortium claims); latest of 1st anniversary of filing date and 30-day enquiry/appeal dates	FA 1998 Sch 18 paras 70, 74
Payments	Up to the amount surrendered: ignored; not a distribution	s 183; s 188FA
Part 5A	Post-1 April 2017 c/f losses; own use first; Part 7ZA; Ch 2C for joiners	ss 188AA–188FD; s 188BE
Consortium	Not a 75% sub; $\geq 75\%$ owned by companies each $\geq 5\%$; 90% trading sub of consortium holding company	s 153
Ownership proportion	Lowest of shares, profits, assets, votes; averaged if changes	ss 143–144
Consortium company's own loss	Reduced by potential s 37 claim	s 147(3); CTM80696
Link company	Link company's proportion; group total capped at what link company could claim	ss 133, 145, 146
Halving rule	Arrangements preventing control + main purpose tax advantage (APs from 12 July 2010)	ss 146A–146B
Consortium arrangements	Could become 75% subsidiary of a "third company" (not in the same group)	s 155
JV dividends	40/55 controlled company class	CTA 2009 s 931E
Corporate partner	CT computation; profit-sharing arrangements; AP apportionment	CTA 2009 ss 1257–1265, 1273
Mixed membership	Reallocation to individuals; adjustment to corporate share	ITTOIA 2005 s 850C; CTA 2009 s 1264A

Rule	Figure / effect	Reference
Story: TPLC surrender to TEL	GY1 £11,665,000 (ME £5,075,000 + NTLR £6,590,000); GY2 £13,145,000	invented
Story: TEL GY2	Relief £17,095,000; TTP £8,905,000; CT £2,226,250; net £1,626,250	invented
Story: BSL	£5.2m loss; £2.6m for 1 July–31 December GY2 to TEL	invented
Story: Helmside	TEL £1.8m / £1.35m / £0.45m; Greyfell £1.6m / £1.2m / £0.4m; c/f £1.2m; GY4 down £536,250 (11/12); TTP £763,750	invented
Story: Moorgate LLP GY4	TES share: property £550,000; NTLR debit £150,000; net £400,000	invented

Statutory and case references

Statute. CTA 2010 Part 5: ss 97–99, 105, 107, 109, 111–128 (repealed), 129–134, 137–147, 148–149, 151–157, 155A, 155B, 157–182, 183; Part 5A ss 188AA–188FD (esp. 188BE, 188FA); Part 7ZA; Part 14 Ch 2C; s 719. CTA 2009 ss 931E, 931F, 979, 1008, 1223, 1257, 1259, 1262, 1264A, 1265, 1273. ITTOIA 2005 s 850C. TIOPA 2010 s 371BC, Part 10. TCGA 1992 ss 170(11), 171(2)(d). FA 1998 Sch 18 paras 66–77 (esp. 70, 74). SI 1999/2975. FA 2013; FA 2014 Sch 17; F(No.2)A 2015; FA 2022 s 24(3); FA 2026 s 31.

HMRC manuals. CTM80142; CTM80170, CTM80181, CTM80185, CTM80190, CTM80195, CTM80205, CTM80206; CTM80225, CTM80260, CTM80265; CTM80520, CTM80525, CTM80540, CTM80585, CTM80605, CTM80625, CTM80630, CTM80696; CTM81502; CTM82030, CTM82170, CTM82505–CTM82525; CTM97020, CTM97060; COM53100; CIRD89870.

Cases. *HMRC v Marks and Spencer plc* [2013] UKSC 30; [2014] UKSC 11 (recap). *HMRC v FCE Bank plc* [2012] EWCA Civ 1290. *Farnborough Airport Properties Co v HMRC* [2019] EWCA Civ 118 (UT [2017] UKUT 394 (TCC)). *HMRC v South Eastern Power Networks* [2019] UKUT 367 (TCC) (as summarised by HMRC and the professional press).

Chapter sixteen: Company gains: property and leases

On 30 April GY3, Tarnmoor Estates Ltd (TES) exchanged contracts to sell its depot for £6.0m. Tarnmoor, its companies, its people and its numbers are invented for teaching, as they are throughout this book. TES is the group's property company. It had bought the depot in June 2004 for £2.5m, and for all those years it had let the building to Tarnmoor Engineering Ltd (TEL), which used it for its trade.

A gain of £3.5m, on the face of it. Yet the group's tax function knew that the corporation tax due on that sale could be anything from about £200,000 to more than £800,000, depending on three things: what the law lets the company deduct; what the group does with the money next; and when the sale is treated as happening.

This chapter works through those questions for land, buildings and leases. It is the second chapter of Part Three. Corporation tax on chargeable gains, computation of gains, market value and connected parties, assets and disposals, allowable deductions, leases of land, part disposals, chattels, post-transaction valuations, replacement of business assets, stock in trade, property income and transactions in land are all **core (grade 1)** on the LCG grid; wasting assets, ss 48–52 and indexation are **non-core (grade 2)**. The chapter builds on *The Living Law* (TKS), chapter 23, which taught company gains at the first level: indexation, the matching rules, the shareholding exemption and roll-over relief in outline. Here we take the property side to Advanced Technical depth.

The law is mostly in the Taxation of Chargeable Gains Act 1992 (TCGA 1992). Property income sits in the Corporation Tax Act 2009 (CTA 2009) and the transactions in land rules in the Corporation Tax Act 2010 (CTA 2010). We apply the law for FY2026.

A gain in the corporation tax computation

A company does not pay capital gains tax. Its chargeable gains are computed under TCGA 1992 and then fed into its corporation tax computation, where they become part of **total profits** (TCGA 1992 s 2A; CG40200) and are taxed at the company's ordinary rate: for a large company in FY2026, **25%**. There is no annual exempt amount for a company and no separate rate for gains.

Territorial scope (s 2B). A UK-resident company is chargeable on gains on assets wherever situated, subject to the foreign branch exemption (CTA 2009 Part 2 Ch 3A; chapter 25). A non-resident company is chargeable on gains on **UK land**, on assets deriving **at least 75%** of their value from UK land where it has a substantial indirect interest (Sch 1A), and on assets used for a **UK permanent establishment**. FA 2026 Sch 7 para 28 rewrote the PE link (attribution under CTA 2009 ss 20 and 24) for chargeable periods beginning on or after **1 January 2026**; FA 2026 s 40 treats each cell of a protected cell company as a separate company for the Sch 1A test (disposals on or after 26 November 2025). Chapter 23 owns the non-resident rules.

Order of computation. For each accounting period: chargeable gains, less allowable losses of the same period, less capital losses brought forward. The net figure enters total profits. Excess losses carry forward, without time limit, against future gains only.

Traps.

- A **capital loss can never be set against income** (trading profits, rents, interest). The examiners reported after M26 (Q4) that candidates still did so. The reverse works: a trading loss under CTA 2010 s 37 is set against total profits, which include gains.
- A capital loss must be **quantified and notified** to HMRC (TCGA 1992 s 16(2A)), in practice through the company's return.
- Since **1 April 2020**, carried-forward capital losses fall within the **loss restriction** (CTA 2010 Part 7ZA; chapter 14): above the £5m deductions allowance they shelter only 50% of chargeable gains. In a group whose allowance is allocated elsewhere (Tarnmoor allocates the whole £5m to TEL in GY1–GY4), a capital loss brought forward may be worth much less than its face value.

Inside a group a gain in one company and a loss in another can be matched by a **joint election** without moving any asset (s 171A). Chapter 17 owns that election and the no gain, no loss transfers beside it. This chapter stays with a single company and its property.

Disposals, dates and connected persons

Assets and disposals (ss 21–28). All forms of property are assets, including options, debts, rights and property created by the company. A disposal includes a sale, a gift, a part disposal and the receipt of a **capital sum derived from an asset** (s 22: compensation, insurance proceeds, sums for forfeiture or surrender of rights). Under s 24 a company can make a **negligible value claim**, being treated as selling and reacquiring the asset at that value, which crystallises the loss.

Date of disposal (s 28). For an asset sold under a contract, the disposal is made **when the contract is made**, not when the asset is conveyed; for a **conditional contract**, when the condition is satisfied. TES's depot was sold on **30 April GY3**, the date contracts were exchanged unconditionally, although completion came later. The date decides the accounting period, the instalment payments and the roll-over window.

Market value (s 17) and connected persons (ss 18, 286). The consideration is replaced by market value where the disposal is not a bargain at arm's length, or is a gift. Between **connected persons** the transaction is always treated as not at arm's length (s 18(2)), so market value applies whatever the contract says. Companies under common control are connected with each other; a company is connected with the person who controls it (s 286(5)–(6)).

Clogged losses (s 18(3)). A loss on a disposal to a connected person can be set only against gains on other disposals **to that same person**, at a time when they are still connected (CG14561). Within a gains group, s 171 overrides market value altogether (s 171(6)), so in practice the rule bites on disposals to companies that are **connected but outside the gains group**: a 60% subsidiary, or a company controlled by the same outside investor.

Series of transactions (ss 19–20). Where two or more **linked transactions** with connected persons fall within **6 years** ending with the last of them, and the market value of the assets in a transaction is less than their **appropriate portion of the aggregate market value** of everything disposed of in the series, each is treated as made for that appropriate portion. Each later transaction reopens the earlier computations (s 19(4); CG14650, CG14740). The rule stops a group breaking a valuable whole into cheap pieces. HMRC's guidance on its interaction with group transfers is at CG14700–CG14702.

What it cost, and the frozen thermometer

Allowable deductions (s 38).

1. **Acquisition cost** and the incidental costs of acquisition (legal fees, surveyors' fees, SDLT) (s 38(1)(a)).
2. **Enhancement expenditure:** expenditure wholly and exclusively incurred to enhance the asset's value, "being expenditure reflected in the state or nature of the asset at the time of the disposal"; and expenditure on establishing, preserving or defending title (s 38(1)(b)).
3. **Incidental costs of disposal** (s 38(1)(c)).

Exclusions. Nothing deductible in computing income (s 39), so repairs deducted against rents are not deducted again. **Capital allowances never reduce a gain:** they restrict only a **loss** (s 41; chapter 9).

Worked example 16.1: the demolished extension (hypothetical, not a story fact; the M26 Q3 pattern)

A company bought a freehold factory for £3,000,000 (after December 2017: no indexation). It later spent £400,000 on a workshop extension, which it demolished before the sale, and £600,000 on a new wing that still stands. It sells for £5,000,000 with £50,000 of agents' and legal fees.

	£
Proceeds	5,000,000
Less: incidental costs of disposal	(50,000)
Less: cost	(3,000,000)
Less: enhancement reflected in the asset at disposal (new wing)	(600,000)
Demolished workshop: not reflected in the asset at disposal	nil
Chargeable gain	1,350,000

Indexation allowance (s 53). Companies kept indexation after it ended for individuals. It increases each item of allowable expenditure by the rise in the RPI from the month it was incurred, **but only to December 2017** (s 53(1B), inserted by FA 2018; RPI December 2017 = 278.1). *The Living Law*, chapter 23, compared it to a thermometer that stopped. Assets bought after 2017 carry none. Indexation **cannot create or increase a loss** (s 53(2A)): if proceeds are below cost, indexation is nil; if the unindexed gain is smaller than the indexation, the result is no gain, no loss. The examiners reported after M26 (Q4) and M25 (Q5) that candidates still used indexation to enlarge a loss. The indexation factor is (RPI December 2017 – RPI month of expenditure) / RPI month of expenditure, **rounded to three decimal places**; the exam's tax tables supply the RPI.

Worked example 16.2: TES's depot, GY3 (invented)

	£
Proceeds (contract exchanged 30 April GY3)	6,000,000
Less: cost (June 2004)	(2,500,000)
Unindexed gain	3,500,000

	£
Less: indexation $0.489 \times £2,500,000$ (June 2004 → December 2017)	(1,222,500)
Chargeable gain before reliefs	2,277,500
CT at 25% with no relief	569,375

The factor for June 2004 to December 2017 is **0.489**, the figure used in *The Living Law*, chapter 23.

The chapter 3 link. TES paid its GY2 instalments on a forecast that included this gain. The sale slipped to 30 April GY3, so TES overpaid by exactly **£569,375** and surrendered £400,000 of the refund to TEL (chapter 3, worked example 3.6). The date of disposal moved the tax by a whole year.

Selling part of an asset, and proving the value

Part disposals (s 42). The cost attributed to the part disposed of is

$$\text{cost} \times A / (A + B)$$

where **A** is the consideration for the part disposed of and **B** is the market value of the part retained. The balance of cost stays with the retained part. Expenditure wholly attributable to one part (for example a road built only on the land sold) is allocated directly. The apportionment is made before any no gain, no loss or roll-over adjustment.

Worked example 16.3: a strip of land (hypothetical, not a story fact)

Cost of site (after December 2017) £1,200,000; strip sold for £500,000; land retained worth £1,500,000.

	£
Proceeds	500,000
Cost: $£1,200,000 \times 500,000 / (500,000 + 1,500,000)$	(300,000)
Chargeable gain	200,000
Cost carried forward for the land retained	900,000

Valuations. B is not a price anyone paid: it is a valuation. So are market value on a connected-party disposal and the value of a reversion on a lease grant. HMRC offers **post-transaction valuation checks** on form **CG34**, for CT as well as CGT: after the disposal and, on HMRC's guidance, at least **3 months before the filing date**. If HMRC agrees the valuation, it will not challenge it when the return is filed, provided full and accurate facts were given. Shares and Assets Valuation values shares and other assets; the **Valuation Office Agency** values land. (The CG manual's PTVC pages, CG16600–CG16601, were archived on 22 April 2026, but the CG34 publication page and the SAV guidance remain live.)

Going further: valuation as a control. A tax function builds the CG34 step into the timetable for every material disposal that rests on a valuation: part disposals of land, lease grants (the reversion value), connected-party transfers outside the gains group, and appropriations to stock. The valuation report, the instructions given to the valuer, and HMRC's response go on the disposal file. It is free, and it removes one of the commonest causes of enquiry into a gains computation.

Wasting assets, chattels and money paid later

Wasting assets (ss 44–47). A wasting asset has a predictable life of **50 years or less**; plant and machinery is always treated as having such a life (s 44(1)(c); CG15440). For most wasting assets the cost is written off on a **straight line** over the life (s 46). Leases of land follow their own curve (Sch 8; below).

Plant and machinery that qualified for capital allowances.

- Wasting **chattels** are normally exempt (s 45(1)), but **not** if they qualified (or could have qualified) for capital allowances (s 45(2); CG76721).
- Where the asset qualified for allowances in full, the straight-line write-off is switched off (s 47), and any **loss** is restricted by the allowances given (s 41).
- Result: plant sold **below cost** gives no gain and, after s 41, **no allowable loss** (the capital allowances system has dealt with the fall in value). Plant sold **above cost** gives a chargeable gain on the excess, while the capital allowances disposal value is capped at cost.
- **Chattels (s 262):** a chattel disposed of for **£6,000 or less** is exempt, even if it qualified for allowances (CG15440); above £6,000 the gain is capped at $\frac{5}{3} \times (\text{consideration} - £6,000)$.
- **Fixed plant** forming part of a building is not a chattel: it is part of the land.

The examiners mixed these rules into M26 Q3 (15 marks). The best answers sorted each asset first: building, fixed plant or movable plant.

Deferred consideration (s 48). Ascertainable deferred consideration is brought in **at once, without discount** for waiting and without regard to the risk of non-recovery; if it later proves irrecoverable, the computation is adjusted on a claim. **For companies**, s 48(1) does not apply to consideration consisting of rights under a **creditor relationship**: it is brought in at **fair value** (s 48(2)–(4); CG14930), and the debt is then taxed under the loan relationship rules (chapter 12).

Unascertainable consideration (an earn-out dependent on future profits) is a separate asset, a chose in action (*Marren v Ingles*): chapter 18 tells that story with the sale of Tarnmoor Actuators.

Tax by instalments (s 280). Where consideration is payable by instalments over more than **18 months**, the tax may be paid by instalments over up to **8 years**, as HMRC allow (CG14910; HMRC normally expects 50% of each instalment of consideration). It is a cash-flow relief, not a reduction of the gain, and it is not available for unascertainable consideration.

Worked example 16.4: plant on a site sale (hypothetical, not a story fact)

Asset	Cost £	Proceeds £	Gains result
Movable press (main pool)	80,000	30,000	No gain; loss restricted to nil by allowances (s 41). CA disposal value £30,000
Movable test cell (main pool)	80,000	90,000	Gain £10,000 (no wasting restriction: s 47; no s 45 exemption). CA disposal value capped at £80,000
Small compressor (chattel)	4,000	5,000	Exempt: consideration not above £6,000 (s 262)
Fixed crane rail (part of building)	—	—	Part of the land: in the building's computation; no chattel rule

Leases as a melting block of ice

A lease ends. A lease with 999 years to run is, for practical purposes, as good as the freehold; one with two years to run is nearly worthless. So a lease of land is a **wasting asset only once 50 years or less remain** (Sch 8 para 1(1)); a lease with more than 50 years to run is a long lease and is not a wasting asset at all.

Think of a lease with 50 years left as a block of ice. It melts slowly at first, then faster towards the end. A lease with 25 years left is worth **much more** than half a 50-year lease, because the value collapses in the last few years. The law captures the curve in the **lease percentage table** (Sch 8 para 1(6)), reproduced in the CTA tax tables:

Years unexpired	Percentage
50	100
25	81.100
10	46.695
1	5.983

The restriction (Sch 8 para 1(3)–(4)). On the disposal of a short lease, the expenditure excluded is $(P1 - P3)/P1$ of the acquisition cost, where P1 is the table percentage for the duration at acquisition and P3 at disposal; in other words, **allowable cost = cost $\times$ P3/P1**. Enhancement expenditure is restricted separately, using P2 (the percentage when it was incurred) (CG71141). **Indexation** is computed on the **restricted** expenditure, not the original cost (CG17380).

Two rules decide whether the table applies.

1. **Status at the transaction date.** A lease bought with 60 years to run and sold with 45 left is a short lease when sold; HMRC's guidance confirms that the short-lease rules apply even though it was long when acquired. The examiners stressed this after N25 (Q5).
2. **Assignment v grant.** An **assignment** is the sale of an existing lease: the whole lease passes and the computation is a simple disposal of a wasting asset. A **grant** creates a new lease out of a larger interest: a part disposal and, for a short

lease, an income charge on the premium. The examiners reported after N24 (Q1) that candidates treated assignments of short leases as grants.

The misconception. “Any premium received for a short lease is partly income.” It is not. Only a premium on the **grant** of a lease of 50 years or less has an income element (CTA 2009 s 217). A price received on an **assignment** is pure capital (subject to the special rule for assigning a lease granted at an undervalue: CTA 2009 s 221; CG71210).

Worked example 16.5: TES assigns a leasehold office, GY3 (invented)

TES held a leasehold office as an investment (not used in any group trade, so no roll-over). It bought the lease with exactly **50 years** unexpired for **£800,000** and assigned it in GY3, with exactly **25 years** unexpired, to an unconnected buyer for **£1,000,000**.

	£
Proceeds	1,000,000
Allowable cost: £800,000 × 81.100 / 100	(648,800)
(Cost wasted: £151,200, under a fifth of the cost for half the term)	
Unindexed gain	351,200
Less: indexation on restricted cost, 0.250 × £648,800 (factor assumed for the story)	(162,200)
Chargeable gain	189,000

Why indexation. A lease bought with 50 years to run and sold with 25 left has been held for 25 years, so TES bought it long before December 2017. In our invented case the indexation factor from the month of purchase to December 2017 is **assumed to be 0.250**, a round figure chosen for the story (the book never dates Group Years). In the exam, compute the factor from the RPI in the tax tables and round it to three decimal places.

Granting a lease for a premium

Why should a premium ever be income? Because rent and premium are two ways of being paid for the same thing. A landlord can let a warehouse for 30 years at a full rent, or at a lower rent plus a large payment up front. If the up-front payment were all capital, landlords would convert rent into premium. So **CTA 2009 ss 217–221** treat part of a premium on a short lease as **property income**.

The income element (s 217). Where a lease of **50 years or less** is granted for a premium, the amount taxed as property income is

$$P \times (50 - Y) / 50$$

where P is the premium and Y is the number of complete periods of 12 months in the term other than the first (so $Y = n - 1$ for a lease of n complete years). For a **30-year** lease: $(50 - 29)/50 = 21/50 = 42\%$. Each extra year of term takes 2% off: a premium for a one-year lease is taxed wholly as income, one for a 50-year lease only 2%. The rules also reach work the tenant is required to carry out (s 218), sums payable instead of rent (s 219) and sums for the surrender of a lease (s 220).

The capital part and the part disposal. The rest of the premium is capital, and the grant out of a freehold (or long lease) is a **part disposal** of the landlord's interest. The income element is excluded from the consideration (TCGA 1992 Sch 8 para 5(1)). **HMRC's guidance (CG70960)** then adjusts the s 42 fraction: the **numerator** uses only the premium **not** taxed as property income, while the **denominator** uses the **full premium** plus the value of the reversion:

$$\text{allowable cost} = \text{cost} \times (\text{premium} - \text{income element}) / (\text{full premium} + \text{value of reversion})$$

HMRC's own example: premium £350,000, income element £35,000; allowable cost $£450,000 \times 315,000 / (350,000 + 500,000) = £166,765$. Many study texts and candidates use the full premium in the numerator, or the capital part in both lines; neither matches CG70960.

Worked example 16.6: TES grants a 30-year lease, GY4 (invented)

In GY1 TES bought a run-down freehold warehouse for **£1,500,000**. Values in the area rose fast. In GY4 it grants a **30-year lease** to an unconnected logistics operator for a premium of **£2,000,000** plus a yearly rent. After the grant, the freehold reversion is worth **£4,000,000**.

Property income (CTA 2009 s 217)

	£
Premium	2,000,000
Income element: $£2,000,000 \times (50 - 29) / 50$	840,000

Chargeable gain (TCGA 1992 s 42; Sch 8 para 5; CG70960)

	£
Premium	2,000,000
Less: amount taxed as property income	(840,000)
Capital consideration	1,160,000
Less: cost $£1,500,000 \times 1,160,000 / (2,000,000 + 4,000,000)$	(290,000)
Indexation (bought after December 2017)	nil
Chargeable gain	870,000
Cost carried forward with the reversion ($£1,500,000 - £290,000$)	1,210,000

Effect for TES in GY4

	£
Property income	840,000
Chargeable gain	870,000
Taxable in GY4 from a £2,000,000 premium	1,710,000
CT at 25%	427,500

For comparison only (not HMRC's method): full premium in both lines: cost £500,000, gain £660,000; capital part in both lines: cost £337,209, gain £822,791.

The tenant: a trading tenant deducts the landlord's taxed receipt spread daily over the receipt period (CTA 2009 ss 62–67): $£840,000 / 30 = \text{£28,000 a year}$. Rent is deductible as it accrues.

For a tenant, rent beats premium on timing; for a landlord, a premium brings tax forward. That is a negotiating point as much as a tax point.

Two variations.

- **Grant of a long lease** (more than 50 years): no income element; the whole premium is consideration for an ordinary part disposal, with the full premium as A. M26 Q4 (20 marks) set the grant of a long lease in an investment company, and also tested that indexation cannot create a loss.
- **Sub-lease granted out of a short lease** (Sch 8 para 4): the cost used up is measured with the lease table, not $A/(A+B)$, and the income element is **deducted from the gain** rather than the proceeds, but not so as to create a loss (Sch 8 para 5(2)). (Para 4's formula was not re-opened for this chapter: check it in the legislation if a question needs it.)

Property income for a company

TES's rents and its premium income fall into one **UK property business** (CTA 2009 Part 4). For a company, all its lettings of UK land form a single business; profits are computed on trading principles, following GAAP (s 210 applies the trading income rules). Rents are taxed as they accrue; repairs, insurance, agents' fees and building running costs are deducted; capital allowances are available on plant used in the business (lifts, heating), though not on plant in a dwelling.

Interest is a loan relationship debit, not a property expense. A company's interest on borrowings to buy or improve property is dealt with under the loan relationship rules (chapter 12). TES's £4.2m a year of interest on its £70m loan from TFL is a non-trading debit; TES sets its non-trading deficit against its own property profits by claim (CTA 2009 s 463B).

Timing differs from the accounts. A landlord's accounts usually spread a premium over the lease. The income element is taxed in the accounting period in which the lease is **granted**, so the accounts are adjusted and the difference is a timing difference for deferred tax (chapter 6). TES's £840,000 is taxed in GY4 whatever its accounts show for that year.

Reverse premiums (CTA 2009 ss 96–98, 250). A payment by a landlord to induce a company to take an interest in land is a **revenue receipt**: a trading receipt if the company takes the premises for its trade (s 98), otherwise a receipt of its property business (s 250). It is normally taxed as the accounts spread it, but where parties are **connected and the terms are not at arm's length**, the whole amount is taxed in the period of the transaction (s 250(5); BIM41055).

Property losses (CTA 2010 s 62). A UK property business loss is set against the company's **total profits** of the same period; any excess carries forward against total profits of later periods (within Part 7ZA) or can be surrendered as group relief, but only so far as it exceeds the company's gross profits (CTA 2010 s 105; chapter 15).

Why roll-over relief exists, and how it works

A business that sells its factory to move to a better one has not cashed out: it has swapped one productive asset for another. Taxing the gain would take cash out of the business as it reinvests. **Roll-over relief (TCGA 1992 ss 152–158)** lets a trader postpone the gain by deducting it from the cost of the replacement. The tax is **deferred, not forgiven**: it returns when the new asset is sold, unless that gain is rolled over again.

Conditions (state them: marking guides give marks for them).

Condition	Detail	Reference
Old asset	Used only for the trade throughout the period of ownership; otherwise the gain is apportioned and only the trade part qualifies	s 152(1), (6)–(7)
New asset	Acquired for the trade and taken into use for it on acquisition	s 152(1)
Classes	Both assets in qualifying classes (not necessarily the same class). Class 1 : Head A land and buildings occupied and used only for the trade; Head B fixed plant or machinery not part of a building. Also ships, aircraft, satellites, quotas and others	s 155
Companies and goodwill	Classes 4–7A do not apply where the new asset is a chargeable intangible; goodwill and intangibles go to the CTA 2009 Part 8 reinvestment relief (chapter 11)	s 156ZB
Window	12 months before to 3 years after the disposal (HMRC may extend)	s 152(3)
Claim	Within the 4-year time limit for company claims	FA 1998 Sch 18 para 55
Provisional claim	A declaration in the return of intention to reinvest; for a company it lapses on the 4th anniversary of the end of the AP of disposal , and tax becomes due with interest from the normal date	s 153A
Groups	Trades of group members treated as one; non-trading member holding assets used only for group trades can claim; both companies claim (chapter 17)	s 175

Partial reinvestment (s 153): the rule at the heart of the topic. Where only part of the proceeds is reinvested, the amount chargeable now is the proceeds not reinvested, capped at the gain; the rest of the gain is rolled over. If the proceeds not reinvested equal or exceed the gain, no relief is available at all.

The misconception. “Roll-over taxes the part of the gain you did not reinvest.” It taxes the part of the **proceeds** you did not reinvest. The law assumes that cost comes back first and gain last: relief begins only once the company has reinvested more than cost plus indexation, and the whole gain is rolled over only when the whole proceeds are reinvested. The examiners reported after N24 (Q1) and M26 (Q3) that candidates computed the chargeable amount from the gain.

The depot, the distribution centre and the proceeds not reinvested

On **1 September GY3**, TEL bought a new distribution centre from a developer for **£5,200,000** (land £1.2m; integral features £0.6m; structure £3.4m: chapter 9), four months after the depot sale and well inside the window, and took it straight into use for its trade. TES had let the depot to TEL, which used it **only for its trade throughout TES’s ownership**. Two companies are involved, so the claim is a **group** claim under s 175, signed by both; chapter 17 sets out those conditions. The arithmetic is the same as for a single company.

Worked example 16.7: group roll-over of the depot gain, GY3 (invented)

	£
Proceeds of depot (TES)	6,000,000
Gain (worked example 16.2)	2,277,500
Reinvested: TEL’s distribution centre	5,200,000
Proceeds not reinvested: chargeable now (lower of £800,000 and the gain)	800,000
Gain rolled over (£2,277,500 – £800,000)	1,477,500
TEL’s base cost of the distribution centre (£5,200,000 – £1,477,500)	3,722,500
CT on £800,000 at 25%	200,000
CT deferred (£1,477,500 × 25%)	369,375

Chapter 17 moves £500,000 of the £800,000 to TEL by a s 171A election, to meet TEL’s £500,000 capital loss.

Worked example 16.8: varying the reinvestment (hypothetical, not story facts)

Amount reinvested £	Proceeds not reinvested £	Chargeable now £	Rolled over £
6,000,000 or more	nil	nil	2,277,500
5,200,000 (story)	800,000	800,000	1,477,500
4,000,000	2,000,000	2,000,000	277,500

Amount reinvested £	Proceeds not reinvested £	Chargeable now £	Rolled over £
3,722,500 (cost + indexation)	2,277,500	2,277,500	nil
3,500,000	2,500,000	2,277,500 (capped at the gain)	nil

Three consequences the examiner likes.

1. **The rolled-over gain is not lost.** When TEL sells the centre, its gain runs from **£3,722,500**.
2. **SBA comes back on sale.** TEL's structures and buildings allowance on the centre (£102,000 a year; £34,000 in GY3) is **added to its disposal consideration** on that later sale (chapter 9).
3. **Deferred tax.** In the group accounts, roll-over postpones tax; it does not cancel it (chapter 6).

Going further: making the claim work. (1) Date the disposal by the contract, and diarise the window (here 30 April GY2 to 30 April GY6). (2) Evidence trade use of the old asset throughout ownership: leases to group companies, occupation records. (3) If reinvestment is planned but not made by the filing date, make a provisional claim and track its lapse date. (4) Allocate the purchase price of the new property between land, building and integral features with a surveyor's report (chapter 9): the gains cost is the whole price, but the capital allowances split matters separately. (5) Model the cash: here the relief saves £369,375 now, at the price of a lower base cost later.

Depreciating assets and holdover

Rolling a gain into an asset that wears out would let the gain evaporate as the asset is depreciated. So where the new asset is a **depreciating asset**, its cost is **not reduced**. Instead the gain is **held over** and comes back into charge on the **earliest** of (s 154(2)):

1. the disposal of the new asset;
2. its ceasing to be used for the trade;
3. **10 years** after its acquisition.

A depreciating asset is a wasting asset, or one that **will become a wasting asset within 10 years**: an expected life of **60 years or less** at acquisition (s 154(7); CG60295). Fixed plant and machinery is always depreciating; so is a lease with 60 years or less to run; a freehold is not. A lease with 55 years to run is not yet a wasting asset (its own cost is not written down) but **is** a depreciating asset: a gain reinvested in it is held over, not rolled over.

The held-over gain is the old asset's gain, computed in the usual way, and is charged in the accounting period of the triggering event. N24 (Q1) included a gain held over years earlier coming back into charge. The new asset's own gain or loss on sale is computed separately, on its full cost.

Escape route (s 154(4)). If, before the held-over gain crystallises, the company buys a **non-depreciating** qualifying asset, it can switch the held-over gain into a full roll-over against it (partly, if only part can be matched: CG60285).

Worked example 16.9: holdover into fixed plant (hypothetical, not a story fact)

Suppose the depot proceeds had gone into fixed plant for a new production line costing £6,000,000. The plant’s cost (and its capital allowances) stays at £6,000,000. The whole gain of **£2,277,500** is held over and crystallises no later than 10 years after the plant was acquired, unless a non-depreciating asset (a freehold) is bought in time to take it over.

The examiners reported after M26 (Q3) that candidates spent time on holdover where only roll-over was asked, and earned nothing for it. Recognise holdover; do not reach for it by reflex.

Land that becomes stock

A property company can change its mind. **TCGA 1992 s 161** draws the line between investment gain and trading profit at the moment of **appropriation**.

- **Capital asset** → **trading stock (s 161(1))**. A deemed disposal at **market value**: the gain to date is a chargeable gain, and the stock enters the trade at market value.
- **Election (s 161(3))**. Within **2 years of the end of the accounting period** of appropriation (for CT), the company elects for no chargeable gain or loss; the stock enters at market value **less the gain** (or plus the loss). The whole profit is then taxed later as trading profit.
- **Trading stock** → **capital asset (s 161(2))**. The trade is treated as selling at market value (trading receipt), and for gains purposes the company acquires the asset at the value brought into the trading accounts.
- **Groups (s 173)**. A group company acquiring as stock an asset another member held as capital is treated as appropriating it on arrival (chapter 17).

Worked example 16.10: a field becomes a housing site (hypothetical, not a story fact)

A company bought a field for £400,000 (after 2017) as an investment and appropriates it to trading stock to build and sell houses when it is worth £1,000,000.

	No election £	s 161(3) election £
Chargeable gain on appropriation	600,000	nil
Stock enters the trade at	1,000,000	400,000
Extra trading profit on later sales (relative to no election)	—	600,000
Choose when	capital losses are available (they cannot touch trading profit)	trading losses are available, or deferral to the sale is worth more

The rate is 25% either way: the choice turns on losses and timing.

The examiners built M23 Q4 (20 marks) around a building appropriated **from stock to fixed assets** by a development company, and reported that many candidates missed the market value appropriation.

Transactions in UK land

Until 2016, offshore developers could develop UK land through non-resident companies, claim no UK permanent establishment, and pay no UK tax on development profits. **FA 2016 s 77** inserted **CTA 2010 Part 8ZB (ss 356OA–356OT)**, replacing the old Part 18 “artificial transactions in land” code, for **disposals on or after 5 July 2016** (FA 2016 s 81(1)); arrangements made from Budget day, **16 March 2016**, were caught by anti-forestalling rules (s 81(4)–(12); s 356OK).

The charge (s 356OB). A profit or gain on a disposal of UK land realised by the person acquiring, holding or developing it (or an associate or a person party to an arrangement) is **treated as trading profit** if any of:

Condition	Test
A	A main purpose of acquiring the land was to realise a profit or gain from disposing of it
B	A main purpose of acquiring property deriving its value from the land was to realise a profit or gain from disposing of the land
C	The land is held as trading stock
D	(Where the land is developed) a main purpose of developing it was to realise a profit or gain from disposing of it when developed

The whole profit, including what would otherwise be a capital gain, is trading profit. A **non-resident** company caught by the rule is treated as carrying on a trade of dealing in or developing UK land (CTA 2009 s 5B) and is charged to CT whether or not it has a UK PE.

Refinements.

- **Indirect disposals (ss 356OD–356OE):** disposals of property (such as shares) deriving **at least 50%** of its value from UK land, where the person is party to an arrangement whose main purpose is to deal in or develop the land and realise a gain from disposals of property deriving value from it.
- **Pre-intention carve-out (s 356OL):** under Condition D, the part of the gain fairly attributable to the period **before the intention to develop** was formed is excluded (and so remains a capital gain).
- **No double charge (ss 356OB–356OC):** the rule does not apply where the profit is already taxed as income.
- Anti-fragmentation (s 356OH), tracing value (s 356OM), related parties (s 356OT).

Applying it to the field. If the field was bought as a long-term investment and the decision to develop came later, Condition D catches the development profit but not the pre-intention growth in value; s 161 reaches the same dividing line from the other side. Had the company bought the field intending to obtain planning consent and sell, **Condition A** would make the whole profit trading from day one, whatever its accounts called the land.

Going further: documenting intention. For TES, which buys and holds sites to let to the group, Part 8ZB is a reminder to record why each site is held: board papers stating that a site is held for group use or investment, and valuations at any change of plan. That evidence protects capital treatment and the pre-intention carve-out if HMRC asks.

Planning, and the examiner's view

Going further: a property tax plan for a large group. - **Time the reinvestment.** Roll-over turns on a 3-year window measured from **contract dates**; provisional claims lapse at the 4th anniversary of the end of the AP of disposal. -

Reinvest the whole proceeds where relief matters: cost comes back first. - **Assignment or grant; rent or premium.** A short grant brings an income charge for the landlord and only a spread deduction for a trading tenant. - **Appropriations to stock.** Decide while losses are available; elect within 2 years if it helps. - **Valuations.** CG34 at least 3 months before the filing date for part disposals, reversions and connected-party values. - **Instalments.** QIP forecasts include expected gains, and must move when the contract date moves (TES in GY2: chapter 3). - **Records.** For each disposal: contract date, cost and indexation, relief claimed, claim deadline. - **Other taxes.** Every land transaction has an SDLT dimension (chapter 21); net chargeable gains also count in CIR tax-EBITDA (chapter 28).

Exam lens: company gains on property and leases - Grades (2026 grid, v2 extract): CT on chargeable gains, computation of gains and losses, market value, connected parties, series of transactions, assets and disposals (ss 21–28), allowable deductions, leases of land, part disposals, chattels, supplemental ss 272–291, post-transaction valuations, replacement of business assets, stock in trade, property income, transactions in land, administration and payment: **1 (core)**. Wasting assets, ss 48–52, indexation allowance: **2 (non-core)**. From 2028 gains on leases leave the syllabus; a 2027 sitting is under the current grid (check the 2027 grid when published). - **Past appearances:** M26 Q3 (15: freehold with demolished enhancement, short lease table, plant, roll-over with partial reinvestment: relief section weak, holdover discussed unasked); M26 Q4 (20: grant of a long lease, part disposal, indexation cannot create a loss, capital loss against income); N25 Q5 (20: sale of a short lease, 30-year lease grant with premium split, NGNL factory, s 198 election, SDLT, roll-over and holdover: short-lease status at the transaction date; market value used instead of NGNL cost); N24 Q1 (15: group roll-over and holdover, assets leased to a group company v a 50% JV, depreciating assets, a held-over gain crystallising, lease assignments treated as grants); M23 Q4 (20: 40-year lease grant, appropriation from stock at market value, s 198 elections, group roll-over: confusion on premiums and part disposals). - **Style:** “Calculate, with explanations”; 15- or 20-mark property questions combined with capital allowances, fixtures, NGNL transfers and SDLT; 0.5–1 mark per point, including marks for stating roll-over conditions; no letter format. - **Traps:** chargeable amount from the gain instead of the proceeds not reinvested; assignments treated as grants; short-lease status at the wrong date; indexation enlarging a loss; capital losses against income; demolished enhancement deducted; fixtures values deducted from gains (chapter 9); market value used where a group transfer carries cost (chapter 17); holdover discussed when only roll-over asked; missing the SDLT add-on marks. - **Layout:** for each disposal: proceeds → costs of disposal → cost (restricted for leases or apportioned for part disposals) → enhancement → indexation (to December 2017; on the restricted cost) → relief (proceeds not reinvested) → chargeable gain. Premiums: income element first, then the capital computation. Keep £ and £000 apart.

What to take away

- **Gains in CT:** part of total profits at the company's rate (25% for a large company in FY2026). Capital losses: same-period gains, then carried forward against gains only, within Part 7ZA. Never against income.

- **Disposals:** at the contract date (s 28); market value for gifts, non-arm's-length bargains and connected persons; clogged losses (s 18(3)); linked transactions within 6 years (s 19).
- **Costs:** acquisition, enhancement still reflected in the asset, disposal costs; capital allowances restrict only losses. Indexation to December 2017 only; never creates or increases a loss. **Depot:** £6.0m – £2.5m – £1,222,500 (0.489) = **£2,277,500**.
- **Part disposals:** $A/(A+B)$; B is a valuation: use CG34.
- **Plant:** no allowable loss after capital allowances; a gain only above cost; chattels £6,000 and 5/3.
- **Deferred consideration:** in full at once; a company's deferred debt goes to loan relationships at fair value.
- **Leases:** wasting once 50 years or less remain; table 50 = 100, 25 = 81.100; status at the transaction date; assignment has no income element. **TES lease assignment:** £1.0m – £648,800 – £162,200 = **£189,000**.
- **Premiums:** $P \times (50 - Y)/50$ as property income. **TES 30-year grant:** income **£840,000**; gain **£870,000** (cost £290,000 using the capital part over the full premium plus reversion, CG70960).
- **Roll-over:** trade use, classes, 12 months before to 3 years after, claim; chargeable = proceeds not reinvested, capped at the gain. **Depot:** £800,000 chargeable; **£1,477,500** rolled over; TEL's base cost **£3,722,500**. Into a depreciating asset: holdover for up to 10 years.
- **Appropriations:** market value deemed sale, or a 2-year election to fold the gain into stock.
- **Part 8ZB:** land acquired or developed with a main purpose of selling at a profit: trading profit, for residents and non-residents.

So the depot's £6.0m left TES chargeable on £800,000, not on £3.5m: the law deducted what the depot had cost in real terms to December 2017, and the group put most of the money back into a building used for its trade.

Chapter seventeen, on gains inside the group, explains how the group made that claim across two companies, and how it moved assets, gains and losses between its members without paying tax on the way.

Key rules and figures

Rule	Figure / effect	Reference
Gains in total profits	Net gains taxed at the company's CT rate; no annual exempt amount	TCGA 1992 s 2A; CG40200
Non-resident companies	UK land; 75% UK-land-rich assets; UK PE assets (FA 2026 PE link for periods beginning on or after 1 January 2026)	s 2B, Sch 1A; FA 2026 Sch 7 para 28, s 40
Capital losses	Against gains only; c/f indefinitely; within Part 7ZA from 1 April 2020; must be notified	s 16(2A); CTA 2010 Part 7ZA
Date of disposal	Contract date; conditional contract when condition satisfied	s 28
Market value; connected persons	Non-arm's-length and connected disposals at market value; clogged losses	ss 17, 18, 286
Series of transactions	Linked disposals to connected persons within 6 years: appropriate portion of aggregate value	ss 19–20

Rule	Figure / effect	Reference
Allowable deductions	Acquisition; enhancement reflected at disposal; title; disposal costs; nothing deductible as income	ss 38, 39
CA interaction	Allowances restrict losses only	s 41
Indexation	To December 2017 (RPI 278.1); 3 d.p.; cannot create or increase a loss	s 53(1B), (2A)
Part disposal	$\text{Cost} \times A/(A + B)$	s 42
Wasting assets	Life $\leq$ 50 years; plant always; straight line unless CAs	ss 44–47
Chattels	Exempt if consideration $\leq$ £6,000; marginal 5/3	s 262
Deferred consideration	No discount; company creditor relationship at fair value	s 48; CG14930
Tax by instalments	Consideration over > 18 months: tax over $\leq$ 8 years	s 280; CG14910
Valuation checks	Form CG34; at least 3 months before filing date; VOA for land	HMRC guidance
Short lease	$\leq$ 50 years unexpired at the transaction date; allowable cost $\times$ P3/P1; indexation on restricted cost	Sch 8 para 1; CG71141; CG17380
Lease table	50 = 100; 25 = 81.100; 10 = 46.695; 1 = 5.983	Sch 8 para 1(6)
Premium income element	$P \times (50 - Y)/50$ for leases $\leq$ 50 years	CTA 2009 s 217
Grant out of freehold	Income element excluded; cost $\times$ capital part / (full premium + reversion)	Sch 8 para 5; CG70960
Trading tenant	Deducts landlord's taxed receipt spread over the receipt period	CTA 2009 ss 62–67
Reverse premium	Revenue receipt: trade or property business; connected non-arm's-length all at once	CTA 2009 ss 96–98, 250
Property loss	Total profits of same AP; c/f; group relief above gross profits	CTA 2010 ss 62, 105
Roll-over	Trade use; classes; 12 months before to 3 years after; chargeable = proceeds not reinvested ($\leq$ gain)	ss 152, 153, 155
Roll-over and goodwill (companies)	Excluded: Part 8 reinvestment relief instead	s 156ZB
Provisional roll-over (company)	Lapses at 4th anniversary of the end of the AP	s 153A
Depreciating asset	Life $\leq$ 60 years; held over until earliest of disposal, cessation of use, 10 years	s 154

Rule	Figure / effect	Reference
Appropriation to stock	Market value deemed disposal; election within 2 years	s 161
Transactions in UK land	Conditions A–D; trading profit; indirect 50%; pre-intention carve-out; from 5 July 2016	CTA 2010 ss 356OA–356OT
Story: depot (TES, GY3)	Proceeds £6.0m; cost £2.5m (June 2004); indexation £1,222,500; gain £2,277,500	invented (story)
Story: group roll-over	Reinvested £5.2m (TEL, 1 September GY3); chargeable £800,000; rolled over £1,477,500; TEL base cost £3,722,500	invented (story)
Story: lease assignment (TES, GY3)	£1.0m; cost £800,000 × 81.100% = £648,800; indexation (assumed 0.250) £162,200; gain £189,000	invented (story)
Story: 30-year grant (TES, GY4)	Premium £2.0m; income £840,000; cost £290,000; gain £870,000; reversion £4.0m; CT £427,500	invented (story)

Statutory and case references

Statute. TCGA 1992 ss 2A, 2B, 16(2A), 17, 18, 19, 20, 21–28 (esp. 22, 24, 28), 38, 39, 41, 42, 44–48, 53, 152–158 (esp. 152, 153, 153A, 154, 155, 156ZB), 161, 171, 171A, 173, 175, 262, 280, 286; Sch 1A; Sch 8 paras 1, 4, 5. CTA 2009 ss 5B, 62–67, 96–98, 210, 217–221, 250, 463B; Part 2 Ch 3A; Part 4. CTA 2010 ss 37, 62, 105; Part 7ZA; Part 8ZB (ss 356OA–356OT). FA 1998 Sch 18 para 55. FA 2016 ss 77, 81. FA 2018 s 26 (indexation freeze). FA 2026 s 40; Sch 7 para 28.

HMRC manuals and guidance. CG14561 (clogged losses); CG14650, CG14700–CG14702, CG14740 (series of transactions); CG14910, CG14930 (deferred consideration, instalments); CG15440, CG15445, CG15451, CG76721, CG76900 (wasting assets, chattels and capital allowances); CG17380 (indexation on wasting assets); CG40200 (company gains); CG60285, CG60295 (depreciating assets); CG70950, CG70960 (grant of leases out of a freehold); CG71140, CG71141 (short lease disposals); CG71210 (assignment of lease granted at undervalue); BIM41055 (reverse premiums); CG34 post-transaction valuation checks (GOV.UK publication page); “Shares and assets valuations for tax” (GOV.UK).

Cases. *Marren v Ingles* 54 TC 76 (signposted; chapter 18).

Chapter seventeen: Gains inside the group

On 23 July 2008 the Court of Appeal gave judgment in *Johnston Publishing (North) Ltd v HMRC* [2008] EWCA Civ 858. The taxpayer had begun life as a company bought off the shelf, and it had joined a large group. An asset had come to it from another company in that group, free of tax, as assets moving inside a group usually do. Later the two companies left the group together. HMRC said that leaving triggered a charge on the asset's gain; its provisional figure for that gain, as reported at the time, was £280m.

The law then had an exception for associated companies leaving together. The two companies were associated when they left, but they had not been associated when the asset moved between them. The court decided for HMRC: both moments mattered. In the words of Tuckey LJ (para 46), “one must start by trying to give meaning to all the words used.”

Three years later Parliament rewrote that exception. In the same Finance Act it changed what the charge itself does for most groups, turning what had been a tax bill into something that is usually exempt. This chapter explains how that happened, and the larger question behind it: **when the companies in a group pass assets, gains and losses among themselves, when does the law look through the walls between them, and what happens when a company walks out of the house?**

This is the third chapter of Part Three. Every topic in it is **core (grade 1)** on the LCG grid: groups and transactions within groups, losses attributable to depreciatory transactions, anti-gain buying, companies leaving groups, recovery of tax otherwise than from the taxpayer company, value shifting (ss 29–30 and s 31) and stock in trade. It builds on *The Living Law* (TKS), chapter 24, which introduced gains groups, the s 171A election, group roll-over, pre-entry losses and the degrouping charge. Here we take each of them to Advanced Technical depth and add the anti-avoidance rules that chapter only signposted.

Nearly all the law is in the Taxation of Chargeable Gains Act 1992 (TCGA 1992; “the Gains Act” in the audio edition). We apply the law for **FY2026**. Finance Act 2026 made no change to ss 170–192, Sch 7A or ss 184A–184I.

Why a group needs its own gains rules

The Living Law, chapter 24, pictured a group as a family of separate wallets living under one roof. For gains a slightly different picture helps: a family that owns several houses and moves **furniture** between them as its needs change. Nobody pays rent and nobody sells anything to anybody.

Tax law starts from the opposite place. Each company is a separate person. When one company hands a building to its sister, that is a disposal; the two are connected, so the market value rule would normally apply (TCGA 1992 ss 17–18), and the transferor would be taxed on a gain it never turned into cash.

So s 171 lets assets move inside a group at **no gain, no loss**. The relief is automatic and generous, and it creates an obvious game: move a building into a new subsidiary, then sell the subsidiary's shares instead of the building. HMRC's manual (CG45400) describes it: the arrangement was “commonly referred to as enveloping or the envelope trick” and was used extensively after the Finance Act 1965 brought companies' gains into tax. The **degrouping charge** (s 179) is the answer: a

company leaving the group within six years of receiving an asset at no gain, no loss is treated as having sold and reacquired it at its market value on the day it received it.

The rest of the code follows the same pattern: a relief because the group is one business, then a rule to stop the relief being used as a tool.

Relief (the family discount)	Counterweight (settling up)
s 171 no gain, no loss transfers	s 179 degrouping charge
s 171A reallocation of gains and losses	Sch 7A pre-entry losses; ss 184A–184I anti-buying rules
s 175 group roll-over	s 175(2C): no roll-over into assets acquired intra-group
Free movement of value inside the group	s 176 depreciatory transactions; s 177 dividend stripping; ss 29–31 value shifting
Tax assessed on the company that realises the gain	s 190 recovery from other group companies

Who belongs to the gains group

Section 170 builds the group from the top down:

1. A **principal company**, its **75% subsidiaries**, their 75% subsidiaries and so on down the chain (75% = beneficial ownership of three quarters of the ordinary share capital, directly or indirectly).
2. Every member must also be an **effective 51% subsidiary** of the principal company: the principal company must be beneficially entitled to **more than 50% of the profits available for distribution** and **more than 50% of the assets on a winding up**.
3. A 75% subsidiary cannot itself be a principal company (subject to s 170(5)); a company can be in **only one** gains group, with tie-breakers in s 170(6).
4. **Residence is irrelevant to membership** (s 170(2)): overseas companies are members, although what they can do with an asset depends on the UK charge (next section).
5. A company does not leave merely because it or another member goes into liquidation (s 170(11); chapter 14).

Worked example 17.1 (general illustration): the effective 51% test down a chain

Tier	Direct holding	Principal company's effective interest	Gains group member?
Subsidiary	75%	75.00%	Yes
Sub-subsidiary	75% of tier 1	56.25%	Yes (> 50%)
Third tier	75% of tier 2	42.19%	No ($\leq 50\%$), although every link is 75%

(Effective interest here assumes profit and asset entitlements follow the ordinary shares.)

Tarnmoor's gains group. Our invented group, Tarnmoor, is a listed engineering group; everything about it is made up for teaching. Tarnmoor plc (TPLC) is the principal company.

Company	Gains group member	Note
TEL, TES, TFL, TWS, Tarnmoor Pumps (dormant)	Throughout (TWS until the 1 July GY5 demerger)	100% subsidiaries
TVS (Vallaria), TCM (Marrovia) (invented countries)	Throughout	Non-resident members
TIL	Throughout	Irish-incorporated; UK resident until 30 June GY4
Calder (CVE)	From 1 April GY1	Acquired
Brackenwell (BSL)	From 1 July GY2	Acquired
Helmside (HEL)	From 1 March GY5 (85%)	Consortium company (45%) before
TAL	1 February GY6 to 31 December GY6	TEL's 100% subsidiary; sold

Do not confuse the guest lists (chapter 1's matrix):

Purpose	Group test	Authority
No gain, no loss; s 171A; group roll-over; pre-entry losses; degrouping	75% + effective 51%; any residence	TCGA 1992 s 170
SSE aggregation and group	51% group	TCGA 1992 Sch 7AC para 26
Recovery of unpaid tax on gains	51% group	TCGA 1992 s 190(13)
Group relief	75% + equity holder tests; UK related companies only	CTA 2010 ss 151–152
SDLT / stamp duty group relief	75% of share capital, profits and assets	FA 2003 Sch 7; FA 1930 s 42

Collection reaches further than relief: a 60% subsidiary can never receive an asset at no gain, no loss, but can be made to pay a fellow member's gains tax.

No gain, no loss

Section 171(1). A disposal of an asset by one member of a gains group to another is treated as made for whatever consideration gives the transferor **neither a gain nor a loss**. It is **automatic** (no claim, no election) and it **overrides market value** (s 171(1); the connected-person rules and the actual price on the transfer documents are ignored).

The UK-charge condition (s 171(1A)). Each company must be UK resident, or a non-resident company that is chargeable on that asset (because it is used by a UK permanent establishment, or is UK land within s 2B(4)), before and after the transfer. A transfer that takes the asset out of the UK charge is taxed on the ordinary rules. When Calder sold its process-valve **plant** to TVS on 1 October GY3, that sale was outside s 171 for the same reason chapter 11 gave for the know-how sold with it (CTA 2009 s 775 condition 3).

Excluded disposals (s 171(2)–(3)):

Excluded	Why
Disposal in satisfaction of an intra-group debt	Not a transfer of value within the family
Redemption of redeemable shares	Treated under the share rules
Capital distributions (s 122)	Shareholder-level event
Disposals to or by investment trusts, VCTs, qualifying friendly societies, UK REITs	Special regimes
Disposal to a dual resident investing company	Anti-avoidance
Satisfaction of an option granted when not grouped	Not an intra-group bargain
A share exchange within s 135	The share exchange rules apply instead (chapter 18)

What the transferee inherits. The transferor's cost, including **indexation to December 2017** for pre-2018 assets, which is rolled into the deemed consideration (s 56(2)). But HMRC's manual (CG45305; CG46101) explains that indexation rolled up this way **cannot create or increase a loss** on the transferee's later disposal (s 56(3)); indexation for all disposals stops at December 2017 (s 53(1B)).

Worked example 17.2 (invented story, GY3): two transfers at no gain, no loss

£	Calder's works → TES (1 April GY3)	Water-systems factory → TWS (1 October GY3)
Transferor's cost	4,200,000 (bought March 2019)	4,600,000 (bought GY1)
Indexation	nil (acquired after December 2017)	nil
Deemed consideration = transferee's base cost	4,200,000	4,600,000
Market value at transfer	5,600,000	6,000,000
Gain deferred inside the asset	1,400,000	1,400,000
SDLT group relief (chapter 21)	269,500 saved	289,500 (later clawed back)

TES leases the works back to Calder. TWS uses the factory in its water-infrastructure trade. In our invented case, when the factory moved there were **no arrangements** for TWS to leave the group; the demerger idea came later (chapter 19). Both transfers go on the group's degrouping register (see "Running the gains group").

Exam lens: gains groups and no gain, no loss transfers

- **Grade:** groups and transactions within groups 1; non-resident and dual resident companies 1.
- **Past appearances:** N25 Q5 (20 marks, group property: a factory acquired by intra-group NGNL transfer; "many used market value instead of NGNL cost"); M23 Q5 (20 marks, JV at 75% v 65%: "few saw that a no-gain transfer means a lower base cost later"); M23 Q4 (20 marks, group property; "rarely considered group capital losses").

- **Traps:** market value instead of the transferor's cost; forgetting the effective 51% test; assuming a transfer to a non-resident member is NGNL; letting rolled-up indexation create a loss.

Trading stock on the move

Section 173 borrows the appropriation rules in **s 161** (chapter 16) when an asset changes character as it moves:

- **Capital asset → transferee's trading stock.** The transfer is at no gain, no loss; the transferee is then treated as **appropriating** the asset to stock at **market value** (a chargeable gain or allowable loss), **unless it elects under s 161(3)** to bring the asset into stock at market value **reduced by the gain** (or increased by the loss), so that the difference falls into trading profit instead. Election: within **2 years after the end of the accounting period** of the appropriation (CT).
- **Transferor's trading stock → transferee's capital asset.** The transferor is treated as appropriating the asset out of stock immediately before the transfer. For the trading computation that appropriation is at **market value**, and the transferee's capital gains cost then starts from that value (s 161(2)).

Worked example 17.3 (labelled hypothetical, not story): land into a group developer

Suppose TES transfers a plot (cost £2,000,000; market value £3,000,000) to a group development subsidiary that will build and sell as trading stock.

£	No election	s 161(3) election
Developer's cost on the NGNL transfer	2,000,000	2,000,000
Deemed appropriation to stock at market value	3,000,000	3,000,000
Chargeable gain now	1,000,000	nil
Stock value brought into the trade	3,000,000	2,000,000
Extra trading profit when the buildings are sold	—	1,000,000

A group with capital losses to use may prefer the gain now; otherwise the election keeps the profit in the trade until the cash arrives.

M23 Q4 (20 marks) tested the reverse direction: a building transferred from a **development company** (appropriation from stock to fixed assets at **market value**), which candidates missed. When an asset changes character as it moves, find the appropriation first, then apply s 171.

Moving the gain, not the asset

Before 2000, a group wanting to set one member's loss against another's gain transferred the asset physically to the loss-maker just before the outside sale: legal fees, sometimes stamp duty, and occasionally a degrouping problem. The Finance Act 2000

introduced an election to treat the asset as transferred without the paperwork. For gains and losses accruing **on or after 21 July 2009** the rule was rewritten (CG45356) as a straightforward **reallocation**.

Sections 171A–171B (current rules):

Condition / effect	Detail
Who	Companies A and B, members of the same gains group when the gain or loss accrues to A
B must be eligible	An NGNL transfer of the asset from A to B would have been possible (in practice B UK resident or trading through a UK PE)
Election	Joint , within 2 years after the end of A's accounting period in which the gain or loss accrued; no statutory power to extend (CG45357; late elections accepted only in limited cases)
Amount	All or part, but elections together cannot exceed the whole gain or loss
Effect	The gain or loss is treated as accruing to B at the same time
Payments	A payment between the companies for the election, up to the amount of the gain or loss, is ignored for CT and is not a distribution
Scope	Since 2009 it also reaches deemed gains (for example, degrouping gains accruing to a company: CG45455)

Worked example 17.4 (invented story, GY3): TES and TEL elect under s 171A

TEL realises a **£500,000** capital loss on a portfolio of listed shares in GY3 and has no gains of its own. TES has a chargeable gain of **£800,000** on the depot after group roll-over (next section). TES and TEL elect to treat **£500,000** of TES's gain as TEL's.

£	No election	With election
TES chargeable gain	800,000	300,000
TEL: gain reallocated	—	500,000
TEL: current-year capital loss	(500,000) unused, c/f	(500,000)
TEL net gain	nil (loss c/f 500,000)	nil
CT on TES's gain at 25%	200,000	75,000
Tax saved now		125,000

- TEL's loss is a **current-year** loss: set against current gains in full; the Part 7ZA restriction applies only to losses carried forward (chapter 14). Without the election, the loss could be used only against TEL's own future gains, within the restriction.
- TES pays TEL **£125,000** for the use of the loss; it is below £500,000, so it is ignored for CT.
- Deadline: **31 December GY5**; filed with the GY3 returns.
- TES's net gains for GY3: £300,000 + lease assignment gain £189,000 (chapter 16) = **£489,000** (the figure chapter 28 uses in tax-EBITDA).

One trade for roll-over

Chapter 16 taught roll-over relief for a single company: window **12 months before to 3 years after** the disposal (s 152(3)); the chargeable amount is the **proceeds not reinvested**, up to the gain.

Section 175 takes it into the group:

- **s 175(1)**: all the trades carried on by members of a gains group are treated as **a single trade**.
- **s 175(2A)**: a disposal by one member and an acquisition by another are treated as by the same person, on a claim by **both** companies.
- **s 175(2B)**: a **non-trading member** (typically a property company) qualifies if the assets it disposes of or acquires are used **only for the trades of other members**.
- **s 175(2C)**: **no roll-over** into a new asset acquired from another member at no gain, no loss.
- **s 175(2)**: UK-resident companies (or UK PE trades); dual resident investing companies excluded.

Worked example 17.5 (invented story, GY3): TES's depot rolled into TEL's distribution centre

In our invented case TES (non-trading; a company with investment business, chapter 13) has let the depot to TEL throughout its ownership, and TEL has used it only for its trade. The distribution centre is used only for TEL's trade.

£	
Proceeds (30 April GY3)	6,000,000
Cost (June 2004)	(2,500,000)
Indexation June 2004 – December 2017: $0.489 \times 2,500,000$	(1,222,500)
Gain (chapter 16)	2,277,500
Reinvested: TEL's distribution centre (1 September GY3; land, integral features and structure)	5,200,000
Proceeds not reinvested ($6,000,000 - 5,200,000$)	800,000
Chargeable in TES (lower of gain and proceeds not reinvested)	800,000
Rolled over ($2,277,500 - 800,000$)	1,477,500
TEL's base cost ($5,200,000 - 1,477,500$)	3,722,500

- Reinvestment 4 months after the disposal: within the window. Both TES and TEL sign the claim.
- Order: roll-over first; then the s 171A election moves £500,000 of the £800,000 to TEL.
- The rolled-over gain sits in TEL's building. The SBA on the structure (chapter 9) runs separately; allowances claimed are added to TEL's proceeds on a sale.

If TES had let the depot outside the group (to an unconnected tenant or a 50% JV), there would have been no group trade to roll into. N24 Q1 (15 marks) tested exactly this: candidates “wrongly deferred a gain on property leased outside the group against group reinvestment” and taxed the gain rather than the proceeds not reinvested.

Exam lens: s 171A and group roll-over

- **Grade:** groups and transactions within groups **1**; replacement of business assets **1**.
- **Past appearances:** N24 Q1 (15 marks: group roll-over and holdover; property leased to a group company v a 50% JV; assignments treated as grants); M26 Q3 (15 marks: roll-over with partial reinvestment; relief section weak); M23 Q4 (group-level roll-over).
- **Style:** compute the gain, then the relief, then the base cost of the new asset; state who claims and by when.
- **Traps:** chargeable amount from the gain rather than the proceeds; assets used outside the group; rolling into an asset bought intra-group (s 175(2C)); forgetting that both companies claim; missing the 2-year s 171A deadline.

Losses that arrive with a new member

Schedule 7A stops a group buying capital losses. Since **FA 2011 Sch 11**, a **pre-entry loss** is simply an allowable loss that **accrued to a company before it joined** the group; the earlier time-apportionment and market-value rules for later losses on assets held at entry (paras 2–5) were omitted.

Permitted uses (Sch 7A para 7). A pre-entry loss may be deducted only from gains:

(a)	on disposals made by the company before it joined (in the same or a later period)
(b)	on assets the company held when it joined
(c)	on assets acquired after entry from outside the group and used in a trade the company carried on before entry and has carried on ever since

Para 6 sets the order of set-off, integrated with the Part 7ZA restriction (para 6(1A)–(1C)). Sch 7A does not apply where s 184A applies (para 1(1)), and a new holding company inserted over an existing group with the same shareholders does not create an “entry” (para 1(6)–(7)).

Worked example 17.6 (invented story): Brackenwell’s £400,000 pre-entry loss

Before Tarnmoor bought it, BSL realised a capital loss of **£400,000** on shares in a failed spin-out. It joined the group on **1 July GY2**.

Para 7 route	BSL’s position	Usable?
(a) Gains before entry	No disposals 1 January–30 June GY2	No
(b) Assets held at entry	Patents and know-how are Part 8 intangibles (not TCGA assets); laboratory equipment is plant with capital allowances	No gains in prospect
(c) Outside assets used in the continuing sensor trade	Only if BSL later buys, say, a building from a third party for its trade and sells it at a gain	Possible, not planned

Para 7 route	BSL's position	Usable?
NGNL transfer of a gain asset into BSL	Asset acquired from inside the group after entry	Blocked
s 171A reallocation of another member's gain	On the book's reading , the reallocation assumes the asset passed to BSL from inside the group just before the disposal, so the gain is not on an asset held at entry	Blocked (book's reading)

If ever used, the loss falls within Part 7ZA. The group allocates its whole £5m deductions allowance to TEL (chapter 14), so BSL could relieve only 50% of a qualifying gain. Valued at nil in the price; no deferred tax asset. The pattern matches CTA 2010 Part 14 Chs 2B and 2D for trading losses (chapter 14).

Buying gains and buying losses

Schedule 7A is mechanical: it asks when a loss accrued and ignores motive. **Sections 184A–184I**, inserted by **FA 2006 s 70** (which repealed the old pre-entry gains Schedule, Sch 7AA), turn on **purpose**.

Rule	Effect
Qualifying change of ownership (s 184C)	A company joins a group, leaves one, or comes under control; exceptions for a new holding company with identical shareholders and internal moves of a 75% subsidiary
s 184A loss buying	Losses accruing (or on assets held) before the change cannot be deducted if the change is connected with arrangements a main purpose of which is a tax advantage involving the deduction of those losses
s 184B gain buying	Where the change is connected with arrangements a main purpose of which is to secure a tax advantage by deducting losses from a gain on a pre-change asset , no loss can be deducted from that gain other than the company's own pre-change losses
s 184D	"Tax advantage" defined
ss 184G–184H (TAAR)	Schemes converting income into capital to use capital losses, or securing income deductions alongside loss use; operate by HMRC notice (s 184I timing)

HMRC's view of the purpose test (CG47025): a main purpose of any participant counts. HMRC's example (CG47337): a seller sells a subsidiary to a buyer with surplus capital losses, the buyer then buys the subsidiary's business hoping its losses will absorb the gain; s 184B stops the gain being sheltered. On priority, HMRC's manual (CG47021) says the anti-avoidance rules take priority where there is a tax-avoidance purpose, and Sch 7A applies to ordinary mergers and acquisitions.

Tarnmoor. BSL was bought for its sensors, not its losses: Sch 7A, not s 184A, governs its £400,000. Calder's works are a **pre-change asset** of Calder (held when Calder joined on 1 April GY1); no group company has capital losses earmarked for them, and the acquisition was commercial, so s 184B has nothing to bite on. The board minutes on each acquisition record the commercial reasons.

Exam lens: pre-entry losses and anti-gain buying

- **Grade:** anti-gain buying **1**; pre-entry losses sit within groups and transactions within groups **1**.
- **Past appearances:** not examined as a main topic M23–M26; expect a part-requirement in an acquisition or sale question.
- **Traps:** applying the pre-2011 time-apportionment rules; treating Sch 7A as a purpose test (it is not); forgetting that s 184B protects the target's own pre-change losses; forgetting Part 7ZA when a pre-entry loss is used.

Depreciatory transactions and dividend stripping

A group can make a subsidiary's shares worth less without selling anything, then sell the shares at a loss and set it against real gains elsewhere.

Section 176:

- Applies to a disposal of shares or securities in a company whose value has been **materially reduced by a depreciatory transaction** (on or after 31 March 1982).
- **Depreciatory transaction:** a disposal of assets between group members **otherwise than at market value**; or any other transaction to which the company (or its 75% subsidiary) and one or more other group members were parties, including a cancellation of share capital under CA 2006 s 641.
- **Effect:** any **loss** is reduced by a just and reasonable amount. **No motive test. Losses only:** a gain is never increased.
- **Later gain relief:** where a loss is reduced, a gain on a disposal of shares in another company that was party to the transaction, within **6 years**, can be reduced by up to the amount of the loss disallowed.
- A **negligible value claim** counts as a disposal.

Section 177 (dividend stripping): a company holding at least **10%** of a class of shares (with connected holdings), not a dealer, receives a distribution that materially reduces the holding's value: s 176 applies as if the distribution were a depreciatory transaction, **even outside a group**, except to the extent the payment is brought into the gain or loss computation.

Worked example 17.7 (labelled hypothetical, not story): a depreciatory transaction

£	
Parent's cost of shares in subsidiary X	10,000,000
X sells a building (market value 5,000,000) to sister Y for 2,000,000: value moved out of X	3,000,000
Parent sells X for	7,000,000
Loss before s 176	(3,000,000)
s 176 reduction (just and reasonable; up to 3,000,000)	3,000,000
Allowable loss	nil
Later sale of Y's shares at a gain within 6 years: gain reducible by up to	3,000,000

The intra-group building transfer is itself at no gain, no loss (s 171). The reason for it is irrelevant to s 176.

Where a share disposal falls within the **SSE**, a loss is not allowable anyway, so ss 176–177 matter most for disposals outside it: investment companies, holdings failing the 12-month test, non-trading companies.

Value shifting

Section	Scope	Test	Effect
s 29	Any person	(2) a person with control exercises it so value passes out of shares or rights owned by them (or a connected person) into other shares or rights; (4) favourable lease adjustments after a sale and leaseback; (5) extinguishing rights	Treated as a disposal (at arm's length consideration)
s 30	Tax-free benefit schemes	Scheme materially reduces an asset's value and confers a tax-free benefit	Consideration increased; does not apply to a company's disposal of shares or securities (s 30(2))
s 31	Company disposals of shares or securities	Arrangements materially reduce the value of the shares (or of a "relevant asset" owned by a group member at the disposal); a main purpose is a tax advantage (avoiding CT on gains, for anyone); arrangements do not consist solely of an exempt distribution (s 31(1)(c))	Consideration increased by a just and reasonable amount, taking account of the arrangements and any CT charge or relief

Section 31 was substituted by **FA 2011 Sch 9** for the old ss 31–34. HMRC's manual (CG48500–CG48540) explains that the exempt distribution limb points to the exempt classes in **CTA 2009 s 931H**, applied in the same way for all companies; that the typical target is a drain-out dividend combined with transactions designed to create distributable reserves before a sale; that ancillary steps of paying a dividend are part of the distribution, but a dividend combined with other steps can be caught; and that the adjustment reflects the overall consequences: arrangements reducing consideration by 200 but triggering a degrouping gain of 50 may justify an adjustment of 150.

Worked example 17.8 (labelled hypothetical, not story): a drain-out caught by s 31

A group's property investment subsidiary Z (not trading, so no SSE) has shares costing £20,000,000, worth £50,000,000. Before selling, the group moves one of Z's properties to a sister company at a value that creates £12,000,000 of distributable reserves; Z pays a £12,000,000 dividend to its parent; the parent sells Z for £38,000,000.

£	Without s 31	With s 31 (full uplift)
Consideration	38,000,000	38,000,000 + 12,000,000
Cost	(20,000,000)	(20,000,000)
Gain	18,000,000	30,000,000
Extra CT at 25%		3,000,000

The arrangements are not solely an exempt distribution (they include the reserve-creating transfer), and their main purpose is plain. The just and reasonable amount could be less than £12m if, for example, the arrangements triggered other charges (HMRC's 200/50/150 example). Contrast an ordinary dividend of genuinely earned profits: **outside s 31**.

Tarnmoor in GY6. In December TAL pays TEL a **£2.0m** dividend out of post-hive-down profits before TEL sells TAL on 31 December. It is an exempt distribution and nothing more; and because the share sale is within the SSE there is no CT on gains to avoid. s 176/s 177 are irrelevant: there is no loss.

	Depreciatory transactions (s 176)	Value shifting (s 31)
Motive	None required	Main purpose of a tax advantage
Bites on	Losses only (plus later-gain relief)	Gains (consideration increased)
Dividends	Via s 177 (10% holdings)	Solely an exempt distribution: excluded
Group needed	Yes (s 177 extends outside groups)	No (but reaches assets of the vendor group)

Exam lens: depreciatory transactions and value shifting

- **Grade:** losses attributable to depreciatory transactions **1**; value shifting ss 29–30 **1**; s 31 **1**.
- **Past appearance: N24 Q3** (15 marks: disposals of subsidiaries after pre-sale transactions; depreciatory transactions, value shifting including exempt distributions, SSE, pre-sale dividends). The examiners reported that candidates confused depreciatory transactions, which “do not consider motive and only apply to losses”, with value shifting, which is “motive based”, and missed that value shifting does not apply where the reduction comes solely from an exempt distribution.
- **Traps:** using s 30 for a company share disposal; treating an ordinary dividend as value shifting; looking for a motive under s 176; ignoring the SSE (no loss, no gain to protect).

The degrouping charge

Section 179(1)–(3):

- Company A acquired an asset from another member **at no gain, no loss** (s 171).
- A **leaves the group within 6 years** of that acquisition, owning the asset (otherwise than as trading stock), or an **associated company also leaving** owns it (or property deriving from it, s 179(10)(c)).
- A is treated as having **sold and reacquired the asset at its market value immediately after its acquisition**: the value is taken **at the date of the intra-group transfer**, not the date of leaving. Growth after the transfer belongs to whoever

owns the company then.

Departures that are not “leaving” (or not yet):

- Ceasing to be a member only because another member ceases to exist (s 179(1)).
- The principal company joining another group (s 179(5)–(8)): no charge then, but a charge if, within the 6 years, the transferee stops being a 75% / effective 51% subsidiary of members of the new group.
- An **exempt demerger distribution** (s 192(3)), unless a chargeable payment is made within **5 years** (s 192(4)).

Associated companies leaving together. Associated means one is a 75% subsidiary of the other, or both are 75% subsidiaries of a third company (s 179(10)). After *Johnston Publishing* (Court of Appeal, 23 July 2008, on appeal from Lindsay J, which held that association at the time of the intra-group transfer was required as well as on leaving), **FA 2011 Sch 10** rewrote the exception as:

- **Condition A:** both companies have been 75% and effective 51% subsidiaries of another company **from the date of the acquisition** until immediately after they leave;
- **Condition B:** one has been such a subsidiary of the other for that whole period.

Second-group rules (s 179(2A)–(2B), with anti-avoidance in (2AB)) keep the exposure alive if the pair later separates inside the buyer’s group within the 6 years.

Worked example 17.9 (labelled hypothetical, not story): selling the parent of the transferee

Suppose Tarnmoor had sold **TEL itself** in GY6 with TAL still beneath it. TAL acquired the actuators factory from TEL on 1 February GY6 and was TEL’s 100% subsidiary from that day until after the sale. **Condition B is met: no degrouping charge** on that sale. The factory’s deferred £2.5m stays inside the sold sub-group, exposed under the second-group rules for the rest of the 6 years.

Leaving without a share sale by the group (s 179(4)). Where A leaves for another reason (for example, a share issue to an outsider dilutes the group below 75%), the degrouping gain accrues to **A itself**, at the later of the start of its accounting period in which it leaves and the deemed reacquisition time (CG45425).

Since 2011, the bill moves into the sale price

Before FA 2011 the degrouping gain always accrued to the leaving company, so a share buyer inherited a hidden tax bill and priced it. **FA 2011 Sch 10**, for companies leaving **on or after 19 July 2011** (or from 1 April 2011 by election), changed the rule:

- If A leaves **because of a disposal of shares by a group member** (in A or in a company above it), the degrouping gain or loss **does not accrue to A**. It is **added to (or deducted from) the consideration** for that share disposal (s 179(3A), (3D)). Where s 127 applies to the share disposal, the adjustment goes to base cost instead (s 179(3E)). Several disposals: joint election to allocate (s 179(3F)–(3G)).
- If the share disposal is within the **SSE**, HMRC’s manual (CG45420) confirms the exemption applies to **the whole gain, including the degrouping element**; a degrouping **loss** is equally swallowed.
- A’s base cost in the asset becomes **market value at the original transfer date**.

- A claim to reduce a degrouping charge exists (s 179ZA; CG45430); HMRC notes it may be academic where the SSE applies. The Sch 7AC para 5 anti-avoidance rule can still treat an added degrouping gain as untaxed in unusual cases (for example, a sale to a connected party to exploit the uplift).

Misconception: “a degrouping charge is always a tax cost.” Since 2011, for a trading subsidiary sold within the SSE, it usually costs nothing and gives the buyer a higher base cost. The family picture changes: the bill for the furniture is folded into the house’s sale price, and if the sale is tax free, so is the bill.

Worked example 17.10 (invented story, GY6): Tarnmoor Actuators

£	
TEL’s cost of the actuators factory (bought after 2017; no indexation)	5,000,000
Transfer to TAL at NGNL, 1 February GY6: TAL’s base cost	5,000,000
Market value at 1 February GY6	7,500,000
TAL leaves on 31 December GY6 (11 months: within 6 years), still holding the factory	
Degrouping gain (7,500,000 – 5,000,000)	2,500,000
Accrues to TAL?	No (s 179(3A)): TAL leaves on TEL’s share disposal
Added to TEL’s consideration for the TAL shares (£48.0m cash + earn-out right valued at £3.0m)	+2,500,000
SSE on TEL’s disposal (para 15A hive-down rule: chapters 18 and 20)	whole gain exempt
CT if the SSE had failed (25% × 2,500,000, as part of the share gain)	625,000
TAL’s base cost in the factory after leaving	7,500,000

SDLT is separate: group relief on the hive-down is clawed back (£364,500, chapter 21), indemnified by TEL in the SPA.

Gains and intangibles compared (chapter 11):

	TCGA 1992 s 179	CTA 2009 s 780
Window	6 years	6 years
Value	Market value at the intra-group acquisition	Market value at the transfer
On a share sale by a group member	Added to the seller’s proceeds (s 179(3D))	Charge stays with the leaving company
If that share sale is within the SSE	Exempt with the sale	Switched off (s 782A)
Buyer’s cost after an SSE sale	Uplifted to market value at transfer	No uplift (TAL’s patents keep WDV £1.2m)

The demerger exception in the story. TWS leaves the group on **1 July GY5** in the Tarnwater demerger, an exempt distribution under CTA 2010 s 1076 (chapter 19). That is within 6 years of the 1 October GY3 factory transfer, but **s 192(3)** disapplies s 179 for a company leaving only because of an exempt demerger distribution. A **chargeable payment within 5**

years would revive the charge (s 192(4)). The deferred **£1.4m** travels with TWS in the factory's **£4.6m** cost. SDLT does not forgive: the **£289,500** relief is clawed back (chapter 21).

Exam lens: companies leaving groups

- **Grade:** companies leaving groups **1**.
- **Past appearance:** **M24 Q3** (15 marks, split 7/5/3: sale of a subsidiary after an intra-group transfer at undervalue; degrouping charge added to proceeds and SSE; then change of ownership losses and enquiries): “well answered. Degrouping and SSE were identified.”
- **Style:** state the transfer date, the 6-year test, market value at transfer, who bears the gain (seller's proceeds since 2011), the SSE consequence and the leaving company's new base cost; mention SDLT clawback and the intangibles regime if the facts include them.
- **Traps:** measuring the gain at the leaving date; charging the leaving company on a share sale; computing an SSE loss; forgetting the associated-companies conditions run from the transfer date; forgetting s 192(3) on a demerger.

Collecting the tax from the rest of the group

Section 190 (recovery of tax otherwise than from the taxpayer company):

Element	Rule
Trigger	CT on a chargeable gain unpaid 6 months after it became payable
Who can be served	(a) the company that was the principal company of the group when the gain accrued; (b) any company in the group that owned the asset (or part) in the 12 months before the gain; (c) for a non-resident taxpayer, a controlling director
Time limit	Notice within 3 years of the final determination of the liability
Amount	The lower of the unpaid tax and the tax on that gain
Payment	Within 30 days of the notice
Afterwards	Recoverable from the taxpayer company; no deduction for the payer
Group	51% group (s 190(13))

The intangibles code has a parallel power (CTA 2009 s 795; chapter 11).

Worked example 17.11 (labelled hypothetical, not story): suppose TES had not paid the CT on the £300,000 of depot gain it kept (£75,000). Six months after the due date HMRC could serve notice on TPLC (principal company when the gain accrued); TPLC pays within 30 days and recovers from TES. In practice the provision matters on the sale of a subsidiary: buyers and sellers seek protection from each other's unpaid gains tax in the tax deed (chapter 20).

Running the gains group, and how it is examined

Going further: the gains tasks of a group tax function

1. **Keep a degrouping register.** Every NGNL transfer, with date, transferee, cost and market value on the day; that value is what a degrouping charge will use years later.

Asset	From → to	Date	Transferee's cost (£)	Market value at transfer (£)	Deferred gain (£)	Exposure	Outcome
Calder's works	CVE → TES	1 April GY3	4,200,000	5,600,000	1,400,000	6 years from 1 April GY3	TES stays in the group
Water-systems factory	TES → TWS	1 October GY3	4,600,000	6,000,000	1,400,000	6 years from 1 October GY3	Demerger 1 July GY5: s 192(3), no charge
Actuators factory	TEL → TAL	1 February GY6	5,000,000	7,500,000	2,500,000	6 years from 1 February GY6	TAL sold 31 December GY6: added to TEL's proceeds; SSE

2. **Prefer the election to the lorry.** To match a gain with a loss, s 171A does it without conveyancing, SDLT or new degrouping exposure.
3. **Watch the six years.** Transfers more than 6 years before a sale never degroup; inside 6 years the result usually depends on the SSE: check it first.
4. **Document purpose and sources.** Record the source of every pre-sale dividend (s 31's exempt distribution carve-out); minute the commercial reasons for each acquisition (ss 184A–184B).
5. **Read the target's history** in due diligence: intra-group assets received within 6 years; pre-entry capital losses; open s 190 exposures; SDLT clawback windows. These go into the price, warranties and tax deed (chapter 20).
6. **Roll-over hygiene.** Keep evidence that property held by TES is used only for group trades (s 175(2B)); both companies sign the claim.
7. **Ethics.** Most of these rules now turn on purpose. TPLC's published tax strategy says the group does not use marketed tax avoidance schemes; a gains plan that works only if nobody asks why it was done is the kind of plan that strategy rules out.

Exam lens: how gains inside groups are examined

- **Grades:** all core (1): groups and transactions within groups; depreciatory transactions; anti-gain buying; companies leaving groups; non-resident and dual resident companies; recovery of tax otherwise than from the taxpayer company; value shifting (ss 29–30 and s 31); stock in trade; replacement of business assets. At least 70% of the CT element comes from core material.
- **Past appearances:** M24 Q3 (degrouping into the SSE; well answered); N24 Q3 (depreciatory transactions v value shifting; confused); N24 Q1 (group roll-over and holdover; property let outside the group); N25 Q5 (NGNL cost,

not market value; group roll-over and holdover; SDLT add-on marks missed); M23 Q4 (appropriation at market value; group roll-over; “rarely considered group capital losses”); M23 Q5 (lower base cost after an NGNL transfer).

- **Style:** technical prose with computations; 10, 15 or 20 marks; 0.5–1 mark per point; no letter or report format. Set out each transfer (date, cost, value) and then each consequence in order. Keep £ throughout a computation.
- **Traps:** market value instead of NGNL cost; the degrouping gain measured at leaving; charging the leaving company on a share sale; computing SSE losses; a motive test for s 176 or s 31 applied to an ordinary dividend; roll-over into property used outside the group; the 51% group for s 190 and the SSE v 75% for s 170.

What to take away

- **Gains group (s 170):** principal company + 75% subsidiaries down the chain, each an **effective 51%** subsidiary ($75\% \times 75\% = 56.25\%$ in; $75\%^3 = 42.19\%$ out); any residence; one group only; survives liquidation (s 170(11)). Recovery (s 190) and the SSE use a **51% group**.
- **No gain, no loss (s 171):** automatic; overrides market value; asset must stay in the UK charge; exclusions include transfers to a DRIC and s 135 exchanges; transferee takes the transferor’s cost and indexation to December 2017, which cannot create a loss. **Calder’s works:** TES’s cost £4.2m (value £5.6m). **Water-systems factory:** TWS’s cost £4.6m (value £6.0m).
- **Trading stock (s 173 with s 161):** appropriation at market value, or a 2-year election to keep the difference in trading profit.
- **Reallocation (ss 171A–171B):** joint election within 2 years of the end of the AP; payments up to the amount ignored. **TES → TEL £500,000; tax saved £125,000; deadline 31 December GY5.**
- **Group roll-over (s 175):** trades treated as one; both claim; non-trading landlord qualifies if the asset is used only for group trades; nothing rolled into an asset acquired intra-group. **Depot:** gain £2,277,500; chargeable £800,000; rolled over £1,477,500; TEL’s base cost **£3,722,500**.
- **Pre-entry losses (Sch 7A):** losses accrued before entry; usable only against pre-entry gains, assets held at entry, or outside assets used in the continuing trade. **BSL’s £400,000** likely never used.
- **Anti-buying (ss 184A–184I):** purpose-based; qualifying change of ownership; s 184B keeps the target’s own pre-change losses available.
- **Depreciatory transactions (s 176):** losses only; no motive; 6-year later-gain relief. **Dividend stripping (s 177):** 10% holdings, even outside groups.
- **Value shifting (s 31):** main purpose of a tax advantage; consideration increased; **solely an exempt distribution is outside it.**
- **Degrouping (s 179):** leaving within **6 years** holding the asset; market value **at the transfer**; associated companies escape only under Conditions A or B (from the transfer onwards: *Johnston Publishing*). Since FA 2011, a departure on a share sale adds the gain to the **seller’s proceeds**: **TAL’s £2.5m** exempt within the SSE; TAL’s factory cost £7.5m. **Demerger (s 192(3)):** no charge on TWS.

So the walls between the companies in a group are real, but the law opens doors in them, and then watches who walks out carrying what.

The doors in this chapter mostly lead to share sales, and the shareholding exemption kept appearing behind them. Chapter eighteen, on shares, the exemption, reorganisations and earn-outs, opens that door properly.

Key rules and figures

Rule	Figure / effect	Reference
Gains group	75% subsidiaries down the chain; effective 51% of principal company; any residence; one group	TCGA 1992 s 170
Gains group in liquidation	Survives	s 170(11)
No gain, no loss	Automatic; overrides market value; UK charge condition; exclusions	s 171(1), (1A), (2), (3)
Rolled-up indexation	Carried in; cannot create or increase a loss	ss 56(2)–(3), 53(1B); CG45305
Trading stock in transit	Appropriation at market value; s 161(3) election within 2 years of AP end	ss 173, 161
Reallocation election	Joint; 2 years after end of transferor's AP; payments up to the amount ignored	ss 171A–171B; CG45356
Group roll-over	Single trade; both claim; non-trading member (s 175(2B)); no roll-over into NGNL asset (s 175(2C)); window 12 months before to 3 years after	ss 152(3), 175
Pre-entry losses	Accrued before entry; para 7 uses; Part 7ZA order	Sch 7A paras 1, 6, 7 (FA 2011 Sch 11)
Anti-loss / anti-gain buying	Qualifying change of ownership + main purpose tax advantage	ss 184A–184I (FA 2006 s 70)
Depreciatory transactions	Losses reduced; no motive; later gain within 6 years reducible	s 176
Dividend stripping	10% holding; distribution treated as depreciatory	s 177
Value shifting (companies)	Main purpose; consideration increased; solely exempt distribution excluded	s 31 (FA 2011 Sch 9); s 30(2); CTA 2009 s 931H
Degrouping charge	6 years; market value at intra-group acquisition	s 179(1)–(3)
Associated companies leaving together	Conditions A and B from acquisition to leaving	s 179(2) ff (FA 2011 Sch 10)
Share-sale leaver	Gain added to seller's consideration; SSE can exempt; asset rebased	s 179(3A)–(3H); CG45420
Other leaver	Gain accrues to leaving company	s 179(4); CG45425
Demerger	No s 179 charge; chargeable payment within 5 years revives it	s 192(3)–(4)
Recovery from group	Unpaid 6 months; notice within 3 years; 30 days; 51% group	s 190

Rule	Figure / effect	Reference
Story: Calder's works	Cost £4.2m (March 2019); value £5.6m; NGNL to TES 1 April GY3; SDLT relief £269,500	invented (story)
Story: water-systems factory	Cost £4.6m (GY1); value £6.0m; NGNL to TWS 1 October GY3; no s 179 on the GY5 demerger; SDLT clawback £289,500	invented (story)
Story: depot and roll-over	Gain £2,277,500; chargeable £800,000; rolled over £1,477,500; TEL's base cost £3,722,500	invented (story)
Story: s 171A	£500,000 of TES's gain to TEL's £500,000 loss; tax saved £125,000; TES pays TEL £125,000 (ignored); TES keeps £300,000; TES net gains GY3 £489,000	invented (story; this chapter)
Story: BSL pre-entry loss	£400,000; Sch 7A (not s 184A); no use in prospect	invented (story)
Story: TAL degrouping	£7.5m – £5.0m = £2.5m added to TEL's proceeds; SSE; TAL's factory cost £7.5m; SDLT clawback £364,500	invented (story)

Statutory and case references

Statute. TCGA 1992 ss 17–18, 29, 30, 31, 53(1B), 56(2)–(3), 122, 135, 152(3), 161, 170, 171, 171A, 171B, 173, 175, 176, 177, 179, 179ZA, 184A–184I, 190, 192(3)–(4), Sch 7A (paras 1, 6, 7), Sch 7AC (paras 5, 15A, 26); CTA 2009 ss 775, 780, 782A, 795, 931H; CTA 2010 s 1076; FA 2000 (original s 171A); FA 2006 s 70; FA 2009 (s 171A rewrite); FA 2011 Schs 9, 10 and 11.

HMRC manuals. CG45305, CG46101 (NGNL and indexation); CG45356, CG45357, CG45455 (s 171A); CG45400, CG45420, CG45425, CG45430, CG45440 (degrouping); CG47021, CG47025, CG47321, CG47334, CG47337 (anti-buying rules); CG48500–CG48540 (s 31 value shifting).

Cases. *Johnston Publishing (North) Ltd v HMRC* [2008] EWCA Civ 858 (23 July 2008; on appeal from Lindsay J).

Chapter eighteen: Shares: the exemption, reorganisations and earn-outs

During the sale of one of its businesses, a group managing director at Euromoney Institutional Investor plc (the company later renamed Delinian) set out the idea in an email. The deal was to have been paid in shares and cash. It became shares and redeemable preference shares in the buyer. The email explained why: “The preference shares are the mechanism to avoid paying tax on the capital gain for the cash element of the transaction.”

HMRC could hardly have asked for a clearer document. It denied share exchange relief and amended Euromoney’s return, claiming a little over £10.48m of corporation tax. The case went through three courts, and Euromoney won every time. The law then asked whether avoiding tax was a *main* purpose of the arrangements as a whole. The tribunal found that it was *a* purpose, but not a main one, because the preference shares were a small part of a large commercial deal. The Court of Appeal agreed in November 2023 (*Delinian Ltd (formerly Euromoney Institutional Investor plc) v HMRC* [2023] EWCA Civ 1281). Parliament has since rewritten the rule (FA 2026 s 37), and you will meet the new version later in this chapter.

The story asks the question this chapter answers. When a company parts with shares, the law can give three quite different answers. It can **tax** the gain. It can **exempt** the gain, and refuse the loss. Or it can say that **nothing has happened**, and carry the old cost into the new shares. Which answer applies, and in what order you test them, is one of the most examined skills on the paper.

This chapter belongs to Part Three, The Group. Share pooling and identification, gilts and qualifying corporate bonds, reorganisations, conversions, stock dividends, the substantial shareholding exemption (SSE) and *Marren v Ingles* are all **core (grade 1)** on the LCG grid; TCGA 1992 ss 151E–151G are **non-core (grade 2)**. The chapter builds on *The Living Law* (TKS), chapter 23, which taught company gains, the matching rules and the outline of the SSE, and on chapter 16 of that book, which met the same ideas from the individual’s side.

Most of the law is in the Taxation of Chargeable Gains Act 1992 (TCGA 1992), with the SSE in its Sch 7AC. A few rules sit in CTA 2009 and CTA 2010. Finance Act 2026 rewrote the share exchange anti-avoidance rule (s 137) and made no change to the SSE. We apply the law for FY2026 throughout.

Three answers, and the order you ask the questions.

The examiner rewards candidates who test things in the right order. A company that disposes of shares should run five questions:

Step	Question	Rule	If yes
1	Which shares have been disposed of?	TCGA 1992 ss 105–108	Identify the acquisition and its cost

Step	Question	Rule	If yes
2	Is the asset really a debt?	TCGA 1992 ss 115–117 (s 117(A1))	Loan relationship rules (CTA 2009 Part 5; chapter 12); gains code steps aside
3	Does the SSE apply?	Sch 7AC	Gain not chargeable; loss not allowable; tested before the no-disposal rules (para 4)
4	Is it a reorganisation, conversion or exchange?	ss 126–138A	No disposal; old cost carried into the new holding
5	Otherwise	TCGA 1992 ss 38, 42, 53	Ordinary computation; indexation frozen at December 2017

Notice steps 3 and 4. Students who learnt reorganisations first tend to reach for “no disposal” as soon as they see shares swapped for shares. For a company with a qualifying holding that is the wrong answer: **the exemption wins**.

Our invented group, Tarnmoor. Tarnmoor plc (TPLC), its companies, its people and every number about them are invented for teaching. Three of its stories run through the chapter:

1. TPLC’s **12% stake in Coldwater Instruments plc** (an invented AIM-quoted instrument maker), part of which it sells in GY4;
2. the **Helmside share exchange** on 1 March GY5, when TPLC issues its own shares to buy its joint venture partner’s 40% of Helmside Energy Ltd (HEL);
3. the **cash earn-out** on Tarnmoor Engineering Ltd’s (TEL’s) sale of Tarnmoor Actuators Ltd (TAL) in GY6, and the receipts in GY7 and GY8.

Which shares did you sell.

Companies and individuals do not match share disposals in the same way, and the difference is a favourite trap.

Company identification rules (TCGA 1992 ss 105–107):

1. **Same day** (s 105): securities of the same class acquired and disposed of on the same day in the same capacity are matched first.
2. **The 10-day rule** (s 107(3)): acquisitions in the **10 days before** the disposal, earliest first. These shares never enter the pool.
3. **The s 104 pool** (s 107(4)): the single pooled holding.
4. (The 1982 holding and later acquisitions follow, rarely relevant now.)

An individual instead matches with acquisitions in the **30 days after** a disposal. A company has **no 30-day rule**.

The 10-day rule closed a simple trick: a company with a pool carrying a large indexed cost could buy a few shares and sell almost at once, choosing which cost the sale came out of. Now shares bought just before a sale are matched with it.

The indexed pool (s 110). A company’s s 104 pool carries two figures: **qualifying expenditure** (cost) and the **indexed pool**. Each “operative event” first increases the indexed pool by $(RE - RL)/RL$. Since FA 2018, **RE is the RPI for December 2017**

(278.1), and the indexed rise is nil for any month after December 2017 (TCGA 1992 s 110; s 53(1B)). So a pool gets one final top-up to December 2017 and then freezes; shares bought later enter at cost only. (The syllabus examines s 110 itself only for TOMC; for LCG you need the pooling principle.)

Indexation can reduce a gain to nil but **cannot create or increase a loss** (s 53(2A)). The examiners reported after M25 that the weak spot in an otherwise good share question was “using indexation to enhance a loss”.

Worked example 18.1: company matching (hypothetical; not a Tarnmoor story fact; £)

A company (not a Tarnmoor company) holds shares in a listed company, a 3% portfolio stake (so the SSE does not apply):

Date	Event	Shares	Cost	Indexed pool
June 2004	Purchase	100,000	150,000	150,000
Dec 2017	Indexation to December 2017: $150,000 \times 0.489$			73,350
Later (after 2017)	Purchase (no indexation)	50,000	200,000	200,000
	s 104 pool	150,000	350,000	423,350

It then buys **20,000** shares for £60,000 and, **5 days later**, sells **60,000** shares at £3.00 (proceeds £180,000).

Matching	10-day acquisition	s 104 pool
Shares	20,000	40,000
Proceeds (£3.00)	60,000	120,000
Cost (pool: $350,000 \times 40/150$)	(60,000)	(93,333)
Unindexed gain	nil	26,667
Indexation ($423,350 \times 40/150 = 112,893$; less cost 93,333)	—	(19,560)
Chargeable gain	nil	7,107

Pool carried forward: 110,000 shares; cost £256,667; indexed pool £310,457.

Variant at £2.00 a share (proceeds £120,000): 10-day shares: £40,000 – £60,000 = **loss £20,000**; pool shares: £80,000 – £93,333 = **loss £13,333**, and the £19,560 of indexation is simply lost (s 53(2A)). Total allowable loss £33,333.

The factor 0.489 (June 2004 to December 2017) is the three-decimal factor used throughout this book; the exam supplies RPI figures in the tax tables. Strictly, s 110 indexes a pool by the unrounded ratio $(RE - RL)/RL$, without the three-decimal rounding that s 54 applies to single disposals (HMRC’s pool example at CG51621 uses an unrounded factor), so a real pool computation would differ by a few pounds.

Tarnmoor. TPLC bought its Coldwater shares in two tranches before the story began, both after December 2017, so there is no indexation in the pool:

Tranche	Shares	% of Coldwater (40,000,000 shares)	Cost £
1	3,200,000	8%	4,800,000
2	1,600,000	4%	3,600,000
s 104 pool	4,800,000	12%	8,400,000

Exam lens: matching and pooling

- **Grade:** share pooling, identification of securities and indexation **1** (core; s 110 for TOMC only).
- **Past appearances:** **M25 Q5** (20 marks: share disposals by an investment company: SSE across group members and the 12-month look-back, pooling and matching, base cost after a share-for-share exchange, b/f capital losses; “good”, but weak on base cost after the exchange and on using indexation to enhance a loss).
- **Traps:** the 30-day rule (individuals only); letting indexation create or increase a loss; indexing post-2017 acquisitions; forgetting that 10-day shares stay out of the pool.
- **Layout:** a pool table with shares, cost and indexed pool columns; then a gains computation per matched acquisition. Use £ throughout (not £000).

Bonds, gilts and the loan relationship wall.

s 115: gains on gilt-edged securities and qualifying corporate bonds (QCBs) are not chargeable gains. **s 117(A1):** for corporation tax, a QCB is **any asset representing a loan relationship of a company**. So when a company holds gilts, bonds, loan notes or any other debt claim, every profit and loss is a loan relationship credit or debit (chapter 12), usually following the accounts.

Shares exchanged for loan notes. For a company, loan notes received are QCBs by definition, so ss 127–131 do not give “paper for paper” (s 116(1)–(7); for CT every loan relationship asset is assumed to be a s 132 security when testing this, s 116(4A)). Under **s 116(10)** the gain on the shares is computed at the exchange and **held over**, to accrue when the notes are later disposed of or redeemed; the notes themselves are loan relationships. **If the SSE applies to the shares, it takes priority over s 116(10)** (Sch 7AC para 4): a frozen gain that would have been exempt is simply exempt.

Conversions. A company converting a loan note into shares has a loan relationship until conversion; the new shares are treated as acquired for the note’s market value (s 116). s 108’s identification rules for “relevant securities” (QCBs and some others: FIFO within 12 months, then LIFO) rarely matter to a company, because the debt is taxed as income.

ss 151E–151G (non-core, grade 2). s 151E: a Treasury power to bring certain loan relationship exchange gains and losses into TCGA; s 151F is blank (repealed); s 151G: a power to amend TCGA when the CTA 2009 s 533 conditions for non-qualifying shares change. Recognise them; there is nothing to compute.

Exam lens: gilts and QCBs

- **Grade:** gilt-edged securities and QCBs **1**; miscellaneous ss 151E–151G **2**.

- **Traps:** treating a company's loan notes as a s 135 security; computing a chargeable gain on a company's bond (it is a loan relationship); forgetting that the SSE overrides s 116(10).

Why the exemption exists.

The Living Law, chapter 23, told the origin story. Briefly: the SSE arrived in **Finance Act 2002**, for disposals on or after **1 April 2002**. The case made for it was competitiveness: other European holding company locations already exempted gains on selling trading subsidiaries, and without an equivalent the UK was a poor place for a group's holding company.

The 2017 reforms (F(No.2)A 2017, disposals on or after 1 April 2017): the **investing company trading requirement was repealed** (old para 18); the holding window became **12 months in the 6 years** before the disposal; the investee need be trading **immediately after** only if the buyer is connected or para 15A is relied on; and a separate exemption for qualifying institutional investors (para 3A) was added (CG53000; outside LCG's focus).

The misconception: "the SSE is a relief you claim". It is not. There is no claim, election or time limit. If the conditions are met, the gain is not a chargeable gain and **the loss is not an allowable loss**, whether the company wants that or not (Sch 7AC para 1; TCGA 1992 s 2A(2) as HMRC's CG40200 explains). A group holding a subsidiary that has fallen in value cannot keep the loss if the conditions are met at the date of disposal. Think of the SSE as a **wall around a qualifying holding**: neither gains nor losses get out.

Why the symmetry. A gain on shares in a trading company largely reflects profits the company has made, or will make, and those profits bear corporation tax inside the company; taxing the gain again would tax the same profits twice. If gains are kept out on that reasoning, losses must be kept out too, or groups would sell their failures and keep their successes.

The substantial shareholding.

The holding test (paras 7–9). The investing company must have held a **substantial shareholding** throughout a **12-month period beginning not more than 6 years before the disposal**. Substantial means at least **10%** of: - the ordinary share capital; **and** - the profits available for distribution to equity holders; **and** - the assets available to equity holders on a winding-up.

Group aggregation (paras 9, 26). Holdings of members of the investing company's **51% group** are aggregated (not the 75% gains group). If TPLC held 6% and TEL 5% of a company, each would be treated as holding 11%. M25 Q5 tested a holding spread across group members.

Extensions of the holding period. Time held by a group transferor on a no gain, no loss transfer counts (para 10); earlier holdings that became the present shares through a reorganisation (para 14) or demerger (para 15) count; and the hive-down rule (para 15A, below). A "twelve-month period" ends with the day before the first anniversary of its first day (para 28; CG53008).

Worked example 18.2: the Coldwater sale, GY4 (invented; £)

On **30 September GY4** TPLC sells 1,600,000 Coldwater shares (4% of Coldwater) at £3.10.

	£
Proceeds ($1,600,000 \times £3.10$)	4,960,000
Cost from the s 104 pool ($8,400,000 \times 1,600,000/4,800,000$)	(2,800,000)
Gain (no indexation: post-2017 acquisitions)	2,160,000
Chargeable gain	nil: exempt (Sch 7AC para 1)
CT that would otherwise have been due at 25%	540,000

SSE conditions: TPLC held 12% of shares, profits and assets (one class of ordinary shares) for well over 12 months in the 6 years before the sale; Coldwater is a trading company throughout (next section).

Pool carried forward: 3,200,000 shares (8%); cost **£5,600,000**.

The sell-by date. The last 12-month period throughout which TPLC held at least 10% ended with the partial sale, so it began on or about 30 September GY3. A later sale of the remaining 8% is within the SSE if it occurs **not more than 6 years after that period began**, that is until about the end of September **GY9**, and only if Coldwater remains a qualifying (trading) company from the start of that period to the sale. After that, a gain on the 8% is chargeable and a loss allowable, on the £5.6m cost.

The company you sell must trade.

The investee requirement (paras 19–24). The company invested in must be a **qualifying company** (a trading company, or the holding company of a trading group or trading subgroup) throughout the period from the **start of the latest 12-month period** by reference to which the holding test is met, to the disposal (para 19(1); CG53106). It must also be a qualifying company **immediately after the disposal only if** the buyer is connected with the seller, or the holding period relies on para 15A (para 19(2)).

Trading company (para 20). A company carrying on trading activities whose activities do not include, to a substantial extent, activities other than trading activities. “Substantial” is undefined; **HMRC’s view is that it means more than 20%**, judged on indicators such as income, assets, expenses and management and staff time (HMRC practice, not law). In a group, the members’ activities are taken together and **intra-group activities are ignored** (para 21(5)), so a group finance company lending within the group does not taint it.

Joint venture look-through (paras 23–24). Where a group member holds at least 10% of a joint venture company, the group is treated as carrying on a share of the JV’s activities rather than holding an investment.

Tarnmoor’s evidence. TPLC cannot see Coldwater’s management accounts. Tom Hesketh, the group head of tax, files Coldwater’s published annual reports with a note testing its cash, investment property and non-trading income against HMRC’s 20% yardstick: Coldwater makes and sells instruments, and its cash is working capital. The note sits with the GY4 computation, because an enquiry into an exempt gain starts with that question.

Exam lens: the SSE conditions

- **Grade: SSE 1 (core).**

- **Past appearances:** **M25 Q5** (20 marks; above); **N23 Q4** (20 marks: CT computation including **SSE on Irish shares: a loss is ignored**; “many computed the SSE loss unnecessarily”); **N23 Q2** (15 marks: a 50% JV sold with an earn-out; SSE); **M24 Q3** (15 marks: degrouping charge added to proceeds and SSE; well answered); **N24 Q3** (15 marks: SSE with pre-sale dividends, depreciatory transactions and value shifting).
- **Style:** state each condition and apply it to the facts: 10% of shares, profits and assets; 12 months in 6 years; group aggregation (51%); investee trading (and when afterwards); conclusion. Half to one mark per point.
- **Traps:** testing the *seller’s* trading status (repealed in 2017); requiring the investee to trade after an unconnected sale; using the 75% group for aggregation; computing an SSE loss; calling the SSE a claim; forgetting that a holding below 10% can still qualify for up to 6 years.

The wall stands in front of every door.

Para 4: priority. Whether there is a disposal for SSE purposes is decided **ignoring s 116(10), s 127 and s 192(2)(a)**. If the SSE then applies, those rules are disapplied. Without para 4, a company could use s 127 (via s 135) to defer a gain it would rather have exempt, or to keep a loss alive in the new shares. With it, the gain is exempt now, the loss is gone now, and the new shares are acquired at their value.

Subsidiary exemptions. - **Para 2:** assets related to shares (options over shares, securities convertible into shares) held by a company that meets the main exemption conditions. - **Para 3:** a run-off rule. If the main exemption would have applied to a disposal at some time in the previous **2 years**, and the investee has since ceased to be a qualifying company, a disposal may still be exempt where the seller (or its group) controlled the investee. - **Para 3A:** qualifying institutional investors (outside LCG’s focus).

Para 5: anti-avoidance. No exemption where, under arrangements whose **sole or main benefit** is that a gain will be exempt, an untaxed gain accrues after the investing company acquired control of the investee or after a major change in the investee’s trading activities. The classic target: buy control of a company, move a valuable asset into it without a charge, sell the shares under the SSE.

Para 6: exclusions. No-gain/no-loss disposals (for example to another group company: chapter 17) and disposals already exempt under other rules.

Failing the SSE to keep a loss. A group can fail a condition (sell before 12 months, or after the investee has stopped trading). But **TCGA 1992 s 16A** (inserted by FA 2007 s 27, from 6 December 2006) denies a loss that accrues in connection with arrangements one of whose main purposes is to secure a tax advantage (CG15835, CG40241; HMRC’s company guidance CG-APP8A, CG-APP9). A loss arising because a group genuinely sold early for commercial reasons is different; the evidence of purpose decides.

Hive-downs and the M Group lesson.

A hive-down moves a business into a new subsidiary, which is then sold. The buyer gets a clean company; the seller hopes for an exempt share sale instead of taxable asset sales. The obstacle is the 12-month holding test.

Para 15A. Where the shares sold were acquired from another member of the seller's group, or the company sold acquired a trading asset from another group member, the seller is treated as having held the shares throughout any period during which the asset was used in a trade by a member of the seller's group, and (as HMRC's guidance at CG53080C and commentators describe it) the company sold is treated as a qualifying company for that period, even before it existed. Where the holding period relies on para 15A, the investee must also be trading immediately after the sale (para 19(2)).

The case. *M Group Holdings Ltd v HMRC* [2023] UKUT 213 (TCC) (Upper Tribunal, 31 August 2023). The taxpayer had carried on its business as a stand-alone company. It formed a subsidiary in **June 2015**, hived its trade down in **September 2015**, and sold the subsidiary for about **£54m** in **May 2016**, less than 12 months after formation. It argued that para 15A let it count the years in which it had itself used the trade's assets. The Upper Tribunal disagreed: para 15A counts use by a **member of a group**, and before the subsidiary existed the seller was a single company, not a group. The holding test failed and a gain of about **£53.2m** (tax about £10.6m) was chargeable. The disposal fell under the pre-2017 rules (a 2-year window), but the "member of the group" wording the case turned on remains in para 15A. Commentators called for a change in the law; FA 2026 made none.

Tarnmoor. When TEL hives its actuators business down into the new TAL on **1 February GY6**, TEL has long been a member of the Tarnmoor group and has used the actuator assets in its trade for years. When it sells TAL on **31 December GY6**, eleven months later, para 15A counts that use: the holding test is met, and TAL must (and does) trade immediately after the sale. Chapter 20 works through the sale; chapter 17 explains the degrouping gain that is added to the exempt proceeds (TCGA 1992 s 179(3A)).

Going further: hive-down planning. If the seller is a single company, form the subsidiary early (12 months of group existence before the sale), or wait. Map the trading assets used by group members and the dates of use; para 15A needs a trading asset used in a group trade. Remember the other hive-down rules: CTA 2010 Part 22 Ch 1 for losses and capital allowances, TCGA 1992 s 171 and CTA 2009 s 775 for the asset transfers, and the degrouping and SDLT clawback consequences of the sale (chapters 17, 19–21).

Reorganisations, when nothing happens.

Meaning (s 126). A reorganisation or reduction of share capital, including allotments to existing holders in proportion to their holdings (bonus and rights issues, paid or not) and alterations of rights where there is more than one class. Paying off redeemable share capital is not a reduction, and a redemption other than for shares or debentures (outside a liquidation) is a disposal.

No disposal (s 127). The original shares and the new holding are one asset, acquired when the originals were acquired.

Consideration (s 128). New consideration (a rights issue) is added to cost; non-arm's-length consideration counts only up to the relevant increase in value. Cash received is a part disposal.

More than one class (ss 129–130). Cost is apportioned by market value; if any class is quoted within 3 months, values on the first day of dealing are used (s 130).

Conversions (s 132), premiums (s 133), compensation stock (s 134). Conversions of securities are treated as reorganisations (including conversions forced by compulsory acquisition). A small conversion premium is deducted from cost rather than

treated as a part disposal (with an election where the premium exceeds allowable cost). s 134 freezes the gain on shares compulsorily exchanged for gilts (recognition only).

Stock dividends received by a company. s 142's rule (cost = the cash equivalent; not a reorganisation) applies only where ITTOIA 2005 s 410 applies: individuals, trustees and personal representatives. **HMRC's view (CTM17005; CG58750)** is that a stock dividend received by a company "is thus generally not income through any route" and the company "acquires no additional CG base cost": it is treated like a bonus issue, within ss 126–127. (CTM17005 cites "TCGA92/S141(1)", but that citation is out of date: FA 1998 s 126 substituted a single new s 142 for the old ss 141 and 142, for share capital issued on or after 6 April 1998.)

Worked example 18.3: a scrip alternative (hypothetical; not a story fact)

Suppose Coldwater offered a scrip alternative of 1 new share for every 50 held, and TPLC took shares. TPLC would receive 64,000 shares (3,200,000/50, after the GY4 sale). Its holding would rise to 3,264,000 shares; its **cost stays £5,600,000** (no additional base cost); its 8% proportion is unchanged. For SSE purposes nothing changes: the new shares are part of the same holding (s 127).

Why the base cost after an exchange matters. If the SSE applied to an exchange, the new shares cost their **market value** at the exchange; if it did not and s 127 applied (via s 135), they cost what the **old shares cost**. The M25 examiners singled out "base cost after the exchange" as the weak area.

Exam lens: reorganisations and stock dividends

- **Grade:** reorganisation or reduction of share capital **1**; conversion of securities **1**; stock dividends **1**; company reconstructions **1** (chapter 19).
- **Traps:** giving a company's stock dividend a cash-equivalent cost (that is s 142, for individuals); treating a bonus issue as a disposal; forgetting to apportion cost between classes; treating cash on a reorganisation as tax-free (it is a part disposal).

Paper for paper, and the Helmside exchange.

Share exchange (s 135). Company B issues shares or debentures to the holders of shares or debentures in company A, in exchange for them, where: - **Case 1:** B holds, or will hold as a result, **more than 25%** of A's ordinary share capital; - **Case 2:** B issues them under a **general offer** made initially on a condition which, if satisfied, would give B **control** of A; - **Case 3:** B holds, or will hold, the **greater part of the voting power** in A.

Then ss 127–131 apply as if A and B were the same company (s 135(3)), **subject to s 137** (s 135(6), as amended by FA 2026 s 37(2)). The seller's new shares stand in the old shares' shoes. **s 136** does the same for a scheme of reconstruction (Sch 5AA; chapter 19).

Worked example 18.4: the Helmside share exchange, 1 March GY5 (invented; £)

Facts. Helmside Energy Ltd was formed on 1 January GY1 with share capital of £20m in £1 ordinary shares: TPLC 9,000,000 (45%), Greyfell Utilities plc 8,000,000 (40%; an invented listed utility, unconnected with Tarnmoor), Northlight Infrastructure Fund LP 3,000,000 (15%; an invented partnership). Heads of terms with Greyfell: 1 December GY4. On **1 March GY5** TPLC issues **2,000,000 new TPLC shares at £8.00 (£16,000,000)** to Greyfell for its 8,000,000 Helmside shares. TPLC then holds 85%; Helmside joins the 75% group (chapter 15).

Greyfell (the seller).

Test	Application
s 135 Case 1?	Yes: TPLC will hold more than 25% (85%)
SSE: $\geq 10\%$ of shares, profits, assets for 12 months in 6 years?	Yes: 40% since 1 January GY1
SSE: Helmside a trading company from the start of the latest 12-month period to the disposal?	Yes
Para 4	SSE decided ignoring s 127 (and so s 135); SSE applies; s 127 disapplied

	£
Consideration: market value of TPLC shares received	16,000,000
Cost of Helmside shares (subscribed 1 January GY1)	(8,000,000)
Gain	8,000,000
Chargeable gain	nil: exempt
Greyfell's base cost of its 2,000,000 TPLC shares	16,000,000

Had s 135 applied instead, Greyfell's TPLC shares would have carried its £8.0m cost and the £8.0m gain would have waited for their sale, which (2m shares in a widely held listed company being almost certainly below 10%) would not be exempt. The SSE is better for Greyfell than deferral.

TPLC (the acquirer). Issuing its own shares is not a disposal. Its cost for the 40% is the value of the consideration given, the agreed value of the shares issued in an arm's-length bargain: *Stanton v Drayton Commercial Investment Co Ltd* (1982) 55 TC 286 (HL), applied by HMRC in CG52562.

TPLC's Helmside holding	Shares	Cost £
Subscribed 1 January GY1	9,000,000	9,000,000
Acquired from Greyfell 1 March GY5	8,000,000	16,000,000
Pool (85%)	17,000,000	25,000,000

Stamp duty. $0.5\% \times £16,000,000 = \text{£}80,000$, payable by TPLC within 30 days. Share-for-share relief (FA 1986 s 77) is not available: TPLC does not acquire the whole issued share capital (Northlight keeps 15%). Chapter 21.

If Greyfell were connected with TPLC (for example as persons acting together to control Helmside, s 286(7)), nothing would change here: the price is market value anyway, and Helmside continues to trade after the sale (para 19(2)).

Exam lens: share exchanges

- **Grade:** reorganisations 1; company reconstructions 1.
- **Past appearances:** **N23 Q2** (15 marks, 12/3: a s 135 share-for-share exchange with cash; “few explained s.135 conditions”); **M25 Q5** (share-for-share exchange base cost).
- **Traps:** applying s 135 to a corporate seller that qualifies for the SSE; omitting the Case 1/2/3 test; wrong base cost for the new shares; forgetting that cash received is a part disposal; forgetting stamp duty (and that s 77 needs the *whole* share capital, shares only).

Purpose, and the new section one three seven.

The old s 137 (until 25 November 2025) denied s 135/136 treatment unless the exchange was effected for **bona fide commercial reasons** and did not form part of a scheme or arrangements of which the **main purpose, or one of the main purposes**, was avoiding CGT or CT. Holders of **5% or less** of the target were outside it.

The Delinian story. Euromoney sold its business Capital Data to Diamond Topco. The consideration was originally to be ordinary shares and cash; at Euromoney’s suggestion the cash was replaced by **redeemable preference shares** in the buyer. The exchange would be within s 135 (no disposal); once the preference shares had been held for 12 months, their redemption for cash was expected to fall within the SSE. HMRC denied s 135, arguing that the preference share arrangement was a scheme with a main purpose of avoidance, and amended the return (an increase in CT of £10,483,731.87, as reported in commentary). The FTT found avoidance was a purpose but not a **main** purpose of the arrangements as a whole; the Upper Tribunal ([2022] UKUT 205 (TCC)) and the Court of Appeal (Vos MR, Snowden and Whipple LJ; 3 November 2023) agreed. The Court held that the question is whether the exchange forms part of a scheme or arrangements with a main avoidance purpose, looking at the arrangements as a whole, not at a selected piece of them.

FA 2026 s 37: the new s 137 (issues of shares or debentures **on or after 26 November 2025**): 1. It applies to **arrangements relating to** an exchange or reconstruction within s 135 or s 136 where **the main purpose, or one of the main purposes**, of the arrangements is to reduce or avoid **CGT or CT** (not income tax: contrast the new s 139, chapter 19) (s 137(1)). 2. Counteraction is by **just and reasonable adjustments** (s 137(1A)), which may disapply s 135 or 136 “insofar as is required” (s 137(1B)), by assessment or modification of an assessment (s 137(1C)). “Arrangements” is widely defined (s 137(7)). 3. The **5% exception is abolished** (old s 137(2)–(3) omitted), and the old “bona fide commercial reasons” limb has gone.

Transitional protection (FA 2026 s 37(6)–(7)): a s 138 application made before 26 November 2025, clearance given, and the issue before 26 January 2026 or within 60 days of the clearance if later.

Status. Commentators (including the CIOT’s *Tax Adviser* magazine, 24 March 2026) read the new wording as a response to *Delinian*; HMRC’s Budget explanatory note (TIIN, 26 November 2025) does not name the case. Under the new rule HMRC could target the preference share arrangement and adjust only the tax on the cash element. There is **no case law on the new wording yet**.

HMRC’s view (CG52632): arrangements that lead to tax **never being paid**, rather than merely deferred, are tax avoidance for these rules (citing *Delinian*, paras 52–54, which dismissed the company’s cross-appeal). Deferral is what s 135 is for; permanent escape is what s 137 is for.

Worked example 18.5: where the new s 137 would bite (hypothetical variation; did not happen)

Suppose Northlight had also exchanged its 15% for TPLC shares. Northlight is a partnership, so each partner is treated as disposing of its share of the holding. Partners that are not companies cannot use the SSE and would rely on s 135 (Case 1 is met). Under the old law, any partner holding 5% or less of Helmside would have been outside s 137 altogether; under the new law **every partner is within it**, and each must be confident that no main purpose of the arrangements relating to the exchange is avoidance. A s 138 clearance would be the natural protection.

Clearance before the issue.

s 138 (as amended by FA 2026 s 37(5)). s 137 does not apply if, **before the issue**, HMRC (on the application of either company) notify that they are satisfied the exchange or scheme “will be effected without arrangements in respect of which section 137 applies”. HMRC have **30 days** to reply or to ask for further particulars (and 30 days from receiving them); if HMRC refuse or do not reply, the applicant may require the application to go to the **tribunal** within 30 days. A clearance is **void** if the application did not fully and accurately disclose all material facts and considerations. New s 138(6) extends “shares or debentures” to interests and options within ss 135(5), 136(5) and 147.

Practice (GOV.UK “Apply for statutory clearance for a transaction”; CG52631, updated 30 July 2026): - Build the clearance into the deal timetable: the clearance must precede the issue. - A clearance is narrow: it does **not** confirm that s 135 or 136 applies, or whether loan notes are QCBs. - One application to HMRC’s Clearance and Counteraction Team can cover s 138, s 139(5), CTA 2010 s 1091, CTA 2010 s 748 and others.

Without a clearance, the shareholder files on the basis that s 135 applies. If HMRC disagree, they make their just and reasonable adjustments by assessment or by amending a self assessment (s 137(1C)), within the usual enquiry and discovery limits. The best evidence is the commercial record made at the time; the worst is an email like Euromoney’s.

Tarnmoor. No application was made for the Helmside exchange: Greyfell relied on the SSE, not s 135, and Northlight was not part of the deal. Tom Hesketh’s board paper recorded why, so that the decision not to seek clearance was itself on the file.

Going further: share exchanges after FA 2026. For any share-for-share deal: (1) identify each seller’s route (SSE, s 135, or neither); (2) list the arrangements “relating to” the exchange (preference shares, redemptions, pre-sale dividends, loan notes) and the tax each affects; (3) record the commercial drivers contemporaneously (*Delinian* turned on the evidence of purpose); (4) decide on clearance early; (5) remember stamp duty and SDRT on the target shares (chapter 21) and the buyer’s base cost (*Stanton v Drayton*).

Earn-outs, and a right that outlives the sale.

Unascertainable consideration: *Marren v Ingles* (1980) 54 TC 76; [1980] STC 500; [1980] 1 WLR 983. An individual sold shares in a private company for an immediate payment plus a further sum that depended on the company’s later quotation and its price on the first day of dealing; the amount could not be known at the date of sale. The House of Lords held (the court as

reported in secondary sources) that the right to the further sum was itself an asset, a **chose in action**; its value at the date of sale formed part of the consideration for the shares; and each later receipt was a capital sum derived from that right (TCGA 1992 s 22), a disposal or part disposal of it, not the satisfaction of a debt (s 251) (CG14990; CG14970).

Ascertainable (even if contingent) consideration: s 48. A fixed sum payable on a condition is brought into the original disposal in full, without discount for postponement or risk, with an adjustment if it later proves irrecoverable (s 48(1); *Marson v Marriage* 54 TC 59, as summarised in HMRC guidance). **For companies**, s 48(1) does not apply to consideration consisting of rights under a **creditor relationship** (for example loan notes); these are brought in at fair value and the loan relationship rules take over (s 48(2)–(4); chapter 16).

Consequences of a Marren right (the N23 Q2 points): - the original computation is closed at the date of sale using the right's value, and **never reopened**; - each receipt is a separate (part) disposal of the right, using $A/(A+B)$ with B the value of the right that remains (s 42; SVM107160: HMRC's valuation team can be asked to agree the residual value after each instalment); - the receipts get **none of the reliefs** that applied to the original shares; - the election to carry a loss on the right back against the original gain (ss 279A–279D) is for individuals: **not available to companies**; - payment of the tax by instalments under s 280 is not available for unascertainable consideration (CG14910).

Earn-outs in paper: s 138A. An “earn-out right” is a right to be issued shares or debentures in the acquirer, unascertainable when conferred and dischargeable only by such an issue. If the exchange would be within s 135 (unaffected by s 137), the right is treated as a non-QCB security of the acquirer: the exchange is paper for paper and the later issue a conversion. The seller may **elect out** (s 138A(2A)); a company must do so **within 2 years of the end of the accounting period** in which the right is conferred; the election is **irrevocable**. A right satisfiable in cash or shares at the buyer's option is not an earn-out right.

The Tarnmoor earn-out.

Worked example 18.6: the TAL earn-out (invented; £)

The sale (chapter 20). On 31 December GY6 TEL sells TAL to Brennock Industries Inc (an invented US buyer) for **£48,000,000** cash plus a cash earn-out of up to **£6,000,000**, measured on the business's results over the next two years. The right is valued at **£3,000,000** at completion. With the degrouping gain of **£2,500,000** added to TEL's proceeds (TCGA 1992 s 179(3A); chapter 17), the consideration of **£53,500,000** is within the SSE (para 15A). TEL's base cost of the earn-out right: **£3,000,000**.

The receipts. On the generally accepted view followed in this book, the right is not shares and not an asset related to shares within para 2, so the SSE covers only its value at completion; later receipts are chargeable.

	GY7	GY8
Receipt (A)	2,000,000	2,500,000
Value of the right remaining after the receipt (B)	2,000,000	nil
Cost: $3,000,000 \times A/(A + B)$	(1,500,000)	
Cost: remaining		(1,500,000)
Chargeable gain (TEL)	500,000	1,000,000
CT at 25%	125,000	250,000

Total receipts £4,500,000 against a right valued at £3,000,000: gains **£1,500,000**, CT **£375,000**.

If the business had disappointed (for example a single receipt of £2,000,000): a **capital loss of £1,000,000** on the right. Because a gain on the right would be chargeable, the loss is allowable on the same reasoning (s 2A(2) does not deny it), but only against TEL's chargeable gains (current or future, within Part 7ZA) or, by a s 171A election, a group company's gains; never against income, and never carried back (no company equivalent of ss 279A–279D).

Status flag. HMRC's manuals (CG14970–CG14990; Sch 7AC guidance) do not, so far as this book has found, address an SSE share sale followed by receipts on a *Marren* right; practitioner commentary takes the view applied here. Treat it as the accepted view, not settled law.

Exam lens: earn-outs

- **Grade:** *Marren v Ingles* 1; post-transaction valuations 1 (chapter 16).
- **Past appearances:** N23 Q2 (15 marks: a 50% JV sold with an earn-out; “many wrongly reopened the original computation when the earn-out was paid”).
- **Traps:** reopening the original computation; treating the right's later receipts as exempt under the SSE; treating an ascertainable contingent sum as a *Marren* right (it is s 48); giving a company the individual's loss carry-back; forgetting s 138A for share earn-outs (and its 2-year election for companies).
- **Layout:** (1) original disposal: cash + value of right = proceeds; (2) each receipt: part disposal of the right with $A/(A+B)$.

Going further, and how the examiner tests it.

Going further: standing tasks for a large group

1. **Keep every share pool current**, including pools whose disposals have all been exempt. The SSE can lapse (Coldwater's sell-by date, about September GY9), and the base cost matters on that day.
2. **Keep an SSE register:** for each holding, the percentage of shares, profits and assets across the 51% group; the date the 10% threshold was first and last met; the 6-year expiry date; the evidence of the investee's trading status.
3. **Evidence trading status:** management accounts for subsidiaries, tested against HMRC's 20% yardstick; published accounts (and, where possible, a letter) for minority stakes.
4. **Hive-downs:** confirm the seller is already in a group, or that there will be 12 months of group existence before the sale (*M Group*).
5. **Deals in shares:** decide early whether any seller relies on s 135; build s 138 clearance into the timetable; assume the 5% exception has gone.
6. **Earn-outs:** compare a fixed contingent sum (s 48: within the original exempt disposal) with a formula-based right (*Marren*: a separate, taxable asset); compare cash with shares (s 138A helps a seller outside the SSE); agree the completion value, and the residual value after each instalment, with HMRC's Shares and Assets Valuation team (form CG34 for post-transaction checks).
7. **Never plan to fail the SSE just to keep a loss** without considering s 16A.

8. **Deferred tax:** where a sale would be exempt, there is usually no deferred tax on the holding; a chargeable earn-out right or a holding past its SSE sell-by date may.

Exam lens: shares overall

- **Grades (2026 grid, LCG AT):** share pooling and identification 1; gilts and QCBs 1; reorganisation or reduction of share capital 1; conversion of securities 1; company reconstructions 1; stock dividends 1; ss 151E–151G 2; SSE 1; *Marren v Ingles* 1. At least 70% of the CT element comes from core material. Check the 2027 grid when published.
- **Past appearances:** M25 Q5 (20); N23 Q2 (15, 12/3); N23 Q4 (20; SSE loss on Irish shares); M24 Q3 (15; degrouping into SSE); N24 Q3 (15; SSE with pre-sale dividends and value shifting).
- **Style:** technical prose plus computations; “Calculate, with explanations” or “Explain”; 10, 15 or 20 marks; 0.5–1 mark per point; no letter or report format.
- **Reported traps:** indexation creating or increasing a loss (M25); base cost after an exchange (M25); computing an SSE loss (N23 Q4); reopening the original computation on an earn-out (N23 Q2); not explaining the s 135 conditions (N23 Q2); stamp duty confused with SDLT (N23 Q2).
- **Layouts:** the five-step order of attack; pool tables in £; SSE conditions as a checklist with a conclusion; exchange base cost table; earn-out in two stages.

What to take away.

- **Order of attack:** matching → debt or share → SSE → reorganisation/exchange → ordinary computation.
- **Matching (companies):** same day; previous 10 days (earliest first; outside the pool); s 104 pool. No 30-day rule. Pool indexation frozen at December 2017; it reduces a gain to nil but never creates or increases a loss.
- **Debt:** for a company any loan relationship asset is a QCB (s 117(A1)); gilts and QCBs are outside TCGA (s 115); shares for loan notes: s 116(10) frozen gain, unless the SSE applies (para 4).
- **SSE:** ≥ 10% of shares, profits and assets; 12 months in the 6 years before; 51% group aggregation; investee trading from the start of the latest qualifying 12 months to the sale, and afterwards only if the buyer is connected or para 15A is used; seller need not trade; automatic; gains exempt and losses not allowable; para 4 priority over ss 116(10), 127 and 192(2)(a); para 5 anti-avoidance; para 15A hive-downs (*M Group*: a single company is not a group).
- **Coldwater:** GY4 sale of 4%: exempt gain £2,160,000 (CT saved £540,000); remaining 8% (cost £5.6m) exempt until about September GY9.
- **Reorganisations:** s 127 no disposal; new consideration added; cash a part disposal; classes apportioned by value; company stock dividends: no added cost (HMRC’s view).
- **Exchanges:** s 135 Cases 1–3; subject to s 137. Helmside: Greyfell’s £8.0m gain exempt (SSE first); TPLC’s cost £16.0m (*Stanton v Drayton*); Helmside pool £25.0m for 85%; stamp duty £80,000.
- **New s 137 (FA 2026 s 37):** issues on or after 26 November 2025; arrangements relating to the exchange; main purpose; just and reasonable counteraction; no 5% exception. s 138 clearance before the issue; 30 days; void without full disclosure.
- **Earn-outs:** *Marren* right valued into the original proceeds; later receipts are disposals of the right; outside the SSE on the accepted view; s 138A for share earn-outs (company election within 2 years). TAL: receipts £4.5m against £3.0m:

gains £1.5m; CT £375,000.

So the law does not ask whether shares were swapped or sold. It asks, in a fixed order, what kind of holding this is and why the deal was shaped as it was.

The Helmside exchange swapped shares in a company. Chapter nineteen, on reconstructions, demergers and distributions, turns to deals that split a group itself, beginning with the Tarnwater demerger.

Key rules and figures

Rule	Figure / effect	Reference
Company matching	Same day; 10 days before (earliest first); s 104 pool	TCGA 1992 ss 105, 107
Indexed pool	RE = RPI December 2017 (278.1); no indexation after	s 110; s 53(1B)
Indexation and losses	Cannot create or increase a loss	s 53(2A)
QCB for companies	Any loan relationship asset	s 117(A1); s 115
QCB reorganisations	Frozen gain on shares exchanged for QCBs	s 116(10)
SSE holding	≥ 10% shares, profits and assets; 12 months beginning ≤ 6 years before disposal	Sch 7AC paras 7–8
SSE group	51% group aggregation	paras 9, 26
SSE investee	Qualifying (trading) company from start of latest 12 months to disposal; immediately after only if connected buyer or para 15A	para 19
“Substantial” non-trading	More than 20% (HMRC’s view)	para 20; HMRC practice
SSE priority	Over ss 116(10), 127, 192(2)(a)	para 4
SSE losses	Not allowable	para 1; s 2A(2)
Subsidiary exemptions	Assets related to shares; 2-year run-off	paras 2, 3
SSE anti-avoidance	Sole or main benefit; untaxed gain after control or major change	para 5
Hive-down	Group use of trading asset counts; single company is not a group	para 15A; <i>M Group</i>
Capital loss TAAR	Main purpose of tax advantage: loss not allowable	s 16A (FA 2007 s 27)
Reorganisation	No disposal; consideration added; cash a part disposal	ss 126–131
Conversions, premiums	Reorganisation treatment; small premium reduces cost	ss 132–133
Company stock dividend	No added base cost; not income (HMRC’s view)	CTM17005; CG58750

Rule	Figure / effect	Reference
Share exchange	Case 1 > 25%; Case 2 general offer for control; Case 3 voting majority	s 135
New s 137	Issues on or after 26 Nov 2025; main purpose; just and reasonable; no 5% exception	FA 2026 s 37
Clearance	Before issue; 30 days; tribunal; void if disclosure incomplete	s 138
Acquirer's cost of target shares	Agreed value of shares issued (arm's length)	<i>Stanton v Drayton</i> ; CG52562
Earn-out (unascertainable)	Separate chose in action; receipts are disposals of the right	<i>Marren v Ingles</i> ; s 22; CG14990
Ascerttainable contingent sum	In full in original disposal; companies: creditor relationships at fair value	s 48
Share earn-out	Deemed security; company election out within 2 years of AP end	s 138A
ss 151E–151G	Treasury powers (non-core)	TCGA 1992
Story: Coldwater	Pool 4.8m shares, £8.4m; GY4 sale 1.6m at £3.10; exempt gain £2.16m; remaining £5.6m; SSE to about Sept GY9	invented (story)
Story: Helmside exchange	2m TPLC shares at £8.00 = £16.0m; Greyfell gain £8.0m exempt; TPLC pool £25.0m (85%); stamp duty £80,000	invented (story)
Story: TAL earn-out	Right £3.0m; GY7 £2.0m (gain £0.5m); GY8 £2.5m (gain £1.0m); CT £375,000	invented (story)

Statutory and case references

Statute. TCGA 1992 ss 2A, 16A, 22, 38, 42, 48, 53, 104–110, 115–117, 126–138A, 142, 151E–151G, 171, 179(3A), 251, 279A–279D, 280, 286; Sch 5AA; Sch 7AC paras 1–10, 14, 15, 15A, 19–24, 26, 28. FA 2026 s 37. FA 2007 s 27. FA 1986 s 77. ITTOIA 2005 s 410. CTA 2009 Part 5, s 533, s 775. CTA 2010 Part 22 Ch 1.

HMRC manuals and guidance. CG14910, CG14970, CG14990 (deferred consideration); CG15835, CG40241, CG-APP8A, CG-APP9 (s 16A); CG40200 (s 2A); CG52562 (cost of shares acquired); CG52631, CG52632 (s 137 and clearance); CG53000, CG53008, CG53106 (SSE); CG58750 and CTM17005 (stock dividends); SVM107160 (valuing deferred consideration); GOV.UK “Apply for statutory clearance for a transaction”; CG34 post-transaction valuation checks.

Cases. *Delinian Ltd (formerly Euromoney Institutional Investor plc) v HMRC* [2023] EWCA Civ 1281 (3 November 2023); [2022] UKUT 205 (TCC). *M Group Holdings Ltd v HMRC* [2023] UKUT 213 (TCC) (31 August 2023). *Marren v Ingles* (1980) 54 TC 76; [1980] STC 500; [1980] 1 WLR 983. *Marson v Marriage* 54 TC 59. *Stanton v Drayton Commercial Investment Co Ltd* (1982) 55 TC 286 (HL).

Chapter nineteen: Reconstructions, demergers and distributions

On **23 June 2026**, HMRC and HM Treasury published a consultation with a long title: *Modernising the taxation of distributions and repayments of capital from companies*. Buried in its chapter on demergers was a candid admission. The relief that lets a trading group split itself in two, it said, is “not currently well-used”.

That is a striking thing for a government to say about its own law. The demerger rules have existed since 1980. They promise something remarkable: a group can hand a whole subsidiary to its shareholders, worth perhaps hundreds of millions of pounds, and nobody is treated as having received a dividend or sold anything. So why do advisers so often go round them? The answer lies in their conditions, and in the other routes the law offers. This chapter is about all of those routes, and about the rule underneath them: the definition of a distribution.

Here is the question to hold on to. **How can a business be divided between companies, or between owners, without the tax system treating the division as a sale or a dividend? And what stops that freedom being used to dress up income as capital?**

This is the fifth chapter of Part Three. Company distributions, company distributions received, companies in liquidation or administration (the distribution part), company reconstructions, demergers, CTA 2010 Part 22 and transactions in securities are all **core (grade 1)** on the LCG grid. None has been examined as a full question from M23 to M26, which is exactly why a prepared candidate should know them. *The Living Law* (TKS), chapter 20, taught the distribution categories in outline, and chapter 22 told *Leekes* on losses after a transfer of trade. TKS did not teach demergers or transactions in securities, so we start those from first principles.

Most of the law is in the Corporation Tax Act 2010 (CTA 2010); some sits in the Corporation Tax Act 2009 (CTA 2009) and the Taxation of Chargeable Gains Act 1992 (TCGA 1992). We apply the law for **FY2026**, including the Finance Act 2026 (FA 2026) changes to company reconstructions. The examples use our invented group, Tarnmoor. Its companies, people and numbers are invented for teaching, as they are throughout this book.

What the law calls a distribution

Begin with the word itself, because every route in this chapter is a way of avoiding it, or of making it harmless. A distribution is a payment by a company to its members, in their capacity as members. **CTA 2010 s 1000(1)** lists the categories:

Category	What it catches	Reference
A	Any dividend, including a capital dividend	s 1000(1) para A
B	Any other distribution of assets in respect of shares, except so far as it repays capital or is matched by new consideration	para B

Category	What it catches	Reference
C	Redeemable share capital issued otherwise than for new consideration (bonus redeemable shares)	para C
D	Securities issued otherwise than for new consideration (bonus securities)	para D
E	Interest on securities above a reasonable commercial return (only the excess)	para E
F	Interest on special securities (for example results-dependent interest)	para F; s 1015
G	Transfers of assets or liabilities to members at an undervalue	para G; s 1020
H	Bonus issues following a repayment of share capital	para H; s 1022

C and D stop a company issuing paper that can later be cashed in as a disguised dividend. E and F reach into debt.

Why it matters in a large group. Dividends between group companies are usually exempt (next section), so why care? Because the label changes the **payer's** position too: a distribution is never deductible (CTA 2009 s 1305). If interest is recharacterised as a distribution, the payer loses its deduction; and the recipient's exemption does not cover E or F amounts (CTA 2009 s 931D).

Worked example 19.1: category E interest (invented for this purpose; not a Tarnmoor story fact)

£	Amount
Loan from a connected lender	10,000,000
Interest paid at 12%	1,200,000
Reasonable commercial return at 7%	(700,000)
Category E distribution (excess)	500,000
Deduction lost by the payer at 25%	125,000

The £500,000 is not deductible for the payer (CTA 2009 s 1305) and, being a para E distribution, is not exempt for a recipient within CT (CTA 2009 s 931D). The £700,000 commercial element remains interest under the loan relationship rules.

Transfers at an undervalue (s 1020). If a company transfers an asset (or a liability) to a member and the market value of the benefit exceeds the new consideration given, the excess is a distribution. The old exception for transfers between a company and its group members (s 1021) was **repealed by FA 2012 s 33**, so an undervalue transfer from a subsidiary up to its parent is a distribution of the shortfall even inside a group. Section 1020 looks only upwards, at members: a transfer between **sister companies** is outside it, although the gains rules (chapter 17) and transfer pricing (chapter 27) must still be checked.

Company law runs alongside. A company paying a distribution needs distributable reserves, and cannot return capital to shareholders except by a formal reduction. In *Progress Property Co Ltd v Moorgarth Group Ltd* [2010] UKSC 55, one group

company had sold a subsidiary to a fellow subsidiary at a price later shown to be too low. The Supreme Court (Lord Walker giving the leading judgment) held that a genuine arm's length commercial sale made in good faith is not an unlawful distribution merely because hindsight reveals an undervalue: substance, not a retrospective valuation, decides. (Holding taken from the Supreme Court's press summary and law reports' summaries.)

Two more definitions. Under s 1027A, a reserve arising from a reduction of share capital (including share premium) is treated for CT as profits, not capital: a company cannot reduce capital and call the payout a repayment of capital. Under s 1030, a distribution in respect of share capital **in a winding up** is not an income distribution: it is capital. Hold that thought.

Receiving a distribution

Since 1 July 2009, **CTA 2009 Part 9A** has charged every distribution a company receives (s 931A) and then exempted most of them.

Large (non-small) companies (s 931D). A distribution is exempt if: 1. it falls into an **exempt class** (ss 931E–931I); 2. it is **not** a para E or F distribution; and 3. **no deduction** is allowed to a non-UK resident in respect of it.

Exempt class	Test	Reference
Controlled companies	Recipient controls the payer; or the 40/55 JV test (two persons together control; recipient holds $\geq 40\%$; the other $\geq 40\%$ and $\leq 55\%$)	s 931E
Non-redeemable ordinary shares	Distributions in respect of such shares	s 931F
Portfolio holdings	Recipient holds $< 10\%$ of the issued share capital (or class), of profits and of assets on a winding up	s 931G
Relevant profits	Dividends not derived from transactions designed to reduce UK tax	s 931H
Shares accounted for as liabilities	Narrow case (s 521C not applying only because of its condition (f))	s 931I

Anti-avoidance (ss 931J–931Q) targets schemes manipulating the controlled company or portfolio classes, quasi-preference and quasi-redeemable shares, schemes in the nature of loan relationships, deductible distributions, payments for distributions, non-arm's length payments and diverted trade income. **Small companies** (micro or small enterprises) are exempt only where the payer is resident in the UK or a qualifying territory and the distribution is not part of a tax advantage scheme (ss 931B, 931C, 931S).

The election out (s 931R). A company may elect that a distribution is **not exempt**, by the **second anniversary of the end of the AP** in which it is received, typically to secure a lower foreign withholding rate or foreign tax credit (chapter 25 works the choice).

In our invented case the rules almost never bite. TPLC's dividends from its wholly owned subsidiaries are exempt under s 931E; its holding in Coldwater Instruments plc (12%, later 8%) pays ordinary dividends on non-redeemable ordinary shares (s 931F); and Tarnmoor Actuators Ltd's (TAL) £2.0m dividend to TEL in December GY6 is exempt under s 931E (chapter 20

tells the sale). The work lies in spotting the exceptions: disguised interest, a payer with a foreign deduction, or a dividend engineered into a class.

Exam lens: distributions paid and received - Grade: company distributions **1**; company distributions received **1**. - **Past appearances:** pre-sale dividends and the exempt distribution carve-out from value shifting in **N24 Q3** (15 marks; examiners: candidates “missed that value shifting does not apply to a reduction caused solely by an exempt distribution”); an intra-group transfer at undervalue in **M24 Q3** (sale of a subsidiary). Dividend exemption as part of an overseas subsidiary question in **M26 Q5**. - **Style:** a paragraph of explanation per item; 0.5–1 mark per point. - **Traps:** saying a large company’s dividend is exempt without naming the class; forgetting that E and F distributions are neither deductible nor exempt; treating an undervalue transfer to a parent as outside s 1020 (s 1021 has gone); forgetting the s 931R election when foreign tax credit is in play.

The quiet end of a company

Large groups accumulate dormant companies the way old houses accumulate keys. Each must file; each sits on the senior accounting officer’s list (chapter 4). Sooner or later someone asks why it still exists.

Two ways to close a solvent company. A formal **liquidation** appoints a liquidator; under s 1030 what shareholders receive in the winding up is capital. (Chapter 14 covers the accounting periods and group consequences of a winding up.) The cheaper route is an application to the registrar to **strike the company off** (Companies Act 2006 s 1003). For many years HMRC’s Extra-Statutory Concession C16 let shareholders treat pre-strike-off distributions as capital. Since **1 March 2012** the rule has been statutory (CTA 2010 ss 1030A–1030B, inserted by SI 2012/266), with a cap:

- **s 1030A:** a distribution made in anticipation of dissolution under CA 2006 s 1000 or s 1003 is **not a distribution** (so it is capital) if (A) the company intends to secure, or has secured, the collection of its debts and the payment of its liabilities, and (B) the **total** of such distributions does not exceed **£25,000**.
- **s 1030B:** if the company is **not dissolved within 2 years** of the distribution, or does not collect its debts and pay its liabilities, the distribution is treated as an income distribution throughout.

The misconception to clear first: “capital treatment is always a favour”. The rule was designed for individuals, for whom capital usually beats income. For a **corporate** shareholder the arithmetic can run the other way: a dividend would usually be exempt, but a capital receipt is a chargeable disposal unless the SSE applies.

Worked example 19.2: striking off Tarnmoor Pumps Ltd (invented story, GY7)

Tarnmoor Pumps Ltd has been dormant throughout the story. In GY7 the group decides to strike it off. Its reserves are **£18,000**, held in cash. TPLC’s base cost for its shares is **£100**, subscribed after December 2017 (no indexation). Before applying, Tarnmoor Pumps distributes the £18,000 to TPLC.

TPLC, GY7	£
Capital distribution (s 1030A: total ≤ £25,000; TCGA s 122)	18,000
Less base cost (whole cost: nothing of value remains)	(100)

TPLC, GY7	£
Chargeable gain	17,900
CT at 25%	4,475

- **No SSE:** Tarnmoor Pumps does not trade, so the investee trading requirement fails (TCGA Sch 7AC para 19), and the para 3 run-off exemption cannot apply after years of dormancy.
- **The comparison:** the same £18,000 paid as an ordinary dividend would have been exempt for TPLC (CTA 2009 s 931E). Tom Hesketh, the group's invented head of tax, notes that paying a dividend first would have needed board approval and a check against the value shifting rule (TCGA s 31; chapter 17), all to save under £5,000. The group pays the tax.
- **The irony of s 1030B:** if the strike-off stalled beyond 2 years, the payment would become an income distribution, exempt for TPLC. A sanction for individuals is a relief for a parent company.
- **Share capital:** the £100 of share capital cannot lawfully be returned before dissolution without a formal reduction of capital; anything left in a company when it is struck off passes to the Crown as *bona vacantia*. Practitioners plan the last balances accordingly.

Exam lens: liquidations and strike-off - Grade: companies in liquidation or administration **1** (the AP and group points are in chapter 14). - **Past appearances:** not as a standalone question M23–M26; N24 Q2 tested a holding company in liquidation for group relief (chapter 14). - **Traps:** the £25,000 is a **total** of pre-dissolution distributions, not per shareholder; the 2-year dissolution condition; assuming capital is better for a company; forgetting that s 1030 (formal liquidation) has no cap.

Moving a trade inside the group

Now we move from closing companies to reshaping them. A group often moves a trade from one company to another: tidying up after an acquisition, or preparing a business for sale. If every such move were a cessation and a fresh start, the old company would face balancing charges on its plant, and its unused trading losses would die with the trade. **CTA 2010 Part 22 Chapter 1** prevents that for transfers within common ownership. It applies **automatically**: no claim is needed.

The ownership condition (s 941). (a) On the transfer, **or at some time in the 2 years beginning immediately after it**, a 75% **interest** in the transferred trade belongs to certain persons; and (b) at some time in the **1 year ending immediately before** the transfer, a 75% interest belonged to **the same persons**. A trade carried on by a company is treated as belonging to the company's owners, so inside a group the test is normally met through the common parent. Because limb (a) can be met **at the moment of transfer**, a later sale of the successor does not undo it: the basis of the classic hive-down.

The tax condition (s 943). Throughout the relevant period, the trade is carried on by a company **within the charge to CT** on it.

Effects (ss 944, 948). 1. **Capital allowances continue (s 948).** Allowances and charges are made to or on the successor as if it had always carried on the trade; the transfer itself gives **no allowances and no balancing charges**. Plant moves at TWDV (chapter 9 explains how this sits with CAA 2001 ss 265–267; where CAA s 561 applies, s 948 is disapplied). 2. **Losses pass**

forward (s 944(3)). The successor is entitled to carry forward the predecessor's unused losses of the transferred trade, **subject to** any s 37 claim by the predecessor (s 944(4)) and to the liabilities restriction in **s 945**. Further provisions added from 2017 (ss 944A–944E) adapt the rules for post-1 April 2017 losses (on HMRC's guidance, CTM06110–CTM06120, the successor can relieve those under s 45A, or s 45B where that applies, rather than only by streaming), and the change in ownership rules (CTA 2010 Part 14; chapter 14) add their own limits where the successor later changes hands. 3. **No terminal relief for the predecessor (s 944(2)).** Section 39 (terminal loss carry-back) does not apply to a loss made by the predecessor in the transferred trade (and HMRC's CTM06065 adds the s 45F point: chapter 14).

Part of a trade (ss 951–952). A part of a trade transferred is treated as a separate trade, with receipts, expenses and assets apportioned on a just and reasonable basis.

Streaming. *Leekes Ltd v HMRC* [2018] EWCA Civ 1185 (Court of Appeal, 23 May 2018; Henderson LJ, with Arden and Sales LJ). Leekes bought Coles, a loss-making furniture retailer, and hived its trade up into Leekes' own. Under ICTA 1988 s 343 (now Part 22 Ch 1) the court held that Coles's losses could be set only against profits of the **transferred** trade, so the successor had to stream its profits; it could not use them against the enlarged trade's profits. *The Living Law*, chapter 22, told the story; for older (same-trade) losses it is still the rule.

The liabilities left behind

Picture a predecessor whose trade has made heavy losses and which owes a great deal. It transfers the trade, with the best assets, to a fellow subsidiary, and leaves its debts behind. Its creditors are never paid and may claim bad-debt relief, while the successor uses losses those unpaid debts helped create: relief twice. **Section 945** stops it.

- **L** = the predecessor's liabilities outstanding immediately before the transfer and **not transferred** to the successor (s 945(2)).
- **A** = the value of the predecessor's assets immediately before the transfer that are **not transferred, plus** the consideration given by the successor for the transfer (s 945(3); "relevant assets").
- If **L > A**, the excess **E = L – A** reduces the losses: the successor's relief is limited to **R – E**; if **R ≤ E**, nothing passes (s 945(4)–(5)).

Worked example 19.3: the L – A restriction (invented for this purpose; not a Tarnmoor story fact)

£	Amount
Predecessor's unused trading losses (R)	4,000,000
Liabilities kept by the predecessor (L)	3,000,000
Assets kept by the predecessor	1,200,000
Consideration paid by the successor	800,000
Relevant assets (A)	2,000,000
Excess E = L – A	1,000,000
Losses passing to the successor (R – E)	3,000,000

HMRC’s three-step layout (CTM06280) is the same: total the retained liabilities, deduct the retained assets, deduct the consideration.

HMRC’s guidance calls this the **relevant liabilities restriction** and describes it as the primary counter to exploitation where a subsidiary is sold shortly after receiving a trade (CTM06210, CTM06250). Tribunals have applied it strictly, with disputes over whether items such as a tax repayment due or a director’s loan account are relevant assets or liabilities (for example *Spring Capital Ltd v HMRC* (FTT, 2019), known here from secondary reports only).

Chapter 2: transfers to obtain balancing allowances (s 954). Where a company ceases a trade, another company takes it over, and a **main purpose** of the cessation is to obtain a balancing allowance, the allowances and charges pass to the successor as if the trade had continued, with none on the transfer. A group cannot manufacture a loss on its plant by stopping and restarting.

Exam lens: CTA 2010 Part 22 - Grade: Part 22 CTA 2010 (excluding Chs 3 and 8 and ss 990–995) **1.** (Ch 4 refund surrenders: chapter 3; Chs 5–7: chapter 23.) - **Past appearances: M23 Q4** (20 marks: a factory hived down with the trade, in a property question). No standalone Part 22 question M23–M26. - **Traps:** treating Part 22 Ch 1 as a claim (it is automatic); giving the successor AIA or FYAs; offering the predecessor s 39 terminal relief; ignoring the L – A restriction; forgetting that consideration paid by the successor counts in A.

The actuators hive-down

Early in GY6, TEL’s board decides to run its actuators business as a separate company and to review the options for it later in the year. The business is part of TEL’s single company, so the group first creates a new subsidiary, **Tarnmoor Actuators Ltd (TAL)**. On **1 February GY6** TEL transfers the actuators trade and assets into TAL. No buyer is in view on that date; Brennock Industries Inc, an invented US group, first approaches the group in the summer, and on **31 December GY6** TEL sells it TAL’s shares.

That two-step, the **hive-down**, is a staple of corporate deals, and each regime meets it differently:

Worked example 19.4: the TAL hive-down, regime by regime (invented story, 1 February GY6)			
Asset or item	Rule	Effect at the hive-down	Chapter
The actuators trade (part of TEL’s trade)	CTA 2010 Part 22 Ch 1; ss 941, 943, 951	Ownership condition met (TEL owns the trade before and, through TAL, at the moment of transfer); both within CT	this chapter
Plant	CTA 2010 s 948	Passes at TWDV; no balancing charge, no AIA or FYA for TAL	9
Trading losses	CTA 2010 ss 944–945	None in the actuators business: nothing to pass; no L – A test needed	this chapter

Asset or item	Rule	Effect at the hive-down	Chapter
Factory (TEL cost £5.0m; value £7.5m)	TCGA s 171	No gain, no loss: TAL's base cost £5.0m	17
Patents (TWDV £1.2m; value £4.0m)	CTA 2009 s 775	Tax-neutral: TAL takes WDV £1.2m	11
Factory for SDLT	FA 2003 Sch 7	Group relief, clawed back on the sale (£364,500)	21
Later share sale	TCGA Sch 7AC (para 15A); s 179; CTA 2009 s 782A	Exempt; degrouping gain added to proceeds	17, 18, 20

Why not sell the assets? A share sale by a group company can fall within the SSE; an asset sale cannot. The hive-down turns a business into shares. The SSE needs 12 months' holding, and **para 15A** treats it as met where the hived-down assets were used in the group's trade beforehand (chapters 18 and 20 apply it). A trainee who sees only one regime in a hive-down will miss most of the marks: plant, losses, factory, patents, stamp taxes and the share sale are six questions answered by six rule books about one commercial event.

Going further: running a hive-down - Sequence: incorporate the NewCo; obtain board approvals in both companies; transfer the trade under a business transfer agreement that lists the assets and the liabilities that move (they drive the L – A test where losses exist); then, separately, the share sale. - **Records:** the TWDVs and pool balances passing under s 948; market values at the transfer date for the factory and the patents (they fix any degrouping charge within six years: chapters 11 and 17); the SDLT relief claim and its three-year clock. - **VAT:** usually a transfer of a going concern (outside this book). - **Losses:** where a loss-making trade is hived down before a sale, the successor keeps the losses only within the L – A limit and then faces Part 14 on the change in ownership (chapter 14).

What makes a reconstruction

So far the business has stayed with the same owners. A **reconstruction** reorganises a business between companies and their shareholders, and may split one company's business into two.

Scheme of reconstruction (TCGA 1992 Sch 5AA). A scheme of merger, division or other restructuring that meets **conditions 1 and 2, and either 3 or 4:**

Condition	Requirement
1	Ordinary shares in the successor(s) are issued only to holders of ordinary shares in the original company (or of the classes involved)
2	Equal entitlement per share (or per class): shareholders stand in the same proportions
3	Continuity: the whole or substantially the whole of the business is carried on by the successor(s) afterwards (businesses of controlled companies attributed to the controller)

Condition	Requirement
4	Carried out under a compromise or arrangement under CA 2006 Part 26 or 26A (or a foreign equivalent), with no part of the business transferred to anyone else

Preliminary reorganisations are disregarded, as are later issues.

Relief at two levels. - Shareholders: s 136. Where, under a scheme of reconstruction, the successor issues shares or debentures to the original company's shareholders pro rata, they are treated as exchanging old shares for new: no disposal; the new holding stands in the shoes of the old (subject to s 137; chapter 18). - **The company: s 139.** A transfer of the whole or part of a company's business to another company under a scheme of reconstruction is at **no gain, no loss** if (i) the transferor receives **no part of the consideration** (other than the transferee assuming liabilities), (ii) the assets are within the UK charge before and after (s 139(1A)), and (iii) the assets are not trading stock (and the transferee is not a unit trust, investment trust or VCT). Section 179(3D) does not prevent relief (s 139(1B)).

The family-business picture fits: one shop becomes two, the same family owns both in the same proportions, and both keep trading. Nobody has sold anything.

Four rule books for one event. The same reconstruction is tested for shareholders (s 136), for the company (s 139), for stamp duty (FA 1986 s 75 reconstruction relief) and for SDLT (FA 2003 Sch 7 para 7). Each has its own conditions and its own purpose test (chapter 21 for the stamp taxes). Ask all four questions every time.

A purpose test for every reconstruction

Until recently s 139 carried a narrow anti-avoidance rule (bona fide commercial reasons, no main purpose of avoiding CGT or CT). **FA 2026 s 38** recast it:

- **New s 139(4A)–(4D):** where **the main purpose, or one of the main purposes**, of the arrangements is to reduce or avoid **capital gains tax, corporation tax or income tax**, the advantage is counteracted by **just and reasonable adjustments**, which may include disapplying s 139.
- **Income tax is new.** Section 137 (share exchanges and s 136 reconstructions; FA 2026 s 37) covers CGT and CT only (chapter 18). Section 139 now reaches income tax as well.
- **Clearance (s 139(5)):** on application by the **acquiring** company, using the s 138(2)–(5) procedure: HMRC have 30 days to reply or ask for particulars; on refusal the applicant may require the matter to go to the tribunal; clearance is void without full disclosure.
- **Recovery:** tax may be assessed on the acquirer if the transferor is wound up, and recovered from holders of the assets if unpaid 6 months after it is due (s 139).
- **Commencement:** arrangements involving the transfer of assets of a business **on or after 26 November 2025**, with transitional protection where a clearance application was made before that date, clearance was given, and the transfer took place before 26 January 2026 or within 60 days of the notification if later.
- **CIS (awareness):** FA 2026 s 36 recast TCGA s 103K in the same way, also covering income tax.

The debate (certainty or fairness?). Mechanical tests with narrow exceptions are being replaced by purpose tests across the corporate code: s 441 for loans (chapter 12), s 137 after *Delinian* (chapter 18), s 31 value shifting (chapter 17), and now s 139. The case for: a transaction designed to avoid tax should not get relief by fitting a template. The case against: a main purpose

test asks a judge to weigh motives, so clearance matters far more than it did. For a large group a reconstruction without clearance is now a reconstruction with an open question in the accounts (and a possible uncertain tax treatment: chapter 4).

Exam lens: company reconstructions - Grade: company reconstructions **1**; transfers concerning companies of different member States **2**. - **Past appearances:** share-for-share and reconstruction points sit inside share questions (N23 Q2, M25 Q5: chapter 18); no s 139 question M23–M26. - **Traps:** reproducing the pre-2026 s 137/s 139 tests (no 5% exception; no “bona fide commercial reasons” limb; s 139 now includes income tax); applying s 139 where the transferor receives consideration; forgetting Sch 5AA condition 2 (equal entitlement); forgetting the stamp taxes.

Why demergers exist

A reconstruction under s 139 moves a business to a company owned by the same shareholders. A **demerger** goes further: it ends the group relationship. One group becomes two, each owned directly by the original shareholders.

Without special rules that is expensive. If TPLC handed a subsidiary’s shares to its own shareholders: they would receive a distribution (for individuals, a taxable dividend); TPLC would dispose of the shares at market value; and any asset the subsidiary acquired intra-group in the previous six years would trigger a degrouping charge (TCGA s 179) as it left.

Origin and purpose. The rules date from **1980** (a March 1980 Budget announcement, as recorded in later practitioner accounts; HMRC still publishes **Statement of Practice 13 (1980)** on the clearance practice) and are now in **CTA 2010 ss 1073–1099** (Part 23 Ch 5) and **TCGA s 192**. The statute states its own purpose (s 1074; TCGA s 192(1)): to facilitate transactions by which trading activities carried on by a single company or group are divided “so as to be carried on by two or more companies not belonging to the same group, or by two or more independent groups”.

The misconception: “a demerger is just a big dividend”. It is not. An **exempt distribution is not a distribution** for the Corporation Tax Acts (**s 1075**). Shareholders have no income. For gains, **TCGA s 192(2)** says a s 1076 distribution is not a capital distribution (s 122) and applies **ss 126–130** as if the distributing company and the demerged subsidiary were one company and the distribution a reorganisation: the original base cost is split between the old shares and the new. And **s 192(3)** switches off the degrouping charge where a company leaves the group only because of an exempt distribution.

Type	What happens	Reference
Direct	Parent transfers shares in one or more 75% subsidiaries directly to its members	s 1076; conditions A–F (+ L–M)
Indirect	Parent transfers a trade , or shares in 75% subsidiaries, to one or more transferee companies , which issue shares to the parent’s members	s 1077; conditions A–D, G–K (+ L–M)
Cross-border division	Linked to TCGA ss 140A(1A)/140C(1A)	s 1078 (rare)

The conditions for an exempt demerger

The conditions are lettered A to M. They fall into four groups, each with a reason.

General conditions (s 1081), every demerger. - **A (residence):** each relevant company is UK resident, or resident in a member State, when the distribution is made (wording amended from 31 December 2020 by SI 2019/818). - **B (trading):** the distributing company is a **trading company or a member of a trading group**; each subsidiary demerged is a **trading company or the holding company of a trading group**. The relief divides trades, not investments. - **C (purpose):** the distribution is made **wholly or mainly to benefit some or all of the trading activities**. The evidence is the board paper: each business, with its own management, capital and strategy, will do better apart. - **D (anti-avoidance):** the distribution is not part of a scheme or arrangement whose **main purpose or one of whose main purposes** is the **avoidance of tax** (including stamp duty and SDLT) or the **making of chargeable payments**; nor part of arrangements for **persons other than the distributing company's members to acquire control** of any relevant company, or for the **cessation or sale of a trade** after the distribution. A demerger to prepare a pre-arranged sale is exactly what condition D forbids.

Direct demerger (s 1082). - **E:** the shares distributed are **not redeemable**, and are the **whole or substantially the whole** of the distributing company's holding of the subsidiary's ordinary share capital and confer the whole or substantially the whole of its voting rights. You cannot demerge half a subsidiary. - **F:** **after** the distribution the distributing company is a **trading company or the holding company of a trading group**, except where (i) it is itself a 75% subsidiary (s 1082(3)), or (ii) it distributes two or more 75% subsidiaries and is then dissolved with no net assets available for distribution (s 1082(4)).

Indirect demerger (s 1083), conditions G–K (outline). The transferee companies issue shares only to the distributing company's members; they take the whole or substantially the whole of the transferred trade or holding; and they carry on the business rather than simply passing it on. Learn the purpose of the group of conditions; the exact wording of each lettered limb is in s 1083 and is not reproduced here.

Distributing company itself a 75% subsidiary (conditions L and M, s 1085, outline). The demerged shares must travel up and out through further exempt distributions until they reach the members of the top company: a demerger cannot leave them stranded halfway up a group.

Clearance and the five-year shadow

Clearance (ss 1091, 1093–1094). If HMRC notify the company, **before** the distribution, that they are satisfied it will be an exempt distribution, it is treated as one (s 1091). HMRC must decide within **30 days** of the application, or of compliance with a request for further information (s 1094). If they refuse, or do not decide in time, the company may within **30 days** require the application to be sent to the **tribunal**, whose decision then counts as HMRC's (s 1094(3)–(5)). Clearance cannot be obtained retrospectively (CTM17270). A separate clearance (s 1092) confirms that a proposed payment is not a chargeable payment.

One application, many clearances. HMRC's Clearance and Counteraction Team accepts a single application covering, for example, CTA 2010 s 1091, TCGA ss 138 and 139(5), and the transactions in securities clearance (CTA 2010 s 748; ITA 2007 s 701). Clearance binds only on full and accurate disclosure, and it does not confirm matters outside the provision cleared.

Chargeable payments (ss 1086, 1088). For **5 years** after an exempt distribution, a **chargeable payment** is taxed as **income** (IT or CT) of the recipient. Broadly, it is a payment by a company concerned in the demerger to its members, in connection with their shares, that is not made for genuine commercial reasons or is part of a tax avoidance scheme; distributions and intra-group payments are excluded. A chargeable payment within 5 years also **revives the s 179 degrouping charge** (TCGA s 192(4)).

Returns. The distributing company must make a **return to HMRC within 30 days** of an exempt distribution, and a payer must report any payment that is, or may be, a chargeable payment within 30 days unless cleared (CTM17260, CTM17290).

Going further: the five-year register For five years after a demerger the tax functions on **both** sides keep a register of payments to shareholders (buy-backs, special dividends, loans, fees to shareholder-related parties) and test each against the chargeable payment definition, seeking s 1092 clearance where in doubt. They also track the degrouping exposure that a chargeable payment would revive, and the SDLT three-year window on any pre-demerger property transfers.

The Tarnwater demerger

In our invented case, **Tarnmoor Water Systems Ltd (TWS)** has grown into a business its owners would value differently from engineering: regulated water-company customers, long contracts, different capital needs. The board decides it should stand alone with its own listing. On **1 July GY5** TPLC distributes its entire holding in TWS, worth **£180m**, to its shareholders; TWS re-registers as a public company and lists as **Tarnwater plc**.

The routes considered.

Route	How	Why rejected or chosen
Indirect demerger	TWS shares to a new company issuing shares to TPLC’s members (s 1077; TCGA ss 139, 136)	A new company and two more relieving provisions, both now with main purpose tests; no advantage here
Capital reduction demerger	Insert a new holding company (share-for-share), then reduce its capital, distributing TWS (TCGA s 136/s 139 rather than s 1076)	Flexible (no trading conditions), but more steps and court process; the very route the June 2026 consultation proposes to close
Direct demerger (chosen)	TPLC distributes the TWS shares (s 1076)	Simplest; conditions met; clearance obtainable

Worked example 19.5: the Tarnwater demerger (invented story, 1 July GY5)

Conditions (Tom Hesketh’s clearance application)

Condition	Facts	Met?
A residence	TPLC and TWS UK resident	✓
B trading	TPLC holding company of a trading group; TWS trading	✓
C purpose	Board minutes: each business to focus, with its own management and capital	✓
D anti-avoidance	No arrangements for a third party to acquire control; no planned sale or cessation; no chargeable payments planned	✓

Condition	Facts	Met?
E shares	Whole of TPLC's holding; ordinary, non-redeemable	✓
F afterwards	TPLC remains holding company of a trading group	✓
L–M	Not relevant (TPLC is the top company)	—
Clearance	s 1091 clearance received before 1 July GY5; return within 30 days	✓

Consequences

Party	Result	Authority
TPLC's shareholders (mostly pension funds and insurers)	No income: exempt distribution is not a distribution; reorganisation treatment; base cost split between TPLC and Tarnwater shares	CTA 2010 s 1075; TCGA s 192(2), ss 126–130
TPLC	Disposal of the TWS shares at market value (£180m) under the general rules; gain exempt under the SSE ($\geq 10\%$ held for ≥ 12 months; TWS trading)	TCGA s 17; Sch 7AC
TWS (degrouching)	Water-systems factory acquired from TES on 1 October GY3 (within 6 years): no s 179 charge while no chargeable payment is made within 5 years	TCGA s 192(3)–(4)
TWS (SDLT)	Group relief on the factory (within 3 years) clawed back: £289,500	FA 2003 Sch 7 para 3; chapter 21
Intangibles	TWS holds no transferred intangibles, so no CTA 2009 s 780 question arises	—

A shareholder's base cost (illustrative figures, not story facts). Suppose a pension fund holds TPLC shares costing **£500,000** and receives one Tarnwater share for each TPLC share; on the first day of dealing, TPLC trades at **£6.80** and Tarnwater at **£1.20**.

£	Market value per share	Base cost
TPLC shares	6.80	$500,000 \times 6.80/8.00 = \mathbf{425,000}$
Tarnwater shares	1.20	$500,000 \times 1.20/8.00 = \mathbf{75,000}$
Total	8.00	500,000

Why the SSE, not s 192, covers TPLC. Section 192(2) is a shareholder-level rule (it disapplies s 122 and treats the members as reorganising). The demerger code gives the **distributing company** no relief for its own disposal; in a direct demerger of a trading subsidiary the SSE usually does the work, as HMRC's June 2026 consultation (Annex E) acknowledges ("in the majority of cases, SSE would apply"). Where the SSE is unavailable (for example a non-trading subsidiary, which would anyway fail condition B, or a holding period shortfall), the distributing company has a chargeable gain. Separately, **Sch 7AC**

para 4 decides whether there is a disposal without regard to s 127, s 116(10) and **s 192(2)(a)**: the SSE takes priority over the no-disposal treatment where both could apply, which matters for a corporate shareholder with a substantial holding in the distributing company. None of TPLC's widely spread shareholders is in that position.

SDLT does not forgive. The gains code switches off the degrouping charge on an exempt demerger; the SDLT code does not switch off the clawback of group relief. The tax function priced the £289,500 into the board's decision.

Exam lens: demergers - Grade: demergers **1.** - **Past appearances: not examined M23–M26;** core, so expect a demerger inside a reorganisation question, probably alongside pre-demerger property transfers. - **Style:** list the conditions and apply each to the facts (0.5–1 mark each); then the consequences for shareholders, the distributing company, degrouping, chargeable payments, clearance and SDLT. - **Traps:** calling an exempt demerger a dividend; condition D and pre-arranged sales or changes of control; forgetting that condition B excludes investment businesses; giving the distributing company s 192 relief (it relies on the SSE); chargeable payments within 5 years (income, and s 179 revived); SDLT clawback; the 30-day return.

Transactions in securities

The last rule is the oldest kind of anti-avoidance in the corporate code. Its target: a company should not take value out of another company in a form that escapes tax, when the same value taken as income would have been taxed.

The charge (CTA 2010 Part 15, ss 731–751). A company is liable to counteraction if it obtains, or is in a position to obtain, a **CT advantage** from a **transaction in securities** (or the combined effect of two or more), in **circumstance C, D or E** (s 733). A **CT advantage** (s 732) is relief or increased relief, a repayment or increased repayment, the avoidance or reduction of a charge or assessment to CT, or the avoidance of a possible assessment.

Circumstance	Outline	Reference
(A)	Abnormal dividends used for exemptions and reliefs: omitted by FA 2010 Sch 12	former s 735
C	In consequence of a transaction whereby another person receives an abnormal amount by way of dividend , the company receives consideration representing distributable assets, future receipts or trading stock, and pays no CT on income on it	s 736
D	The company receives consideration, not taxed as income, connected with the distribution, transfer or realisation of assets of a relevant company (or the application of such assets in discharging liabilities)	s 737
E	The company receives assets of a relevant company in connection with the transactions and pays no CT on income on them	s 738

Relevant company (s 739): a company under the control of **not more than 5 persons**, or any **unquoted** company, unless it is controlled by one or more companies that are not themselves relevant companies.

What counts as a transaction in securities. The phrase is wide. As HMRC's manual records (CTM36810): the redemption of securities (*IRC v Parker* (1966) 43 TC 396); an agreement altering shareholders' rights in a liquidation (*IRC v Joiner* (1975) 50 TC 499); loans to individuals who later acquired the company (*Williams v IRC* (1979) 54 TC 257). But **paying a dividend is not, in itself, a transaction in securities** (*IRC v Laird Group plc* [2003] UKHL 54, Lord Millett). (These cases are known here through HMRC's summaries.)

The defence (s 734). The company must show **both** (A) that the transactions were effected for **genuine commercial reasons** or in the ordinary course of making or managing investments, **and** (B) that enabling CT advantages to be obtained was **not a main object**.

Procedure. Preliminary notification (s 743); the company may make a statutory declaration within **30 days** (s 744); a tribunal may determine whether there is a prima facie case (s 745); HMRC serve a **counteraction notice** making the adjustments (assessment, nullifying a repayment, recomputation). **No assessment more than 6 years after the AP** (s 746(5)). Appeals: s 750.

Clearance (ss 748–749). The company gives HMRC particulars; HMRC may ask for more information **within 30 days**, and must then notify within **30 days** whether they are satisfied that no counteraction notice ought to be served. Clearance binds for the transactions described only, and is **void** without full and accurate disclosure. It may be sought before or after the transactions.

How much does this matter to a large group? Less than it once did, in the book's reading. Since 2009 most dividends a large company receives are exempt (Part 9A), so a company usually gains nothing by taking value as capital rather than income. The rule still bites where the income route would have been taxed: a para E or F distribution, a dividend outside every exempt class, or a dividend for which a foreign deduction is given. Individual shareholders face the parallel income tax rules (ITA 2007 Part 13 Ch 1; clearance s 701), where most clearance applications arise.

Worked example 19.6: where Part 15 could bite (invented for this purpose; not a Tarnmoor story fact)

An unquoted company (a **relevant company**: three investors control it) has large reserves. One investor, a company, holds preference shares whose dividends fall outside every exempt class (for example under the quasi-preference share rules), so any dividend it received would be taxed. Instead of a dividend, the shareholders arrange for a NewCo to buy the investor's preference shares at a price that includes the unpaid dividend, funded from the unquoted company's own cash. The investor receives capital (perhaps sheltered by a capital loss) instead of taxable income: **circumstance D**. Unless it shows commercial reasons **and** no main object of a CT advantage, HMRC may counteract by treating the amount as income. The prudent course is a s 748 clearance before completion.

Exam lens: transactions in securities - Grade: transactions in securities **1. - Past appearances: not examined M23–M26. - Style:** short, accurate technical prose: name the circumstance, test the relevant company, apply the two-limb defence, mention clearance and the 6-year limit. - **Traps:** citing circumstance A (repealed); treating a bare dividend as a transaction in securities (*Laird*); giving only one limb of the defence; confusing Part 15 with value shifting (chapter 17) or with the income tax TIS rules.

Law in motion: the 2026 consultation

The June 2026 consultation (published 23 June 2026; closed **14 September 2026**) is **proposed, not law**. Answer on the conditions as they stand. But it shows where the pressure lies.

Demergers (consultation chapter 3). - Remove condition A (residence); extend condition B beyond trading (“activity”); remove conditions C, G, L and M; relax I and K; replace “all or substantially all” with “all” in E, H and J. - Give condition D explicit **5-year** limits for onward sales, changes of control and winding up. - **Remove the automatic right to take a refused clearance to the tribunal.**

Closing the side doors (chapter 2). Freeze share capital on shares in **new holding companies** at the original subscription value, to stop **capital reduction demergers** and share-for-share exchanges followed by capital reductions from releasing value as capital. The paper is aimed mainly at shareholders within income tax (“not intended to affect corporate shareholders directly”) but flags possible effects on intra-group share exchanges and the SSE.

The debate. A generous relief with tight conditions, or a simpler relief with purpose tests and fewer side doors? The consultation chooses the second. Whether Parliament follows is a question for a later Finance Act.

How the examiner will test this

- **Grades (2026 grid; check the 2027 grid when published):** company distributions 1; distributions received 1; companies in liquidation or administration 1; company reconstructions 1; demergers 1; Part 22 CTA 2010 1; transactions in securities 1; transfers concerning companies of different member States 2.
 - **History:** demergers, transactions in securities and liquidations not seen M23–M26; the hive-down appeared in **M23 Q4**; exempt distributions and pre-sale dividends in **N24 Q3** (value shifting ignores a fall in value caused only by an exempt distribution).
 - **Style:** technical prose and computations; 15 or 20 marks; 0.5–1 mark per point; no letter format; a recommendation only when asked.
 - **Method for a demerger:** conditions A–F (or G–K), applied to the facts; the arrangement that breaks D; then shareholders, distributing company, degrouping, chargeable payments, clearance and return, SDLT.
 - **Method for a transfer of trade:** ownership and tax conditions; CAs at TWDV; losses forward; no s 39 for the predecessor; L – A restriction with the consideration in A.
-

What to take away

- **Distributions:** categories A–H (s 1000). Disguised interest (E, F) is never deductible (CTA 2009 s 1305) and never exempt (s 931D). Since FA 2012, an undervalue transfer to a member is a distribution even inside a group (s 1020; s 1021 repealed). A reserve from a capital reduction counts as profits (s 1027A). Winding-up distributions are capital (s 1030).
- **Distributions received:** a large company is taxed unless the distribution falls in an exempt class (control or 40/55 JV; non-redeemable ordinary shares; portfolio < 10%; relevant profits) and is not E/F or deductible abroad. Election out by

the second anniversary of the end of the AP (s 931R).

- **Strike-off:** pre-dissolution distributions up to **£25,000 in total** are capital if the company is dissolved within **2 years** (ss 1030A–1030B). For a parent that can cost tax: TPLC paid **£4,475** on Tarnmoor Pumps' **£18,000** (gain £17,900), where a dividend would have been exempt.
- **Part 22 Ch 1:** 75% common ownership in the year before and at or within 2 years after; both within CT; automatic. Plant at TWDV (s 948); losses forward (s 944) subject to the predecessor's s 37 claim; no s 39 for the predecessor; **R – (L – A)** (s 945): in example 19.3 an excess of £1.0m cut £4.0m of losses to £3.0m. *Leekes*: stream inherited same-trade losses.
- **Reconstructions:** Sch 5AA conditions 1 and 2 plus 3 or 4; s 136 (shareholders), s 139 (company: no consideration to the transferor; assets stay in the UK charge). From **26 November 2025**, s 139's main purpose test covers **CGT, CT and income tax**; clearance on the acquirer's application.
- **Demergers:** an exempt distribution is not a distribution (s 1075). Direct (s 1076: A–F) or indirect (s 1077: A–D, G–K); L–M where the distributor is a 75% subsidiary. Shareholders: reorganisation (s 192(2)). Distributing company: the SSE. No degrouping charge (s 192(3)) unless a chargeable payment within **5 years**. Clearance within 30 days (s 1091); return within 30 days. **SDLT clawback is not switched off: £289,500 on Tarnwater.**
- **Transactions in securities:** CT advantage; circumstance C, D or E; relevant company (≤ 5 controllers or unquoted); defence of commercial reasons **and** no main object; clearance 30 + 30 days; counteraction within 6 years.

So, how can a business be divided without the tax system treating the division as a sale or a dividend? By keeping the same owners in the same proportions, keeping the trade going, and showing the purpose is commercial. The law then looks through the paper.

Chapter twenty, on buying and selling companies, follows Tarnmoor Actuators out of the group and into Brennock's hands.

Key rules and figures

Rule	Figure / effect	Reference
Distribution categories	A–H	CTA 2010 s 1000
Undervalue transfer to a member	Excess of benefit over new consideration; intra-group exception repealed	ss 1020, 1021 (FA 2012 s 33)
Capital reduction reserve	Treated as profits	s 1027A
Winding-up distribution	Capital	s 1030
Strike-off distribution	Capital if total $\leq$ £25,000; dissolved within 2 years; from 1 March 2012	ss 1030A, 1030B
Distributions not deductible	—	CTA 2009 s 1305
Exempt classes (large companies)	Control / 40-55 JV; non-redeemable ordinary shares; portfolio $< 10\%$; relevant profits; s 931I	CTA 2009 ss 931D–931I
Not exempt	E and F distributions; foreign-deductible distributions	s 931D
Election to tax	By 2nd anniversary of end of AP	s 931R

Rule	Figure / effect	Reference
Part 22 Ch 1 ownership	75% in the 1 year before and on or within 2 years after	CTA 2010 s 941
Part 22 Ch 1 effects	CAs continue (s 948); losses forward (s 944(3)); no s 39 (s 944(2))	ss 944, 948
L – A restriction	Relief = R – (L – A); A includes consideration	s 945
Balancing allowance avoidance	Allowances pass to successor	s 954
Scheme of reconstruction	Conditions 1 and 2 + 3 or 4	TCGA Sch 5AA
s 139	No gain, no loss; no consideration to transferor; purpose test (CGT, CT, IT) from 26 November 2025	TCGA s 139; FA 2026 s 38
Exempt demerger	Not a distribution; direct A–F; indirect A–D, G–K; L–M	CTA 2010 ss 1075–1085
Demerger clearance	Before the distribution; HMRC 30 days; tribunal within 30 days	ss 1091, 1094
Chargeable payment	Within 5 years; taxed as income; revives s 179	ss 1086, 1088; TCGA s 192(4)
Demerger: shareholders	Reorganisation; cost apportioned	TCGA s 192(2)
Demerger: degrouping	No s 179 charge	TCGA s 192(3)
TiS	CT advantage; circumstances C, D, E; relevant company; two-limb defence; clearance 30 + 30 days; 6-year limit	CTA 2010 ss 731–751
Story: Tarnmoor Pumps (GY7)	£18,000 capital distribution; cost £100; gain £17,900; CT £4,475; no SSE	invented (story)
Story: TAL hive-down (1 Feb GY6)	Part 22 Ch 1; plant at TWDV; no losses; factory s 171; patents s 775	invented (story)
Story: Tarnwater demerger (1 Jul GY5)	£180m; s 1076; s 1091 clearance; SSE for TPLC; no s 179; SDLT clawback £289,500	invented (story)

Statutory and case references

Statute. CTA 2010 Part 15 (ss 731–751, especially 732–739, 743–750); Part 22 Ch 1 (especially ss 939–945, 948, 951–952) and Ch 2 (s 954); Part 23 (ss 1000, 1015, 1020, 1021 (repealed), 1022, 1027A, 1030, 1030A, 1030B) and Ch 5 (ss 1073–1099, especially 1074–1078, 1081–1086, 1088, 1091–1094). CTA 2009 Part 9A (ss 931A–931S) and s 1305. TCGA 1992 ss 17, 122, 126–130, 136, 137, 139, 103K, 171, 179, 192, Sch 5AA, Sch 7AC paras 3, 4, 15A, 19. CAA 2001 ss 265–267, 561. FA 2012 s 33; SI 2012/266; FA 2026 ss 36–38. ITA 2007 Part 13 Ch 1 (s 701). Companies Act 2006 ss 1000, 1003.

HMRC manuals and guidance. CTM06210, CTM06250, CTM06280 (relevant liabilities restriction); CTM06065 (trade transfers and terminal relief); CTM17250, CTM17260, CTM17270, CTM17280, CTM17290 (demergers); CTM36220 (dissolution distributions); CTM36800–CTM36841 (transactions in securities, especially CTM36810); CG52631; Statement of

Practice 13 (1980); “Apply for statutory clearance for a transaction” (GOV.UK); *Modernising the taxation of distributions and repayments of capital from companies* (consultation, 23 June 2026).

Cases. *Progress Property Co Ltd v Moorgarth Group Ltd* [2010] UKSC 55; *Leekes Ltd v HMRC* [2018] EWCA Civ 1185; *IRC v Laird Group plc* [2003] UKHL 54 (via CTM36810); *IRC v Parker* (1966) 43 TC 396, *IRC v Joiner* (1975) 50 TC 499, *Williams v IRC* (1979) 54 TC 257 (via CTM36810); *Spring Capital Ltd v HMRC* (FTT, 2019; secondary report only).

Chapter twenty: Buying and selling companies

On 31 August 2023 the Upper Tribunal decided a case that turned on one missing month. The company was **M Group Holdings Ltd**. It had run a trade itself, as a single company with no subsidiaries.

On 29 June 2015 it formed a subsidiary, Medinet Clinical Services Ltd. On 30 September 2015 it moved its trade and assets into that subsidiary. On 27 May 2016 it sold the subsidiary to an outside buyer, just under eleven months after the subsidiary was born. The reported gain was about £53m.

The company claimed the substantial shareholding exemption (SSE), which needs a holding of at least twelve months. It relied on the hive-down rule in TCGA 1992 Sch 7AC para 15A, which lets a seller count time when the business's assets were used in the trade of another member of its group. The First-tier Tribunal said no. The Upper Tribunal (Michael Green J and Judge Phyllis Ramshaw) agreed: before the subsidiary existed there was no group, because a group requires more than one company. The missing month could not be borrowed (*M Group Holdings Ltd v HMRC* [2023] UKUT 213 (TCC)).

Some years into our invented story, Tarnmoor Engineering Ltd (TEL) does something that looks almost identical. Tarnmoor, its companies, its people and its numbers are invented for teaching, as they are throughout this book. On **1 February GY6** TEL moves its actuators business into a new subsidiary, Tarnmoor Actuators Ltd (TAL). On **31 December GY6**, eleven months later, it sells TAL to an American buyer. Same gap. Different answer. By the end of this chapter you will see why.

This is the second last chapter of Part Three. It owns no single row of the LCG grid. Instead it applies a dozen **core (grade 1)** rows at once, the way the examiner does: the SSE, companies leaving groups, change in company ownership, value shifting, depreciatory transactions, *Marren v Ingles*, CT self-assessment, the senior accounting officer and transfer pricing. Stamp duty and SDLT (**awareness, grade 3**) run alongside. It builds on *The Living Law* (TKS), chapters 23 (company gains) and 24 (groups).

Statutes: Taxation of Chargeable Gains Act 1992 (TCGA 1992), Corporation Tax Act 2009 (CTA 2009), Corporation Tax Act 2010 (CTA 2010), Finance Act 1986 (FA 1986, stamp duty) and Finance Act 2003 Part 4 (SDLT). We apply the law for FY2026. FA 2026 made no change to the SSE, s 171, s 179, Part 14 or SDLT Sch 7; its changes to s 137 and s 139 (chapters 18 and 19) and to transfer pricing (chapter 27) are signposted where they matter.

Two ways to buy a business

A business can change hands in two ways. The buyer can buy the **company** that owns the business, or it can buy the business's **assets** out of the company. The commercial result can look the same. The tax result rarely is.

Think of it as buying a house. Buy the house with everything in it, and you get the previous owner's furniture, the unpaid bills in the drawer and the quarrel with the neighbours. Buy only the furniture you choose, and you leave the drawer and the neighbours behind. A share purchase is the first; an asset purchase is the second.

The buyer. On a share purchase nothing inside the company changes for tax: its assets keep their base costs, tax written down values and pools. The buyer gets a base cost for the shares and nothing else, and *The Living Law*, chapter 23, explained why

that cost will probably never matter: a later sale of a trading subsidiary is likely to fall within the SSE.

On an asset purchase each asset gets a fresh tax history at the price paid: a **step-up**.

Asset	Buyer's tax result on an asset purchase	Authority (chapter)
Plant and machinery	Qualifying expenditure at the price (second-hand: no full expensing; AIA/WDAs); s 198 election for fixtures	CAA 2001 (8, 9)
Intangibles (IP, customer relationships)	Part 8 cost; debits as amortised, or 4% fixed-rate election	CTA 2009 Part 8 (11)
Goodwill	6.5% only with qualifying IP, capped at 6 × IP expenditure	CTA 2009 ss 879A ff (11)
Land and buildings	New base cost for gains; SBA continues on the original qualifying expenditure with an allowance statement	TCGA 1992; CAA 2001 Part 2A (9, 16)

The asset buyer also **leaves the history behind**: unpaid tax, open enquiries, doubtful claims and losses stay with the seller. The share buyer takes all of it.

Two more differences decide many deals. **Stamp taxes**: shares cost the buyer stamp duty at 0.5%; land bought directly costs SDLT at up to 5% on non-residential property (chapter 21). **VAT**: an asset deal is usually a transfer of a going concern, and a company joining a group may join its VAT group (signpost only: VAT is not on the LCG paper).

Misconception: “a share sale is always better for the seller.” Often it is, but only if the SSE applies, and only if the seller does not give the advantage back in the price. The Tarnmoor Actuators sale below shows both halves.

The seller's side of the table

A company selling a trading subsidiary usually wants to sell **shares**. If the SSE conditions are met (chapter 18 owns them), the gain is not a chargeable gain and a loss is not allowable. Nothing is claimed. In outline: at least 10% of the shares (and of profits and assets) held for a continuous 12 months in the 6 years before the sale (Sch 7AC paras 7–8), with the investee a trading company or holding company of a trading group (para 19).

An **asset sale** is different for the selling company:

Asset	Seller's tax result on an asset sale
Land and buildings	Chargeable gain (indexation frozen at December 2017); roll-over relief possible
Plant	Balancing charge if proceeds exceed TWDV; special balancing charge on full-expensed plant (CAA 2001 ss 59A–59B, chapter 8)
Home-grown intangibles	Realisation credit taxed as income , nearly the whole price (chapter 11); the SSE never protects an asset sale

Asset	Seller's tax result on an asset sale
Cash left in the selling company	Must be paid up as a dividend: exempt for a corporate parent (CTA 2009 Part 9A); a second layer of tax for an individual owner

So why would a seller accept an asset deal? Because the buyer pays for what it gets. A buyer who loses a step-up worth, say, £1m of future tax wants some of it back in the price; a buyer who fears hidden liabilities wants indemnities, a retention or a lower price. **Price settles the difference**, and it is often the largest number in the negotiation.

The CIOT's own description of the paper asks candidates to plan for “corporate transformations”, and the 2028 handbook's key principles name “share versus asset sale” as a topic in its own right (CIOT LCG syllabus page; CTA Handbook 2028).

What comes with the shares

The share buyer inherits the company's whole tax history. Five parts of it matter most at this level, and each changes what the buyer should pay.

1. **Losses** (chapter 14). A change in ownership (CTA 2010 s 719: more than half the ordinary share capital) plus a major change in the nature or conduct of the trade within any 5-year period beginning up to 3 years before it cancels carried-forward trading losses (Part 14 Ch 2, ss 673–674). Even without a change, **Ch 2C** bars Part 5A surrender of pre-acquisition losses for 5 years. Pre-entry capital losses are ring-fenced by TCGA 1992 Sch 7A (chapter 17).
 2. **Base costs and pools** stay with the company, so latent gains come too.
 3. **Intangibles**. Shares are excluded assets (CTA 2009 Part 8 Ch 10): the goodwill and customer relationships inside the target never become the buyer's IFAs. In the consolidated accounts they appear at fair value with no tax base: a deferred tax liability. **In our invented case**, Calder's customer relationships were recognised at **£4.0m**, DTL **£1.0m** (chapter 6). The CT return sees none of it.
 4. **Secondary liabilities**. Under TCGA 1992 s 190 HMRC can recover unpaid CT on a group company's gain from the principal company or a group member that owned the asset in the previous 12 months (51% group; notice within 3 years). Under CTA 2010 Part 14 Ch 6, pre-change CT unpaid after a change in ownership can be collected from linked persons. An SDLT group relief claimed by the target can be clawed back from the target when it leaves its old group (FA 2003 Sch 7 para 3).
 5. **Status**. Nothing resets on completion: instalment history, R&D claims, transfer pricing positions, returns and enquiries all continue.
-

Due diligence

Due diligence is the buyer's investigation of the target before it signs. The tax part finds every exposure the buyer would inherit, values it and decides how the contract should deal with it; it also finds the tax assets, so the buyer knows what it is really buying.

Area	What the tax team checks
Compliance	Returns filed on time; QIPs paid when due (large/very large status); penalties and interest; late-filing history (a third successive late return costs £1,000/£2,000)
Disputes	Open enquiries; discovery windows (4/6/20 years); clearances relied on
Losses	By type and period (pre- or post-April 2017); Part 14 analysis against the buyer's integration plan; pre-entry capital losses
Capital allowances	Pools; fixtures supported by s 198/199 elections; SBA allowance statements; special balancing charge exposure
Intangibles	Tax WDV; pre-2002 assets; any degrouping exposure on assets received intra-group within 6 years
Groups	Assets received at no gain, no loss within 6 years (s 179); SDLT group relief within 3 years; s 190 exposure
International	Transfer pricing; withholding on interest and royalties; CFCs; PEs
Finance	CIR position; loan relationships with connected parties; debt bought at a discount
R&D	Claims and notifications; linked-enterprise status after completion
Governance	SAO; tax strategy; UTT notifications; DOTAS or other schemes used or offered; CCO procedures
Other taxes	Employment taxes, VAT, stamp taxes

Findings are sorted: some into the **price**, some into an **indemnity**, some into a **condition** to be fixed before completion, some simply noted.

Worked example 20.1: Brackenwell's diligence (invented)

Tarnmoor plc (TPLC) bought Brackenwell Sensors Ltd (BSL) on **1 July GY2**. The diligence found:

Finding	Response
Return for the year to 31 December GY1 unfiled; it carries an ERIS payable credit claim of £943,950 (chapter 10)	Price and tax deed (below)
Two earlier returns late	Filing plan: TPLC's team files well before 31 December GY2 to avoid a third successive failure (chapter 3)
£8.6m of losses; Tarnmoor's integration plan makes BSL a captive supplier to Calder and TEL	Valued at nil : Part 14 Ch 2 (chapter 14)
Royalty of £50,000 a year to a Vallarian university (Vallaria is invented) with tax deducted at the treaty rate of 5%	Treaty and reasonable-belief paperwork checked (ITA 2007 ss 906, 911; chapter 23)

The missed point. On HMRC's view (CIRD92000) a company taken over by a large group is large for R&D purposes for the **whole** AP of the takeover. Ending BSL's AP at completion could have kept January–June GY2 under ERIS. Nobody thought of it in time (chapter 10). R&D status belongs on the list before signing.

Warranties, indemnities and the tax deed

The contract is the **share purchase agreement** (SPA). Its tax protection comes in two forms.

	Warranty	Indemnity (tax deed or tax covenant)
What it is	A statement of fact about the company (“all returns filed on time”; “no enquiry open”)	A promise to pay, pound for pound, any tax of the company arising from pre-completion events
Buyer’s remedy	Damages for breach: must prove loss in the value of the shares	Payment of the tax amount: no need to prove loss in value
Disclosure	Matters fairly disclosed cannot found a claim	Not cut down by disclosure
Main function	Forces the seller to disclose	Allocates the cost of pre-completion tax
Seller’s usual limits	Time limits, caps, de minimis	Time limit, cap, exclusions for tax provided in the accounts or arising from the buyer’s post-completion acts, conduct of disputes with HMRC

Tax treatment of the payments. Tax deeds usually say that any payment is treated as a reduction in the price, and the gains rules broadly follow:

- **Seller:** TCGA 1992 s 49(1)(c): a contingent liability under a warranty is ignored at first; if enforced, the gain is recomputed on a claim as if the consideration had been reduced (CG14805, CG14815). **ESC D33** (para 13) applies the same treatment in practice to payments under an **indemnity** (CG14825). For an SSE-exempt seller the adjustment changes nothing.
- **Buyer:** a payment received is in principle a capital sum derived from an asset (s 22), but in practice it reduces the base cost of the shares (CG13010; ESC D33).
- **Gross-up:** if the buyer is taxed on a payment anyway, the seller pays more to cover the tax.

Worked example 20.2: Brackenwell’s pending credit (invented)

The £943,950 ERIS credit related to BSL’s year as an independent company but would arrive after completion, in a company TPLC owned. **In our invented case** the price of **£22.2m** assumed the credit would be paid in full, and the tax deed made the sellers liable to repay TPLC if HMRC reduced it after an enquiry. The sellers were paid for the credit once; the buyer bore no risk that it might shrink.

The logic runs through every deal in this chapter: tax that belongs to the seller’s years is the seller’s, and the contract makes sure the buyer can recover it whoever HMRC sends the bill to.

The costs of buying

A larger acquisition produces a pile of invoices, each taking a different route. **M23 Q6** gave 10 marks to nothing else.

Advisers' fees (chapter 13). In *Centrica Overseas Holdings Ltd v HMRC* [2024] UKSC 25 the Supreme Court held that fees for selling a subsidiary, although expenses of management, were capital and so excluded by CTA 2009 s 1219(3)(a). **HMRC's view** (CTM08190, CTM08260) is that appraising possible investments is revenue, but costs become acquisition costs, at the earliest, at the decision to acquire a particular target.

Finance costs are loan relationship debits relieved as the accounts recognise them (CTA 2009 ss 306A, 307; chapter 12), never management expenses (s 1219(3)(b)). The M23 examiners noted that some candidates missed exactly this.

Stamp duty is part of the cost of the shares (0.5%, rounded up to the nearest £5). The loan capital exemption (FA 1986 s 79(4)) does **not** apply to loan capital carrying a right of conversion into shares (s 79(5)); HMRC's manual confirms that transfers of convertible notes are chargeable (STSM021230, STSM041060).

Worked example 20.3: Tarnmoor's acquisition costs (invented; £)

Item	Deal	Treatment	Authority	£
Strategic review before the 3 February GY1 board decision	Calder	Management expense (TPLC)	CTA 2009 s 1219; CTM08260	300,000
Due diligence, SPA legal, corporate finance after the decision	Calder	Capital: no deduction	s 1219(3)(a); <i>Centrica</i>	900,000
RCF arrangement fee 1	Calder	Loan relationship debit as amortised (£250,000 GY1; £50,000 GY2)	CTA 2009 ss 306A, 307	300,000
Stamp duty: £32.0m × 0.5%	Calder	Cost of shares	FA 1999 Sch 13 (stamp duty on a transfer on sale)	160,000
Stamp duty: £22.2m × 0.5%	Brackenwell shares	Cost of shares	as above	111,000
Stamp duty: £1.8m × 0.5% on the £3.0m convertible notes bought from the venture investors	Brackenwell notes	Chargeable: conversion right defeats the loan capital exemption	FA 1986 s 79(5)	9,000
Stamp duty paid by TPLC on the two acquisitions				280,000

The £9,000 on the notes is a fact this chapter adds to the story.

Payments to people.

- **Compensation for loss of office** paid by the target to a departing director is deductible only if incurred wholly and exclusively for the target's trade (CTA 2009 s 54). **HMRC's view** (BIM38380–BIM38390; BIM42955) is that the purpose test is unlikely to be met where the payment is connected with the sale of the business or a change in the

controlling shareholding; the SPA, the compensation agreement and negotiation correspondence are evidence of purpose. Amounts within a statutory or contractual entitlement are easier to defend than ex gratia sums.

- **Retention bonuses** paid by the target to keep key staff after completion are an ordinary employment cost of its trade, subject to the 9-month rule for unpaid remuneration (CTA 2009 s 1288: if not paid within 9 months after the end of the period of account, deductible only when paid). If the **acquiring holding company** pays instead, it is paying for services to another company and may get no deduction. Who pays matters as much as what is paid. (Jess Hartley’s retention bonus in chapter 31 is paid by Ridgeway Cycles.)

Exam lens: acquisition costs and share v asset

- **Grade:** companies with investment business **1**; loan relationships **1**; employment costs **1**; stamp duty on shares **3**. “Share versus asset sale” is named in the 2028 key principles; in the 2026 grid it sits within the SSE, gains and CA rows.
- **Past appearances:** **M23 Q6** (10 marks: due diligence, legal fees, a loan arrangement fee, compensation for loss of office, retention bonuses; generally good; some missed the loan relationship treatment of the fee); **M24 Q1** (capital costs of a share sale in an investment company).
- **Style:** a list of costs, each with a treatment and an authority: 0.5–1 mark each. State the decision date if the question gives one.
- **Traps:** deducting post-decision deal costs; treating finance fees as management expenses; deducting stamp duty; assuming loan notes are always exempt from stamp duty; deducting change-of-control compensation without discussing purpose.

The day a company joins

When a company joins a large group almost every compliance setting changes. **N24 Q5** (20 marks) turned that into a question: a US multinational bought a UK SME and candidates had to explain its new obligations. The marking guide gave **4** marks to filing and instalments, **3** to CbC reporting, **6.5** to transfer pricing (now applying because the company is no longer an SME; master and local file), **3.5** to CIR (probably no restriction, but file to protect the position; reporting company; abbreviated return) and **3** to stamp duty on the share purchase (0.5%, 30 days, non-residents must pay).

Setting	What changes on joining	Authority (chapter)
Associated companies: marginal relief	Associated at any time in the AP: limits divided at once, for the whole AP	CTA 2010 s 18E; CTM03580 (3)
Associated companies: QIPs	Counted on the day before the AP begins (HMRC’s reading of SI 1998/3175 reg 3): thresholds change from the next AP	CTM92530; COM95001 (3)
Group relief	Only from joining, for the overlapping period; the old group’s relief ends earlier, when arrangements for the sale exist	CTA 2010 ss 139–142, 154 (15)
Deductions allowance	Newcomer must be covered by the group’s nomination	CTA 2010 ss 269ZR ff (14)

Setting	What changes on joining	Authority (chapter)
AIA	One £1m shared by the group (parent undertaking test at the end of each chargeable period)	CAA 2001 s 51C (8)
SAO	UK-incorporated member counts for a financial year only if it was a member at the end of its preceding financial year	FA 2009 Sch 46; SAOG11260 (4)
Tax strategy; UTT	Covered by the group's strategy; UTT notifications on its returns	FA 2016 Sch 19; FA 2022 Sch 17 (4)
Transfer pricing	SME exemption lost: size measured across linked enterprises; arm's length pricing and records; local file and inclusion in master file and CbC report (£750m groups)	TIOPA 2010 ss 166, 172; SI 2023/818; SI 2016/237 (27)
UK-to-UK transactions	Generally exempt for chargeable periods commencing on or after 1 January 2026	TIOPA 2010 s 164A (27)
CIR	Part of the worldwide group; one reporting company	TIOPA 2010 Part 10 (28)
Pillar Two	Constituent entity of a group with revenue above €750m	F(No.2)A 2023 Parts 3–4 (30)
R&D	ERIS lost; merged RDEC; HMRC: large for the whole AP of takeover	CTA 2009 Part 13; CIRD92000 (10)
Stamp duty	Buyer pays 0.5% within 30 days	FA 1999 Sch 13; FA 1986 s 87 (SDRT) (21)

The examiners reported that most candidates found transfer pricing, but some wrote at length on it and ignored easier points, and some raised hybrids with no trigger in the question.

Calder and Brackenwell join Tarnmoor

Calder. TPLC bought Calder Valve Engineering Ltd (CVE) from the Oldroyd family, our invented former owners, on **1 April GY1** for **£32.0m** cash; stamp duty **£160,000**. The Oldroyds are individuals, so their side is capital gains tax, outside this paper.

Calder's AP simply began that day (its year ended 31 March). A change of owner never ends an AP by itself (CTA 2009 s 10).

Worked example 20.4: Calder's thresholds after joining (invented; HMRC's counting dates)

AP	Associates for MR (divisor)	Associates for QIPs, counted when	QIP divisor	Large £	Very large £	Status
1 Apr GY1 – 31 Mar GY2	8 (9): limits £5,556 / £27,778	0, at 31 March GY1 (Oldroyds own no other company)	1	1,500,000	20,000,000	Large (TTP £3.0m); large before, so no grace

AP	Associates for MR (divisor)	Associates for QIPs, counted when	QIP divisor	Large £	Very large £	Status
1 Apr GY2 – 31 Mar GY3	9 (10)	8, at 31 March GY2	9	166,667	2,222,222	Very large

Instalments. First group AP: $3/12 \times \text{CT } £750,000$ (before the RDEC, which does not reduce QIPs: CIRD89870) = **£187,500** on 14 October GY1, 14 January, 14 April and 14 July GY2 (months 7, 10, 13, 16). Next AP: very large, months 3, 6, 9, 12: 14 June, 14 September, 14 December GY2, 14 March GY3. **Six Calder instalments fall in calendar GY2** (chapter 3).

Very large one period later is the cash trap in every acquisition: treasury needs the dates before the first falls due.

Calder’s other settings: first SAO year the FY beginning **1 April GY2** (it was not a member on 31 March GY1); countersigned the deductions allowance nomination on 1 April GY1; its 31 March periods share the AIA with the 31 December companies’ periods ending in the same year to 31 March (chapter 8); group relief across non-coterminous periods (chapter 15); and its dealings with Tarnmoor’s overseas companies in later years (the Vallarian project from GY2; the GY3 sale to TVS) brought transfer pricing into its life (chapter 27).

Brackenwell. On **1 July GY2** TPLC paid **£22.2m** for BSL’s shares and **£1.8m** for its **£3.0m** convertible notes. Buying a connected company’s debt at a discount risks a deemed release credit (here £1.2m) on the debtor; TPLC avoided it by releasing the notes within 60 days under the corporate rescue exception (CTA 2009 s 361D; chapter 12).

BSL loses	BSL brings in
£8.6m of losses (Part 14 Ch 2; chapter 14)	A £0.4m pre-entry capital loss (failed spin-out), usable only within Sch 7A para 7 (chapter 17)
ERIS: merged RDEC for all of GY2 (chapter 10)	Its post-acquisition loss of £2.6m for GY2, surrendered to TEL (chapter 15)
The TP SME exemption: its new dealings are with UK group companies, within s 164A, so the practical change is small	

Going further: integrating a target - Diary the **first very large instalment** and the **first SAO year** on the day the SPA is signed. - Decide the target’s **accounting date** deliberately: keeping Calder on 31 March kept it out of the group payment arrangement for three years; ending BSL’s AP at completion would have saved ERIS on six months’ spending. - Add the newcomer to the **deductions allowance nomination**, the **CIR** group, the **master file/local file** and **CbC** data, and the **Pillar Two** data set. - Check **associated company** consequences for marginal relief in every other group company: the count rises at once.

Selling a subsidiary

A group selling a subsidiary has its own checklist. **M24 Q3** (15 marks, 7/5/3) combined a sale after an intra-group transfer with the degrouping charge, the SSE, losses after a change of ownership and enquiries; **N24 Q3** (15 marks) combined pre-sale

transactions with depreciatory transactions, value shifting, the SSE and pre-sale dividends.

Step	Question	Rule (chapter)
1	Does the SSE cover the share sale?	Sch 7AC: gains exempt, losses not allowable (18)
2	Does the company leave with an asset received at no gain, no loss within 6 years?	TCGA 1992 s 179: deemed sale and reacquisition at market value immediately after the intra-group acquisition ; on a share sale by a group member the gain is added to the seller's consideration (s 179(3A)–(3D)), so it is exempt with the share sale; the asset is rebased (17)
2a	Intangibles received within 6 years?	CTA 2009 s 780 charge on the leaving company, switched off by s 782A where the share sale qualifies for the SSE; no rebasing (11)
3	Land received with SDLT group relief within 3 years?	FA 2003 Sch 7 para 3: clawback on market value at the original date; charge on the leaving company (21)
4	Value moved out before the sale?	s 31 value shifting (main purpose; not where the arrangements consist solely of an exempt distribution); s 176 depreciatory transactions (no motive test; losses only); s 177 dividend stripping (17)
5	When does it leave?	For gains, on the sale; for group relief, when arrangements exist (CTA 2010 s 154). HMRC treats a plain sale as an arrangement (CTM80206); its consortium guidance dates arrangements from agreement in principle, even subject to contract (CTM80625; SP 3/93) (15)
6	How is the price paid?	Earn-out right: a separate chose in action, valued in the proceeds (<i>Marren v Ingles</i> , HL, 1980; CG14990); share earn-outs: s 138A (18)

Exam lens: selling a subsidiary

- **Grade:** SSE 1; companies leaving groups 1; depreciatory transactions 1; value shifting ss 29–30 1 and s 31 1; change in company ownership 1; *Marren v Ingles* 1.
- **Past appearances:** M24 Q3 (15: degrouping into SSE, preference shares, then major change in nature or conduct of trade, then enquiry/discovery; well answered; some answered pre-sale loss relief, which was not asked); N24 Q3 (15: the examiners said candidates confused depreciatory transactions, which “do not consider motive and only apply to losses”, with value shifting, which is “motive based”, and missed the exempt distribution carve-out).
- **Style:** explain and compute: degrouping gain, where it lands, rebased cost, SSE conclusion; 0.5–1 mark per point.

- **Traps:** market value instead of the transferor's cost on the intra-group transfer; measuring the degrouping gain at leaving instead of at the transfer; computing a loss within the SSE; putting the intangibles charge on the seller's proceeds (it is on the leaving company, and switched off); answering questions not asked.

The hive-down

The **hive-down** is the group's standard way of selling a business that is not already in its own company: move the trade and assets into a new subsidiary, then sell the subsidiary's shares. Each part of the move is designed to be tax-neutral:

Item	Rule
Trade	CTA 2010 Part 22 Ch 1 (75% common ownership; tax condition): no cessation; CAs continue at TWDV (s 948); trading losses pass, restricted where relevant liabilities stay behind (chapter 19)
Land and other capital assets	TCGA 1992 s 171: no gain, no loss
Intangibles	CTA 2009 s 775: tax-neutral at tax WDV
SDLT	FA 2003 Sch 7 group relief, denied at the outset if arrangements then exist for the new company to leave the group (para 2(2)(b)); otherwise clawed back on a sale within 3 years
VAT	Transfer of a going concern (signpost)

The buyer gets a **clean company** whose only history is post-hive-down; older liabilities stay with the seller. The seller gets a share sale. The difficulty is **time**. **Sch 7AC para 15A** treats the seller as having held the shares during any part of the 12 months before the sale when the subsidiary's assets were used by another **member of the group** for that member's trade while a member. Because the holding period relies on para 15A, the company sold must also be trading **immediately after** the sale (para 19).

That is where M Group failed: before its subsidiary was formed it was a single company, its assets were not used by "a member of a group", and the Upper Tribunal held that a group requires more than one company. A business run by a single company cannot hive down and sell within 12 months; a business run inside an existing group can.

The hive-down does not dissolve every charge: the degrouping charge still arises (usually exempt); SDLT claws back within 3 years; and any losses in the new company meet Part 14 when it is sold.

Tarnmoor Actuators is sold

The facts (invented). On **1 February GY6** TEL hived its actuators business down into TAL under CTA 2010 Part 22 Ch 1, TCGA 1992 s 171 and CTA 2009 s 775. **In our invented case** the board's reason was to run actuators as a separate business with its own management; no buyer was in view at that time, and Brennock Industries Inc (an invented US company) first approached the group in the summer of GY6. TAL received:

Asset	TEL's tax figure	Market value at 1 February GY6
Factory (bought after 2017: no indexation)	Cost £5,000,000	£7,500,000
Patents	Tax WDV £1,200,000	£4,000,000
Plant	Moved at TWDV (s 948)	—

On **31 December GY6** TEL sold TAL's shares to Brennock for **£48.0m** cash plus a cash earn-out of up to **£6.0m** based on TAL's results over the next two years (GY7 and GY8), valued at **£3.0m** at completion. In December TAL paid TEL a dividend of **£2.0m** from its post-hive-down profits.

Worked example 20.5: the sale of TAL (invented; £)

1. SSE (TCGA 1992 Sch 7AC). TEL held TAL for 11 months. The actuators assets were used in TEL's own trade, as a member of the Tarnmoor group, throughout the 12 months before the sale: **para 15A** treats TEL as holding the shares for that time. Para 15A also treats TAL as a qualifying (trading) company for that period, before it existed (as HMRC's guidance at CG53080C and commentators describe it); it was trading from 1 February GY6 and immediately after the sale (para 19). **Exempt.**

2. Degrouping charge on the factory (s 179). TAL acquired it from TEL on 1 February GY6 and leaves within 6 years.

	£
Market value at 1 February GY6 (deemed sale and reacquisition immediately after the acquisition)	7,500,000
Less TEL's cost carried over at no gain, no loss	(5,000,000)
Degrouping gain (no indexation after December 2017)	2,500,000

TAL leaves because TEL disposes of shares, so the gain does not accrue to TAL; it is **added to TEL's consideration** for the shares (s 179(3A)–(3D)):

TEL's consideration for the TAL shares	£
Cash	48,000,000
Earn-out right at completion value (<i>Marren v Ingles</i>)	3,000,000
Degrouping gain added	2,500,000
Total consideration	53,500,000
Less base cost of the TAL shares	(irrelevant)
Chargeable gain	nil: SSE

Taxed on its own, the degrouping gain would have cost $£2,500,000 \times 25\% = \text{£}625,000$. TAL's base cost of the factory becomes **£7,500,000**.

3. Patents (CTA 2009 ss 780, 782A). The leaving is caused by an SSE-qualifying share disposal, so **s 782A switches off s 780**. The counterfactual credit would have been $£4,000,000 - £1,200,000 = £2,800,000$ in TAL (CT **£700,000**, chapter 11). The patents keep tax WDV **£1,200,000**: no rebasing.

4. SDLT clawback (FA 2003 Sch 7 para 3). The factory moved with group relief less than 3 years before TAL left the group. Clawback on market value at 1 February GY6:

Band (non-residential)	£
£0–£150,000 at 0%	0
£150,001–£250,000 at 2%	2,000
£250,001–£7,500,000 at 5%	362,500
SDLT clawed back (payable by TAL)	364,500

TAL is liable, but by then Brennock owns it: the SPA has **TEL indemnify** Brennock. (Had arrangements for the sale existed at the hive-down, relief would have been denied at the outset instead: same tax, earlier, with a late-return risk. The board minute recording why the hive-down happened is the evidence: chapter 21.)

5. Pre-sale dividend. £2,000,000 from post-hive-down profits: an exempt distribution for TEL (CTA 2009 Part 9A). The arrangements consist solely of an exempt distribution, so **s 31 does not apply**; s 176/s 177 can only reduce a loss, and there is none.

6. Buyer's stamp duty (FA 1986). 0.5% on the consideration, within 30 days; a non-resident buyer is not excused. Under the **contingency principle** (STSM021120, citing the House of Lords in *Underground Electric Railways*, 1906) a stated maximum is charged in full and never refunded:

	Consideration £	Stamp duty £
Cash	48,000,000	240,000
Earn-out cap	6,000,000	30,000
Brennock's stamp duty	54,000,000	270,000

7. Leaving. TAL had no losses, so the group relief arrangements rules took nothing away. Its AP (1 February–31 December GY6; QIP divisor 11: very large threshold £20m ÷ 11 × 11/12 = **£1,666,667**; large £125,000; first-year limit £833,333) ended on the day of sale in any case. Brennock's advisers now run the joining checklist from the other side.

The earn-out. Each later payment will be a disposal of the earn-out right, a separate asset, not of shares (*Marren v Ingles*; CG14990). Whether gains on those receipts are taxed, given that the share sale was exempt, is examined in chapter 18.

Going further: negotiating the TAL deal - Price and structure together. Brennock gets the factory rebased at £7.5m free of tax (s 179(3) rebasing), but the patents stay at £1.2m. Its model prices the lost step-up on the patents, not on the factory. - **Indemnities.** The SDLT clawback and any degrouping exposure are seller items; so is TAL's tax for its 11 months under Tarnmoor. A **locked-box** or **completion accounts** mechanism decides who bears TAL's pre-completion instalments. - **The dividend.** Paying £2.0m out before completion took cash out tax-free and reduced the consideration on which Brennock paid stamp duty (for this example only: had the cash been left in and the price raised by £2.0m, the duty would have been £10,000 more). - **Timing.** A sale within 3 years of the hive-down claws back SDLT; a sale within 6 years triggers degrouping. Neither costs CT here because of the SSE; both must be in the model.

Shares or assets, priced

Suppose, **for this example only**, that TEL had sold the actuators assets directly to Brennock at the same values.

Worked example 20.6: TAL counterfactual (hypothetical; not a story fact; £)

	Asset sale by TEL	Share sale of TAL (actual)
Seller's CT		
Factory gain $\text{£}2,500,000 \times 25\%$	625,000	0 (degrouching gain added to SSE proceeds)
Patents credit $\text{£}2,800,000 \times 25\%$	700,000	0 (s 782A)
Plant balancing charges	not computed	0
Total CT on these items	1,325,000	0
Buyer's tax costs of the assets		
Factory base cost	7,500,000	7,500,000 (rebased)
Patents tax cost	4,000,000	1,200,000
Lost step-up on patents $\times 25\%$ (undiscounted)	—	700,000
Stamp taxes		
SDLT on the factory (buyer)	364,500	—
SDLT clawback (TAL; borne by TEL under the indemnity)	—	364,500
Stamp duty on shares (buyer)	—	270,000

The plant tells the same story on a smaller scale: bought as assets it would have entered Brennock's pools at its price (second-hand: no full expensing); inside TAL it continues at TWDV, with balancing charges deferred.

Every pound of the £1,325,000 saving came from the SSE. The buyer gave up almost nothing on the factory (the 2011 degrouching rule rebased it) and everything on the patents. Stamp taxes cut the other way: a hive-down followed by a sale within 3 years made them dearer, not cheaper.

The tax function's job is to run this comparison **before heads of terms are signed**. Once the structure is agreed in principle, the price has been struck on it, and the arrangements that switch off reliefs may already exist.

So the misconception has its answer. The share sale was better for Tarnmoor, but only because the SSE applied; and the price still had to absorb the buyer's lost relief on the patents, though not on the factory.

How the examiner tests it

This topic rarely arrives with one label. It arrives as a scenario: a group buys or sells a company, and the requirement asks for the tax consequences.

Exam lens: buying and selling companies

- **Grades:** SSE 1; companies leaving groups 1; change in company ownership 1; value shifting 1; depreciatory transactions 1; *Marren v Ingles* 1; CT self-assessment 1; SAO 1; tax strategy 1; transfer pricing 1; CIR 1; stamp duty and SDLT 3 (add-on marks routinely missed). At least 70% of the CT element comes from core material.
- **Past appearances:** M23 Q6 (10: acquisition costs); M24 Q3 (15, 7/5/3: sale of a subsidiary, degrouping and SSE, change of ownership, enquiries); N24 Q3 (15: pre-sale transactions, depreciatory transactions v value shifting, SSE, pre-sale dividends); N24 Q5 (20, 4/3/6.5/3.5/3: compliance consequences of joining a US group).
- **Style:** technical explanation with short computations; no letter or report format; 0.5–1 mark per point. “Tax consequences” means every tax in the syllabus, including stamp duty and SDLT; a named tax means only that tax. Follow the deal: what happens on the day, then what changes afterwards, tax by tax. Where the facts leave a point open (for example whether a change in a trade is “major”), state the facts that drive your conclusion. Give a recommendation if asked.
- **Traps:** market value instead of NGNL cost; degrouping gain measured at leaving; computing an SSE loss; stamp duty confused with SDLT; QIP associates counted at the wrong date (marginal relief: any time in the AP; QIPs: the day before the AP); writing at length on TP and missing easy marks; pre-sale loss relief when not asked; forgetting the stamp taxes; ignoring the contingency principle on an earn-out cap.
- **Layout:** a numbered list of consequences by tax; a degrouping computation showing where the gain lands; a stamp taxes line for every share or land transfer; £ throughout (not £000) where amounts are small.

What to take away

- **Shares or assets.** A share buyer gets the company’s whole history and no step-up; an asset buyer gets a fresh tax cost for each asset and leaves the history behind. A share seller usually gets the SSE; an asset seller pays tax on gains, balancing charges and intangibles credits. Price settles the difference.
- **Contract.** Due diligence finds the history; warranties make the seller disclose; a tax indemnity makes the seller pay, pound for pound, for tax of its years. Payments under either are usually treated as price reductions (s 49; ESC D33).
- **Costs.** Post-decision acquisition costs are capital (*Centrica*); arrangement fees are loan relationship debits; stamp duty is part of the cost of shares, and convertible notes are not exempt loan capital (FA 1986 s 79(5)); change-of-control compensation is unlikely to be deductible (HMRC’s view).
- **Joining.** Count associates twice: marginal relief at any time in the AP; QIPs on the day before the AP. Calder was large in its first group AP (4 × £187,500) and very large one period later. Then group relief, deductions allowance, AIA, SAO, transfer pricing and records, CIR, Pillar Two and R&D status.
- **Selling.** SSE; degrouping (s 179: added to the seller’s proceeds and usually exempt; asset rebased); intangibles (s 782A: switched off, no rebasing); SDLT clawback; s 31 and s 176; leaving date and arrangements; earn-outs.
- **Hive-down.** Part 22 Ch 1, s 171, s 775 and SDLT group relief move the business; para 15A lends the seller the trade’s history inside the group, but only inside a group (*M Group*).
- **Tarnmoor Actuators (invented):** £48.0m cash + earn-out valued £3.0m + degrouping gain £2.5m = **£53.5m** exempt; patents stay at £1.2m; SDLT clawback **£364,500** under TEL’s indemnity; Brennock’s stamp duty **£270,000** (£240,000

on cash + £30,000 on the £6.0m cap).

Eleven months was enough for Tarnmoor, because the group had been there all along.

Many of the taxes in this chapter were stamp taxes, quietly attached to bigger questions. Chapter twenty one, on stamp taxes for groups, gives them a chapter of their own.

Key rules and figures

Rule	Figure / effect	Reference
SSE	≥ 10% for 12 months in the 6 years before; investee trading; gains exempt, losses not allowable	TCGA 1992 Sch 7AC paras 1, 7–8, 19
Hive-down holding period	Time when a group member used the assets in its trade in the previous 12 months; investee must trade immediately after; needs an existing group	Sch 7AC paras 15A, 19; <i>M Group</i>
Degrouping on a share sale	Gain at market value at the intra-group acquisition, added to the seller's consideration; asset rebased	TCGA 1992 s 179(3A)–(3D)
Intangibles degrouping	Switched off on an SSE-qualifying share sale; no rebasing	CTA 2009 ss 780, 782A
SDLT group relief	Clawback within 3 years on market value at the original date; denied at outset if leaving arrangements exist	FA 2003 Sch 7 paras 2–3
Value shifting (companies)	Main purpose; just and reasonable uplift; exempt distributions carved out	TCGA 1992 s 31
Depreciatory transactions	No motive test; losses only	TCGA 1992 s 176
Earn-out (cash)	Right valued in proceeds; later receipts disposals of the right	<i>Marren v Ingles</i> ; CG14990
Stamp duty on shares	0.5% rounded up to £5; 30 days; maximum of contingent consideration charged	FA 1999 Sch 13; FA 1986 s 87 (SDRT); STSM021120
Convertible loan notes	Not exempt loan capital	FA 1986 s 79(4)–(5); STSM021230
Warranty/indemnity payments	Seller: consideration reduced on a claim; indemnities by concession; buyer: base cost reduced	TCGA 1992 s 49(1)(c); ESC D33; CG14825, CG13010
Change-of-control compensation	Unlikely to meet the wholly and exclusively test (HMRC)	CTA 2009 s 54; BIM38380–38390, BIM42955
Unpaid remuneration	Deductible when paid if not paid within 9 months after the period of account	CTA 2009 s 1288
QIP counting date	Day before the AP begins (HMRC); MR: any time in the AP	SI 1998/3175 reg 3; CTM92530; CTA 2010 s 18E

Rule	Figure / effect	Reference
TP SME exemption	Lost on joining a large group (linked enterprises); UK-to-UK exemption from 1 January 2026	TIOPA 2010 ss 164A, 166, 172
Story: Calder	£32.0m; stamp duty £160,000; first group AP large (divisor 1; $4 \times £187,500$); very large from AP beginning 1 April GY2 (divisor 9)	invented (story)
Story: Brackenwell	£22.2m shares (stamp duty £111,000) + £1.8m for £3.0m notes (stamp duty £9,000); losses at nil; ERIS credit £943,950 priced in, sellers indemnify	invented (story)
Story: TAL	£48.0m + earn-out (cap £6.0m; value £3.0m) + degrouping £2.5m = £53.5m exempt; patents WDV £1.2m; SDLT clawback £364,500; pre-sale dividend £2.0m; buyer's stamp duty £270,000	invented (story)

Statutory and case references

Statute. TCGA 1992 ss 22, 31, 49, 171, 176, 177, 179 (esp. (3A)–(3H)), 190, Sch 7A, Sch 7AC paras 1, 4, 7, 8, 15A, 19, 26. CTA 2009 ss 10, 54, 306A, 307, 361D, 775, 780, 782A, 1219, 1288; Part 8 Ch 10; Part 9A. CTA 2010 ss 18E, 154, 269ZR ff, Part 14 (ss 673–674, 676CA ff, 706–718, 719), Part 22 Ch 1 (s 948). CAA 2001 ss 51C, 59A–59B, 198. TIOPA 2010 ss 164A, 166, 172, Part 10. FA 1986 ss 79, 87. FA 1999 Sch 13. FA 2003 Sch 7 paras 1–3. FA 2009 Sch 46. FA 2016 Sch 19. FA 2022 Sch 17. SI 1998/3175 reg 3; SI 2016/237; SI 2023/818.

HMRC manuals and guidance. CTM03580, CTM08190, CTM08260, CTM80206, CTM80625, CTM92530; COM95001; CG13010, CG14805, CG14815, CG14825, CG14990, CG53000; ESC D33; SP 3/93; BIM38380, BIM38390, BIM42955; STSM021120, STSM021230, STSM041060; CIRD89870, CIRD92000; SAOG11260.

Cases. *M Group Holdings Ltd v HMRC* [2023] UKUT 213 (TCC) (31 August 2023); *Centrica Overseas Holdings Ltd v HMRC* [2024] UKSC 25; *Marren v Ingles* [1980] 1 WLR 983, 54 TC 76 (HL; court as reported in secondary sources); *Underground Electric Railways* (HL, 1906), as cited in STSM021120.

Chapter twenty one: Stamp taxes for groups.

A bill the gains rules never sent.

On 1 July GY5, our invented group, Tarnmoor, did something large and quiet. (Everything about Tarnmoor is invented for teaching.) Its parent, Tarnmoor plc (TPLC), a listed engineering group with its head office in Leeds, distributed its water systems subsidiary to its own shareholders. Tarnmoor Water Systems Ltd (TWS) left the group and listed on its own as Tarnwater plc.

The corporation tax work had taken months, and it came out clean. The demerger was exempt (CTA 2010 s 1076). TPLC's disposal of the TWS shares fell within the substantial shareholding exemption. Even the factory that Tarnmoor Estates Ltd (TES) had moved into TWS 21 months earlier escaped the degrouping charge, because TCGA 1992 s 192(3) switches s 179 off for an exempt demerger (chapters 17 and 19).

Then Tom Hesketh, the group head of tax, opened a different file. When that factory moved inside the group, nobody paid SDLT on its £6.0m value, because group relief applied. That relief comes with a string: if the company that received the land leaves the group within three years, the relief is withdrawn. Tarnwater had just left. It now owed **£289,500**.

Nobody had done anything wrong. The clawback was the price of the relief, and it had been written into the law all along. It simply lived in a different statute from the one everyone had been reading.

That bill is the misconception this chapter exists to correct: **“if the gains rules forgive a group transfer, the stamp taxes forgive it too.”** They do not. The stamp taxes have their own groups, their own purpose tests and their own clock. The question for this chapter: **when shares or land move into, around and out of a large group, what do the stamp taxes charge, what do they forgive, and when do they take the forgiveness back?**

This is chapter 21, the last chapter of Part Three (the group). On the LCG Advanced Technical paper, stamp duty and SDLT are **awareness (grade 3)** topics. Yet the examiners keep reporting that stamp tax marks sit at the end of property and acquisition questions, and candidates walk past them. *The Living Law* (TKS), chapter 30, taught the basics (stamp duty, SDRT, SDLT, group relief and clawback). Here we take them into the group. Throughout, the rules are those in force for **FY2026**, under Finance Act 2026.

Two taxes, one border.

Start with the shape of the system, because the groups rules only make sense once you see the border they guard.

Stamp duty is a tax on documents. Since SDLT took over land on **1 December 2003** (the implementation date appointed by Treasury order under FA 2003 Sch 19), stamp duty applies only to instruments relating to **stock or marketable securities** (FA 2003 s 125, restricting FA 1999 Sch 13). In a group that means, in practice, a stock transfer form for shares.

Stamp duty and SDRT (FY2026)	Rule	Reference
Rate on a transfer on sale	0.5% of the consideration, rounded up to the next £5	FA 1999 Sch 13
Small transfers	Nil where the consideration is £1,000 or less (with certificate)	FA 1999 Sch 13
Timing	Due within 30 days of execution; interest and penalties after that	Stamp Act 1891 (late stamping)
Who pays	In practice the purchaser (including a non-resident buying UK shares)	—
SDRT	0.5% on agreements to transfer chargeable securities (paperless trades); 1.5% on certain transfers into depositary receipt and clearance systems; cancelled (repaid) if a duly stamped transfer follows within 6 years	FA 1986 ss 87, 92, 93, 96
Loan capital	Transfers of ordinary loan capital exempt, but not loan capital carrying a conversion right at execution	FA 1986 s 79(4), (5)

SDLT is the tax on land transactions in England and Northern Ireland, in **FA 2003 Part 4**. It taxes transactions, not documents.

SDLT (non-residential, FY2026)	Band	Rate
Consideration other than rent	£0 – £150,000	0%
	£150,001 – £250,000	2%
	Above £250,000	5%
Rent on a new lease (NPV at the 3.5% temporal discount rate, FA 2003 Sch 5)	£0 – £150,000	0%
	£150,001 – £5,000,000	1%
	Above £5,000,000	2%
Return	Within 14 days of the effective date	FA 2003 Part 4
VAT	Part of the chargeable consideration	FA 2003 Sch 4 para 2

The border. Buy a warehouse and you pay SDLT at up to 5%. Buy the shares in the company that owns the warehouse and you pay stamp duty at 0.5%. The same economic asset carries two very different prices of entry. That gap drives almost every rule in this chapter: if a group could move land into a fresh subsidiary free of tax and then sell the subsidiary’s shares, it could turn a 5% tax into a 0.5% one at will (“enveloping”). Group relief exists so that genuine reorganisations are not taxed; its guards and its clawback exist so that it cannot be used as a wrapper.

Exam lens: the stamp taxes on this paper - Grade: every stamp tax row graded for the LCG Advanced Technical paper is **awareness (3)**: stamp duty administration, stocks and shares, rates of charge, groups of companies; SDLT land transactions, chargeable interests, amount of tax, sale and leaseback relief, group, reconstruction and acquisition relief, application of provisions; and the CT sale and leaseback rules (CTA 2010 Part 19). The 2026 grid gives **SDRT no grade for this paper** (it is graded only for the Advisory Practice paper): treat it as background. SDLT returns and payment rows

are also ungraded for LCG AT. (2026 grid; check the 2027 grid when published.) - **The tax tables give the rates** (the 2026 tables include stamp duty/SDRT and SDLT/LBTT rates), so the marks are for knowing **which** tax applies, **who** pays, **when**, and whether a **relief or clawback** applies. - **Trap**: confusing stamp duty (shares) with SDLT (land). The examiners noted exactly this after N23 Q2.

Stamp duty on Tarnmoor’s share deals.

The story gives us five share purchases, and each teaches one point.

1. **Calder (1 April GY1)**. TPLC bought Calder Valve Engineering Ltd (CVE) from the Oldroyd family for **£32.0m** cash. Stamp duty **£160,000**, paid by TPLC within 30 days. It is an incidental cost of acquiring the shares for chargeable gains (TCGA 1992 s 38(2)); as chapter 13 explained, it is **not** an expense of management.
2. **Brackenwell (1 July GY2)**. TPLC bought Brackenwell Sensors Ltd (BSL) for **£22.2m**: stamp duty **£111,000**. It also bought BSL’s convertible notes from the venture investors for **£1.8m** (chapter 12). Transfers of ordinary loan capital are exempt (FA 1986 s 79(4)), but **s 79(5)** removes the exemption where, at execution, the loan capital carries a right of conversion into shares. HMRC’s view (STSM041070, STSM021230) is that the right must be exercisable by the holder. BSL’s notes gave the holders that right, so the notes cost a further **£9,000: £120,000** in all.
3. **Helmside (1 March GY5)**. TPLC bought the 40% of Helmside Energy Ltd held by Greyfell Utilities plc, its joint venture partner, paying **2,000,000 new TPLC shares at £8.00 = £16.0m**. Consideration in shares counts like cash: stamp duty **£80,000**. Share-for-share relief does not apply (next section).
4. **Tarnmoor Actuators (31 December GY6)**. Brennock Industries Inc (invented, US) bought Tarnmoor Actuators Ltd (TAL) from Tarnmoor Engineering Ltd (TEL) for **£48.0m** cash plus a cash **earn-out of up to £6.0m** (valued at £3.0m at completion). Brennock is non-resident, but the duty is on the document transferring UK shares, so Brennock pays.
5. **Ridgeway (some years later)**. TPLC buys Ridgeway Holdings Ltd from Jess Hartley (invented; the founder whose cycle business *The Living Law* followed) for **£4.5m**: stamp duty **£22,500** (chapter 31).

Contingent consideration. HMRC’s Stamp Taxes on Shares Manual (STSM021120, citing the House of Lords in *Underground Electric Railways*) applies the **contingency principle**. Duty is fixed at execution:

Form of contingent consideration	Charged on
Stated maximum (with or without a minimum)	The maximum
Minimum only	The minimum
Stated sum that may vary	The stated sum
Wholly unascertainable	Nothing

Duty charged under the principle is **not adjusted** when the contingency resolves, and HMRC’s “wait and see” practice for completion-account adjustments does not apply to consideration that depends on future events.

Worked example 21.1: stamp duty on Tarnmoor’s share deals (invented; £)

Deal	Chargeable consideration	Stamp duty (0.5%, rounded up to £5)	Payer
Calder shares (GY1)	32,000,000	160,000	TPLC
BSL shares (GY2)	22,200,000	111,000	TPLC
BSL convertible notes (GY2)	1,800,000	9,000	TPLC
Helmside 40% (GY5): 2,000,000 × £8.00	16,000,000	80,000	TPLC
TAL shares (GY6): 48,000,000 + earn-out maximum 6,000,000	54,000,000	270,000	Brennock
Ridgeway Holdings (Ridgeway year)	4,500,000	22,500	TPLC
Total		652,500	

The TAL trap. Duty on the cash alone would be £240,000; on cash plus the earn-out's £3.0m value, £255,000. Both are wrong: the earn-out is capped, so the cap is charged. If Brennock eventually pays only £2.0m of earn-out, nothing comes back.

Rounding check: consideration £1,234,567 × 0.5% = £6,172.84, rounded **up** to **£6,175**.

Reliefs when shares move inside a group.

Stamp duty has three reliefs a group adviser must know.

1. Group relief (FA 1930 s 42). A transfer between **associated bodies corporate** is free of duty. They are associated if one is the beneficial owner of at least **75% of the other's ordinary share capital** (directly or indirectly) and is beneficially entitled to at least **75% of its profits available for distribution and of its assets on a winding up**, or a third body corporate stands in that relationship to both. The profits and assets tests were added by FA 2000. Relief is **denied** if, at execution, **arrangements exist under which a person could obtain control of the transferee but not of the transferor** (the stamp duty version of the wrapper problem; ss 42A and 42B qualify the test). Relief is not self-assessed: the instrument must be **adjudicated or stamped as not chargeable** to count as duly stamped.

For this example, suppose (labelled hypothetical, not story) that TPLC had transferred its Calder shares to TEL for £32.0m with no sale in prospect: s 42 would have removed £160,000 of duty.

2. Reconstruction relief (FA 1986 s 75). No duty where a company acquires all or part of another company's **undertaking** in pursuance of a **scheme for the reconstruction** of that target, and the consideration is **non-redeemable shares issued to all the target's shareholders** (plus at most the assumption or discharge of liabilities). Afterwards each shareholder of each company must be a shareholder of the other, in the same proportions. Bona fide commercial reasons and no main purpose of avoiding stamp duty, income tax, corporation tax or CGT are required. The old 0.5% acquisition relief (s 76) was **repealed by FA 2012**.

3. Share-for-share relief (FA 1986 s 77). No duty where an acquiring company acquires the **whole issued share capital** of a target, the consideration consists **only** of the issue of the acquirer's shares to the target's shareholders, the share classes and proportions afterwards **mirror** those before, and the commercial and no-avoidance conditions are met. For instruments

executed on or after **29 June 2016**, s 77A denies relief where there are **disqualifying arrangements** at execution: arrangements of which it is reasonable to assume that a purpose is to secure that a particular person, or particular persons together, obtain **control** of the acquiring company (CTA 2010 s 1124). FA 2020 amended the definition (instruments executed on or after 22 July 2020) so that a person holding at least 25% of the target throughout the relevant period is left out of account; “relevant merger arrangements” are carved out. HMRC’s manual has worked examples on capital reduction demergers (STSM042520–042560). The classic use of s 77 is **inserting a new holding company** on top of a group.

Helmside. TPLC already held 45%; it bought 40% from Greyfell; Northlight Infrastructure Fund LP kept its 15%. TPLC did not acquire the whole issued share capital, only one of the three shareholders received consideration shares, and the holdings could not mirror. Section 77 was never in play: **£80,000** payable.

Going further: share deals in a group - Base cost. Stamp duty paid on an acquisition is an incidental cost (TCGA 1992 s 38(2)). For a holding later sold within the SSE the point rarely matters; for a portfolio stake it does. - **Convertibles and options.** Check every debt instrument in a share purchase for conversion rights before assuming the loan capital exemption. - **Earn-outs.** A cap fixes the duty at the cap on day one. Commercial terms come first, but the deal model should show the duty on the maximum. - **Listed securities.** HMRC’s manual notes a market value rule (from 29 October 2018) for certain transfers of listed securities to connected companies: check it on any intra-group transfer of quoted shares outside s 42. - **New holding companies.** A s 77 claim needs the s 77A arrangements test documented at execution; the June 2026 distributions consultation’s proposals on new holding companies (chapter 19) are **proposals, not law**.

Group relief for land, and its guards.

Land moving inside a group meets SDLT, and it meets a rule that makes the tax bite even on a gift.

Connected companies (FA 2003 s 53). Where the purchaser is a company and the vendor is connected with it (CTA 2010 s 1122), the chargeable consideration is **at least market value** (and, for a lease, at least the rent). A group company that hands a building to a sister for nothing is taxed on its full value. But s 53(4) keeps the reliefs alive, and the most important is group relief.

Group relief (FA 2003 Sch 7 para 1). A land transaction is exempt if the vendor and the purchaser are **companies in the same group** at the effective date: one the 75% subsidiary of the other, or both 75% subsidiaries of a third company, measured by **ordinary share capital, profits and assets** ($\geq 75\%$ of each).

The guards (Sch 7 para 2). Relief is **not available** if:

Guard	Test at the effective date
Control arrangements (para 2(1))	Arrangements exist for a person (or persons together) to obtain control of the purchaser but not the vendor (with a carve-out for an acquisition qualifying for FA 1986 s 75)
Outside consideration (para 2(2)(a))	The consideration is provided or received, directly or indirectly, by a person outside the group under arrangements connected with the transaction
Leaving arrangements (para 2(2)(b))	Arrangements exist for the purchaser to cease to be a member of the same group as the vendor

Guard	Test at the effective date
Purpose (para 2(4A))	The transaction is not effected for bona fide commercial reasons , or forms part of arrangements a main purpose of which is the avoidance of tax (SDLT, stamp duty, income tax, corporation tax , CGT)

The purpose guard has teeth. In *Tower One St George Wharf Ltd v HMRC* [2024] UKUT 373 (TCC), the Upper Tribunal upheld the FTT: group relief was unavailable because the arrangements around an intra-group transfer had a main purpose of obtaining a **corporation tax** advantage (a step-up in base cost through an inserted step). It did not help the company that the step had failed to deliver the advantage, or that the overall transaction was commercial. The tribunal drew on the unallowable purpose case law under CTA 2009 s 441 (the line of cases the prologue began with). Published commentary reports that the resulting charge was on market value (about £200m) rather than the price paid (about £30m). In the Court of Appeal ([2025] EWCA Civ 1588, 10 December 2025; Asplin, Warby and Falk LJJ) the company no longer contended that group relief applied; the Court reversed the Upper Tribunal on the s 53/s 54 market value point but held that the s 75A anti-avoidance rule applied to the arrangements (status: case summaries via commentary; the judgment text was not opened).

HMRC's view of leaving arrangements (SDLTM23017, reproducing a Tax Bulletin article): a claim is not appropriate if there are arrangements for the purchaser to cease to be a 75% subsidiary of the vendor or a third company, and “the practical likelihood of the scheme being carried through” is not in itself relevant. But HMRC says it will **not** infer such arrangements merely because land moves to a group company that holds only property, and that the full circumstances must be examined. Moving land around a group is normal; moving it into a box that is already being sold is not.

The three-year string.

The analogy: SDLT group relief is like lending a parking space to a relative. The loan is free, but if the car leaves the family within three years, the space must be paid for, at the price it had on the day you lent it.

Withdrawal (Sch 7 para 3). Group relief is withdrawn if the **purchaser ceases to be a member of the same group as the vendor** (a) **within 3 years** of the effective date, or (b) later, in pursuance of or in connection with **arrangements made within those 3 years**, and at that time the purchaser (or a relevant associated company leaving with it) **holds the land** or an interest derived from it. The tax charged is the SDLT that would have been due on the **market value at the original effective date** (or the appropriate proportion), not the value on the day of leaving.

Exceptions (para 4, 4ZA).

Exception	Rule	Limit
Vendor leaves	Not withdrawn where the purchaser leaves because the vendor leaves the group (a transaction in shares of the vendor, or of a company above it that is not above the purchaser)	Para 4ZA (FA 2008 s 96): a later change in control of the purchaser within the 3 years brings the withdrawal back
Winding up	Not withdrawn where the groups separate because of anything done for the purposes of, or in the course of, winding up the vendor or a company above it	HMRC's manual says para 4ZA does not affect this exception (SDLTM23084)

Exception	Rule	Limit
s 75 acquisition	Not withdrawn where the purchaser leaves because another company acquires shares in it (or a company above it) in a transaction qualifying for FA 1986 s 75 relief, and the purchaser is then in the same group as that acquiring company	Withdrawal if the purchaser later leaves the acquiring company's group within the 3 years (book's summary of para 4; text not opened in full)

Recovery (para 5). The **purchaser** is liable. If the tax is unpaid **6 months** after it became payable, HMRC may recover it from the **vendor** and from any company that at a relevant time was in the same group as the purchaser and **above it** in the group structure.

Reconstruction and acquisition relief (Sch 7 paras 7–11). Two cousins of group relief carry a similar string:

Relief	Conditions	Effect	Withdrawal
Reconstruction (para 7)	Acquiring company acquires all or part of a target's undertaking under a scheme for the reconstruction of the target; consideration non-redeemable shares to all the target's shareholders (plus at most assumption of liabilities); mirror shareholdings; commercial, no avoidance purpose	Exempt	Control of the acquiring company changes within 3 years (or under arrangements made within them) while it holds the land: tax on market value (paras 9–11; exceptions include intra-group share transfers within FA 1930 s 42)
Acquisition (para 8)	Acquiring company acquires all or part of an undertaking for non-redeemable shares issued to the target or its shareholders; other consideration only cash up to 10% of the nominal value of those shares and/or assumption of liabilities; the undertaking's main activity a trade not wholly or mainly dealing in land	Tax capped at 0.5%	As for reconstruction relief

Worked example 21.2: acquisition relief (labelled hypothetical, not story; £)

	£
Market value of land acquired with the undertaking	10,000,000
SDLT without relief: $0 + 2\% \times 100,000 + 5\% \times 9,750,000$	489,500
SDLT with acquisition relief: $0.5\% \times 10,000,000$	50,000
Saving	439,500

Three transfers, three outcomes.

Our invented group moved land three times under SDLT group relief, and each move ended differently.

1. Calder's works to TES (1 April GY3). CVE transferred its works to TES, the group's property company, at no gain, no loss for chargeable gains (chapter 17). For SDLT, s 53 made **market value £5.6m** the starting point; group relief took the tax to nil, saving **£269,500**. TES then leased the works back to Calder. The grant of that lease is itself a land transaction between group companies (TES the vendor, CVE the purchaser), so Calder claimed **group relief on the lease** too (no rent figure is needed here). TES never left the group: three years passed, and the saving became permanent.

2. The water-systems factory to TWS (1 October GY3). TES transferred the factory (its cost £4.6m) to TWS at **market value £6.0m**: group relief saved **£289,500**. On **1 July GY5**, 21 months later, the direct demerger took TWS out of the group. A direct demerger is a **distribution** to TPLC's shareholders, not an acquisition by another company, so none of the para 4 exceptions applied. Relief was withdrawn on the £6.0m value fixed at the transfer: Tarnwater paid **£289,500**.

Was there another way? On the **book's reading** of para 4 (above), an **indirect demerger** (CTA 2010 s 1077) might have kept the relief: a new company acquires TWS in exchange for its own shares issued to TPLC's shareholders, an acquisition that may qualify for FA 1986 s 75, after which TWS is grouped with the acquirer. The board chose the direct route for the reasons chapter 19 gives, and accepted the SDLT cost as part of the price.

3. The actuators factory to TAL (1 February GY6). TEL hived its actuators trade down into new subsidiary TAL, including a factory worth **£7.5m** (TEL's cost £5.0m). Before claiming relief, Tom tested the **leaving arrangements** guard (para 2(2)(b)). In our invented case the board minute recorded a decision to run the actuators business as a separate company and to review its options later in the year; there was **no buyer, no heads of terms and no agreement to sell**. On those facts there were no arrangements for TAL to leave the group, and relief of **£364,500** was claimed.

On **31 December GY6**, 11 months after the hive-down, Brennock bought TAL. Relief was withdrawn: TAL owed **£364,500** (on the £7.5m value at 1 February GY6). Brennock had seen this in due diligence and negotiated an **indemnity from TEL** in the sale agreement. Had a buyer already been lined up on 1 February GY6, relief would have been denied at the outset, and claiming it would have been an error in the return.

Worked example 21.3: Tarnmoor's SDLT group relief (invented; £)

Transfer	Date	Market value	SDLT relieved	Event	Clawback	Kept
CVE works → TES	1 Apr GY3	5,600,000	269,500	none within 3 years	—	269,500
Water-systems factory → TWS	1 Oct GY3	6,000,000	289,500	demerger 1 Jul GY5	289,500	—
Actuators factory → TAL	1 Feb GY6	7,500,000	364,500	sale 31 Dec GY6	364,500	—
Total			923,500		654,000	269,500

SDLT on each market value: £0 on £150,000 + 2% × £100,000 (£2,000) + 5% on the excess over £250,000. CVE: £2,000 + 5% × £5,350,000 = £269,500. TWS: £2,000 + 5% × £5,750,000 = £289,500. TAL: £2,000 + 5% × £7,250,000 = £364,500.

Exam lens: group relief and clawback - Grade: SDLT group, reconstruction or acquisition relief, **awareness (3)**; stamp duty groups of companies, **awareness (3)**. - **Past appearances:** N25 Q5 (20 marks: group property, an intra-group no gain, no loss transfer, s 198, roll-over **and SDLT**; the examiners reported that few candidates considered SDLT, so marks were missed). M23 Q4 (20 marks: property, a hive-down with the trade, s 198 elections and group roll-over) is the kind of property question in which these marks sit. - **Style:** short explanatory points (0.5–1 mark each): connected company market value; group relief available (75% tests); any arrangements; clawback if the transferee leaves within 3 years; charged on market value at the original date; who pays. - **Traps:** assuming the gains result carries over (s 192(3) and the SSE do not touch SDLT); measuring the clawback on market value at leaving; forgetting that leaving arrangements at the time of transfer deny relief up front; applying s 57A sale and leaseback relief within a group.

Selling the head office and renting it back.

On **1 October GY6**, TES sold the group's head office (a freehold, in our invented case) to an unconnected pension fund for **£14.0m** and took back a **15-year lease** at a commercial rent of **£900,000 a year**. TES had not opted to tax the building, so no VAT was added to the price.

The sale. The pension fund, as purchaser, pays SDLT on £14.0m: **£689,500**.

The leaseback. The new lease is also a land transaction, with TES as purchaser. Without relief, TES would pay SDLT on the NPV of the rent.

Worked example 21.4: sale and leaseback SDLT (invented; £)

	£
Price paid by the pension fund	14,000,000
Buyer's SDLT: $\text{£}2,000 + 5\% \times \text{£}13,750,000$	689,500
Leaseback rent: $\text{£}900,000 \times 15$ years (undiscounted)	13,500,000
NPV of rent at 3.5% ($\Sigma 900,000 / 1.035^i$, $i = 1$ to 15)	10,365,670
SDLT on rent without relief: $1\% \times \text{£}4,850,000 + 2\% \times \text{£}5,365,670$	155,813
SDLT on the leaseback after s 57A relief	nil

Sale and leaseback relief (FA 2003 s 57A). The leaseback element is exempt where: A transfers or grants to B a **major interest** in land (the sale); B grants a **lease** out of it to A (the leaseback); the sale is entered into wholly or partly in consideration of the leaseback; the only other consideration for the sale is **money** and/or the assumption, satisfaction or release of **debt**; the sale is not a transfer of rights or a pre-completion transaction; and, **if both A and B are bodies corporate, they are not members of the same group** for SDLT group relief. Inside a group, group relief does that job instead, as Calder's lease showed. (The legislation.gov.uk text of s 57A shows duplicated paragraph lettering, probably a consolidation artefact.)

Corporation tax: CTA 2010 Part 19 (awareness).

Chapter	Target	Rule
Ch 1 (ss 834–848): payments connected with transferred land	A seller takes an inflated price now in return for an inflated, deductible rent later	Where land is transferred and the transferor (or an associate) becomes liable to pay rent for it, the deduction is capped at a commercial rent ; the excess is carried forward under the cumulative “amount E” rules
Ch 2 (ss 849–862): new lease after assignment or surrender	Turning a short lease into capital	Where a lease with 50 years or less to run (rent deductible) is assigned or surrendered for a capital sum and a new lease of 15 years or less of the same land is granted to the same person or a linked person, part of the capital sum is taxed as income: all of it if the new term is 1 year or less, otherwise $(16 - N)/15$, N = the new term in years
Chs 3–4 (ss 863–886)	Leased trading assets other than land; capital sums	Commercial rent cap; charge on capital sums up to the payments relieved

TES’s rent of £900,000 is a commercial rent: **no Part 19 Ch 1 restriction**. TES sold a freehold, not a lease, so Ch 2 does not apply.

For this example, suppose (labelled hypothetical, not story) that TES had assigned a lease with 40 years to run for **£1,000,000** and taken back a **10-year** lease: $(16 - 10)/15 = 6/15$, so **£400,000** is taxed as income and £600,000 remains capital.

The chargeable gain on the head office sale itself follows chapter 16’s rules.

Exam lens: sale and leaseback - Grade: SDLT sale and leaseback relief **awareness (3)**; CT sale and leaseback (CTA 2010 Part 19) **awareness (3)**. - **Past appearances:** not examined as a main topic in M23–M26; expect a sentence or two inside a property question. - **Points to make:** the buyer pays SDLT on the price; the leaseback is relieved under s 57A (not within a group); the CT deduction for rent is capped at a commercial rent; Ch 2 taxes part of the capital sum on a short-lease assignment with a leaseback of 15 years or less.

Scotland, the deal table and the examiner.

Scotland. Land in Scotland falls under **land and buildings transaction tax (LBTT)**, and the exam rubric lets candidates answer by reference to SDLT **or** LBTT. LBTT group relief is in the **Land and Buildings Transaction Tax (Scotland) Act 2013 Sch 10** (relief, withdrawal, recovery), with the same shape as SDLT’s, clawback included; its para 9 mirrors the s 75 carve-out. Revenue Scotland’s guidance gives non-residential rates of **0% to £150,000, 1% to £250,000 and 5% above** (transactions from 25 January 2019), and lease rent bands of 0% to £150,000, 1% to £2,000,000 and 2% above (from 7 February 2020). For Calder’s works, had they been in Scotland, LBTT on £5.6m would have been **£268,500** (relieved in the same way). Wales has its own land transaction tax, outside this paper.

Going further: the tax function's tasks - Register and diary. Keep a register of every intra-group land transfer (date, market value, SDLT relieved) with a **3-year diary date**. Check it before any sale, demerger, refinancing or listing. Tom's register flagged both clawbacks in the Tarnmoor story before completion. - **Test arrangements on the day.** For every group relief claim (stamp duty and SDLT), record the facts on the effective date: any sale process, heads of terms, financing that could pass control, and the purpose of the step. *Tower One* shows that a corporation tax motive can sink SDLT relief. - **Price and indemnify.** A buyer that finds an unindemnified clawback in due diligence will take it off the price; Brennock negotiated an indemnity from TEL. Sellers should price it first. - **Draft earn-outs knowingly.** A cap fixes the stamp duty at the cap; the deal model should show it. - **Stamp on time.** Present s 42 claims for adjudication; pay duty within 30 days of execution. - **Demerger checklist.** Direct demergers do not protect SDLT group relief; indirect demergers may (book's reading). Run the SDLT analysis alongside the s 1091 clearance work (chapter 19). - **New listings.** FA 2026 s 85 inserted FA 1986 s 89C: an SDRT exemption for agreements to transfer a company's chargeable securities for **3 years** from its first listing on a UK regulated market, for companies first listed on or after **27 November 2025**. HMRC's manual (STSM042600, STSM042610) describes exclusions for listings connected with **mergers or takeovers of listed companies** (Exclusion A) and the **insertion of a new holding company** above an already listed company (Exclusion B), and the relief ends on a **change of control**; it does not cover the 1.5% charge. Tarnwater listed for the first time on a direct demerger; **on the book's reading** of HMRC's description, neither exclusion fits, so trades in its shares may enjoy the holiday. SDRT is ungraded for this paper: this is background. - **Recent tribunal decision.** *HC-One No.1 Ltd v HMRC* [2026] UKFTT 678 (TC) (FTT) is reported to have applied the para 4(4) winding-up exception to a solvent members' voluntary liquidation of an intermediate parent before a share sale; commentators describe it as fact-specific and possibly subject to appeal (secondary source only).

How the examiner tests it.

Stamp taxes are tested as add-ons inside larger questions:

- **N25 Q5** (20 marks, group property): the examiners reported that **few candidates considered SDLT**, so marks were missed.
- **N23 Q2** (15 marks: a JV sold with an earn-out, SSE, s 135, then stamp duty for the buyer in a short second part): the examiners noted that **some confused stamp duty with SDLT**.
- **N24 Q5** (20 marks: a US multinational buys a UK SME): the marking guide gave **3 marks** for stamp duty on the UK share purchase (**0.5%, 30 days, non-residents must pay**).

The habit to build: **whenever shares or land move, ask which stamp tax applies, at what rate, who pays, and whether a relief or a clawback follows**. In a question that says "tax consequences", stamp taxes are within the syllabus and earn marks; in a question that names corporation tax only, leave them out.

What to take away.

- **Stamp taxes follow their own logic, not the gains rules.** A transfer the gains rules forgive can still cost SDLT; a demerger or a sale of a subsidiary can bring back SDLT that a group transfer saved.
- **Stamp duty** taxes only instruments relating to stock or marketable securities (since 1 December 2003): **0.5%**, rounded up to the next £5, due within **30 days**; the buyer pays, even a non-resident. Shares given as consideration count.

Convertible loan notes lose the loan capital exemption (FA 1986 s 79(5)). A **capped earn-out** is charged on its **maximum**: Brennock paid **£270,000** on £54.0m.

- **SDLT** taxes land transactions: non-residential **0% / 2% / 5%** (bands £150,000 and £250,000); lease rent on NPV at **3.5%** (0% / 1% / 2%; bands £150,000 and £5m); **connected company** transfers at least at **market value** (s 53), but reliefs survive.
- **Stamp duty reliefs**: **FA 1930 s 42** group relief (75% of shares, profits and assets; no arrangements for control of the transferee alone); **FA 1986 s 75** reconstructions; **s 77** share-for-share acquisitions of the **whole** share capital, subject to **s 77A**. Helmside therefore cost **£80,000**.
- **SDLT group relief** (FA 2003 Sch 7): the same 75% tests, plus four guards (control arrangements, outside consideration, leaving arrangements, a main purpose of avoiding tax, **corporation tax included: Tower One**). **Clawback** if the purchaser leaves the vendor's group within **3 years** while holding the land, on **market value at the original date**; exceptions for the vendor leaving (subject to para 4ZA), winding up, and s 75 acquisitions; recovery from the vendor and parent companies after 6 months.
- **In our invented case**: group relief saved **£923,500**; the demerger clawed back **£289,500** and the actuators sale **£364,500**; only the Calder works saving of **£269,500** stayed.
- **Reconstruction relief** exempts; **acquisition relief** caps SDLT at **0.5%**; both are withdrawn on a **change of control of the acquiring company within 3 years**.
- **Sale and leaseback**: s 57A exempts the leaseback (**not** within an SDLT group); CTA 2010 Part 19 caps the rent deduction at a **commercial rent** and, on a short-lease assignment with a leaseback of 15 years or less, taxes **(16 – N)/15** of the capital sum as income.

The answer to the chapter's question: stamp taxes charge the entry ticket for shares and land; they forgive movements inside a group that stay inside it; and they take the forgiveness back when the asset, wrapped in a company, leaves within three years.

Part Four crosses the border of the United Kingdom itself: chapter 22 asks the first question of international tax, where a company lives.

Key rules and figures

Rule	Figure or test	Reference
Stamp duty scope	Instruments relating to stock or marketable securities only (from 1 December 2003)	FA 2003 s 125; FA 1999 Sch 13
Stamp duty rate	0.5%, rounded up to £5; nil if consideration ≤ £1,000	FA 1999 Sch 13
Stamp duty timing	30 days after execution	Stamp Act 1891 (late stamping)
SDRT	0.5% on agreements; 1.5% depositary receipts/clearance; cancelled if stamped within 6 years	FA 1986 ss 87, 92, 93, 96
SDRT listing relief	3 years from first UK listing (listed on or after 27 November 2025); exclusions	FA 1986 s 89C (FA 2026 s 85)
Loan capital	Exempt, unless convertible at execution	FA 1986 s 79(4)–(5)

Rule	Figure or test	Reference
Contingent consideration	Maximum if capped; minimum if only a floor; nil if wholly unascertainable (HMRC's view)	STSM021120
Stamp duty group relief	75% shares, profits, assets; no control arrangements for the transferee alone	FA 1930 s 42
Reconstruction relief	Undertaking for shares to all shareholders; mirror; purpose test	FA 1986 s 75
Share-for-share relief	Whole share capital; shares only; mirror; no disqualifying arrangements (from 29 June 2016)	FA 1986 ss 77, 77A
SDLT non-residential	0% to £150,000; 2% to £250,000; 5% above	FA 2003 s 55
SDLT on rent	NPV at 3.5%; 0% / 1% / 2% (£150,000; £5m)	FA 2003 Sch 5
Connected company	At least market value; reliefs survive	FA 2003 ss 53, 54
SDLT group relief	75% shares, profits, assets; four guards	FA 2003 Sch 7 paras 1–2
Clawback	Purchaser leaves within 3 years holding the land; market value at original date	Sch 7 paras 3–5, 4ZA
Reconstruction / acquisition relief	Exempt / 0.5% cap; withdrawn on change of control within 3 years	Sch 7 paras 7–11
Sale and leaseback relief	Leaseback exempt; not within the same group	FA 2003 s 57A
CT sale and leaseback	Commercial rent cap; $(16 - N)/15$ on short-lease assignments	CTA 2010 Part 19 (ss 834–886)
LBTT	Group relief Sch 10; non-residential 0% / 1% / 5% (£150,000; £250,000)	LBT(S)A 2013
Tarnmoor stamp duty (invented)	CVE £160,000; BSL £120,000 (shares £111,000 + notes £9,000); Helmside £80,000; TAL £270,000 (Brennock); RH £22,500	—
Tarnmoor SDLT (invented)	Relief £269,500 (kept), £289,500 and £364,500 (clawed back); head office buyer £689,500; leaseback relieved (£155,813 without s 57A)	—

Statutory and case references

- Stamp Act 1891 (interest and penalties on late stamping); FA 1930 s 42 (as amended, including FA 2000 s 123), ss 42A, 42B.
- FA 1986 ss 75, 76 (repealed by FA 2012 Sch 39), 77, 77A (FA 2016 s 137; amended FA 2020), 79(4)–(5), 87, 89C (FA 2026 s 85), 92, 93, 96.

- FA 1999 Sch 13; FA 2003 s 125 and Sch 19; SDLT implementation date 1 December 2003 (Treasury order made 12 November 2003; explanatory note to SI 2003/2816).
- FA 2003 Part 4: ss 53, 54, 55, 57A; Sch 4 para 2; Sch 5; Sch 7 paras 1–5, 4ZA (FA 2008 s 96), 7–11.
- CTA 2010 Part 19 (ss 834–886, esp. ss 834, 838, 849–851); s 1122; s 1124; ss 1076–1077.
- TCGA 1992 ss 38(2), 179, 192(3).
- Land and Buildings Transaction Tax (Scotland) Act 2013 Sch 10.
- *Tower One St George Wharf Ltd v HMRC* [2024] UKUT 373 (TCC); [2025] EWCA Civ 1588 (10 December 2025).
- *HC-One No.1 Ltd v HMRC* [2026] UKFTT 678 (TC) (secondary source only).
- *Underground Electric Railways* (House of Lords; as cited in STSM021120).
- HMRC manuals: STSM021120 (contingency principle), STSM021130 (dividends in specie), STSM021230, STSM041070 (convertible loan capital), STSM042460–042560 (s 77A), STSM042600–042610 (UK listing relief); SDLTM23017 (arrangements), SDLTM23030, SDLTM23080–23084 (vendor leaving; para 4ZA), SDLTM23100 (recovery).
- Revenue Scotland LBTT guidance (non-residential and lease rates).

Part Four: Across Borders.

Chapter 22: Where a company lives, and how it leaves.

On 1 March GY4 a letter left Leeds for HMRC. It came from Tarnmoor Ireland Ltd (TIL), a company in our invented group, Tarnmoor. Tarnmoor, its companies, its people and its numbers are invented for teaching, as they are throughout this book. Ireland is real. The letter said three things. TIL intended to stop being resident in the UK. It would do so at the end of 30 June. And here was a statement of the tax it owed, with a proposal for how that tax would be secured before it went.

TIL was incorporated in Ireland. Its customers were Irish. Yet for years it had paid UK corporation tax on every euro it earned, because its directors met in Leeds. Now the board had decided to move its meetings, and its real decisions, to Dublin. A company cannot simply walk out of the UK tax net. It must tell HMRC first, account for what it owes, and pay tax on gains it has never realised.

This chapter asks two questions. Where does a company live for tax purposes? And what happens when it leaves? It opens Part Four, on profits that cross borders. On the LCG grid, **company residence** (with the chargeable profits of non-UK resident companies) and **non-resident and dual resident companies** (gains) are **core (grade 1)**; **migration of a company (post 1 January 2020 only)** is **non-core (grade 2)**. The chapter builds on *The Living Law* (TKS), chapter 20 (company residence and *De Beers*) and chapter 26 (the treaty tie-breaker, including Article 4 of the Multilateral Instrument for the UK and Ireland). Here we take both to Advanced Technical depth, then follow TIL out of the door.

Statute	Short name used	What it holds here
Corporation Tax Act 2009 (CTA 2009)	the 2009 Act	ss 14, 18 (residence); s 10 (AP ends); ss 41, 162 (deemed cessation, stock); s 333 (loan relationships); s 609 (derivatives); s 859 (intangibles)
Corporation Tax Act 2010 (CTA 2010)	the 2010 Act	s 109 (dual resident investing companies and group relief)
Taxation of Chargeable Gains Act 1992 (TCGA 1992)	the Gains Act	s 185 (exit charge); s 187 (repealed); s 187B (UK land); ss 171, 175 (DRICs)
Capital Allowances Act 2001 (CAA 2001)	the Capital Allowances Act	s 577(2), s 61(1)(f) (discontinuance and balancing adjustments); ss 266, 570 (DRICs)
Taxes Management Act 1970 (TMA 1970)	the Management Act	ss 109B–109F (notice, security, penalties, recovery); Sch 3ZB (exit charge payment plans)

We apply the law for FY2026. FA 2026 made no change to company residence or the migration rules (no residence consultation was found for 2023–2026 either).

Two tests, one question.

Residence decides how much of a company's income the UK claims. A UK resident company is charged on all its profits wherever they arise, subject to reliefs such as the branch exemption (chapter 25) and foreign tax credit (chapter 24). A non-resident company is charged only on narrow categories of UK profit, such as a trade carried on through a UK permanent establishment or UK property income (CTA 2009 s 5; chapter 23 owns that list). Residence is the first switch in every international answer.

There are two tests, and a company need pass only one.

1. **Incorporation (statute).** A company incorporated in the UK is UK resident (CTA 2009 s 14). It does not matter where its directors live, where its board meets or where it trades: a company registered at Companies House carries its residence with it like a birth certificate.
2. **Central management and control (case law).** A company incorporated abroad is UK resident if its central management and control (CMC) is exercised here. The House of Lords settled the test in *De Beers Consolidated Mines Ltd v Howe* [1906] AC 455, where a South African-registered diamond company with South African mines was UK resident because the directors who made its real decisions met in London (TKS chapter 20).

The two tests work as a ratchet. Incorporation keeps a UK company resident whatever happens to its board. CMC can make a foreign company resident too, and a foreign company can drift in and out of residence as its decision making moves. Only one route takes residence away from a UK-incorporated company, and it runs through a treaty (s 18, below).

Misconception: “a UK company can move its tax residence abroad by moving its board.” It cannot. Moving the board of a UK-incorporated company leaves it UK resident under s 14. At most it becomes dual resident. Whether it then becomes non-resident depends on a treaty tie-breaker (and, under the Multilateral Instrument, on the two tax authorities agreeing): CTA 2009 s 18. A board meeting in Paris does not change a birth certificate issued by Companies House.

TIL shows the other side of the ratchet. It was incorporated in Ireland, so s 14 never applied to it. It was UK resident only because its CMC was in Leeds. Move the control to Dublin, genuinely and completely, and it stops being UK resident as a matter of domestic law.

Where the mind of a company lives.

CMC sounds precise and is not. The courts have always treated it as a question of fact. In *De Beers*, Lord Loreburn LC said that “the real business is carried on where the central management and control actually abides” (at 458, as quoted in *Wood v Holden*).

Think of a company as having a body and a mind. The body is its factories, offices, staff and customers; the mind is the small group of people who decide its strategy, approve major contracts, raise finance, declare dividends and appoint managers. Residence follows the mind. The test looks for the **highest level of control**, not day-to-day management: the factory manager in Cork who runs production is managing; the board in Leeds that decides whether to build the factory, how to fund it and whether to sell it is exercising CMC.

In most companies the highest level of control is exercised by the board, acting as a board. So the usual question is where the board meets and decides; but that is a starting point, not an answer. **HMRC's view** is set out in Statement of Practice 1/90, reproduced at INTM120200: the location of board meetings, “although important in the normal case”, is not necessarily

conclusive; the place of directors' meetings "is significant only insofar as those meetings constitute the medium through which central management and control is exercised".

Two warnings follow. A board which meets abroad but merely signs decisions made elsewhere is not exercising control there: the meeting is theatre. And a board can exercise control without meeting at all, through written resolutions, calls and informal decisions; if the directors who really decide all live and work in the UK, the company may be UK resident even if its formal meetings are held offshore.

HMRC's guidance also recognises modern board practice. It gives examples where it would **not usually review** residence, including a UK-based director who habitually joins overseas meetings by electronic link (INTM120150), and its pandemic guidance accepts that a company does not necessarily become UK resident because a few board meetings are held, or some decisions taken, here for a short period (INTM120185). These are statements of HMRC practice, not law: they say where HMRC will look, not what a court would find.

In our invented case, before GY4 TIL was UK resident on the plainest facts. Its board was made up of Tarnmoor executives based in Leeds; it met in Leeds; it approved the Irish budgets, the purchase of a UK warehouse (GY1) and the acquisition of an Irish distributor's business (GY2). Its residence was no accident: it kept TIL inside the UK group for group relief and the gains rules (chapter 1).

Usurped, or merely influenced.

Most foreign subsidiaries of UK groups have boards abroad that listen closely to the parent. The cases that matter most to a group tax function ask: when a parent tells a subsidiary's board what it wants, where is the subsidiary's mind?

Usurped. In *Unit Construction Co Ltd v Bullock* [1960] AC 351 (HL), a UK company's African subsidiaries had constitutions requiring their boards to meet, and their business to be managed, outside the UK. In practice the local boards stood back and the parent's board in London took the real decisions. The subsidiaries were UK resident. Lord Radcliffe treated the location of control as a matter of fact, of "actuality"; it did not matter that the parent's conduct was contrary to the subsidiaries' constitutions. Residence follows what happens, not what the documents say should happen.

Influenced. *Wood v Holden* [2006] EWCA Civ 26 (Chadwick LJ giving the leading judgment; Moore-Bick LJ and Sir Christopher Staughton). Note first: Mr Wood was the businessman behind Ron Wood Greetings Card Holdings Ltd, **not the musician**. In July 1996 the shares, held through an offshore company in the Woods' structure (Copsewood Investments Ltd, a British Virgin Islands company), were sold for £23.7m to a Dutch company, Eulalia Holding BV, whose sole managing director was a Dutch trust company; three months later Eulalia sold them on to a trade buyer for about £30.8m. Mr and Mrs Wood were assessed on the gains under TCGA 1992 s 13 (gains of non-resident close companies), and the planning depended on Eulalia being resident outside the UK. HMRC argued that Eulalia's director simply did what Mr Wood and his advisers wanted, so no real decisions were taken in the Netherlands. The Special Commissioners agreed; Park J reversed them; the Court of Appeal upheld Park J. Eulalia was Dutch resident.

The distinction is the one every group tax function lives by:

Board that is...	Result	Authority
Bypassed: stands aside while someone else decides	Usurped: the company lives where the usurper decides	<i>Unit Construction</i>

Board that is...	Result	Authority
Advised, proposed to and influenced, but itself considers and takes the decision	Keeps CMC	<i>Wood v Holden</i>
Formally decides, but implements an uncommercial decision really taken by the parent	Parent's location	<i>Development Securities</i> (below)

A client who always follows a solicitor's advice still makes the decision; only a client who hands over the pen has stopped deciding. The legal rule is narrower: the court asks whether the board actually considered and took the decisions that matter, at the highest level of the company's affairs, and where. Influence is not control. But *Wood v Holden* is reassuring only up to a point: a board that never asks a question will not necessarily be respected.

When the parent really decides.

HMRC v Development Securities plc [2020] EWCA Civ 1705 (David Richards, Newey and Nugee LJ) is the modern counterweight. Development Securities, a UK property group, used a 2004 scheme devised by a large accountancy firm to make use of indexation allowance on assets standing at a loss. New Jersey subsidiaries with Jersey-resident directors were to buy assets from the group under options at prices well above market value, and later become UK resident. The scheme depended on their being Jersey resident when they bought.

Tribunal	Finding
FTT	Jersey boards had not acted improperly and had checked legality, but had not engaged with the uncommercial substance; they implemented the parent's decision: UK resident
UT	The directors had applied their minds and had not abdicated their responsibilities: Jersey resident
Court of Appeal	UT's criticisms of the FTT not well-founded; FTT decision restored: UK resident when the options were exercised

The case did not overrule *Wood v Holden*. Both ask by whom, and where, the real decision was taken; the answers differed on the facts. Eulalia's director took a decision that was, for Eulalia, an ordinary one. The Jersey directors approved transactions against their own companies' interests that made sense only for the group. A board that signs something uncommercial for its own company because the parent wants it is hard to describe as the company's mind.

The reasoning was not unanimous: one member of the court expressed "very considerable reservations" about the FTT's reasoning while agreeing with the outcome, and commentators still debate how much active engagement is enough. Two lessons are clear: a subsidiary board asked to do something uncommercial will be scrutinised hard; and evidence that the board understood, questioned and could have refused a proposal is far more persuasive than evidence that it met in the right place.

In our invented case, TIL's migration turned the lesson around. To leave the UK, its control had to move to Dublin in fact, not just on paper. The board was reconstituted with effect from the end of 30 June GY4: a majority of Irish-resident directors with industry experience joined, the Leeds executives stepped down, and meetings moved to Dublin. The board was given authority over budgets, contracts and financing, and used it. Tom Hesketh, the group head of tax, wrote the new governance protocol; its first line read (in our invented story) "decisions are made in the room, not before it".

Going further: governance for overseas subsidiaries. The same lesson runs the other way for subsidiaries a group wants to keep abroad (for Tarnmoor, TVS in Vallaria and TCM in Marrovia, both invented). A defensible file shows: directors resident locally with the skills to decide; board packs circulated in time to be read; minutes that record discussion, questions and alternatives, not just resolutions; decisions taken at the meeting, not pre-agreed by e-mail from the parent; a delegation framework that lets the local board say no; and an annual residence review by the tax function. The group may propose and influence (*Wood v Holden*); it must not decide for them (*Unit Construction, Development Securities*). A subsidiary properly resident abroad still meets the CFC rules (chapter 26).

Two countries, one company.

Residence tests are national, and nothing stops two countries claiming the same company. A company incorporated in one country and managed in another will often be resident in both: dual residence.

Treaties solve the problem in two steps (TKS chapter 26):

1. **Treaty residence.** Article 4(1) of a treaty based on the OECD Model treats as resident a person “liable to tax therein by reason of their domicile, residence, place of management or other criterion of a similar nature”, excluding persons liable only on local-source income (HMRC’s description, INTM153050).
2. **Tie-breaker** for a person resident in both:
 - **Older treaties:** resident only where its **place of effective management** (POEM) is situated. POEM is a treaty concept, not the same words as CMC, though on most facts the two point to the same place. HMRC: “Typically the tie-breaker awards residence to the country in which the effective management of the company is located” (INTM154050).
 - **MLI Article 4** (the Multilateral Instrument, in force for the UK from 1 October 2018): the competent authorities “shall endeavour to determine by mutual agreement” the company’s residence, having regard to its place of effective management, place of incorporation and other relevant factors; without agreement, no treaty relief except as the authorities agree. The UK and Ireland both adopted it; for UK corporation tax it has effect from **1 April 2020** (HMRC’s synthesised UK–Ireland text).

Treaty non-residence in domestic law. CTA 2009 s 18: a company that would be UK resident but is regarded by a treaty as resident only in the other territory is treated as **not UK resident for all purposes of the Taxes Acts** (from 30 November 1993; formerly FA 1994 s 249). It is the only route by which a UK-incorporated company can become non-resident, and under MLI Article 4 it now depends on an agreement between tax authorities, not on a rule a company can engineer by moving its meetings.

Timing. *HMRC v Smallwood* [2010] EWCA Civ 778 concerned a marketed “round the world” trust scheme: UK trustees were replaced by a Mauritian trustee, a gain was realised, and UK trustees were reappointed within the same tax year. The majority held that the tie-breaker could not be applied as a “snapshot” at the moment of disposal; viewed in the context of the whole scheme, POEM was in the UK and the UK could tax. *Smallwood* involved trustees, not a company, but the lesson carries over: a tie-breaker is not a stopwatch to be started and stopped around a transaction.

Exam lens: residence and dual residence. - Grade: company residence and chargeable profits of non-UK resident companies **1 (core)**; non-resident and dual resident companies (gains) **1 (core)**. Check the 2027 grid when published (no change expected: the 2028 grid keeps residence in the key principles). - **Past appearances:** **N23 Q1** (20 marks, 9/3/8): residence of an Anglo-Belgian parent before and after board changes (incorporation, CMC, **supplied treaty tie-breaker** using POEM), CT administration and a CFC finance company; generally good, but some candidates used the OECD Model instead of the **supplied article**, and some strayed into DPT and CIR. **N24 Q6** (10 marks): a non-UK company setting up in the UK by branch or subsidiary: PE, CMC, UK residence, when a non-resident is chargeable; very well answered when tied to the scenario. - **Style:** technical prose; apply each test in turn (incorporation, CMC, treaty, s 18) to the facts at each date; 0.5–1 mark per point. - **Traps:** saying a UK company becomes non-resident by moving its board; using the Model’s wording when an extract is supplied; treating board location as conclusive; forgetting s 18 makes treaty non-residence apply for **all** tax purposes.

In our invented case, TIL was dual resident before migrating: UK resident by CMC in Leeds; Ireland also treated it as resident; and the two competent authorities had agreed, before the story begins, that it was UK resident for treaty purposes. (This book does not discuss Irish domestic law.) When control moved to Dublin, TIL ceased to be UK resident under domestic law, and the authorities agreed it was Irish resident from the migration date.

What dual residence costs.

A company that stays UK resident while also resident abroad (because the tie-breaker favours the UK, or no treaty applies) is inside the UK charge, but Parliament is wary of it: a company taxed in two countries can sometimes deduct one expense in both, or use one loss twice. The rules target the **dual resident investing company** (DRIC), broadly a dual resident company that is not a trading company, or whose trade consists mainly of holding shares, making loans or similar group-finance activities.

Rule	Effect	Reference
Group relief	A dual resident company cannot surrender losses if it meets the DRIC conditions	CTA 2010 s 109
No gain, no loss	A DRIC cannot receive assets at no gain, no loss within a gains group	TCGA 1992 s 171(2)(d)
Group roll-over	Excluded where a DRIC would apply the proceeds	TCGA 1992 s 175(2)
Capital allowances	Connected-party succession elections (transfer at TWDV) and s 570 elections barred where a DRIC is involved	CAA 2001 s 266(1)(c), s 570(2)(b)
Branch exemption	While dual resident, a company cannot exempt PE profits in the territory in which it is treaty resident (HMRC’s view)	INTM287010; chapter 25

The examiners tested the DRIC group relief bar in **N24 Q2** (20 marks, group and consortium relief), and reported that it was missed.

In our invented case, TIL escaped all of this. It was a trading company (distributing valves and parts), so not a DRIC. While UK resident it could surrender and claim group relief (chapter 1) and receive assets at no gain, no loss. Its dual residence was a fact to manage: the tax function kept the competent authority agreement on file, reviewed board minutes each year, and made sure no Irish meeting quietly took a decision that belonged in Leeds.

SAO. The senior accounting officer rules turn on UK incorporation. TIL (Irish-incorporated) was never inside them, even while UK resident; its migration changes nothing on that front (chapter 4).

Leaving, and why leaving costs money.

When a company stops being UK resident, three things happen at once: its accounting period ends; the UK loses its claim to tax its future foreign profits and gains; and it may carry assets that grew in value while it was resident, untaxed because unrealised.

The AP ends (CTA 2009 s 10(1)(g); chapter 3). TIL's AP that began on 1 January GY4 ended on 30 June GY4. Its return for those six months is the migration return, and every exit charge falls into it.

Why exit charges. A resident company is taxed on worldwide gains when realised; if it could leave just before selling, gains built up during residence would escape. So departure itself is treated as a realisation. Picture a hotel guest who has been helping themselves from the minibar all week: the hotel presents the bill at checkout, not after the guest has finished the bottles at home. The rule: the company is treated as disposing of its assets at market value immediately before it leaves, and reacquiring them at that value.

The old group postponement is gone. TCGA s 187 let a company leaving as a 75% subsidiary of a UK-resident company jointly elect to postpone the gain on its foreign trading assets. It was **repealed by FA 2019 Sch 8 para 9**, where s 185 applies on a company ceasing to be UK resident **on or after 1 January 2020** (para 9(5)). For migrations since then, the gains charge can only be **paid** over time, under a payment plan, where the company qualifies.

Where today's rules come from. In *National Grid Indus BV* (C-371/10), decided by the Court of Justice in 2011, a Dutch company moved its place of effective management to the UK and the Netherlands taxed its unrealised gains at once. The Court held that a member state may fix the tax on gains accrued within its jurisdiction, but that immediate recovery was disproportionate; offering deferral, possibly with interest, would be acceptable [secondary sources; the judgment was not opened]. The UK introduced exit charge payment plans (FA 2013 Sch 49, inserting TMA Sch 3ZB) with effect from **11 December 2012** (CG13430). The EU Anti Tax Avoidance Directive then set a common model, and FA 2019 Sch 8 (made while the UK was still bound) turned the plans into fixed instalments over five years. Rules shaped by EU freedoms remain on the UK statute book in EU form: a post-Brexit oddity with a practical consequence (below).

The gains exit charge, and the land that waits.

TCGA 1992 s 185. When a company ceases to be UK resident it is deemed to dispose of **all its assets** at market value immediately before the relevant time and to reacquire them at that value (s 185(2); CG42370). Every chargeable asset is caught, wherever situated, unless excepted. Indexation runs only to December 2017 for assets held before then; losses on the deemed disposals are allowable in the ordinary way.

Rule	Detail	Reference
Excepted assets	Assets situated in the UK and used or held for a trade carried on through a UK PE after migration (they stay within the UK charge: chapter 23)	s 185(4)
Roll-over blocked	No roll-over from an asset disposed of before migration into an asset acquired after it, unless the new asset is a UK PE asset	s 185
Ceasing to exist	Is not ceasing to be resident: the charge is about departure, not death	s 185
Old postponement	s 187 repealed for migrations on or after 1 January 2020	FA 2019 Sch 8 para 9

UK land: s 187B. Since **6 April 2019** non-resident companies have been chargeable on gains on UK land and certain indirect interests in it (TCGA s 2B, Sch 1A; chapter 23). So there is no need to tax UK land at departure: the UK can tax it when it is sold. **TCGA s 187B** (substituted by FA 2019 Sch 1 para 67): where an interest in UK land is deemed disposed of under s 185(2), the gain or loss **does not accrue at migration**; on a later disposal of the whole or part of the interest, the postponed amount is treated as accruing then, **in addition to** the gain or loss on the actual disposal.

- **Automatic:** no claim.
- **Election out:** the company may elect to exclude a deemed disposal from s 187B **within 2 years** after the day of the deemed disposal (s 187B(5)–(6)). Reasons: a **loss** on the land that the company wants in its migration period against other gains, or capital losses available now to absorb the gain.
- **Two layers on a later sale:** base cost after migration = market value at migration (the s 185 reacquisition), so the actual gain measures post-departure growth and the postponed amount measures pre-departure growth. Together they equal the gain over original cost: nothing lost, nothing taxed twice.

Worked example 22.1: TIL's English warehouse (invented)

TIL bought the warehouse in GY1 for £3,000,000 and let it to an unconnected logistics company. Market value at migration (30 June GY4): £3,800,000.

£	
Deemed proceeds (s 185(2))	3,800,000
Cost	(3,000,000)
Indexation (acquired after December 2017)	nil
Deemed gain	800,000
Accruing at migration (s 187B)	nil (postponed)

Illustration only (not a story fact): suppose TIL later sells the warehouse for £4,500,000.

£	
Proceeds	4,500,000

£	
Base cost (market value at migration)	(3,800,000)
Actual gain	700,000
Postponed gain accruing on the same disposal (s 187B)	800,000
Total chargeable	1,500,000
Check: proceeds less original cost (4,500,000 – 3,000,000)	1,500,000

Had TIL elected out within two years, the £800,000 would have been taxed in the migration AP: CT at 25% of **£200,000**, eventually payable either way.

The other exits.

Gains are only one kind of value a departing company carries. Each income code has its own exit, and an AT answer lists them all. **N25 Q3** expected trading stock, machinery, derivatives, land and intangibles.

The trade: deemed cessation. When a company ceases to be within the charge to CT in respect of a trade, it is treated as permanently ceasing to carry it on (CTA 2009 s 41(2)). A company that migrates and keeps no UK PE is in exactly that position: its trade carries on in the real world, but for UK tax it has stopped.

Item	Exit rule	Reference
Trading stock	Valued under the cessation rules: unless sold to a person who carries on (or will carry on) a UK trade and can deduct the cost, brought in at the amount it would have realised on an open-market sale at cessation	CTA 2009 ss 41, 162
Plant and machinery	End of the qualifying activity is a disposal event (CAA s 61(1)(f), applied by s 577(2) where a company ceases to be within the charge, per HMRC OT42550); plant kept is brought in at market value; balancing charge or allowance in the final chargeable period; no WDA in that period	CAA 2001 ss 55, 61, 577
Intangible fixed assets	Deemed realisation and reacquisition at market value immediately before ceasing to be resident; credit = MV – TWDV	CTA 2009 s 859
Loan relationships	Deemed assignment and reacquisition at fair value immediately before ceasing to be resident; excludes items held for a UK PE, a UK land dealing or development trade, a UK property business or other UK property income	CTA 2009 s 333
Derivative contracts	As loan relationships, at fair value	CTA 2009 s 609

Item	Exit rule	Reference
Chargeable assets (including shares)	s 185 deemed disposal; for shares, test the SSE first (chapter 18): at least 10% needed	TCGA 1992 s 185; Sch 7AC

Trap (N25 Q3). The derivatives exit (s 609) is a fair value measurement on departure. It has nothing to do with the Disregard Regulations (chapter 12); the examiners reported that some candidates wrongly discussed them.

The pattern is simple. Every exit turns value accrued under UK jurisdiction into taxable profit, at market or fair value, on the last day of residence. A good answer walks through the balance sheet asset by asset, asking which code taxes each one and whether an exception keeps it in the UK.

Exam lens: migration exits. - Grade: migration of company (post 1 January 2020 only) **2 (non-core):** working knowledge plus the main computation. The gains exit (s 185) also sits within “non-resident and dual resident companies” **1 (core).** - **Past appearance:** N25 Q3 (15 marks): residence tests; exit charges on deemed disposal, trading stock, machinery, derivatives, land and intangibles; **UK land automatically postponed** (the land in the question had been acquired after 5 April 2019); payment plans; notice and statement to HMRC and penalties. Common errors: **missing the automatic land postponement**, wrongly discussing the Disregard Regulations, and weak administration and payment plan detail. - **Layout:** a schedule of assets (book value, market value, exit amount, code, plan-eligible?), then the CT for the migration AP, then CT1 – CT2. - **Traps:** citing s 187 postponement (repealed); taxing UK land at migration; forgetting stock and plant (the deemed cessation); forgetting that the AP ends on migration; offering a payment plan to a UK-incorporated company.

Tarnmoor Ireland’s last six months.

Worked example 22.2: TIL’s migration AP, 1 January – 30 June GY4 (invented)

Ordinary trading profit for the six months: £1,200,000. (The warehouse’s net rental profit for the six months is ignored for simplicity.) TIL owed TPLC £20m, interest free and repayable on demand: a loan repayable on demand is worth its face value, so s 333 gives no credit or debit. TIL had no derivatives.

Exit schedule (immediately before the end of 30 June GY4)

Asset	Book / tax value £	Market value £	Exit amount £	Rule	In CT1 – CT2?
Trading stock	1,100,000	1,400,000	300,000	CTA 2009 ss 41, 162	Yes
Customer list (bought GY2; no debits, s 879I; TWDV = cost)	3,000,000	4,200,000	1,200,000	CTA 2009 s 859	Yes

Asset	Book / tax value £	Market value £	Exit amount £	Rule	In CT1 – CT2?
8% of an unconnected Irish distributor (bought GY1; no SSE; no indexation)	900,000	1,500,000	600,000	TCGA s 185	Yes
Plant and machinery pool	400,000	500,000	100,000 (balancing charge)	CAA ss 61, 577	No (not an exit charge provision)
UK warehouse (bought GY1)	3,000,000	3,800,000	800,000 postponed	TCGA ss 185, 187B	n/a (does not accrue now)
£20m loan from TPLC (on demand)	20,000,000	20,000,000	nil	CTA 2009 s 333	n/a

CT computation, AP 1 January – 30 June GY4

£	CT1 (actual)	CT2 (ignoring exit provisions)
Trading profit	1,200,000	1,200,000
Stock uplift on deemed cessation (s 162)	300,000	—
Customer list realisation credit (s 859)	1,200,000	—
Balancing charge (CAA)	100,000	100,000
Trading profits	2,800,000	1,300,000
Chargeable gain: Irish shares (s 185)	600,000	—
Chargeable gain: warehouse (s 187B)	nil	nil
Taxable total profits	3,400,000	1,300,000
CT at 25%	850,000	325,000
Qualifying CT for a payment plan (CT1 – CT2)	525,000	

Of the £325,000, £300,000 is tax on the ordinary trading profit and £25,000 on the balancing charge.

Instalments. TIL is very large for this AP: the threshold is $\text{£}20,000,000 \div 10$ (QIP divisor for the 31 December companies in GY4: chapter 3) $\times 6/12 = \text{£}1,000,000$, and its profits are £3,400,000. For a six-month AP ending on the last day of a month, HMRC's manual (CTM92815; chapter 3) puts instalments on **14 March** and **14 June GY4**. The sources checked for this book do not say how the instalment regime treats tax that is then deferred under a Sch 3ZB plan; a tax function would agree the position with HMRC as part of the s 109B arrangements.

Look at where the tax comes from. Only £325,000 relates to the ordinary trading profit and the balancing charge; £525,000 is tax on value never turned into cash. The stock is still on the shelves, the customer list is still in use, and the shares are unsold. That cash problem is the reason payment plans exist.

Settling up before you go.

A company that has left the UK is hard to chase: its assets, directors and bank accounts may all be abroad. So TMA 1970 ss 109B–109F require a migrating company to settle its affairs **before** it leaves.

Conditions A–D (s 109B), all to be met before the company ceases to be UK resident:

Condition	Requirement
A	Notice to HMRC of the company’s intention to cease to be UK resident
B	The notice specifies the migration time
C	A statement of the tax payable for periods beginning before the migration time, with details of the arrangements proposed for securing payment (which may include a proposed CT exit charge payment plan)
D	Arrangements for securing payment made and approved by HMRC (disapplied to the extent payment is secured by a Sch 3ZB plan)

Disputes over the amount in the statement go to the tribunal, whose decision is final; an approval is **void** if information was not fully disclosed.

“**Tax**” (s 109F) includes CT, PAYE and CIS deductions the company should have made, income tax deductible under ITA 2007 ss 946 and 966, and amounts under s 77C, with interest on all of them.

Penalties and recovery:

Provision	Effect
s 109C	Company migrating without meeting A–D: penalty up to the unpaid tax for pre-migration periods
s 109D	Any person who knowingly takes part (directors; controlling companies and their directors) liable to a penalty of the same maximum; directors presumed party unless they show otherwise; professional advisers acting only as advisers excluded
s 109E	Tax unpaid 6 months after it is payable (under the plan, if any): HMRC may, within 3 years of a relevant time (broadly when the tax is finally determined, with a plan-based rule where a payment plan exists), serve notice on companies in the migrating company’s 51% group in the 12 months before migration and on controlling directors of the migrating company or of a company controlling it, who must pay within 30 days ; they may recover from the migrating company; the payment is not deductible

So migration is a group event: TPLC and TEL would be first in line if TIL failed to pay.

Worked example 22.3: TIL’s timetable (invented)

Date	Step
1 March GY4	s 109B notice: intention to cease UK residence; migration time the end of 30 June GY4; statement of tax for periods to that date; proposed security: a Sch 3ZB plan for the qualifying CT, and the rest paid on the ordinary timetable with a TPLC guarantee for anything outstanding
May GY4	HMRC approves the arrangements (condition D)
14 March, 14 June GY4	Instalments for the migration AP (very large company)
End of 30 June GY4	Migration time: board reconstituted in Dublin; AP ends; exit charges arise
1 July GY4	New AP begins: TIL non-resident, within CT on its UK property business
By 31 March GY5	Last day to apply for the plan (within 9 months after the end of the migration AP)
1 April GY5 to 1 April GY10	Six plan instalments of £87,500, plus interest
By 30 June GY6	Last day to elect out of s 187B (2 years after the deemed disposal); TIL does not elect

Paying over six years.

TMA 1970 Sch 3ZB (inserted by FA 2013 Sch 49; amended by FA 2019 Sch 8 Part 1, which replaced the old payment paragraphs 11–17 with a single six-instalment rule).

Feature	Rule	Reference
Eligible company	Has freedom of establishment under TFEU Article 49 or EEA Agreement Article 31 ; ceases to be UK resident and becomes resident in a relevant state (an EU member state, or an EEA state with recovery assistance equivalent to Directive 2010/24/EU); carries on business there; not treaty-resident outside it	para 1
Qualifying tax	CT1 – CT2 : CT for the migration AP less CT computed ignoring the exit charge provisions (TCGA s 185; CTA 2009 s 162 via s 41(2)(b); s 333; s 609; s 859). Capital allowances are not on the list, so tax on a balancing charge is outside	para 2
Application	Within 9 months after the end of the migration AP, with the required details; security may be required where there is a	paras 1(4), 8

Feature	Rule	Reference
	serious risk to collection; void for non-disclosure	
Payment	Six equal instalments: the first on the day after the end of the 9 months following the migration AP; the others on the next 5 anniversaries	para 11
Interest	Runs as if there were no plan; late payment penalties only for missing plan dates	—
Acceleration	Whole balance due at the next instalment date on insolvency, administration, liquidation (or foreign equivalents), ceasing to be resident in a relevant state, or 12 months' non-payment; tax on a particular asset accelerated on its disposal (partly on a part disposal)	paras 12–14
Realisation method	Removed for APs ending on or after 1 January 2020 (FA 2019 Sch 8 para 6(6)); CTM34133–CTM34134 still describe it and are out of date	—

Who can use it after Brexit? HMRC's view (CTM34132) is that eligible companies are those **incorporated in an EU or EEA member state** that become resident in another such state. A UK-incorporated company no longer has Article 49 TFEU rights, so in practice it cannot use a plan (the book's reading of para 1 with CTM34132). The UK's own companies are shut out of a relief that still exists in UK law. legislation.gov.uk shows unapplied effects on Sch 3ZB; check the current text before relying on the detail.

Worked example 22.4: TIL's payment plan (invented)

TIL is incorporated in Ireland (an EU member state) and becomes resident in Ireland, where it carries on its business: an eligible company.

£	
CT1	850,000
CT2	(325,000)
Qualifying CT	525,000
Six equal instalments ($525,000 \div 6$)	87,500 each
Due dates	1 April GY5, GY6, GY7, GY8, GY9 and GY10
Outside the plan: CT on the balancing charge ($100,000 \times 25\%$)	25,000

Interest runs on each instalment as if there were no plan. The plan defers the cash, not the cost of money.

Exam lens: notice, security and payment plans. - **Grade:** within migration 2 (**non-core**). - **N25 Q3** rewarded: notice before migration (conditions A–D), the statement and security, penalties on company and directors, recovery from group companies, and the plan (eligibility, CT1 – CT2, 9 months, six equal annual instalments, interest, acceleration). The examiners found administration and plan detail weak. - **Traps:** treating the plan as a postponement of the charge (it defers payment; interest runs); applying it to a UK-incorporated company or a migration outside the EU/EEA; putting capital allowances balancing charges into CT1 – CT2; describing the realisation method; forgetting personal exposure of directors.

After the move, and what the examiner looks for.

From 1 July GY4 TIL is a non-resident company. A new AP begins at once, because it remains within the charge to CT, but only on its UK property business (the warehouse rents) and, in time, on the warehouse gain including the postponed £800,000 (CTA 2009 s 5; TCGA s 2B; chapter 23).

Regime	Effect of migration	Chapter
Group relief	Without a UK PE, TIL can no longer surrender or claim	15
Gains group	TIL stays a member (non-resident companies count); no gain, no loss transfers only for assets within the UK charge	17
Transfer pricing	The £20m interest-free loan from TPLC no longer meets the UK-to-UK exemption (TIOPA 2010 s 164A): full Part 4	2, 27
CFC rules	TIL becomes a CFC	26
SAO	No change (never in: Irish-incorporated)	4

Going further: the tax function’s migration project. 1. **Months ahead:** test whether control will really move; rebuild the board; document the decision-making protocol. 2. **Valuation:** value every asset at the migration time (stock, intangibles, shares, plant, land, loans, derivatives); market values drive every exit. 3. **Model:** CT1, CT2, the plan, interest, and whether to elect out of s 187B within 2 years. 4. **Notice:** give s 109B notice, statement and proposals early enough for approval before the migration time; disclose fully (approval is void otherwise). 5. **Exposure:** brief directors on s 109D and the group on s 109E. 6. **Timing:** migrating when values are low reduces the exit charge; losses or reliefs available in the migration AP can absorb it. 7. **After:** register the new AP; set up transfer pricing documentation and the CFC review; update the group relief and gains group maps.

Ethics. Residence can be argued either way on borderline facts. An adviser should not help a board “paper” a move of control that has not happened (*Development Securities*), and should make sure the s 109B statement discloses fully.

How the examiner tests it. Residence questions (N23 Q1; N24 Q6) reward applying incorporation, CMC, the supplied tie-breaker and s 18 to the facts at each date. Migration questions (N25 Q3) reward a full exit schedule, the land postponement and

detailed administration. The trap runs both ways: in **M26 Q5** (a UK company's first overseas construction contract) many candidates wrongly discussed residence or migration of the UK company in a question about a foreign PE, and earned nothing for it. Answer the requirement asked.

What to take away.

- **Residence:** UK incorporation (CTA 2009 s 14) or CMC in the UK. CMC is the highest level of control, usually the board acting as a board; a question of fact.
- **Boards:** influenced but deciding keeps control (*Wood v Holden* [2006]); bypassed loses it (*Unit Construction* [1960]); rubber-stamping uncommercial decisions really taken by the parent loses it (*Development Securities* [2020]).
- **Treaties:** a UK company cannot leave by moving its board; it is non-resident only if a treaty tie-breaker makes it resident elsewhere (s 18). Older treaties: POEM; MLI Article 4 (including UK–Ireland, from 1 April 2020 for UK CT): competent authority agreement. DRICs cannot surrender group relief or receive no gain, no loss transfers.
- **Exit:** the AP ends; TCGA s 185 deems disposal and reacquisition at market value of all assets except UK PE assets; s 187 postponement repealed (migrations from 1 January 2020); UK land postponed automatically under s 187B unless the company elects out within 2 years; stock (ss 41, 162), plant (balancing adjustments), intangibles (s 859), loans (s 333) and derivatives (s 609) all exit at market or fair value.
- **Before leaving:** notice, migration time, statement and approved security (TMA s 109B); penalties up to the unpaid tax (ss 109C–109D); recovery from 51% group companies and controlling directors (s 109E).
- **Plans:** an eligible company moving to an EU/EEA state pays CT1 – CT2 in six equal annual instalments with interest, applying within 9 months; in practice not available to UK-incorporated companies.
- **TIL:** TTP £3.4m; CT £850,000; plan £525,000 = 6 × £87,500 from 1 April GY5; warehouse gain £800,000 postponed.

So where does a company live? Where its mind is, unless it was born here. And how does it leave? Only by paying for what it takes with it.

TIL now has a UK foothold as a non-resident. Chapter 23, on inbound companies, permanent establishments and withholding, asks what the UK taxes when a foreign company does business here.

Key rules and figures

Topic	Rule or figure	Reference
Incorporation test	UK-incorporated = UK resident	CTA 2009 s 14
CMC	“where the central management and control actually abides”	<i>De Beers</i> [1906] AC 455
HMRC practice	Board meetings important but not necessarily conclusive	SP 1/90 (INTM120200)
Treaty non-residence	Non-resident for all purposes if treaty-resident elsewhere; from 30 November 1993	CTA 2009 s 18
MLI Art 4	Competent authority agreement; UK–Ireland, UK CT from 1 April 2020	MLI; synthesised text

Topic	Rule or figure	Reference
DRIC	No group relief surrender; no NGNL receipt; no group roll-over; CAA elections barred	CTA 2010 s 109; TCGA ss 171(2)(d), 175(2); CAA ss 266, 570
AP ends	On ceasing to be UK resident	CTA 2009 s 10(1)(g)
Gains exit	Deemed disposal and reacquisition at MV; UK PE assets excepted	TCGA s 185
s 187	Repealed for migrations on or after 1 January 2020	FA 2019 Sch 8 para 9
UK land	Postponed to actual disposal; election out within 2 years	TCGA s 187B
Other exits	Stock (MV on cessation), plant (balancing adjustment), intangibles (MV), loans and derivatives (FV)	CTA 2009 ss 41, 162, 859, 333, 609; CAA ss 61, 577
Notice	Conditions A–D before migration	TMA s 109B
Penalties	Up to unpaid tax (company; knowing participants)	TMA ss 109C, 109D
Recovery	6 months unpaid; 3-year limit; 51% group and controlling directors; 30 days	TMA s 109E
Payment plan	CT1 – CT2; apply within 9 months; 6 equal annual instalments; interest	TMA Sch 3ZB
TIL (invented)	TTP £3,400,000; CT £850,000; CT2 £325,000; plan £525,000 (6 × £87,500, 1 April GY5–GY10); warehouse £800,000 postponed	invented (story)

Statutory and case references

Statute: CTA 2009 ss 5, 10(1)(g), 14, 18, 41, 162, 333, 609, 859; CTA 2010 s 109; TCGA 1992 ss 2B, 171(2)(d), 175(2), 185, 187 (repealed), 187B, Sch 1A, Sch 7AC; CAA 2001 ss 55, 61, 266, 570, 577; TMA 1970 ss 109B–109F, Sch 3ZB; FA 2013 Sch 49; FA 2019 Sch 1 para 67, Sch 8 paras 6, 8, 9; TIOPA 2010 s 164A; Multilateral Instrument Art 4.

HMRC guidance: INTM120200 (SP 1/90), INTM120150, INTM120185, INTM153050, INTM154050, INTM287010; CTM34130, CTM34132, CTM34133–CTM34134; CTM92815; CG13430, CG42370; OT42550.

Cases: - *De Beers Consolidated Mines Ltd v Howe* [1906] AC 455 (HL) - *Unit Construction Co Ltd v Bullock* [1960] AC 351 (HL) - *Wood v Holden* [2006] EWCA Civ 26 - *HMRC v Smallwood* [2010] EWCA Civ 778 - *HMRC v Development Securities plc* [2020] EWCA Civ 1705 - *National Grid Indus BV v Inspecteur van de Belastingdienst* (C-371/10), Court of Justice, 2011 (secondary sources)

Chapter twenty-three: Inbound: non-resident companies, permanent establishments and withholding

On 18 March 2026, Finance Act 2026 received Royal Assent. Buried in its Schedule 7 was a new sentence for the Corporation Tax Act 2010. It concerned the person who works in the UK for a foreign company. Under the old wording, that person created a taxable presence only if they had, and habitually exercised, “authority to do business on behalf of the company”. Under the new wording, it is enough that they “habitually conclude contracts, or habitually play the principal role leading to the conclusion of contracts that are routinely concluded without material modification by the company” (CTA 2010 s 1141(1)(b), as substituted by FA 2026 Sch 7).

Read that again slowly, because it is the heart of this chapter. A person who never signs anything can now give a foreign company a permanent establishment (PE) in the UK. The person who closes the deal matters more than the person who holds the pen.

This chapter is about companies that are not resident here but do business here. What does the UK tax them on? When does their activity here become a PE? How are profits attributed to it? Who answers for the tax? And, from the other side of the payment, when must a UK company deduct income tax from interest or royalties it pays to someone abroad? On the LCG grid, “company residence and chargeable profits of non-UK resident companies and concept of permanent establishment/branch”, “non-resident and dual resident companies” (gains), CTA 2010 Part 22 (Chs 5–7 here) and “deduction of income tax” are all **core (grade 1)**. The chapter builds on *The Living Law* (TKS), chapter 26, which introduced residence, PEs and the branch.

Statutes: Corporation Tax Act 2009 (CTA 2009), Corporation Tax Act 2010 (CTA 2010), Taxation of Chargeable Gains Act 1992 (TCGA 1992), Taxation (International and Other Provisions) Act 2010 (TIOPA 2010) and Income Tax Act 2007 (ITA 2007) Part 15. We apply the law for **FY2026**, and **2026/27** for income tax points.

What the UK taxes on a foreign company

A UK-resident company pays corporation tax on its profits wherever they arise. A company resident elsewhere pays only where it has a link to the UK that the law recognises. Think of it as a footprint. The UK taxes a foreign company only where it has left a footprint here, and since 2026 the law also counts footprints made by others walking on its behalf.

CTA 2009 s 5 lists the footprints. A non-UK resident company is within the charge to CT only if it:

Head	Since
Carries on a trade of dealing in or developing UK land	5 July 2016 (with CTA 2010 Part 8ZB)
Carries on a trade in the UK through a UK PE	long-standing (s 19)
Carries on a UK property business	6 April 2020 (FA 2019 Sch 5)
Has other UK property income	6 April 2020

Head	Since
Loan relationship and derivative profits of that property business (s 5(3A)–(3B))	6 April 2020

Notice what is missing. A foreign company that sells to UK customers from abroad, with no PE here and no UK land, is not within CT on its trading profits at all. Trading **with** the UK is not trading **in** the UK through a PE.

For the PE head, **s 19 CTA 2009** charges the trading income arising directly or indirectly through or from the PE, plus income from property or rights used by or held by it, attributed under ss 20–24 (the cross-reference changed from “20 to 32” by FA 2026 Sch 7 for chargeable periods beginning on or after 1 January 2026). Land dealing and property income are charged under their own heads (s 19(2A)), not as PE profits.

Gains follow a parallel map in **TCGA 1992 s 2B**:

- **UK PE assets (s 2B(3))**: gains on assets situated in the UK, used for the PE’s trade or held by it, attributable to the PE under CTA 2009 ss 20 and 24 (wording amended by FA 2026 Sch 7 para 28).
- **UK land (s 2B(4))**: since **6 April 2019**, gains on interests in UK land, whether or not the company has a PE.
- **Indirect disposals (s 2B(4), Sch 1A)**: assets deriving **at least 75%** of their (gross) value from UK land (“UK property rich”), where the company has a **substantial indirect interest**. HMRC’s manual explains that this means holding **at least 25%**, at some time in the **two years** before the disposal, with connected persons’ interests attributed (CG73934, CG73936). There is a trading exemption where the land is used in a qualifying trade.
- **FA 2026 s 40**: each cell of a protected cell company is treated as a separate company for the Sch 1A 75% test, for disposals on or after 26 November 2025.

In our invented case. Tarnmoor plc is a listed engineering group; every company, person and number in it is invented for teaching. Two of its companies test the footprint rules in this chapter: **Tarnmoor Vallaria SA (TVS)**, resident in the invented country of Vallaria; and **Tarnmoor Ireland Ltd (TIL)**, which ceases to be UK resident on **30 June GY4** (chapter 22) but still owns a warehouse in England.

A fixed place of business

CTA 2010 s 1141(1) gives two routes to a PE in a territory:

1. **(a) the fixed place limb**: “a fixed place of business there through which the business of the company is wholly or partly carried on”; and
2. **(b) the agent limb** (next section).

s 1141(2) lists fixed places: a place of management; a branch; an office; a factory; a workshop; an installation for exploring natural resources; a mine, well or quarry; and **a building site or construction or installation project**.

On the usual reading, three ideas sit inside “fixed place of business”: a **place** (which may be modest, even floor space in someone else’s premises); **fixed** (a link to a location with some permanence); and the company’s **business carried on through it** (usually meaning the place is at the company’s disposal and its business is done there). Since FA 2026, s 1140A directs that the PE chapter be read consistently with Article 5 of the OECD Model and its Commentary, so the Commentary’s account of these ideas now shapes the UK reading.

The domestic list sets no time limit for a building site. Treaties usually do: under Article 5(3) of the OECD Model a building site or construction project is a PE only if it lasts **more than 12 months**. Under the domestic list, whether a short site is “fixed” is a question of degree (the book’s reading: s 1141(2) contains no duration test). Where a treaty applies, its time limit protects the foreign company. In **M26 Q5** (20 marks) a construction PE turned on the 12-month test.

The subsidiary misconception. A UK subsidiary is **not** a PE of its foreign parent merely because the parent controls it (HMRC, INTM153060, following the OECD Model). The subsidiary is a separate taxpayer. But a subsidiary **can** be the parent’s dependent agent on the facts. Control alone proves nothing; conduct can prove a great deal.

And the examiners’ complaint. In **N25 Q2**, some candidates treated a PE as a separate legal entity. It is not. A PE is part of the foreign company: no shares, no directors, no separate legal personality. The law treats it *as if* it were a separate enterprise when attributing profits (s 21 CTA 2009), but that is a measuring hypothesis, not the law of persons.

The agent who never signs

Why the agent limb was rewritten

For decades, s 1141(1)(b) asked whether “an agent acting on behalf of the company has and habitually exercises there authority to do business on behalf of the company” (wording to 31 December 2025). In practice that pointed at the power to conclude contracts. Groups learned to live just outside it: a local company (often a group company) found the customer, negotiated the price and agreed the specification, then sent the contract abroad for signature. The foreign company signed; the local company earned a modest fee; the sales profit and the taxing right stayed abroad.

The international response came through the OECD/G20 base erosion and profit shifting (BEPS) project. The **Action 7** report (October 2015), “Preventing the Artificial Avoidance of Permanent Establishment Status”, targeted commissionaire arrangements and similar strategies and proposed the “principal role” wording for Article 5(5), with a narrower independent agent exception in Article 5(6) (commentators’ summaries; the OECD report was not opened: oecd.org is blocked). The UK’s first answer was **unilateral**: the diverted profits tax (DPT) of 2015 had an “avoided PE” limb. DPT is repealed for accounting periods beginning on or after 1 January 2026 (chapter 30). The second answer is the new statutory wording, which brings the dependent agent test inside CT.

The new test

For **chargeable periods beginning on or after 1 January 2026** (FA 2026 s 49, Sch 7 paras 12, 30), a company has a PE in a territory if:

a person acting on behalf of the company in the territory **habitually concludes contracts**, or **habitually plays the principal role leading to the conclusion of contracts that are routinely concluded without material modification by the company**,

and the contracts are:

- i. for the **transfer of ownership of, or the granting of the right to use, property** owned by the company or that it has the right to use; or
- ii. for the **provision of services** by the company.

Phrase	What it asks
Acting on behalf of the company	Is the person doing the company's business rather than its own?
Habitually	Repeatedly, as a pattern, not once
Principal role	The role that actually closes the deal: persuading the customer, settling terms, agreeing price
Routinely concluded without material modification	Is the foreign company's signature a formality? If head office regularly rewrites deals, no; if it signs what arrives, yes
Contract types (i) and (ii)	Sales or licences of the company's property, or its services

Commencement (labelled real-calendar examples)

Foreign company's year end	Period	Test
31 December	1 January 2025 – 31 December 2025	Old wording
31 December	from 1 January 2026	New wording
30 June	1 July 2025 – 30 June 2026	Old wording (began before 1 January 2026)
30 June	from 1 July 2026	New wording

The same date governs the attribution rewrite (ss 20–21) and the closely related rule. The Tarnmoor story's periods are simply treated as falling under the new law.

The purpose clause

CTA 2010 s 1140A (FA 2026 Sch 7 para 11) requires the PE chapter to be read consistently with Article 5 of the OECD Model Tax Convention and its Commentary as approved by the OECD Council on **18 November 2025**. So when you meet “principal role”, the Commentary on that phrase is now part of how the UK statute is read (chapter 2). Whether s 1140A's reference is “as amended from time to time” (as ss 20 CTA 2009 and 164 TIOPA are) was not confirmed. **Proposed, not law:** the draft Finance Bill 2026-27 (13 July 2026) would amend s 1140A further as part of reform of the foreign PE exemption (chapter 2).

Independent agents and the closely related rule

s 1142(1) CTA 2010: a company does not have a PE merely because it carries on business through an **agent of independent status acting in the ordinary course of its business**. A broker, general commission agent or freight forwarder serving many clients is the classic case.

s 1142(1A)–(1B) (FA 2026 Sch 7 para 13): a person is **not** of independent status if it is **closely related** to the company **and** acts **exclusively or almost exclusively** on behalf of the company (or it and other companies to which it is closely related). A group sales company working only for its sister companies cannot use the exception, however separate its board and books.

“Closely related” (s 1143(2CA), replacing former (2D); FA 2026 Sch 7 para 14): on all the relevant facts and circumstances, one person has control of the other, or both are under the control of the same person or persons; the definition also includes the 50% investment condition linked to TIOPA 2010 s 259ND. In a wholly owned group, every company is closely related to every other.

For agents outside the group, the usual factors still matter: legal and economic independence; whether the agent bears its own entrepreneurial risk; whether it acts for several principals; the degree of detailed instruction and control. A commission agent with fifty clients who loses money when sales fall is independent; a one-client agent whose diary is set by the principal looks dependent, group or no group.

The common exam pattern. A UK group company works almost entirely for a foreign group company. It cannot be independent. The only questions are whether it habitually concludes contracts, or plays the principal role leading to contracts routinely concluded without material modification, and whether a treaty prevents the charge.

Preparatory, auxiliary and the fragmentation trap

s 1143(1)–(3) CTA 2010: no PE where the activities, **viewed in relation to the business as a whole**, are **only** of a preparatory or auxiliary character. Examples in the statute: facilities for storage, display or delivery of the company’s goods; a stock of goods for storage, display or delivery, or for processing by another person; purchasing goods or collecting information for the company.

Two words carry the weight: “only” and “as a whole”. An activity that is an essential and significant part of the company’s business is not auxiliary even if it is on the list: a company whose business **is** warehousing cannot call its warehouse auxiliary.

Anti-fragmentation (s 1143(2A)–(2C), added by FA 2019 s 21). The exception does not apply where the activities carried on by the company, or by a closely related person, at the same place or at another place in the same territory, are **complementary functions that form part of a cohesive business operation**, and either:

- the **combination** of activities is not merely preparatory or auxiliary; or
- one of the places is already a PE of the company or of the closely related person.

Worked example 23.1 (labelled hypothetical, not story): a parts store

Suppose TVS rented a small unit near Leeds to hold spare valve parts for delivery to UK customers.

Step	Analysis
Fixed place?	Yes: a unit at TVS’s disposal, through which part of its business (storage and delivery) is carried on
Preparatory or auxiliary alone?	Storage and delivery of the company’s goods are listed examples; on their own, auxiliary
Anti-fragmentation?	Suppose TEL (closely related) services and repairs the same valves for the same customers. If store and servicing are complementary functions in one cohesive operation of supplying and maintaining the valves, and the combination is more than preparatory or auxiliary, the exception is lost

Step	Analysis
Result	A fixed place PE of TVS (subject to any treaty)

Exam lens: the PE definition - Grade: company residence and chargeable profits of non-UK resident companies and concept of PE/branch, **core (1)**. - **Past appearances:** **N25 Q2** (15 marks, 6/9): PE analysis of four contracts (an independent agent, a preparatory or auxiliary activity, **anti-fragmentation**, a construction contract under 12 months) and the UK consequences of a PE. Examiners: few cited anti-fragmentation; some treated a PE as a separate legal entity. **N24 Q6** (10 marks): a non-UK company setting up in the UK (PE, CMC, residence, chargeability): very well answered when tied to the scenario. **M26 Q5** (20 marks): a construction PE abroad (the outbound mirror; chapter 25). - **Style:** technical prose, 0.5–1 mark per point; apply each limb to each fact. - **Traps:** treating a PE as a separate legal entity; forgetting anti-fragmentation where a group company works in the same country; applying the domestic test and stopping (check the supplied treaty); applying the 2026 wording to a period beginning before 1 January 2026; discussing residence or migration in a PE question (M26 Q5, N25 Q2). - **Check the 2027 grid** when published: FA 2026’s rewrite makes this row likely to be examined.

Domestic law meets the treaty

Most foreign companies trading here are resident in a treaty country. Where the two disagree, **the treaty wins**: TIOPA 2010 s 6 gives treaty arrangements effect, generally in priority to domestic law. Under **Article 7** of a treaty in OECD form, business profits of an enterprise of one state are taxable only there unless it carries on business in the other state through a PE situated there; and the treaty’s own **Article 5** decides what a PE is. HMRC’s manual: where a treaty applies, its PE article governs whether the UK may tax the business profits (INTM153060, INTM153080; see also INTM264200 on domestic law and treaty law).

The new domestic agent test can be **wider** than the treaty test. A treaty has the principal role wording only if the two states put it there, by a new treaty or through **Article 12 of the Multilateral Instrument (MLI)**. The UK did not take up Article 12: the HMRC synthesised text of the **UK–Ireland** treaty and MLI shows Article 12 does not apply there (**V**), and commentators report that the UK reserved on the whole article (**secondary**). So many UK treaties keep the older wording: an agent creates a PE only if it “has, and habitually exercises, an authority to conclude contracts in the name of the enterprise”.

The three-step routine.

Step	Question	Source
1	Domestic: fixed place or dependent agent; any exception (independent agent, preparatory or auxiliary, subject to anti-fragmentation)?	CTA 2010 ss 1141–1143
2	Treaty: is there a PE under the treaty’s Article 5? Use the supplied extract , not your memory of the Model	Treaty; TIOPA s 6

Step	Question	Source
3	The UK taxes business profits only if both answers are yes	Art 7

In **N23 Q1** the examiners noted that some candidates ignored the supplied treaty article and used the OECD Model text instead.

Where there is **no treaty**, step 1 is the whole answer. Marrovia (invented) has no UK treaty. A Marrovian company whose UK sister company habitually played the principal role in its sales would have a UK PE, full stop.

Tarnmoor Vallaria's UK customers

In our invented case (GY4). TVS starts selling Ashlar valves directly to large UK water and energy utilities. The valves are made in Vallaria under the patent licence from Calder (chapter 11). TVS has no UK office, warehouse or staff. TEL's key-account engineers, based in Leeds, visit the customers, scope each job, propose the specification and negotiate the price. When the customer agrees, they send a completed contract to TVS's office in Vallaria, where it is signed. In the first six months nobody in Vallaria changes a commercial term. TVS pays TEL a service fee for the engineers' time, priced under the TP rules (chapter 27).

Worked example 23.2: Tom Hesketh's PE memo (GY4)

Test	Facts	Conclusion
Fixed place (s 1141(1)(a))	Leeds offices are TEL's, not at TVS's disposal	No
Acting on behalf of TVS	Engineers sell TVS's valves	Yes
Habitually	Every utility deal	Yes
Principal role	Engineers settle specification and price	Yes
Routinely concluded without material modification	TVS signs unchanged	Yes
Contract type	Transfer of ownership of goods TVS owns	(i) met
Independent agent (s 1142)?	TEL is closely related (common control by TPLC) and acts almost exclusively for the group in this market (s 1142(1A))	Not independent
Domestic result		UK PE of TVS (s 1141(1)(b))
Treaty Art 5 (invented UK–Vallaria treaty: older agent wording)	Engineers have no authority to conclude contracts in TVS's name; contracts signed in Vallaria	No treaty PE
Answer	Art 7: UK may not tax TVS's business profits	No UK CT for TVS

Going further: why the board still changes the model. A conclusion resting on a treaty is only as safe as the treaty and the facts. Treaties are renegotiated; facts drift (an engineer given signing authority, or contracts routinely signed in Leeds); a principal purpose test, where a treaty has one, can deny treaty benefits (chapter 24); and the board must consider how the arrangement looks in Vallaria and under the group's published tax strategy (chapter 4). **From 1 January GY5, TEL becomes a buy-sell distributor:** it buys Ashlar valves from TVS and sells to the utilities in its own name. That replaces a PE question with a TP question about the distributor's margin (chapter 27).

The misconception. "A foreign company selling into the UK through a group company's sales team cannot have a UK PE, because the team works for a different company and nobody here signs." Before 2026 this was close to the truth. Since then the **principal role** test makes signing irrelevant, and the **closely related** rule makes the separate company irrelevant. Only a treaty with the older wording now stands between the foreign company and a UK charge.

Going further: the tax function's checklist for inbound sales models.

- Map every foreign group company selling into the UK and who does what: who finds, negotiates, prices, signs.
- **Contract conclusion protocols:** if the foreign company genuinely negotiates and modifies terms, document it; if it rubber-stamps, assume the domestic test is met.
- Choose the model deliberately: **buy-sell distributor** (UK profit in the UK company, TP on the margin), **service provider/agent** (PE risk under the 2026 test), **commissionaire** (the arrangement Action 7 targeted).
- Check each relevant treaty's Article 5 (older or newer agent wording; construction thresholds; any PPT).
- Revisit on any change of facts and at each year end; record conclusions in the TP records (chapter 27). Where a PE exists, a non-resident must notify chargeability and file returns.

Attributing profit to a permanent establishment

Suppose the treaty had not protected TVS. What profit would the UK tax?

CTA 2009 s 21 (as reworded by FA 2026 Sch 7 para 5): the profits the PE "might be expected to make" if it were "a separate and independent enterprise engaged in the same or similar activities under the same or similar conditions", taking into account the **functions performed, assets used and risks assumed** through the PE and through the rest of the company. The PE is assumed to have the **same credit rating** as the company and the **equity and loan capital** it could reasonably be expected to have (s 21(2)).

CTA 2009 s 20(1A)–(1E) (substituted by FA 2026 Sch 7 para 4): ss 21 and 24 are to be read consistently with Article 7(2) of the OECD Model (approved 18 November 2025) and its Commentary, the **2010 Report on the Attribution of Profits to Permanent Establishments** (22 July 2010), the **Transfer Pricing Guidelines 2022** and the **March 2018 Additional Guidance**, as amended from time to time, subject to UK reservations, with a Treasury regulation power.

The authorised OECD approach (AOA), as HMRC's manuals describe it (for example GIM10210; INTM450021 on PE records):

1. **Step 1: functional and factual analysis.** Hypothesise the PE as a separate enterprise; attribute functions, assets, risks and capital by reference to where the **people functions** that manage them are performed.

2. **Step 2: pricing.** Price the dealings between the PE and the rest of the enterprise at arm's length, applying TP methods by analogy.

Trap: repealed sections. FA 2026 Sch 7 paras 6–8 **omitted CTA 2009 ss 22–23 and 25–32** for chargeable periods beginning on or after 1 January 2026: s 22 (transactions treated as arm's length), s 23 (goods and services provided to the PE), ss 25–28 (non-UK banks), **s 29 (allowable deductions)** and **ss 30–32 (restrictions, including s 32 on interest and financing costs)**. Citing “s 29” or “s 32” for a 2027 exam answer is quoting repealed law. s 24 remains.

A live debate: dependent agent PEs. One view: once the agent is paid an arm's length fee, nothing more is left for the PE. The other view, which commentators report the OECD's later work favours, looks at what the agent's people actually do: where they perform the functions that manage the enterprise's risks (inventory, credit, marketing intangibles), profit from those risks is attributed to the PE and the fee does not necessarily exhaust it. Outcomes range from nil to a large share of the sales profit. This is **disputed** territory internationally; the UK statute settles the method (s 21 read with the AOA), not the answer.

Worked example 23.3 (labelled illustration, not story)

£	
Profit attributed to the PE after the arm's length service fee to TEL (assumed)	800,000
UK CT at 25%	200,000

TVS would then look to Vallaria for relief from double taxation under the treaty's elimination article (chapter 24). In practice the UK attribution and the TP pricing of TEL's fee must be consistent: chapter 27.

Gains on PE assets. Assets used for the PE's trade or held for the PE are within the CT charge on gains under TCGA s 2B(3), attributed under CTA 2009 ss 20 and 24.

Coming from abroad. HMRC's manual describes a compensating adjustment where a TP adjustment to a connected foreign company relates to a UK PE (INTM414510, reformed from 1 January 2026); the precise statutory route after FA 2026 was not located (flagged).

Who answers for the foreign company

Taxing a company that lives abroad raises a practical problem: its directors, bank accounts and most assets are out of reach. **CTA 2010 Part 22** answers it in three short chapters, all core.

Chapter	Sections	Rule
Ch 6: UK representatives	ss 969–972	A non-resident company's UK PE is its UK representative , treated as a separate person; the company's obligations on assessment, collection and recovery of CT are also the representative's (s 970); it remains the

Chapter	Sections	Rule
		representative after the PE ceases, for tax relating to its period; limited exceptions (s 971)
Ch 7: recovery from related companies	ss 973–980	If CT assessed on a non-UK resident company is unpaid 6 months after it became payable, HMRC may serve a notice on a related company (a member of the same group, or of a consortium owning it, in the relevant period) requiring payment within 30 days ; the notice has effect as an assessment; in consortium cases only a proportion (s 979); time limits in s 978
Ch 5: set-off of income tax deductions	ss 967–968	Income tax deducted from payments a company receives is set against its CT for the AP (s 967, UK resident; s 968, non-UK resident)

Do not confuse Part 22 Ch 7 with **TMA 1970 ss 109B–109F** (chapter 22): the migration rules let HMRC recover unpaid exit tax from group companies and controlling directors at the moment of leaving. Ch 7 covers a company that is non-resident and remains chargeable here.

A non-resident within the charge (through a PE or a UK property business) is otherwise treated like any company for CT: it notifies chargeability, files returns, pays on the normal dates (by instalments if large) and is inside the regimes that apply to UK profits, such as the corporate interest restriction (chapter 28).

Exam lens: non-resident companies and Part 22 - Grades: chargeable profits of non-UK resident companies **1**; non-resident and dual resident companies (gains) **1**; Part 22 CTA 2010 (excluding Chs 3, 8 and ss 990–995) **1**. - **Past appearances:** **N24 Q6** (10 marks: when a non-resident company is chargeable, PE, CMC, residence; “very well answered”; higher marks for answers tied to the scenario). - **Traps:** saying a foreign company is taxed on all UK sales; forgetting that UK property income has been within CT since 6 April 2020; forgetting the 25%/2-year and 75% tests for indirect disposals; confusing Part 22 Ch 7 with the migration recovery rules.

Why the payer collects the tax

Now turn the telescope around: a UK company is paying money to someone abroad. The logic of withholding is **collection**: a foreign lender is hard to assess; the UK payer is easy to find. So the payer deducts income tax at source and pays it to HMRC, and the recipient reclaims or credits it, or a treaty cuts it.

ITA 2007 s 874: a duty to deduct income tax from **yearly interest arising in the UK** paid by:

- a **company**, a local authority or a partnership with a company member; or
- **any person** to a person whose usual place of abode is outside the UK.

Rate. For **2026/27** the deduction is at the **basic rate, 20%** (s 874 ties the deduction to the basic rate for the tax year). **Coming next (enacted):** from **2027/28** the rate becomes “the savings basic rate” (FA 2026 s 6(8), Sch 1 para 29), set at **22%** for 2027/28 by FA 2026 s 5. s 874(6A): the location of the deed is ignored in deciding whether interest arises in the UK.

Yearly or short? No statute defines yearly interest. HMRC notes that tax law has distinguished yearly from short interest **since 1806** and that the line rests on case law (SAIM9075). Interest on a loan intended to last, or capable of lasting, a year or more is yearly (*Bebb v Bunny*); interest on a loan for less than a year with no provision to extend is short, despite an annual rate (*Goslings and Sharpe v Blake, CA*); mere failure to enforce a debt within a year does not make interest yearly (*Gateshead Corporation v Lumsden*). Intention at the outset matters most; HMRC wants clear evidence where short loans are repeatedly rolled over (SAIM9076; INTM413210 for series of short loans to non-residents).

The modern landmark. *HMRC v Joint Administrators of Lehman Brothers International (Europe)* [2019] UKSC 12 (judgment 13 March 2019; on appeal from [2017] EWCA Civ 2124). The administration of LBIE (which began in 2008) produced a surplus after all proved debts, reported at around £7bn, much of it payable as **statutory interest** to creditors for the years they had waited. The Supreme Court held unanimously that this was **yearly interest** within s 874, so income tax had to be deducted. Interest compensating a creditor for being kept out of money over more than a year can be yearly even though it never accrued as a liability from year to year.

Administration (ITA 2007 ss 945–962). A UK-resident company accounts for tax deducted on “section 946 payments” (interest under s 874, royalties under ss 903 and 906, and others) on **form CT61**, for quarters ending **31 March, 30 June, 30 September and 31 December**, plus a short return period at the end of its AP. The return and the tax are due **within 14 days** after the end of the return period (ss 947, 949). The recipient sets the tax against its own liability (for a company, CTA 2010 ss 967–968).

The exits from interest withholding

Exit	Rule	Reference
Excepted payments	Beneficial owner is a UK-resident company ; or a non-UK resident company trading in the UK through a PE that brings the interest into its chargeable profits; certain gross-paid bodies (local authorities, charities, pension scheme administrators) and partnerships of them	ITA 2007 ss 933–937
Reasonable belief	The duty does not apply if the payer reasonably believes the payment is excepted; HMRC may direct otherwise (s 931)	ss 930–931
Banks	Interest paid by a bank in the ordinary course of business; interest on an advance from a bank where the person beneficially entitled is within the CT charge on it	ss 878, 879

Exit	Rule	Reference
Quoted Eurobonds	No deduction from interest on a quoted Eurobond: a security issued by a company, carrying a right to interest, listed on a recognised stock exchange or admitted to trading on a multilateral trading facility operated by a regulated recognised stock exchange (MTF limb from FA 2018; “regulated” from 31 December 2020)	ss 882, 987
Qualifying private placements	Unlisted debt securities of a company meeting Treasury regulation conditions (in force 1 January 2016)	s 888A
Treaty	Lender claims on the DT Company form (relief at source or repayment, with certification of residence), or the borrower acts under an HMRC direction under the Treaty Passport scheme. No self-help for interest	TIOPA s 6; treaties

Treaty Passport. A treaty-resident lender applies on **DTTP1**; a passport normally lasts **5 calendar years**. The UK borrower notifies each passported loan on **DTTP2** “as soon as possible”. **Until HMRC issues a direction, the borrower must withhold** at the domestic rate.

An exit that has closed. The EU Interest and Royalties Directive exemptions (ITTOIA ss 757–767; ITA ss 914–917) were **repealed by FA 2021 s 34 for payments on or after 1 June 2021**. After Brexit, EU lenders need a treaty like everyone else.

Worked example 23.4: withholding across the Tarnmoor group (FY2026 rates; invented figures)

Payment (annual)	Payer → payee	£	Withholding?	Why
Interest on £430m of loans at 6% (TEL £200m, TPLC £120m, TES £70m, TWS £40m)	UK companies → TFL	25,800,000	None	Excepted payment: beneficial owner a UK company (s 933)
Interest on £550m 5.5% listed notes	TFL → bondholders	30,250,000	None	Quoted Eurobonds (s 882)
(Counterfactual if unlisted, no treaty claims)			20%: 6,050,000	s 874
Project Undertow coupon on £80m 7% notes (rejected; chapter 29)	TFL → TCM (Marrovia: no treaty)	5,600,000	20%: 1,120,000 ; at 22% from 2027/28: 1,232,000	s 874; no exit applies

TVS’s interest to TFL (£7.2m) is paid by a Vallarian company: any withholding is Vallarian (10% under the invented treaty) and a DTR question for TFL (chapter 24), not a UK withholding point.

Going further: designing group debt for withholding. - External bonds: list them (quoted Eurobond) or use a QPP. - Intra-group UK lending: excepted payments; keep the “reasonable belief” evidence (residence, beneficial ownership). - Overseas lenders: diarise DTTP2 filings and do not pay gross until HMRC’s direction arrives; for non-passport lenders, the DT Company form. - Check whether interest is “yearly” on short facilities that are rolled over. - Withholding is rarely why a structure fails, but it is often the cost nobody costed. **M23 Q3** buried interest to **Bermuda** in a TP and CIR question; the examiners added that time was wasted on DPT, which does not apply to loan relationships.

Royalties, and paying at the treaty rate

Rule	Detail	Reference
Patent royalties	Deduct at the basic rate from UK patent royalties charged to tax	ITA 2007 s 903
IP royalties to non-residents	Deduct at the basic rate from royalties for the use of intellectual property where the owner’s usual place of abode is outside the UK	s 906 (substituted FA 2016 s 40)
Rate	Basic rate (20% for 2026/27). The 22% savings basic rate from 2027/28 is for interest only ; FA 2026 did not change ss 903 or 906	FA 2026 s 6
Treaty rate on reasonable belief	The payer may deduct at the treaty rate without clearance if it reasonably believes the payee is entitled to treaty relief; if wrong, it is liable as if s 911 had not applied	s 911
Anti-treaty-shopping	Where the payee is connected with the payer (participation condition) and the royalty is paid under “DTA tax avoidance arrangements” (one of the main purposes was a treaty advantage contrary to the treaty’s object and purpose), deduction is at the full domestic rate whatever the treaty says, and the tax cannot be set off under CTA 2010 ss 967–968; applies to payments on or after 17 March 2016; overrides TIOPA s 6	s 917A (FA 2016 s 41; INTM630210)

Worked example 23.5: Brackenwell’s royalty (invented)

Brackenwell Sensors Ltd (BSL) pays an unconnected Vallarian university **£50,000** a year for a sensor patent licence, each **31 December**.

£	Domestic (s 906)	Treaty rate on reasonable belief (s 911)
Royalty	50,000	50,000
Withholding rate	20%	5% (invented UK–Vallaria treaty)
Income tax deducted	10,000	2,500
Paid to the university	40,000	47,500

BSL holds the university's evidence of Vallarian residence and entitlement, so it deducts **£2,500**. If its belief proved wrong, BSL would owe the further **£7,500** itself. The deduction goes on the **CT61 for the quarter to 31 December**, due by **14 January**. s 917A cannot apply: the university is unconnected. The royalty itself is deductible for BSL under the intangibles rules (chapter 11).

Dividends. No UK withholding on dividends (none of the Part 15 duties covers them). **FA 2026 s 42** abolished, from 2026/27, the notional tax credit non-UK resident recipients could treat as attached to UK distributions (ITTOIA s 399 omitted): an income tax point, **awareness** only.

Exam lens: deduction of income tax - Grade: deduction of income tax, **core (1)**. - **Past appearances:** M23 Q3 (15 marks); a loan from a US company that may take 60% control: TP, CIR and **WHT on interest to Bermuda**; examiners: time wasted on DPT. Withholding also appears as a natural tail on financing and IP questions. - **Traps:** using 22% for 2026/27 payments (22% is from 2027/28, and for interest only); assuming treaty rates on interest apply automatically (they need a DT Company claim or a Treaty Passport direction); forgetting the **reasonable belief** rules (s 930 for excepted payments; s 911 for royalty treaty rates); citing the EU Interest and Royalties Directive (repealed for payments from 1 June 2021); forgetting quoted Eurobonds; CT61 within 14 days.

When the foreign company is a landlord

In our invented case. Until 30 June GY4 TIL's board met in Leeds, so it was UK resident (chapter 22 tells the migration story: exit charges and a £525,000 payment plan). Afterwards TIL is non-resident, earning its distribution profits in Ireland with no UK PE. But it still owns the **UK warehouse** bought for **£3.0m** in GY1, let to an unconnected logistics company.

- **Income:** TIL carries on a **UK property business** (CTA 2009 s 5), within **CT**, not income tax, since **6 April 2020**. It files CT returns on its rental profits at the main rate (with its many associated companies, its marginal relief upper limit is far below its profits) and is inside the corporate interest restriction like any group company with UK profits.
- **Non-resident landlord scheme.** The letting agent, or the tenant if there is no agent, must normally deduct income tax at the basic rate from rent paid to a landlord whose usual place of abode is abroad, unless HMRC has approved the landlord to receive the rent gross. Companies remain within the scheme after the 2020 move to CT; tax deducted is credited against the company's CT on that rental income (CTA 2010 s 968) (HMRC guidance note on the 2020 changes; professional summaries).
- **Gains:** on a sale of the warehouse TIL is chargeable under TCGA s 2B(4) (direct interest in UK land). The **£0.8m** gain postponed on migration under s 187B comes back into charge on that disposal (chapter 22).

Worked example 23.6 (labelled illustration, not story)

£	
Rent (assumed)	200,000
Income tax deducted by the tenant without HMRC approval (20%)	40,000
TIL's UK property business profit (assumed, after expenses)	180,000
CT at 25%	45,000
Less: income tax deducted (CTA 2010 s 968)	(40,000)
CT payable	5,000

Tom's team applies for approval to receive the rent gross, so £40,000 a year is not tied up until the CT return.

Going further: inbound groups and the tax function. For each non-resident group company with UK income: confirm the head of charge (s 5); register for CT; NRL approval for rent; Part 22 Ch 7 means the UK group bears the collection risk; include the company in CIR (chapter 28), Pillar Two data (chapter 30) and the SAO review only if UK-incorporated (chapter 4: TIL is Irish-incorporated, never within SAO).

What to take away

- The UK taxes a non-resident company only where it leaves a footprint (CTA 2009 s 5): **dealing in or developing UK land, trading through a UK PE**, and since **6 April 2020** a **UK property business**. Gains follow (TCGA s 2B): PE assets; UK land and indirect disposals since **6 April 2019** (75% UK property richness; 25% substantial indirect interest in the previous 2 years).
- A PE arises through a **fixed place of business** (domestic list has no time limit; treaties typically 12 months for construction) or a **dependent agent**. For chargeable periods beginning on or after **1 January 2026**, the agent test is **“habitually concludes contracts, or habitually plays the principal role leading to the conclusion of contracts that are routinely concluded without material modification”**. A **closely related** agent acting **exclusively or almost exclusively** for its group cannot be independent.
- **Preparatory or auxiliary** activity is excluded, but **anti-fragmentation** removes the exclusion for complementary functions in a cohesive business operation.
- A subsidiary is not a PE by control alone; a PE is never a separate legal person.
- **The treaty wins** (TIOPA s 6; Art 5, Art 7). The UK did not adopt **MLI Art 12**, so many treaties keep the older wording. Domestic test, treaty test, then the answer. TVS had a domestic PE in GY4 but no treaty PE; TEL became a buy-sell distributor from GY5.
- Attribution: **separate and independent enterprise** (s 21), read with the **AOA** (s 20(1A)–(1E)); **ss 22–23 and 25–32 are omitted**.
- **Part 22 CTA 2010**: the PE is the UK representative (Ch 6); recovery from related companies after **6 months**, payable within **30 days** (Ch 7); income tax deducted set against CT (Ch 5).

- **Withholding:** yearly interest **20%** (2026/27), **22%** from 2027/28; exits: excepted payments (UK companies, UK PEs; reasonable belief), banks, **quoted Eurobonds, QPPs**, treaty via **DT Company** form or **Treaty Passport** (DTTP1/DTTP2; withhold until directed). Royalties: basic rate, treaty rate on **reasonable belief** (s 911), subject to s **917A. CT61** within **14 days**.

So, can a foreign company that never signs a contract here be taxed here? Yes, if someone closely related habitually closes its deals, and if no treaty stops it.

The treaty has been the hero of this chapter. Chapter 24, on treaties and double tax relief, looks at it properly.

Key rules and figures

Rule	Figure or test	Reference
Non-resident CT charge	UK land dealing/development; UK PE trade; UK property business and other UK property income (from 6 April 2020)	CTA 2009 s 5
PE profits	Income through or from the PE, and from property or rights used or held by it	CTA 2009 s 19
Non-resident gains	PE assets; UK land and UK-property-rich assets (from 6 April 2019)	TCGA s 2B, Sch 1A
UK property rich	≥ 75% of gross asset value from UK land	Sch 1A; CG73934
Substantial indirect interest	≥ 25% at any time in the 2 years before disposal	Sch 1A; CG73936
Cells	Each cell a separate company for Sch 1A (disposals from 26 November 2025)	FA 2026 s 40
Fixed place PE	Includes building site or construction or installation project (no domestic time limit)	CTA 2010 s 1141(1)(a), (2)
Dependent agent PE (new)	Habitually concludes, or plays the principal role leading to, contracts routinely concluded without material modification; property or services contracts	s 1141(1)(b); chargeable periods beginning on or after 1 January 2026
Old agent test	Has and habitually exercises authority to do business on behalf of the company	s 1141(1)(b) to 31 December 2025
Purpose clause	Read with OECD Model Art 5 and Commentary (18 November 2025)	s 1140A
Independent agent	Not independent if closely related and acting exclusively or almost exclusively for the group	s 1142(1), (1A)–(1B)
Closely related	Control, or common control; 50% investment condition	s 1143(2CA)
Preparatory or auxiliary	Only, viewed against the business as a whole	s 1143(1)–(3)

Rule	Figure or test	Reference
Anti-fragmentation	Complementary functions forming a cohesive business operation (FA 2019 s 21)	s 1143(2A)–(2C)
Treaty priority	Treaty Art 5 and Art 7 prevail	TIOPA s 6; INTM153060
MLI Art 12	Not adopted by the UK (UK–Ireland confirmed)	MLI synthesised text
Attribution	Separate and independent enterprise; FAR; credit rating; capital	CTA 2009 ss 20(1A)–(1E), 21
Repealed	ss 22–23, 25–32 CTA 2009	FA 2026 Sch 7
UK representative	PE is the UK representative	CTA 2010 ss 969–972
Recovery	Unpaid 6 months → notice to related company; pay within 30 days	CTA 2010 ss 973–980
Set-off	Income tax deducted against CT	CTA 2010 ss 967–968
Yearly interest withholding	20% (2026/27); 22% savings basic rate (2027/28)	ITA 2007 s 874; FA 2026 ss 5–6
Excepted payments	UK company; UK PE; reasonable belief	ITA 2007 ss 930, 933–937
Quoted Eurobond	Listed (or MTF-traded) company security carrying interest	ss 882, 987
QPP	Unlisted debt meeting regulation conditions (from 1 January 2016)	s 888A
Treaty Passport	DTTP1 (5 years); DTTP2; withhold until direction	HMRC guidance
I&R Directive	Repealed for payments from 1 June 2021	FA 2021 s 34
Royalties	Basic rate; treaty rate on reasonable belief; s 917A connected-party override	ITA 2007 ss 903, 906, 911, 917A
CT61	Quarterly; due within 14 days	ITA 2007 ss 947, 949
Story	TVS: domestic PE, no treaty PE (GY4); buy-sell from GY5. BSL royalty £50,000: £2,500 at 5%. TFL notes £30.25m gross. Undertow £5.6m: £1.12m / £1.232m	invented

Statutory and case references

Statute. CTA 2009 ss 5, 19, 20(1A)–(1E), 21, 24 (ss 22–23, 25–32 omitted by FA 2026 Sch 7); CTA 2010 ss 967–968, 969–972, 973–980, 1140A, 1141, 1142, 1143; TCGA 1992 s 2B, Sch 1A; TIOPA 2010 s 6, s 259ND; ITA 2007 ss 874, 878, 879, 882, 888A, 903, 906, 911, 917A, 930, 931, 933–937, 945–949, 987; FA 2016 s 41; FA 2019 Sch 1, Sch 5; FA 2021 s 34; FA 2026 ss 5, 6, 40, 42, 46, 49 and Sch 7; TMA 1970 ss 109B–109F (contrast).

HMRC guidance. INTM153060, INTM153080, INTM264200, INTM261030, INTM414510, INTM450021, INTM413210, INTM630210; SAIM9075, SAIM9076; CG73934, CG73936, CG73938; GIM10210; “Double Taxation Treaty Passport

scheme”; “Claiming Double Taxation Relief for companies”; guidance note on the Non-resident Landlord Scheme regulations (2020); UK–Ireland synthesised text of the MLI and the 1976 convention.

Cases. - *HMRC v Joint Administrators of Lehman Brothers International (Europe)* [2019] UKSC 12 (statutory interest is yearly interest). - *Goslings and Sharpe v Blake* (CA); *Bebb v Bunny*; *Gateshead Corporation v Lumsden* (yearly v short interest, as summarised in SAIM9075). - *Glencore Energy UK Ltd v HMRC* [2017] EWHC 1476 (Admin) (DPT: chapter 30).

OECD materials (not opened: oecd.org blocked). Model Tax Convention Articles 5 and 7 and Commentary (18 November 2025, referred to by statute; the exam supplies the 2017 articles); 2010 Report on the Attribution of Profits to PEs; TPG 2022; March 2018 Additional Guidance; BEPS Action 7 Final Report (October 2015) via professional summaries.

Chapter twenty four: Treaties and double tax relief

On **14 April 1926** Winston Churchill, then Chancellor of the Exchequer, signed a short agreement with the government of the Irish Free State; Ernest Blythe (Earnán de Blaghd) signed for the Irish side. Until a few years before, the two countries had been one tax system. Now they were two, and the same people and the same profits were being taxed twice, once in London and once in Dublin. The agreement sought the reciprocal exemption of persons resident in one country but not both, and relief from double taxation for persons resident in both. It would have effect only while legislation confirming it was in force in both countries. One historian of Irish tax describes it as the first international double taxation agreement the United Kingdom ever made.

A century later the UK has one of the largest treaty networks in the world, and a large group's tax function reads treaties every week. Which country may tax a royalty? How much may the paying country withhold? Is a construction project abroad a taxable presence there? And when two countries both tax the same profit, how much of the foreign tax will the UK give back as a credit?

This chapter answers those questions. It sits in Part Four, after residence (chapter 22) and inbound permanent establishments and withholding (chapter 23). Both of its syllabus rows are **core (grade 1)**: "Double tax treaties – application of OECD model and supplied extracts from treaties" and "Double tax relief". *The Living Law* (TKS), chapter 26, taught the basics of credit relief, the source-by-source limit (s 42), the allocation of deductions (s 52), underlying tax and expense relief. Here we read the treaties themselves, then take the credit rules to Advanced Technical depth, with the anti-avoidance and the cases. Law: **FY2026** (Finance Act 2026). FA 2026 made no change to TIOPA 2010 Part 2.

Statutes in this chapter. Taxation (International and Other Provisions) Act 2010 (**TIOPA 2010**, "the International Act"): Part 2 (double taxation relief), ss 2–134. Corporation Tax Act 2010 (**CTA 2010**): Part 8A (Patent Box). Corporation Tax Act 2009 (**CTA 2009**): Part 2 Ch 3A (branch exemption) and Part 9A (dividend exemption), signposted only.

Why two countries tax the same profit

Every country taxes on two footings. It taxes its own **residents** on what they earn, wherever they earn it; and it taxes anyone, resident or not, on what they earn inside its borders (**source**). Each footing is reasonable alone. Put together across a border, they tax the same pound twice.

- **Juridical double taxation:** the same income taxed in the hands of the **same person** by two states. Treaties deal mainly with this.
- **Economic double taxation:** the same profit taxed in the hands of **different persons** (a subsidiary on its profit, the parent on the dividend). It returns below with underlying tax, and in chapter 27 with transfer pricing corresponding adjustments.

The fix was worked out between the wars. In **October 1928** representatives of **27 countries** met under the League of Nations and produced model tax treaties. The line runs from those models to the **OECD Model Tax Convention**, which most UK treaties follow closely.

Analogy: a peace agreement. Each side gives up some territory in return for certainty. The source state agrees to tax business profits only through a permanent establishment (PE), and to cap its withholding on dividends, interest and royalties; the residence state agrees to relieve what the source state may still take, by exemption or credit.

The precise rule. A treaty **allocates and limits** taxing rights; it **never creates a charge**. If UK law does not tax something, no treaty can make it taxable. Method, always: (1) does domestic law charge the income? (2) does a treaty remove or limit the charge, or require relief?

In our invented case. Tarnmoor plc and its group are invented; so are Vallaria and Marrovia (only Ireland, its 12.5% trading rate and the UK–Ireland treaty with the MLI are real).

Invented country	CT rate	UK treaty	Withholding under the treaty	Other terms
Vallaria	20%	Yes: modern, OECD pattern	Interest 10%; dividends 15%; royalties 5%	Construction project a PE only if it lasts more than 12 months ; older dependent agent wording; no MLI Art 12; Art 9 and Art 25 as in the OECD Model; preamble and principal purpose test as in MLI Arts 6–7 (story assumption fixed in this chapter)
Marrovia	9%	None	Domestic: 30% on royalties	Unilateral relief only

Vallarian domestic law (its loss relief, dividend and exit rules, and how it administers treaty rates) is not described and is ignored: a story simplification.

How a treaty reaches a tax return

TIOPA 2010 s 2: arrangements made with another territory have effect if specified in an **Order in Council** declaring that they were made with a view to affording relief from double taxation and that it is expedient that they have effect; s 5(2) requires the draft Order to be approved by resolution of the House of Commons. Arrangements have effect in accordance with **s 6** (headed “The effect given by section 2 to double taxation arrangements”). Chapter 2 described that route.

Interpretation (recap of chapter 2). *Fowler v HMRC* [2020] UKSC 22: a domestic deeming rule (the diver deemed to trade) did not change which treaty article applied; treaty words take their ordinary international meaning; Lord Briggs said the OECD Commentaries carry persuasive force “as the cogency of their reasoning deserves”.

The Multilateral Instrument (MLI). In force for the UK from **1 October 2018**. It edits covered treaties, only where both states choose the same options; HMRC publishes **synthesised texts**. The UK–Ireland synthesised text applies MLI Arts 3 (transparent entities), 4 (dual resident entities), 6 (preamble), 7 (principal purpose test), 13 (anti-fragmentation of PE exemptions), 15 (closely related person), 16 (MAP), 17 (corresponding adjustments) and Part VI arbitration; **not Art 12** (commissionaire and dependent agent PEs). Read: treaty → MLI → synthesised text.

Three practical points. 1. **Treaty relief is not automatic.** It is claimed, at source from the paying country or from HMRC (HMRC: “The benefit of a double taxation agreement cannot be assumed” in the context of UK payments, INTM342510). 2. A treaty binds only its two parties. The UK–Vallaria treaty limits Vallarian withholding on a royalty paid to a UK company; it says nothing about a payment to Marrovia. 3. **In the exam** the OECD Model is an on-screen PDF of the **2017 articles** (UK statute now refers to the version approved on 18 November 2025 for PE and TP purposes: chapter 2). **A supplied treaty extract is the treaty for that question.** After N23 the examiners reported that some candidates ignored the supplied treaty article and used the OECD Model text instead.

Exam lens: treaties - Grade: “Double tax treaties – application of OECD model and supplied extracts from treaties” **core (1)** on the 2026 grid (check the 2027 grid when published). - **Past appearances:** N23 Q1 (20 marks: residence of an Anglo-Belgian parent; a **supplied tie-breaker extract** using place of effective management); N25 Q2 (15 marks: PE analysis, including a construction contract under 12 months, and the consequences: credit relief, the branch exemption, incorporation); M26 Q5 (20 marks: a construction site lasting over 12 months; branch taxation and DTR). - **Style:** apply the article’s words to the facts; 0.5–1 mark per point; no letter format. - **Traps:** using the Model where an extract is supplied; forgetting that a treaty cannot create a charge; treating a PE as a separate legal entity (N25 Q2); discussing residence in a PE question (M26 Q5).

Reading the Model, article by article

HMRC’s description (INTM153010): the normal agreement has “some 30 Articles”: Arts 1–5 scope, taxes, definitions, residence and PE; Arts 6–21 types of income; the rest general provisions.

Article	What it does (HMRC’s descriptions, INTM153050–153270)	Where in this book
1–2	Persons covered (residents of one or both states); taxes covered	—
3	General definitions; undefined terms take their domestic meaning unless the context otherwise requires	—
4	Residence: liable to tax by reason of domicile, residence, place of management or similar; tie-breaker for dual residents (POEM in older treaties; competent-authority agreement under MLI Art 4 where adopted)	22
5	PE: fixed place of business (branch, office, factory); building site or construction project only beyond a stated period (“six or twelve months” in some treaties); preparatory or auxiliary exclusions; dependent agents; a subsidiary is not a PE by control alone	23
7	Business profits: taxable in the other state only through a PE, and only profits	23, 25

Article	What it does (HMRC's descriptions, INTM153050–153270)	Where in this book
	attributable to it, as a separate and independent enterprise at arm's length	
9	Associated enterprises: adjustment of non-arm's length conditions; corresponding adjustment in the other state	27
10, 11, 12	Dividends, interest, royalties: residence state may tax; source state may tax at a capped rate if the recipient is the beneficial owner ; royalties defined widely (copyright, patents, trade marks, designs, secret formulas or processes, know-how)	this chapter; 23
13	Gains: immovable property where situated; movable property of a PE in the PE state; otherwise the residence state (some treaties tax shares in property-rich companies at source)	16, 22
23A / 23B	Elimination of double taxation: exemption (A) or credit (B). UK treaties give credit , including underlying tax where the treaty provides and the holding threshold is met (UK–Ireland uses Art 21 for this, TKS)	this chapter
24	Non-discrimination	this chapter
25	Mutual agreement procedure	this chapter; 27

Method for any treaty question: classify the income → find the governing article → which state may tax, and how much → apply the relief article.

Worked example 24.1 (invented story): is Calder's refinery contract a Vallarian PE?

Calder Valve Engineering Ltd (CVE), acquired by Tarnmoor plc on 1 April GY1 (chapter 1), installs process valves at a Vallarian refinery from **August GY2 to September GY3: 14 months**.

Step	Analysis
Domestic law	Calder is UK resident: UK CT on its worldwide profits, including the Vallarian contract (no branch exemption election: chapter 25)
Classify	Business profits from a construction and installation project
Article	Art 5 (invented treaty): a construction project is a PE only if it lasts more than 12 months → 14 > 12: PE
Who may tax	Art 7: Vallaria may tax the profits attributable to the PE; the UK, as residence state, also taxes them
Relief	Art 23B-type: the UK gives credit for the Vallarian tax (Worked example 24.3)

Had the job lasted 11 months, Art 7 would have left the profit to the UK alone, whatever Vallarian domestic law said.

Who really owns the income

The withholding caps in Arts 10–12 apply only if the recipient is the **beneficial owner**. The concept stops a resident of a third country routing income through a treaty-favoured company.

The leading English case: *Indofood International Finance Ltd v JP Morgan Chase Bank NA* [2006] EWCA Civ 158. It was not a tax appeal but a commercial dispute between the issuer of loan notes and the bank, turning on the meaning of a treaty. An Indonesian group raised money through a **Mauritian** issuer, which on-lent the proceeds to the Indonesian parent; the parent guaranteed the notes. Mauritius was chosen for the Indonesia–Mauritius treaty, which reduced Indonesian withholding on interest from **20% to 10%**. The question was whether a newly created **Dutch** company could be interposed to claim the same 10% rate under the Indonesia–Netherlands treaty. The Court of Appeal held that it could not: the Dutch company would be bound to pay on what it received, with no real benefit from the interest; its position would be like that of an administrator of the income. “Beneficial owner” in a treaty has an **international fiscal meaning**, not a narrow domestic legal one.

The court needed no purpose test: it asked who, in substance, enjoyed the income. That is why *Indofood* is described as the forerunner of the principal purpose test.

In our invented case. From **GY4** Calder licenses its Ashlar patents to Tarnmoor Vallaria SA (TVS) for **6% of TVS’s Ashlar valve sales: £1.2m a year**. Calder developed the invention, owns the patents, keeps the royalty and bears the patent costs: it is the beneficial owner. TVS withholds at the treaty rate of **5% (£60,000 a year)**. The group gives the paying company whatever evidence of UK residence it asks for (for example an HMRC certificate of residence); Vallaria’s own procedure is ignored.

The principal purpose test

Beneficial ownership catches conduits; it does not catch a genuine owner placed where it is mainly to win a treaty benefit. The OECD’s BEPS work produced a broader answer, carried into existing treaties by the MLI:

- **MLI Art 6 (preamble):** the treaty is intended to eliminate double taxation without creating opportunities for non-taxation or reduced taxation through evasion or avoidance (including treaty shopping).
- **MLI Art 7 (principal purpose test, PPT):** a benefit is denied if “it is reasonable to conclude, having regard to all relevant facts and circumstances, that obtaining that benefit was one of the principal purposes of any arrangement or transaction” (UK–Ireland synthesised text), unless granting it would accord with the object and purpose of the relevant treaty provisions.

Why it is sharp. “One of the principal purposes”, not “the main purpose”; tested **per arrangement or transaction**; and “reasonable to conclude” makes the documents decisive. A board paper saying the structure was chosen for the 5% rate is evidence against you.

Worked example 24.2 (labelled hypothetical, not a story fact): the PPT

Suppose the Ashlar patents were moved to Tarnmoor Capital Ltd (TCM) in Marrovia (9%). Marrovia has no treaty with Vallaria in our story, so royalties from TVS would bear full Vallarian domestic withholding. Suppose a planner adds a holding company in a third country with a good Vallarian treaty, to receive the royalty and pass most of it on.

- **Beneficial ownership:** a pass-through company is *Indofood’s* conduit: likely not the beneficial owner.
- **PPT:** even if the company were given real functions, if obtaining the treaty rate was one of the principal purposes and the treaty’s object does not support granting it, the benefit is denied.

The group never proposed this; it illustrates the test only.

Purpose tests run through this book: the GAAR (chapter 4), unallowable purpose (chapter 12), and now treaties.

Non-discrimination and the mutual agreement procedure

Art 24 (non-discrimination) (INTM153260): nationals not taxed more burdensomely than the other state’s nationals in the same circumstances; a **PE** not taxed less favourably than a domestic enterprise carrying on the same activities; **foreign-owned enterprises** not subjected to more burdensome taxation than similar domestic enterprises.

HMRC v FCE Bank plc [2012] EWCA Civ 1290 (Court of Appeal, appeal dismissed 17 October 2012; earlier [2011] UKUT 420 (TCC)). Under the **pre-2000** group relief rules, a loss could be surrendered only if the group link ran through a **UK-resident** parent. FCE Bank and its UK sister company had a common parent in the **United States**. The court held that Art 24(5) of the **1975 UK–US treaty** prevented the refusal of group relief on that ground. The modern rules let groups be traced through non-resident companies (chapter 15). Exam method: where a supplied treaty has a non-discrimination article, ask whether the UK rule treats a foreign-owned company worse than a domestic one in the same circumstances.

Art 25 (mutual agreement procedure, MAP) (INTM153270): where actions of one or both states result, or will result, in taxation not in accordance with the treaty, the taxpayer may ask its own competent authority to intervene, even while domestic remedies remain. In the UK the competent authority is HMRC.

Point	Rule	Source
Time to present a case	OECD Model / MLI Art 16: 3 years from the first notification of the action; UK domestic fallback 6 years after the end of the chargeable period , or longer if the treaty allows	MLI (UK–Ireland synthesised text); TIOPA 2010 s 125(3) (HMRC guidance, INTM423040)
Giving effect	A solution or mutual agreement is given effect notwithstanding anything in any enactment	TIOPA 2010 s 124(2)
Form of relief	Discharge, repayment, credit, amended assessment or otherwise	s 124(3)
Consequential claims	Out-of-time consequential claims (loss carry-back, group relief) within 12 months of notification of the agreement	s 124(4) (INTM423070)

Point	Rule	Source
Failure to agree	INTM153270 still says the treaty has no provision for this: out of date where MLI Part VI arbitration applies (it does for UK–Ireland)	INTM153270; UK–Ireland synthesised text

In our invented case. In **GY6** HMRC and Calder settle the TP dispute on Calder’s GY3 sale of its process-valve business to TVS: price re-set at £8.0m, adjustment **£2.0m**. Vallaria had computed TVS’s profits on the original price. Under the invented treaty’s Arts 9 and 25 the group seeks a **corresponding adjustment**, obtained in **GY7** (chapter 27).

Going further: treaty claims as a governance process. Keep a treaty register: for each cross-border flow, the treaty (synthesised text), the article, the rate claimed, the evidence supplied (residence certificates), the beneficial ownership analysis and the PPT rationale, with the board papers that support it. Diarise MAP time limits from the date any foreign assessment or TP adjustment is first notified, not from when it is paid.

From treaty to credit

Treaties tell the residence state to relieve double taxation; **TIOPA 2010 Part 2** says how.

	Credit relief	Expense relief
How	Foreign tax reduces UK tax on the same income (s 18)	Foreign tax deducted in computing the income (s 112), after an election that credit is not to be given (s 27)
Value	£1 of credit saves £1	£1 of deduction saves at most 25p (main rate)
When better	Almost always	Where credit would be useless: e.g. losses, so no UK tax to absorb a credit; the deduction increases the loss

	Treaty relief	Unilateral relief
Source	The treaty’s relief article, given effect by s 2 and s 18	TIOPA 2010 ss 8–17 (s 9 Rule 1 credit; underlying tax rules)
When	A treaty applies	No treaty (e.g. Marrovia), for foreign tax corresponding to UK income tax or CT

Rules that apply to every credit. - **Gross up:** income is computed without deduction for the foreign tax (s 31). A royalty of 100 with 10 withheld is taxed at 100, credit 10. - **Same income:** credit only for foreign tax on the income the UK is taxing. **Anson v HMRC [2015] UKSC 44** (1 July 2015; Lord Reed): a UK resident member of a **Delaware LLC** was taxed in the US on his share of profits as they arose; HMRC argued the UK was taxing different income (distributions from a separate entity). The Supreme Court held that he was entitled to the profits as they arose, so the two countries taxed the same income and credit was due. HMRC’s Revenue and Customs Brief 15 (2015) treated the decision as fact-specific. - **Minimisation (s 33):** credit is limited to the foreign tax that would have been payable had the company taken all reasonable steps to minimise it, including

claiming treaty reliefs. If TVS withheld above 5% because Calder failed to claim the treaty rate, the excess would not be creditable. - **Time limits (s 19; INTM162560):** claim within **4 years after the end of the AP** in which the income is taxed or, if later, **1 year after the end of the AP in which the foreign tax is paid**. Where a UK or foreign adjustment makes a credit insufficient or excessive, HMRC's guidance gives **6 years from the adjustment** (s 79; INTM162570). - **Branch exemption bar (s 18(3A)):** foreign tax on profits exempted by a CTA 2009 s 18A election is not creditable (chapter 25).

The credit limit, source by source

TIOPA 2010 s 42: the credit cannot exceed the CT attributable to the income or gain, computed as **$R \times IG$** : - **R** = the rate of CT at which the company is charged for the AP, before any credit (25% for a main-rate company in FY2026); - **IG** = the income or gain, **after deductions allocated to it** under ss 52–56.

Analogy: a refund capped at what the UK would have charged on the same slice. The UK will not use UK tax on other income to absorb a foreign rate above its own.

Source by source. Each item of foreign income is tested on its own. Onshore pooling of foreign tax on dividends (with “eligible unrelieved foreign tax”) existed from 2001 but was **repealed for dividends paid on or after 1 July 2009** (INTM164210), when Part 9A exempted most foreign dividends. Never pool across sources in a current-period answer. The **mixer cap** is different: it is s 58 Step 3, for underlying tax only (below).

Trade income: s 44. The credit cannot exceed the CT attributable to the income from **the particular transaction, arrangement or asset**, after a **just and reasonable** apportionment of the trade's deductions, which can include expenses of **connected companies** reasonably attributable to the income (anti-avoidance in ss 45–49). A royalty cannot be presented as cost-free because the research was paid for elsewhere in the group.

The N25 wrinkle. In N25 Q1 (overseas royalties under withholding, no treaty), the examiners reported: “Nearly all candidates failed to realise that the royalties can be treated as one source and the foreign tax credits aggregated.” **The statutory basis is TIOPA 2010 s 47.** Where double taxation arrangements apply and royalties are paid in respect of **an asset** in more than one foreign jurisdiction, s 47 applies s 44(2) so that the royalties from that asset are treated as income from a **single asset**: the credits are aggregated and tested against UK tax on the combined royalty income. N25 Q1's royalties were relieved unilaterally (no treaty); whether s 47 reaches unilateral relief was not confirmed for this book, but the examiners took the same single-source approach. In an answer: where several payers pay royalties for the same asset, treat them as one source, cite s 47, and show the aggregated credit.

The misconception: “foreign tax is always fully credited”

People believe it because treaties promise to “eliminate double taxation”, and in the commonest case (a foreign rate below 25%) the credit does cover the foreign tax. But the credit stops at UK tax on that income, source by source; foreign tax above the limit is **lost**, unless it is tax on the profits of a **foreign PE**:

Unrelieved foreign tax on PE profits (TIOPA 2010 ss 72–78). HMRC's manual (INTM163040) describes the rule: the excess can be **carried forward without time limit**, or **back to APs beginning in the 3 years before**, but only against UK tax on profits of the **same PE**, and by claim, **within 4 years** after the end of the AP in which the excess arises. Current-period relief comes first; on a carry-back the most recent period is used first. A ceasing PE followed by a new one in the same

territory is treated as a separate PE (s 76). Where a foreign PE loss is used abroad against other persons' profits, foreign tax on later PE profits is reduced for credit purposes by the tax saved (ss 71A–71B, FA 2018).

Calder's refinery

Worked example 24.3 (invented story): credit on the Vallarian PE's profits

Calder's periods: AP to **31 March GY3** (contains August GY2–March GY3, 8 months of the project); then a **9-month AP 1 April–31 December GY3** (April–September GY3, the remaining 6 months).

£	AP to 31 Mar GY3	9-month AP to 31 Dec GY3
PE result (UK principles)	(300,000)	900,000
Vallarian tax at 20% (Vallarian loss relief ignored: story simplification)	—	180,000
UK CT on the PE result at 25% ($R \times IG$)	loss reduces UK profits	225,000
Credit: lower of foreign tax and limit	—	180,000
UK top-up on the PE profit	—	45,000

Effective rate on the PE profit: $20\% + 5\% = 25\%$. Where the foreign rate is below the UK rate, credit relief always lands on the UK rate.

Lessons. (1) **IG is measured by UK rules:** the profit the UK is actually taxing. (2) **Order of profits and losses matters:** the UK relieved the early £0.3m loss at 25% and later collected only a top-up. That asymmetry drives the branch exemption decision in chapter 25, where Calder decides **not** to elect.

Worked example 24.3B (labelled variation, not a story fact): excess foreign tax on a PE

Suppose Vallaria had measured the PE profit at **£1,200,000** (refusing a head office charge the UK allows).

£	
Vallarian tax $20\% \times 1,200,000$	240,000
Credit limit ($25\% \times 900,000$)	225,000
Credit	225,000
Unrelieved foreign tax	15,000

Carry forward or back (ss 72–78)? Only against UK tax on the **same PE**. The earlier AP gave a PE loss (no UK tax on PE profits to absorb a carry-back), and the PE ceased in September GY3 (nothing to carry forward to). The £15,000 is **lost**.

Calder's royalty and the Patent Box

Worked example 24.4 (invented story; simplified): the TVS royalty, GY4 onwards

The royalty is income of Calder's trade. In our invented case the costs attributable to the licence (patent fees, licence management, a just and reasonable share of overheads: s 44) are **£300,000**. Following chapter 11's simplification, the whole royalty profit is treated as **relevant IP profits** for the Patent Box (CTA 2010 Part 8A; deduction $RP \times (MR - 10\%) / MR$, s 357A).

£	With Patent Box	Without Patent Box
Royalty (gross: s 31)	1,200,000	1,200,000
Attributable costs	(300,000)	(300,000)
Royalty profit (IG)	900,000	900,000
Patent Box deduction: $900,000 \times 15/25$	(540,000)	—
Taxable	360,000	900,000
UK CT at 25% before credit	90,000	225,000
Vallarian withholding (5%)	60,000	60,000
Credit: lower of 60,000 and UK CT on the income	60,000	60,000
UK CT payable on the royalty	30,000	165,000
Total tax (Vallarian + UK)	90,000 (10% of £900,000)	225,000

HMRC's view (CIRD260160): TIOPA 2010 ss 44–48 allow DTR for withholding on patent royalties up to the CT payable on the transaction, arrangement or asset; “The Patent Box deduction will be bought [*sic*] into the DTR calculation and by reducing the CT chargeable may result in a restriction of the DTR available.” Here the limit (£90,000) still exceeds the £60,000 withheld, so nothing is lost: the treaty rate keeps the withholding inside the Patent Box rate.

Worked example 24.4B (labelled variation, not a story fact): high withholding plus the Patent Box

Suppose the same licence were granted to an unconnected **Marrovian** licensee (no treaty; 30% withholding).

£	With Patent Box	Without Patent Box
Withholding $30\% \times 1,200,000$	360,000	360,000
Credit limit (UK CT on the income)	90,000	225,000
Unilateral credit	90,000	225,000
Foreign tax wasted	270,000	135,000

A low effective UK rate makes high foreign withholding hurt more. Treaty access can be worth more than a headline rate.

Allocating deductions

TIOPA 2010 s 52(2): an amount deductible from profits of more than one description may be allocated “in such amounts, and to such of its profits for the period, as it thinks fit”. Deductions from total profits (group relief, qualifying charitable donations, losses set against total profits) can be steered. Loan relationship and intangibles amounts have their own sections: earlier periods’ non-trading deficits (s 53), non-trading debits (s 54), current-year deficits (s 55), intangibles debits (s 56), with ss 50–51 modifying how UK tax on loan relationship and intangibles profits is computed (headings verified; detailed mechanics not covered here).

Order: UK profits first (no foreign tax); then the foreign source with the **lowest foreign rate** (most room between foreign tax and UK tax on it); keep the highest-taxed sources as large as possible.

Worked example 24.5 (labelled hypothetical, not a story fact): s 52 allocation

For this example only, suppose Calder had **not** elected into the Patent Box, and in one AP had: UK trading profits **£500,000**; the TVS royalty profit **£900,000** (withholding **£60,000**); a royalty from an unconnected **Marrovian** licensee of **£500,000** gross (withholding 30% = **£150,000**; profit after its own costs **£400,000**); and **£1,000,000** of group relief and qualifying charitable donations to deduct.

Total profits £1,800,000 – deductions £1,000,000 = TTP **£800,000**; CT at 25% **£200,000**.

£	Bad allocation	Pro rata (5/9 of each)	Good allocation
Deductions set against UK profits	500,000	277,778	500,000
Deductions set against TVS royalty	100,000	500,000	500,000
Deductions set against Marrovian royalty	400,000	222,222	—
TVS royalty IG	800,000	400,000	400,000
TVS credit: lower of 60,000 and $25\% \times \text{IG}$	60,000	60,000	60,000
Marrovian royalty IG	—	177,778	400,000
Marrovian credit: lower of 150,000 and $25\% \times \text{IG}$	—	44,444	100,000
Total credit	60,000	104,444	160,000
CT payable (200,000 – credit)	140,000	95,556	40,000

The good allocation is optimal (checked by search over all allocations in £10,000 steps): the TVS royalty has £660,000 of “free room” (it can fall to £240,000 before $25\% \times \text{IG}$ drops below £60,000), so it absorbs deductions at no cost. Even so, **£50,000** of Marrovian tax ($150,000 - 100,000$) is lost: 30% exceeds 25%, and it is not PE tax, so it cannot be carried.

Exam lens: double tax relief - Grade: “Double tax relief” **core (1)** for LCG (the grid’s “Awareness module – basic principles only” note refers to the Awareness paper). - **Past appearances:** **N25 Q1** (20 marks: a full CT computation with overseas royalties under withholding, no treaty, so **unilateral relief**; “Nearly all candidates failed to realise that the royalties can be treated as one source and the foreign tax credits aggregated”); **M25 Q4** (20 marks: CT computation with TP, **DTR on royalties at different WHT rates** and SBA: “generally good”); **M26 Q5** and **N25 Q2** (credit relief on branch profits as one strand). - **Layout:** a DTR column per source: income (gross), allocated deductions, IG, UK CT at R, foreign tax, credit (lower), unrelieved; UK profits column first; £ throughout, never mixed with £000. - **Traps:** s 42 is **not** the mixer; gross up; no pooling (repealed 1 July 2009); **minimisation**; allocate deductions to UK profits first, then the lowest-taxed source; excess credit lost except PE tax (ss 72–78); exempt dividends carry no credit; the Patent Box deduction lowers the limit.

Dividends and underlying tax

Most foreign dividends received by UK companies are **exempt** (CTA 2009 Part 9A: chapter 25). Underlying tax matters only when a dividend is **taxable**: it falls outside every exempt class or is caught by the anti-avoidance rules; it is deductible for the payer abroad (then **not exempt** and **no underlying tax credit**, s 931D(c), s 57(3): only withholding is creditable); or the recipient elects to tax it (s 931R).

Rule	Detail	Reference
Entitlement	Recipient controls, directly or indirectly, at least 10% of the voting power in the payer	s 14 (unilateral Rule 6); treaty terms similar
Amount	Foreign tax on the relevant profits, attributable to the dividend (Steps 1–2)	s 58
Mixer cap	Step 3: $(D + PA) \times M\%$, where D is the dividend, PA the underlying tax and M the UK rate	s 58; INTM164220 (formula from HMRC, as legislation.gov.uk shows it as an image)
Gross up	Dividend grossed up by the full underlying tax, including any amount disallowed by Step 3	s 31(2)–(3)
Rate boosting	Underlying tax at a rate above the UK rate, included only because of an avoidance scheme, restricted to the relievable rate	ss 67–68
History	Mixer cap from 2001; onshore pooling and EUFT repealed for dividends paid on or after 1 July 2009	INTM164210

Worked example 24.6 (labelled hypothetical, not a story fact): a taxed dividend

Suppose TVS paid TPLC a dividend of **£1,000,000** and TPLC elected under s 931R to have it taxed. TVS’s profits were taxed at 20% with no differences.

£	
Dividend	1,000,000
Underlying tax: $1,000,000 \times 20/80$	250,000
Gross income (s 31)	1,250,000
UK CT at 25%	312,500
Mixer cap on underlying tax: $(1,000,000 + 250,000) \times 25\%$	312,500 → underlying tax allowed 250,000
Vallarian withholding $15\% \times 1,000,000$	150,000
Total foreign tax (withholding + underlying)	400,000
Credit: lower of 400,000 and s 42 limit 312,500	312,500
UK CT payable	nil
Foreign tax wasted	87,500

Electing to tax saves no UK tax here. Chapter 25 discusses when the election might still be made.

Double tax relief anti-avoidance

Bayfine UK v HMRC [2011] EWCA Civ 304 (Arden, Pitchford and Tomlinson LJ, reversing Peter Smith J). A US corporation owned two UK subsidiaries, which entered into forward contracts producing a large profit in one and a matching loss in the other. The transactions had no real commercial purpose beyond exploiting the different treatment of the profit in the two countries. The US treated the profitable subsidiary as a **disregarded entity** and taxed the profit in the parent's hands. In the UK the loss-making company surrendered most of its loss as group relief, and the profitable company claimed DTR of **£35,888,482** under Art 23 of the UK–US treaty for the US tax its parent had paid on the same profit. The Court of Appeal read the treaty purposively: “the primary purposes of the Treaty are ... to eliminate double taxation and ... to prevent the avoidance of taxation”. Granting the credit would have let the US tax wipe out UK tax on the profit while the matching loss was relieved in the UK as well. Nor did the UK have to give unilateral relief for tax that had failed to qualify under the treaty.

The statutory rules: TIOPA 2010 ss 81–88.

Condition (s 82)	Content
A	Credit for foreign tax would otherwise be allowable
B	There is a scheme or arrangement whose main purpose, or one of whose main purposes, is to cause foreign tax to be taken into account
C	The scheme is within s 83: one of the types in ss 84–88 (attribution of foreign tax; the effect of paying the foreign tax; deemed foreign tax; claims or elections; reducing a person's tax liability; tax-deductible payments). Underlying-tax schemes are tested as if the overseas company were UK resident
D	The total amount of credit claimed (including by connected persons) is more than minimal

Effect (s 81, as substituted by FA 2018 s 31): the effects of the scheme are counteracted by “such adjustments as are necessary”, by assessment, modification, amendment or disallowance of a claim. Since FA 2018 the counteraction is **self-executing**: the company must make it in its own return; previously HMRC had to give a counteraction notice (the notice machinery is in ss 89–95; their current status was not checked).

The tax function, and how the examiner tests it

Going further: the treaty and credit cycle (Tom Hesketh’s team, in our invented case)

When	Task
Before money moves	Identify the treaty (synthesised text); claim the reduced rate at source; supply residence certificates; document beneficial ownership and commercial purpose (PPT)
When foreign tax is paid	Collect receipts and assessments (credit is for tax actually payable, minimised: s 33)
In the return	Compute credit source by source (s 42, s 44); allocate deductions (s 52); show the Patent Box effect on royalty credits; consider expense relief in loss periods (ss 27, 112)
Deadlines	4 years after the AP, or 1 year after the AP in which the foreign tax is paid (s 19); 6 years from a later adjustment (s 79); PE excess-tax claims within 4 years (HMRC); MAP within the treaty’s period (often 3 years) or 6 years domestically (s 125)
After a TP adjustment	MAP and corresponding adjustment (Arts 9, 25); consequential claims within 12 months of the agreement (s 124(4))

Planning. Excess foreign tax is a pure cost: reduce source tax by treaty claims; earn income through better-treaty jurisdictions only for genuine commercial reasons (PPT); prefer expense relief in loss years; check that a domestic relief (Patent Box) does not just turn UK tax into wasted foreign credit; never build a structure whose only story is the treaty rate.

How the examiner tests it. (1) **Treaty extracts:** apply the supplied article’s words (residence, PE, withholding). (2) **DTR inside a computation:** N25 Q1 (unilateral relief on royalties), M25 Q4 (royalties at different rates), M26 Q5 (branch). (3) **Discussion:** explain the limit, allocation, or credit versus exemption.

Going further: where DTR meets the other regimes

Regime	Interaction	Chapter
Withholding by UK payers	The mirror image: the UK as source state, applying treaty rates (s 911 reasonable belief for royalties; Treaty Passport for interest)	23

Regime	Interaction	Chapter
Branch exemption	Exempt PE profits carry no credit (s 18(3A)); the election is all-or-nothing and irrevocable	25
Dividend exemption	Exempt dividends carry no credit; withholding on them is a pure cost	25
CFCs	Foreign tax on a CFC's profits reduces the CFC charge as creditable tax (a different mechanism from Part 2 credit)	26
Transfer pricing	Art 9 corresponding adjustments and MAP remove economic double taxation after an adjustment	27
Patent Box	The deduction lowers UK tax on the royalty and so the s 42 limit (CIRD260160)	11, this chapter

Judgement. A credit computation is only as good as its evidence. Foreign tax receipts, assessments and the treaty claim are working papers an enquiry will ask for, and the credit is for foreign tax actually payable after minimisation.

Exam lens: the chapter as a whole - Grades: treaties **1**; DTR **1**; Patent Box (the interaction) **3**; branch exemption and Part 9A belong to chapter 25 (**1**). - **Style:** “Calculate, with explanations”; DTR computations sit inside CT computations, often as the last steps before CT payable and instalments. - **What earns marks:** gross up; $R \times IG$ per source; credit = lower; unrelieved amount stated and its fate (lost, or PE carry); a sentence on minimisation; correct allocation of deductions with the reason. - **Common waste:** discussing dividend credits for an exempt dividend; quoting the OECD Model when an extract is given; raising DPT (now UTPP, awareness) in a DTR question.

What to take away

- A treaty **allocates and limits** taxing rights; it **never creates a charge**. It reaches UK law through TIOPA 2010 s 2 and an Order in Council; since **1 October 2018** many treaties are edited by the **MLI**: read the synthesised text.
- Method:** classify → article → who may tax and how much → relief article. In the exam, use the **supplied extract**.
- Business profits are taxed at source only through a **PE**. Under the invented UK–Vallaria treaty, a construction project counts after **12 months**; Calder’s **14-month** refinery contract was a PE.
- Withholding caps depend on **beneficial ownership** (*Indofood*, 2006); the **PPT** denies a benefit where obtaining it was **one of the principal purposes** of an arrangement.
- Non-discrimination** protects foreign-owned companies (*FCE Bank*, 2012); **MAP** resolves taxation not in accordance with a treaty; **arbitration** backs it where the MLI applies.
- DTR is usually a **credit**, by treaty or **unilaterally**; income is **grossed up**; the foreign tax must be on the **same income** (*Anson*, 2015) and **minimised** (s 33); claims within **4 years** (or 1 year after the AP of payment).
- Credit $\leq R \times IG$, source by source** (s 42); for trade income, per **transaction, arrangement or asset** (s 44). Excess is **lost**, except PE tax (forward indefinitely, or back 3 years, same PE).

- **Calder:** refinery PE profit **£900,000**, Vallarian tax **£180,000** fully credited, UK top-up **£45,000**; TVS royalty **£1.2m**, withholding **£60,000** fully credited although the Patent Box cuts UK CT on it to **£90,000**.
- **Allocate deductions** to UK profits first, then the lowest-taxed source (worth **£100,000** in the labelled example).
- **Underlying tax** only for taxable dividends; 10% holding; gross up by the full underlying tax; **mixer cap (D + PA) × M%**; pooling ended **1 July 2009**.
- **Anti-avoidance:** *Bayfine* (2011) read the treaty purposively; **ss 81–88** counteract schemes automatically since FA 2018.

A credit is one way to relieve foreign profits. Chapter 25, on going abroad through a branch or a subsidiary, looks at the other way, exemption, and asks when a group should choose it.

Key rules and figures

Item	Rule or figure	Authority
Treaty effect	Order in Council; draft approved by the Commons	TIOPA 2010 ss 2, 5(2), 6
MLI	In force for the UK 1 October 2018; UK–Ireland: Arts 3, 4, 6, 7, 13, 15, 16, 17, Part VI arbitration; no Art 12	UK–Ireland synthesised text
PPT	Benefit denied if obtaining it was “one of the principal purposes”	MLI Art 7
Interpretation	Commentaries persuasive “as the cogency of their reasoning deserves”	<i>Fowler</i> [2020] UKSC 22
Beneficial ownership	International fiscal meaning; conduit not the beneficial owner	<i>Indofood</i> [2006] EWCA Civ 158
Non-discrimination	Foreign ownership cannot bar UK group relief (pre-2000 rules)	<i>FCE Bank</i> [2012] EWCA Civ 1290
MAP	3 years (Model/MLI Art 16); UK fallback 6 years; agreements given effect despite any enactment; consequential claims 12 months	TIOPA 2010 ss 124–125
Credit	Reduces UK tax on the same income	s 18; <i>Anson</i> [2015] UKSC 44
Unilateral relief	Where no treaty	ss 8–17
Gross up	No deduction for foreign tax; dividends grossed up by full underlying tax	s 31
Minimisation	All reasonable steps, including treaty claims	s 33
Credit limit	$R \times IG$, source by source; royalties for one asset paid in several jurisdictions treated as one source	ss 42, 44, 47
Trade income	Per transaction, arrangement or asset; just and reasonable deductions incl. connected companies’ expenses	s 44
Allocation	As the company thinks fit	s 52

Item	Rule or figure	Authority
Expense relief	Elect no credit; deduct foreign tax	ss 27, 112
Claim time limit	4 years after the AP, or 1 year after the AP of payment if later; 6 years after a later adjustment	ss 19, 79 (INTM162560, 162570)
PE excess tax	Forward without limit; back to APs beginning in previous 3 years; same PE; claim 4 years	ss 72–78 (INTM163040)
Foreign PE losses used abroad	Credit reduced by tax saved	ss 71A–71B
Branch exemption	No credit for tax on exempt PE profits	s 18(3A)
Underlying tax	10% voting control; mixer cap $(D + PA) \times M\%$	ss 14, 57–58 (INTM164220)
Pooling and EUFT	Repealed for dividends from 1 July 2009	INTM164210
DTR anti-avoidance	Conditions A–D; self-executing since FA 2018	ss 81–88; FA 2018 s 31
Patent Box and DTR	Deduction reduces CT and may restrict DTR	CIRD260160
Calder refinery (GY3)	PE profit £900,000; Vallarian tax £180,000; credit £180,000; UK top-up £45,000	invented (story)
Calder royalty (GY4 on)	£1.2m; withholding 5% £60,000; costs £300,000; Patent Box CT £90,000; credit £60,000; UK CT payable £30,000	invented (story)

Statutory and case references

Statute. TIOPA 2010 Part 2: ss 2, 5, 6, 8–17 (unilateral relief; s 14 Rule 6), 18, 18(3A), 19, 27, 31, 33, 42, 44–49, 50–56, 57–58, 63–68, 71A–71B, 72–78, 79, 81–88 (s 81 substituted by FA 2018 s 31), 89–95, 112, 124–125. CTA 2010 Part 8A, s 357A (Patent Box). CTA 2009 Part 2 Ch 3A (s 18A) and Part 9A (ss 931A–931R), signposted. Multilateral Instrument Arts 3, 4, 6, 7, 13, 15, 16, 17, Part VI (UK–Ireland synthesised text).

HMRC guidance. INTM153010–153270 (treaty articles); INTM154050; INTM162560, INTM162570 (time limits); INTM163040 (PE unrelieved tax); INTM164210, INTM164220 (pooling history; mixer cap); INTM342510 (treaty claims); INTM423040, INTM423070 (MAP); CIRD260160 (Patent Box and TIOPA).

Cases. - *Fowler v HMRC* [2020] UKSC 22 (treaty interpretation; recap of chapter 2). - *Indofood International Finance Ltd v JP Morgan Chase Bank NA* [2006] EWCA Civ 158 (beneficial ownership). - *HMRC v FCE Bank plc* [2012] EWCA Civ 1290 (non-discrimination; group relief). - *Anson v HMRC* [2015] UKSC 44 (same income). - *Bayfine UK v HMRC* [2011] EWCA Civ 304 (purposive reading of the relief article; unilateral relief).

History. UK–Irish Free State agreement, 14 April 1926 (text reproduced in the Irish Income Tax Act 1967 schedule); League of Nations model conventions, October 1928.

Chapter twenty five: Outbound: branch or subsidiary.

A choice that may not last.

On 13 July 2026 HMRC published draft legislation that would take away the choice this chapter is about. For fifteen years a UK company with a branch abroad has been able to decide whether that branch's profits and losses stay inside UK corporation tax or fall outside it. The draft would make the foreign branch exemption **compulsory for accounting periods beginning on or after 1 January 2027**. A policy paper published on 21 May 2026 had explained the aim: it was directed at companies using the losses and capital allowances of foreign branches to reduce their UK profits.

That draft is **proposed, not law**. The 2027 sittings test Finance Act 2026, and under that Act the exemption is still an **election**. So the old question is still the live one, and it is one of the oldest in international tax: **when a company goes abroad, should it go as itself, through a branch, or through a new company, a subsidiary? And if it goes as itself, should it ask to have the branch taken out of the UK tax base?**

This is chapter 25, the fourth chapter of Part Four (crossing borders). Overseas branches and subsidiaries sit inside the **core (grade 1)** grid row "Company residence and chargeable profits of non-UK resident companies and concept of permanent establishment/branch". Company distributions received (foreign dividends) and unremittable income are **core**. "Transfers concerning companies of different member States" and international movements of capital are **non-core (grade 2)**. *The Living Law* (TKS), chapter 26, introduced the branch and the subsidiary, the s 18A election and its opening negative amount, the dividend exemption and s 140. Here we take each to Advanced Technical depth.

Statutes: Corporation Tax Act 2009 (**CTA 2009**: Part 2 Ch 3A, ss 18A–18S; Part 9A, ss 931A–931S; ss 173–175; Part 18, ss 1274–1278); Taxation (International and Other Provisions) Act 2010 (**TIOPA 2010**: Part 2, double tax relief); Taxation of Chargeable Gains Act 1992 (**TCGA 1992**: ss 140–140L); Finance Act 2009 s 37 and Sch 17. The law throughout is that for **FY2026**.

Two ways to go abroad.

A UK resident company is chargeable to corporation tax on all its profits wherever they arise (CTA 2009 s 5). A **branch** is not a separate person: it is the company itself doing business in another country, so its profits are the company's profits and sit in its UK computation, whatever tax the other country also charges.

A **subsidiary** is a new company with its own legal personality. If it is incorporated and managed abroad it is not UK resident, and the UK does not tax its profits as they arise. Chapter 22 explained how residence follows central management and control: a foreign subsidiary whose real decisions are taken in Leeds can find itself resident in Leeds, defeating the purpose of creating it.

The Living Law's picture: a branch is a **spare room** in your own house; a subsidiary is a **separate flat** you own. The spare room is part of the household accounts. The flat has its own meter, bills and tenancy, and money comes back to you only when the flat pays you something.

The territorial turn. For most of the last century the UK taxed both routes on a credit basis: branch profits as they arose, dividends from foreign subsidiaries when received, with credit for foreign tax. Then:

Date	Change
1 July 2009	Foreign dividends broadly exempt (CTA 2009 Part 9A); onshore pooling and EUFT repealed; ICTA 1988 s 765 Treasury consent replaced by reporting (FA 2009 Sch 17)
19 July 2011	Foreign branch exemption election (CTA 2009 Part 2 Ch 3A, inserted by FA 2011 Sch 13)
2012–2013	Reformed CFC regime (FA 2012 Sch 20; CFC APs beginning on or after 1 January 2013); branch anti-diversion rule aligned with it
2026	FA 2026: s 18S updated to the OECD Model approved on 18 November 2025 (otherwise no change to Ch 3A or Part 9A)
13 July 2026	Draft Finance Bill 2026-27 clauses: compulsory exemption (proposed, not law)

The UK moved from taxing foreign profits with credit to leaving most of them alone, while building tools (CFCs, the branch anti-diversion rule, transfer pricing) to stop profits being diverted from home.

So a company going abroad has **three** possible positions, not two: (1) a branch taxed in the UK with credit; (2) a branch exempted by election; (3) a subsidiary whose profits come home as exempt dividends.

The branch taxed as part of the company.

Without an election, the branch is part of the company's business. If the company trades in the UK and carries out a contract abroad through a permanent establishment (PE), the foreign profits and losses are part of one trading computation. The other country taxes the profits attributable to the PE as its treaty allows (chapters 23–24); the UK taxes them again and gives credit.

Two consequences:

1. **A branch loss reduces UK tax at once**, against the company's other profits of the same period.
2. **A profitable branch never pays less than the UK rate overall**. Credit tops foreign tax up to UK tax; it never refunds foreign tax that is higher.

Chapter 24 set out the credit limit (TIOPA 2010 s 42: $R \times IG$, source by source, after allocating deductions under s 52). For trade income, the credit cannot exceed the CT attributable to the income from the particular transaction, arrangement or asset, after a just and reasonable share of deductions (s 44). Two refinements for branches:

- **Carry forward and back** of unrelieved foreign tax on a PE's profits: forward, or back to APs beginning up to 3 years earlier, against UK tax on the **same PE's** profits (ss 72–78).
- **Foreign use of branch losses** (ss 71A–71B, FA 2018): where a PE loss is used abroad against other persons' profits (for example in a foreign group consolidation), the foreign tax available for credit on the PE's later profits is reduced by the tax saved.

Calder's Vallarian branch (invented). Our invented group, Tarnmoor (everything about it is invented for teaching), bought Calder Valve Engineering Ltd (CVE; 31 March year end) on 1 April GY1. In **August GY2** Calder began an installation

contract at a refinery in **Vallaria** (invented; CT rate **20%**). The project ran **14 months**, to **September GY3**. The invented UK–Vallaria treaty treats a construction or installation project lasting **more than 12 months** as a PE (chapter 24). So Calder had a Vallarian branch from the start.

Worked example 25.1: Calder’s branch without an election (invented)

Vallarian loss relief is ignored (story simplification: in real life Vallaria would probably carry the GY3 loss forward and tax less of the later profit).

£	AP 1 Apr GY2 – 31 Mar GY3	9-month AP 1 Apr – 31 Dec GY3	Project life
PE result included in Calder’s trading profits	(300,000)	900,000	600,000
UK CT at 25% on the PE result	(75,000)	225,000	150,000
Vallarian tax at 20%	—	180,000	180,000
Credit limit (s 42/s 44: UK tax on the contract’s income)	—	225,000	
DTR credit (lower of foreign tax and limit)	—	(180,000)	(180,000)
UK tax (relief) attributable to the PE	(75,000)	45,000	(30,000)
Total tax: Vallaria + UK			150,000

$\text{£}150,000 \div \text{£}600,000 = 25.0\%$. Without an election a branch is taxed at the UK rate on its **net** result, with Vallaria taking its share first.

The election.

CTA 2009 s 18A: where a UK resident company has elected, **exemption adjustments** are made in calculating its taxable total profits so that the profits **and losses** of its foreign PEs are left out. The symmetry is the price.

Mechanics (s 18A(4)–(7)). For each **relevant foreign territory** (one in which the company carries on, or has carried on, business through a PE) there is a **relevant profits amount** or a **relevant losses amount**. The **foreign permanent establishments amount** = aggregate relevant profits amounts – aggregate relevant losses amounts. It may be positive or negative, and the exemption adjustments remove it either way.

Measuring the branch profit.

Situation	Measure	Source
Full treaty territory (treaty with a non-discrimination article covering PEs: s 18R)	Profits the treaty’s business profits article would attribute to the PE	s 18A; INTM281040
No full treaty	Profits that would be attributed under a treaty in the form of the OECD Model , as defined	s 18A, s 18S

Situation	Measure	Source
	in s 18S (updated by FA 2026 Sch 7 to the Model approved on 18 November 2025)	
Capital allowances	Notional allowances (s 18C), given automatically on the most favourable assumptions, so that allowances on exempt PE assets cannot reduce the profits that stay taxable	INTM285020 (HMRC's view)
Leasing	Amounts from a lease where the lessor or a connected company claimed UK allowances are left out (s 18C(3))	INTM285050

The edges.

- **Investment business:** profits or losses of any part of the business consisting of making investments are left out of the relevant amounts.
- **UK land:** UK property business profits and UK land-linked gains are never exempted (s 18A(2A), (2B)).
- **Small companies:** only PEs in **full treaty territories** count.
- **Chargeable gains** are generally within the relevant amounts (immovable property abroad used for the PE included: s 18B); but **close companies'** gains are excluded (s 18P(2)) unless on assets used **solely** for the PE's trade (s 18P(3)), in which case credit relief applies to excluded gains in the normal way.
- **Shipping and air transport** in international traffic are excluded.

Interaction.

- **No credit:** foreign tax on an exempt relevant profits amount is not "tax payable" for credit (**TIOPA 2010 s 18(3A)**).
- **UK-to-UK TP exemption:** s 164A TIOPA 2010 does not apply where s 18A exemption adjustments are made in relation to the activities (chapter 27).
- **Intangibles:** an asset used in an exempt PE cannot pass tax-neutrally within the intangibles group (chapter 11).

All or nothing. The election covers **every** foreign PE of the company, present and future. It cannot be made branch by branch. A group wanting different answers for different branches must put them in different companies.

Timing (s 18F; INTM281020).

Rule	Detail
Effect	Applies to all APs beginning on or after the relevant day (s 18F(1)); an AP straddling the relevant day is split (s 18F(4))
Relevant day (UK resident company)	The day on which the company's next AP is expected to begin when the election is made (HMRC: objective, by reference to the normal accounting date); if made before the first AP, the start of that AP (s 18F(2))
Before the relevant day	May be revoked by the company (s 18F(6), from 1 January 2013)
After the relevant day	Irrevocable ; ends automatically only if the company ceases to be UK resident (s 18F(7)–(8))
Change of accounting date	The election still takes effect from the original relevant day (HMRC)

Misconception: “electing is a no-brainer once the branch is profitable.” It is not. The election is irrevocable, covers every PE in every country forever, and starts only with the *next* AP. A company that elects gives up UK relief for every future branch loss. It is a forecast of the whole future pattern of the company’s overseas business, made in advance.

The opening negative amount.

Without a further rule, a company could have branch losses relieved in the UK, then elect just as the branch turned profitable. The **transitional matching rules** (CTA 2009 ss **18J–18N**) close that door.

The look-back (INTM284020). Look back over the **6 years** before the first AP the election covers. Aggregate the net losses of **all** the company’s foreign PEs, net of their profits. Net losses not absorbed by later profits form the **total opening negative amount**. Chargeable gains and losses are ignored. (A historic extension applies to a “large pre-commencement loss” over £50m in one territory; not needed for the exam.)

Matching (INTM284030). Until the opening negative amount is fully matched by later relevant profits, those profits are **not exempt**: they stay in charge, with credit relief. Only then does the exemption start.

Streaming (ss 18L–18N; INTM284040). By default the negative amount is one pool across all territories, so a profitable branch in one country can be held in charge by old losses in another. A **streaming election** attaches amounts to the territory that produced them. It has effect only if the company specifies, in its company tax return for the **first relevant AP**, how much is to be the streamed opening negative amount for each streamed territory. A streamed amount is reduced only by that territory’s relevant profits (s 18M); unmatched profits elsewhere are treated as unstreamed (s 18N(3)).

The Living Law’s image: the opening negative amount is **paying back the rent rebate** you enjoyed while the spare room stood empty.

Worked example 25.2: the opening negative amount (labelled, not story)

A company has PEs in two countries, A and B, in the 6 years before its election takes effect.

£	Country A	Country B	Total
Net results over the 6 years	(500,000)	200,000	(300,000)
Total opening negative amount			300,000

The first £300,000 of later relevant profits, from either territory, stays taxable, with credit; only profits above that are exempt. A streaming election (made in the first relevant return) would instead tie the matching to territory A, whose losses produced the amount, so that B’s later profits are not held in charge by A’s history.

Calder’s decision.

When the refinery contract was signed in GY2, Calder’s board compared a branch with a Vallarian subsidiary and chose the branch (below). It did **not** elect then: the forecast showed early losses, the project was a single contract, and Calder’s engineers expected more installation work abroad as Project Ashlar’s technology sold. An election would have bound every future branch.

In the summer of GY3, with the profit clear, Calder’s finance director, **Graham Pike**, asked **Tom Hesketh**, the group head of tax, whether it was too late. It was. Calder was in its 9-month AP (1 April–31 December GY3). An election made then would take effect only from **1 January GY4**, after the project had ended: it would exempt nothing and would still bind Calder’s future branches. **Calder did not elect.**

Worked example 25.3: hindsight: an election made in the AP to 31 March GY3 (labelled counterfactual, not story)

Relevant day: 1 April GY3. Six-year look-back: Vallarian PE loss £300,000 (AP to 31 March GY3): total opening negative amount **£300,000**.

£	Not exempt (matched)	Exempt	Total
Relevant profits, 9-month AP to 31 Dec GY3	300,000	600,000	900,000
UK CT at 25%	75,000	—	75,000
Vallarian tax at 20% (apportioned pro rata)	60,000	120,000	180,000
Credit	(60,000)	not creditable: s 18(3A)	(60,000)
UK top-up	15,000	—	15,000

Comparison (£)	No election (actual)	Election from 1 April GY3
UK relief for GY3 loss	(75,000)	(75,000)
UK top-up on later profit	45,000	15,000
Vallarian tax	180,000	180,000
Total tax over the project	150,000	120,000
Saving		30,000

Against £30,000: the loss of UK relief at 25% for **every** future branch loss of Calder, in every country, for ever. For a company about to export a new technology through installation projects that often begin with losses, the board’s view that this was a small prize for a large, permanent commitment is defensible. In an exam, say so as a recommendation.

Guard rails.

The anti-diversion rule (ss 18G–18I). An exemption invites diversion: mobile income (interest, royalties) moved into a low-taxed branch. Since FA 2012 Sch 20 (relevant periods beginning on or after 1 January 2013), the rule is aligned with the CFC regime: in outline, and on HMRC’s description (INTM286010, INTM286310), a PE’s adjusted relevant profits amount (computed without gains) is not exempt so far as it includes profits that would pass through the CFC gateway if the PE were a

CFC (s 18H), unless one of the CFC entity exemptions in TIOPA 2010 Part 9A Chs 11–14 (excluded territories, low profits, low profit margin, tax exemption), as adapted, applies (s 18I). The test looks at each AP separately. Pre-2013 periods used an older motive test (not examinable). Chapter 26 teaches the CFC tests.

Reporting. FA 2026 s 48 allows regulations for reporting international controlled transactions (ICTS); the power covers transactions relevant to s 18A exemption adjustments. Regulations are **not yet made** (chapter 27).

Coming next (proposed, not law). The draft Finance Bill 2026-27 clauses (13 July 2026) would:

- make the exemption **compulsory** for APs beginning on or after **1 January 2027**, with exceptions including UK property business and investment business;
- **repeal the opening negative amount rules** and replace them with transitional rules **restricting the carry forward of losses** attributable to foreign PEs (income losses, capital losses and capital allowances in separate schedules);
- apply anti-avoidance to arrangements made on or after **13 July 2026**, with a rule against short accounting periods.

These points come from the draft and from professional commentary (KPMG; SWG; Paul Hastings), not from enacted law. Reports differ on whether an earlier start for oil and gas survived into the draft. None of it applies to the 2027 sittings (FA 2026). In practice, check the Bill's progress.

Exam lens: the branch exemption - Grade: core (within “Company residence ... concept of permanent establishment/branch”, 1). - **Past appearances:** **M23 Q2** (15 marks: stay non-exempt, elect, or incorporate; recommend: the examiners reported that some candidates failed to give the recommendation and lost marks; the best answers covered the transitional rules and deferral of the incorporation gain); **N25 Q2** (15 marks: PE analysis, then credit relief, the election (timing, irrevocable) and incorporation); **M26 Q5** (20 marks: construction PE, branch taxation and DTR, the election and its timing for losses, subsidiary, CMC, CFC, dividend exemption; TP excluded). - **Style:** explain and compare; short computations of UK tax with and without the election; a recommendation. - **Traps:** treating the election as per branch; forgetting it starts from the **next** AP and is irrevocable after the relevant day; ignoring the **opening negative amount**; giving credit for foreign tax on exempt profits (s 18(3A)); discussing UK residence or migration in a PE question (M26 Q5). - **Layout:** a short table of UK tax per AP under each option, all in £.

The subsidiary route.

A foreign subsidiary pays foreign tax on its own profits; the UK leaves them alone. Its losses stay with it, for the foreign country's rules. Its dealings with the UK parent must be at arm's length (chapter 27), and the CFC rules (chapter 26) stand guard over diverted profits.

Dividends: CTA 2009 Part 9A. Distributions received are charged (s 931A) unless exempt.

Recipient	Exempt if	Reference
Small company	Payer resident only in the UK or a qualifying territory (s 931C; broadly a territory with a treaty containing a non-discrimination provision); not an interest-like distribution (CTA 2010 s 1000(1) E or F); no	s 931B

Recipient	Exempt if	Reference
	deduction allowed abroad; not a tax advantage scheme	
Medium or large company	Within an exempt class ; not an E or F distribution; no deduction allowed abroad	s 931D

The exempt classes (one is enough).

Class	Detail	Reference
Controlled companies	Condition A: the recipient controls the payer. Condition B (joint venture): the recipient is one of two persons who together control the payer, holds $\geq 40\%$, and the other holds $\geq 40\%$ but $\leq 55\%$. Control as in TIOPA 2010 s 371RB (read with s 371RD as modified)	s 931E; INTM653030
Non-redeemable ordinary shares		s 931F
Portfolio holdings	Under 10%	s 931G
Transactions not designed to reduce tax		s 931H
Shares accounted for as liabilities		s 931I
Anti-avoidance	ss 931J–931Q (for example s 931J: schemes to bring pre-control profits within the controlled company class)	INTM654020

Deductible dividends. If the payer gets a deduction abroad, the dividend is not exempt (s 931B(c)/s 931D(c)), **and** no underlying tax credit is given (TIOPA 2010 s 57(3)): only withholding tax is creditable.

Withholding tax on an exempt dividend is a pure cost. Tarnmoor Vallaria SA (TVS; 100% owned by TPLC) pays dividends exempt under the controlled company class; Vallaria withholds **15%** under the invented treaty. For this example, suppose TVS pays **£10m**: Vallaria keeps **£1.5m**, which can never be credited because there is no UK tax.

The election to tax (s 931R). A company may elect for a distribution not to be exempt, within **2 years** after the end of the AP of receipt. A typical reason (reasoned illustration): a source country grants its lower treaty withholding rate only if the dividend is taxable in the recipient's hands, or credit would cover the UK tax anyway.

Worked example 25.4: does an election to tax help on Vallarian numbers? (labelled, not story)

A Vallarian subsidiary earns £900,000, pays Vallarian tax £180,000 and declares a dividend of £720,000, from which Vallaria withholds 15% (£108,000).

£	
Dividend (gross of withholding)	720,000
Underlying tax (Step 2: £180,000; mixer cap $(D + PA) \times 25\% = (720,000 + 180,000) \times 25\% = 225,000$, not restrictive)	180,000

£	
Taxable income (grossed up: s 31)	900,000
UK CT at 25%	225,000
Credit: underlying 180,000 + withholding 108,000 = 288,000, limited by s 42	(225,000)
UK tax	nil
Foreign tax unrelieved	63,000

Total tax £288,000 either way: the election achieves nothing.

Exam lens: foreign dividends - Grade: core (“Company distributions received”, 1; chapter 19 owns domestic distributions). - **Traps:** treating a dividend as taxable with credit when it is exempt; forgetting that a dividend **deductible abroad** is neither exempt nor carries underlying tax relief; trying to credit withholding against nothing; applying the small-company test to a large group; confusing the s 42 limit with the s 58 mixer cap (chapter 24).

Branch or subsidiary.

In GY2, Tom Hesketh’s paper for Calder’s board ran the two routes side by side, on the same simplification that Vallaria taxes each period’s profit at 20%.

Worked example 25.5: Calder’s board paper, branch v subsidiary (invented)

£	Branch (no election)	Vallarian subsidiary
Vallarian tax on £900,000 profit at 20%	180,000	180,000
UK relief for the £300,000 first-year loss	(75,000)	none: loss stays in Vallaria
UK top-up on £900,000 (25% – credit)	45,000	none: dividend exempt (s 931E)
Vallarian withholding on dividend of £720,000 at 15%	—	108,000 (if fully distributed)
Total tax	150,000	288,000 (180,000 if retained)
CFC exposure	n/a	Tax exemption met: $20\% \div 25\% = 80\% \geq 75\%$ (chapter 26)

For a short project that starts with a loss, the branch wins.

The general lesson is subtler. Over a long life, a profitable subsidiary in a lower-tax country keeps its lower rate, provided its profits are reinvested locally or come home without much withholding. A branch without an election is always topped up to the UK rate. **The branch wins early, while losses need relief; the subsidiary, or an elected branch, wins later, when profits are steady.**

Factor	Branch (no election)	Branch (elected)	Subsidiary
Losses	Relieved in the UK at once	Not relieved in the UK	Stay abroad
Rate on profits	UK rate (credit tops up)	Foreign rate only	Foreign rate; dividends exempt
Foreign tax credit	Yes (s 42 limits)	No (s 18(3A))	Only if dividend taxed (s 931R)
Withholding on profits sent home	None (same company)	None	On dividends: a pure cost
Anti-diversion	—	ss 18G–18I (CFC-shaped)	CFC rules (TIOPA 2010 Part 9A)
Pricing	PE attribution (CTA 2009 ss 20–21 for inbound; treaty Art 7)	Same	Transfer pricing (TIOPA 2010 Part 4)
Exit / change later	Elect, or incorporate (s 140)	Irrevocable	Liquidate or sell (SSE: chapter 18)
Legal liability	Company's own	Company's own	Ring-fenced
Residence risk	—	—	Board must manage abroad (chapter 22)
Pillar Two	Measured in the foreign jurisdiction in outline (chapter 30)	Same	Same
Scope	Company-wide decision	All PEs of the company	Entity by entity

Exam lens: branch or subsidiary - M26 Q5 (20 marks) set exactly this choice. The examiners reported that many candidates wrongly discussed residence or migration of the UK company; the best answers covered PE thresholds, the branch exemption and its timing (losses), the impact of the overseas rate, and the subsidiary through CMC and CFC; some did TP although it was excluded; candidates also lost marks for “not mentioning obvious points (e.g. how CFC legislation works)”. - **Layout:** three options in turn; a short tax-cost comparison; a recommendation naming the option and the main reason.

Incorporating a branch.

TCGA 1992 s 140 (core within the PE/branch row; examined N25 Q2 and M23 Q2).

Condition	Detail
Transferor	UK resident company carrying on a trade outside the UK through a PE
Transfer	The trade, with all its assets, or all except cash , to a non-UK resident company
Consideration	Wholly or partly securities (shares, or shares and loan stock) in the transferee
Holding	After the transfer, the transferor holds ≥ 25% of the transferee's ordinary share capital

Condition	Detail
Claim	The net gain is postponed in the proportion securities ÷ total consideration
Crystallisation	(1) Transferor disposes of the securities (any time): postponed gain added to proceeds; (2) transferee disposes of the transferred assets within 6 years : the corresponding part of the postponed gain comes back

Worked example 25.6: s 140 postponement (labelled, not story)

£	
Net gains on the branch's assets	1,000,000
Consideration: shares 3,000,000 + cash 1,000,000 = 4,000,000	
Postponed: $1,000,000 \times 3,000,000 / 4,000,000$	750,000
Chargeable now	250,000
CT at 25%	62,500

Judgement. (1) If the company has already elected under s 18A, gains on PE assets generally fall within the exempt amounts, so s 140 matters most for branches never exempt, or close companies (s 18P). (2) The new subsidiary is a foreign company controlled from the UK: CFC rules apply; plant transferred gives balancing adjustments; intangible fixed assets may give realisation credits (chapter 11). N25 Q2's examiners noted that few candidates saw that the incorporation gain could be postponed.

ss 140A–140L (non-core). A family of reliefs born in EU law (F(No.2)A 1992 ss 45–49; SI 2007/3186 for mergers):

Section	Relief (in outline)
s 140A (with s 140B anti-avoidance)	Transfer of all or part of a UK business between companies resident in different relevant states, wholly for shares or debentures, assets remaining in the UK charge: no gain, no loss, on a joint claim. CAA 2001 s 561 follows through for capital allowances
s 140C (with s 140D)	A UK company transfers a business carried on through a PE in a member State to a company resident in a member State , for securities: gains and losses netted; notional foreign tax credit under TIOPA 2010 s 122 where appropriate (CG45713)
ss 140E–140L	Cross-border mergers (s 561A CAA 2001)

Since **31 December 2020**, the Taxes (Amendments) (EU Exit) Regulations 2019 (SI 2019/689) reg 6 replaced “member State” with “**relevant state**” in s 140A, defined in s 140L(10) as **the UK or a member State**. The same regulation also amended s 140C (for example “another member State” became “a member State”, and “other than the United Kingdom” was omitted), so after Brexit s 140C still turns on a PE in, and a transferee resident in, an EU member State; treat its detailed post-Brexit scope with care. Vallaria is not a member State, so none of these reliefs helps Calder; Ireland is (chapter 31).

Exam lens: incorporation reliefs - Grades: s 140 within the core PE/branch row; “Transfers concerning companies of different member States” **non-core (2)**. - **N25 Q2:** the marking guide gave marks for the “conditions for chargeable gain postponement”. State the conditions; compute the postponed proportion; mention crystallisation. - **Trap:** forgetting the 25% condition (a transfer to a sister company in which the transferor holds nothing fails).

Unremittable income.

Two **separate** reliefs; choosing the right one is the first mark.

	Trading receipts	Other foreign income
Statute	CTA 2009 ss 173–175 (Part 3)	CTA 2009 Part 18, ss 1274–1278
HMRC guidance	BIM42750	CFC version: TIOPA 2010 s 371SN (INTM255820)
Test	Amount brought into account as a trade receipt is unremittable because, and only because, of foreign exchange restrictions (local law, executive action, impossibility of obtaining transferable currency). HMRC: such a debt is not a bad or doubtful debt	Condition A: income cannot be transferred to the UK because of local law, executive action of its government, or impossibility of obtaining transferable currency; Condition B: not realised outside the territory for sterling or a transferable currency (s 1274)
Relief	Deduction from trading profits, not so as to create a loss ; excess carried forward (s 173)	On a claim , income not taken into account (s 1275); claim within 2 years after the end of the AP in which the income arises
Withdrawal	Amount ceases to be unremittable, is exchanged for a remittable amount, is used to finance expenditure or investment outside the UK, an impairment is made, or (debts) insurance is received: treated as a trade receipt of that period (s 175)	Relief withdrawn when the income ceases to be unremittable (s 1276); income charged after the source has ceased (s 1277); valuation (s 1278)

Worked example 25.7: TEL’s blocked receipt (labelled example; amounts for illustration)

In GY6 a Marrovian customer of Tarnmoor Engineering Ltd (TEL) pays **£400,000** for pumps into a local bank account; new Marrovian exchange controls (Marrovia is invented) stop it leaving.

- The sale is a receipt of TEL’s **UK trade**, so the relief is **s 173**, not a Part 18 claim.
- GY6: £400,000 included in turnover; s 173 deduction (**£400,000**) (TEL’s trading profits are far larger, so no loss limit bites).
- GY7: controls lift and the money is converted: relief withdrawn (s 175); £400,000 treated as a trading receipt of GY7.
- Effect: **£100,000** of CT deferred one year. Any exchange difference on conversion is a separate accounting and tax point.

Contrast: if the blocked amount were **interest** on a Marrovia deposit of a UK company with no trade there, Part 18 would apply, with a claim by the second anniversary of the end of the AP.

Exam lens: unremittable income - Grade: core (1). Not seen as a main topic M23–M26: expect a few marks inside an overseas question. - **Traps:** treating a blocked trade debt as a bad debt; using Part 18 for trading receipts; missing the 2-year Part 18 claim; forgetting that the relief defers, it does not exempt.

International movements of capital.

Until 2009, **ICTA 1988 s 765** required **prior Treasury consent** for certain transactions moving capital outside the UK (for example, a UK company causing or permitting a foreign subsidiary to issue shares or debentures); s 765A required information for movements within Europe; s 766 made breach an offence. **FA 2009 s 37 and Sch 17** repealed them and substituted **reporting**, for events and transactions on or after **1 July 2009**.

Rule	Detail	Reference
UK corporate parent	UK resident body corporate controlling one or more non-resident bodies corporate, not itself controlled by UK resident companies	Sch 17 para 5
Reporting body	Not foreign-controlled; or foreign-controlled with no other UK corporate parent; or nominated where a foreign parent has several	Sch 17 paras 5–7
Reportable	Value exceeding £100m and: issue of shares or debentures by a foreign subsidiary; transfer of shares or debentures of a foreign subsidiary by or caused by the reporting body; a foreign subsidiary becoming or ceasing to be a controlling partner; others prescribed	Sch 17 para 8
Excluded	Ordinary course of trade; all parties resident in the same territory; security given to a foreign subsidiary's bankers; certain investment of funds; regulations	Sch 17 para 9
Deadline	Within 6 months of the event or transaction	Sch 17 para 4
Penalty	TMA 1970 s 98 (special returns)	Sch 17 para 10

Worked example 25.8 (labelled hypothetical, not story). TVS issues **£120m** of new shares to TPLC to fund a new plant. TPLC is a UK corporate parent and, not being foreign-controlled, the reporting body. £120m > £100m; the parties are in different territories; an issue of shares by a foreign subsidiary is not in the ordinary course of trade. **TPLC reports within 6 months.**

Exam lens: international movements of capital - Grade: non-core (2). Expect 1–2 marks: who reports, the £100m threshold, 6 months, s 98 penalty.

Going further.

- **PE register.** List every foreign PE, including construction sites and dependent agents that might create one (chapter 23): an election would capture all of them.
- **Model before each AP.** The election can only start with the next AP. If made, schedule the **opening negative amount** and make any **streaming** election in the first relevant return.
- **One company, one answer.** The election belongs to a company, not a group: loss-making ventures and mature branches can sit in different UK companies, one elected and one not. Some years later in our invented story, Tarnmoor buys Jess Hartley's Ridgeway Holdings, whose subsidiary has a Dublin showroom branch with no election: chapter 31 decides it.
- **Repatriation.** Dividends: usually exempt, but withholding is a cost. Interest, royalties and management charges: deductible abroad, taxable at home with credit for withholding, at arm's length. TVS pays interest to TFL (£120m at 6%) and TCM, a royalty to Calder (from GY4; 5% withholding; chapter 24) and a management charge to TPLC; it can pay dividends (15% withholding).
- **Deadlines.** s 931R election and Part 18 claims: 2 years after the AP end. IMC reports: 6 months. Streaming: first relevant return.
- **Record the reasoning.** Minute a decision not to elect with the forecast behind it (as Calder did), so a later finance director knows why the company is where it is. Using elections Parliament offers, as intended, is ordinary tax management, not avoidance.
- **Watch the draft Bill.** If enacted, the compulsory exemption would turn every branch decision into a question of transitional loss restriction for APs beginning on or after 1 January 2027.

How the examiner tests it.

The topic appears often, usually inside a larger international question: **M23 Q2** (15), **N25 Q2** (15), **M26 Q5** (20) (details in the Exam lens boxes above). The favourite combination is **PE + branch exemption + incorporation of the branch + CFC**. The grades: branches and subsidiaries, foreign dividends and unremittable income core; cross-border transfer reliefs and international movements of capital non-core.

A good answer to a branch question sets out the three options in turn (taxable branch: credit relief and loss timing; elected branch: irrevocable, all PEs, opening negative amount; subsidiary: residence kept abroad, dividend exemption, withholding as a cost, CFC test), compares the tax cost over the periods given, and **ends with a recommendation**. Allow about 2.1 minutes a mark (about 42 minutes for 20 marks). Keep each table in £ or £000, not both.

What to take away.

- A UK resident company is taxed on its profits wherever they arise (CTA 2009 s 5). **Without an election**, branch losses are relieved at once and branch profits are taxed at 25% with credit capped at UK tax on that income (TIOPA 2010 ss 42, 44): the branch's **net** result is taxed at the UK rate.

- **s 18A election:** removes profits **and** losses of **every** foreign PE, territory by territory, measured under the full treaty or the OECD Model (s 18S, updated to 18 November 2025); notional capital allowances. Applies from the **relevant day** (start of the next AP); revocable only before then; then **irrevocable**. **No credit** for foreign tax on exempt profits (s 18(3A)). Small companies: full treaty territories only; close companies' gains excluded unless assets used solely for the PE (s 18P); investment business and UK land excluded; anti-diversion rule (ss 18G–18I) shaped like the CFC rules.
- **Opening negative amount** (ss 18J–18N): 6-year look-back; net PE losses must be matched by later PE profits before exemption; streaming per territory in the first relevant return.
- In our invented case, Calder's Vallarian branch lost **£300,000** (AP to 31 March GY3; UK relief £75,000), then made **£900,000** (9-month AP to 31 December GY3): Vallarian tax **£180,000**, UK CT **£225,000**, top-up **£45,000**; project total **£150,000** (25% of £600,000). **Calder did not elect:** by the time the profit was clear, an election could start only after the project ended. Hindsight: electing in the earlier AP would have saved **£30,000** at the price of binding every future branch.
- **Subsidiary:** own profits, losses and rate. Dividends exempt if in an **exempt class** (controlled companies incl. the **40/55** joint venture limb; non-redeemable ordinary shares; portfolio < 10%; transactions not designed to reduce tax; shares accounted as liabilities), unless **deductible abroad** (then no exemption and no underlying tax credit). Withholding on exempt dividends is a pure cost (TVS: 15%). **s 931R** election: within 2 years.
- **s 140:** postponement on incorporating a foreign PE trade for securities, transferor ≥ 25%, in proportion securities ÷ consideration; crystallises on disposal of the securities, or of the assets within 6 years. ss 140A–140L: non-core; “relevant state” = UK or a member State.
- **Unremittable:** trading receipts under ss 173–175 (no loss created; withdrawn when remittable or used abroad); other foreign income under Part 18 (claim within 2 years).
- **International movements of capital:** reporting body; > £100m; within 6 months; TMA s 98.
- **Proposed, not law:** a compulsory exemption for APs beginning on or after 1 January 2027 (draft of 13 July 2026).

So, branch or subsidiary? A branch while losses need relief; a subsidiary, or an elected branch, when profits are steady; and a recommendation either way. Under Finance Act 2026 it is still a choice.

Once a subsidiary exists, the UK still watches what it earns. Chapter 26, on controlled foreign companies, explains how.

Key rules and figures

Rule	Figure or test	Reference
Branch exemption election	All foreign PEs; profits and losses; from the relevant day (next AP); irrevocable after it	CTA 2009 ss 18A, 18F
Measure	Full treaty attribution, else OECD Model (18 Nov 2025 version)	ss 18A, 18R, 18S
No credit for exempt profits	Foreign tax not “tax payable”	TIOPA 2010 s 18(3A)
Small companies	Full treaty territories only	CTA 2009 Ch 3A; s 18R
Close companies	Gains excluded unless assets used solely for the PE	s 18P
Anti-diversion	CFC-shaped test; CFC entity exemptions adapted	ss 18G–18I

Rule	Figure or test	Reference
Opening negative amount	6-year look-back; matching; streaming in first relevant return	ss 18J–18N; INTM284020–284040
PE foreign tax	Carry forward; back 3 years; same PE	TIOPA 2010 ss 72–78
Foreign use of PE losses	Reduces later creditable tax	TIOPA 2010 ss 71A–71B
Dividend exemption (large/medium)	Exempt class; not E/F; no foreign deduction	CTA 2009 s 931D
Controlled company class	Control; or JV $\geq 40\%$ with other 40–55%	s 931E
Deductible dividend	Not exempt; no underlying tax	s 931D(c); TIOPA 2010 s 57(3)
Election to tax	Within 2 years after AP end	s 931R
Incorporation of foreign PE	$\geq 25\%$; securities $\div$ consideration; 6 years	TCGA 1992 s 140
EU-derived reliefs	“Relevant state” = UK or a member State	TCGA 1992 ss 140A–140L; SI 2019/689
Unremittable (trade)	Deduct, no loss; withdrawal events	CTA 2009 ss 173–175
Unremittable (other)	Claim within 2 years	CTA 2009 ss 1274–1278
International movements of capital	$> \text{£}100\text{m}$; report within 6 months; s 98 penalty	FA 2009 s 37, Sch 17
Calder Vallarian PE (invented)	Loss $\text{£}300,000$; profit $\text{£}900,000$; Vallarian tax $\text{£}180,000$; UK top-up $\text{£}45,000$; no election	—
Hindsight election (counterfactual)	Opening negative amount $\text{£}300,000$; exempt $\text{£}600,000$; saving $\text{£}30,000$	—
Branch v subsidiary (invented)	$\text{£}150,000$ v $\text{£}288,000$ ($\text{£}180,000$ if retained)	—
Proposed (not law)	Compulsory exemption, APs beginning on or after 1 January 2027	Draft Finance Bill 2026-27 clauses (13 July 2026)

Statutory and case references

- CTA 2009: s 5; Part 2 Ch 3A, ss 18A, 18B, 18C, 18F, 18G–18I, 18J–18N, 18P, 18R, 18S (inserted by FA 2011 Sch 13; s 18S amended by FA 2026 Sch 7); ss 173–175; Part 9A, ss 931A–931S (esp. 931B, 931C, 931D, 931E–931I, 931J, 931R); Part 18, ss 1274–1278.
- TIOPA 2010: ss 18(3A), 31, 42, 44, 52, 57(3), 58, 71A–71B, 72–78, 122, 164A; Part 9A (CFCs) Chs 11–14; s 371SN.
- TCGA 1992: ss 140, 140A–140L (s 140L(10)).
- CAA 2001 ss 561, 561A.
- FA 2009 s 37, Sch 17; ICTA 1988 ss 765–767 (repealed); TMA 1970 s 98.
- FA 2012 Sch 20 Part 2; FA 2018 s 30; FA 2026 s 48, Sch 7.
- SI 2019/689 (Taxes (Amendments) (EU Exit) Regulations 2019) reg 6; SI 2007/3186.
- HMRC manuals: INTM281010, INTM281020, INTM281040, INTM282070, INTM284020, INTM284030, INTM284040, INTM285020, INTM285050, INTM286010, INTM286310, INTM653020, INTM653030, INTM654020, INTM255820; BIM42750; CG45713.
- Draft Finance Bill 2026-27, foreign branch exemption draft legislation (13 July 2026) and policy paper (21 May 2026): proposed, not law.

- No case law is central to this chapter; the residence cases (*De Beers*, *Wood v Holden*, *Development Securities*) are in chapter 22.

Chapter twenty six: Controlled foreign companies.

A rule on trial.

On **19 September 2024** the Court of Justice of the European Union gave judgment in three joined appeals (Cases C-555/22 P, C-556/22 P and C-564/22 P). The appellants were the United Kingdom, the broadcaster ITV, and companies in the London Stock Exchange group. The defendant was the European Commission. The subject was a single exemption in the UK's rules on controlled foreign companies: the exemption for group finance companies.

Five years earlier, on **2 April 2019** (Decision (EU) 2019/1352), the Commission had decided that part of that exemption was unlawful State aid. HMRC had been made to collect the money from the groups that had used it. The General Court had upheld the Commission on **8 June 2022** (Cases T-363/19 and T-456/19). Now the Court of Justice set that judgment aside and annulled the Commission's decision. *(The EU dates and case numbers come from the Court's press release as reproduced by professional sources; the British steps that followed are in UK statute and are verified. We meet them later in the chapter.)*

The legal error was a choice of baseline. To call a tax rule State aid, you must show that it departs from the normal rules. The Commission had treated the CFC rules themselves as the normal rules, and the finance company exemption as a departure from them. The Court of Justice held that the right reference framework was the UK's corporation tax system as a whole. Look at the whole system, and a rule that chooses not to tax some foreign profits is not a gift: it is a decision about where the UK's taxing reach should stop.

That is the question underneath this chapter. A UK company owns a subsidiary abroad. The subsidiary is a separate person, resident in another country, taxed there. Its profits are not the parent's profits. **When, if ever, should the UK tax them? And if it does, on whom, and how much?**

This is chapter 26, in Part Four (profits that cross borders). Controlled foreign companies are **core (grade 1)** on the LCG Advanced Technical paper, and the examiners set full 20-mark CFC questions in May 2024 and May 2025. *The Living Law* (TKS), chapter 26, met the choice between a branch and a subsidiary abroad and the exemption for foreign dividends, and only signposted these rules. Chapter 25 of this book took the branch side of that choice; here we take the subsidiary side to Advanced Technical depth. Throughout, the law is that for **FY2026**, under Finance Act 2026.

The rules are in **TIOPA 2010 Part 9A** (ss 371AA–371VJ), “the International Act” in the audio edition. “CTA 2010” is the Corporation Tax Act 2010.

Why the rules exist.

Every growing group faces the choice. A UK company that sells abroad can do it through a **branch** or through a **subsidiary**. Chapter 25 showed that a branch is part of the UK company, so its profits are UK profits unless the company elects for the branch exemption (CTA 2009 s 18A). A subsidiary is its own taxpayer. If it is resident abroad, the UK taxes nothing it earns abroad; it taxes the parent only on what comes back, and since **1 July 2009** most dividends that come back are exempt (CTA 2009 Part 9A).

That is a sensible design for genuine foreign business. A factory in Vallaria (an invented country, home of our story's main foreign subsidiary) should pay Vallarian tax on Vallarian profits. But the design opens a door. Suppose a UK group moves money, a valuable patent or a profitable contract into a subsidiary in a country with a very low tax rate, with few people and no reason to exist except the rate. Profits that used to arise in the UK now arise there. That is not a foreign business. It is UK profit wearing a foreign coat.

A controlled foreign company regime looks through the coat. Where a non-UK company is controlled from the UK and some of its profits look as though they belong in the UK, the regime taxes those profits on the UK companies that own it.

The old regime (1984 to 2012). The UK first introduced CFC rules in **1984** (later ICTA 1988 Part 17 Ch 4, ss 747–756). Broadly, the old regime cast a wide net over controlled companies taxed at a low level abroad and then released those that passed one of a set of exclusions. HMRC's manual (INTM254220) lists them: the **acceptable distribution policy** (paying broadly 90% of net chargeable profits home as dividends within 18 months: INTM254610), the **exempt activities** test, the **de minimis** exclusion (£50,000, pro-rated), the **excluded countries** regulations, the **motive test**, and a territorial exclusion. The ADP exemption was abolished for periods beginning on or after **1 July 2009**, when the dividend exemption arrived, because a dividend home no longer produced UK tax.

Europe. In *Cadbury Schweppes plc v IRC* (Case C-196/04), judgment of the Grand Chamber on **12 September 2006** on a reference from the Special Commissioners, the Court of Justice held that rules of this kind restrict freedom of establishment and can be justified only where they target “**wholly artificial arrangements**” intended to escape the national tax normally payable. A subsidiary actually established in another member state and carrying on genuine economic activities there could not be taxed this way, even if tax had been a reason for putting it there. The Court pointed to objective factors that third parties can verify, such as premises, staff and equipment.

The UK statute did not say that. In *Vodafone 2 v HMRC*, the High Court (Evans-Lombe J, [2008] EWHC 1569 (Ch), 4 July 2008) held that no conforming interpretation was possible, so the rules had to be disapplied for EU subsidiaries. The Court of Appeal reversed that on **22 May 2009** (*Vodafone 2 v HMRC* [2009] EWCA Civ 446; the Chancellor of the High Court, Longmore and Goldring LJ): the legislation could be read as containing an additional exception for a CFC actually established in another member state and carrying on genuine economic activities there. Vodafone 2 Ltd's Luxembourg subsidiary had held the Mannesmann shares bought in 2000 (secondary summaries of the judgment). The rules survived, but with a patch sewn on by the courts.

A regime that caught too much and then excused too much was ready for replacement.

The twenty twelve answer.

FA 2012 s 180 and Sch 20 inserted Part 9A into TIOPA 2010 and repealed the old rules. The new regime applies to **CFC accounting periods beginning on or after 1 January 2013** (FA 2012 Sch 20 paras 49–50; a company already a CFC on that date began a new-regime AP then; a straddling old-regime period ran on to its end). Its starting idea is the reverse of the old one: instead of catching everything and excusing some, it aims to tax only profits **artificially diverted** from the UK, and it defines them by rule.

The defining device is the **gateway**. Picture a sieve over the UK tax base. A foreign subsidiary's profits are poured in; most fall away, because they belong where they were earned; only profits that belong in the UK drop through. Beside the sieve are doors: a company that passes through a door walks past the sieve entirely.

The precise rule. Under s 371BA(2) a CFC charge arises for a CFC's AP only if (a) the CFC has **chargeable profits** and (b) **none of the entity exemptions** (Chapters 10–14) applies. Chargeable profits are the CFC's **assumed taxable total profits** (ATTP: profits computed as if the CFC were UK resident, under the "CT assumptions" in Ch 19, ss 371SB–371SR) so far as they pass through the gateway (s 371BA(3), s 371BB). The doors are the entity exemptions; the sieve is the gateway.

The five charging steps (s 371BC).

Step	What happens	Reference
1	Identify the relevant persons and their relevant interests ; stop if none is a UK resident company	Ch 15
2	Compute the CFC's creditable tax	Ch 16, s 371PA
3	Apportion chargeable profits and creditable tax	Ch 17
4	Identify the chargeable companies ($\geq 25\%$ with connected and associated persons)	s 371BD
5	Charge = appropriate rate $\times$ P% $\times$ chargeable profits – Q% $\times$ creditable tax, as CT of the chargeable company for its AP in which the CFC's AP ends	s 371BC(1), (3)–(4)

The **appropriate rate** is the main rate for the chargeable company's AP (averaged if the AP straddles a change): **25% for FY2026**.

Exam lens: the order of attack - Grade: controlled foreign companies **1 (core)** (2026 grid; also 1 in the 2028 grid). - **Layout the examiners reward:** company by company: (1) is it a CFC (control)? (2) does an entity exemption apply? if so, **stop**; (3) which gateway chapters apply and what passes? (4) apportionment and the 25% test; (5) creditable tax and the charge. - **Trap:** candidates kept discussing other exemptions after finding one that applied (M24 Q5 examiners' report, paraphrased).

The theory of the gateway. The regime borrows its central test from the OECD's **2010 Report on the Attribution of Profits to Permanent Establishments** (the AOA): where are the **significant people functions** (SPFs), the people who take the decisions about assets and risks? If they are in the UK, the profits they generate belong to the UK (s 371DA(3)). (*The OECD report was not opened for this book; the statute's reference to it was.*)

Who is a controlled foreign company.

A **CFC** is a company that is **not UK resident** and is **controlled by a UK resident person or persons** (s 371AA(3)). The controllers need not be companies, although only companies are charged. The Part does not displace the ordinary charge on a non-resident company's UK permanent establishment (s 371AA(11)).

Test	Rule	Reference
Legal control	Power, through shares, votes or the articles, to secure that C's affairs are conducted as P wishes	s 371RB(1)
Economic control	P would receive > 50% of the proceeds on a sale of all the share capital, or of income distributed, or of assets on a winding up (lending banks' rights ignored)	s 371RB(2)–(6)
Joint control	Two or more persons together meeting either test	s 371RB(7)
40% rule	One UK and one non-UK controller: C is a CFC if the UK person holds $\geq 40\%$ and the non-UK person holds $\geq 40\%$ but $\leq 55\%$	s 371RC
Attribution	Future rights, nominees' rights and (for UK persons) rights of connected UK persons	s 371RD
Accounting control	P is C's parent under the relevant accounting standard, and the 50% condition : at least 50% of chargeable profits would be apportioned to P and its UK subsidiaries	s 371RE
> 50% investment	A UK resident company, alone or with associated enterprises (25% investment links), directly or indirectly has more than a 50% investment in C	s 371RG (FA 2019 s 20(4)); CFC APs beginning on or after 1 January 2019

The 40% rule matters for joint ventures. Without it, it is not obvious that a company controlled jointly by a UK person and a foreign person is “controlled by UK resident persons”. The rule answers that: a 50:50 venture between a UK group and a French group is a CFC (UK $50\% \geq 40\%$; partner $50\% \leq 55\%$); a company run by a foreign partner with 60% is not.

The > 50% investment rule was the UK's implementation of the EU **Anti-Tax Avoidance Directive** (ATAD) control test. It remains UK law after Brexit.

CFC residence and accounting periods. A CFC is resident in the territory where it is liable to tax by reason of domicile, residence or place of management, with tie-breakers where there is more than one (ss 371TA–371TC). A CFC's AP begins when it becomes a CFC and ends on events such as ceasing to be one, becoming or ceasing to be liable to tax in a territory, or a relevant interest holder ceasing to have any interest; otherwise CTA 2009 s 10 applies (s 371VB). The charge falls in the chargeable company's AP in which the CFC's AP ends.

Doors past the sieve.

The five **entity exemptions** are in Chapters 10–14. If any applies for an AP, there is no charge for that AP: no gateway, no apportionment. Test them in order and stop at the first that works.

The exempt period (Ch 10, ss 371JA–371JG)

When a company first comes under UK control (typically on acquisition), the group gets **12 months** of grace to restructure. HMRC (INTM224200) summarises the starting conditions: the company exists, is resident outside the UK, is controlled from the UK and has at least one chargeable company, and for the preceding 12 months it had no chargeable companies and the charging condition was not met. A CFC AP that **ends** in the exempt period is exempt (INTM224175) if:

- the **subsequent period condition** (s 371JB(2)) is met: the company must not cease to be a CFC before an AP beginning after the exempt period, and the CFC charge must not apply to that following AP. The grace is for groups that use the year to put things right; and
- the **chargeable company condition** (s 371JB(3)): only original chargeable companies, or companies connected with them, benefit.

Profits of a straddling AP that arise in the exempt period are removed (s 371JE). Anti-avoidance applies to finance and IP arrangements and artificially short APs (s 371JF). Because whether the subsequent period condition is met is known only later, a return may be amended up to **12 months after the filing date** for the AP in which the first post-exempt-period CFC AP ends (s 371JG). HMRC may extend the exempt period by notice given before it ends.

Worked example 26.1: exempt period (labelled hypothetical, not story) Suppose our invented group, Tarnmoor (introduced below), bought a Marrovia distributor on **1 March**, year end 31 December. Exempt period: 1 March to the end of the following February. First CFC AP: 1 March–31 December, ending inside the exempt period: **exempt**, provided the subsequent period condition is met. Next AP (1 January–31 December) straddles the end of the exempt period: only profits arising after the exempt period are in the frame (s 371JE).

Excluded territories (Ch 11, ss 371KA–371KJ)

A CFC resident in a territory listed in the **Controlled Foreign Companies (Excluded Territories) Regulations 2012** (SI 2012/3024, Schedule Part 1; in force 1 January 2013) is exempt if its categories A–D income (broadly, income benefiting from exemptions, incentives, refunds or notional interest) does not exceed a **threshold: the greater of 10% of accounting profits and £50,000** (pro-rated for short APs), plus an **IP condition** and no main-purpose tax arrangement. For **Australia, Canada, France, Germany, Japan and the USA**, HMRC’s manual says the income and IP conditions need not be met if residence and no-foreign-PE requirements are met (INTM225100, page dated 2016; the regulations themselves were not opened for this book: check them).

Low profits (Ch 12, ss 371LA–371LC)

Exempt if accounting profits **or** ATTP are $\leq \text{£}50,000$; or $\leq \text{£}500,000$ with **non-trading income** $\leq \text{£}50,000$. All figures are **pro-rated** for APs under 12 months. Anti-avoidance: arrangements to fall within it; UK intermediary services businesses; the £50,000 limbs are unavailable where the group mismatch scheme rules (CTA 2010 Part 21B) bite.

Worked example 26.2: thresholds in short periods (labelled)

	£
Low profits, 9-month AP: $\text{£}500,000 \times 9/12$	375,000
Non-trading income limit, 9-month AP: $\text{£}50,000 \times 9/12$	37,500

	£
Excluded territories threshold, accounting profits £300,000: greater of £30,000 and £50,000	50,000
Excluded territories threshold, accounting profits £2,000,000: greater of £200,000 and £50,000	200,000

The low profit margin and the tax exemption.

Low profit margin (Ch 13, ss 371MA–371MC)

For routine, low-margin activity (a distributor, a service centre). A CFC is exempt if its **accounting profits are no more than 10% of its relevant operating expenditure (ROE)**. Two details decide almost every answer:

1. Profits are measured **before any deduction for interest** (s 371MB(2)): interest **expense** is added back, but interest **income** stays in (INTM225800). A finance company cannot use the rule to strip out its own interest income.
2. ROE is operating expenditure in the accounts **excluding** (a) the **cost of goods purchased that are not used in the CFC's territory**, and (b) expenditure that **gives rise to income of a related person** (s 371MB). A management fee to the UK parent is the classic (b) item. s 371MC adds anti-avoidance: no exemption where arrangements have a main purpose of securing it.

“Accounting profits” are pre-tax profits under an acceptable GAAP, ignoring exempt distributions, property business profits or losses and capital profits; Part 4 transfer pricing applies, but a difference of **£50,000 or less** is ignored (ss 371VC–371VD).

Worked example 26.3: low profit margin (labelled; the M25 trap)

£	
Sales	6,000,000
Cost of goods (of which 1,500,000 shipped direct to customers outside the CFC's territory)	(4,200,000)
Staff	(700,000)
Management fee to UK parent	(300,000)
Rent	(200,000)
Other	(150,000)
Operating expenditure	(5,550,000)
Profit before interest	450,000
Interest	(90,000)
Profit after interest	360,000

Relevant operating expenditure	£
Operating expenditure	5,550,000

Relevant operating expenditure	£
Less goods not used in the territory	(1,500,000)
Less expenditure giving rise to a related person's income (fee)	(300,000)
ROE	3,750,000
10% of ROE	375,000

£450,000 > £375,000: **the exemption fails**. Wrong method: £360,000 (after interest) against £555,000 (10% of total opex) gives a false “exempt”. Next: test the tax exemption, then the gateway.

The tax exemption (Ch 14, ss 371NA–371NE)

A CFC is exempt if its **local tax amount is at least 75% of the corresponding UK tax**. The corresponding UK tax is CT on the CFC's ATTP under the CT assumptions, ignoring DTR for the local tax and less any UK income tax or CT actually suffered on that income. At 25%, the break-even local rate on an identical base is $75\% \times 25\% = 18.75\%$.

Both sides are adjusted. Local tax is tax paid in the CFC's territory on its **local chargeable profits** (excluding capital gains), **reduced** where the local base includes income not in ATTP, where ATTP deducts expenses the local system does not, and by **repayments or credits** to any person (s 371NC). Tax under **designer rate** provisions does not count (s 371ND). A company on a tax holiday has a local tax amount of nil and never passes.

Worked example 26.4: tax exemption with an adjustment (labelled)

£	
ATTP	1,200,000
Corresponding UK tax at 25%	300,000
75% hurdle	225,000
Local tax: $18\% \times$ local profits 1,300,000	234,000
Less $18\% \times$ 100,000 of local income not in ATTP	(18,000)
Local tax amount	216,000 (72%)

Not exempt. The unadjusted comparison ($234,000 / 300,000 = 78\%$) would wrongly exempt it.

The five doors share a logic: each is Parliament's advance judgement that a whole company is unlikely to be a vehicle for diverted UK profit: a new acquisition, a company in a respectable system, a small company, a low-margin company, a company paying proper tax at home.

Exam lens: the entity exemptions - Grade: core (within CFCs). - **Past appearances:** M24 Q5 (20 marks: five overseas companies; tax rate comparisons; a tax-holiday company): exemptions good on the whole. M25 Q1 (20 marks): few calculated the low profit margin correctly; the exempt period was well understood. - **Traps:** profit **before** interest; trim

ROE for goods not used locally and related-person expenditure; adjust **both** sides of the tax exemption; tax holidays and designer rates fail; pro-rate thresholds for short APs; **stop** at the first exemption that works.

Which gateway chapters apply.

The gateway has two stages (s 371BB). **Chapter 3** decides which of Chapters 4–8 apply; each applicable chapter then decides how much passes. If none applies, nothing passes: no chargeable profits.

Chapter 4: profits attributable to UK activities

Ch 4 applies **unless** any one of Conditions A–D is met (s 371CA):

Condition	Met if...
A	The CFC holds no assets and bears no risks under arrangements a main purpose of which is to reduce UK tax and which are expected to make it more profitable (and would not have been made but for the expected tax reduction)
B	The CFC holds no UK-managed assets or risks
C	The CFC itself has the capability to ensure its business would be commercially effective if UK management stopped
D	Its assumed total profits consist only of non-trading finance profits and/or property business profits

A genuine foreign trading company run by local management usually escapes Ch 4 through A or B.

The eight steps (s 371DB) where Ch 4 applies:

1. Identify the CFC's assets and risks.
2. Exclude negligible ones.
3. Identify the SPFs relevant to them, treating the **CFC group as one company**.
4. Split UK and non-UK SPFs; **stop if there are no UK SPFs**.
5. Hypothesise a UK PE carrying on the UK SPFs; attribute to it the assets and risks they manage.
6. Exclude assets and risks where UK activity is the minority (s 371DC: amount A ≤ 50% of amount B).
7. Recompute the CFC's profits without the PE-attributed assets and risks ("provisional Chapter 4 profits"); the difference passes...
8. ...subject to the exclusions in ss 371DD–371DF.

The exclusions: economic value (arrangements create substantial non-tax value: s 371DD); **independent companies** (independent parties would have made the same arrangements on the same terms: s 371DE); and the **trading profits safe harbour** (s 371DF), all five conditions:

Condition	Test	Reference
Business premises	Premises in its territory with a reasonable degree of permanence; activities wholly or	s 371DG

Condition	Test	Reference
	mainly from there (building sites only if ≥ 12 months)	
Income	$\leq 20\%$ of relevant trading income from UK residents or UK PEs (banks $\leq 10\%$)	s 371DH
Management expenditure	UK-related management expenditure $\leq 20\%$ of total (or the 50% per-asset alternative)	s 371DI
IP	No significant IP transferred from UK related persons in the AP or the previous 6 years	s 371DJ
Export of goods	$\leq 20\%$ of trading income from goods exported from the UK (other than to the CFC's territory)	s 371DK

Anti-avoidance stops reorganisations designed to meet the tests (s 371DL). The safe harbour turns on facts a group can see and manage, so that a well-run foreign trading company need not commission a people-functions study every year.

Finance profits.

Money is the easiest thing to move, so it has its own chapters.

Chapter 5: non-trading finance profits (NTFP)

Ch 5 applies where the CFC has NTFP (s 371CB), but NTFP from funds held for the purposes of the CFC's own trade or property business are left out, unless the funds are held for something else (future dividends, acquisitions, contingencies, or a tax-reduction purpose).

The 5% incidental rule (s 371CC): if the CFC has trading or property profits, Ch 5 does **not** apply where its NTFP are $\leq 5\%$ of its trading and property profits (before interest and tax). A similar rule protects mainly-holding companies with exempt distribution income (s 371CD).

Worked example 26.5: the 5% rule (labelled) Trading profits before interest and tax £3,000,000; NTFP £140,000. $5\% = £150,000$. $£140,000 \leq £150,000$: **Ch 5 does not apply.**

What passes where Ch 5 applies (ss 371EA–371EE):

Route	Catches	Reference
UK activities	NTFP attributable to UK SPFs (the Ch 4 test applied to finance profits)	s 371EB
Capital investment from the UK	NTFP earned on funds derived from capital contributions by UK connected companies , from profits already charged as CFC profits, from s 174 claims, or other funds received from UK connected	s 371EC

Route	Catches	Reference
	companies otherwise than for goods or services or by loan (with a deduction for undercharged management costs)	
Arrangements in lieu of dividends	Arrangements made instead of paying dividends to UK companies, with a tax main reason	s 371ED
Finance leases	Finance leases to UK connected companies in lieu of purchase	s 371EE

Put plainly: if a UK parent puts equity into a foreign finance company and the finance company lends it on, the interest is caught by s 371EC.

Chapters 6–8

- **Ch 6, trading finance profits** (s 371CE, s 371FA): pass only so far as they arise from **excess free capital** (more than a non-51%-subsidiary would hold) derived from UK connected capital contributions. A **group treasury company** may elect, by notice within **20 months** after the AP, to treat trading finance profits as NTFP (so that Ch 9 can apply).
- **Ch 7, captive insurance** (s 371CF, s 371GA): insurance of UK connected risks.
- **Ch 8, solo consolidation** (s 371CG, s 371HA): bank capital structures. Recognise; rarely examined.

The finance company exemptions.

Chapter 9 (ss 371IA–371IJ) is where the State aid saga began, and where Tarmoor’s CFC lives.

Entry conditions (s 371IA): Ch 5 applies; the NTFP include profits of **qualifying loan relationships** (QLRs); and the CFC meets the **business premises condition** (s 371DG). A chargeable company may then **claim** (in its CT return; s 371IJ).

QLR (ss 371IG–371IH): a creditor relationship whose **ultimate debtor** is a **qualifying company** (connected with the CFC and controlled by the same UK persons). It is **not** a QLR if the debtor’s debits reduce the profits of a **UK PE** or a UK property business, if the debtor is a **UK company** without a s 18A election, or if they reduce another CFC’s chargeable profits.

QLR profits (s 371IA(4)) are QLR profits within s 371EC **and not within s 371EB**: since **FA 2019 s 20(2)**, for CFC APs beginning on or after **1 January 2019**, profits from UK SPFs cannot be exempted.

Exemption	Rule	Effect at 25%	Reference
Full exemption	X% exempt if X% of the principal is funded wholly out of qualifying resources (e.g. profits from lending to group companies in the debtor’s territory used there; funds from shares in group members derived from local business profits, pre-acquisition funds or external non-redeemable ordinary share	Nil	ss 371IB, 371IC

Exemption	Rule	Effect at 25%	Reference
	issues); debtor resident in one territory		
75% exemption	Where the full exemption is not claimed for a QLR: 75% of its profits exempt	25% passes: $25\% \times 25\% = 6.25\%$ before credit	s 371ID
Matched interest	Remaining QLR profits (“matched interest profits”) exempt so far as the UK share exceeds the worldwide group’s aggregate net tax-interest expense (CIR, TIOPA Part 10)	Nil if ANTIE is nil; nothing if ANTIE is large	s 371IE

The current s 371IE (substituted by F(No.2)A 2017 for worldwide group periods of account beginning on or after 1 April 2017): if ANTIE is **nil**, matched interest profits are **fully exempt** (s 371IE(3)); otherwise, where the **relevant proportion** (each relevant chargeable company’s step 5 percentage $\times$ matched interest profits, summed: s 371IE(5)) exceeds ANTIE, the **excess** is exempt (s 371IE(4)). HMRC’s example (INTM219380): matched interest profits 25, ANTIE 9: **16 exempt**. ANTIE for this purpose ignores banking and insurance amounts (s 371IE(8)). (*Statute and INTM219380 seen in search extracts; the older INTM219250 formula predates 2017 and should not be used.*)

Going further: designing a finance company that works - Premises and people first. Ch 9 needs the business premises condition, and since FA 2019 only profits outside s 371EB qualify. A finance company whose credit decisions are taken in the UK has UK SPFs: those profits pass through s 371EB and cannot be exempted. Local directors with real authority, local staff who assess and monitor the loans, and minutes that show it are the substance. - **Choose the borrowers.** Loans to foreign group companies controlled by the same UK persons qualify; loans to UK companies (without a s 18A election), to borrowers whose interest reduces UK PE or UK property profits, or to other CFCs whose chargeable profits it would reduce, do not. - **Funding.** Equity from the UK puts the profits inside s 371EC (that is why Ch 9 is needed at all). Funding from qualifying resources (local profits of the debtor’s territory, pre-acquisition funds, external ordinary share issues) can unlock the full exemption: track the source of funds loan by loan. - **Matched interest.** Only useful to groups whose UK net interest expense is small; check ANTIE each year (chapter 28). - **The price of a claim.** The 25% that passes still raises the parent’s s 105(3A) threshold; model that with the group relief plan. - **Trading groups.** For a foreign trading subsidiary, aim for Ch 3 Condition A or B (no tax-motivated arrangements; no UK-managed assets or risks), and keep the safe harbour’s five facts (premises, UK income, UK management expenditure, UK IP, UK exports) inside the limits.

Exam lens: gateways and Chapter 9 - Grade: core. - **Past appearances:** N23 Q1(c): a finance company paying 1% tax taken through the NTFP gateway (good answers; some strayed into DPT and CIR). M24 Q5: gateways answered less well than exemptions. - **What earns marks:** Ch 3 Conditions A–D and why Ch 4 is or is not switched off; the 5% rule; s 371EC (UK equity); the Ch 9 claim with the **business premises condition**; 75% exemption arithmetic (6.25%); QLR exclusions (UK debtor; UK PE).

From chargeable profits to the charge.

Chargeable profits are not yet tax. Two thresholds must be kept apart: **control** decides whether the foreign company is a CFC; the **25% test** decides which UK companies pay. The examiners reported after **M24** that candidates confused the 25% apportionment threshold with the control tests.

Relevant interests (s 371OC). A UK resident company's interest is relevant **except** an indirect interest held **through another UK resident company**: the charge sits at the **lowest UK company** in the chain.

Apportionment (ss 371QC–371QG). Where all relevant persons hold only ordinary shares of one class (and other conditions hold), apportion by **P% of the ordinary shares**; indirect holdings multiply through the chain (s 371QE); holdings that vary are time-weighted (s 371QF). Otherwise, just and reasonable; HMRC may substitute its own basis (s 371UC); anti-avoidance apportionment (s 371QG).

Worked example 26.6: chains and time-weighting (labelled) - Indirect: UK plc holds 80% of X (non-UK), which holds 70% of the CFC: $P\% = 80\% \times 70\% = 56\%$. - Time-weighted: 60% for 146 days then 100% for 219 days (365-day AP): $P\% = 60\% \times 146/365 + 100\% \times 219/365 = 84\%$.

Chargeable companies (s 371BD). A UK resident company is chargeable only if the percentage apportioned to it **plus** the percentages apportioned to persons **connected or associated** with it is **at least 25%**. (Exclusions for certain offshore fund managers and participants: ss 371BE–371BG.)

Creditable tax (s 371PA) is the sum of: (a) the DTR that would be given to the CFC (on the assumptions) for **foreign tax** on income **included in its chargeable profits**; (b) UK income tax deducted at source on that income (CTA 2010 s 967); (c) UK income tax or CT actually charged on it; (d) other countries' **CFC charges**. Amounts repaid are excluded. It is apportioned like the profits.

Worked example 26.7: apportionment and the 25% test (labelled) FinCo (territory rate 5%) lends to a fellow subsidiary; interest **£2,000,000**; funded by UK equity; business premises; no UK SPFs; no entity exemption (5% local tax is 20% of UK tax). Shareholders: UK plc 80%, an unconnected UK company 15%, a non-UK investor 5%.

£	
NTPF through s 371EC	2,000,000
75% exemption (s 371ID)	(1,500,000)
Chargeable profits	500,000
Creditable tax: $5\% \times 500,000$ (just and reasonable attribution assumed)	25,000

Holder	%	25% test	Charge £
UK plc	80	$80\% \geq 25\%$: chargeable	$25\% \times 80\% \times 500,000 - 80\% \times 25,000 = 100,000 - 20,000 =$ 80,000

Holder	%	25% test	Charge £
Unconnected UK company	15	15% with no connected holders: not chargeable	nil
Non-UK investor	5	outside the charge	nil

Without the Ch 9 claim: $25\% \times 80\% \times 2,000,000 - 80\% \times 100,000 = \text{£}320,000$. **Variant:** if the 15% holder were connected with UK plc, its own 15% plus UK plc's 80% would pass the 25% test, and it too would be chargeable on its 15%.

Three consequences. 1. **No reliefs against the charge.** s 371UD (relief against the sum charged) was **omitted by F(No.2)A 2015 s 36** for CFC APs beginning on or after **8 July 2015**. Losses, management expenses and group relief cannot reduce it. 2. **The profit-related threshold.** CFC chargeable profits apportioned to a company under step 3 (where it is a chargeable company at step 4) are added to its **profit-related threshold** for surrendering management expenses and other s 99(1)(d)–(g) amounts as group relief (CTA 2010 s 105(3A)): chapter 13. 3. **It is corporation tax** of the chargeable company: returns, enquiries, assessments, interest and penalties all apply (s 371UA).

The misconception: “every low-taxed foreign subsidiary is caught”. People believe it because the old regime was built that way and because low tax is what the rules are about. But the modern regime asks three questions before anyone pays: does an **entity exemption** apply; do any profits pass the **gateway**; does a UK company hold **at least 25%**? A low-taxed subsidiary that trades with real local management, earns a low margin, or is simply small pays nothing. A highly taxed one never gets past the tax exemption.

Tarnmoor’s annual review.

Now our invented group. **Tarnmoor plc (TPLC)** is a widely held, London-listed engineering group; everything about it, its companies, its people and the countries **Vallaria** and **Marrovia**, is invented for teaching. Every year its head of tax, **Tom Hesketh**, runs a CFC review of each overseas subsidiary before the group’s return is prepared. We join the review for **GY5**, running the numbers on FY2026 rules.

Tarnmoor Capital Ltd (TCM)

Marrovian finance company; Marrovian CT **9%** (invented; no UK treaty). Funded entirely by TPLC **equity: £60m** pre-story and **£30m** on 1 January GY5. Office and staff in Marrovia; its board meets there and its own team makes the lending decisions (no UK SPFs). Lends **£60m to TVS** and, from 1 January GY5, **£30m to TIL** (Irish resident since its migration on 30 June GY4), both at 6%.

Worked example 26.8: TCM, GY5: the order of attack (£; invented)

Step	Analysis	Result
CFC?	Non-UK resident; TPLC holds 100% (legal control)	CFC
Exempt period	Held long before GY5	n/a
Excluded territories	Marrovia (invented) not listed	fails

Step	Analysis	Result
Low profits	£5.1m > £500,000	fails
Low profit margin	Profit £5.1m against 10% of £0.3m costs	fails
Tax exemption	Local 9% × 5,100,000 = 459,000; UK 25% × 5,100,000 = 1,275,000: 36% < 75%	fails
Ch 4	Condition D met (only NTFP)	does not apply
Ch 5	NTFP; s 371EB: no UK SPFs; s 371EC : all funded by TPLC equity	all £5.1m passes
Ch 9	QLRs (TVS and TIL: non-UK, connected, same UK controller; no UK PE or UK debtor); business premises met; full exemption not available (UK equity is not qualifying resources)	75% exemption claimed
Matched interest	Relevant proportion 100% × £1,275,000 against ANTIE about £25m	nil

Computation	£
Interest: TVS £60m × 6%	3,600,000
Interest: TIL £30m × 6%	1,800,000
Expenses	(300,000)
NTFP passing through s 371EC	5,100,000
75% exemption (s 371ID)	(3,825,000)
Chargeable profits	1,275,000
Apportioned to TPLC (100%)	1,275,000
CT at 25%	318,750
Less creditable tax: 9% × 1,275,000 (Marrovian tax attributable to the profits charged)	(114,750)
CFC charge on TPLC, GY5	204,000

- Without the Ch 9 claim: 25% × 5,100,000 – 459,000 = **£816,000** (claim saves £612,000).
- Effective UK rate on TCM's profit: 204,000 / 5,100,000 = **4.0%**; with Marrovian tax, 13.0%.
- **GY1–GY4** (lending only to TVS): profit 3,600,000 – 300,000 = 3,300,000; chargeable 825,000; creditable 74,250; charge 206,250 – 74,250 = **£132,000** a year.
- **The pair to remember:** the £1,275,000 apportioned in GY5 (and £825,000 in each of GY1–GY4) enters TPLC's s 105(3A) profit-related threshold, capping its group relief surrender of management expenses (chapters 13 and 15); s 371UD is gone, so the expenses cannot shelter the charge either.
- ANTIE: £24.65m (GY1), £25.82m (GY2), £24.44m (GY3) (chapter 28); GY5 is assumed of the same order.

Tarnmoor Vallaria SA (TVS)

Manufacturing and distribution subsidiary. Vallarian CT **20%** on a base Tom's team has reconciled to the UK computation: $20/25 = 80\%$ of the corresponding UK tax $\geq 75\%$. **Tax exemption applies: stop.** (Its earlier UK PE question, chapter 23, is a matter of the non-resident charge, which Part 9A does not displace: s 371AA(11).)

Tarnmoor Ireland Ltd (TIL)

Irish-incorporated; UK resident by central management and control until it migrated on **30 June GY4** (chapter 22); a CFC from then (TPLC 100%).

Worked example 26.9: TIL, GY5 (invented)

Step	Analysis	Result
CFC?	Irish resident; TPLC 100%	CFC
Exempt period	On HMRC's description (INTM224200) a migrating company may arguably start one on becoming a CFC; not checked ; not needed	not relied on
Excluded territories	Whether Ireland is listed in SI 2012/3024 not checked (only the six simplified territories are confirmed); not needed	not relied on
Low profits	Profits far above £500,000	fails
Low profit margin	Purchases of stock from TEL (a related person) are removed from ROE; margin on the remaining ROE far above 10%	fails
Tax exemption	Irish trading rate $12.5\% / 25\% = 50\% < 75\%$ (even a 15% rate gives 60%)	fails
Ch 4	Condition B met: TIL's Dublin staff manage all its assets and risks (including the letting of its UK warehouse)	does not apply
Ch 5	Deposit interest £60,000 on trading working capital (excluded by s 371CB); in any case $\leq 5\%$ of trading profits of about £2.4m ($5\% = £120,000$) (s 371CC)	does not apply
Chargeable profits		nil

Whichever way the two unchecked doors go, the answer is the same: **no CFC charge.** (*Whether a foreign domestic minimum top-up tax would count as "local tax" for Ch 14 is an open point: see Neighbouring regimes. The story does not depend on it, and Irish law on it is not described in this book.*)

Going further: the review file. For each overseas company, Tom's file records: control (and the date it began); residence and APs; each exemption tested, in order, with the evidence; for gateway cases, the Ch 3 condition relied on and the SPF analysis; Ch 9 claim workings and the QLR checks (no UK debtor, no UK PE borrowing); apportionment, the 25% test and creditable tax; and the s 105(3A) number passed to whoever prepares the group relief schedule. Facts that change the

answer (a new loan to a UK borrower, a UK director starting to take TCM’s credit decisions, a TVS UK PE) are flagged for the next review.

The State aid saga.

The finance company exemption Tom has just claimed is the rule that was on trial.

The 75% exemption was a policy choice. On the usual account of the policy, the government wanted the UK to be an attractive headquarters location, and international groups finance their foreign operations through finance companies; taxing only a quarter of such a company’s profits was meant to be competitive without inviting abuse.

Date	Event	Source status
2 April 2019	Commission Decision (EU) 2019/1352 (SA.44896): the group financing exemption was partly unlawful State aid (2013–2018) where finance profits derived from UK SPFs	secondary
1 January 2019	FA 2019 s 20(2) had already narrowed Ch 9 for later periods (profits within s 371EB excluded)	verified
After the decision	HMRC recovered the aid by charging notices and interest charging notices under TIOPA 2010 Sch 7ZA (inserted by the Taxation (Post-transition Period) Act 2020 Sch 4)	verified
8 June 2022	General Court (T-363/19 <i>UK v Commission</i> , T-456/19 <i>ITV v Commission</i>) upheld the Commission	secondary
11 April 2024	Advocate General Medina: the Commission chose the wrong reference framework	secondary
19 September 2024	Court of Justice (C-555/22 P, C-556/22 P, C-564/22 P): General Court judgment set aside; Commission decision annulled : the CFC rules were not the correct reference framework; the UK CT system as a whole was	secondary (press release as reproduced)
31 December 2024	Controlled Foreign Companies (Reversal of State Aid Recovery) Regulations 2024 (SI 2024/1307) in force: HMRC must give reversal notices cancelling charging notices and cancel interest charging notices; consequential adjustments within 12 months after the AP of the notice	verified
2 December 2025 (deemed)	FA 2026 s 51 : interest (at the ICTA 1988 s 826 rate) on repayments of interest made	verified

Date	Event	Source status
	because interest charging notices were cancelled	

Selectivity, the core of a State aid finding, is judged against the normal tax system. The CFC rules were not a free-standing system: they were part of UK corporation tax, which by design does not tax most profits of foreign subsidiaries. Because the Commission started from the wrong baseline, its selectivity finding could not stand.

Two lessons outlast the saga. Whether an exemption is a gift depends on what you compare it with (the same question runs through the debate on territoriality and on the arm's length principle). And rules shaped by EU law remain in UK statute after Brexit: some disputes that began in Brussels end in Westminster.

Running the regime.

Returns. Each chargeable company self-assesses the CFC charge in its own CT return, with the supplementary pages **CT600B** ("Controlled foreign companies and foreign permanent establishment exemptions, hybrid and other mismatches"), which summarise each CFC and show how the charge is computed. The charge is CT of the chargeable company (s 371UA): returns, enquiries, assessments, appeals, interest and penalties apply. **Instalments:** HMRC's manual includes "tax charged on controlled foreign companies" in the total liability that a very large company pays by instalments (CTM92825). *(Whether the chargeable company is "large" is a separate test on its own profits. TPLC's own taxable total profits are nil, so on this book's reading it is not large, and it pays its CFC charge (£132,000 a year in GY1–GY4; £204,000 for GY5) 9 months and 1 day after the end of its AP.)*

Positive actions and deadlines.

Item	Rule	Reference
Ch 9 exemptions	Claimed by the chargeable company in its return	s 371IA, s 371IJ
Group treasury election (TFP as NTFP)	Notice within 20 months after the CFC's AP	s 371CE
Exempt period extension	HMRC notice given before the exempt period ends	Ch 10
Exempt period amendments	Up to 12 months after the filing date for the AP in which the first post-exempt-period CFC AP ends	s 371JG
Just and reasonable apportionment	HMRC may substitute its own basis; joint appeals where apportionment is disputed	s 371UC; ss 371UA–371UF
Recovery	Unpaid CFC charge recoverable from another UK company holding the same interest (after 3 months)	ss 371UA–371UF

Going further: the tax function's annual cycle - Register: every overseas company; control position and date; residence; APs; exemption or gateway conclusion each year. - **Timing:** review **before** the year end where possible: substance is easier to fix in advance than to prove afterwards. - **Evidence:** board minutes held locally, staff contracts,

office leases, credit papers showing who took the lending decisions. - **Acquisitions:** check CFC status on completion day: the exempt period clock starts then; diarise the 12-month restructuring plan. - **Interaction memo:** pass the s 105(3A) apportionment to the group relief team; pass CFC tax to the Pillar Two team (push-down, chapter 30); flag any loan to a UK borrower (QLR exclusion; hybrids; TP). - **Ethics and judgement:** planning is legitimate when it follows real activity: put real people and decisions where the profits are meant to be; design finance companies so their loans qualify and their SPFs are genuinely local. Manufacturing the appearance of foreign management while decisions are taken in the UK is exactly what the gateway catches, and the same facts raise residence questions (chapter 22) and disclosure duties (chapter 4).

Neighbouring regimes.

Transfer pricing. A CFC's accounting profits must reflect arm's length pricing (difference $\leq$ £50,000 ignored: s 371VD). In computing ATTP the CFC is assumed UK resident, which might seem to let it use the new **UK-to-UK exemption** (s 164A). **FA 2026 Sch 6 paras 16(3), 32(1)** inserted **s 371SD(5A)**: the residence assumption is ignored for s 164A, so a CFC **cannot** use it, for chargeable periods commencing on or after **1 January 2026**. Chapter 27.

The interest restriction. Ch 9's matched interest test borrows CIR's ANTIE; and a finance company's lending to foreign group companies is often the other side of debt pushed into higher-tax countries. TVS's interest to TCM is outside the UK interest rules altogether (TVS is not within the charge to UK CT). Chapter 28.

Hybrids. In GY4 Tarnmoor rejected **Project Undertow**, under which TFL (the UK treasury company) would have issued perpetual notes to TCM (chapter 29). For this chapter: a loan to a **UK** borrower is not a QLR, so interest flowing from the UK into a CFC finds no Ch 9 shelter.

The global minimum tax. Tarnmoor's revenue is far above €750m, so F(No.2)A 2023 applies. Under **s 179** (as amended by FA 2024 Sch 12), a parent's tax under a **CFC tax regime** (including the UK CFC charge) is **allocated to the CFC** in computing that jurisdiction's effective rate, with the allocation for passive or **mobile income** capped at (15% – the local ETR) $\times$ that income; for domestic top-up tax, the cap is 15% of the CFC's adjusted profits (FA 2026 Sch 8 para 38). TCM: Marrovin tax £459,000 + CFC charge £204,000 (within the cap of $6\% \times £5.1\text{m} = £306,000$) = £663,000 on £5.1m = **13.0%**: still below 15%, so chapter 30 finds a top-up (simplified, about £102,000). **Open point:** whether a foreign **qualified domestic minimum top-up tax** counts as "local tax" for the Ch 14 tax exemption (s 371NB) or as creditable tax (s 371PA) was not found in HMRC's CFC guidance (INTM226150 last updated 2018; INTM230100 does not address it): treat it as unsettled.

How the examiner tests it.

Sitting	Question	What was tested	What the examiners said
N23	Q1(c) (part of 20)	Residence of an Anglo-Belgian parent, then a CFC finance company paying 1% tax: NTFP gateway	Good; some strayed into DPT and CIR
M24	Q5 (20)	Five overseas companies: 25% threshold, exemptions, rate	Good on the whole; gateways weaker; confused the 25% threshold with control; kept

Sitting	Question	What was tested	What the examiners said
		comparisons, a tax-holiday company, gateways	discussing exemptions after one applied
M25	Q1 (20)	Five companies (IP company with no substance, finance company, new acquisition, marketing company, captive insurer); apportionment, creditable tax, gains and UK dividends, income tax suffered	Poor: shareholding % not applied; creditable tax mishandled; gains and dividends not adjusted; few got the low profit margin right; exempt period well understood
M26	Q5 (part of 20)	First overseas contract: PE, branch exemption, subsidiary, CFC	“Not mentioning obvious points (e.g. how CFC legislation works)”

Adjusting for gains and dividends (M25). The CFC is computed as if it were a UK company: chargeable gains are part of ATTP (although capital profits are left out of **accounting** profits, s 371VD, and out of the tax exemption’s local profits, s 371NB(4)); dividends that would be exempt for a UK company drop out; UK income tax suffered is creditable tax (s 371PA).

Exam lens: CFCs overall - Grade: 1 (core); also core in the 2028 grid. Check the 2027 grid when published. - **Style:** technical prose and computations; no letter format; 0.5–1 mark per point; whole 20-mark questions on CFCs alone (M24 Q5, M25 Q1). - **Favourite combinations:** residence + CFC (N23 Q1); PE + branch exemption + incorporation of the branch + CFC (M26 Q5). - **Traps:** 25% test $\neq$ control; stop at the first exemption; profit before interest and trimmed ROE; adjust both sides of the tax exemption; apply the shareholding % to both profits and creditable tax; adjust for gains and exempt dividends; know s 371EC and the Ch 9 business premises condition; state in two lines how the charge works and who pays it. - **Layout:** an order-of-attack table per company (as Worked examples 26.8 and 26.9), then the charge computation in £.

What to take away.

- A **CFC** is a non-UK resident company controlled by UK resident persons: legal, economic, joint, or accounting control (50% condition); the **40% rule**; the **> 50% investment** test (from 2019).
- Part 9A (CFC APs beginning on or after **1 January 2013**) replaced the 1984 regime that *Cadbury Schweppes* (2006) and *Vodafone 2* (2009) had narrowed; it taxes only profits artificially diverted from the UK.
- A charge arises only if there are **chargeable profits** and **no entity exemption**: exempt period (12 months), excluded territories (greater of 10% and £50,000), low profits (£50,000; or £500,000 with non-trading income $\leq$ £50,000), low profit margin (profit before interest $\leq$ 10% of trimmed ROE), tax exemption ($\geq$ 75%; 18.75% break-even at 25%, both sides adjusted). Stop at the first that works.
- The **gateway**: Ch 4 (off if any of Conditions A–D; otherwise UK SPFs; safe harbour); Ch 5 (NTFP; 5% rule; s 371EC capital investment from the UK); Ch 9 (business premises; full exemption from qualifying resources; **75% exemption**; matched interest against ANTIE).
- **Apportion** by shares (chains, time-weighting); charge only companies with $\geq$ **25%** with connected and associated persons; charge = $25\% \times P\% \times \text{chargeable profits} - Q\% \times \text{creditable tax}$, in the AP in which the CFC’s AP ends; no reliefs; apportioned profits raise the s 105(3A) threshold.

- **Tarnmoor (invented), GY5:** TCM profit £5.1m; chargeable £1,275,000; creditable tax £114,750; **charge £204,000** (GY1–GY4 £132,000 a year). TVS exempt (80%). TIL: no chargeable profits.

The question was when the UK should tax the profits of a foreign subsidiary. The law's answer is narrow: only when the subsidiary is controlled from here, escapes every exemption, earns profits that belong here, and is owned to at least 25% by a UK company.

Next, chapter 27 turns from where profits are booked to the prices at which they move: transfer pricing.

Key rules and figures

Rule	Figure or test	Reference
Regime	CFC APs beginning on or after 1 January 2013	TIOPA 2010 Part 9A; FA 2012 s 180, Sch 20
CFC	Non-UK resident company controlled by UK resident person(s)	s 371AA(3)
Control	Legal; economic (> 50%); joint; 40% rule (≥ 40% UK; 40–55% non-UK); attribution; accounting control with 50% condition; > 50% investment (APs from 1 January 2019)	ss 371RB–371RG
When charged	Chargeable profits and no entity exemption	s 371BA
Exempt period	12 months; subsequent period and chargeable company conditions; amendment window 12 months after filing date	ss 371JA–371JG
Excluded territories	Threshold: greater of 10% of accounting profits and £50,000	ss 371KA–371KJ; SI 2012/3024
Low profits	≤ £50,000; or ≤ £500,000 with non-trading income ≤ £50,000; pro-rated	ss 371LA–371LC
Low profit margin	Profit before interest ≤ 10% of ROE (ROE excludes goods not used locally and related-person expenditure)	ss 371MA–371MC
Tax exemption	Local tax ≥ 75% of corresponding UK tax (18.75% at 25%); designer rates fail	ss 371NA–371NE
Accounting profits	TP applies; ignore differences ≤ £50,000	ss 371VC–371VD
Ch 4	Off if Condition A, B, C or D; eight steps; safe harbour (premises; 20% income; 20% management; IP 6 years; 20% exports)	ss 371CA, 371DA–371DL
Ch 5	NTFP; 5% incidental rule; s 371EC capital investment from the UK	ss 371CB–371CD, 371EA–371EE
Ch 6	Excess free capital; group treasury election within 20 months	ss 371CE, 371FA
Ch 9	Business premises; full exemption (qualifying resources); 75% exemption	ss 371IA–371IJ

Rule	Figure or test	Reference
	(6.25% effective); matched interest (excess over ANTIE)	
Charge	$25\% \times P\% \times \text{chargeable profits} - Q\% \times \text{creditable tax}$; AP in which CFC's AP ends	s 371BC
Chargeable company	$\geq 25\%$ including connected and associated persons	s 371BD
No reliefs	s 371UD omitted (CFC APs beginning on or after 8 July 2015)	F(No.2)A 2015 s 36
Group relief threshold	Apportioned CFC profits added to profit-related threshold	CTA 2010 s 105(3A)
UK-to-UK TP exemption	Not available to CFCs (from 1 January 2026)	s 371SD(5A); FA 2026 Sch 6
State aid reversal	SI 2024/1307 (31 December 2024); interest on repaid interest (FA 2026 s 51)	—
Pillar Two	CFC tax pushed down to the CFC; mobile income cap	F(No.2)A 2023 s 179
Tarnmoor GY5 (invented)	TCM chargeable £1,275,000; creditable £114,750; charge £204,000; TVS exempt (80%); TIL nil	—
Tarnmoor GY1–GY4 (invented)	TCM chargeable £825,000; creditable £74,250; charge £132,000 a year	—

Statutory and case references

- **TIOPA 2010 Part 9A:** ss 371AA, 371BA–371BG, 371CA–371CG, 371DA–371DL, 371EA–371EE, 371FA, 371GA, 371HA, 371IA–371IJ, 371JA–371JG, 371KA–371KJ, 371LA–371LC, 371MA–371MC, 371NA–371NE, 371OC, 371PA, 371QC–371QG, 371RB–371RG, 371SB–371SR (s 371SD(5A)), 371TA–371TC, 371UA–371UF (s 371UD omitted), 371VB–371VD; Sch 7ZA.
- **CTA 2010** s 105(3A); **CTA 2009** s 10, s 18A, Part 9A.
- **FA 2012** s 180, Sch 20 (paras 49, 50, 58); **F(No.2)A 2015** s 36; **F(No.2)A 2017** (s 371IE substituted); **FA 2019** s 20; **FA 2026** s 51, Sch 6 paras 16(3), 32(1), Sch 8 para 38; **F(No.2)A 2023** s 179.
- **SI**s: SI 2012/3024 (excluded territories); SI 2024/1307 (reversal of State aid recovery).
- **ICTA 1988** Part 17 Ch 4 (ss 747–756), repealed.
- *Cadbury Schweppes plc v IRC* (Case C-196/04) [2006] ECR I-7995 (12 September 2006).
- *Vodafone 2 v HMRC* [2008] EWHC 1569 (Ch) (4 July 2008); [2009] EWCA Civ 446 (22 May 2009).
- Commission Decision (EU) 2019/1352 (2 April 2019); General Court T-363/19 and T-456/19 (8 June 2022); Court of Justice C-555/22 P, C-556/22 P, C-564/22 P (19 September 2024) (EU references from secondary sources).
- **HMRC manuals:** INTM219380, INTM224175, INTM224200, INTM225100, INTM230100, INTM254220, INTM254610, CTM92825; CT600B guidance (GOV.UK).

Chapter 27: Transfer pricing and advance pricing agreements

In GY5, in a meeting room at Calder's works, two members of Tarnmoor's tax team spread a set of engineering drawings across a table. Opposite them sat Dan Hartley. He had left Calder two years earlier, when his division closed, and he had agreed to come back for an afternoon. *Our invented group, Tarnmoor, and everyone in it, Dan included, are invented for teaching. Dan's story began in The Living Law (TKS), and it continues here.*

The questions they put to him sounded like engineering questions. Who decided how these valves were made? Where did the know-how live, in the drawings or in people's heads? And when Calder sold its process valve business to Tarnmoor Vallaria SA (TVS), the group's subsidiary in the invented country of Vallaria, what actually went across?

They were really tax questions, and very old ones. When one company in a group sells to another, **what would a stranger have paid?** Calder had sold the business's customer contracts and manufacturing know-how for £6.0m. HMRC had opened an enquiry and was arguing for £9.5m. The answer would turn on facts like the ones Dan could give.

This is the sixth chapter of Part Four. **Transfer pricing and advance pricing agreements are core (grade 1)** on the 2026 LCG grid, and the examiners have tested them at five sittings since May 2023. *The Living Law* signposted transfer pricing but did not teach it, so this chapter starts from first principles and goes to Advanced Technical depth. The prologue's *BlackRock* case gave a first glimpse. For **FY2026** the rules have just been reshaped by **FA 2026 (s 47 and Sch 6)**, and this chapter teaches the reshaped law.

Statutes in this chapter: Taxation (International and Other Provisions) Act 2010 (TIOPA 2010, "the International Act"), Part 4 (ss 146–217) and Part 5 (ss 218–230); FA 2026 s 47, Sch 6 and s 48; CTA 2009 s 845; CTA 2010 s 1124; FA 2007 Sch 24; FA 1998 Sch 18 para 23; the Transfer Pricing Records Regulations 2023 (SI 2023/818); the Country-by-Country Reporting Regulations 2016 (SI 2016/237).

A family sale priced for strangers

Start with the problem. A group is one business. It plans as one, borrows as one and reports to its shareholders as one. But the tax system taxes each company separately, and each country taxes the companies within its reach. So the price at which one group company sells to another decides where the group's profit lands.

Picture a family selling a car to a cousin. The price might be generous, or token, or nothing at all, because the money stays in the family. Nobody minds, unless a third party has a share in what each relative earns. In a multinational group that third party is every tax authority. Underprice a sale from a UK company to a sister in a lower tax country, and profit leaves the UK without anything real having moved.

The answer the world settled on is the **arm's length principle**: each transaction between related parties is priced as if the parties were independent, dealing in comparable circumstances, each able to walk away. **Article 9(1) of the OECD Model** states it for treaties; **Art 9(2)** lets the other state make a **corresponding adjustment** so that the same profit is not taxed twice. The OECD **Transfer Pricing Guidelines** (TPG) explain how to apply it.

The UK rule is **TIOPA 2010 Part 4**. It does not ask why the group chose its price. It asks what strangers would have agreed, and taxes the UK company on that basis if the real price leaves it better off for tax.

Misconception: “transfer pricing only matters when a tax haven is involved.” It is easy to see why people believe it: the famous scandals involve brass-plate companies on islands. But Part 4 applies between any related parties, in any countries, whenever the UK side gets a potential tax advantage from the actual terms. A sale from a UK company (25%) to a sister taxed at 20% is enough. So is a sale to a sister taxed at 30%, if the price shrinks the UK profit. The rule protects the UK’s share; it does not care where the other profit goes.

The figures show how much is at stake. Advisers summarising HMRC’s *Transfer pricing and Diverted Profits Tax statistics 2024 to 2025* (published March 2026) report TP yield of about **£3,387m** in 2024-25 (up from £1,786m), with TP enquiries taking on average about **41 months** to settle [secondary: KPMG, EY, Saffery summaries; the gov.uk tables were not opened]. Much of that came from groups whose counterparties were in ordinary tax systems, not havens.

The policy debate (debate L3). The arm’s length principle treats an integrated group as a set of strangers. Critics say that is a fiction, because a group exists precisely to do things strangers cannot. Defenders say it is the only test two tax authorities can both apply, and that the alternatives (dividing profit by formula) would need a global agreement nobody has. The law, for now, stands with the defenders. Chapter 30 shows how the global minimum tax adds a floor without replacing the principle.

From abroad, to home, and back again

For years UK transfer pricing (latterly ICTA 1988 Sch 28AA) applied only where one party was outside the UK. **FA 2004 (ss 30–37)** extended it, with thin capitalisation, to UK-to-UK transactions for chargeable periods beginning on or after **1 April 2004** (INTM413250; chapter 2). The usual explanation is EU law: in *Lankhorst-Hohorst* (2002) the Court of Justice held that national thin capitalisation rules could breach freedom of establishment, and applying the rules at home as well as abroad removed the discrimination. **That is the common account, not something the statute says.**

The UK’s own earlier rules were then litigated. In the *Test Claimants in the Thin Cap Group Litigation* (Case C-524/04), the Court of Justice gave judgment on **13 March 2007**: the UK thin capitalisation rules restricted freedom of establishment where they targeted lending within groups. The Court of Appeal’s decision in the litigation followed in 2011 (*Test Claimants in the Thin Cap Group Litigation v HMRC* [2011] EWCA Civ 127).

So for two decades a loan from one UK company to another had to be priced at arm’s length although both paid UK tax. Usually that achieved nothing: if the borrower lost interest, the lender claimed a compensating adjustment (s 174) and the two cancelled out. The **Corporate Tax Roadmap** (October 2024, para 2.48) said that “the potential removal of UK-to-UK transfer pricing ... would reduce the UK compliance burden”.

FA 2026 did it, with **TIOPA 2010 s 164A**, the UK-to-UK exemption, for chargeable periods commencing on or after **1 January 2026** (FA 2026 Sch 6 para 32(1)). The same Schedule reshaped the rest of Part 4:

FA 2026 Sch 6	Change	From
para 2	New s 148A: TP notice deeming participation	1 January 2026
paras 13–15	New s 161 (acting together in financing), s 162A (common management), s 162B (anti-	1 January 2026

FA 2026 Sch 6	Change	From
	avoidance); s 162 omitted	
para 3	s 151(3)–(4): non-money consideration for intangibles assumed to be money	1 January 2026
para 4; new ss 153A–153B; s 154	Guarantees and implicit support rewritten (old ss 152–153 omitted)	staggered (see “Lending to relatives”)
para 16	s 164A UK-to-UK exemption	chargeable periods commencing on or after 1 January 2026
para 18	s 164: interpret consistently with OECD Model Art 9 (approved 18 November 2025) and the TPG 2022 “as amended or replaced from time to time” (Treasury opt-out)	1 January 2026
para 20	ss 208–211 (Commissioners’ sanction) omitted	18 March 2026
paras 25, 28	CTA 2009 s 845(4ZA)–(4ZG), s 846: cross-border intangibles transfers subject to TP priced at arm’s length, not market value	transfers on or after 1 January 2026
para 29	s 173A: exchange gains and losses on qualifying financial instruments outside the adjustment	chargeable periods commencing on or after 1 January 2026

The same Act replaced DPT with **unassessed transfer pricing profits** (UTPP) inside corporation tax (FA 2026 s 46, Sch 5): chapter 30.

Worked example 27.1: commencement (real-calendar illustration, not the Tarnmoor story)

Company’s accounting period	FA 2026 TP rules (incl. s 164A)?
1 January 2026 – 31 December 2026	Yes, for the whole period
1 April 2025 – 31 March 2026	No: old rules for the whole period; new rules from the AP beginning 1 April 2026
1 October 2025 – 30 September 2026	No: old rules for the whole period

Say “chargeable periods **commencing** on or after 1 January 2026”, never “from 1 January 2026”. In our invented story every period is simply treated as falling under FA 2026 law.

The basic rule

Slow down here: the basic rule is where marks are won. **TIOPA 2010 s 147** has five building blocks.

Block	Rule	Reference
1. Provision	Provision made or imposed between two affected persons by a transaction or series of transactions. Provision = the terms (price, rate, amount, duration, risk allocation). A series includes arrangements, understandings and mutual practices; not every party need be party to every step	s 147(1); s 150
2. Participation	The participation condition is met (next section)	ss 147(1), 148
3. Arm's length	The actual provision differs from the arm's length provision , the terms independent enterprises would have made. The arm's length provision can be no provision at all	s 147(1); s 151(2)
4. Advantage	The actual provision confers a potential advantage in relation to UK taxation : Effect A, smaller profits; Effect B, larger losses. In deciding advantage, ignore the CIR (Part 10) and the s 1000(1)E distribution rule	ss 147(2), 155
5. Adjustment	The advantaged person's profits and losses are computed as if the arm's length provision had been made; if both are advantaged, both	s 147(3), (5)

A one-way street. Part 4 never reduces UK profits. If a UK company overcharges a foreign sister, the UK simply collects more tax; relief is for the other state. The UK disadvantaged person's relief, where it is within UK tax, comes only by **claim** (s 174; see "Making both sides whole").

Boundaries in a computation. - **Not capital allowances or chargeable gains** (ss 213–214): those regimes have their own market value and connected person rules. Calder's plant sold to TVS for £1.4m was dealt with under the CAA (chapter 8). - **Exchange gains and losses** on qualifying financial instruments (matched, currency tax offset, Disregard Regulations, fair-value or reference-currency instruments) are outside s 147(3)/(5) (new **s 173A**, FA 2026 Sch 6 para 29; CTA 2009 ss 447, 449–451 and 694 repealed). - Part 4 applies for **income tax and corporation tax** (s 146).

Self-assessment. A company must compute its profits on the arm's length basis **in its return**. HMRC does not have to find the problem first. That is why documentation exists, and why a wrong price can carry a penalty.

Back to the prologue. In *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 (11 April 2024) about \$4bn of intra-group loans funded LLC5's purchase of preference shares. HMRC argued that no independent lender would have lent that much on those terms (s 151(2)). The FTT found that an independent lender would have lent, provided it received covenants that would have been given; the UT reversed; the Court of Appeal restored the FTT's finding. **On transfer pricing the taxpayer won.** It lost on the unallowable purpose rule (CTA 2009 s 441; chapter 12).

Commentators have read one passage of Falk LJ's judgment (para 63 is the one cited) as a hint that HMRC argued from the wrong side of the table. Transfer pricing asks what independent **enterprises** would have done, and the borrower is an enterprise too: would an independent borrower in LLC5's position have wanted the debt at all? That argument was not run and the case did not decide it. It is a live question, and a good point in an answer: **test both sides of the deal.**

The prologue's lesson stands. Transfer pricing is a **valuer's** question (what would strangers have agreed?). It never asks why the group did it; that is s 441's job. A loan can pass one test and fail the other.

Exam lens: the basic rule and participation - Grade: transfer pricing and APAs **1 (core)** (2026 grid; the row's bracket "Awareness – basic principles only" qualifies the Awareness paper, not LCG). Check the 2027 grid when published. - **Past appearances:** M25 Q4 (20 marks, CT computation with an interest-free loan to an overseas subsidiary and an undercharged management fee); the examiners said TP marks were mostly for **spotting the issue and explaining it**. M23 Q3 (15 marks): participation and thin capitalisation with CIR. - **Layout:** state each of the five blocks against the facts in a line each; then compute the adjustment and its CT; then say who (if anyone) can claim relief. - **Traps:** reducing UK profits under s 147 (never); forgetting the six-month financing window; giving the overseas counterparty a UK compensating adjustment.

Who participates

The **participation condition** (s 148) has two versions.

Version	Test	Timing
Condition B (ordinary provision)	One party directly or indirectly participates in the management, control or capital of the other, or the same person(s) participate in both	At the time of the provision (s 148(3))
Condition A (financing arrangements)	Same test	At the time or within 6 months after the provision (s 148(2), (4))

Direct participation means **control** in the sense of CTA 2010 s 1124 (power to secure that the company's affairs are conducted in accordance with your wishes, through shares, voting power or constitutional powers) (s 217). **Indirect participation** (ss 157–160, 163) reaches further: potential participants (rights attributed), and each of two persons holding at least **40%** of a joint venture. The six-month window catches a lender who advances money just before taking control of the borrower: the shape of **M23 Q3** (a loan from a US company that might take 60% control).

FA 2026 additions (from 1 January 2026):

Rule	Effect
s 148A TP notice	Where participation fails only because of the technical rules in ss 157–161 but the parties are participating "having regard to all of the circumstances" (the Art 9 sense), HMRC may give a notice: condition treated as met for that and later periods; limited appeal ground (s 170)
s 161 (substituted) acting together	In financing cases, persons with qualifying (parallel equity) interests are treated as indirectly participating; a private equity club cannot escape by splitting the shares
s 162A common management	A and B managed by the same person(s) with a mechanism aligning shareholders' economic interests: each treated as controlling the other

Rule	Effect
	(stapled structures)
s 162B anti-avoidance	Arrangements with a main purpose of failing the participation condition are disregarded

HMRC's guidance (INTM414020) says “the existing conditions for participation at s 148 remain unchanged”: the new rules sit around their edges.

One group, many definitions (chapter 1). TP participation rests on control and common control, direct or indirect, not on the 75% chains that group relief and gains groups need. A company can be outside a group relief group and a gains group yet inside Part 4.

In our invented case participation is never in doubt: TPLC owns every relevant company outright. The real questions are whether an exemption applies, and what the arm's length price is.

Who is let off

Part 4 has three exemptions.

1. Dormant companies (s 165): dormant since 31 March 2004.

2. The SME exemption (s 166): s 147(3) and (5) do not apply to a **small or medium-sized enterprise** for the chargeable period. The definition (s 172) is the Annex to **Commission Recommendation 2003/361/EC**, with UK modifications (INTM412080):

	Staff	Financial limits	Aggregation
Small	< 50	turnover or balance sheet ≤ €10m	linked enterprises in full; partner enterprises (25%–50%) proportionately
Medium	< 250	turnover ≤ €50m or balance sheet ≤ €43m	as above
UK modifications		data for the actual chargeable period, annualised; no two-consecutive-years rule; no new-enterprise estimate; liquidators' rights ignored	

The thresholds are in the CIOT tax tables. **FA 2026 left the exemption unchanged** (the government “decided that small and medium-sized enterprises will continue to benefit from the existing exemption”: consultation outcome, 26 November 2025).

Do not confuse with R&D. The R&D SME ceilings are doubled (500 staff; €100m / €86m: chapter 10). TP uses the unmodified Recommendation: **fewer than 250 staff**.

Exceptions:

Exception	Rule	Reference
Election	An SME may elect out, irrevocably	s 167
Non-qualifying territory	Exemption never applies where the other party (or a party to the series) is resident in a non-qualifying territory (broadly, no treaty with a non-discrimination article)	ss 167, 173
Small: TP notice	Only where the provision feeds patent box relevant IP profits	s 167A
Medium: TP notice	HMRC may give a notice requiring an arm's length computation only after an enquiry notice ; appeal only on the ground that the company is not medium-sized; return may be amended within 90 days	ss 168–171

Worked example 27.2: the size test (invented for illustration)

Test (group-wide, with linked enterprises)	Figure	Medium limit	Met?
Staff	220	< 250	Yes
Turnover	€60m	≤ €50m	No
Balance sheet	€40m	≤ €43m	Yes

Staff test met, and **either** financial test is enough: **medium-sized**, so exempt, unless HMRC gives a TP notice after an enquiry or a counterparty is in a non-qualifying territory.

The joining-a-group twist. N24 Q5 (20 marks) had a US multinational buy a UK SME. The marking guide gave **6.5 marks** for seeing that TP now applied (the target's linked enterprises include the whole group) and for the Master File and Local File contents. **In our invented case**, Brackenwell Sensors (45 staff) was small on its own; from 1 July GY2 its linked enterprises included the whole Tarnmoor group (about 6,000 people) and the exemption fell away. Calder (about 300 staff) never had it.

3. The UK-to-UK exemption (s 164A): next section.

The UK-to-UK exemption at work

TIOPA 2010 s 164A disapplies s 147(3) and (5) for **qualifying UK to UK provision** (s 164A(2)(a)–(d) and (5); INTM414320). The conditions are cumulative:

Condition	Detail
UK companies	Both affected persons are UK-resident companies
Within CT	The provision is relevant to both, with the profits chargeable to corporation tax

Condition	Detail
Same rate	Both charged at the same rate of CT (advisers' example: small profits rate against main rate fails)
Same currency	Same reference currency
Disqualifications	No one-sided derivative of the s 589 kind; no s 18A (branch exemption) adjustments; not patent box provision
No excluded company (s 164A(5))	e.g. banking companies , ring fence, oil contractors, BLAGAB life business, tonnage tax, OEICs, AUTs, investment trusts, UK REITs, securitisation and insurance securitisation companies, qualifying transformer vehicles, QAHCs , electricity generator levy undertakings, RPDT developers

Off-switches. (1) An **irrevocable election** that the exemption is not to apply (per provision or per period). (2) An HMRC **transfer pricing notice** where expedient to prevent a **loss of tax**, judged across **both** parties, normally only after a notice of enquiry (INTM414330); appeal on the ground that there is no such loss. HMRC's stated logic (INTM414320): where both parties are taxed in the UK at the same rate, s 174 compensating adjustments usually make the pricing neutral, so the exemption removes compliance cost while keeping protection against a net loss of tax.

CFCs excluded. A CFC cannot use s 164A in computing its chargeable profits, although those are computed as if it were UK resident (s 371SD(5A); chapter 26).

Worked example 27.3: Tarnmoor's dealings and s 164A (in our invented case)

Dealing	Within s 164A?	Reason
TFL → TEL £200m, TWS £40m, TES £70m at 6%	Yes	UK companies, 25%, sterling, no excluded company (TFL takes no deposits and carries on no banking business: story assumption; the statutory definition is checked in Tom's file)
TFL → TPLC £120m at 6%	Relied on, with a fallback	TPLC rarely has taxable profits: how the same rate condition reads for a nil-profit company is not settled in the material checked (statute text not seen; commentary gives only the SPR v main rate example). Tom keeps evidence that 6% is arm's length anyway (the market evidence used for the TVS loan)
TFL → BSL £8m (from 1 July GY2)	Yes	As above
Calder ↔ TEL dealings feeding Calder's patent box profits (from GY4), e.g. engineering services to the Ashlar programme	No	Patent box provision: price at arm's length
TPLC → TIL £20m interest-free	Yes until 30 June GY4 ; No from 1 July GY4	TIL migrates to Ireland on 30 June GY4 (chapter 22); from then the loan is cross-

Dealing	Within s 164A?	Reason
		border (book's reading of the residence condition for a straddling period: flagged)
TFL → TVS £120m; TPLC → TVS services	No	Cross-border: full Part 4

UK-to-UK lending by TFL: £430m (interest £25.8m a year), plus £8m to BSL from GY2.

The exemption switches off one rule, not the code. The unallowable purpose rule (CTA 2009 s 441) and the CIR (chapter 28) still apply to every one of these loans.

Going further: the tax function and s 164A - Record the s 164A analysis for each UK-to-UK provision and **re-test it each period**: a migration, a company becoming a bank or a QAHC, a patent box election, a small company paying the small profits rate, or a different functional currency can take a provision out. - Decide whether to **elect out**. Advisers note that groups sometimes prefer arm's length pricing where other rules lean on it [secondary, RSM]. - Where the exemption fails, remember the old symmetry: the **compensating adjustment** (s 174) normally neutralises a UK-to-UK adjustment, so the risk is cost and timing, not usually tax.

Exam lens: exemptions - Grade: within TP 1 (core). s 164A is new in FA 2026 and first examinable in 2027 sittings. - **Likely angles:** a target losing SME status on acquisition (N24 Q5); a UK group with UK and overseas subsidiaries where you must say which dealings need TP before computing CIR. - **Traps:** testing SME status on the company alone (linked enterprises count); using the R&D ceilings; applying s 164A to a cross-border loan, a CFC, patent box provision, or companies paying different rates; assuming s 164A also switches off s 441 or CIR.

Five ways to find a stranger's price

Once a dealing is inside Part 4, the company needs a price. The TPG (read through s 164) describe five methods; HMRC's manual summarises them in the same terms (INTM421010–INTM421080). *The TPG themselves were not opened for this chapter (oecd.org blocked); descriptions follow HMRC's manual.*

Method	Type	How it works	Best for	HMRC
Comparable uncontrolled price (CUP)	Traditional	Compare the controlled price with prices between independent parties for the same thing in comparable circumstances	Commodities; identical goods; loans with market comparables	INTM421010
Resale price ("resale minus")	Traditional	Resale price to an independent customer, less an arm's length gross	Marketing and distribution	INTM421050

Method	Type	How it works	Best for	HMRC
		margin covering the reseller's functions, assets and risks		
Cost plus	Traditional	Supplier's costs plus an arm's length mark-up ; the cost base must include all relevant costs (e.g. share option charges)	Semi-finished goods; long-term supply; services	INTM421060
Transactional net margin (TNMM)	Transactional profit	Compare a net profit indicator of the tested party (operating margin, mark-up on total costs) with comparables	Routine distributors and manufacturers where gross data are poor	INTM421080
Profit split	Transactional profit	Split the combined profit by contribution, or by routine returns then a residual key	Highly integrated operations; unique and valuable contributions on both sides	INTM421070

Choice of method. The 1995 Guidelines had a strict hierarchy, with profit methods a last resort. From the 2010 Guidelines the test is the **most appropriate method** for the case, with a natural preference for traditional methods (and the CUP) where equally reliable (INTM421010). The choice follows from the facts, and the facts come from a **functional analysis**.

Worked example 27.4: the five methods in numbers (invented for illustration)

Method	Facts	Arm's length result
CUP	Calder sells a valve to a sister for £900 and to independent customers for £1,000, same terms and volumes	£1,000 (adjust only if comparable in all material respects)
Resale price	Distributor resells at £1,000; comparable gross margin 25%	Purchase price $\text{£1,000} \times 75\% = \textbf{£750}$
Cost plus	Manufacturer's cost £400; arm's length mark-up 20%	Price $\text{£400} \times 1.20 = \textbf{£480}$
TNMM	Distributor's sales £10,000,000; operating expenses £1,500,000; arm's length operating margin 3%	Operating profit £300,000, so purchases from the group $\leq \text{£10,000,000} - \text{£1,500,000} - \text{£300,000} = \textbf{£8,200,000}$
Residual profit split	Combined profit £10,000,000; routine returns A £3,000,000, B £2,000,000; residual £5,000,000 split 60:40 by relative R&D spend	A $\text{£3,000,000} + \text{£3,000,000} = \textbf{£6,000,000}$; B $\text{£2,000,000} + \text{£2,000,000} = \textbf{£4,000,000}$

Exam lens: methods - N23 Q6 (20 marks): methods for a manufacturer, a distributor and an R&D centre (CUP, resale price, cost plus; no profit methods), low value-adding services and stewardship costs. The examiners noted the “style ... was different to that of previous sittings” and found **theory good, application weak: functions and risks were not analysed**; most did not know the low value services approach or the stewardship point. - **Match method to entity:** routine manufacturer → cost plus; distributor → resale price or TNMM; contract R&D centre → cost plus, **but only after checking who controls the research risk** (a centre that controls its own risk is not a contract researcher).

Dixons and the point of sale

The first UK case is still the best illustration of why functions matter. *DSG Retail Ltd v HMRC [2009] UKFTT 31 (TC)* was decided by the Special Commissioners, **John Avery Jones and Charles Hellier**, released **31 March 2009**. The tribunal described it as “the first transfer pricing case to have come to the Tribunal”.

DSG Retail was the Dixons retail group. Its shops sold extended warranties on electrical goods. The insurance risk ended up with a captive insurer in the Isle of Man, **Dixons Insurance Services Ltd (DISL)**, a group company; from **May 1986 to April 1997** an independent insurer, **Cornhill**, acted as fronting insurer and passed the risk to DISL. The question was whether the retailer had been paid enough for what it provided to DISL.

The group put forward other insurance arrangements as **CUPs**. The tribunal rejected them because of the retailer’s “**point of sale advantage**”: the retailer owned the moment of sale, when a customer buying an electrical item could be offered a warranty, and arrangements without that access were not comparable. It found that DSG had provided **business facilities** to DISL below an arm’s length price (under the old ICTA 1988 s 770 and Sch 28AA), pointed to a **profit split based on a return on DISL’s capital**, and adjourned the quantum.

Functional analysis	DSG Retail
Functions	The retailer: staff and shops selling the warranty
Assets	The retailer: the customer relationship at the till
Risks	DISL: insurance risk backed by its capital, earning a return on capital, but no more

The case shows how a TP dispute is really fought: not a contest of formulae but of facts about what each party did and could have done without the other. The comparables failed for want of one fact, access to the customer at the moment of sale. Calder’s dispute turns on the same kind of fact: where the know-how really lived.

Services, stewardship and 5%

Head offices do a great deal for subsidiaries. What may be charged for? Two ideas do the work.

Services v stewardship. A **service** is something an independent company would pay for or do for itself (payroll, IT support, purchasing). **Stewardship** (shareholder activity) is what a parent does because it is the owner: board meetings, listing obligations, group accounts, raising group capital, overseeing its investments. The TPG treat shareholder activities as **not**

chargeable to subsidiaries [TPG Chapter VII not opened: stated as the Guidelines' position as applied in the N23 Q6 marking; flagged]. The N23 examiners noted that most candidates missed the stewardship point.

Low value-adding services (LVAS). HMRC's manual (INTM440071) describes them as supportive, not part of the group's core business, using no unique and valuable intangibles and involving no significant risk. Under the **simplified approach** the group pools the costs, allocates them by sensible keys (headcount for payroll, users for IT) and adds a **5% mark-up**; pass-through costs are excluded from the mark-up; documentation is still needed; and the 5% is not a benchmark for services outside the definition.

Worked example 27.5: TPLC's recharge to TVS, GY1 (in our invented case)

TPLC provides TVS with group purchasing (indirect supplies only: software licences, travel and insurance, not the raw materials TVS uses to make valves, which would be core), engineering standards (common manuals and audits) and IT support (chapter 13). Classified as LVAS. TPLC had charged a figure carried over from an old budget. The provision is UK → Vallaria (s 164A irrelevant); Tarnmoor is not an SME; TPLC is advantaged (smaller income).

	£
Cost of services	2,000,000
Arm's length charge: cost + 5%	2,100,000
Charged	1,600,000
TP adjustment (TPLC self-assesses)	500,000
Tax at 25%	125,000

Where the tax is collected. TPLC pays no tax itself: its management expenses exceed its income and it surrenders the excess to TEL. But the surrender is capped at the excess over the **profit-related threshold**, gross profits plus CFC profits apportioned (CTA 2010 s 105(3A); chapter 13). The adjustment raises gross profits by £500,000, so TEL gets £500,000 less group relief.

GY1 (£)	Recharge as charged	Recharge at arm's length
TPLC management expenses	8,000,000	8,000,000
Gross profits (recharge income)	1,600,000	2,100,000
CFC profits apportioned (TCM)	825,000	825,000
Profit-related threshold	2,425,000	2,925,000
Maximum ME surrender	5,575,000	5,075,000
TEL TTP (24,000,000 – ME – NTLR 6,590,000 – consortium 1,800,000)	10,035,000	10,535,000
TEL CT at 25%	2,508,750	2,633,750
Difference		125,000

The rest of TPLC's head office (board, listing, investor relations, group finance and tax, plc audit: £5.7m in GY1) is **stewardship**: not recharged, and stays in TPLC's management expenses.

A second benefit. Chapter 13 explained HMRC’s view after its 2025 letter campaign: a holding company’s costs of serving a subsidiary’s business are not its own management expenses unless recharged at arm’s length. Pricing the recharge properly protects the deduction as well as the income.

TVS gets no UK relief for paying more. Whether Vallaria lets TVS deduct the higher charge is a Vallarian matter; if it refused, the treaty’s MAP would be the route.

Lending to relatives

Financing is where TP meets the CIR, and where the money is largest. HMRC (INTM413010): “thin cap means looking at every aspect of lending and borrowing from a transfer pricing angle”: the **amount** of the debt, the **rate**, the duration, the currency and any guarantees. Two questions follow: would an independent lender have lent **this amount** to this borrower on its own? And at **what rate**?

Worked example 27.6: inbound thin capitalisation, then CIR (invented for illustration; M23 Q3 / M26 Q1 style)

A UK subsidiary borrows £100m from its US parent at 9%. It could have borrowed only £60m on its own, at 7% (no guarantee or implicit support adjustment needed).

	£
Interest paid: £100m × 9%	9,000,000
Arm’s length interest: £60m × 7%	4,200,000
TP disallowance (s 147; s 153A if a parent guarantee was needed for the excess)	4,800,000
CIR on the remaining £4,200,000: tax-EBITDA £12,000,000 (not reduced by the TP disallowance); 30% = £3,600,000 (above the £2m de minimis)	
CIR disallowance (4,200,000 – 3,600,000)	600,000
Total disallowed	5,400,000
Tax at 25%	1,350,000

TP first, then CIR (s 155(6) ignores the CIR in deciding advantage). Chapter 28 teaches the second step. The US parent gets no UK compensating adjustment (it is not within UK tax on the interest).

Guarantees and implicit support (FA 2026).

Rule	Detail	Reference
Guarantee never arm’s length	Where an amount would not have been lent but for a guarantee from a participator, the guarantee provision is never arm’s length (the borrower cannot borrow the guarantor’s credit)	s 153A

Rule	Detail	Reference
Deemed guarantee election	A UK company with a qualifying participatory relationship may elect to be treated as guaranteeing the excessive borrowing; irrevocable; within 4 years after the first period (or 1 year after a discovery assessment); links to guarantor claims (ss 191–194)	s 153B
Implicit support	Not a guarantee (s 154(4A)); the incidental benefit of group membership (s 154(5B)); taken into account in pricing (usually a better rating, a lower rate)	s 154
Commencement	Periods ending on or after 1 January 2026 that start within two years: only borrowing on or after 1 January 2026 ; all borrowing for periods commencing on or after 1 January 2028 , or earlier by election	FA 2026 Sch 6 para 12

Worked example 27.7: Tarnmoor’s cross-border loans (in our invented case)

TFL → TVS: £120m at 6% (£7.2m a year). TFL is the party that could be advantaged (a rate below arm’s length would shrink its UK profit). Tom’s team tested the rate against yields on comparable bonds of similarly rated industrial borrowers, allowing for TVS’s stand-alone credit standing and its implicit support from the group (s 154). No guarantee. 6% sat within the range: **no adjustment**.

TPLC → TIL: £20m interest-free. From **1 July GY4** TIL is Irish (chapter 22). An independent lender would not lend for nothing; arm’s length rate 6%.

Period	Arm’s length interest brought in by TPLC	Tax effect at 25% (through TPLC’s smaller NTLR deficit surrendered to TEL)
1 July–31 December GY4: £20m × 6% × 6/12	£600,000	£150,000
Each year from GY5: £20m × 6%	£1,200,000	£300,000

TIL gets no UK compensating adjustment: it is no longer within UK tax on the business the loan funds (its Irish distribution business; story assumption). Its relief is for Ireland under the UK–Ireland treaty (Art 9(2) and MAP).

Interaction: an interest TP adjustment **reduces ANTIE but not tax-EBITDA** (M26 Q1 marking guide): TPLC’s extra interest income reduces the group’s net interest expense (chapter 28).

Selling the know-how

A **business restructuring** is a cross-border reorganisation of functions, assets and risks within a group: moving a product line, converting a full manufacturer into a contract manufacturer, centralising IP abroad. The question is what an independent party would have been paid for giving up what it gave up.

Two rules frame it. 1. **One valuation standard (FA 2026 Sch 6 paras 25, 28).** Between related parties the intangibles regime normally substitutes **market value** (CTA 2009 s 845). For a **cross-border transfer subject to transfer pricing**, made on or after **1 January 2026**, the market value rule is disapplied and the **arm's length price** under Part 4 governs (new s 845(4ZA)–(4ZG); s 846; chapter 11). 2. **Options realistically available.** The TPG chapter on business restructurings (Chapter IX, as reproduced by commentators; not opened here) asks what options were realistically available to each party. An independent company would not accept a deal that left it worse off than its next best option. A mere loss of future profit potential does not automatically need compensation; a transfer of something of value (rights, intangibles, a going concern) does.

Worked example 27.8: Calder's sale to TVS and the settlement (in our invented case)

The transaction (1 October GY3). Calder sold its process-valve customer contracts and manufacturing know-how (created after 2002; no tax cost) to TVS for **£6.0m**, supported by a valuation report; the related plant went for **£1.4m** under the CA rules (TP does not reach CAs: s 213). Chapter 11: realisation credit £6.0m, CT **£1,500,000** in the 9-month AP to 31 December GY3.

The enquiry. Return due 31 December GY4; Calder is in a large group, so the window ran to 31 December GY5; HMRC opened its enquiry on **1 June GY5** (chapter 3). HMRC argued for **£9.5m** (an adjustment of £3.5m, CT £875,000). Its reasons, in our story: (1) the valuation counted only the remaining terms of existing customer contracts, while an independent buyer would also pay for expected renewals; (2) an independent seller had a realistic alternative, carrying on the business itself, so would not sell for less than that alternative was worth.

The functional analysis. Interviews, with Dan among the engineers (his know-how had been documented at the time of the sale), established:

Finding	Points towards
Development of the designs and manufacturing methods was controlled in the UK by Calder's engineers and their managers	HMRC: Calder, as developer, earns the value of the know-how
TVS performed none of those functions before the sale	HMRC
Only part of the know-how was documented; the rest (process settings, fault-finding) sat with the team, none of whom moved to Vallaria. In our invented story Dan put it plainly: the drawings tell you what to make, not how to make it run	The group: less than a going concern crossed the border; TVS rebuilt the rest at its own cost
Calder's division was closing anyway (restructuring announced 15 June GY3)	The group: shapes Calder's realistic options

The settlement (GY6).

	£
Price agreed for TP purposes	8,000,000
Price used in the return	6,000,000
TP adjustment: Calder's 9-month AP to 31 December GY3	2,000,000

	£
Additional CT at 25%	500,000
Total CT on the transfer (1,500,000 + 500,000)	2,000,000

Interest runs on the £500,000 from the dates the tax should have been paid: Calder was very large in the 9-month AP (QIP divisor 10), so from its instalment dates (14 June, 14 September, 14 December GY3) until the normal due date, 1 October GY4, and then late payment interest until paid (chapter 3 explains the instalment and late payment interest rules). The amount depends on the payment date and is not fixed in the story.

No penalty. Calder kept TP records (Local File entry, the valuation report, a contemporaneous note of the functional analysis) and took reasonable care, so there was no careless inaccuracy and the FA 2007 Sch 24 para 3C presumption never arose.

The planning lesson. A restructuring is the transaction HMRC reviews most closely, because it moves future profit for good. The defence is evidence assembled at the time: who did what, what transferred, what each party could otherwise have done. Calder's file was good enough to avoid a penalty, but not to avoid an adjustment.

Going further: the restructuring ripple - CIR. The extra £2.0m is taxable profit of Calder's 9-month AP and, on the statute's reading (TIOPA s 408 excludes the realisation credit only so far as it reverses earlier debits: chapter 11), part of tax-EBITDA for that period. A services or sale TP adjustment **increases** tax-EBITDA (M26 Q1 guide). The reporting company must file a revised GY3 interest restriction return within three months of the settlement (chapter 28): reactivation rises from £1.87m to £2.47m, but TEL's group relief claim for the extra deficit is out of time. - **UTT.** If the advantage of a filing position on a price exceeds £5m and departs from HMRC's known position, consider notification (chapter 4). - **UTPP.** A TP shortfall that is not self-assessed can expose a group to UTPP where its conditions are met (chapter 30). A correct return is the best protection.

Exam lens: business restructurings - New for FA 2026 sittings: a cross-border IP transfer must be priced at **arm's length under Part 4, not s 845 market value**, and the intra-group tax-neutral rule (s 775) does not apply because the asset leaves the UK charge (chapter 11). - Do not drift into a full TP essay unless asked: a paragraph on functions, assets, risks and realistic options, plus documentation, earns the marks.

Making both sides whole

A TP adjustment taxes the same profit twice unless someone gives relief on the other side. Three tools.

Tool	Rule	Reference
Compensating adjustment	Where only one party is advantaged and the disadvantaged person is within UK income tax or CT on the relevant profits, it may claim to be computed on the arm's	ss 174, 174A, 176–178

Tool	Rule	Reference
	length basis; the advantaged person must have returned (or been assessed) on that basis; claim generally within 2 years of the return or relevant notice. Also for UK PE cases (s 174(1A)). A non-company income tax payer cannot claim against a company (s 174A)	
Balancing payment	Conditions A–D (s 195): one party advantaged; the disadvantaged person within UK income tax or CT on the relevant profits; payment(s) by it to the advantaged person; sole or main reason the TP adjustment. Then the payment is ignored for tax and not a distribution , up to the available compensating adjustment (s 196). HMRC: no obligation to make one (INTM412140)	ss 195–198
MAP and corresponding adjustment	Treaty Art 9(2) (corresponding adjustment) and Art 25 (MAP). Under the Model’s wording the case must be presented within 3 years of the first notification of the action [TPG summary; Art 25 text not opened]. Where the UK gives relief, HMRC must give effect to a MAP solution despite any enactment ; consequential claims within 12 months of notification (TIOPA s 124). HMRC practice: SP 1/2018 and INTM423000 onwards	TIOPA s 124

Since 2026 compensating adjustments matter less, because most UK-to-UK dealings are exempt. They still matter where a s 164A condition fails (different rates, a patent box provision).

In our invented case. TVS is Vallarian, so (a) it cannot claim under s 174, and (b) a balancing payment from TVS to Calder of £2.0m would **not** be sheltered by s 196, because Condition B (payer within UK tax) fails. The group made **no balancing payment**. TVS asked the Vallarian competent authority for relief after the settlement; in **GY7** Vallaria made a **corresponding adjustment**, treating TVS as having paid £8.0m for the know-how (how that works in Vallarian law is outside our scope). Advisers summarising HMRC’s 2024-25 statistics report MAP cases concluded in about **24.8 months** on average [secondary].

Secondary adjustments. Some countries recharacterise the cash left with the advantaged party (as a deemed dividend or loan). HMRC’s manual notes that secondary adjustments can themselves cause double taxation unless the other state gives relief (INTM423090).

Agreeing the price in advance

A dispute settled after five years is expensive. For a recurring flow of real value, a group can agree the method before the periods it covers: an **advance pricing agreement (APA)** under **TIOPA 2010 Part 5**.

Point	Rule	Reference
Definition	Written agreement between a person and HMRC, following an application, settling how certain matters (including TP between associates and attribution of profits to a PE) are dealt with for covered periods; declares itself an APA	ss 218–219
Effect	The Tax Acts apply in accordance with the agreement for the covered periods; counterparties' s 174 claims follow it (s 222)	ss 220–226
Ending	Ceases on revocation under its terms, breach of a significant provision, or failure of a key condition; may be modified or revoked	ss 220–226
Void	If obtained by fraudulent or negligent misinformation	ss 220–226
Past periods	Can cover earlier periods, but not before 27 July 1999	ss 220–226
Application	Sets out the applicant's understanding of the law, the points needing clarification and the proposal	s 223
FA 2025 s 22	Indirect participation in financing cases applies to APA "associates", treated as always having had effect	FA 2025 s 22

Practice (HMRC's manual, INTM422000 onwards). **Unilateral** APAs bind only the UK; **bilateral** APAs, negotiated with the other competent authority, bind both and are HMRC's preference. Apply ideally **before the first period** to be covered; give the **same information to both authorities** at the same time (INTM422070). Agreements usually carry **critical assumptions** and an **annual compliance report**; HMRC aims to complete within **30 months** of a formal application, and says bilateral agreements can take **36 months or longer** (INTM422090). Advisers reading HMRC's 2023 guidance report that an **open enquiry** into related matters will generally hold an application back [secondary: Simmons & Simmons]. Advisers summarising the 2024-25 statistics report an average of about **44 months** to conclude an APA [secondary].

Worked example 27.9: the Ashlar royalty APA (in our invented case)

From GY4 Calder licenses the Ashlar patents to TVS at **6% of Ashlar sales**: about **£1.2m** a year (implying TVS Ashlar sales of about £20m). The royalty (1) sets Calder's taxable income; (2) drives Calder's **Patent Box** relevant IP profits (£0.9m; deduction £540,000: chapter 11), so any later adjustment would ripple into the Patent Box; (3) bears Vallarian withholding at **5%** (£60,000), so the two states must agree on the figure. Tom's team prepared a bilateral application; work could not finish while HMRC's enquiry into the know-how sale was open; once that settled, HMRC and the Vallarian authority agreed the method. The **bilateral APA covers the royalty from GY6**.

Practical points: the TP records regulations exclude only APAs made **on or before 31 March 2023** (SI 2023/818), so Calder still documents the royalty in its Local File; the draft ICTS regulations would exempt transactions under an APA in force. An APA does not remove the work; it removes the argument.

Keeping the file

TP is self-assessed, so the law requires evidence. Three layers apply to a group of Tarnmoor's size.

1. The TP records regulations (SI 2023/818).

Point	Rule
Who	UK members of an MNE group meeting the CbC threshold (consolidated revenue €750m , SI 2016/237 reg 3)
When	CT accounting periods beginning on or after 1 April 2023 (in force 9 August 2023)
What	Master File (TPG Chapter V Annex I: the group picture, its structure, businesses, intangibles, financing and TP policies) and Local File (Annex II: the company's material transactions, functional analysis and method)
How	Kept and preserved, not filed ; produced when HMRC asks (by information notice; the often-quoted 30-day period is not in the regulations as read)
Local File exclusions	Transactions between two UK-resident companies (unless patent box or ring fence: reg 6); transactions covered by an APA made on or before 31 March 2023 ; no records obligation where nothing would go in the Local File
Regulation lag	Reg 3(1)(c) still cross-refers to s 162, which FA 2026 omitted

Penalties. FA 2007 Sch 24 para 3C (inserted by F(No.2)A 2023 Sch 5 para 5(2), 11 July 2023): an inaccuracy involving a Part 4 computation is **presumed careless** if the person failed to keep the specified TP records (or comply with an information notice), unless it was deliberate or the person shows reasonable care. Inaccuracy penalties (Sch 24 para 4): careless **30%**, deliberate **70%**, deliberate and concealed **100%** of potential lost revenue, reduced for disclosure. Failure to keep records: up to **£3,000** per AP (FA 1998 Sch 18 para 23).

2. Country-by-country reporting (SI 2016/237). MNE groups with consolidated revenue of at least **€750m** (measured, as the regulations are usually summarised, on the **previous** period: flagged) report, broadly, revenue, profit, tax paid and accrued, employees and assets by jurisdiction. A UK ultimate parent files with HMRC within **12 months** after the end of the period (reg 2, "filing deadline"); a UK entity may have to file where its foreign parent's country does not require or exchange reports. Penalties, as advisers summarise them: **£300** for a failure, **£60 a day** if it continues, up to **£3,000** for an inaccurate report [secondary; HMRC factsheet CC/FS59 lists the obligations].

Worked example 27.10: Tarnmoor's documentation (in our invented case)

Item	GY1
Consolidated revenue	£1,180m
At the story's assumed €1.15 per £ (invented; never a real rate)	€1,357m
CbC threshold	€750m: exceeded (and in prior periods: chapter 1's assumption)
Consequences	TPLC files the CbC report within 12 months of each 31 December; every UK company keeps a Master File (prepared centrally) and a Local File for its cross-border dealings (TPLC: TVS services, TIL loan from GY4; TFL: TVS loan; Calder: TVS sale and royalty)

3. Coming next: the International Controlled Transactions Schedule (ICTS). FA 2026 s 48 gives HMRC power to require “reporting entities” to report international controlled transactions (TP with a non-UK counterparty, or PE cases). HMRC consulted on draft regulations, a notice and a template from **16 June to 31 July 2026**, intending them to apply to **APs beginning on or after 1 January 2027**, filed with the return; draft scope excludes SME-exempt transactions and transactions under an APA in force; thresholds in an HMRC notice, higher for CbC groups. **The regulations have not been made: not law, and not examinable on FA 2026** (one adviser expects first reports by 30 September 2028 [secondary]).

Going further: the tax function's TP calendar

- Each year:** refresh the Master File; update each Local File for new or changed transactions; re-test s 164A; check SME status of any new acquisition (N24 Q5); file the CbC report within 12 months; diarise s 174 claim deadlines (2 years).
- Before a restructuring:** valuation; functional analysis (functions, assets, risks; who controls the risk); the options realistically available to each party; Local File entry; consider an APA for any recurring flow it creates; consider UTT.
- In an enquiry:** the contemporaneous file is the defence (para 3C); MAP requests within the treaty time limit (3 years under the OECD Model wording).
- Governance:** the published tax strategy (chapter 4) commits Tarnmoor to arm's length pricing; the SAO's “appropriate tax accounting arrangements” include TP processes.

Exam lens: compliance and documentation - N24 Q5 (20 marks): TP now applies because the group is not an SME, with Master and Local File contents (**6.5 marks**); CbC conditions and exceptions (**3 marks**). The examiners reported that most candidates identified TP, but some covered it in depth and ignored easier points. - LCG narrative syllabus: “UK reporting and other UK company compliance concerning transfer pricing” is expressly examinable. - **Trap:** treating the Master File and Local File as returns to be filed (they are kept and produced on request); treating ICTS as law.

How the examiner tests it

Grade: transfer pricing and APAs **1 (core)** on the 2026 grid (and still 1 on the 2028 grid). **Appearances since May 2023:**

Sitting	Question	Marks	TP content	Examiners' comments (paraphrased unless quoted)
M23	Q3	15	Loan from a US company that may take 60% control: participation, thin cap, CIR, WHT	Main issues TP and CIR; time wasted on DPT, which does not apply to loan relationships
N23	Q6	20	Methods for a manufacturer, distributor and R&D centre; LVAS; stewardship	Theory good, application weak: functions and risks not analysed
N24	Q5	20	SME status lost on acquisition; Master and Local File; CbC	Most identified TP; some over-wrote it and missed easier marks
M25	Q4	20	CT computation: interest-free loan to an overseas subsidiary; undercharged management fee	TP marks mostly for spotting and explaining
M26	Q1	20	TP adjustments feeding CIR (ANTIE and tax-EBITDA)	Very few adjusted ANTIE and tax-EBITDA correctly
M26	Q5	20	TP excluded	Some did TP anyway

Style: technical prose and computations; questions of 10, 15 or 20 marks; 0.5–1 mark per point; no letter or report format.

Approach: state each condition, apply it, compute the adjustment and its tax, say who can claim relief; analyse functions, assets and risks before choosing a method; TP before CIR. **Traps:** forgetting the SME test, or testing it on the subsidiary alone; using the R&D ceilings; reducing UK profits under s 147; giving the overseas counterparty a UK compensating adjustment; applying s 164A to a cross-border loan, a CFC, patent box provision or different-rate companies; assuming s 164A switches off s 441 or CIR; writing TP when the question excludes it.

What to take away

Transfer pricing exists because a group is one business taxed as many companies. The **arm's length principle** prices each related party dealing as if strangers had agreed it. **TIOPA 2010 s 147** applies where there is provision between two affected persons, the participation condition is met, the provision differs from arm's length, and it gives a **potential UK tax advantage**. The arm's length provision can be **no provision at all** (s 151(2)). The rule only ever **increases** UK profits, and it ignores capital allowances and gains (ss 213–214).

Participation means control or common control, tested at the time, or within **6 months** for financing. FA 2026 added s 148A notices, acting together (s 161), common management (s 162A) and an anti-avoidance rule (s 162B).

SMEs are exempt: fewer than **250** staff and turnover $\leq$ **€50m** or balance sheet $\leq$ **€43m**, with linked and partner enterprises; joining a large group ends that. **s 164A** (chargeable periods commencing on or after **1 January 2026**) exempts most dealings

between UK companies paying the **same rate** in the **same currency**, with no patent box provision and no excluded company; CFCs cannot use it.

Five methods (CUP, resale price, cost plus, TNMM, profit split), chosen as the **most appropriate method** after a **functional analysis**. *DSG Retail* shows why functions, assets and risks decide the answer. **Stewardship** is not charged; **LVAS** at cost + 5%.

In our invented story: TPLC's recharge to TVS rose from £1.6m to **£2.1m** (adjustment **£500,000**, tax **£125,000**, collected through TEL's smaller group relief); TFL's **£120m** loan to TVS at **6%** was accepted; the interest-free TIL loan brought in **£600,000** (second half of GY4), then **£1.2m** a year; Calder's know-how sale was re-priced from **£6.0m** to **£8.0m** (adjustment **£2.0m**, CT **£500,000** plus interest, no penalty), with a Vallarian corresponding adjustment through **MAP** in GY7; a **bilateral APA** covers the Ashlar royalty (£1.2m a year) from GY6.

Relief comes by **compensating adjustment** at home (s 174, 2 years), by **MAP** abroad (s 124), and by **APA** in advance where the flow recurs. Records are the defence: **Master File, Local File** (SI 2023/818) and the **CbC report** (€750m), with careless behaviour **presumed** where records are missing (FA 2007 Sch 24 para 3C).

Transfer pricing decides how much interest a company may pay. The next chapter asks how much of what is left the UK will allow: **chapter 28, the corporate interest restriction**.

Key rules and figures

Rule	Figure or test	Reference	Status
Basic rule	Provision; participation; differs from arm's length; potential UK tax advantage (smaller profits / larger losses)	TIOPA 2010 ss 147, 155	V
No provision at all	Arm's length provision can be none	s 151(2)	V
CIR and E distributions	Ignored in deciding advantage; TP before CIR	s 155(6)	V
Not CAs or gains	Part 4 does not apply to them	ss 213–214	V
FX	Qualifying financial instruments' exchange gains/losses outside the adjustment	s 173A (FA 2026)	V
Interpretation	OECD Model Art 9 (18 November 2025) and TPG 2022 as amended	s 164 (FA 2026 Sch 6 para 18)	V
Commissioners' sanction	Removed from 18 March 2026	ss 208–211 omitted	V
Participation	Control (CTA 2010 s 1124) or common control; financing: at the time or within 6 months	s 148	V
FA 2026 participation	s 148A notice; s 161 acting together; s 162A common	FA 2026 Sch 6	V

Rule	Figure or test	Reference	Status
	management; s 162B anti-avoidance		
Dormant	Dormant since 31 March 2004	s 165	V
SME exemption	Small < 50 staff and ≤ €10m; medium < 250 staff and turnover ≤ €50m or balance sheet ≤ €43m; linked and partner enterprises	ss 166, 172; Rec 2003/361/EC	V / S
Medium: TP notice	After an enquiry; appeal only on size; 90 days to amend	ss 168–171	V
UK-to-UK exemption	Both UK companies; within CT; same rate; same currency; no s 18A, patent box or excluded company; election out; HMRC notice	s 164A; chargeable periods commencing on or after 1 January 2026	V (conditions via INTM414320)
CFCs	Cannot use s 164A	s 371SD(5A)	V
LVAS	Cost + 5%	INTM440071	V (manual)
Guarantees	Never arm's length where loan depends on it; deemed guarantee election (4 years)	ss 153A, 153B	V
Guarantee commencement	New borrowing from 1 January 2026; all from periods commencing on or after 1 January 2028 (or by election)	FA 2026 Sch 6 para 12	V
Intangibles cross-border	Arm's length, not market value, for transfers on or after 1 January 2026	CTA 2009 s 845(4ZA)	V
Compensating adjustment	UK disadvantaged person; claim within 2 years	ss 174, 176–178	V
Balancing payment	Payer within UK tax; not taxable/deductible up to the adjustment; not a distribution	ss 195–196	V (enacted text)
MAP	HMRC gives effect despite any enactment; consequential claims 12 months; OECD Model: 3 years to present a case	s 124; Art 25	V / S
APA	Tax Acts apply in accordance; void if fraudulent or negligent misinformation; past periods not before 27 July 1999	ss 218–226	V
APA timing	HMRC target 30 months; bilateral 36+	INTM422090	V (manual extract)
TP records	Master File and Local File for €750m groups; APs beginning on	SI 2023/818	V

Rule	Figure or test	Reference	Status
	or after 1 April 2023		
Presumed carelessness	Missing TP records → careless unless reasonable care	FA 2007 Sch 24 para 3C	V
CbC	€750m; file within 12 months	SI 2016/237 regs 2–3	V (threshold, deadline); S (prior-period measure, penalties)
ICTS	Power enacted; regs not made; intended APs from 1 January 2027	FA 2026 s 48	V / S
Tarnmoor recharge (GY1)	£2.0m cost; charged £1.6m; arm's length £2.1m; adjustment £500,000; tax £125,000	invented (story)	—
Calder restructuring	£6.0m → £8.0m (HMRC £9.5m); adjustment £2.0m; CT £500,000 + interest; no penalty	invented (story)	—
TIL loan	£600,000 (Jul–Dec GY4); £1.2m a year from GY5	invented (story)	—

Statutory and case references

Statute and regulations: TIOPA 2010 Part 4: ss 146, 147, 148, 148A, 150, 151, 153A, 153B, 154, 155, 157–163 (incl. new ss 161, 162A, 162B), 164, 164A, 165, 166, 167, 167A, 168–171, 172, 173, 173A, 174, 174A, 176–178, 191–198, 208–211 (omitted), 213, 214; Part 4A ss 217A–217T (chapter 30); Part 5 ss 218–226; s 124; s 371SD(5A). FA 2026 s 46 and Sch 5; s 47 and Sch 6 (paras 2, 3, 4, 12–16, 18, 20, 25, 28, 29, 32); s 48. FA 2025 s 22. CTA 2009 ss 845(4ZA)–(4ZG), 846. CTA 2010 ss 105(3A), 1124. FA 2004 ss 30–37. FA 2007 Sch 24 paras 3C, 4. F(No.2)A 2023 Sch 5 para 5(2). FA 1998 Sch 18 para 23. SI 2023/818 (regs 2–6). SI 2016/237 (regs 2, 3). Commission Recommendation 2003/361/EC.

HMRC guidance: INTM412080, INTM412140, INTM413010, INTM413250, INTM414020, INTM414320, INTM414330, INTM421010–INTM421080, INTM422070, INTM422090, INTM423090, INTM440071; SP 1/2018 (MAP); CC/FS59 (CbC penalties); consultation “Transfer Pricing: International Controlled Transactions Schedule” (16 June 2026).

Cases: *DSG Retail Ltd v HMRC* [2009] UKFTT 31 (TC) (Special Commissioners John Avery Jones and Charles Hellier, 31 March 2009); *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 (11 April 2024); *Test Claimants in the Thin Cap Group Litigation v HMRC* [2011] EWCA Civ 127; *Case C-524/04 Test Claimants in the Thin Cap Group Litigation* (Court of Justice, 13 March 2007); *Lankhorst-Hohorst* (Court of Justice, 2002; case number not checked).

OECD (not opened; described via statute, HMRC’s manual and reproductions): Model Tax Convention Arts 9 and 25 (18 November 2025 version referred to by s 164; the 2017 articles are the exam PDF); Transfer Pricing Guidelines 2022 (Chapters I–II methods, V documentation, VII services, IX business restructurings).

Chapter twenty-eight: The corporate interest restriction

In October 2015 the OECD published its final report on BEPS Action 4, *Limiting Base Erosion Involving Interest Deductions and Other Financial Payments*. HMRC’s Corporate Finance Manual still quotes its opening line (CFM95130): “It is an empirical matter of fact that money is mobile and fungible.”

That sentence is the whole problem in miniature. A pound borrowed in London can be spent in Lisbon. A pound lent by one group company to another is the same pound whichever company signs the loan. So a multinational group can choose where its interest falls, and it will naturally choose the country where a deduction is worth most. Transfer pricing tests whether each loan’s terms are what strangers would agree. The unallowable purpose rule tests why a company borrowed. Neither asks the question this chapter answers: **how much interest, in total, should the UK let one group deduct?**

This is the third gate from the prologue. Chapter 12 taught the second (unallowable purpose, CTA 2009 ss 441–442) and chapter 27 the first (transfer pricing, TIOPA 2010 Part 4). The corporate interest restriction (CIR) is **core (grade 1)** on the LCG grid. It appeared at four of the seven sittings from May 2023 to May 2026, and twice it was the heart of a 20-mark question. *The Living Law* (TKS) only signposted it, so we build it from the ground up.

Statutes in this chapter: Taxation (International and Other Provisions) Act 2010 (TIOPA 2010) Part 10 (ss 372–498) and Sch 7A (administration), inserted by F(No.2)A 2017 Sch 5; Finance Act 2026 ss 61 (reporting companies) and 62 (tax-EBITDA); CTA 2009 ss 86A, 142, 145, 147. We apply the law for **FY2026**.

Money is mobile and fungible

The Action 4 report identified three ways interest erodes a country’s tax base (CFM95130):

- 1. a group can place **more of its third-party debt in high-tax countries**;
- 2. it can use **intra-group loans** to create deductions larger than the group’s actual third-party interest;
- 3. it can use debt to fund the generation of **tax-exempt income**.

Each piece of the UK rule answers one of those risks:

Risk	UK answer	Where
Too much debt against UK earnings	Fixed ratio: net interest capped at 30% of UK tax-EBITDA	s 397
UK deductions above the group’s real external interest	Debt cap: allowance never more than the group’s adjusted net third-party interest (plus excess debt cap b/f)	ss 397, 400
Debt funding exempt income	Tax-EBITDA counts only amounts within the UK charge to CT	ss 405–407
Genuinely highly geared sectors	Group ratio election; public infrastructure exemption	ss 398–399; ss 432–449

Risk	UK answer	Where
Small groups	£2m de minimis floor on interest capacity	s 392

The rule applies to periods of account beginning on or after **1 April 2017** (straddling periods were split) and replaced the **worldwide debt cap** (old TIOPA Part 7), which compared UK interest with the group's external interest and nothing else (CFM95110).

The OECD work ran from an interim report (2014) through the final report (October 2015) to an update (December 2016). Its recommended fixed ratio rule let each country choose a benchmark ratio of net interest to tax-based EBITDA within a **corridor of 10% to 30%**, optionally supplemented by a group ratio rule, a de minimis threshold and carry-forwards, with special treatment for highly geared public-benefit infrastructure (secondary summaries: EY and Deloitte alerts, October 2015). The UK chose the top of the corridor and adopted every optional element.

Think of the restriction as a **ration book**. Each year the group receives interest coupons worth 30% of its UK earnings. Coupons it does not spend can be kept for five years. Interest that cannot find a coupon is not destroyed: it waits in a queue, with no expiry date, until a later year has coupons to spare. Every rule that follows is a detail of how the coupons are counted, who holds the queue, and who fills in the forms.

Two features make this regime different from everything in Part Two of this book. It works at the level of the **group**, not the company. And its answer, once found, must be **pushed back down** into individual company returns: the group computes one disallowance and then decides which companies bear it.

The group that counts

The unit is the **worldwide group** (ss 473–474; CFM95330): the **ultimate parent** and every subsidiary consolidated in its accounts under IFRS (or equivalent), wherever resident. It is not the 75% group relief group and not the gains group; chapter 1 showed how many guest lists a large group keeps. This is the one the accountants write.

Take our invented group, **Tarnmoor**. Everything about Tarnmoor, its companies, people and numbers, is made up for teaching. Tarnmoor plc (TPLC) is a listed engineering group with its head office in Leeds. Its worldwide group includes its UK trading, property, finance and holding companies, Tarnmoor Vallaria SA (TVS) and Tarnmoor Capital Ltd (TCM) in the invented countries of Vallaria and Marrovia, Tarnmoor Ireland Ltd (TIL), and even the dormant Tarnmoor Pumps Ltd. **Helmside Energy Ltd**, the hydrogen joint venture in which TPLC holds 45% from GY1 to GY4, sits **outside** it because it is not consolidated.

The calculation runs for the worldwide group's **period of account** (here TPLC's year to 31 December). Only **UK group companies** (companies within the charge to CT) contribute tax-interest and tax-EBITDA. TVS's interest and earnings count for nothing in the UK measures, although its results are part of the consolidated accounts from which the group measures (ANGIE, group-EBITDA) are taken.

Joiners and leavers. A company that leaves (TWS on its demerger on 1 July GY5) counts only to the day it goes. A company that joins brings its own carried-forward disallowed amounts, which the CTA 2010 Part 14 loss-buying rules can reach after a change in ownership (CFM98693).

Non-coterminous periods. Where a company's accounting period does not coincide with the group's period of account, amounts for the part outside it (a "**disregarded period**") are left out, on a just and reasonable basis (s 382(7)–(8) for tax-

interest; s 406(6) for tax-EBITDA). HMRC's guidance (Corporate Finance Manual) says time apportionment will be suitable in most cases, that a common-sense approach applies where it would distort, and that apportionments must be consistent. The same applies to joiners and leavers.

Worked example 28.1: Calder's contributions (invented)

£m	Calder AP	Tax-EBITDA of AP	Fraction in TPLC's period	Contribution
GY1	1 Apr GY1–31 Mar GY2	4.4	9/12	3.3
GY2	1 Apr GY1–31 Mar GY2	4.4	3/12	1.1
GY2	1 Apr GY2–31 Mar GY3	4.8	9/12	3.6
GY2 total				4.7
GY3	1 Apr GY2–31 Mar GY3	4.8	3/12	1.2
GY3	9-month AP 1 Apr–31 Dec GY3: trading 3.2 + IFA realisation credit 6.0 – restructuring 1.8	7.4	all	7.4
GY3 total				8.6

Brackenwell Sensors Ltd (BSL), bought on 1 July GY2, contributes only its post-acquisition amounts (GY2: –£2.6m).

Tax-interest, and the group's net figure

The restriction bites on **net** interest. For each UK group company we gather **tax-interest expense amounts** (s 382) and **tax-interest income amounts** (s 385). Section 382 sets three conditions:

Condition	Amounts	Notes
A	Relevant loan relationship debits (s 383) and credits (s 386)	Exchange gains and losses, impairment losses and reversals of impairment are excluded (CFM95630)
B	Relevant derivative contract debits (s 384) and credits	Only derivatives whose underlying subject matter is interest rates, price or income indices, currency or corporate debt (or subordinate or small other elements) (CFM95650)
C	Financing cost implicit in amounts under a finance lease, debt factoring or similar, and	HMRC's example: payments of £600,000 over five years for an asset costing £500,000

Condition	Amounts	Notes
	a service concession arrangement accounted for as a financial liability	give £20,000 a year of tax-interest for both lessor and lessee (CFM95660)

Each company nets its own amounts to a **net tax-interest expense** or **net tax-interest income**. Then (s 390):

Aggregate net tax-interest expense (ANTIE) = total of companies' net tax-interest expense – total of companies' net tax-interest income (if positive; if negative, the group has **aggregate net tax-interest income**, ANTII).

Interest between two UK group companies is an expense of one and income of the other: it **cancels** in the aggregate. Interest paid to or received from a non-UK group company does not.

Worked example 28.2: Tarnmoor's ANTIE (invented)

GY1 by company (£m)

Company	Tax-interest expense	Tax-interest income	Net
TEL (TFL loan £200m × 6%; trading)	12.00	—	12.00
TWS (£40m × 6%)	2.40	—	2.40
TES (£70m × 6%)	4.20	—	4.20
TPLC (TFL loan £120m × 6% = 7.20; RCF £30m × 6% × 9/12 = 1.35; fee amortisation 0.25)	8.80	—	8.80
TFL (notes £550m × 5.5% = 30.25; income from UK companies 25.80 and TVS 7.20)	30.25	(33.00)	(2.75)
ANTIE (27.40 – 2.75)			24.65

Short form, all three years (£m)

	GY1	GY2	GY3
TFL notes interest	30.25	30.25	30.25
Less interest from TVS (non-UK)	(7.20)	(7.20)	(7.20)
TPLC RCF interest	1.35	2.52	1.20
TPLC RCF arrangement fee amortisation	0.25	0.25	0.10
TEL long funding lease finance charge (chapter 9)	—	—	0.09
ANTIE	24.65	25.82	24.44

GY2 RCF: £30m × 6% + £24m × 6% × 6/12 = £2.52m. GY3: £20m × 6%. TFL's loans to TEL, TWS, TES, TPLC and (from 1 July GY2) BSL cancel. TIL's £20m interest-free loan from TPLC produces no tax-interest while TIL is UK

resident (the UK-to-UK exemption, s 164A: chapter 27). TEL's GY3 lease (10-year finance lease of a refurbished machining centre from an unconnected lessor; finance charge $6\% \times £1,500,000 = £90,000$) meets Condition C.

Two simplifications. TFL's interest rate swap (a hedge of its notes) would also produce tax-interest amounts; its settlements are left out of every figure in this book. And interest paid to a group's own overseas companies counts as fully as bank interest, because only UK companies are measured. That is precisely why the debt cap exists.

Derivatives in the group figures. For the group measures (ANGIE, QNGIE, group-EBITDA), the law makes "relevant assumptions", including that Disregard Regulations elections (reg 6A) have effect for every group derivative, so that hedging derivatives and hedged items are matched (ss 420–421; CFM96080). This book's figures leave the swap out entirely.

Tax-EBITDA

Interest capacity is measured against earnings before interest, tax, depreciation and amortisation, built from **tax** numbers. A company's tax-EBITDA is its "**adjusted corporation tax earnings**" (ss 405–407): the amounts that enter its taxable total profits (**Condition A**), or would if it had enough profits (**Condition B**, which captures losses). The result can be negative (CFM95720).

Exclude:

Excluded	Why	Reference
Tax-interest expense and income	Interest cannot count towards the measure of interest	s 407
Capital allowances and balancing charges	Mirrors depreciation in accounting EBITDA; full expensing does not cut capacity	s 407
Relevant intangibles debits (amortisation, 4% write-downs, losses on disposal) and credits only to the extent they reverse earlier debits (s 735 credits so far as cost exceeds TWDV)	Mirrors amortisation; a genuine gain over cost stays in	ss 407–408
Losses and deficits brought forward or carried back; group relief (s 137) and Part 5A relief	Belong to other periods or companies	s 407
Qualifying tax reliefs: merged-scheme RDEC and ERIS additional deductions, creative-sector reliefs, land remediation, QCDs , the Patent Box deduction (s 357A)	Incentives should not also shrink interest capacity	s 407(3); CFM95735
FA 2026 s 62: capital expenditure deducted under CTA 2009 s 86A (flood and coastal erosion contributions), s 142 (waste disposal site preparation), s 145 (site restoration), s 147 (cemeteries and crematoria)	Capital spending that the CT code happens to relieve as revenue	s 407(1)(b) as amended; periods of account ending on or after 31 December 2021 ; revised IRRs effective if received before 1 October 2026

Chargeable gains. HMRC's guidance (CFM95720) is that net chargeable gains entering TTP count; capital losses count only so far as they are actually set against gains in the period (the exclusion for losses of other periods does not apply to capital losses, but capital losses are excluded from Condition B). Unused capital losses add nothing and take nothing away. A gain **rolled over**, or a **no gain, no loss** transfer within the gains group, contributes nothing, because nothing enters TTP. (The extract seen was truncated: treat the detail as HMRC's view.)

Worked example 28.3: Tarnmoor's tax-EBITDA (invented; £m)

Company	GY1	GY2	GY3	Comment
TEL	50.0	54.0	58.0	Trading profit before interest and CAs (GY2: £42.0m before CAs + £12.0m trading interest = £54.0m; chapter 7)
TWS	12.0	12.5	13.0	
TES	13.0	13.5	14.8	GY3 = property and other profits 14,311,000 + net gains 489,000
Calder (CVE)	3.3	4.7	8.6	WE 28.1; GY3 includes the £6.0m IFA realisation credit
TIL	3.0	3.2	3.4	UK resident until 30 June GY4
TFL	(0.6)	(0.6)	(0.6)	Running costs; its interest is excluded
TPLC	(5.9)	(6.3)	(6.0)	Current management expenses less recharge income (GY1: -8.0 + 2.1)
BSL	—	(2.6)	(3.5)	Post-acquisition only
Aggregate tax-EBITDA	74.8	78.4	87.7	

Why TPLC is negative. Its current-year management expenses are amounts in TTP, so they count. Management expenses **brought forward** do not: they belong to the year they arose in (TPLC's stranded £825,000 a year, chapter 13, never enters tax-EBITDA).

Calder's £6.0m (GY3). Calder sold its process-valve know-how and customer contracts to TVS for £6.0m. Those assets had no tax cost and had produced no debits, so the s 408 exclusion (credits only to the extent cost exceeds TWDV) removes nothing. The credit raises Calder's TTP **and** the group's interest capacity. HMRC's summary at CFM95805 ("mainly" gains on disposal) is looser than the statute (chapter 11). Calder's special balancing charges of £1.0m on the plant sold (chapter 8) are capital allowance charges: **excluded**.

TES's gains (GY3). The depot gain of £2,277,500 was partly rolled over (£1,477,500: nothing enters TTP). Of the £800,000 chargeable, **£500,000** was reallocated to TEL by s 171A election and matched there by TEL's £500,000 capital loss on listed shares (net nil in TEL); TES keeps **£300,000**. Add the lease assignment gain of **£189,000** (after indexation: chapter 16): TES's net gains are **£489,000**. The no gain, no loss transfers of Calder's works and the water-systems factory contribute nothing.

Exam lens: tax-interest and tax-EBITDA - Grade: CIR 1 (core) (2026 grid; falls to 2 only in the 2028 grid). - **Past appearances:** M26 Q1 (20 marks): "very few adjusted ANTIE and Tax-EBITDA correctly"; some "wrongly adjusted Tax-EBITDA for the disallowed interest and the QIC". M24 Q1: a minority misapplied ANTIE and ANGIE. - **Traps:** adding back capital allowances but forgetting balancing charges; deducting the RDEC, QCDs or Patent Box deduction; using brought-forward losses; reducing tax-EBITDA for disallowed interest (it is computed before interest, so a disallowance never changes it); counting a rolled-over gain; ignoring Condition C (finance leases). - **Layout:** a company-by-company table for each measure, then the group total.

Thirty per cent, and the debt cap

Basic interest allowance (fixed ratio method, the default) = the **lower** of (s 397):

- $30\% \times \text{aggregate tax-EBITDA}$; and
- the **fixed ratio debt cap** = **adjusted net group-interest expense (ANGIE)** + **excess debt cap** generated in the **immediately preceding** period (s 400(1)).

ANGIE (ss 410–413) starts from the **net group-interest expense** in the consolidated income statement: relevant expense amounts less relevant income amounts, defined in line with tax-interest (s 411; CFM95930 lists financing charges implicit in finance leases), with capitalised interest left out (s 410(5A)) and adjustments in s 413. Because it is consolidated, intra-group interest cancels: ANGIE is what the group pays the outside world.

Excess debt cap (s 400(3)–(7)): (relevant debt cap – 30% of aggregate tax-EBITDA), floored at nil, but no more than the **carry-forward limit** = excess debt cap brought forward + the **total disallowed amount** of the current period. It goes forward one period at a time (and can roll on). In plain terms, a group banks spare debt cap only in a year in which the 30% rule is actually restricting it.

Interest allowance = basic interest allowance + **ANTII**, if any (s 396(1)).

Interest capacity = interest allowance + unused interest allowance **available** from earlier periods (s 393), **but never less than the de minimis amount of £2m** (pro rata for a period of account longer or shorter than a year) (s 392).

Total disallowed amount = ANTIE – interest capacity, if positive (s 373).

The debt cap is irrelevant to Tarnmoor (WE 28.5): its ANGIE is far above 30% of its UK earnings. It bites on a **different** kind of group: one with little external debt that funds a UK subsidiary with large intra-group loans. Such a subsidiary can be restricted well below 30%.

The floor that is not a bonus

Misconception: “every group gets £2m of interest free of restriction, and 30% on top.” Wrong. Interest capacity is the allowance plus available unused allowance, **but never less than £2m** (s 392(1)–(3)). It is a **floor**, not an extra. A group whose 30% figure is £22m has £22m of capacity, not £24m.

Why people believe it: for small groups the floor *behaves* like an allowance. If net interest is under £2m, nothing is disallowed, whatever the earnings, and most groups never look further.

Worked example 28.4: the floor (labelled hypothetical, not story)

A UK group: ANTIE **£2,500,000**; aggregate tax-EBITDA **£5,000,000**.

	£
$30\% \times £5,000,000$	1,500,000
Interest capacity: greater of £1,500,000 and £2,000,000	2,000,000
Disallowed (2,500,000 – 2,000,000)	500,000

Not nil (the floor is not a bonus) and not £1,000,000 (the floor does lift capacity).

N24 Q5 tested exactly this judgement: a newly acquired UK company in a US group was probably not restricted, but appointing a reporting company and filing a return would protect the position. A group under the floor should still keep evidence that its net interest is below £2m (GOV.UK guidance), and may choose to file a **full** return anyway to bank **unused allowance** for later years (an abbreviated return or no return makes it nil: below).

The group ratio and the other elections

Some groups are genuinely highly geared: property, utilities and infrastructure businesses borrowing from banks against stable income. Their real external interest may exceed 30% of earnings. The **group ratio method** (s 398) is their safety valve.

- **Group ratio percentage** (s 399) = $\text{QNGIE} \div \text{group-EBITDA}$. **QNGIE** (s 414) is ANGIE less related-party interest, interest on results-dependent securities and on equity notes (CFM96020), so a group cannot inflate its ratio by borrowing from its own shareholders. **Group-EBITDA** (s 416) is consolidated profit before tax, adjusted for net group-interest, depreciation and amortisation. If the ratio is negative, over 100%, or group-EBITDA is nil, it is **100%**.
- **Basic interest allowance (group ratio)** = the lower of group ratio % $\times$ aggregate tax-EBITDA and the **group ratio debt cap** (QNGIE + excess debt cap b/f) (s 400(2)).
- It needs a **group ratio election** in the interest restriction return, for that period.

Other elections (headings; know they exist): blended group ratio (for groups with investors in different structures, ss 401–404); **group-EBITDA (chargeable gains)** election (s 422: gains measured on a basis closer to the UK rules; HMRC’s guidance at CFM96620 says it is **irrevocable**); interest allowance (alternative calculation) election (ss 423–426); non-consolidated investment election (ss 427–429); consolidated partnerships election (s 430). Do not compute them unless asked.

For Tarnmoor the group ratio never helps (WE 28.5): its ratio of 16–19% is well under 30%. An engineering group with modest gearing is exactly the group the fixed ratio was designed for.

Exam lens: fixed ratio, group ratio and the floor - Past appearances: M26 Q1: “Fixed ratio only”; some candidates still computed the group ratio, earning nothing. M24 Q6 (20 marks): an interest allowance brought forward inside a two-company CT computation. - **Traps:** the £2m de minimis as an addition; forgetting that the debt cap is the lower limb for lowly geared groups with intra-group funding; confusing ANTIE (UK companies, tax numbers) with ANGIE (consolidated, accounts numbers); applying the group ratio without an election. - **Style:** “Calculate, with explanations, the CIR disallowance”; 0.5–1 mark per step.

Tarnmoor’s first restriction

In our invented case, Tarnmoor came into GY1 with **nothing brought forward** under the restriction: no unused allowance, no disallowed amounts and no excess debt cap.

Worked example 28.5: Tarnmoor’s CIR, GY1–GY3 (invented; worldwide group period = TPLC’s calendar year; GY3 as filed in GY4; £m)

Step	GY1	GY2	GY3 (as filed)
1. ANTIE (WE 28.2)	24.65	25.82	24.44
2. Aggregate tax-EBITDA (WE 28.3)	74.80	78.40	87.70
3. 30% of tax-EBITDA	22.44	23.52	26.31
4. ANGIE (third-party: notes 30.25 + RCF + fee; GY3 + lease 0.09)	31.85	33.02	31.64
5. Excess debt cap b/f	—	2.21	4.51
6. Fixed ratio debt cap (4 + 5)	31.85	35.23	36.15
7. Basic interest allowance (lower of 3 and 6)	22.44	23.52	26.31
8. ANTII	—	—	—
9. Interest allowance (7 + 8)	22.44	23.52	26.31
10. Unused allowance b/f	—	—	—
11. Interest capacity (9 + 10; not less than £2m)	22.44	23.52	26.31
12. Total disallowed amount (1 – 11)	2.21	2.30	nil
13. Interest reactivation cap (9 – 1)	—	—	1.87

Step	GY1	GY2	GY3 (as filed)
14. Disallowed amounts b/f (TPLC)	—	2.21	4.51
15. Reactivated (lower of 13 and 14)	—	—	1.87
16. Disallowed amounts c/f (TPLC)	2.21	4.51	2.64
17. Unused allowance generated	nil	nil	nil
18. Excess debt cap generated: (6 – 3), limited to 5 + 12	2.21	4.51	4.51
<i>Memo: group-EBITDA</i>	<i>170</i>	<i>182</i>	<i>196</i>
<i>Memo: group ratio % (QNGIE = ANGIE: all third-party)</i>	<i>18.74%</i>	<i>18.14%</i>	<i>16.14%</i>
<i>Memo: group ratio allowance (% × tax-EBITDA)</i>	<i>14.01</i>	<i>14.22</i>	<i>14.16</i>

Tax effect at 25%: GY1 disallowance £552,500; GY2 £575,000; GY3 reactivation saves £467,500; £2.64m as filed (£2.04m after the GY6 revision: below) still waiting.

Excess debt cap working (s 400): GY1 $31.85 - 22.44 = 9.41$, limited to $0 + 2.21 = \mathbf{2.21}$; GY2 $35.23 - 23.52 = 11.71$, limited to $2.21 + 2.30 = \mathbf{4.51}$; GY3 $36.15 - 26.31 = 9.84$, limited to $4.51 + \text{nil} = \mathbf{4.51}$.

How the board sees it (invented). Nadia Kerr, TPLC's CFO, sees the restriction in the tax note (each year's disallowance is a reconciling item because no DTA is recognised: chapter 6) and in the treasury forecast, where every new borrowing proposal now carries the question whether UK earnings will grow fast enough to carry it. In GY2 the board accepted a second year of restriction as the price of buying Brackenwell: a business decision the tax function priced in advance.

What the restriction is really measuring. Tarnmoor's interest has hardly moved; its earnings have. The group borrowed in the UK partly to fund TVS. The £7.2m TVS pays back is outside the UK figures, but so are TVS's earnings. The 30% rule does not ask whether the borrowing was sensible. It asks whether the UK earnings can carry it.

Who bears the disallowance

The group has one disallowance; the companies have tax returns.

- **Allocation in a full return.** The reporting company's **statement of allocated interest restrictions** (Sch 7A para 22) lists the companies and the amount allocated to each. The total must equal the total disallowed amount; an allocation cannot be negative and, on HMRC's guidance, cannot exceed the company's own net tax-interest expense; a company with net tax-interest income is treated as nil (CFM98580, CFM97720). Each listed company leaves that amount of tax-interest expense out of its CT computation (s 375).

- **Order within a company** (s 377(2)), unless the company elects otherwise (s 377(3)): (1) non-trading loan relationship debits; (2) non-trading derivative debits; (3) trading loan relationship debits; (4) trading derivative debits; (5) finance lease, debt factoring and service concession amounts.
- **No reporting company, or no full return:** a **pro rata** allocation by net tax-interest expense (s 376; Sch 7A para 24; CFM98590).
- **Non-consenting companies:** a company that did not consent to the reporting company's appointment may elect that the reporting company's allocation does not apply to it, taking the pro rata share instead (s 375; CFM98580).

Carry forward (s 378): a disallowed amount is carried forward by the **company, indefinitely**, and treated as a tax-interest expense of a later period only if reactivated. It is **lost** if the company's trade (or investment business) **ceases** or becomes **small or negligible** (or, for a trade, uncommercial and non-statutory). On a change in ownership, the loss-buying rules (CTA 2010 Part 14) can bite on it too (CFM98693).

Worked example 28.6: allocating GY1's £2,210,000 (invented)

Company	Net tax-interest expense £	Pro rata share £	Reporting company's allocation £
TEL	12,000,000	967,883	—
TWS	2,400,000	193,577	—
TES	4,200,000	338,759	—
TPLC	8,800,000	709,781	2,210,000
TFL	net income	nil	—
Total	27,400,000	2,210,000	2,210,000

GY2: **£2,300,000**, again all to TPLC (net tax-interest expense £9,970,000).

Why TPLC? In the year itself the group's CT is the same either way: every company pays 25%, and losses flow by group relief. The difference is the future. Disallowed amounts stay with the company and die with its business. **TWS is demerged and listed as Tarnwater plc on 1 July GY5** (chapter 19): any disallowance parked there would leave the group with it. TEL's would sit in its trading debits. TPLC, the listed parent, will be there as long as the group is, and its investment business will not become small or negligible. So the queue is kept in the one company certain to stay, and within it the default order hits its non-trading loan relationship debits first.

Knock-on: TPLC's deficit. The CIR comes first; the deficit is what remains (chapters 12 and 14).

£m	GY1	GY2	GY3
TPLC non-trading loan relationship debits	8.80	9.97	8.50
Less CIR disallowance allocated	(2.21)	(2.30)	—
Add reactivated amounts (treated as tax-interest expense	—	—	1.87

£m	GY1	GY2	GY3
of the period)			
Debits brought into account	6.59	7.67	10.37
Non-trading credits	nil	nil	nil
NTLR deficit (surrendered to TEL as group relief; chapter 15 for GY3)	6.59	7.67	10.37

Coming back: reactivation and unused allowance

GY3. Tax-EBITDA jumps to £87.7m (Calder's know-how sale helps); 30% is £26.31m. ANTIE falls to £24.44m because the RCF was paid down to £20m, even after TEL's £90,000 lease finance charge. Spare allowance: **£1.87m**.

- **Reactivation** (ss 373(3)–(5), 379–380): where the group's interest allowance exceeds ANTIE, and companies hold disallowed amounts from earlier periods, those amounts are reactivated up to the **interest reactivation cap = interest allowance – ANTIE** (floored at nil). The cap is measured against **this period's allowance**; unused allowance brought forward can cover current interest but does not create reactivation capacity.
- **Compulsory and prompt.** HMRC's guidance: a group must reactivate at the earliest opportunity and cannot hold over capacity to a later period; a group cannot have both disallowances and reactivations in the same period of account (straddling company periods are netted under s 381) (CFM98620, CFM98700).
- **Full return needed.** Reactivation requires a **full** return stating the group is subject to reactivations, with a **statement of allocated interest reactivations** (Sch 7A para 25; CFM98610).
- **Effect in the company.** The reactivated amount is brought into account as a tax-interest expense of the listed company's relevant accounting period (s 380). TPLC reactivates **£1.87m** of its own queue; its GY3 non-trading debits rise from £8.50m to **£10.37m** (CT value **£467,500**). **£2.64m** remains in the queue. The reactivated amount is not counted again in the group's ANTIE for GY3 (the book's reading of the structure; ANTIE £24.44m above excludes it).

Unused interest allowance (ss 393–395). If the interest allowance exceeds the sum of ANTIE and reactivations, the excess is unused allowance. It is **available** in later periods for up to **5 years**, time-apportioned where a receiving period straddles the five-year point (s 395). It is **nil** if an **abbreviated return** election has effect for the originating period, the receiving period or any period in between, or if **no return** is submitted for any of them (s 393).

GY3: no unused allowance. HMRC's guidance is that the year's spare capacity must first be applied to reactivate (CFM98620, CFM95250); all £1.87m was used, so on HMRC's guidance (CFM98240: the allowance carried forward is what is left after the amounts used in the originating period) nothing is banked. Had there been nothing to reactivate, £1.87m of unused allowance would have arisen, available in GY4 to GY8, provided full returns were filed throughout.

A return revisited (GY6). The GY3 figures above are the return **as filed** in GY4. In GY6 HMRC's enquiry into Calder's know-how sale settles (chapter 27): the price rises from £6.0m to £8.0m, adding **£2.0m** to Calder's taxable profit for its 9-month AP to 31 December GY3 and, because a sale adjustment is ordinary profit, to its tax-EBITDA (Calder £8.6m → £10.6m). A figure in the GY3 return is now wrong, so TPLC, as reporting company, **must** file a **revised** interest restriction return within **3 months** (TIOPA Sch 7A para 8(4); HMRC's example at CFM98645).

GY3 (£m)	As filed (GY4)	Revised (GY6)
Aggregate tax-EBITDA	87.70	89.70
30% = interest allowance	26.31	26.91
ANTIE	24.44	24.44
Reactivation cap (allowance – ANTIE) = reactivated	1.87	2.47
Disallowed amounts c/f (TPLC)	2.64	2.04
TPLC GY3 non-trading debits (8.50 + reactivation)	10.37	10.97

TPLC then amends its own GY3 CT return to bring in the extra **£0.6m** reactivation (HMRC's guidance gives the later of 3 months after the revised return and the normal amendment window: CFM98640). But the extra deficit cannot follow the first £10.37m to TEL: TEL's GY3 group relief claim could be made only until **31 December GY5** (one year after its filing date; FA 1998 Sch 18 para 74; TEL's return was not under enquiry), and that window has closed. HMRC's manual warns of exactly this trap (CFM98645). TPLC carries the £0.6m forward, where (as with its carried-forward management expenses, chapter 13) it is **stranded** on this book's reading of CTA 2010 s 188BE: tax value forgone **£150,000**. Still no unused allowance arises. The lesson for the exam: a TP settlement can raise interest capacity years later, but the time limits decide whether the group can use it.

Deferred tax. Disallowed interest carried forward is a deductible temporary difference; a deferred tax asset is recognised only if future reactivation (spare capacity) is probable. At the end of GY2 Tarnmoor recognised none (chapter 6); that remains a judgement, not a rule.

Exam lens: allocation, carry forward and reactivation - Past appearances: M24 Q1 (20 marks; 11 for the CIR calculation): ANTIE, ANGIE, an interest-free loan with TP, and **b/f disallowance reactivation**. M24 Q6: allowance b/f in a computation. - **Traps:** "disallowed interest expires after five years" (no: that is unused **allowance**; disallowed interest has no time limit); reactivating with brought-forward allowance; electing an abbreviated return and then using unused allowance; forgetting the default order hits **non-trading** debits first, which shrinks an NTLR deficit. - **Layout:** finish the computation with a line for reactivation (or disallowance), then allocation by company.

Going further: allocating and reactivating well

- 1. Allocate for the future, not the year.** Put disallowances where they will survive: a company whose business will not cease or become small or negligible, and which will not leave the group (demerger, sale). Avoid companies with ring-fenced or restricted losses, where an extra disallowance may simply reduce a loss that will never be used.
- 2. Reactivate where relief is worth most now.** The reporting company chooses which companies' queues reactivate; choose those with taxable profits (or with deficits that group relief can use at once).
- 3. Model capacity.** A disposal gain, a services TP adjustment or an IFA credit raises tax-EBITDA; a debt repayment cuts ANTIE. Tarnmoor's GY3 reactivation followed both.
- 4. Keep the return chain unbroken.** Any period without a full return (or with an abbreviated return) kills unused allowance across it.
- 5. Check acquisitions.** A target's own disallowed amounts come with it but can be hit by the Part 14 loss-buying rules (CFM98693); a target joining mid-period contributes only post-acquisition amounts.

The reporting company and the return

Old rules (periods of account ending on or before 30 March 2026). A reporting company was appointed **by notice to HMRC within 12 months** of the end of the first period of account to which it related, authorised by **at least 50%** of eligible companies, and the appointment continued (Sch 7A para 1, pre-FA 2026 text). Groups that missed the deadline had no reporting company and so no full return: no allocation of their choice, no reactivation, no elections. HMRC had appointed reporting companies for such groups; in **June 2023** it announced it would do so only in limited circumstances; after representations from professional bodies, including the ICAEW, it reconsidered (ICAEW report, April 2025). At the Budget on 26 November 2025 the government announced legislation to “simplify administration” (policy paper, *Corporate interest restriction: reporting companies*), now **FA 2026 s 61**.

New rules (FA 2026 s 61; periods of account ending on or after 31 March 2026):

Point	Rule	Reference
Appointment	A member appoints a reporting company for each period of account	Sch 7A para 1
Deadline / notice	No time limit; no notice to HMRC	para 1
Authorisation	More than half of eligible companies (UK group companies at some time in the period, not dormant throughout)	para 1
Evidence	Name and UTR of the reporting company, the list of authorising companies and a statement that they were eligible and more than half, in the return (the para 20 content changes take effect from a date set by HMRC regulations)	para 20
Regularisation	A return filed by a company not yet appointed is validated by a later appointment, treated as made just before the return: periods of account ending on or after 31 March 2024	para 1A
Is a return compulsory?	A group-appointed reporting company “may” submit; one appointed by HMRC (para 4) or as replacement (para 5) “must”. HMRC: needed to allocate disallowances to specific companies, carry forward unused allowance, reactivate, or elect	para 7(1)–(3); GOV.UK “Submit a CIR return” (14 April 2026)
HMRC appointment	If no return 18 months after the period of account	para 4
Filing date	12 months after the end of the period of account (or 3 months after an HMRC appointment, if later); no effect after 36 months	para 7(4)–(6)

Point	Rule	Reference
Late return penalty	£500 if within 3 months of the filing date; £1,000 otherwise (now also for a company that “submits” late)	para 29; FA 2026 s 61(15)
Unappointed filer	£1,000 , unless appointed within 18 months of the period end, or HMRC was told unprompted, or reasonable excuse	paras 11A, 11B

Real-calendar example (labelled). A group with a period of account ending **31 December 2025** is under the **old** rules: appointment by notice within 12 months (by 31 December 2026), at least 50% of eligible companies. A group whose period of account ends **31 March 2026** is under the **new** rules.

Full and abbreviated returns. A **full** return contains the group computation, allocations and any elections; an **abbreviated** return carries basic information only and suits a group sure it is not restricted, at the cost that unused allowance for the period is nil (s 393). Where allowance may matter, file a full return.

Tarnmoor’s practice (invented). Tom Hesketh, the group head of tax, treats the appointment as year-end routine: the parent’s board paper lists every eligible UK company, each board authorises TPLC, and TPLC files a **full** return every year: it has disallowances to allocate in GY1 and GY2 and a reactivation to claim in GY3. Each company’s own CT return then reflects its allocated disallowance or reactivation, with amendments if figures move.

Exam lens: administration - Past appearances: M26 Q1 (8 marks of admin: reporting company, IRR): “adequate but padded with irrelevant detail”. N24 Q5 (3.5 marks): “probably no restriction but file to protect the position; reporting company; abbreviated IRR”. M24 Q1: admin good. - **Traps:** “at least 50%” (old) v “**more than half**” (new); the 12-month notice deadline survives only for periods ending on or before 30 March 2026; a return is optional only if nothing needs allocating, carrying forward, reactivating or electing; the two penalties are flat amounts, not tax-geared. - **Style:** short, precise points; no padding.

Infrastructure

Some businesses are debt-financed by design: a toll road, a network, a hospital built under a public contract. Thirty per cent of earnings would cripple them, and their debt is not the base erosion Action 4 targeted. The **public infrastructure exemption** (Part 10 Ch 8, ss 432–449) takes them out.

- **Qualifying infrastructure company (QIC)** (s 433): elects in; **all or all but an insignificant proportion** of its income derives from **qualifying infrastructure activities** (public infrastructure assets) and the same holds for its assets (public infrastructure income test and assets test); and it is **fully taxed in the UK** (CFM97190, CFM97210).
- **Effect:** interest on **third-party** debt (and QIC-to-QIC debt) is left out of tax-interest where the creditor’s **recourse is limited** to the income, assets, shares or debt of QICs (ss 438–441; CFM97320); in exchange the QIC’s **tax-EBITDA is nil**. Grandfathering exists for certain loans made before 13 May 2016.
- **Election** (s 434): on HMRC’s guidance, made **before the end of the accounting period** it is to cover; **revocation** cannot take effect for a period beginning within **five years** of the start of the first period it covered (anti-cycling); joint elections (s 435) have their own rule (CFM97240, CFM97290).

The M26 point: where a QIC sits inside a larger group, **adjust both sides:** remove its qualifying interest from ANTIE **and** its earnings from aggregate tax-EBITDA.

Worked example 28.7: a QIC inside Tarnmoor (labelled hypothetical, not story)

Suppose that after TPLC takes control of Helmside (1 March GY5) its hydrogen plant met the statutory tests and Helmside elected to be a QIC. Suppose Helmside paid **£2.8m** of interest on limited-recourse bank debt and had tax-EBITDA of **£6.0m**.

£m	Effect
ANTIE	-2.8
Aggregate tax-EBITDA	-6.0
30% allowance	-1.8
Net improvement in headroom (2.8 - 1.8)	+1.0

Whether a real plant meets the tests is a question of fact; this is an illustration only.

Where the restriction meets other rules

Order. The CIR comes **last**. Transfer pricing first fixes the arm's length amount and rate (thin capitalisation is TP: chapter 27); the unallowable purpose rule removes debits attributable to a tax avoidance purpose (chapter 12); the hybrid rules counteract mismatches (chapter 29). Amounts disallowed by those rules are not brought into account, so they never become tax-interest (CFM38155 notes that s 441 can even reach exchange and impairment debits, which tax-interest excludes anyway). From the other side, in deciding whether there is a potential UK tax advantage for transfer pricing, the CIR is **disregarded** (TIOPA s 155(6)).

The M26 rule. - An **interest** TP adjustment changes tax-interest: it moves **ANTIE**, not tax-EBITDA. - A **services** (or goods) TP adjustment changes ordinary profit: it moves **tax-EBITDA**.

Worked example 28.8: Tarnmoor's TP adjustments in the CIR (invented)

(a) Services, GY1. TPLC charged TVS £1.6m for low value-adding services costing £2.0m; arm's length cost + 5% = £2.1m (chapter 27). The **£0.5m** adjustment is in TPLC's TTP, so in tax-EBITDA.

£m	Without the adjustment	As filed
TPLC tax-EBITDA	(6.4)	(5.9)
Aggregate tax-EBITDA	74.3	74.8
30%	22.29	22.44
ANTIE	24.65	24.65
Disallowed	2.36	2.21

The adjustment cost **£125,000** of CT but cut the disallowance by **£150,000** (worth **£37,500** at 25%).

(b) Interest, GY4 onward (direction only). TPLC's £20m interest-free loan to TIL becomes cross-border when TIL migrates on 30 June GY4; TP imputes 6%: **£0.6m** for July–December GY4 and **£1.2m** a year from GY5 (chapter 27). That is a loan relationship credit of TPLC (CTA 2009 s 446), so **tax-interest income**: it reduces ANTIE by those amounts and leaves tax-EBITDA untouched. (Tarnmoor's GY4 CIR is not computed in this book.)

Leases. Since lessees brought most leases onto the balance sheet (IFRS 16; FRS 101), FA 2019 Sch 14 paras 18–19 adjusted Part 10 to match (chapter 5). The profession's reading (ICAEW) is that a lease's financing cost is tax-interest where the lease would have been a **finance lease** under the old classification, and not where it would have been an operating lease, so the old classification must be kept on file. TEL's machining centre lease is a finance lease on any view (chapter 9): its £90,000 counts in GY3 (Condition C) and is fifth in the s 377 order if TEL were ever allocated a disallowance.

Worked example 28.9: flood defences and FA 2026 s 62 (TES story; TEL hypothetical)

- **TES's flood wall (story, GY3; chapter 9):** cost £500,000 less local authority grant £200,000; SBA £9,000 a year on £300,000. SBA is a capital allowance: **excluded** from tax-EBITDA. The grant reduces qualifying expenditure; it never touches tax-EBITDA.
- **Suppose (not story)** TEL instead contributed **£300,000** to an Environment Agency flood scheme protecting its works, deductible under **CTA 2009 s 86A**. Before FA 2026 s 62 the deduction reduced tax-EBITDA, and the 30% allowance by **£90,000**. Now it is excluded (periods of account ending on or after 31 December 2021).

CFCs. The CFC finance company rules' **matched interest** exemption looks at the worldwide group's ANTIE (TIOPA s 371IE; chapter 26).

Deferred tax. Carried-forward disallowances support a DTA only if reactivation is probable (above; chapter 6).

Regime anti-avoidance rule (s 461). A tax advantage from **relevant avoidance arrangements** is counteracted by just and reasonable adjustments (by assessment, amendment or disallowance of a claim, or otherwise). Arrangements are caught where **(A)** a main purpose is to enable a company to obtain a tax advantage and **(B)** the advantage is attributable to leaving tax-interest expense out of account (or less of it, or in a different period), increasing reactivations, or similar effects (s 461(3)–(5)). HMRC's guidance (CFM98010): the advantage must come from eliminating or reducing a restriction, reactivating or increasing a reactivation, or shifting either between periods; the rule does not apply where another rule (for example the CTA 2010 Part 14 deduction-buying rules) already neutralises the advantage; "tax advantage" (s 461(7)) is broad.

Exam lens: interactions and PIE - Past appearances: M26 Q1 (TP adjustments into ANTIE and tax-EBITDA; a QIC to carve out); M23 Q3 (15 marks: TP and CIR on a loan from a US company; "time was wasted on DPT, which does not apply to loan relationships"); N24 Q5 (TP now applying, CIR "file to protect the position"). - **Traps:** the M26 marking point (interest TP adjustments reduce ANTIE but not tax-EBITDA; adjust both for a QIC; no group ratio when told not to); reducing tax-EBITDA for the CIR disallowance; raising DPT (abolished for APs beginning on or after 1 January 2026 and never relevant to loans); hybrids with no hybrid element.

Going further: the tax function's CIR calendar - Before the year end: forecast ANTIE and tax-EBITDA; model disposals, refinancing and TP adjustments; consider whether a group ratio or other election helps; decide whether a QIC election is wanted (it must be made before the end of the QIC's accounting period). - **At the year end:** list eligible companies; obtain authorisations (more than half) for the reporting company for this period; agree the allocation policy (who bears disallowances; who reactivates). - **Company CT returns (12 months):** reflect allocations and reactivations; amend if the IRR changes. - **IRR (12 months after the period of account):** full return whenever there is anything to allocate, carry forward, reactivate or elect; never abbreviated where unused allowance may be needed. - **Ethics and judgement:** allocation and election choices are legitimate planning within the statute; arrangements whose main purpose is to manufacture capacity or reactivations meet s 461 and, beyond it, the unallowable purpose rule and the GAAR (chapter 4).

How the examiner tests it

Sitting	Question	What was tested	What the examiners said
M26	Q1, 20 marks (8/6/6)	Merger forming a new worldwide group under a new UK topco; reporting company and IRR; PIE conditions; fixed ratio calculation with TP adjustments and a QIC	Admin and PIE adequate but padded; calculation poor: "very few adjusted ANTIE and Tax-EBITDA correctly"; group ratio computed when told not to; tax-EBITDA wrongly adjusted for disallowed interest and the QIC
M24	Q1, 20 marks (5/11/4)	Investment company expenses; CIR calculation (ANTIE, ANGIE, interest-free loan and TP, b/f disallowance reactivation); CIR admin	Most missed the investment business; a minority misapplied ANTIE and ANGIE; admin good
M24	Q6, 20 marks	Two-company computation including CIR allowance b/f	Good on CAs and losses
N24	Q5, 20 marks (CIR 3.5)	Newly acquired UK company in a US group: probably no restriction, but file to protect; reporting company; abbreviated IRR	Some covered TP in depth and ignored easier points
M23	Q3, 15 marks	Loan from a US company: TP (participation, thin cap), CIR, withholding	Main issues TP and CIR; time wasted on DPT

Grade: CIR 1 (**core**) on the 2026 grid (which Kian's May 2027 sitting is expected to follow; check the 2027 grid when published). It falls to 2 only on the 2028 grid.

Style: technical prose and computations; "Calculate, with explanations"; 0.5–1 mark per point; recommendation marks where asked (for example which company should bear the disallowance). No letter format.

Template (keep £ or £000 consistent):

1. ANTIE: each UK company's net tax-interest (TP and s 441 adjustments first; QIC interest out); total.
 2. Tax-EBITDA: each company's TTP before interest, CAs, intangibles debits, b/f losses, group relief and qualifying reliefs (services TP adjustments in; QIC nil); total.
 3. 30% of tax-EBITDA.
 4. Fixed ratio debt cap: ANGIE + excess debt cap b/f.
 5. Basic allowance: lower of 3 and 4 (group ratio only if elected).
 6. Interest allowance: + ANTII.
 7. Capacity: + unused allowance b/f; not less than £2m.
 8. Disallowance (or reactivation up to allowance – ANTIE).
 9. Allocation by company, and s 377 order within each.
 10. Carry-forwards: disallowed amounts (indefinite), unused allowance (5 years, full returns), excess debt cap (one period).
-

What to take away

The CIR answers one question: how much net interest should the UK let a whole group deduct? It is the UK's response to BEPS Action 4 and has applied to periods of account beginning on or after 1 April 2017. The unit is the **worldwide group** for its period of account; only UK companies contribute, with straddling periods apportioned on a just and reasonable (usually time) basis.

The tested figure is **ANTIE**: tax-interest covers loan relationship amounts (without exchange movements or impairment), interest-type derivative amounts and the financing cost in finance leases, factoring and service concessions; UK-to-UK interest cancels. Tarnmoor: **£24.65m** (GY1), **£25.82m** (GY2), **£24.44m** (GY3). The earnings measure is **tax-EBITDA**, excluding interest, CAs, intangibles debits and clawback credits, other periods' losses, group relief, qualifying reliefs and (FA 2026 s 62) ss 86A/142/145/147 capex: **£74.8m**, **£78.4m**, **£87.7m**.

The fixed ratio allowance is the lower of **30%** of tax-EBITDA and the **debt cap** (ANGIE + excess debt cap b/f); the group ratio is an election; capacity is allowance + unused allowance b/f, **never less than £2m**. Tarnmoor lost **£2.21m** (GY1) and **£2.30m** (GY2), allocated by TPLC to its own non-trading debits; in GY3 it reactivated **£1.87m** as filed, leaving **£2.64m** waiting, and created no unused allowance. After the GY6 transfer pricing settlement TPLC filed a revised GY3 return (within 3 months): reactivation **£2.47m**, **£2.04m** still waiting, though the extra £0.6m deficit came too late for TEL's group relief claim.

Disallowed interest waits without limit; unused allowance lasts five years and needs full returns; reactivation needs a full return and must be taken at once. Under FA 2026, for periods ending on or after 31 March 2026, a reporting company is appointed per period, with no deadline or notice, by **more than half** of eligible companies; the IRR is due 12 months after the period; penalties £500 / £1,000 and £1,000 for an unappointed filer. TP and other interest rules come first; an interest adjustment moves ANTIE, a services adjustment moves tax-EBITDA; a QIC comes out of both.

So: about 30% of what the group earns here, never more than it really pays outsiders, never less than £2m. Everything else is the machinery for counting that fairly across many companies and many years.

The next chapter follows money that tries a different trick: chapter 29, on hybrid mismatches, deals with payments that two countries see differently, so that one deduction is claimed twice or matched by nothing.

Key rules and figures

Rule	Figure / detail	Reference
Commencement	Periods of account beginning on or after 1 April 2017	F(No.2)A 2017 Sch 5; CFM95110
Worldwide group	Ultimate parent + consolidated subsidiaries	ss 473–474
Tax-interest	LR amounts (excl. FX, impairment); interest-type derivatives; finance lease, factoring, service concession financing costs	ss 382–386
ANTIE	Net of UK companies' net expense and net income	s 390
Tax-EBITDA	TTP amounts excl. interest, CAs, intangibles debits (and credits reversing them), other-period losses, group relief, qualifying reliefs; FA 2026 s 62 capex exclusion	ss 405–408
Fixed ratio	Lower of 30% × tax-EBITDA and debt cap (ANGIE + excess debt cap b/f)	ss 397, 400
Excess debt cap	Debt cap – 30% EBITDA, limited to b/f excess + current disallowance; one period	s 400
Group ratio	QNGIE ÷ group-EBITDA (100% if negative or > 100%); election	ss 398–399, 414, 416
De minimis	£2m a year; a floor on capacity	s 392
Disallowed interest	Carried forward indefinitely; lost on cessation or small or negligible	s 378
Default disallowance order	NTLR; non-trading derivatives; trading LR; trading derivatives; leases etc.	s 377
Reactivation	Up to interest allowance – ANTIE; full return; earliest opportunity	ss 373, 379–380
Unused allowance	5 years; nil with abbreviated return or no return	ss 393–395
Reporting company (FA 2026)	Per period; no deadline or notice; more than half of eligible companies; periods ending on or after 31 March 2026 (para 1A from 31 March 2024)	Sch 7A paras 1, 1A
IRR	Due 12 months after period; no effect after 36 months; HMRC may appoint after 18 months	Sch 7A paras 4, 7
Penalties	£500 (within 3 months) / £1,000; £1,000 unappointed filer	Sch 7A paras 11A, 11B, 29
PIE	QIC election; limited-recourse third-party interest out; tax-EBITDA nil; 5-year anti-cycling	ss 432–449

Rule	Figure / detail	Reference
TP interaction	TP first; CIR ignored for TP advantage; interest adj → ANTIE; services adj → tax-EBITDA	s 155(6)
Anti-avoidance	Regime TAAR: main purpose + CIR-derived advantage; just and reasonable counteraction	s 461
Tarmoor GY1 / GY2 / GY3	ANTIE 24.65 / 25.82 / 24.44; tax-EBITDA 74.8 / 78.4 / 87.7; allowance 22.44 / 23.52 / 26.31; disallowed 2.21 / 2.30 / nil; reactivated GY3 1.87; c/f 2.21 / 4.51 / 2.64 (£m; GY3 as filed). Revised GY6: tax-EBITDA 89.7; allowance 26.91; reactivated 2.47; c/f 2.04	invented (story)

Statutory and case references

- Taxation (International and Other Provisions) Act 2010 Part 10: ss 372–376 (overview, total disallowed amount, allocation, pro rata), 377 (order), 378–381 (carry forward, reactivation, netting), 382–386 (tax-interest), 390 (ANTIE), 392–400 (capacity, unused allowance, allowance, fixed ratio, group ratio, debt caps), 401–404 (blended group ratio), 405–408 (tax-EBITDA), 410–416 (net group-interest, ANGIE, QNGIE, group-EBITDA), 420–430 (derivatives and elections), 432–449 (public infrastructure), 461 (anti-avoidance), 473–474 (worldwide group); Sch 7A paras 1, 1A, 4, 5, 7, 8 (revised returns), 11A, 11B, 20, 22, 24, 25, 29.
- TIOPA 2010 s 155(6) (TP: CIR disregarded); s 164A (UK-to-UK exemption); s 371IE (CFC matched interest).
- Finance (No. 2) Act 2017 Sch 5 (CIR inserted); Finance Act 2019 Sch 14 paras 18–19 (leases); Finance Act 2026 s 61 (reporting companies) and s 62 (tax-EBITDA capex); Finance Act 1998 Sch 18 para 74 (group relief claim time limit); CTA 2010 s 188BE (Part 5A restriction).
- Corporation Tax Act 2009 ss 86A, 142, 145, 147 (FA 2026 s 62 items); s 446 (TP adjustments in loan relationships); ss 441–442 (unallowable purpose).
- HMRC manuals: CFM95110, CFM95130, CFM95250, CFM95330, CFM95630, CFM95650, CFM95660, CFM95720, CFM95735, CFM95805, CFM95930, CFM96020, CFM96080, CFM96620, CFM97190, CFM97210, CFM97240, CFM97290, CFM97320, CFM98010, CFM98320, CFM98580, CFM98590, CFM98610, CFM98620, CFM98640, CFM98645, CFM98693, CFM98700, CFM98240, CFM38155.
- GOV.UK: *Restriction on Corporation Tax relief for interest deductions* (updated 24 April 2026); *Submit a corporate interest restriction return* (updated 14 April 2026); policy paper *Corporate interest restriction: reporting companies* (26 November 2025).
- OECD, BEPS Action 4 Final Report (October 2015), as quoted at CFM95130 (OECD site not consulted).
- Cases: no reported decision on Part 10 was found. For the three gates, see *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 (prologue).

Chapter twenty nine: Hybrid mismatches.

The slide deck arrived in **GY4**. In our invented story, an outside adviser had a proposal for our invented group, Tarnmoor, and its treasury company, **Tarnmoor Finance Ltd (TFL)**. It would issue **£80m of perpetual subordinated notes** to **Tarnmoor Capital Ltd (TCM)**, the group’s finance company in the invented country of **Marrovia**. The coupon would be **7%: £5.6m a year**.

The pitch rested on one fact. The UK would see the notes as debt, so the coupon would be deductible here. Marrovia, under its (invented) law, would see the same notes as shares, so the coupon would arrive as an exempt dividend. One payment, two readings: a deduction in one country, nothing taxed in the other. The project even had a name: **Project Undertow**.

Tom Hesketh, the group head of tax, recognised it at once. This was exactly the kind of arrangement the OECD had set out to stop. On **5 October 2015** it published its final report, *Neutralising the Effects of Hybrid Mismatch Arrangements* (BEPS Action 2), the report to which the UK statute itself refers (TIOPA 2010 s 259KA(7D)). The UK turned the report into law for payments made on or after **1 January 2017**.

So this chapter asks one question: **when two countries describe the same payment differently, which of them gets to tax it, and what happens if neither does?**

This is the eighth chapter of Part Four, Across Borders. Hybrid mismatches are **core (grade 1)** on the 2026 LCG grid, falling to grade 2 in the 2028 grid. *The Living Law* (TKS) only signposted hybrids, so this chapter builds from first principles. The law is that for **FY2026**, under Finance Act 2026.

Short name	Statute
the International Act	Taxation (International and Other Provisions) Act 2010 (TIOPA 2010)
the 2009 Act	Corporation Tax Act 2009 (CTA 2009)
the 2010 Act	Corporation Tax Act 2010 (CTA 2010)
the withholding rules	Income Tax Act 2007 (ITA 2007) Part 15

One coin, two readings.

Every tax system has to decide what a payment is: interest or dividend; a person or a pass-through; here or there. Each country answers by its own law, and the answers need not match.

Picture one coin tossed between two countries. If both call it heads, both give a deduction for the same expense. If both call it tails, neither taxes the income. A **hybrid mismatch** is that gap. The rules exist to make one country call the coin fairly.

BEPS Action 2 made two design choices that the UK adopted.

1. **Outcomes, not motives.** The rules ask what happened to the payment, not why. They name two outcomes:

- **Deduction/non-inclusion (D/Ni)**: a payment is deductible for the payer but not brought in as ordinary income by the payee (or brought in but under-taxed).
- **Double deduction (DD)**: the same amount is deductible in two territories.

2. **Linked responses.** A **primary response** tells one country to act first (usually the payer's, or for double deductions the investor's); a **secondary response** tells the other country to act if the first does not. Whichever moves, the mismatch is neutralised once, and only once.

The UK's earlier attempt. Anti-arbitrage rules were enacted in F(No.2)A 2005 (ss 24–31, Sch 3) and rewritten as TIOPA 2010 Part 6 ("Tax arbitrage"). They had to be **activated by an HMRC notice** (deduction notices, receipt notices). FA 2016 Sch 10 para 15 omitted Part 6 for accounting periods beginning on or after 1 January 2017.

The replacement. TIOPA 2010 **Part 6A** (ss 259A–259NF), inserted by **FA 2016 Sch 10**, applies to payments made (and quasi-payments whose payment period begins) on or after **1 January 2017** (Sch 10 Part 3). It is **self-executing**: the company applies it in its own return. From rules HMRC switched on, to rules that switch themselves on.

The vocabulary of Part 6A.

Term	Meaning	Reference
Tax	Income tax and CT on income; the CFC charge ; foreign taxes on income (not sub-national); foreign CFC charges. Still lists DPT in the text checked (a loose end now DPT is replaced by UTPP for APs beginning on or after 1 January 2026). Withholding tax is ignored	s 259B (s 259B(3A) inserted by FA 2018 Sch 7)
Ordinary income	Income brought into account in calculating the profits on which tax is charged; exempt or excluded income is not ordinary income; income taxed at a reduced rate because of the instrument is "under-taxed"	s 259BC; INTM550560
CFC inclusion	Income that has given rise to a CFC charge (UK or foreign) may be treated as ordinary income of a relevant chargeable company ($\geq$ 25% interest), to the extent s 259BD allows	s 259BD; INTM550570 (HMRC's view)
Hybrid entity	Regarded as a person under one territory's law, while its income is treated as another person's under some territory's law (or another territory does not regard it as distinct)	s 259BE
Related	Same control group (consolidated, participation condition, or 50% investment) or a 25% investment by one in the other, or by a third person in both	ss 259NB–259ND; INTM557050
Structured arrangement	Reasonable to suppose it was designed to secure the mismatch, or its terms share the economic benefit of the mismatch between	s 259CA(7)–(8)

Term	Meaning	Reference
	the parties; a commercial objective does not prevent this	
Dual inclusion income (DII)	Income taxed in both relevant territories; restricted deductions may be set against it	Chs 5, 6, 9, 10; Ch 12A
Permitted taxable period	Broadly a period beginning within 12 months after the end of the payer's period	Ch 3 (s 259CA ff)
Order of application	Ch 4 → Ch 3 → Ch 5 → Ch 6 → Ch 7 → Ch 8 → Ch 9 → Ch 10	s 259A(20)

Misconception: “the hybrid rules are anti-avoidance rules with a motive test.” Between related parties they are mechanical: if the mismatch exists and arises from the hybrid feature, the counteraction follows. Purpose matters only for unrelated parties, through the structured arrangement test, and then only in the “designed to secure” sense.

Financial instruments.

Chapter 3 (ss 259CA–259CE) is the chapter the examiner meets most often, and it is Project Undertow's chapter.

Conditions (s 259CA). A payment under (or connected with) a financial instrument; the payer or payee within the charge to CT; a D/NI mismatch that arises **by reason of the terms or other features of the instrument**; and payer and payee **related** or the arrangement **structured**.

Two cases (s 259CB). - **Case 1:** the relevant deduction exceeds the ordinary income arising to the payee in a **permitted taxable period** (classic case: a coupon the payee's country treats as an exempt dividend). - **Case 2:** ordinary income arises but is **under-taxed** because of the instrument's terms. The mismatch is measured as $UTA \times (FMR - R) / FMR$, where UTA is the under-taxed amount, FMR the payee's full marginal rate and R the rate actually applied.

Responses. - **Primary (s 259CD):** a UK payer's deduction is reduced by the amount of the mismatch. - **Secondary (s 259CE):** where the UK is the payee's territory and the payer's territory has not counteracted, the UK payee is charged on the relevant amount as income (CTA 2009 Part 10 Ch 8).

Worked example 29.1: a hybrid financial instrument (labelled hypothetical, not story)

UK Co pays a coupon of **£1,000,000** to its 100% parent in Territory X under an instrument that the UK treats as debt.

£	Case 1: X exempts the coupon as a dividend	Case 2: X taxes it at 5% (full rate 20%)
Deduction claimed by UK Co	1,000,000	1,000,000
Under-taxed amount	1,000,000	1,000,000
Mismatch	1,000,000	$1,000,000 \times (20 - 5) / 20 = 750,000$
Deduction allowed (s 259CD)	nil	250,000
Extra UK CT at 25%	250,000	187,500

Why scale? The coupon was taxed at a quarter of the full rate, so a quarter of it is treated as properly included and three quarters as not.

Timing. A Case 1 mismatch can arise purely from timing: the payer accrues and deducts each year, the payee is taxed only on receipt years later. If the income falls into a permitted taxable period, there is no mismatch; if later, the deduction is denied now and Chapter 12 (s 259LA) allows the position to be adjusted when the income is included. Relief is delayed, not lost.

Chapter 4 (hybrid transfers, ss 259DA–259DG) applies the same thinking to repos, stock lending and other transfers of financial instruments, where two countries disagree about who owns the instrument. Payer first, payee second.

Boundary. The mismatch must come from the instrument. If the payee is simply exempt because of its status (a pension fund, a sovereign body), the shortfall is not a hybrid mismatch.

When the UK is the payee.

Turn the coin over: a UK company receives a payment that its foreign payer deducts but that the UK would treat as an exempt dividend.

The first defence is in the dividend exemption. A distribution received by a large company is exempt only if, among other conditions, **no deduction is allowed to a resident of any territory outside the UK under the law of that territory in respect of the distribution** (CTA 2009 s 931D(c); s 931B(c) for small companies). That is a **linking rule**: if the payer abroad deducts, the UK recipient loses the exemption and is taxed.

HMRC’s view on the overlap (INTM551170). Where a payment is deductible for the payer but a distribution in the payee’s territory, Part 6A and Part 9A overlap. There is no statutory order, but the distribution exemption may be considered first. Where the payee’s territory has an equivalent of s 931D(c) and taxes the receipt, the UK will not usually deny the payer’s deduction under s 259CD; such cases go to a specialist HMRC team.

Undertow shows the reverse. Marrovia (invented) has no linking rule: it exempts the coupon whatever the UK does. That is why the UK, as the payer’s country, must make the primary response.

Answer technique. Check both ends of the payment: how the payer’s country treats it, how the payee’s country treats it, and which country’s rules respond first.

Worked example 29.5: the UK as payee (labelled hypothetical, not story)

UK Co (large) holds preference-style shares in a related company in Territory Y. Territory Y treats the instrument as debt and allows its company a deduction for a **£500,000** “dividend”. The UK would otherwise treat the receipt as an exempt distribution.

£	Amount
Receipt	500,000
Exempt under Part 9A?	No: a deduction is allowed to a resident of Territory Y (CTA 2009 s 931D(c))
Taxable in UK Co	500,000

£	Amount
CT at 25%	125,000

The mismatch is closed from the payee's side by the dividend exemption's linking rule. If instead the receipt had been within Part 6A Ch 3 and Territory Y had not counteracted, the secondary response (s 259CE) would bring the relevant amount into charge. Either way, the UK answer names both territories and both rules.

Hybrid entities, payees and establishments.

The next group of chapters deals with mismatches caused not by the instrument but by the **entity in the middle**: a payer that one country sees as a person and another sees through; a payee that nobody taxes because each country thinks the other will; a branch that one country exempts and the other does not recognise. The questions are always the same: who is the hybrid, which territory deducts, which territory fails to include, and who responds first.

Chapter	Mismatch	Primary response	Secondary response	Reference
5 Hybrid payer	Payer is a hybrid entity: its own territory deducts; the investor's territory disregards the payment	Hybrid payer's deduction allowed only against DII ; excess carried forward	Payee taxed (UK payee)	ss 259EA–259ED
6 Transparent establishments	UK PE of a foreign company deducts deemed payments to head office that the parent's territory ignores (excludes the s 21(2) notional loan capital cost and intangibles amortisation)	Deduction only against DII ; carry forward	—	ss 259FA–259FC
7 Hybrid payee	Payee is a hybrid (e.g. a reverse hybrid : transparent in its own territory, opaque to its investors)	Payer's deduction reduced	UK investor taxed	ss 259GA–259GE; FA 2022 s 26 (relevant transparent entities, retrospective)
8 Multinational payee	Payment to a PE that no territory taxes (head office exempts, branch territory does not recognise the PE)	Payer's deduction reduced	—	ss 259HA–259HC

Illustration (Ch 5): a UK company whose foreign parent treats it as transparent pays interest to that parent. The UK gives a deduction; the parent's country sees a payment from itself to itself and ignores it. Nothing is included anywhere, so the UK company may deduct the interest only against DII.

CFC charges count. HMRC's worked example (INTM555240) shows a payment to a reverse hybrid wholly brought into a CFC charge: recognition is given under s 259BD and no hybrid payee mismatch remains. Keep this in mind for Undertow.

The pattern is the same in every chapter: **identify the hybrid element, measure the mismatch, apply the chapter's response in the right country.**

Double deductions.

Chapter 9 (hybrid entity double deduction, ss 259IA–259IC). A company is a taxable person in the UK but transparent to its foreign parent, so its expenses are deducted here and again against the parent's income abroad. - **Primary (s 259IB):** the **investor's** deduction is allowed only against DII; excess carried forward. - **Secondary (s 259IC):** if the investor's territory does not counteract and the two are in the same control group (or structured), the **hybrid entity's** deduction is restricted to DII. - Stranded deductions can be released in some cases where no further DII can arise. - Because restricted amounts wait for future DII, the deferred tax question follows (chapter 6): is future DII probable?

Worked example 29.2: hybrid entity double deduction (labelled hypothetical, not story)

UK Sub is owned by a parent in a territory with no hybrid rules, which treats UK Sub as transparent. UK Sub's expenses of **£2,000,000** are deductible in both territories. UK Sub has **£1,400,000** of income taxed in both (DII). The UK applies the secondary response (s 259IC).

£	Amount
Expenses deductible in both territories	2,000,000
Dual inclusion income this period	1,400,000
Deduction allowed this period	1,400,000
Restricted, carried forward against future DII	600,000
Extra UK CT this period (timing) at 25%	150,000

Chapter 10 (ss 259JA–259JD) applies the same restriction to **dual resident companies** (s 259JB) and to companies with **PEs** whose deductions are given twice (ss 259JC–259JD).

Chapter 12A (FA 2021) lets a group allocate **surplus DII** from one company to another (claims under s 259ZMB), for claimant APs beginning on or after **1 January 2021** (FA 2021 Sch 7 para 40).

Going further: tracking dual inclusion income

DII is not a number in the accounts. The tax function computes it for each relevant company and entity every period, records restricted amounts carried forward and when they arose, and decides whether a Chapter 12A allocation claim (or consent) is worthwhile. The CT600B pages ask for the totals (below). A register that survives staff changes is the real control.

Imported mismatches.

This is the chapter that can make a UK borrower need facts about companies it never deals with. **Chapter 11 (ss 259KA–259KF)** denies a UK payer’s deduction where its payment funds, through a series of arrangements, a mismatch elsewhere, between members of the same control group or under a structured arrangement.

Illustration (all countries invented): UK Co borrows from a group finance company in country A, whose hybrid rules match the OECD’s. The finance company funds itself with a hybrid instrument from a group company in country B, which has no hybrid rules. Country A can counteract that mismatch itself, so the UK does nothing. If country A could not, the UK deduction would be at risk to the extent it funds the mismatch.

FA 2021 Sch 7 narrowed Chapter 11, generally for payments and periods from **10 June 2021** (Royal Assent): it now bites only on a mismatch **not capable of counteraction** under the law of an **OECD mismatch compliant** territory (s 259KA(7)–(7D)). The same package excluded non-taxable income of entities taxed through others from “foreign tax” (s 259B(3ZA)), added the **relevant debt relief circumstances** carve-out (ss 259NEB–259NEF, retrospective), Chapter 12A, and Chapter 13A (transparent funds). It was the UK correcting its own over-reach. **Part 6A was not amended by FA 2025 or FA 2026.**

Why the narrowing mattered. As first enacted, Chapter 11 could reach a mismatch that another territory’s own hybrid rules were already dealing with, which sits uneasily with the BEPS aim of neutralising each mismatch once and only once. The 2021 test asks a narrower question: could the mismatch be counteracted under the law of a territory whose hybrid rules match the OECD’s? If so, the UK leaves it alone.

Imported mismatches matter less to a UK-parented group like Tarnmoor than to groups whose parent or financing hub is abroad, but the question is still asked whenever a UK company borrows from a group company overseas.

Chapter 12 (ss 259LA–259LB) adjusts counteractions where suppositions prove wrong or income arrives late; Chapter 13 (s 259M) is a targeted anti-avoidance rule (relevant avoidance arrangements, counteracted on a just and reasonable basis).

Exam lens: hybrid mismatches

- **Grade:** hybrid mismatch **1 (core)** on the 2026 grid; **2 (non-core)** from 2028. Check the 2027 grid when published (expected around January 2027).
- **Past appearances:** **N25 Q6 (10 marks):** hybrid entities and instruments, D/NI and DD mismatches, primary and secondary responses, and the CT600 administration. Answers were mixed: some candidates thought a low-tax territory alone made something a hybrid and wrote generic anti-avoidance answers. **N24 Q5 (20 marks):** a US group buying a UK SME; no hybrid trigger, yet some candidates brought hybrids in.
- **Style:** discursive with short computations; “Explain”; about 0.5–1 mark per point; no letter format. A 10-mark question is worth about 21 minutes.
- **Layout:** (1) hybrid element; (2) mismatch type; (3) chapter and conditions (related/structured); (4) primary and secondary responses, with the amount (Case 2 formula; DII and carry forward); (5) administration (CT600B; self-assessment).
- **Traps:** low tax is not a hybrid; no hybrid element, no hybrid answer; naming the response in the wrong country; forgetting withholding is ignored for “tax”; forgetting the CFC charge counts as tax; raising DPT or UTPP on a loan (M23 Q3: DPT does not apply to loan relationships).

Project Undertow.

GY4, and Tom Hesketh's memo for the board. Everything below is part of our invented story. Before writing, Tom asked the adviser three questions: how exactly would Marrovia tax the coupon; who would be the debtor; and where would the £80m come from? The answers drove everything that followed.

Worked example 29.3: the adviser's pitch (invented)

£ a year	Amount
Coupon: $£80,000,000 \times 7\%$	5,600,000
TFL CT saving at 25%	1,400,000
CFC charge on TPLC assumed by the adviser: Ch 9 75% exemption, so $25\% \times 25\% \times 5,600,000$	(350,000)
Net saving claimed	1,050,000

Funding: TPLC to subscribe £80m of new shares in TCM. Withholding tax was not considered.

Step 1: would the UK even see debt? Perpetual notes held by a company associated with the issuer are **equity notes**, so they are **special securities** (CTA 2010 s 1015, Condition E; ss 1016–1017), and interest on them is a **distribution** (s 1000(1) para F): not deductible at all. HMRC's manual gives perpetual securities as the example (CTM15515).

The adviser's answer: draft the notes so that TFL can **defer or cancel** the coupon, give them **no other significant equity features**, and **elect** to treat them as **hybrid capital instruments** (CTA 2009 s 475C). A hybrid capital instrument is not a special security by reason of Condition E (CTA 2010 s 1015(1A)), and deferral or cancellation rights are ignored in deciding whether payments are distributions (s 420A). The regime (FA 2019 Sch 20) replaced earlier rules for regulatory capital; HMRC describes its aim as allowing coupon deductibility in all sectors, but only for instruments that are, in essence, debt (HMRC Corporate Finance Manual, CFM37800 ff). But the election (irrevocable, within six months of issue) has **no effect where there are arrangements a main purpose of which is to obtain a tax advantage** for any person. Undertow had no other purpose. **First conclusion:** a serious risk that the coupon is a distribution, with no deduction from the start.

Tom's memo.

Suppose the election stood. Tom worked through the rules in the order a marker would want.

Step 2: hybrids (Ch 3). Payment under a financial instrument; TFL within CT; the mismatch arises from the notes' perpetual, subordinated terms, which Marrovia reads as equity; TFL and TCM are related (same control group: both 100% TPLC). Case 1 D/NI of **£5,600,000**; primary response on TFL (s 259CD): deduction denied, **£1,400,000** of CT.

Step 3: withholding. Yearly interest paid by a company (ITA 2007 s 874). Not listed, so not a quoted Eurobond (s 882). Marrovia has no UK treaty. The **qualifying private placement** exemption (s 888A; SI 2015/2002) requires a creditor resident in a qualifying territory (a treaty with a non-discrimination article: SAIM9360) and a security entered into for genuine commercial reasons, not as part of a tax advantage scheme. So TFL deducts **20%: £1,120,000** a year (2026/27). *Coming next (enacted):* 22% savings basic rate from 2027/28 (FA 2026 ss 5–6, Sch 1 para 29): **£1,232,000**.

Step 4: the CFC charge. The Ch 9 finance company exemption needs a **qualifying loan relationship**; a creditor relationship whose ultimate debtor is a **UK company** (without a s 18A election) is not one (TIOPA 2010 ss 371IG–371IH). The coupon

derives from **capital invested from the UK** (TPLC's £80m subscription), so it passes the Ch 5 gateway (s 371EC). Charge on TPLC: $25\% \times £5,600,000 = \text{£1,400,000}$, less **creditable tax** including UK income tax suffered by deduction (s 371PA): **£280,000** payable.

Step 5: the interaction. HMRC's guidance (INTM550570) says income that has given rise to a CFC charge may be treated as ordinary income of a relevant chargeable company, to the extent s 259BD allows. On that reading the CFC charge could stand in for the missing Marrovan tax and the deduction might survive. The memo did not need to settle the point (read the full text of s 259BD before relying on this), because neither answer helps.

Step 6: the other gates. - Transfer pricing (Part 4): would an independent finance company issue perpetual notes at 7% at all? HMRC's view is that Part 4 and Part 6A are applied together, with Part 6A built into both the actual and the arm's length provision, and then Part 6A checked again; companies cannot choose the order (INTM550080, INTM550085). - **CIR (Part 10):** interest paid to a group company abroad is tax-interest expense (it is excluded only from ANGIE). In a restricted year, such as GY1 or GY2 (chapter 28), the extra £5.6m would simply be disallowed. HMRC expects the hybrid rules to be applied before the CIR (INTM550080). - **Unallowable purpose (CTA 2009 ss 441–442):** why is TFL party to the notes? The only answer was tax. An amount disallowed under s 441 cannot come back in under another rule (CFM38165). (*BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330: TP satisfied, s 441 still disallowed all the debits; chapter 12.)

Worked example 29.4: Tom's outcome table (invented; £ a year, compared with doing nothing)

£	A: adviser's pitch	B: coupon a distribution	C: deduction survives (CFC charge counts as inclusion)	D: deduction denied (hybrids, CIR or s 441) and CFC charge bites
TFL deduction at 25%	1,400,000	nil	1,400,000	nil
Income tax withheld at 20%	not considered	—	(1,120,000)	(1,120,000)
CFC charge before credit	(350,000)	—	(1,400,000)	(1,400,000)
Creditable tax (income tax withheld)	—	—	1,120,000	1,120,000
Net effect on group tax	+1,050,000	no saving	nil	(1,400,000)

At the 2027/28 withholding rate of 22% the withholding is £1,232,000 and the net CFC charge £168,000; the totals in C and D are unchanged. Withholding is a cash cost at the time of payment; the credit arrives with TPLC's CFC charge.

The best case was break-even; the worst a loss of **£1.4m a year**, plus breaking the group's published tax strategy (it does not use tax avoidance schemes: chapter 4). The board rejected Undertow in one meeting. The minute gave three reasons: it could not beat doing nothing; it would create an annual dispute on several regimes at once; it conflicted with the tax strategy. TCM went on lending to TVS; TFL's funding stayed plain.

Exam lens: cross-border intra-group financing

- **Grade:** hybrids 1; CFCs 1; TP 1; CIR 1; loan relationships (including s 441) 1; deduction of income tax 1 (2026 grid).

- **What a marker rewards:** marks (typically 0.5–1 per point) for each regime spotted and explained, with the amount: D/NI denial (£1.4m), withholding (£1.12m and the absence of exemptions), the CFC charge and creditable tax (£1.4m less £1.12m), TP, CIR, s 441, and the debt/equity question. A recommendation if asked.
- **Traps:** treating the CFC Ch 9 75% exemption as automatic (a UK debtor is not a qualifying loan relationship); forgetting that UK income tax withheld is creditable tax for the CFC charge; netting the CFC charge against the deduction denial without explaining the s 259BD point; DPT/UTPP on a loan.

How Tom built the memo. He did not stop at the first problem. A scheme that fails on one ground invites a fix; one that fails on six does not. An examiner rewards a cross-border financing answer the same way: each regime is a separate set of marks.

A low rate is not a hybrid.

The examiners reported, after **November 2025** (Q6), that some candidates thought a low-tax territory alone made something a hybrid. A payment to a company taxed at 9% is **not** a hybrid mismatch if it is fully included in that company's income, however low the rate.

Regime	What it tests	Chapter
Transfer pricing	The price	27
CFC rules	Whether profits are artificially diverted from the UK	26
Global minimum tax	Low effective rates	30
Hybrid rules	A difference in characterisation, and only that	29

The first question in any hybrid answer: where is the hybrid? An instrument two countries read differently (debt/equity); an entity one sees as a person and the other sees through; a PE one country recognises and the other ignores; a company resident in two places. If you cannot point to one, the rules do not apply.

Interactions (HMRC's view). Hybrids before CIR; TP and hybrids applied together, without picking the better result (INTM550080, INTM550085, examples at INTM550086A–E); s 441 alongside, and an amount it disallows cannot be relieved under another rule.

How the examiner tests it. Hybrids have appeared once as a whole question (**N25 Q6**, 10 marks) and once as a warning (**N24 Q5**, where some candidates raised them without a trigger). Expect them alongside **TP, CIR and CFCs**. For any cross-border intra-group financing, run Tom's checklist:

1. Is it debt under UK law (distribution rules; hybrid capital instruments)?
2. Is there a hybrid element (Part 6A chapter, mismatch, response)?
3. Transfer pricing: amount and rate?
4. CIR?
5. Withholding (and exemptions)?
6. CFC charge on the recipient?
7. Unallowable purpose?

Then for the hybrid part: name the element, the mismatch, the chapter, the responding country and its response, compute (Case 2 scaling; DII and carry forward), finish with the CT600B administration. Keep it tight.

Administration and the tax function.

- **Self-assessment.** The counteraction is made in the CT computation: denied deductions added back; secondary-response amounts brought in as income. No HMRC notice is needed (contrast the old Part 6).
- **The return.** Supplementary pages **CT600B** (*Controlled foreign companies and foreign permanent establishment exemptions, hybrid and other mismatches*), boxes **B40–B85**: whether a Part 6A counteraction has been made (B65), total counteraction (B70), total s 259LA deduction (B75), DII surplus allocation claims made (B80) and consented to (B85). Completed only where there is something to report.
- **Clarification.** HMRC offers non-statutory requests for clarification on the rules (INTM561720).
- **Acquisitions.** A target's instruments or entities may become hybrid once relationships change. Map them before completion.
- **Loose end.** s 259B still lists DPT in the text checked; DPT is replaced by UTPP for APs beginning on or after 1 January 2026 (chapter 30).

Going further: living with the rules

- **Keep instruments plain.** Fixed-term, ordinary-coupon intra-group debt rarely creates a mismatch. Perpetual, subordinated or convertible features invite a different reading abroad: get the payee territory's treatment in writing before issue.
- **Watch entity elections.** A classification election made abroad for local reasons can turn a plain UK company into a hybrid entity overnight (Chs 5 and 9 follow). Keep a register of every entity whose classification differs between territories.
- **Remember who is related.** A 25% investment is enough: joint ventures and consortium companies (Helmside, in our invented story, while TPLC held 45%) can be related to their investors. Relationships change on the day a company joins or leaves.
- **Document.** Where the answer depends on foreign law or on whether the mismatch arises from an instrument's terms, record who advised, what they said and when. A large uncertain position may need an uncertain tax treatment notification (chapter 4).
- **Ethics.** Tom's memo put the tax strategy point in one line at the top.

What to take away.

- Hybrid mismatches arise when two countries characterise the same payment, entity or establishment differently. BEPS Action 2 (5 October 2015) targeted **outcomes, not motives**.
- UK rules: **TIOPA 2010 Part 6A**, payments from **1 January 2017** (FA 2016 Sch 10), replacing notice-based arbitrage rules; self-executing.
- **D/NI** (deduction, no ordinary income) and **DD** (one amount deducted twice); **primary and secondary responses** neutralise the mismatch once.

- Most chapters need **related** parties (control group or **25%** investment) or a **structured arrangement**; between related parties there is **no purpose test**. Withholding is ignored; a CFC charge counts as tax.
- **Ch 3** financial instruments: payer first (s 259CD), payee second (s 259CE). Case 2: £1m taxed at 5% against a 20% full rate gives a mismatch of **£750,000** (deduction allowed £250,000).
- **Chs 5, 7, 8**: hybrid payer, hybrid payee, multinational payee; **Ch 6** PEs; **Chs 9–10** double deductions against **DII**, excess carried forward (£2.0m expenses, £1.4m DII: **£600,000** carried forward); **Ch 12A** group allocation of surplus DII.
- **Ch 11** imported mismatches, narrowed by **FA 2021** to mismatches not capable of counteraction in an OECD-compliant territory. No FA 2025 or FA 2026 changes.
- The UK dividend exemption has its own **linking rule** (CTA 2009 s 931D(c)).
- **Project Undertow** (invented, GY4, rejected): equity note risk; HCI election ineffective with a tax main purpose; if interest, D/NI denies **£1.4m**; withholding **£1.12m** (20%; 22% from 2027/28); full CFC charge (UK debtor: no QLR); TP, CIR and s 441 behind. Best case break-even; worst **£1.4m a year** worse off.
- **A low rate is not a hybrid**. No hybrid element, no hybrid answer.

The question was which country taxes a payment two countries describe differently. The answer: the one the statute tells to respond first, and if it does not, the other, so that the mismatch is closed once. Where the problem is not a difference in description but simply a low rate, a different tool is needed. Chapter 30 turns to the global minimum and the end of diverted profits tax.

Key rules and figures

Rule	Figure or test	Reference
Commencement	Payments on or after 1 January 2017	FA 2016 Sch 10 Part 3
Old arbitrage rules	Notice-based; omitted for APs beginning on or after 1 January 2017	TIOPA 2010 Part 6; FA 2016 Sch 10 paras 15, 22
“Tax”	Includes CFC charge, foreign CFC charges; withholding ignored; still lists DPT	s 259B
Related	Control group or 25% investment	ss 259NB–259ND
Structured arrangement	Designed to secure / shares the benefit	s 259CA(7)–(8)
Order	Chs 4, 3, 5, 6, 7, 8, 9, 10	s 259A(20)
Ch 3 Case 2	Mismatch = $UTA \times (FMR - R) / FMR$	s 259CB
Ch 3 responses	Payer s 259CD; payee s 259CE	ss 259CD–259CE
Ch 9 responses	Investor s 259IB; hybrid entity s 259IC; DII; carry forward	ss 259IA–259IC
Ch 11	Not capable of counteraction in an OECD-compliant territory	s 259KA(7)–(7D); FA 2021 Sch 7
FA 2021 general commencement	10 June 2021; Ch 12A for claimant APs beginning on or after 1 January 2021	FA 2021 Sch 7 paras 37–38, 40
FA 2025 / FA 2026	No amendment to Part 6A	—
Dividend linking rule	No exemption if deductible abroad	CTA 2009 ss 931B(c), 931D(c)

Rule	Figure or test	Reference
Equity notes	Special securities if held by associated company; HCI carve-out	CTA 2010 s 1015 Condition E, s 1015(1A)
HCI election	Defer/cancel; no other significant equity features; election ineffective with tax main purpose	CTA 2009 s 475C
Withholding	20% (2026/27); 22% from 2027/28	ITA 2007 s 874; FA 2026 ss 5–6
Return	CT600B boxes B40–B85	CT600B guidance
Undertow (invented, GY4)	£80m × 7% = £5.6m; deduction value £1.4m; withholding £1.12m; full CFC charge £1.4m less £1.12m credit = £280,000; pitch net saving £1.05m; outcomes nil to (£1.4m)	—

Statutory and case references

- TIOPA 2010 Part 6A, ss 259A–259NF (especially ss 259A(20), 259B, 259BC, 259BD, 259BE, 259CA–259CE, 259DA–259DG, 259EA–259ED, 259FA–259FC, 259GA–259GE, 259HA–259HC, 259IA–259IC, 259JA–259JD, 259KA–259KF, 259LA–259LB, 259M, 259NB–259ND, 259NEB–259NEF; Ch 12A, ss 259ZMA–259ZMF, including s 259ZMB); former Part 6 (ss 231–259).
- TIOPA 2010 Part 9A: ss 371EC, 371IA, 371IG–371IH, 371PA. Part 4 (transfer pricing). Part 10 (CIR).
- FA 2016 Sch 10; F(No.2)A 2005 ss 24–31, Sch 3; FA 2018 Sch 7; FA 2021 Sch 7; FA 2022 s 26.
- CTA 2009 ss 420A, 441–442, 475C, 931B, 931D; Part 10 Ch 8.
- CTA 2010 ss 1000(1) para F, 1015–1017.
- ITA 2007 ss 874, 882, 888A; Qualifying Private Placement Regulations 2015 (SI 2015/2002); FA 2026 ss 5–6, Sch 1 para 29.
- *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330.
- OECD, *Neutralising the Effects of Hybrid Mismatch Arrangements, Action 2: 2015 Final Report* (5 October 2015) (not opened; referred to in s 259KA(7D)).
- HMRC manuals and forms: INTM550080, INTM550085, INTM550086A–E, INTM550560, INTM550570, INTM551170, INTM555240, INTM557050, INTM561720; CTM15515; CFM37800 ff (including CFM37830, CFM37840, CFM37850), CFM38165; SAIM9360; CT600B supplementary pages and guidance.

Chapter thirty: The global minimum and the end of diverted profits tax.

A floor under the world.

In October 2021, more than 135 countries agreed something that tax policy had never managed before. They agreed a minimum. The largest multinational groups would pay at least **15%** on their profits in every country where they operate, or someone, somewhere, would collect the difference. The deal was struck through the OECD and its wider Inclusive Framework. The UK wrote its share of the deal into the **Finance (No. 2) Act 2023, Parts 3 and 4** (“the Pillar Two legislation”).

Seven years earlier, the UK had reached for a blunter weapon. In his Autumn Statement on **3 December 2014**, the Chancellor, George Osborne, announced a **diverted profits tax** (DPT). The press called it the “Google tax”. It sat outside corporation tax, charged a higher rate than corporation tax, and made the company pay before it could argue. For accounting periods beginning on or after **1 January 2026**, it is gone. Its work now belongs to a charge inside corporation tax, on what the law calls **unassessed transfer pricing profits** (UTPP).

Both changes share a single idea: profit should be taxed somewhere, at a fair rate, and a group that shifts it away should gain nothing. So this chapter asks two linked questions. **When a large group’s profits end up somewhere taxed below the floor, who collects the difference? And now that DPT has gone, what stops a group from pricing its own dealings so that profit quietly leaves the UK?**

This is chapter 30, the last chapter of Part Four (profits that cross borders). Everything in it is **awareness (grade 3)** on the LCG Advanced Technical paper: multinational top-up tax, domestic top-up tax and diverted profits tax. None was examined between May 2023 and May 2026. *The Living Law* (TKS) only signposted these rules, so we start from first principles, but keep to the depth an awareness topic deserves. Its close neighbours are chapters 26 (CFCs) and 27 (transfer pricing). Throughout, the law is that for **FY2026**, under Finance Act 2026.

Why a minimum tax.

Start with the problem. Profit is easy to move and hard to pin down. A group can put its patents, brands or lending in a subsidiary in a low-tax country and pay that subsidiary royalties or interest from everywhere else. Transfer pricing asks whether the price is right (chapter 27). CFC rules ask whether the parent’s country should tax the subsidiary’s profit (chapter 26). But neither touches the low rate itself, and for decades countries competed on that rate, each cutting a little to attract the mobile profit of large groups.

The minimum tax does not forbid a low rate. A country may still tax at 9%, or at nothing. What changes is that the low rate stops working for the largest groups, because the difference up to 15% is collected anyway. **Picture a floor fitted under every country’s tax rate: if a country leaves a gap below the floor, another country fills it.** The precise rule: for each country

(territory) where a group operates, the group works out an effective tax rate on a common measure of profit; where that rate is below 15%, a top-up tax brings it up to 15%.

In December 2021 the OECD published model rules, the **Global Anti-Base Erosion (GloBE) rules**. As commentators describe the arrangement, countries were not obliged to adopt them, but those that did were expected to follow the model so that the pieces would fit together across borders. A floor only works if every country measures the room the same way. The whole project is usually called **Pillar Two**. (A separate “Pillar One” is not on this paper.)

The debate (L5). Is it a good idea? The paper will not ask you to settle it. Supporters say it ends a race to the bottom that drained public revenue and rewarded paper structures over real investment. Critics say it erodes a country’s right to set its own taxes, blunts the incentives small economies use to attract real activity, and buries large groups in compliance. Both points have force, and economists still argue about the evidence. The law, for now, has chosen the floor, and the UK has built it into two taxes.

The United Kingdom’s two taxes, and who is in.

	Multinational top-up tax (MTT)	Domestic top-up tax (DTT)
Where	F(No.2)A 2023 Part 3 (ss 121–264)	F(No.2)A 2023 Part 4 (s 265 ff)
From	APs commencing on or after 31 December 2023 (s 264)	APs commencing on or after 31 December 2023
Who pays	UK parent members of qualifying groups, on low-taxed members abroad (income inclusion rule); from 31 December 2024 also the undertaxed profits rule (Part 3 Ch 9A, ss 229A–229J, inserted by FA 2025 Sch 4)	UK entities of qualifying groups (and of large UK-only groups), on low-taxed UK profits
Nature	IIR = main collection mechanism; UTPR = backstop (HMRC, MTT01100)	The UK’s qualified domestic minimum top-up tax (QDMTT) (HMRC, MTT01200)

The income inclusion rule (IIR) makes a parent pay top-up tax on the low-taxed profits of its members abroad. **The undertaxed profits rule (UTPR)** is the backstop: where low-taxed profit escapes every IIR, perhaps because the parent’s country has none, other countries collect a share. **Domestic top-up tax** applies the same arithmetic to the group’s UK entities, so that any top-up on UK profit is collected by the UK, not by a parent’s country abroad.

So the **order of collection** is: (1) the country where the profit arises, through its own QDMTT, which HMRC’s guidance says is credited against GloBE top-up tax in the group calculation (with any shortfall still payable under the GloBE rules); (2) the parent’s country, through the IIR; (3) the UTPR, which mops up anything left.

Who is in (F(No.2)A 2023 s 129). A group is “qualifying” if the revenue in the ultimate parent entity’s consolidated financial statements **exceeds €750m** in **at least two of the four** previous accounting periods (periods other than 12 months scaled by days/365) (Condition A), and at least one member is located in the UK (Condition B). Notice “exceeds”: the statute says it, and so does HMRC’s manual (MTT01100). HMRC’s online guidance “Check if you need to report Pillar 2 top-up taxes” says “750 million euros **or more**”. The difference matters only for a group at exactly €750m; there, the statute governs.

Worked example 30.1: Tarnmoor in scope (invented)

Every company, person and country in the Tarnmoor group is invented for teaching. Tarnmoor plc (TPLC), widely held and listed in London, is the **ultimate parent entity** (UPE): the entity at the top of the consolidated accounts.

£m / €m	GY1	GY2	GY3	GY4	GY5	GY6	GY7
Consolidated revenue (£m)	1,180	1,260	1,290	1,320	1,240	1,210	1,150
At the assumed €1.15 per £ (€m)	1,357	1,449	1,484	1,518	1,426	1,392	1,322
Exceeds €750m?	Yes	Yes	Yes	Yes	Yes	Yes	Yes

The €1.15 rate is invented for illustration only (at that rate €750m is about £652m). For GY5 the test looks at GY1–GY4: all four exceed €750m, so two of four is met many times over. In our invented case Tarnmoor’s revenue exceeded €750m before GY1 (chapter 1), so TPLC registered long ago as the group’s **filing member**.

Measuring the rate.

The GloBE rules do not use any country’s own tax computation. They start from the **accounting profit** of each group entity, as used for the consolidated accounts, and make a set of adjustments of their own: the result is **GloBE income**. Against it they set **covered taxes**: broadly taxes on income, including the rules’ own deferred tax adjustments and some taxes paid by other members on that entity’s profit (such as a parent’s CFC charge: next section).

The **effective tax rate (GloBE ETR)** is worked out **territory by territory**, not company by company. All the group’s entities in one territory are blended:

Jurisdictional ETR = total covered taxes of the territory ÷ total GloBE income of the territory

If the ETR is below 15%, **top-up percentage = 15% – ETR** (HMRC, MTT01100).

The top-up percentage is not applied to the whole profit. First the rules deduct the **substance-based income exclusion** (SBIE): a deduction in proportion to the payroll costs and tangible assets the group has in the territory, which HMRC’s manual describes as corresponding to the return the group might expect on those assets and employees (MTT32000 ff). What remains is the **excess profit**, and the top-up percentage applies to that. A territory with many staff and factories may owe little or nothing even at a low rate; a territory holding only patents or loans gets almost no exclusion. (The SBIE percentages are not taught here; they are in the legislation and MTT32000–32030.) In the Tarnmoor figures below, **we leave the SBIE out**, which overstates the top-up a little, and **treat accounting profit as GloBE income**.

Misconception: “Under Pillar Two every company must pay at least 15%.” People believe it because the headline is “a 15% global minimum”. It is wrong in three ways: 1. It reaches only groups over the **€750m** threshold. 2. The test is a **blended rate for each territory**: one company at 10% and its sister at 20% may together clear the floor. 3. The measure is **GloBE**

income and covered taxes, not taxable profit and tax paid. A UK company whose current tax is low because of full expensing does not by that alone create a top-up, because the GloBE rules count deferred tax as well.

As chapter 6 explained, the accounts themselves keep Pillar Two out of deferred tax under the temporary exception in **IAS 12 para 4A** (IASB, 23 May 2023), and show any Pillar Two current tax **separately** (para 88B).

So the rule is a floor for each territory of a large group, measured on its own base. It is not a minimum rate for each company.

Tarnmoor’s Marrovia test.

In our invented case, the group’s finance company, **Tarnmoor Capital Ltd (TCM)**, is resident in **Marrovia**, an invented country with a corporation tax rate of **9%** and, in the story, **no domestic minimum tax** of its own. In **GY5** its profit is **£5.1m** (interest £5.4m less expenses £0.3m). Marrovia tax at 9% is **£459,000**.

The UK also taxes some of that profit. TCM is a CFC (chapter 26). After the finance company (Chapter 9) exemption, 25% of its profit is chargeable: **£1,275,000**. TPLC pays a **CFC charge of £204,000** ($25\% \times £1,275,000 = £318,750$, less creditable Marrovia tax $9\% \times £1,275,000 = £114,750$).

The Pillar Two step: **F(No.2)A 2023 s 179** allocates a parent’s tax under a CFC tax regime (the UK CFC charge included) **down to the CFC** for MTT purposes, so it counts as a covered tax of Marrovia. For **mobile income** the amount pushed down is **capped at $(15\% - \text{local ETR}) \times \text{that income}$** . Here: $6\% \times £5.1\text{m} = £306,000$. The CFC charge of £204,000 is within the cap, so all of it moves.

Worked example 30.2: Marrovia, GY5 (invented; simplified: SBIE ignored; accounting profit = GloBE income; no other GloBE adjustments)

	£
GloBE income (TCM: interest 5,400,000 – expenses 300,000)	5,100,000
Covered taxes: Marrovia tax at 9%	459,000
Covered taxes: UK CFC charge pushed down (s 179)	204,000
<i>Cap on push-down for mobile income: $(15\% - 9\%) \times 5,100,000 = 306,000$; 204,000 within it</i>	
Total covered taxes	663,000
ETR ($663,000 \div 5,100,000$)	13.0%
Top-up percentage ($15\% - 13\%$)	2.0%
Excess profit (no SBIE in this simplification)	5,100,000
Top-up tax ($2\% \times 5,100,000$)	102,000
Less QDMTT paid in Marrovia (none: invented)	—
MTT payable by TPLC under the IIR (inclusion ratio 100%)	102,000

Check: Marrovia tax £459,000 + CFC charge £204,000 + top-up £102,000 = **£765,000 = $15.0\% \times £5.1\text{m}$** . Without the push-down, the ETR would be 9% and the top-up $6\% \times £5.1\text{m} = £306,000$, the same total that the CFC charge and the

top-up make together. The floor holds whichever route the money takes.

Why the ETR is always 13% here. The CFC charge is $25\% \times (25\% - 9\%) \times \text{profit} = 4\% \text{ of profit}$, so $\text{ETR} = 9\% + 4\% = 13\%$, whatever the profit. In **GY1–GY4** (TCM profit £3.3m; CFC charge £132,000; cap £198,000) the same arithmetic gives ETR 13.0% and a top-up of **£66,000 a year** (chapter 6’s GY2 rate reconciliation leaves it out as a simplification).

Elsewhere the floor does not bite on the story’s figures. - **Vallaria** taxes Tarnmoor Vallaria SA (TVS) at **20%**: above 15%, no top-up (and, where available, the transitional safe harbour avoids the computation: below). - The **UK** companies pay **25%**: on the story’s figures, no DTT. - **Tarnmoor Ireland Ltd** (TIL), Irish resident from 30 June GY4, pays Ireland’s **12.5%** trading rate, below the floor. Who collects any Irish top-up depends on Irish law, which this paper does not examine (and this book has not researched); the story leaves it aside.

Safe harbours.

A full GloBE computation for every territory every year is a heavy task. **Safe harbours** treat a territory’s top-up as nil without the full calculation.

Transitional CbCR safe harbour (F(No.2)A 2023 Sch 16 Part 2, paras 3, 7–9). It borrows figures from the group’s (qualifying) country-by-country report. A group may elect for it for APs **commencing on or before 31 December 2026 and ending on or before 30 June 2028**. A territory passes if it meets **any one** of three tests:

Test	Condition
De minimis	Revenue < €10m and profit before tax < €1m
Simplified ETR	Simplified covered taxes ÷ profit before tax ≥ 15% (periods beginning before 2025), 16% (beginning in 2025), 17% (beginning on or after 1 January 2026)
Routine profits	Profit before tax ≤ the SBIE

And there is a sting: **“once out, always out”**. If a group does not use the safe harbour for a territory in one year, it cannot return to it for that territory later.

Real-calendar illustration (not the story). A group with a calendar year end can use the harbour for its year to 31 December 2026, at the 17% test: its last year. A group whose year runs 1 July 2026 – 30 June 2027 also gets that year (commencing before 31 December 2026; ending before 30 June 2028). A group with a 1 January 2027 start does not.

Worked example 30.3: the transitional safe harbour tests for Tarnmoor (invented; we run the numbers on this year’s rules)

Territory	De minimis	Simplified ETR (17%)	Routine profits	Result
Vallaria (TVS profit £30.0m in GY2; tax 20%)	Fails (far above €10m / €1m)	Passes ($20\% \geq 17\%$)	Not needed	Top-up nil without full calculation

Territory	De minimis	Simplified ETR (17%)	Routine profits	Result
Marrovia (TCM, GY5)	Revenue about €6.2m (< €10m) but profit about €5.9m (> €1m): fails	9% (or 13% with the CFC charge): fails	Finance company with a small office: SBIE minimal: fails	Full GloBE computation (worked example 30.2)

Euro figures at the invented €1.15 per £: revenue £5.4m ≈ €6.21m; profit £5.1m ≈ €5.87m.

Two other harbours to recognise. - UTPR transitional safe harbour (Sch 16 para 12A): protected the UPE's territory where its nominal corporate rate is **at least 20%**, for APs commencing on or before 31 December 2025, ending before 31 December 2026, and not longer than 12 months. - **QDMTT safe harbour (Sch 16A Part 1):** where a group pays an **accredited** QDMTT in a territory, it may elect (annually, for all members there) to treat the top-up there as nil under everyone else's rules, so one calculation does (HMRC, MTT15110–15120).

FA 2026 Sch 8 adds **simplified calculations for non-material members** (Sch 16A Part 3).

Registration, returns and a moving rulebook.

The administration is where an awareness question may well find its marks.

Obligation	Rule	Reference
Registration	Filing member registers within 6 months after the end of the first AP in which the group is qualifying, even if no top-up tax is payable	Sch 14 para 6
GloBE information return (GIR)	15 months after the end of the AP; 18 months for the first; no deadline before 30 June 2026 (FA 2025 Sch 4 para 52); or an overseas return notification where the GIR is filed with a qualifying authority abroad	Sch 14 para 10
UK self-assessment return (MTT/DTT)	Same 15/18-month timetable and 30 June 2026 floor	Sch 14 para 13
Late filing (transitional)	HMRC: no late filing penalties for submissions before 1 August 2026 ; failed-validation GIRs resubmitted by 1 September 2026 keep the original date	GOV.UK "How to report Pillar 2 top-up taxes"
Payment	First AP ending on or before 31 December 2024: 30 June 2026; first AP ending later: 18 months after its end; later APs: the later of 30 June 2026 and 15 months after the AP end	GOV.UK "Pay Pillar 2 top-up taxes"

Tarnmoor. TPLC is the filing member. For **GY5** (AP ending 31 December GY5) its GIR, its UK return and payment of the **£102,000** are due by **31 March GY7** (15 months). In the group accounts the top-up is **current tax**, disclosed separately, with no deferred tax (IAS 12 paras 4A, 88B; chapter 6).

The rulebook keeps moving: FA 2026 s 50 and Sch 8. Changes include elective qualifying domestic top-up taxes; application of the IIR to permanent establishments; flow-through UPEs; deferred tax exclusions (APs ending on or after 21 July 2025); a **qualifying undertaxed profits tax** (APs beginning on or after 31 December 2025); DTT for REITs; exchange rates; **group relief payments as covered taxes**; CFC mobile income for DTT (cap at 15% of the CFC entity's adjusted profits); the **simplified calculations for non-material members**; and a 12-month extension for pre-2026 elections. **General commencement: APs beginning on or after 31 December 2025**, or from 31 December 2023 by an irrevocable "retrospection election" (FA 2026 Sch 8 para 53).

Coming next: proposed, not law. In January 2026 the OECD released the "**side-by-side**" package, designed, as its name suggests, to let some countries' own minimum tax systems operate alongside the GloBE rules. A ministerial statement (7 January 2026) said the UK would implement it through the Finance Bill 2026-27, and on **13 July 2026** the government published draft legislation (policy paper "Pillar 2: side-by-side package and further amendments to Multinational Top-up Tax and Domestic Top-up Tax"). The side-by-side measures would apply to APs beginning on or after **1 January 2026** and include elective safe harbours, one of which, according to professional commentary, would remove MTT for groups with US parents; further technical amendments would apply mainly from APs beginning on or after 31 December 2026. **Not law, and not examinable on FA 2026.**

Exam lens: Pillar Two (MTT and DTT) - Grade: Multinational Top Up Tax 3; Domestic Top Up Tax 3 (2026 grid; added at 3 for 2026; also 3 in the 2028 grid). Check the 2027 grid when published. - **Past appearances:** none, M23–M26. - **Style:** if it appears, expect a few recognition marks inside a larger group question (an acquisition taking a group over €750m; a low-tax subsidiary in a CFC question; a tax accounting tail), not a computation. - **Marks likely for:** the threshold (exceeds €750m in 2 of the previous 4 periods); which tax applies to which entity (IIR on the UK parent for overseas members, DTT on UK entities, UTPR as backstop); 15% and the territory-by-territory ETR; registration within 6 months; GIR and return at 15 months (18 for the first); the IAS 12 exception (no deferred tax; separate current tax). - **Traps:** saying every company pays 15%; attempting a full GloBE computation unasked; forgetting that a CFC charge is pushed down; stating the side-by-side package as law.

Diverted profits tax, and pay now, argue later.

Now the other half of the chapter. **DPT** was in **FA 2015 Part 3**, for accounting periods beginning on or after **1 April 2015** (s 116; straddling periods split). It had two limbs: 1. **Insufficient economic substance** (ss 80–81): a UK company (or UK PE) whose arrangements with a related party involved entities or transactions lacking economic substance, producing an effective tax mismatch. 2. **Avoided PE** (s 86, with an exception for limited UK-related sales or expenses in s 87): a non-UK company arranging its affairs to avoid a UK taxable presence.

The rate was **25%** (s 79 as enacted), set above corporation tax on purpose; for APs beginning on or after **1 April 2023** it rose to **31%** (FA 2021 s 8), six points above the new 25% main rate.

The design mattered as much as the rate. HMRC issued notices, and the company had to **pay before it could argue**; review and appeal came later (ss 101–102). The aim was plain: a group facing an immediate cash bill at a premium rate had every reason to agree its transfer pricing on the ordinary CT basis instead.

The case: *Glencore Energy UK Ltd v HMRC* [2017] EWHC 1476 (Admin). HMRC issued Glencore Energy UK Ltd with a **charging notice under FA 2015 s 95** for **£21,129,349 plus interest**, for its nine-month AP **1 April – 31 December 2015**. Glencore did not wait for the statutory review and appeal; it asked the High Court for judicial review of the notice. **Green J** (judgment 29 June 2017) **refused permission:** the statute’s own route, a review under s 101 and an appeal to the First-tier Tribunal, was an adequate alternative remedy, and judicial review is a remedy of last resort; he also refused permission on wider discretionary grounds. A separate ruling held that the High Court could not grant permission to appeal its own refusal ([2017] EWHC 1587 (Admin)). Glencore appealed. The **Court of Appeal dismissed the appeal** (*R (Glencore Energy UK Ltd) v HMRC* [2017] EWCA Civ 1716, 2 November 2017; Gloster, Sales and Singh LJ, Sales LJ giving the lead judgment): the statutory review and appeal were a suitable alternative remedy, and judicial review would be appropriate only in an exceptional case.

Glencore’s lesson is the one the design intended: **pay now, argue later**. The tax would be argued, if at all, after the money had moved.

The weakness lay elsewhere. A free-standing tax, outside corporation tax, sat awkwardly with double tax treaties and the mutual agreement procedure (MAP). That is the problem the replacement solves.

From diverted profits tax to unassessed transfer pricing profits.

FA 2026 s 46 and Sch 5 repealed FA 2015 Part 3 for **accounting periods beginning on or after 1 January 2026** (Sch 5 para 1(3)). In its place is a new **Part 4A of TIOPA 2010, ss 217A–217T** (with Sch A1 for partnerships and Lloyd’s).

Commencement in practice (real-calendar illustration, not the Tarnmoor story):

Company’s accounting period	Regime
1 January – 31 December 2026	UTPP for the whole period
1 April 2025 – 31 March 2026	DPT for the whole period; UTPP from the AP beginning 1 April 2026
1 October 2025 – 30 September 2026	DPT for the whole period, although most of it falls after 1 January 2026

Old periods keep the old tax, so an enquiry into an earlier year can still involve DPT, and an adviser must check the period before naming the charge.

Misconception: “DPT still exists.” For current periods it does not. For any AP beginning on or after 1 January 2026, the answer is **UTPP**, and on a paper examined on FA 2026, that is the name to use.

What UTPP taxes (s 217B). Profits that a **transfer pricing requirement** brings into charge but that the company has not reflected in its own return. Chapter 27 explains the TP rules themselves. The new charge has no measure of its own: it borrows the arm’s length price and taxes the gap between that price and the return. The charge is **corporation tax**, so (HMRC’s TIIN, 26 November 2025) treaties and MAP apply to it. The **UTPP rate** is the underlying CT rate **plus 6%** (s 217A(2)–(4)): **31%** where the main rate of 25% applies (HMRC, INTM489155). DPT’s separate notification requirement has not been kept.

And the avoided-PE limb? It has no direct successor in Part 4A. On this book’s reading, that work now falls to the rewritten PE definition in FA 2026 Sch 7 (CTA 2010 s 1141(1)(b): the “principal role” test for dependent agents; chapter 23). The government has not said so in exactly those words (reasoned inference).

Three gates.

UTPP is not charged at the premium rate just because a price was wrong. **Three conditions** must all be met (ss 217C–217E, with s 217D on the mismatch; HMRC, INTM489105, INTM489115–489150):

Gate	Test	HMRC guidance
1. Effective tax mismatch outcome (ETMO)	The corresponding amount (tax payable by the other party, in any period, on profits corresponding to the UTPP; may be nil) is less than 80% of the underlying CT amount (UK CT at the underlying rate on the UTPP)	INTM489130–489135
2. Tax design condition (TDC)	Reasonable to assume the arrangements were designed to reduce, eliminate or delay UK tax (income tax by withholding, or CT)	INTM489140–489145: not the same as a “main purpose” test; UTPP does not apply merely because a group moves a whole activity to a lower-tax territory; the target is separating UK economic activity from the income it produces
3. Not excepted loan relationships	The UTPP must not arise wholly from excepted loan relationship arrangements (CTA 2009 Part 5 and Part 6 deemed loan relationships, or a loan relationship with a hedging derivative under Part 7)	INTM489150: a loan inside a wider arrangement does not automatically make the outcome excepted

HMRC’s own ETMO example (INTM489135): a UK company pays £20m for services with an arm’s length price of £15m. UTPP £5m; underlying CT amount £1.25m; the overseas recipient pays £1m of tax on the £5m. **£1m is exactly 80% of £1.25m, so there is no ETMO.** HMRC adds that the test can be revisited: if the foreign tax is later refunded (for example by loss relief), the corresponding amount falls to nil and the ETMO is met.

The third gate echoes an old trap: the M23 examiners said DPT “does not apply to loan relationships”, and UTPP keeps an equivalent exception.

Worked example 30.4: the premium (labelled hypothetical, not Tarnmoor)

For this example, suppose a UK distributor in another group overpays a royalty by **£4,000,000** to a related company taxed at **5%**.

	£
UTPP (excess over arm’s length)	4,000,000
Underlying CT amount (25%)	1,000,000
Corresponding amount (5% × 4,000,000)	200,000
Ratio (200,000 ÷ 1,000,000)	20%: < 80%: ETMO met
If the TDC is also met: UTPP at 31%	1,240,000

	£
CT if the company had self-assessed the adjustment (25%)	1,000,000
Premium for not self-assessing	240,000

Worked example 30.5: Tarnmoor's provisions against the 80% gate (invented; simplified)

Counterparty territory	Local rate	÷ UK 25%	ETMO possible?
Vallaria	20%	80%	No: 80% is not less than 80%
Marrovia	9%	36%	Yes

Calder → TVS (GY3). Calder sold its process-valve customer contracts and know-how to TVS for £6.0m; the price was later raised by **£2.0m** in the transfer pricing settlement (chapter 27). UK CT on £2.0m at 25% = **£500,000**; Vallarian tax on the matching profit at 20% = **£400,000 = 80%**: no ETMO, so UTPP could not apply (simplification: Vallarian deductions for TVS's own amortisation and timing are ignored). The sale also moved a real business, which on HMRC's guidance points away from the TDC.

UK → Marrovia. A Marrovia provision would open gate 1. The only one ever proposed, **Project Undertow** (TFL's £80m perpetual notes to TCM, GY4; chapter 29), was a loan relationship (gate 3 would likely have shut UTPP out anyway, and the hybrid rules were the real problem), and the board rejected it.

Pay first, and what the examiner wants.

The procedure keeps the old pay-first design, now inside corporation tax (ss 217F–217S):

Step	Rule
Preliminary notice	By a designated HMRC officer , no later than 4 years after the end of the AP
Representations	Within 30 days (60 for transparent entities), on limited grounds
Assessment	Within 60 days of the preliminary notice (90 for transparent entities), or 30 days after a closure notice if later
Period for amendments	15 months: the company may amend its return to bring the profits into ordinary CT (not in the last 21 days); HMRC may correct or increase the assessment; no closure notice before the period ends
Payment	Pay first: postponement only for amounts equal to tax already paid on the corresponding profits (s 217K)
Appeal	Only after paying and after the period for amendments, within 30 days; the tribunal may reduce the charge to the non-UTPP rate if a condition is not met (s 217M)
No reliefs	“No relief, deduction or set-off of any description” against UTPP profits or UTPP-rate tax; no TMA s 59DA repayment claims (ss

Step	Rule
	217Q–217S)

The lesson for a tax function: **the charge is a lever, not a destination**. Correct transfer pricing in the company’s own return removes the exposure, and even after a notice, an amendment within the period brings the profits back to the ordinary rate.

Going further: the tax function’s tasks (Tarnmoor, invented)

Tarnmoor’s tax function, led in the story by Tom Hesketh, keeps two lists. - **UTPP**: every cross-border provision with a counterparty taxed at **less than 80%** of the UK rate (Marrovia; any new low-tax territory), with TP documentation (Master File and Local File, chapter 27) that supports the price **in the return**; self-assess any adjustment; brief the SAO and the audit committee on open positions. - **Pillar Two**: collect GloBE data from every entity well before the 15-month deadline; decide each year, territory by territory, whether a safe harbour election is available and wanted (remembering “once out, always out”); reconcile the CFC charge with the top-up so the s 179 push-down is applied once and within its cap; estimate the top-up for the accounts (separate current tax; no deferred tax) and the half-year disclosures; monitor the side-by-side legislation (proposed). - **Interaction**: transfer pricing (27) is the trigger for UTPP; the CFC charge (26) feeds the Marrovia ETR; deferred tax (6) excludes Pillar Two; the PE rewrite (23) replaces the avoided-PE limb.

How the examiner tests it. These topics are **awareness, grade 3**. None was examined M23–M26. At awareness level the marks go to recognition: a sentence or two showing the rule exists and when it applies.

DPT has a history on this paper, as a **trap**. After **M23 Q3** (15 marks: a loan from a US company that might take 60% control; TP, CIR, withholding), the examiners reported that “time was wasted on DPT, which does not apply to loan relationships”. After **N23 Q1** (20 marks: residence and a CFC finance company) they noted that some candidates “strayed into DPT and CIR”. The same discipline holds now: for any period beginning on or after 1 January 2026, say **UTPP, not DPT**; and do not raise it unless the question gives you a low-taxed related party, a pricing problem and a hint of design.

Exam lens: DPT and UTPP - Grade: Diverted Profits Tax **3** (2026 grid; moved from 2 in the draft 2025 grid; still 3 in the 2028 grid). The grid row says DPT; for FA 2026 periods the regime is UTPP. Check the 2027 grid’s wording. - **Past appearances:** never the subject of a question M23–M26; penalised as irrelevant in M23 Q3 and N23 Q1. - **Style:** recognition in a TP question: “the profits could be within UTPP at 31% if the 80% and design conditions are met; correct self-assessment avoids it”. - **Traps:** calling it DPT for current periods; raising it for loans (excepted loan relationships); forgetting it is now **corporation tax** (treaties and MAP apply); quoting 25% (DPT’s original rate) instead of CT rate + 6%; ignoring the commencement date (“beginning on or after 1 January 2026”).

What to take away.

Pillar Two puts a **15%** floor under the profits of large multinational groups, measured **territory by territory**. More than 135 countries agreed it in October 2021, and the UK enacted it in **F(No.2)A 2023 Parts 3–4**.

Multinational top-up tax, from 31 December 2023, makes a UK parent pay top-up on low-taxed members abroad through the **income inclusion rule**, with the **undertaxed profits rule** as backstop from 31 December 2024. **Domestic top-up tax** collects any top-up on UK profits first.

A group is in if consolidated revenue **exceeds €750m in at least two of the previous four periods** (s 129). The statute says “exceeds”; some HMRC guidance says “or more”.

ETR = covered taxes ÷ GloBE income for each territory; **top-up percentage = 15% – ETR**, applied to profit after the **substance-based income exclusion**.

In our invented case, Marrovia’s 9% plus the pushed-down CFC charge of **£204,000** gives **13.0%** on **£5.1m** in GY5; TPLC pays **£102,000** of MTT; everything together is exactly 15%.

The **transitional CbCR safe harbour** runs out with periods commencing in 2026, when its simplified ETR test is **17%**; once out, always out.

Register within **6 months** of the end of the first qualifying AP; file the GIR and UK return within **15 months** (18 for the first). The **side-by-side package is proposed, not law**.

DPT ran from 1 April 2015 at **25%**, later **31%**, with a pay-now, argue-later design that survived the *Glencore* challenge. For APs beginning on or after **1 January 2026** it is repealed. **UTPP** is charged as **corporation tax at 31%** (main rate + 6%), through three gates: the other party’s tax is **under 80%** of the UK tax; the **tax design condition** is met; the profits do not arise wholly from **excepted loan relationships**. Pay first; no reliefs; correct pricing in the return removes the charge.

So, **who collects the difference?** The country where the profit arises, if it chooses to; then the parent’s country; then everyone else. **And what stops profit leaving through mispricing?** Transfer pricing, backed now by a premium rate of corporation tax that a group can avoid simply by getting the price right.

Next, Part Five puts it all together: chapter 31 follows a single deal, Tarnmoor’s purchase of Ridgeway from Jess Hartley, through every rule in this book.

Key rules and figures

Rule	Figure or test	Reference
Pillar Two agreement	October 2021; more than 135 countries; 15%	GOV.UK Pillar 2 collection
MTT (IIR)	APs commencing on or after 31 December 2023	F(No.2)A 2023 Part 3; s 264
UTPR	APs commencing on or after 31 December 2024	F(No.2)A 2023 ss 229A–229J; FA 2025 Sch 4
DTT (UK QDMTT)	APs commencing on or after 31 December 2023	F(No.2)A 2023 Part 4
Threshold	Revenue exceeds €750m in ≥ 2 of the previous 4 APs (pro-rated); UK member	s 129 (HMRC guidance: “or more”)
ETR and top-up %	Covered taxes ÷ GloBE income, per territory; top-up % = 15% – ETR, on excess	Part 3; MTT01100, MTT32000

Rule	Figure or test	Reference
	profit after SBIE	
CFC push-down	Parent's CFC tax allocated to the CFC; mobile income cap $(15\% - \text{ETR}) \times \text{income}$	s 179
Transitional CbCR safe harbour	APs commencing $\leq 31 \text{ Dec } 2026$, ending $\leq 30 \text{ June } 2028$; de minimis $< \text{€}10\text{m} / < \text{€}1\text{m}$; simplified ETR 15% / 16% / 17% ; routine profits; once out, always out	Sch 16 Part 2
UTPR transitional safe harbour	UPE territory nominal rate $\geq 20\%$; AP commencing $\leq 31 \text{ Dec } 2025$, ending $< 31 \text{ Dec } 2026$, ≤ 12 months	Sch 16 para 12A
Registration	Within 6 months after the end of the first qualifying AP	Sch 14 para 6
GIR / UK return	15 months; 18 for the first; floor 30 June 2026	Sch 14 paras 10, 13
FA 2026 changes	APs beginning on or after 31 December 2025 (retrospection election)	FA 2026 s 50, Sch 8
Side-by-side package	Draft FB 2026-27 (13 July 2026): proposed, not law	—
Accounts	No deferred tax for Pillar Two; separate current tax	IAS 12 paras 4A, 88A–88D
DPT	APs from 1 April 2015; 25%; 31% from APs beginning 1 April 2023; repealed for APs beginning on or after 1 January 2026	FA 2015 Part 3; FA 2021 s 8; FA 2026 s 46, Sch 5
UTPP rate	Underlying CT rate + 6% (31% at main rate)	TIOPA 2010 s 217A
UTPP conditions	ETMO ($< 80\%$); TDC; not wholly excepted loan relationships	ss 217C–217E; INTM489105, INTM489130–489150
UTPP procedure	Preliminary notice ≤ 4 years; 30 days; assessment ≤ 60 days; 15-month amendment period; pay first; no reliefs	ss 217F–217S
Tarnmoor GY5 (invented)	Marrovia ETR 13.0%; MTT £102,000 (TPLC); due 31 March GY7	—
Tarnmoor GY1–GY4 (invented)	Marrovia ETR 13.0%; MTT £66,000 a year	—
Tarnmoor UTPP (invented)	Vallaria 20% = 80% of 25%: no ETMO; Marrovia 36%	—

Statutory and case references

- **F(No.2)A 2023** Part 3 (ss 121–264): s 129 (qualifying groups), s 179 (CFC tax push-down), Ch 9A ss 229A–229J (UTPR, inserted by FA 2025 Sch 4), s 264 (commencement); Part 4 (s 265 ff, DTT); Sch 14 paras 6, 10, 13; Sch 16 Part 2 paras 2A, 3, 7–9, 12A; Sch 16A Parts 1 and 3.
- **FA 2025** Sch 4 (UTPR; para 52, 30 June 2026 floor).

- **FA 2026** s 46 and Sch 5 (DPT repealed; TIOPA Part 4A); s 50 and Sch 8 (Pillar Two amendments; para 53 commencement); Sch 7 (PE definition, CTA 2010 s 1141).
- **FA 2015** Part 3: ss 79 (rate), 80–81, 86–87, 95 (charging notice), 101–102 (review and appeal), 116 (commencement). **FA 2021** s 8 (31%).
- **TIOPA 2010** Part 4A, ss 217A–217T (s 217A rate; s 217B UTPP; ss 217C–217E conditions; ss 217F–217L procedure; s 217K payment; s 217M appeal; ss 217Q–217S no reliefs).
- **IAS 12** *Income Taxes* paras 4A, 88A–88D (*International Tax Reform: Pillar Two Model Rules*, 23 May 2023).
- *Glencore Energy UK Ltd v HMRC* [2017] EWHC 1476 (Admin) (Green J, 29 June 2017); [2017] EWHC 1587 (Admin); *R (Glencore Energy UK Ltd) v HMRC* [2017] EWCA Civ 1716 (2 November 2017; appeal dismissed).
- HMRC manuals: MTT01100, MTT01200, MTT15110, MTT15120, MTT32000–MTT32030; INTM489105, INTM489115, INTM489120, INTM489125, INTM489130, INTM489135, INTM489140, INTM489145, INTM489150, INTM489155, INTM489215.
- GOV.UK: “Domestic Top-up Tax and Multinational Top-up Tax: detailed information” (collection); “Check if you need to report Pillar 2 top-up taxes”; “How to report Pillar 2 top-up taxes”; “Pay Pillar 2 top-up taxes”; TIIN “Reform of UK law in relation to transfer pricing, permanent establishment and Diverted Profits Tax” (26 November 2025); policy paper on the side-by-side package (13 July 2026).

Part Five: Putting It Together.

Chapter 31: The Ridgeway deal.

Completion day.

On **1 April**, some years after the events of the last thirty chapters, Tarnmoor plc (TPLC) bought a bicycle company. The price was **£4.5m** in cash. The seller was Jess Hartley; the company was **Ridgeway Holdings Ltd (RH)**, the parent of **Ridgeway Cycles Ltd (RC)**. Our invented group, Tarnmoor, its people and its numbers are invented for teaching, as they have been throughout this book. So is Jess, whose story *The Living Law* (TKS) told. Ireland, which will matter later, is real, as are its 12.5% trading rate and the UK–Ireland treaty.

By Tarnmoor’s standards it was a small deal. Tarnmoor’s revenue runs to more than £1bn a year; Ridgeway’s taxable profit is about £600,000. Yet when Tom Hesketh, the group head of tax, opened the file that morning, the list of tax points ran to two pages. That is the question for this chapter: **why does a small acquisition by a large group touch almost every rule in this book, and how do you find them all, in order, without missing the ones that carry marks?**

This is chapter 31, the first chapter of Part Five. It is the capstone. It teaches **no new rule**: every rule it uses was taught earlier, and each time the owning chapter is named. What it adds is the **method, the order and the interactions**: what the LCG syllabus narrative calls the interaction of taxes and corporate transformations, and the way most 20-mark questions are built. It also closes the last open thread of *The Living Law*: the election Jess never made for her Dublin showroom.

Statutes: Corporation Tax Act 2009 (**CTA 2009**), Corporation Tax Act 2010 (**CTA 2010**), Taxation (International and Other Provisions) Act 2010 (**TIOPA 2010**), Taxation of Chargeable Gains Act 1992 (**TCGA 1992**), and the Corporation Tax (Instalment Payments) Regulations 1998 (SI 1998/3175). As always, the numbers apply the law for **FY2026** (Finance Act 2026), whatever year the story has reached.

Story time. The Ridgeway year is “some years later”: after GY7, not numbered. In this chapter **RY** means the Ridgeway year, and RC’s accounting periods are **AP1** (1 April RY – 31 March RY+1), **AP2** (1 April RY+1 – 31 March RY+2) and **AP3** (1 April RY+2 – 31 March RY+3). No calendar year is attached to any of them.

The road to Ridgeway.

The Living Law followed Jess Hartley from a cycle business she ran herself, through incorporation and a holding company structure, to a group of two companies: **RH owns 100% of RC**, and Jess owns 100% of RH, with a **base cost of £162,000**. Along the way the group bought and later sold Wharfe Wheels (TKS chapter 24). RC opened a second unit in Skipton, and then a **showroom in Dublin**.

The Dublin showroom is a **branch**: a permanent establishment (PE) of RC in Ireland, not a separate company. *The Living Law*, chapter 26, gave its results:

Branch year	Result (£)	Treatment (no election)
Year 1	(80,000)	Loss relieved against RC's UK profits at once
Year 2	(30,000)	Loss relieved against RC's UK profits at once
Year 3	120,000	Taxed in the UK with credit for Irish tax
Year 4	200,000	Irish tax at 12.5%: £25,000; UK CT with credit

Jess never made the s 18A CTA 2009 election; *The Living Law*, chapter 26, left the question open. *The Living Law*, chapter 31, imagined a **hypothetical £4m offer** for the group “if a buyer came back tomorrow”; no sale happened. This is the real sale, at its own price: **£4.5m**.

RC today (invented). UK trading profit about **£400,000** a year; Dublin branch profit about **£200,000**. RC's year ends **31 March**, so the deal falls on the **first day of an AP** (a change of owner never ends an AP by itself: CTA 2009 s 10). That simplifies several timing tests below.

Worked example 31.1: RC's corporation tax before the deal (invented; £)

	£
UK trading profit	400,000
Dublin branch profit (part of RC's trading profit; no election)	200,000
TTP	600,000
CT at 25% (main rate: far above the upper limit)	150,000
Less DTR: lower of Irish tax £25,000 and UK tax on the branch profit £50,000 (TIOPA 2010 s 42)	(25,000)
CT payable	125,000
Total tax, Ireland + UK	150,000

The seller's side, in one paragraph. Jess is an individual selling shares. Her gain before costs is £4,500,000 – £162,000 = **£4,338,000**, charged to capital gains tax, with business asset disposal relief if she still meets its conditions (*The Living Law*, chapters 18 and 31). No corporation tax, no SSE, nothing for the buyer to compute. **LCG does not examine it:** note it in one line and move on.

Walking every floor.

An Advanced Technical question is a **building inspection**. A good surveyor does not wander the house looking at whatever catches the eye: she walks **every floor, in the same order, with the same checklist**, and records what she finds on each, including the floors where she finds nothing. The checklist is what stops her missing the damp in the cellar while admiring the roof.

Tom's checklist for a share acquisition (the order this chapter follows):

Floor	Questions	Owning chapters
1. The transaction	Stamp duty (and SDLT?); buyer's costs (<i>Centrica</i> line); tax deed and diligence; VAT signpost	13, 20, 21
2. The target's history	Trading losses (Part 14); capital losses (Sch 7A); past intra-group transfers (degrouching); open enquiries	14, 17, 20
3. Thresholds	Associated companies (two timings); QIP status (large / very large / grace); knock-on for every group company	1, 3
4. Group regimes	Group relief from joining; deductions allowance nomination; shared AIA; R&D status	8, 10, 14, 15
5. Governance and compliance	SAO; tax strategy; UTT; CCO; TP (SME exemption lost); CbC, master and local file; enquiry window; GPA; CIR; Pillar Two	3, 4, 27, 28, 30
6. Special features	Here: the foreign branch (s 18A election; s 140; transfer to TIL; CFC)	25, 26
7. The accounts	Deferred tax on fair value uplifts in the consolidation	6
8. People	Retention terms; deductibility and timing (s 1288); who pays	7, 20
9. Recommendation	Where asked: name the option and the main reason	25, 32

Two exam rules shape the walk. After the N25 and M26 sittings the chief examiner explained that “tax consequences” means **every tax in the syllabus**, including stamp duty and SDLT; a **named** tax means only that tax. And **excluded means excluded**: if the question says ignore TP, a paragraph on it earns nothing (chapter 32).

Misconception: “a small acquisition is a small tax job.” It is not. The size of the target barely matters; the size of the group it joins decides the compliance load. RC goes from a two-company family business to a member of a listed group of **eleven** companies that count as associated, a **worldwide group** for the CIR, an **MNE group** for Pillar Two, a group with no **TP SME exemption** and a group with an **SAO**. Almost every compliance setting changes on completion day, and some change a year later. The tax on RC's profits hardly moves; everything around it does.

The price of the paper.

Stamp duty (chapter 21). TPLC buys shares, so the charge is stamp duty on the stock transfer form: **0.5%**, rounded **up** to the nearest £5, payable by the **buyer**; the instrument must be presented for stamping **within 30 days** of execution, or interest and penalties run.

Worked example 31.2: stamp duty (invented)

$£4,500,000 \times 0.5\% = \text{£}22,500$ (a multiple of £5: no rounding). Payable by TPLC. Cash consideration only: no contingent element, so no “stated maximum” question (chapter 21).

- **No SDLT:** RC’s Skipton property stays inside RC; only shares change hands.
- **No stamp duty group relief** (FA 1930 s 42): the transferor is an individual, and relief needs a 75% relationship between transferor and transferee.
- **Base cost:** the £22,500 is an incidental cost of acquisition (TCGA 1992 s 38), not deductible for CT. TPLC’s base cost in RH is £4,522,500. It will rarely matter: after 12 months a later sale should be within the **SSE** (TCGA 1992 Sch 7AC; chapter 18).

TPLC’s other costs follow the line chapter 13 drew for Calder after *Centrica Overseas Holdings Ltd v HMRC* [2024] UKSC 25: costs of appraising whether to invest at all can be management expenses; once the board decides to acquire this target, the costs of acquiring it are **capital** (CTA 2009 s 1219(3)(a)). **HMRC’s view** (CTM08190, CTM08260) puts the boundary, at the earliest, at the decision to acquire a particular target. Tom asks for the date of the board decision, because the invoices fall either side of it.

The contract (chapter 20). A buyer of shares inherits the company’s past, so tax that belongs to Jess’s years must stay Jess’s. Tarnmoor’s diligence looks hardest at: 1. **Branch attribution:** the profit RC has attributed to Dublin; Irish and UK figures must agree. 2. **Payroll:** employment taxes are where owner-managed companies most often slip. 3. **Returns and enquiries:** nothing open with HMRC.

The **tax deed** makes Jess liable for tax arising from pre-completion periods, with payments treated as a reduction in the price.

VAT (outside LCG): RC might join Tarnmoor’s VAT group; a decision for another adviser.

Exam lens: the transaction - Grades: stamp duty on stocks and shares **3** (awareness); companies with investment business (deal costs) **1**. - **Past appearances:** **N24 Q5** gave **3** of its 20 marks to stamp duty on a share purchase (0.5%, 30 days, buyer pays); **M23 Q6** (10 marks) was entirely acquisition costs. - **Traps:** deducting stamp duty; charging SDLT on a share purchase; giving stamp duty group relief on a purchase from an individual; missing stamp duty altogether when “tax consequences” are asked (chapter 32).

Counting the family again.

The third floor is where most candidates lose marks. **Associated companies** (chapter 3; CTA 2010 s 18E): one controls the other, or both are under common control; overseas companies count; a company carrying on no trade or business is ignored.

Is RH a passive holding company? (CTA 2010 s 18F.) RH controls RC, so it would count. But s 18F treats certain holding companies as carrying on no business, so they are ignored under s 18E(3). The company must:

Condition (s 18F)	RH (invented facts)
Carry on a business of making investments, and no trade	Yes: it only holds the RC shares

Condition (s 18F)	RH (invented facts)
Have one or more 51% subsidiaries	Yes: RC (100%)
Be passive throughout the AP: no assets other than shares in its 51% subsidiaries	Yes, provided it holds no cash and makes no loans
...and no income other than dividends which it redistributes to its shareholders (the redistribution condition)	Yes, provided any dividend from RC is paid straight up to TPLC in the same period

In our invented case RH meets the conditions. The integration plan therefore says: RH keeps no bank balance, lends nothing, and passes on any dividend in the same period. Break any of those and RH starts to count.

Tarnmoor's companies that count (after the Tarnwater demerger, the sale of TAL and the strike-off of dormant Tarnmoor Pumps): TPLC, TEL, CVE, TES, TFL, BSL, HEL, TVS, TCM, TIL = **10**. RC makes **11**.

The two timings (chapter 3):

Purpose	When associates count	Authority
Small profits rate and marginal relief	Associated at any time in the AP	CTA 2010 s 18E; CTM03580
QIP thresholds (£1.5m large, £20m very large, £10m grace limit)	As at the day before the AP begins	HMRC's reading of SI 1998/3175 reg 3: CTM92530, COM95001

Worked example 31.3: RC's instalment status, AP1 to AP3 (invented; HMRC's counting dates)

	AP1	AP2	AP3
Associates for marginal relief (divisor)	10 (11): limits £4,545 / £22,727	10 (11)	10 (11)
QIP counting date	31 March RY (owned via RH, passive; Jess owns no other company that counts)	31 March RY+1	31 March RY+2
QIP divisor	1	11	11
Large threshold (£)	1,500,000	136,364	136,364
Very large threshold (£)	20,000,000	1,818,182	1,818,182
Grace limit £10m ÷ divisor (£)	10,000,000	909,091	909,091
Augmented profits (forecast) (£)	600,000	400,000 (after the election)	400,000
Large?	No	Yes, but grace: not large in the previous 12 months and profits ≤ £909,091 (reg 3(5))	Yes: large in AP2, and the grace year counts as a year of being large
Payment	9 months and 1 day after the AP: 1 January RY+2	1 January RY+3	QIPs: $3/12 \times CT \approx £100,000 = 4 \times £25,000$ in months 7, 10, 13, 16 (14 October RY+2; 14 January, 14 April, 14 July RY+3)

The marginal relief divisor changes nothing in practice: RC's profits were already far above the upper limit, so it already paid at 25%. (Checked in Python: $1,500,000/11 = 136,363.6$; $20,000,000/11 = 1,818,181.8$; $10,000,000/11 = 909,090.9$.)

Status of the AP3 conclusion. CTM92530 states the grace test (profits $\leq$ £10m, divided, and not large in the previous 12 months, reg 3(5)); HMRC's manual and practitioners' worked examples treat the grace year as a year in which the company **was** large, so the grace is available only once. The regulation's current text was not opened for this book: cite reg 3(5) and HMRC's reading.

The ripple through the group. For their AP containing 1 April RY, Tarnmoor's 31 December companies have **11** associates for marginal relief (RC is associated for part of the AP). For QIPs their count changes only from the AP beginning the following **1 January**: divisor 11, large £136,364, very large £1,818,182. A £600,000 business has moved every instalment threshold in the group.

Exam lens: thresholds - Grades: calculation of liability **1**; administration and payment of tax **1**. - **Past appearances:** N24 Q5 gave **4** marks to filing and instalments for a newly acquired company. - **Traps:** one timing for both purposes; counting a passive holding company or a dormant company; forgetting that overseas companies count; giving a very large company a year of grace (there is none: CTM92520, CTM92800); forgetting that the £10m grace limit is divided too. - **Layout:** a short table per AP: counting date, divisor, thresholds, status, payment dates.

What the shares bring with them.

The target's history (floor 2) is short here, and a nil answer with a reason still scores.

- **Trading losses:** none. The Dublin losses were relieved long ago against RC's own profits. CTA 2010 Part 14 (chapter 14's Brackenwell analysis) has nothing to restrict.
- **Capital losses:** none, so the pre-entry loss rules (TCGA 1992 Sch 7A; chapter 17) are silent.
- **Degrouping:** if RH and RC had moved an asset between them at no gain, no loss within the last six years, s 179 would be the worry. It is not: they leave Jess's ownership **together**, RC remaining RH's subsidiary throughout (the "associated companies leaving together" exception, s 179(2), Condition B), and RH's group becomes part of Tarnmoor's (s 170(10)). Chapter 17.

Group regimes switch on (floor 4).

Regime	What happens	Authority (chapter)
Group relief	RC and RH join TPLC's group relief group on completion (1 April RY); no relief before then. RC's AP (to 31 March) and the 31 December companies' APs overlap only partly: relief is limited by the overlapping period on each side. The same arrangements analysis as chapter 15 applies to the heads of terms with Jess: group relief with Tarnmoor companies starts only on completion	CTA 2010 ss 139–142, 154 (15)

Regime	What happens	Authority (chapter)
Deductions allowance	RH and RC countersign TPLC's standing nomination ; RC has no losses, so nothing turns on it now, but a company left out gets no allowance	CTA 2010 ss 269ZR ff (14)
AIA	One £1m for all members' chargeable periods ending in the same financial year to 31 March (parent test at the end of each period). RC's AP1 ends 31 March RY+1; it shares the allowance with the 31 December RY periods of Tarnmoor's companies, which ended nine months earlier. RC gets whatever the group allocates	CAA 2001 s 51C; Interpretation Act 1978 (8)
R&D	RC is now linked to a large enterprise: not an SME for any purpose. Any claim is under the merged scheme's expenditure credit (20%, taxable, set against the liability); ERIS is out of reach; HMRC's view is that a company taken over is large for the whole AP of the takeover (here the AP begins on completion anyway)	CTA 2009 Part 13; CIRD92000 (10)

Exam lens: target history and group regimes - Grades: use of losses **1**; groups and companies leaving groups **1**; group relief **1**; R&D **1**; capital allowances **1**. - **Traps:** restricting losses that do not exist; missing the overlapping-period limit on group relief for non-coterminous APs; treating RC as still an SME for R&D.

The compliance settings change.

Floor 5 is the one candidates under-sell. **N24 Q5** (20 marks) set exactly this scenario: a US multinational bought a UK SME, and candidates had to explain its new obligations. The marking guide gave **6.5** marks to transfer pricing alone.

Setting	RC and RH after completion	Authority (chapter)
Transfer pricing	In Jess's hands RC was a small enterprise: TP did not apply (TIOPA 2010 s 166). Size is measured across linked enterprises ; linked to Tarnmoor, RC is large: TP applies from completion . Dealings with UK group companies are within the UK-to-UK exemption (s 164A; chargeable periods beginning on or after 1 January 2026), but s 164A does not apply to activities in relation to which s 18A exemption adjustments are made (below)	TIOPA 2010 ss 164A, 166, 172 (27)

Setting	RC and RH after completion	Authority (chapter)
CbC, master file, local file	RC enters TPLC's CbC report and master file; the Dublin PE's figures appear under Ireland; local file for material cross-border dealings	SI 2016/237; SI 2023/818 (27)
SAO	Turns on UK incorporation (both are English). A company qualifies for a financial year only if it was a group member at the end of its preceding financial year. RC's previous FY ended 31 March RY, the day before completion: first SAO year = AP2 (1 April RY+1 – 31 March RY+2); Nadia Kerr's certificate due 9 months after that FY (31 December RY+2). Same for RH	FA 2009 Sch 46; SAOG11260 (4)
Tax strategy	Covered by TPLC's published group strategy (published by 31 December each year)	FA 2016 Sch 19 (4)
UTT	RC and RH are members of a 51% group above the £200m UK turnover test: notify uncertain treatments over the £5m threshold in their returns (unlikely at this size, but the question must be asked)	FA 2022 Sch 17 (4)
CCO	Tarnmoor's reasonable prevention procedures must now reach the Dublin showroom, whose staff are associated persons of RC; the foreign tax evasion facilitation offence (s 46) is the relevant one	Criminal Finances Act 2017 ss 45–46 (4)
Enquiry window	Member of a group that is not small: 12 months from the filing date	FA 1998 Sch 18 para 24 (3)
GPA	Requires the same accounting date: RC (31 March) cannot join Tarnmoor's group payment arrangement until it moves to 31 December (Calder joined only after its move, GY4)	TMA 1970 s 59F (3)
CIR	RC and RH join the worldwide group . Under the FA 2026 rules (periods of account ending on or after 31 March 2026) TPLC must be appointed reporting company for each period by more than half of the eligible UK companies: RC and RH are now two of them. Tarnmoor still carries disallowed interest forward from earlier years, so interest capacity has value; RC's taxable profits add to aggregate tax-EBITDA	TIOPA 2010 Part 10; Sch 7A para 1 (FA 2026 s 61) (28)
Pillar Two	Revenue far above €750m: RH and RC are constituent entities at once; DTT covers UK entities; the Dublin PE is treated as a separate constituent entity located in Ireland	F(No.2)A 2023 Parts 3–4 (30)

Exam lens: joining a large group - Grades: SAO 1; tax strategy 1; CCO 1; UTT 3; TP 1; CIR 1; MTT/DTT 3. - **N24 Q5 (20 marks)** marking guide (as recorded in chapter 20): filing and instalments 4, CbC 3, TP 6.5 (SME exemption lost; master and local file), CIR 3.5 (probably no restriction, but file to protect the position; reporting company; abbreviated return), stamp duty 3. The examiners reported that most candidates found TP, but some wrote at length on it and ignored easier points, and some raised hybrids with nothing in the question to trigger them. - **Traps:** the SAO year of joining (the test looks at the end of the **preceding** FY); assuming UK-to-UK TP applies (s 164A) or, conversely, forgetting its carve-outs; applying the SAO to a company because it is UK resident rather than UK incorporated.

The Dublin question.

Floor 6 is the one Jess left unfinished. Chapter 25 owns the rules; three options are on the table:

1. **Elect** under CTA 2009 s 18A;
2. **Incorporate** the branch into a new Irish subsidiary of RC (TCGA 1992 s 140);
3. **Transfer** the branch to Tarnmoor Ireland Ltd (TIL).

The election (s 18A). Once it takes effect, exemption adjustments remove the profits **and losses** of **every** foreign PE of the company. The branch’s profit is measured as the **UK–Ireland treaty’s** business profits article would attribute it (Ireland is a full treaty territory: s 18R). Irish tax on exempt profits is **not creditable** (TIOPA 2010 s 18(3A)).

Feature	Rule	Authority
Scope	All foreign PEs of the company, present and future, in every country	s 18A
Start	The relevant day : the start of the company’s next AP after the election is made	s 18F(1)–(2); INTM281020
Revocation	Possible only before the relevant day; afterwards irrevocable (ends only if the company ceases to be UK resident)	s 18F(6)–(8)
Guard rail	Profits that would pass the CFC gateway are not exempt unless a CFC entity exemption (as adapted) applies	ss 18G–18I
Transition	Opening negative amount : 6-year look-back	ss 18J–18N; INTM284020–284040

The opening negative amount. A company cannot take UK relief for branch losses and then elect just as the branch turns profitable. HMRC’s guidance (INTM284020): look back over the **6 years** before the first AP the election covers; net PE losses **not matched by subsequent profits** in that period form the total opening negative amount, however the losses were relieved (sideways, carried back or group relief). Until it is matched by later PE profits, those profits are not exempt (INTM284030).

Worked example 31.4: RC’s look-back (invented; £)

Branch year	Result	Cumulative
Year 1	(80,000)	(80,000)
Year 2	(30,000)	(110,000)
Year 3	120,000	10,000
Year 4	200,000	210,000
Later years (about £200,000 a year)	profits	rising

The £110,000 of losses was matched within the next year, with £10,000 to spare, and every year since has been profitable. **Whatever the 6-year window ending 31 March RY+1 catches, the net result inside it is a profit: no opening negative amount.** (If the window no longer reaches Years 1–2, it contains only profits; if it does, the later profits match them.) No streaming election is needed: there is only one territory.

Worked example 31.5: RC with and without the election, a full year from AP2 (invented; £)

	No election	Election
UK trading profit	400,000	400,000
Dublin branch profit	200,000	exempt (s 18A)
TTP	600,000	400,000
CT at 25%	150,000	100,000
DTR (Irish tax; s 42 limit £50,000)	(25,000)	none: s 18(3A)
UK CT	125,000	100,000
Irish tax at 12.5%	25,000	25,000
Total tax	150,000	125,000
Saving before interactions		25,000

Test the £25,000 against the rest of the building. A capstone answer checks each interaction:

1. **CIR** (chapter 28). Tax-EBITDA is built from the company's taxable profits, so once the branch is exempt its £200,000 leaves RC's taxable profits and the group's aggregate tax-EBITDA (this book's reading of TIOPA 2010 s 406: exempt PE profits never enter TTP). At 30% that is **£60,000** of interest capacity. If the group is restricted, or is still reactivating disallowed interest brought forward, that capacity is worth up to **£15,000** of tax (£60,000 × 25%); if the group has capacity to spare, nothing.
2. **Pillar Two** (chapter 30). Without the election, the UK CT on the branch profit is allocated to the PE under the GloBE rules' allocation of covered taxes (OECD Model Rules Art 4.3.2, as implemented; secondary sources), so the PE bears tax at the UK rate. With the election, it bears only Ireland's 12.5%, below 15%. On a **simplified** view (no substance-based income exclusion; the PE blended with TIL in the Irish computation at the same rate): $(15\% - 12.5\%) \times £200,000 = \text{up to } £5,000$ a year of top-up. Who collects it depends on **Irish law, which this book does not teach**; either way it is a group cost.

3. **TP** (chapter 27). s 164A does not apply to activities for which s 18A exemption adjustments are made: if TPLC charges RC for services used in Dublin, that charge must be at arm's length.
4. **The guard rail** (ss 18G–18I). A retail showroom is far from the anti-diversion rule; its profits are also within the low profits exemption (£500,000, non-trading income ≤ £50,000) that s 18I borrows from the CFC code.
5. **Attribution** (chapters 23–24). Without the election, the split between Skipton and Dublin only moved the credit around; with it, every pound attributed to Dublin is taxed at 12.5%, not 25%. HMRC will test the split: document it on arm's length principles.

Election: net annual effect (£)	Best case	Worst case
UK CT saved	25,000	25,000
Lost interest capacity (60,000 × 25%)	—	(15,000)
Pillar Two top-up (simplified)	—	(5,000)
Net saving	25,000	5,000

The election never costs money on these facts while the branch is profitable; its real price is the loss of UK relief for **any future** branch loss of RC, anywhere.

Two other doors.

Option 2: incorporate under TCGA 1992 s 140 (chapter 25).

s 140 condition	RC → new Irish subsidiary
UK resident company carrying on a trade outside the UK through a PE	Yes
Transfers the trade with all its assets, or all except cash	Can be arranged
To a non-UK resident company	Only if the new company is genuinely managed and controlled in Ireland (chapter 22): decisions taken in Leeds would make it UK resident and the relief would fail
Consideration wholly or partly securities	Shares issued to RC
Transferor holds ≥ 25% of the ordinary share capital	100%
Result	Net gain postponed × securities ÷ total consideration; crystallises if RC disposes of the shares, or the subsidiary disposes of the assets within 6 years

Postponement is all it gives. The branch's goodwill and customer relationships are intangible fixed assets, dealt with under CTA 2009 Part 8 (chapter 11), not the gains rules; its plant leaves RC's pools with balancing adjustments (chapter 8).

Worked example 31.6: the new subsidiary through the CFC order of attack (labelled alternative, not story)

Step	Analysis	Result
CFC?	Non-UK resident company controlled by UK persons (RC, TPLC)	Yes

Step	Analysis	Result
Exempt period	Not relevant (a new company, not a newly acquired one)	—
Excluded territories (Ch 11)	Ireland's place on the SI 2012/3024 list was not confirmed for this book (secondary sources report Ireland was removed from the pre-2013 list in 2002): do not rely on it	Not relied on
Low profits (Ch 12)	Profits about £200,000 ≤ £500,000; non-trading income ≤ £50,000	Exempt: stop
(For completeness) Low profit margin (Ch 13)	A retailer's margin over relevant operating expenditure is likely above 10%	Not needed
(For completeness) Tax exemption (Ch 14)	Irish tax 12.5% < 75% × 25% = 18.75%	Fails
If the showroom grew beyond the low profits limit	Trading profits gateway (Ch 4): where are the significant people functions? The safe harbour's export-of-UK-goods condition needs a careful look, since the showroom sells bicycles made in Skipton	Analyse then

TIOPA 2010 Part 9A: ss 371LB (low profits), 371NB (tax exemption); chapter 26.

So the subsidiary reaches the **same 12.5%** as the elected branch by a longer road: a transfer, a new company, residence management, **TP on every bicycle Skipton sells to Dublin** (RC is no longer an SME), an annual CFC review, and Irish rules on dividends paid to a UK parent (not taught here). Its one advantage is that RC stays free of an irrevocable election.

Option 3: transfer the branch to TIL.

- **s 140 fails:** if RC took new TIL shares, it would hold a tiny fraction of a much larger company, far below **25%**; cash consideration fails the securities condition anyway.
- **No s 171 no gain, no loss:** TIL has been non-UK resident since 30 June GY4 (chapter 22); the Dublin assets would not be chargeable assets in its hands (s 171(1A)).
- **Intangibles:** a cross-border related-party transfer is at an **arm's length** value (FA 2026 Sch 6; chapter 11), so realisation credits arise now.
- Commercially, it moves a bicycle showroom into a valve distributor. **Reject.**

EU-derived relief. Ireland, unlike the invented Vallaria of chapter 25, is a member State, so **TCGA 1992 s 140C** (transfer of a PE business in a member State to a company resident in a member State) is at least in view. Chapter 25 explained that its post-Brexit wording was not confirmed (non-core, grade 2). Tom does not rely on it.

Worked example 31.7: the three options side by side (invented)

	(1) Elect	(2) Irish subsidiary (s 140)	(3) Transfer to TIL
Rate on Dublin profits	12.5% (Irish only)	12.5% (Irish only)	12.5%

	(1) Elect	(2) Irish subsidiary (s 140)	(3) Transfer to TIL
One-off UK tax	None	Gains postponed; IFA credits and CA balancing adjustments	Gains and IFA credits now
Annual saving v today	£25,000 (less interactions: £5,000–£25,000 net)	Similar, less running costs	Similar, after an up-front charge
Future branch losses of RC	No UK relief, anywhere	RC unaffected; subsidiary's losses stay in Ireland	—
Extra compliance	Attribution file	New company; CMC; TP; CFC review	TP; CFC position of TIL
Reversible?	No (after the relevant day)	Sell or liquidate	—
Verdict	Recommended	Viable, longer road	Rejected

Exam lens: the branch - Grade: core (1): “Company residence and chargeable profits of non-UK resident companies and concept of permanent establishment/branch”; CFCs **1**; ss 140A–140L non-core (2). - **Past appearances:** **M23 Q2** (15: stay non-exempt, elect or incorporate; recommend; “Some failed to give the recommendation and lost marks”); **N25 Q2** (15: PE, credit relief, the election, incorporation; few saw that the incorporation gain could be postponed); **M26 Q5** (20: PE, branch taxation and DTR, the election and its timing, subsidiary, CMC, CFC, dividend exemption; TP excluded). - **Traps:** treating the election as per branch; forgetting it starts from the **next** AP; ignoring the opening negative amount (or computing one where later profits have matched the losses); giving credit for Irish tax on exempt profits; forgetting the 25% condition in s 140; discussing the UK company’s own residence in a PE question (M26 Q5). - **Layout:** options in turn; a short table of UK tax with and without the election, all in £; the look-back table; recommendation naming the option and the main reason.

The recommendation.

Tom’s paper to the boards of TPLC and RC, in our invented case, **recommends the election**, for three reasons:

1. It removes the UK top-up on the Dublin profit: **up to £25,000 a year**, and at least £5,000 after the CIR and Pillar Two interactions.
2. Its cost fits the facts: RC has no other foreign branches and no plans for any; if Tarnmoor ever wants a loss-making venture abroad it can put it in another company (the election belongs to a company, not a group).
3. Unlike incorporation it needs no transfer, no new company and no annual CFC review.

Timing. RC makes the election during **AP1**; the relevant day is **1 April RY+1**, the start of AP2. AP1’s Dublin profit is still taxed in the UK with credit (UK CT £125,000 for AP1); the exemption runs from AP2 (UK CT £100,000 a year). While the heads of terms were being drafted, Tom noticed that an election made by Jess’s RC **before** completion would have had a relevant day of 1 April RY and exempted AP1 as well. He chose not to ask for it: it would have been an irrevocable choice made before Tarnmoor’s due diligence had finished, for a prize of £25,000. In our invented case the board minute records that reasoning; the election is made after board approval, and the minute and a copy of the election go on the permanent file.

Coming next (proposed, not law). Draft legislation for the Finance Bill 2026-27 (13 July 2026) would make the foreign branch exemption **compulsory for APs beginning on or after 1 January 2027** and replace the opening negative amount rules (ss 18J–18O would be omitted, per the draft) with restrictions on carrying forward PE losses (chapter 25). Under **FA 2026**, which the 2027 sittings test, it is still an **election**. RC has no branch losses to carry forward, so its answer would not change if the draft became law. Check the Autumn Budget (28 October 2026) and the Bill as introduced.

Year end. If Tarnmoor later moves RC to 31 December, as it did with Calder, re-run the election timing and the instalment tests, because both key off the dates of APs (HMRC: a change of accounting date after the election does not move the relevant day; chapter 25).

Going further: integrating Ridgeway (the tax function’s diary) - Day 1: present the stock transfer form and pay stamp duty within 30 days (£22,500); RH and RC countersign the deductions allowance nomination; add both to the CIR authorisation list, the master file and CbC data, and the Pillar Two data set; brief RH’s directors on the s 18F conditions. - **During AP1:** board approval and election under s 18A (relevant day 1 April RY+1); attribution study for Dublin; CCO risk assessment for the Irish showroom; agree RC’s AIA allocation for the year to 31 March RY+1. - **Treasury:** no QIPs for AP1 or AP2; **first QIP 14 October RY+2** (AP3, month 7). - **SAO:** RC and RH within Nadia Kerr’s certificate from AP2 (due 31 December RY+2). - **Group accounts:** purchase price allocation and deferred tax finalised within the IFRS 3 measurement period. - **People:** diary the retention bonus payment (1 April RY+2) and the s 1288 consequences. - **Ethics:** using an election Parliament offers, for the purpose for which it was offered, is ordinary tax management, not avoidance; documenting the reasons protects the next finance director.

The group accounts.

Floor 7 is not tax law, and it is where the examiner’s tax accounting marks hide. Under IFRS 3, Tarnmoor’s consolidated accounts record RC’s identifiable assets at **acquisition-date fair value**. The valuers identify a **brand** and **customer relationships**, never recognised in RC’s own accounts, worth **£0.8m** between them.

A share purchase changes nothing in RC’s tax position: RC built the brand itself (no tax cost), and TPLC’s purchase of shares gives no step-up. So in the group accounts the assets’ carrying amount exceeds their tax base by £0.8m: a **taxable temporary difference** (IAS 12 para 19). Chapter 6 owns the rules.

Worked example 31.8: deferred tax on the fair value uplift (invented; £)

	£
Fair value of brand and customer relationships (group accounts)	800,000
Tax base (internally generated; share purchase gives no step-up)	nil
Taxable temporary difference	800,000
Deferred tax liability at 25%	200,000
Entry	Dr Goodwill 200,000; Cr Deferred tax liability 200,000 (IAS 12 para 66)
Deferred tax on goodwill itself	None (para 15(a)): goodwill is a residual

As the group accounts amortise the customer relationships, the DTL unwinds through the deferred tax credit, so the non-deductible amortisation does not distort the group ETR. If the brand is given an indefinite life and not amortised, its part of the DTL remains. RC's own (FRS 101) accounts and tax return are unaffected.

Two further points. IFRS 3 allows a **measurement period** (up to one year from acquisition) to finalise the fair values, so the DTL and goodwill can move during it. And any Pillar Two top-up the Dublin PE might bear creates **no deferred tax**: the IAS 12 exception (para 4A) applies (chapter 6).

Planning: document the purchase price allocation. The split between net assets, identified intangibles and goodwill drives the deferred tax, impairment testing and, later, the gain on any sale. Tom files the valuers' report with the acquisition papers, alongside the board minute on the election.

Exam lens: deferred tax on an acquisition - Grade: deferred tax **1**. - **What scores:** the temporary difference and why it arises (no tax step-up on a share deal); the rate and the figure; where the debit goes (goodwill); no DTL on goodwill. - **Traps:** recognising the DTL in the subsidiary's own accounts; charging it to profit or loss at acquisition; using 19% because the subsidiary is small (the rate is the one expected to apply: 25% for RC).

Keeping Jess.

Floor 8 is people. Tarnmoor wants Jess to stay, so in our invented case she remains **managing director of RC for two years**, on a salary of **£90,000** a year, with a **retention bonus of £60,000 payable 24 months after completion** if she is still employed. **RC pays both**, because it is RC's trade she serves. Chapter 20 explained why that matters: if TPLC paid, it would be paying for services to another company and might get no deduction.

The salary is an ordinary trading deduction. The bonus is a timing puzzle under **CTA 2009 s 1288** (chapter 7): remuneration charged in the accounts but **not paid within 9 months** after the end of the period of account is deductible only in the period in which it is paid.

Worked example 31.9: when the retention bonus is deductible (invented; £)

Assumption: RC accrues the bonus evenly over the service period, £30,000 in each of AP1 and AP2. Payment date: **1 April RY+2**, the first day of AP3.

	AP1 (to 31 Mar RY+1)	AP2 (to 31 Mar RY+2)	AP3 (to 31 Mar RY+3)
Accounts charge	30,000	30,000	—
Paid within 9 months of the period end?	No: paid 12 months after (deadline 31 Dec RY+1)	Yes: paid 1 day after (deadline 31 Dec RY+2)	—
Tax deduction	nil	30,000	30,000 (AP1's accrual, when paid)
Tax value at 25%	—	7,500	7,500

Total deduction £60,000 either way; s 1288 only moves £30,000 of it into AP3. In a computation prepared within the 9 months, assume unpaid and amend later if it is paid in time (s 1289(3)). The AP1 add-back is a short-term timing difference: a deferred tax asset of £7,500 in RC's AP1 accounts.

An adviser's check. The bonus must genuinely be **pay for continued service**: conditional on employment, at a commercial level. If the facts showed it was really part of the **price for Jess's shares**, RC would be paying a capital sum on its shareholder's behalf and would get no deduction (CTA 2009 s 54: wholly and exclusively). The service condition and the market level of the pay are the evidence. The same applies to any compensation if Jess left early: **HMRC's view** (BIM38380–BIM38390; chapter 20) is that a payment connected with a change of ownership is unlikely to be wholly and exclusively for the trade.

Dan. One line for the other Hartley in these pages: Dan Hartley, made redundant when Calder closed his division on 30 September GY3, is working elsewhere now. This book leaves his later career where it found it: open.

Exam lens: people on an acquisition - Grade: CT relief for expenses relating to employment including remuneration **1**; general calculation rules (Part 20 CTA 2009) **1**. - **Past appearances: M23 Q6** (10 marks: due diligence, legal fees, a loan arrangement fee, compensation for loss of office, retention bonuses; candidates generally did well); s 1288 in **N25** (bonuses paid after the period end). - **Traps:** deducting an accrued bonus in the period of accrual when it is paid more than 9 months later; letting the parent pay for a subsidiary's employee; ignoring the purpose question for change-of-control payments.

How the examiner would mark it.

Set this deal as a **20-mark** question: about **42 minutes** at roughly 2.1 minutes a mark. Marking guides give **0.5–1 mark per point**, so a 20-mark answer needs roughly **20–40** distinct, findable points (chapter 32).

Order of work. 1. **Bank the quick marks** (one line each, with a reason): stamp duty £22,500, buyer, 30 days; the associated company count and the two timings; no QIPs in AP1 (divisor 1), grace in AP2 (divisor 11; £909,091), QIPs from AP3; SAO from AP2; TP switched on (SME exemption lost); CIR and Pillar Two membership. 2. **Score the nils**: no losses to restrict; no degrouping charge; no SDLT. A correct nil with its reason is a point like any other. 3. **The branch**, where the recommendation marks live: the three options in turn; the tax table with and without the election (all in £); the opening negative amount test and its result; the s 140 conditions and why the TIL route fails; the CFC position of a subsidiary; then **recommend**, naming the option and the main reason. 4. **Accounts and people** if the requirement reaches them: the DTL and its debit; the s 1288 timing.

Two disciplines. Do not restate Jess's history: the marker knows it. And if the question names corporation tax only, Jess's CGT and the stamp duty are outside it, however much you know about them.

Exam lens: the multi-issue question - Grade: application across the grid; the LCG narrative's "interaction of taxes" and "corporate transformations". - **Style:** technical prose and short computations; no letter or report format; "Explain", "Calculate, with explanations", "Recommend". - **Favourite combinations it mirrors:** sale or purchase of a subsidiary + SSE + change of ownership + enquiries (M24 Q3); PE + branch exemption + incorporation + CFC (M23 Q2, N25 Q2, M26 Q5); a newly acquired company's obligations (N24 Q5). - **Traps:** padding (M26 Q1 examiners: adequate but

padding); hybrids or DPT with no trigger (N24 Q5; chapter 30: DPT is repealed for APs beginning on or after 1 January 2026); missing the recommendation (M23 Q2); mixing £ and £000 in one table.

What to take away.

- **A small acquisition is not a small tax job:** the size of the group the target joins sets the compliance load.
- **Walk every floor in order:** transaction, history, thresholds, group regimes, governance and compliance, special features, accounts, people, recommendation.
- **Stamp duty** $\text{£}4.5\text{m} \times 0.5\% = \text{£}22,500$, paid by TPLC within 30 days; part of the cost of the shares; no SDLT; no group relief from an individual.
- **RH is a passive holding company** (CTA 2010 s 18F): no assets but subsidiary shares, no income but redistributed dividends. Keep it passive.
- **RC's associates:** 10 (divisor 11) for marginal relief at once; for QIPs counted the day before each AP: **divisor 1 in AP1** (not large), **11 in AP2** (large at £136,364, but **grace:** profits $\leq$ £909,091 and not large before), **QIPs from AP3** (about $4 \times \text{£}25,000$).
- **Nothing to restrict:** no losses, no capital losses, no degrouping charge.
- **Switched on at completion:** group relief (overlapping periods), the deductions allowance nomination, a share of the single AIA, RDEC only; **TP** (SME exemption lost; s 164A for UK-to-UK dealings); CbC and master file; UTT; CCO procedures reaching Dublin; CIR worldwide group and reporting company authorisation; Pillar Two. **SAO from AP2.**
- **Dublin:** elect under s 18A during AP1, effective from **1 April RY+1; no opening negative amount** (losses £110,000 matched by Years 3–4 profits £320,000); UK CT **£125,000** → **£100,000**, saving **up to £25,000** a year, perhaps as little as **£5,000** after lost interest capacity (up to £15,000) and simplified Pillar Two top-up (up to £5,000). Irrevocable after the relevant day; covers all future PEs of RC. s 140 incorporation only postpones gains and creates a CFC (low profits exemption today); **transfer to TIL** fails the 25% test and s 171. The compulsory exemption in the draft Finance Bill 2026-27 is **proposed, not law**.
- **Group accounts:** fair value uplift **£0.8m** → **DTL £200,000**, debited to goodwill; none on goodwill.
- **Jess:** MD for two years at £90,000; retention bonus **£60,000** paid by RC on 1 April RY+2: **£30,000 deductible in AP2, £30,000 in AP3** (s 1288).

So why does a small deal touch every rule in the book? Because a company joining a group inherits the group's thresholds, regimes and obligations, some at once and some one period later. The answer to Jess's last open question is **yes, elect:** under the law the 2027 sittings test it is still a choice, and on these facts it is a good one.

One chapter remains. Chapter 32 turns from the law to the craft: how to put all of this in front of a marker, in three and a half hours, in a form the marker can reward.

Key rules and figures

Item	Rule or figure	Reference
Stamp duty on the RH shares	$\text{£}4,500,000 \times 0.5\% = \text{£}22,500$; buyer; 30 days; rounded up to £5	FA 1999 Sch 13; chapter 21
Passive holding company	Investment business, no trade, 51% subsidiaries; no other assets; dividends	CTA 2010 s 18F

Item	Rule or figure	Reference
	redistributed	
Associates: marginal relief	Any time in the AP; RC divisor 11 (limits £4,545 / £22,727)	CTA 2010 s 18E
Associates: QIPs	Day before the AP begins (HMRC); RC AP1 divisor 1; AP2 and later 11	SI 1998/3175 reg 3; CTM92530
Thresholds, divisor 11	Large £136,364; very large £1,818,182; grace limit £909,091	reg 3; reg 3(5)
RC QIP status	AP1 not large; AP2 large with grace; AP3 QIPs (about 4 × £25,000)	invented (story)
SAO	UK-incorporated; member at end of preceding FY: RC and RH from AP2	FA 2009 Sch 46; SAOG11260
TP	SME exemption lost (linked enterprises); UK-to-UK exemption except for s 18A-exempt activities	TIOPA 2010 ss 164A, 166, 172
Branch exemption	All PEs; from the next AP; irrevocable after the relevant day; no credit on exempt profits	CTA 2009 ss 18A, 18F; TIOPA 2010 s 18(3A)
Opening negative amount	6-year look-back; unmatched net PE losses; RC: nil	CTA 2009 ss 18J–18N; INTM284020
RC CT with/without election	£100,000 / £125,000; saving £25,000 (net £5,000–£25,000 after CIR and Pillar Two)	invented (story)
s 140	PE trade to non-resident company for securities; ≥ 25%; postponement; 6 years	TCGA 1992 s 140
CFC: Irish subsidiary	Tax exemption fails (12.5% < 18.75%); low profits exemption (≤ £500,000) applies	TIOPA 2010 ss 371LB, 371NB
Deferred tax on uplift	£800,000 × 25% = £200,000 DTL; Dr goodwill	IAS 12 paras 15(a), 19, 66
Retention bonus	£60,000; s 1288: £30,000 AP2, £30,000 AP3	CTA 2009 ss 1288–1289
Proposed (not law)	Compulsory branch exemption, APs beginning on or after 1 January 2027	Draft Finance Bill 2026-27 (13 July 2026)

Statutory and case references

- **CTA 2009:** s 10 (APs); ss 18A, 18F, 18G–18I, 18J–18N, 18R (branch exemption); s 54 (wholly and exclusively); Part 8 (intangible fixed assets); Part 13 (R&D); s 1219 (management expenses); ss 1288–1289 (unpaid remuneration).
- **CTA 2010:** ss 18E, 18F (associated companies; passive companies); Part 5, ss 139–142, 154 (group relief); ss 269ZR ff (deductions allowance); Part 14 (change in ownership).
- **TIOPA 2010:** ss 18(3A), 42 (DTR); ss 164A, 166, 172 (TP; UK-to-UK; SME); Part 9A, ss 371LB, 371NB (CFC exemptions); Part 10 and Sch 7A para 1 (CIR; reporting company, as amended by FA 2026 s 61); s 406 (tax-EBITDA).
- **TCGA 1992:** ss 38, 140, 140C, 170(10), 171, 179(2); Sch 7A; Sch 7AC.
- **CAA 2001** s 51C. **FA 1930** s 42. **FA 1999** Sch 13. **FA 1998** Sch 18 para 24. **TMA 1970** s 59F. **FA 2009** Sch 46. **FA 2016** Sch 19. **FA 2022** Sch 17. **Criminal Finances Act 2017** ss 45–46. **F(No.2)A 2023** Parts 3–4. **FA 2026** s 61, Sch 6.

- **SI:** SI 1998/3175 reg 3 (incl. reg 3(5)); SI 2012/3024 (excluded territories); SI 2016/237 (CbC); SI 2023/818 (TP records).
- **HMRC manuals:** CTM92520, CTM92530, CTM92800, CTM03580, CTM03945; COM95001; CTM08190, CTM08260; INTM281020, INTM284020, INTM284030, INTM284040; CIRD92000; SAOG11260; BIM38380–BIM38390.
- **Accounting:** IFRS 3 (measurement period); IAS 12 paras 4A, 15(a), 19, 66.
- **Cases:** *Centrica Overseas Holdings Ltd v HMRC* [2024] UKSC 25 (deal costs).
- **Proposed, not law:** draft Finance Bill 2026-27 clauses on the foreign branch exemption (13 July 2026).
- *The Living Law* (TKS): chapters 18, 24, 26 and 31 (the Ridgeway story).

Chapter thirty-two: The Advanced Technical craft.

One sentence in the instructions.

In the Candidate Instructions for the October 2026 sitting, the Chartered Institute of Taxation (CIOT) printed a sentence every candidate should learn by heart: **“Calculations left in the spreadsheet and not copied to the answer box will not be marked.”**

That sentence arrived with new exam software. From October 2026 the CIOT’s papers are sat on **RM Assessment Master**, which replaced Exam4 (every question paper from May 2023 to May 2026 still told candidates to type their answers “as indicated by the Exam4 guidance”). The new system puts a spreadsheet on the screen, right under the place where you type your answer. It is a gift and a trap: you can add up a capital allowances pool in seconds, and if you leave it there the marker never sees it.

The sentence is a fair summary of the whole paper. The Advanced Technical paper does not reward what you know. It rewards what you put in front of the marker, in a form the marker can credit, within three and a half hours.

This chapter is about that craft. It is not question practice: you have the CIOT’s past papers and your own question bank for that. It is the set of habits that turns thirty-one chapters of law into marks. The chapter gathers what every **Exam lens** box in this book has said, adds the facts about the paper and the day, and checks them against the CIOT’s own documents. The law for a 2027 sitting is almost certainly **FY2026 law under FA 2026**, which is the law this book teaches.

Chapter 2 began this work with “Research in the exam room”. Here we finish it. There is no syllabus grade for this chapter, because its subject is the paper as a whole. Every grade quoted comes from the **2026 syllabus grid**, and every comment about past papers comes from the question papers, suggested answers and examiners’ reports the CIOT publishes for each sitting (sittings are abbreviated M23 = May 2023, N23 = November 2023, and so on). Where a figure is the book’s own arithmetic rather than the CIOT’s statement, it is labelled “derived”.

The question for the chapter: what does this paper reward, and how do you give it that in 210 minutes?

The shape of the paper.

Feature	Detail	Status
Paper	CTA Advanced Technical, Taxation of Larger Companies and Groups (LCG); called Taxation of Major Corporates to November 2022; renamed for 2023 (answer codes still TOLC/ADTOLC)	Verified (CIOT LCG page)
Duration	3 hours 30 minutes ; no separate reading time is mentioned anywhere	Verified

Feature	Detail	Status
Questions	“Normally six”, each 10, 15 or 20 marks ; 100 marks ; pass mark 50%	Verified
Syllabus elements	(1) CT including CT on chargeable gains; (2) capital allowances; (3) stamp duty and SDLT at awareness level	Verified
Core rule	At least 70% of the CT element from core (grade 1) material	Verified
Grades	1 core (depth and computation); 2 non-core (working knowledge and the main computation); 3 awareness (recognition)	2026 grid
Style	“Calculate, with explanations”, “Explain”, “Discuss”, occasionally “Recommend”; no letter, report or email (that is the APS paper); roughly half the marks computational	Verified from M23–M26 papers and guides

Mark mix, M23–M26 (every paper had six questions):

Sitting	Q1	Q2	Q3	Q4	Q5	Q6
M23	20	15	15	20	20	10
N23	20	15	15	20	10	20
M24	20	15	15	10	20	20
N24	15	20	15	20	20	10
M25	20	15	15	20	20	10
N25	20	15	15	20	20	10
M26	20	15	15	20	20	10

Usually three 20s, two 15s and one 10; four of the seven papers ran 20/15/15/20/20/10 in that order.

Who the paper is about. The CIOT says the scenarios “will typically be based around multinational groups and larger companies that may be listed, with no individual controlling shareholders”. Owner-managers, close company loans and profit extraction are not this paper’s business. Our invented group, **Tarnmoor**, a listed engineering group with no controlling shareholder, was built to match that description.

What kind of adviser it tests. Candidates “are not expected to have deep knowledge of all tax areas but should be able to identify what the potential tax issues are”. That is the job of a corporate tax trainee in a large firm: spot the issue, explain it precisely, and know enough to coordinate the specialists. On the 2026 grid, CFCs, transfer pricing, the CIR and hybrid mismatches are all **core**. (The rows sit on the grid page headed “Miscellaneous Matters and Anti-avoidance”: CFCs 1, TP and APAs 1, hybrids 1, migration 2.)

Exam lens: the paper as a whole - Grades: the 2026 grid (its page headers still say “2025 sittings”, a left-over header); note 2 expects knowledge of the Law, PR&E and Principles of Accounting manuals’ terms. **No 2027 grid has been published** (October 2026): check every grade when it appears. - **Style:** technical prose and computations; 0.5–1 mark per

point; no letter format. - **Trap:** writing for a client (letters, pleasantries, executive summaries). Write for a technical marker.

The day itself.

Item	Detail	Status
Your likely sitting	4 May 2027, 2.30pm (results July 2027)	Verified (CIOT key dates; exam entry page)
Fallback	26 October 2027, 2.30pm (results January 2028). One line on the CIOT exam entry page gives 28 October 2027, 2.30pm : check your own entry confirmation	Verified, with a conflicting line
Slot	Shared with Advanced Technical Cross Border and Environmental Taxes	Verified
The 27 October 2026 sitting	Still a 2026 sitting, examined on FA 2025	Verified (Prospectus 2026)
Registration	Student registration by 31 December for May; 30 June for November	Verified
Venue	Test centre; Windows device with one 24-inch monitor; about 20–25 terminals per room	Verified
Candidate Information email	About three weeks before; print it; write your legislation username and password on it and nothing else	Verified
Arrival	At least 30 minutes early (60 recommended); not admitted if more than 30 minutes late	Verified
Leaving	Not in the first 45 minutes or the last 10	Verified
Permitted	Pens, pencils, erasers; your own physical calculator (basic or scientific; memory may be checked); ear plugs only; the printed email; still water or non-fizzy drinks; quiet snacks with no nuts	Verified
Not permitted	Watches of any kind ; any hard-copy materials	Verified
Note paper	Two sheets provided, more on request; not marked ; stays in the room	Verified

Use the note paper for a plan, a time line or a list of issues, never for working you want credit for.

When the paper opens, spend a minute on the resources before the first question: log in to the legislation, open the tax tables on screen, and check both respond. If anything fails, tell the invigilator at once.

None of this is glamorous. But a candidate who arrives flustered, with a legislation password that will not work, has lost marks before reading a word. **A work subscription to Croner-i or Tolley will not log in on the day:** buy the student product early

and practise on it until finding a Part of an Act takes seconds.

Going further: the week before - Confirm the date, slot and test centre on your entry confirmation (not on memory or this book). - Log in to your student legislation from a home device; check your tags are there. - Download the current CIOT practice test and run one full question in it, copying a table from the spreadsheet to the answer box. - Print the Candidate Information email; write only the legislation login on it. - Plan the journey to arrive an hour early. Leave the watch at home.

Inside RM Assessment Master.

The screen. On the left, the question scenario, with exhibits as thumbnails. The requirements appear at the bottom of the scenario and again at the top right. Under the requirements is the **answer box**. Below the answer box is a **spreadsheet** (SpreadJS, Excel-like). There is an on-screen calculator, a **flag** (bookmark) function, and a **timer that turns red and flashes 10 minutes before the end: the only time warning**. (CIOT Candidate Instructions, October 2026, pp 2–3.)

The rule. Workings must be copied into the answer box (Ctrl+C, Ctrl+V). “Calculations left in the spreadsheet and not copied to the answer box will not be marked”, and **examiners cannot see cell formulae**. A cell showing £412,000 tells the marker nothing about where it came from, so every working must be shown in words and figures: proceeds, less cost, less indexation, equals the gain; not just the gain.

Practise. The CIOT says candidates must have practised with the software before the test centre, and puts a **practice test** on its website before each sitting. Use it more than once: find out how a table pastes, how long it takes and how it looks once pasted.

The misconception. “*The marker will see my working because the computer holds it.*” The marker sees only the answer box. A perfect computation in the spreadsheet scores nothing; a rough computation, copied across with a one-line reason beside each figure, can score most of the marks even if the final number is wrong.

The examiners said as much before the software changed. After **N23 Q5** (SAO) they told candidates to show workings, because marks can be earned even when the conclusion is wrong; after **M25 Q4** (CT computation with TP) they made the same point. The software change makes their advice sharper: working that is not visible does not exist.

Exam lens: working in RM - Habit: do the arithmetic wherever is quickest; before moving to the next requirement, copy it into the answer box, label each line, and check it pasted cleanly. - **Habit:** put each requirement’s answer under that requirement; use the flag for anything you mean to revisit. - **Trap:** a spreadsheet full of correct numbers and an answer box with conclusions only. - **Trap:** relying on formulae to “show” the working. They are invisible to the examiner.

The tax tables.

Behind the “open book” icon are three resources: the **tax tables** (PDF), the **OECD Model Tax Convention** (PDF), and URL links to **Croner-i and Tolley** student legislation. The FAQs are blunt: “The exams are closed book ... Candidates cannot access anything other than Online Legislation and the Tax Tables.” The Model sits inside RM for this paper; nothing else comes in. (The TKS paper’s pre-prepared research exception does not apply to LCG.)

What the 2026 tables contain (hard copy on the desk plus PDF in RM):

In the tables	Not in the tables (your marks)
FY2025 and FY2024 CT rates and limits	Associated company counting rules and dates
EU SME definition, with R&D and TP notes	Linked and partner enterprise tests applied to facts
RDEC 20%; ERS 186% and the 14.5% credit	The RDEC step order; 25% v 19% notional tax; claim notification
CA rates: AIA £1m, 18% /6% WDAs, SBA 3%, full expensing and 50% FYA	Which assets qualify; second-hand and leasing exclusions; HP timing; special balancing charges
HMRC interest rates (including QIP rates)	QIP thresholds, divisors and due dates
Lease percentage table	Short v long; grant v assignment; the premium income element
RPI for indexation	Indexation frozen at December 2017; no loss creation
Stamp duty/SDRT and SDLT/LBTT rates	Which tax, who pays, when, reliefs and clawbacks

The 2027 trap. As at October 2026 the CIOT tables page offers only “Tax Tables 2026”, which reflect FA 2025 (main pool WDA **18%**). An FA 2026 paper uses **14%** for chargeable periods beginning on or after 1 April 2026, with hybrid rates for straddling periods (by days, rounded up), and the new **40% FYA** (CAA 2001 s 45U, from 1 January 2026). The 2027 tables, when published, should show the FA 2026 figures (expected around January 2027; check). Chapter 8 did the hybrid arithmetic (1 January–31 December 2026: 14.99%).

Practise with the tables you will have: learn where each figure sits, so that finding the percentage for a lease with 27½ years left is a ten-second job.

Exam lens: tax tables - Trap: using the 2026 tables’ 18% for an FA 2026 sitting. - **Trap:** spending time memorising rates the tables give, and too little on the conditions they do not. - **Habit:** state the rate you are using and, for a straddling period, show the day-weighting (chapter 8).

Legislation and the treaty.

The legislation. Online only, from **Croner-i** or **Tolley’s Digital Library**: student products bought in advance; work subscriptions will not work. **You cannot make notes in either.** Highlighting and the products’ built-in features are allowed. Tags and folder headings may contain a section number and/or a topic name (the CIOT’s example: “Corporate rescue exception = CTA 2009 (s 361D)”). They must **not** reproduce pro formas or formulae, and invigilators may spot-check.

So the legislation is a map, not a crib. Its value is speed: open the right section, confirm a condition or time limit, and cite it.

Going further: a tag map built on this book (section numbers and topic names only, as the rules allow)

Statute	Tag	Chapter
TIOPA 2010 Part 2	Double tax relief (s 42 limit)	24
TIOPA 2010 Part 4	Transfer pricing (s 147; s 164 interpretation; s 164A UK-to-UK)	27
TIOPA 2010 Part 6A	Hybrid mismatches	29
TIOPA 2010 Part 9A	CFCs (s 371BC charge)	26
TIOPA 2010 Part 10, Sch 7A	CIR; CIR administration	28
CTA 2009 Part 2 Ch 3A	Branch exemption (s 18A)	25
CTA 2009 s 46; Part 20 (s 1288)	GAAP starting point; unpaid remuneration	5, 7
CTA 2009 Part 5	Loan relationships (s 354 connected impairments; s 361D corporate rescue; s 441 unallowable purpose)	12
CTA 2009 Part 8	Intangible fixed assets	11
CTA 2009 Part 13	R&D	10
CTA 2009 s 1219	Management expenses	13
CTA 2010 Part 4; Part 7ZA	Losses (s 37, s 45A); the restriction	14
CTA 2010 Part 5	Group and consortium relief (s 105 threshold)	15
CTA 2010 Part 14	Change in company ownership	14
CTA 2010 Part 22	Transfers of trade; refund surrenders	3, 19
TCGA 1992 ss 171, 171A, 179	NGNL; reallocation; degrouping	17
TCGA 1992 s 152, s 175	Roll-over; group roll-over	16, 17
TCGA 1992 Sch 7AC; Sch 8	SSE; leases	18, 16
CAA 2001 s 45S, s 45U, s 51C, s 198	Full expensing; 40% FYA; group AIA; fixtures election	8, 9
FA 1998 Sch 18	Company returns, enquiries, penalties	3
FA 2009 Sch 46; FA 2016 Sch 19	SAO; tax strategy	4

Practise on the product you will use: each publisher lays out the Acts and its search differently.

The treaty. The OECD Model is available **only as an on-screen PDF**, no hard copy; the document published is the **2017** Model articles. It is a fallback. When a question supplies a treaty extract, **the extract is the treaty for that question**. After **N23 Q1** (20 marks: residence of an Anglo-Belgian parent, with a supplied tie-breaker using place of effective management), the examiners reported that some candidates ignored the supplied article and used the Model text instead. Read the extract, quote its article number, and apply its words to the facts.

Guidance. The paper rewards statute. HMRC's manuals are its view, not law, and you will not have them. If you rely on a known HMRC practice, say so as HMRC's view.

Exam lens: sources - Grade: “Double tax treaties – application of OECD model and supplied extracts from treaties” **1 (core)**. - **Traps:** using the Model over a supplied extract (N23 Q1); citing a manual as authority; citing pre-FA 2026 PE sections (old CTA 2009 ss 22–32) for periods beginning on or after 1 January 2026 (chapter 23).

The clock.

No official per-question timing is published. **Derived:** 210 minutes ÷ 100 marks = **2.1 minutes per mark**.

Worked example: a time plan for the usual paper (derived; assumes a 2.30pm start: shift every checkpoint if the start slips)

Question	Marks	Minutes	Elapsed	Remaining	Clock
1	20	42.0	42.0	168.0	3.12pm
2	15	31.5	73.5	136.5	3.43pm
3	15	31.5	105.0	105.0	4.15pm (half time: 50 marks)
4	20	42.0	147.0	63.0	4.57pm
5	20	42.0	189.0	21.0	5.39pm
6	10	21.0	210.0	0.0	6.00pm
Timer flashes			200.0	10.0	5.50pm

Total 100 marks, 210 minutes (checked in Python). Write the checkpoints on your note paper at the start; the on-screen timer is your only clock.

No reading time. Reading and planning come out of each question’s budget. A sensible habit (the book’s suggestion, not a CIOT rule): read the requirement, then the scenario, and jot a list of issues before typing.

Bank the easy marks (examiners’ message, repeated across M23–M26). On a typical marking guide the first half of a question’s marks come quickly: spotting the issues, stating the rules, the standard computation. The last few come slowly: a subtle interaction, a point most miss. Over-running on one question to chase its last two marks costs the first five of the next.

When the budget runs out, stop. Leave a line listing what you would do next, flag the question, move on, and come back if time remains.

The ten-minute warning is for finishing, not starting. Check every requirement has something in its answer box; copy across any working still in the spreadsheet; add any missing recommendation.

Breadth beats length. Ten correct points in two lines each usually outscore four points in a paragraph each. Make each point once, precisely, and move on.

Exam lens: timing - 20 marks $\approx$ 42 minutes; 15 $\approx$ 31½; 10 $\approx$ 21 (derived). - **Trap:** spending 60 minutes on the first 20-mark question because you know it well. - **Trap:** leaving a requirement blank. Even a skeleton list of issues earns some marks.

Reading the requirement.

Read the requirements before the scenario; they are the marking guide in disguise.

Signal	What it means	Evidence
“Calculate, with explanations”	A computation with a short reason on each line	All computation questions M23–M26
“Explain”	The rule, its authority, applied to these facts	Discursive questions (PE, migration, hybrids, CFC)
“Discuss”	Weigh the options; reach a view	
“Recommend”	Name the option and the main reason	M23 Q2: the examiners reported that some candidates failed to give the recommendation and lost marks
Mark split (e.g. 8/6/6)	Time per part	M26 Q1 (8/6/6); N25 Q4 (4/8/8)
“Tax consequences”	Every tax in the syllabus , including stamp duty and SDLT	N25 and M26 chief examiner
A named tax	Only that tax scores	N25 and M26 chief examiner
“Ignore transfer pricing” / excluded	Excluded means excluded	M26 Q5: some did TP anyway; many discussed residence or migration of the UK company
“Identify further information required”	A short list of precise questions, each tied to a rule	LCG syllabus; tested directly in M26 Q6

Excluded and unrelated topics earn nothing. DPT in a loan question (M23 Q3: DPT never applied to loan relationships, and for APs beginning on or after 1 January 2026 it is repealed: chapter 30); hybrids with no hybrid trigger (N24 Q5); residence in a PE question (M26 Q5, N25 Q2); holdover when roll-over was asked (M26 Q3); pre-sale loss relief when not asked (M24 Q3).

Stamp taxes are the classic missed marks. After N25 Q5 the examiners noted that few candidates considered SDLT, so marks were missed.

The rubric (every paper M23–M26): - “All workings should be shown and made to the nearest month and pound unless the question specifies otherwise.” - “You may assume that [prior year] legislation (including rates and allowances) continues to apply for [next year] and future years.” For a 2027 sitting on FA 2026, expect 2026/27 legislation to be assumed to continue (derived from the pattern: year N exams test the Finance Act of year N–1). - “Candidates answering by reference to more recently enacted legislation or tax cases will not be penalised.” - Scots law candidates may answer by reference to LBTT.

Exam lens: requirements - Habit: underline (mentally) the verb, the scope words and the exclusions; write the mark split on your note paper. - **Traps:** answering the question you hoped for; omitting the recommendation; ignoring stamp taxes when “tax consequences” are asked; adding taxes when one tax is named.

How the marks are made.

The CIOT publishes suggested answers **with a full marking guide** (at least from N25 and M26). Marks come in halves and wholes: a condition correctly stated, 0.5 or 1; a correct figure, 0.5 or 1; a conclusion, 0.5; “Conditions for rollover relief 1.5” is a typical line.

Derived: a 20-mark question needs roughly **20 to 40** distinct, correct points. Each should be short, on its own line or in its own sentence, and easy to find: a marker scanning the answer should be able to tick as they read.

Habits that follow: 1. **List every item**, including those needing no adjustment, with a few words of reason. A nil adjustment with a correct reason earns its mark (chapter 7’s “four habits”). 2. **State the authority** briefly: “TCGA 1992 s 179”, “SSE, Sch 7AC”. It shows the marker which rule you are applying. 3. **Do not restate the question.** Copying the facts back earns nothing. 4. **Do not pad.** After M26 Q1 the examiners described the CIR administration and PIE answers as adequate but padded with irrelevant detail. General paragraphs before you reach the facts are padding. 5. **Match the verb.** Do not stop at a conclusion when a computation is asked for, or at a computation when an explanation is asked for.

The second misconception. “*Advanced Technical depth means writing everything you know.*” It does not. Depth here means applying the right rule to these facts, with the conditions, exceptions and interactions the facts raise. After **N24 Q6** the examiners reported higher marks for answers tied to the scenario; after **N25 Q6** they criticised generic anti-avoidance answers to a hybrids question.

When the question seems wrong. The chief examiner’s advice (M25 and N25 reports): re-read the question; if you still think there is an error, **state it and your assumption, then answer on that basis.** Results are **moderated** and the pass mark may be adjusted for paper difficulty.

Presentation. M23 to N25 papers said “Additional marks may be awarded for presentation.” **The M26 paper omits this line.** Do not count on marks for neatness; but layout decides whether the marker can find your points.

Exam lens: marks - Evidence: marking guides at 0.5–1 per point; M24–M26 example scripts banded 40–50, 50–60, 60–70 and 70+. - **Trap:** a correct conclusion with no visible reasoning (often half the marks lost). - **Trap:** an essay on the regime before applying it.

Layouts.

The examiners expect conventional layouts and say so when candidates ignore them (after M24 Q2 they reported that some candidates did not use a conventional CA layout). The set this book has taught:

Topic	Layout	Built in
CT computation	PBT → adjustments (each with reason and authority) → tax-adjusted trading profit → CAs → other income and gains → total profits → reliefs in statutory order → TTP → CT (marginal relief where relevant) → RDEC set-off → payable; QIP dates	Chapter 7
Capital allowances	Columns: FYA/FE, main pool, special rate pool, single asset pools, allowances; additions, disposals (pool deduction or special balancing charge), WDAs, c/f	Chapter 8
Chargeable gains	Proceeds → costs of disposal → cost (restricted for leases; apportioned for part disposals) → enhancement → indexation to December 2017 → relief (proceeds not reinvested) → chargeable gain	Chapters 16, 17
CIR	ANTIE → aggregate tax-EBITDA → 30% → debt cap (ANGIE) → interest capacity (with b/f allowance) → disallowance or reactivation → allocation	Chapter 28
CFC	Company by company: CFC? → entity exemption (stop if one applies) → gateway → 25% test and apportionment → creditable tax → charge	Chapter 26
DTR	Columns by source: gross income, allocated deductions, UK CT at R, foreign tax, credit (lower), unrelieved	Chapter 24
Deferred tax	Fixed asset and short-term differences on separate lines; opening, closing, movement; current + deferred = total charge	Chapter 6
Group relief (non-coterminous)	Time line; for each overlap: surrenderable amount, claimant's available profits, relief = lower	Chapter 15
SSE	Conditions as a checklist, each applied, then a conclusion	Chapter 18
Migration	Schedule of assets (book value, market value, exit amount, plan-eligible?), then CT1 – CT2	Chapter 22
Branch or subsidiary	Options in turn; short UK tax table per option; recommendation	Chapter 25

One unit per table. £ or £000, never both (M26 Q4 examiners: keep units consistent).

Worked example: the same computation in £ and in £000 (our invented case: Tarnmoor Engineering Ltd, GY2, from chapters 7 and 15)

	£	£000
Total profits	26,000,000	26,000.00
Group relief: TPLC management expenses	(5,475,000)	(5,475.00)
Group relief: TPLC NTLR deficit	(7,670,000)	(7,670.00)
Group relief: Brackenwell post-acquisition loss	(2,600,000)	(2,600.00)
Consortium relief: Helmside	(1,350,000)	(1,350.00)
TTP	8,905,000	8,905.00
CT at 25%	2,226,250	2,226.25
Very large QIPs: 4 instalments (14 March, June, September, December GY2)	556,562.50 each	556.5625 each

Either column is acceptable; a table that switches between them halfway down is not. In £000 a figure may need decimals: that is fine. (Checked in Python: $26,000,000 - 17,095,000 = 8,905,000$; $\times 25\% = 2,226,250$; $\div 4 = 556,562.50$.)

Every one of these layouts can be typed as a simple table in the answer box, or built in the spreadsheet and pasted. Practise both, and choose the faster one that keeps its labels.

What the examiners keep saying.

The nine recurring messages (M23–M26 general and chief examiner’s comments):

#	Message	Evidence
1	Answer the requirement asked; excluded or unrelated topics earn nothing	M26 Q5 (TP excluded; residence/migration), M23 Q3 (DPT for loans), N24 Q5 (hybrids with no trigger), M26 Q3 (holdover), M24 Q3 (pre-sale loss relief)
2	Do not restate the question or pad	M26 Q1 (CIR admin, PIE)
3	Bank the easy marks on each question	General comments
4	Show workings: marks are available even when the figure is wrong	N23 Q5, M25 Q4
5	Use a conventional CA layout	M24 Q2, N23 Q3
6	Give a recommendation when asked	M23 Q2
7	Use the supplied treaty extract, not the OECD Model	N23 Q1
8	“Tax consequences” means all syllabus taxes; a named tax means only that tax	N25 and M26 chief examiner
9	Keep £ and £000 consistent	M26 Q4

The trap atlas (gathered from this book’s Exam lens boxes; evidence from the examiners’ reports):

Topic	Trap	Sitting	Chapter
Roll-over	Chargeable on proceeds not reinvested , not the gain	N24 Q1, M26 Q3	16, 17
Leases	Short-lease status at the transaction date ; an assignment is not a grant ; use the lease table	N24 Q1, N25 Q5, M26 Q3	16
Indexation	Cannot create or increase a loss; capital losses never against income	M25 Q5, N25 Q5, M26 Q4	16, 18
Group transfers	NGNL = transferor's cost, not market value; but appropriation from stock is at market value	M23 Q4, N25 Q5	17
Fixtures	s 198 values go into the CA pool; adjust gains only for a loss	M23 Q4, N25 Q5	9
Full expensing	Disposals give a balancing charge (or a split)	M23 Q1, N24 Q4, M26 Q2	8
FYAs	The balance after a 40% or 50% FYA joins the pool after that period's WDA, so it gets no WDA until the next period (CAA 2001 s 58(5))	book (marking-guide logic)	8
HP	Whole capital element in the pool when brought into use	M26 Q2	8
SBA	Price paid excluding land and integral features; pre-29 October 2018 buildings: alterations only; 1/12th not 1/9th	M25 Q4, N25 Q4, M26 Q2	9
CFC	25% test $\neq$ control; stop at the first exemption; low profit margin; apportion creditable tax; say how the charge works	M24 Q5, M25 Q1, M26 Q5	26
Consortium	Limit by the member's share of the consortium company's profit; link company; DRIC; liquidation	N24 Q2	15
Depreciatory transactions v value shifting	The former "do not consider motive and only apply to losses"; the latter is "motive based"; exempt distributions excluded	N24 Q3	17
R&D	Linked enterprises; RDEC steps in order (step 1 v step 2)	M24 Q4	10
QIPs	Very large rules; true up when forecasts change; count	M25 Q2	3

Topic	Trap	Sitting	Chapter
	associates on the day before the AP		
Enquiries	Large-group windows; a long period of account shifts dates	M25 Q6, N25 Q4	3
Tax strategy, SAO	Use the accounts for the year ending in the parent's FY; SAO counts UK-incorporated companies only	M25 Q3, N23 Q5	4
CIR	Interest TP adjustments reduce ANTIE, not tax-EBITDA; adjust both for a QIC; no group ratio when told not to	M26 Q1	28
DTR	Royalties from different payers can be one source with credits aggregated	N25 Q1	24
Migration	Land acquired after 5 April 2019 automatically postponed; payment plans	N25 Q3	22
Branches	Incorporation gain postponement; election irrevocable, covers all PEs, timing for losses; anti-fragmentation	M23 Q2, N25 Q2, M26 Q5	23, 25
DPT	Do not raise it for loans; now repealed (UTPP, awareness)	M23 Q3, N23 Q1, N24 Q5	30
Deferred tax	Liabilities always provided; loss asset can offset; no b/f balances for a new company; short-term differences; compute the charge	M24 Q2, M25 Q2, N25 Q1, M26 Q6	6
Entertaining and gifts	Employee limits irrelevant to the CT deduction; branded drink disallowed, pens allowed	M26 Q4, N24 Q4, N25 Q1	7
Pensions	Spread only when the rules are triggered	N25 Q1	7
Marginal relief	Deal with straddles; "whilst the marginal rate of tax between the thresholds is 26.5%, this is not the rate that should be applied in full"	M24 Q6, M26 Q4	7
Stamp taxes	Add-on marks routinely missed; stamp duty $\neq$ SDLT	N25 Q5, N23 Q2	21
Stamp duty on earn-outs	A capped contingent consideration is charged on its	book	21

Topic	Trap	Sitting	Chapter
	stated maximum (contingency principle)		
Earn-out receipts after an SSE sale	Later receipts are disposals of the earn-out right (<i>Marren v Ingles</i>); chargeable on the generally accepted view, not settled law	book	18, 20
Blocked foreign trade receipts	A trading receipt that cannot be remitted is relieved under CTA 2009 ss 173–175, not Part 18 (which is for other foreign income)	book	25

On DTR the N25 examiners put it starkly: “Nearly all candidates failed to realise that the royalties can be treated as one source and the foreign tax credits aggregated.” On CFCs, after M26 Q5 they criticised “not mentioning obvious points (e.g. how CFC legislation works)”: two lines on how the charge works and who pays it are almost free marks.

Exam lens: compliance questions - Frequency: compliance and governance appeared eight times M23–M26 (N23 Q5, M25 Q3, M25 Q6, M24 Q3(c), N24 Q5, N25 Q4(a), M26 Q1(a), N23 Q1(b)): a 10–15 mark “admin” question is very common. - **The traps are counting:** QIP associates on the day before the AP (marginal relief: any time in the AP) (chapters 1 and 3); large-group enquiry windows; tax strategy on the accounts for the year ending in the parent’s FY; SAO on UK-incorporated companies whatever their residence (chapter 4). - **Note:** a summary of the N24 Q5 marking guide describes QIP thresholds as divided by “51% group companies”. The law since 1 April 2023 divides by **associated companies** (control test); answer on that basis (chapters 1 and 3).

Learning from the papers.

For each sitting the CIOT publishes the question paper, suggested answers with a marking guide, and the examiners’ report. **M24 to M26 also publish example candidate scripts banded by mark (40–50, 50–60, 60–70, 70+).** Read a script that scraped a pass next to one over 70 on the same question: the difference is rarely knowledge, usually coverage, precision and layout. (Note: the M26 examiners’ report PDF is headed “November 2025” on page 1, a CIOT typo; its content is May 2026.)

Topic frequency, M23–M26 (42 questions; derived from the papers):

Topic	Main focus or major part	Chapters
Full CT computation	Every sitting (M23 Q1, N23 Q4, M24 Q6, N24 Q4, M25 Q2, M25 Q4, N25 Q1, M26 Q4), often with a QIP and tax-charge tail	3, 5–7
Capital allowances and SBA	Standalone M24 Q2, M26 Q2, N23 Q3(b); embedded in nearly every computation	8, 9

Topic	Main focus or major part	Chapters
Property gains, leases, group roll-over	5 (M23 Q4, N24 Q1, N25 Q5, M26 Q3, M26 Q4)	16, 17
Shares: SSE, pooling, reorganisations, earn-outs	5 (N23 Q2, M25 Q5, M24 Q3, N24 Q3, N23 Q4)	18
Groups and consortia	6 (N24 Q2, N24 Q3, M23 Q5, M24 Q3, M26 Q4, M24 Q6)	15, 17
International (residence, PE, branch exemption, migration)	Every sitting since N24 (M23 Q2, N23 Q1, N24 Q6, N25 Q2, N25 Q3, M26 Q5)	22–25
CFC	4, including two full 20-mark questions (N23 Q1(c), M24 Q5, M25 Q1, M26 Q5)	26
Transfer pricing	5 (M23 Q3, N23 Q6, M25 Q4, N24 Q5, M26 Q1)	27
CIR	4 (M23 Q3, M24 Q1, M26 Q1, M24 Q6)	28
Compliance and governance	8	3, 4
R&D	3 (M24 Q4, M25 Q2, N25 Q1)	10
Tax accounting	4 (M24 Q2(b), M25 Q2(b), N25 Q1(b), M26 Q6)	6
Loan relationships and derivatives	4 (M23 Q6, M24 Q6, N23 Q3, N25 Q4)	12
Investment companies	4 (M23 Q6, M24 Q1, M25 Q5, M26 Q4)	13
Hybrids	1 (N25 Q6, 10 marks)	29
Not seen M23–M26	Patent Box, DPT, Pillar Two, demergers, transactions in securities, liquidations, CCO, DOTAS/GAAR, standalone IFAs	4, 11, 19, 30

Favourite combinations (this book's cross-references mirror them): CT computation + CAs + losses + QIPs + deferred tax; TP + CIR (M23 Q3, M26 Q1, N24 Q5), where a TP settlement years later can require a revised interest restriction return whose extra relief may be stranded by group relief time limits (Tarmoor's GY6, chapters 27 and 28); PE + branch exemption + incorporation + CFC (M23 Q2, N25 Q2, M26 Q5); residence + CFC (N23 Q1); property gains + roll-over + fixtures election + CAs + SDLT (M23 Q4, N25 Q5); sale of a subsidiary + degrouping + SSE + change of ownership + enquiries (M24 Q3); investment company + group relief + lease premiums (M26 Q4). Chapter 31, on the Ridgeway deal, showed the method for a question that touches many regimes at once.

Silence is not safety. Demergers, transactions in securities, liquidations, the CCO and the GAAR are core or non-core and could appear at any sitting.

The programme around the paper (ACA CTA Joint Programme, for ACA registrations from 1 July 2025):

Rule	Detail
Order	PR&E must be passed before the AT or APS paper; TKS before or at the same sitting as the specialist paper; the CIOT strongly recommends TKS first, then the specialist paper at a later sitting

Rule	Detail
Validity	AT/APS pass valid 7 sessions (TKS 7; PR&E 9); JP registration lasts 4 years
Failing	You may switch to another specialist paper in the same route instead of resitting, subject to your employer

Pass rates (LCG AT):

Sitting	Passed / sat	Pass rate
M23	202 / 288	70%
N23	133 / 219	61%
M24	191 / 309	62%
N24	150 / 255	59%
M25	212 / 328	65%
N25	181 / 269	67%
M26	274 / 371	74%

(Derived: 1,343 of 2,039 over the seven sittings, about 66%.) The M24 chief examiner reported that Joint Programme candidates had the highest pass rates. Reassurance, not a promise: CFC apportionment (M25 Q1) and group relief over two years (N24 Q2) were answered poorly.

Before your sitting, check: (1) the **2027 grid** and **2027 prospectus** (none published as at October 2026); (2) the **2027 tax tables** (expected to show FA 2026: 14%, 40% FYA); (3) your date and slot on your entry confirmation.

After your sitting (context only). From **May 2028** the CTA changes. LCG AT continues (3.5 hours; four to six questions of 10, 15 or 20 marks). CIR, hybrids and IFAs fall to **2**; gains on leases, derivatives beyond basics, EOTs/EBTs and R&D-intensive SMEs leave the syllabus; close companies arrive at 2. A new learning outcome: “Critically evaluate and communicate the output of information generated by other parties or by Artificial Intelligence”. None of this applies to a 2027 sitting, which stays under the current grid; the JP-specific form of the paper from 2028 is not yet published.

What to take away.

- **The paper:** 3 hours 30 minutes; normally six questions of 10, 15 or 20 marks (usually three 20s, two 15s, one 10); 100 marks; pass mark 50%; at least 70% of the CT element from core. Listed groups with no controlling individual. Technical prose and computations, never a letter.
- **The day:** 4 May 2027, 2.30pm (fallback 26 October 2027; check your confirmation). Arrive early; no entry after 30 minutes late; no leaving in the first 45 or last 10 minutes. No watches. Physical calculator. Note paper is not marked.
- **RM Assessment Master:** “Calculations left in the spreadsheet and not copied to the answer box will not be marked”; formulae are invisible. Copy every working across, labelled. The timer flashes 10 minutes before the end: the only warning.
- **Resources:** tax tables (paper and PDF), the OECD Model (2017 articles, PDF only), Croner-i or Tolley legislation (tags, no notes, no pro formas). A supplied extract beats the Model. The 2026 tables show 18%; FA 2026 law is 14%.

- **Time:** 2.1 minutes a mark (derived): 42 / 31½ / 21 minutes. Half time at 4.15pm. Bank the easy marks; move on.
- **Requirements:** calculate, explain, discuss, recommend. “Tax consequences” = every syllabus tax; a named tax = that tax alone. Excluded means excluded.
- **Marks:** 0.5–1 per point; many short precise points, each with its authority; show workings; state any assumption and carry on.
- **Layouts:** conventional, one unit per table.

So what does this paper reward? Not what you know, but what you show: the right rule, applied to these facts, laid out where the marker can see it, inside the time.

Next, the conclusion steps back from the exam and from Tarnmoor, and asks what the whole of the larger company’s tax system adds up to.

Key rules and figures

Item	Figure or rule	Source
Duration	3 h 30 min; no reading time mentioned	CIOT LCG page
Questions	Normally 6; 10/15/20 marks; 100 marks; pass 50%	CIOT LCG page; papers
Core rule	≥ 70% of CT element from core	CIOT LCG page; grid
Sittings	4 May 2027 2.30pm; 26 October 2027 2.30pm (one CIOT line says 28 October)	CIOT key dates; exam entry page
Law	FA 2026 (FY2026) for 2027 sittings (pattern; 2027 grid unpublished)	Prospectus 2026; TKS syllabus “FA2026 for exams in 2027”
Software	RM Assessment Master from October 2026	CIOT exams page; Candidate Instructions
Spreadsheet rule	Not copied to the answer box = not marked; formulae invisible	Candidate Instructions, October 2026
Timer	Red and flashing 10 minutes before the end; only warning	Candidate Instructions
Resources	Tax tables (paper + PDF); OECD Model 2017 articles (PDF only); Croner-i or Tolley	Candidate Instructions; FAQs; tax tables page
Legislation rules	No notes; highlighting allowed; tags with section number/topic only	CIOT legislation page; FAQs
Arrival	≥ 30 min early (60 recommended); refused if > 30 min late; no leaving first 45 / last 10 min	Candidate Instructions; FAQs
Items	Physical calculator; no watches; two sheets of note paper (not marked)	Candidate Instructions
Timing	2.1 min/mark: 42 / 31.5 / 21	Derived
Rubric	Workings to nearest month and pound; later law not penalised; LBTT for Scots law	Papers M23–M26

Item	Figure or rule	Source
Presentation line	Dropped from M26	M26 paper
Errors	State the error and the assumption; moderation	M25, N25 reports
Pass rates	59%–74%; M26 74%	CIOT results PDFs
JP	PR&E first; TKS before or with; AT valid 7 sessions	JP FAQ
2028	CIR, hybrids, IFAs to grade 2; leases and R&D-intensive SMEs out; AI outcome	CTA Handbook 2028

Sources and references

- **CIOT:** Taxation of Larger Companies & Groups page (tax.org.uk/taxation-of-larger-companies-groups); CTA Exams – Test Centres page (tax.org.uk/ctaexams); Candidate Instructions – CTA October 2026; CTA Exam Regulations October 2026; CTA Exam FAQs – Test Centre (tax.org.uk/cta-faqs-testcentre); Online tax legislation page (tax.org.uk/taxlegislation); Key Dates and Deadlines (tax.org.uk/key-dates-and-deadlines); exam entry page (tax.org.uk/examentry); Tax Tables page and CTA Tax Tables 2026; Prospectus 2026; 2026 syllabus grid; past paper pages M23–M26 (question papers, suggested answers, examiners’ reports, banded scripts); Prizes and Results PDFs M23–M26; ACA CTA Joint Programme FAQ (1 July 2025 onwards); CTA review page and CTA Handbook 2028; CTA syllabus grids 2028.
- **Statutes named in the tag map:** TIOPA 2010 Parts 2, 4, 6A, 9A, 10 and Sch 7A; CTA 2009 Part 2 Ch 3A (s 18A), s 46, Part 5 (ss 354, 361D, 441), Part 8, Part 13, s 1219, s 1288; CTA 2010 Parts 4, 5, 7ZA, 14, 22; TCGA 1992 ss 152, 171, 171A, 175, 179, Schs 7AC and 8; CAA 2001 ss 45S, 45U, 51C, 198; FA 1998 Sch 18; FA 2009 Sch 46; FA 2016 Sch 19.

Conclusion.

The book began with one loan and two answers. A company called LLC5 borrowed about \$4bn from its own group. Transfer pricing asked whether strangers would have lent on those terms, and said yes. The unallowable purpose rule asked why the company borrowed, and took every pound of the deductions away (*BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330). The Supreme Court refused permission to go further.

Thirty-two chapters later, that case looks less like a puzzle and more like a summary. A larger company lives under several rules at once, each asking its own question. The adviser’s job is to know which questions are being asked, and to ask them all.

This conclusion does four things. It answers the four questions the book set out with. It revisits the debates the book has carried. It looks at what is coming, separating what is law from what is only proposed. And it asks what a large group’s tax function will look like in the years after your exam. The law it describes is the law for **FY2026**, and the facts about what is coming are as they stood on **9 October 2026**, when this book was finished.

One taxpayer or many.

The law’s answer has not moved since *Salomon v A Salomon and Co Ltd* [1897] AC 22 (HL). A company is a person distinct from its members. Each company in a group computes its own profits, files its own return and pays its own tax, on its own timetable. There is no group return.

What the law does is build bridges, each with its own guest list; and it refuses to build others. The refusals are where the marks are.

Bridge	Group test	Refusal or limit (the exam point)	Tarnmoor (invented)	Chapter
Group relief (CTA 2010 Part 5)	75% + economic ownership	Overlapping period; lower of surrenderable and available; s 105(3A) threshold (gross profits + apportioned CFC profits) for ME, property losses, QCDs, NTIFA losses	TEL GY2 group and consortium relief £17,095,000; TPLC’s £825,000 a year of ME stranded	13, 15
Carried-forward losses (Part 5A; Part 7ZA)	75%	Own use first; £5m group allowance; 50% restriction; no Part 5A surrender of a joiner’s pre-acquisition losses for 5 years	—	14, 15
Change of ownership (Part 14)	>50%	Major change in nature or conduct of trade (Ch 2)	Brackenwell’s £8.6m lost	14

Bridge	Group test	Refusal or limit (the exam point)	Tarnmoor (invented)	Chapter
No gain/no loss (TCGA s 171)	Gains group (75% / effective 51%)	Degrouping charge (s 179) within 6 years; pre-entry losses (Sch 7A)	Calder's works to TES; water-systems factory to TWS	17
Group roll-over (s 175)	Gains group	Proceeds not reinvested chargeable	Depot: £800,000 chargeable	16, 17
SSE (Sch 7AC)	51% group holding	Trading conditions; para 15A hive-down only inside a group (<i>M Group</i>)	Coldwater; TAL	18, 20
Shared allowances	AIA (parent undertaking); deductions allowance (nomination)	One allowance to share; nil without a nomination	£1m AIA; £5m to TEL	8, 14

Yet the newest rules lean the other way:

- the **CIR** takes the **worldwide group** as its unit and asks how much interest the whole group may deduct in the UK (TIOPA 2010 Part 10);
- Pillar Two** measures the group's effective rate **territory by territory**, across all its entities there (F(No.2)A 2023 Parts 3–4);
- for chargeable periods beginning on or after **1 January 2026**, most UK-to-UK dealings are taken out of transfer pricing altogether (TIOPA 2010 s 164A), because inside one country the price between relatives usually changes nothing.

Answer: many taxpayers for computing and paying; one business for an increasing number of the limits.

Where profits are made.

Layer	Rule	Tarnmoor (invented)	Chapter
Presence: residence	Incorporation (CTA 2009 s 14) or central management and control; treaty tie-breaker (s 18); exit charge (TCGA s 185)	TIL migrates 30 June GY4: CT £850,000, plan £525,000 in 6 × £87,500	22
Presence: PE	Fixed place or dependent agent; for chargeable periods beginning on or after 1 January 2026, “principal role” in concluding contracts (CTA 2010 s 1141, FA 2026 Sch 7)	TVS: domestic PE in GY4, no treaty PE	23
Sharing	Treaties allocate and limit; DTR credit capped at UK tax on the income	Calder's Vallarian project: £180,000 credited; top-up £45,000	24
Exemption	Branch exemption by election (CTA 2009 s 18A)	Calder did not elect	25

Layer	Rule	Tarnmoor (invented)	Chapter
Drift: TP	Arm's length (TIOPA 2010 Part 4)	Know-how re-priced £6.0m → £8.0m; MAP relief in Vallaria	27
Drift: CFC	Only profits diverted from the UK (Part 9A)	TPLC's charge on TCM: £204,000 (GY5)	26
Drift: interest	Net interest capped at 30% of tax-EBITDA, subject to the debt cap (Part 10)	Disallowed £2.21m (GY1), £2.30m (GY2)	28
Drift: hybrids	Mismatch outcomes neutralised (Part 6A)	Project Undertow rejected	29
Drift: pricing backstop	UTPP charge at 31% (main rate + 6%) for APs beginning on or after 1 January 2026; DPT repealed	—	30
Floor	15% per territory: IIR (MTT), DTT, UTPR	TPLC's top-up on Marrovia: £102,000 (GY5)	30

Answer: profits are taxed where the activity and the decision-makers are, and the law has built a series of fences against their drifting elsewhere. The latest fence is not a wall at the border. It is a minimum, set by agreement among many countries.

What the law follows.

All three, in layers:

1. **The accounts first.** CTA 2009 s 46 starts trading profits from GAAP; loan relationships, derivatives and intangibles follow profit or loss. *HMRC v NCL Investments Ltd* [2022] UKSC 9: a properly computed accounting debit counts unless a statute removes it. A change of accounting standard can change taxable profit without a Finance Act (chapter 5).
2. **The deal second.** A share exchange is not a disposal (TCGA s 135); a scheme of reconstruction passes assets across without a charge (s 139); an exempt demerger is not a distribution (CTA 2010 s 1075 onwards). The law respects the form of a commercial transaction if its conditions are met (chapters 18–19).
3. **Purpose last, overriding both.** s 441 CTA 2009 (*BlackRock, Kwik-Fit, JTI*); the rewritten share exchange test in TCGA s 137 for issues from 26 November 2025, after *Delinian* (formerly Euromoney) won in the Court of Appeal in November 2023; s 139's purpose test reaching income tax; s 31 value shifting; ss 184A–184I; CTA 2010 Part 14B; the treaty principal purpose test; UTPP's tax design condition.

The trend: mechanical rules are steadily acquiring purpose tests.

Governing the tax, and spotting the issue.

The law gives everyone a part:

Who	Duty	Source	Chapter
Senior accounting officer	Appropriate tax accounting arrangements; annual certificate	FA 2009 Sch 46	4
Board / head of group	Publish the tax strategy	FA 2016 Sch 19	4
Company	Notify uncertain tax treatments (two triggers; >£5m)	FA 2022 Sch 17	4
Company (criminal)	Failure to prevent facilitation of tax evasion; defence of reasonable prevention procedures	Criminal Finances Act 2017 ss 45–46	4
Tax function	The calendar: QIPs, returns, CIR returns, TP files, CbC, Pillar Two registration and returns	Various	3, 27, 28, 30

The adviser's part is the one the CIOT names: identify the issues, explain them precisely, coordinate the specialists. Chapter 31 showed what that means. One modest acquisition, of Ridgeway from Jess Hartley, touched stamp duty, instalments, transfer pricing, the SAO, the CIR, Pillar Two, R&D, deferred tax and a foreign branch. None of those points was hard alone. The skill was to find them all.

The debates, revisited.

The book has tried to give each side at its strongest, and to say where the law or the evidence stands, without offering a verdict on live politics.

#	Debate	One side	The other side	Where the law stands (FY2026)	Chapters
L1	Separate entity or single economic unit?	Certainty; respect for legal form	Matches how groups work	Separate entity start; CIR and Pillar Two adopt unit measures	1, 15, 28, 30
L2	Reach of unallowable purpose	Ordinary acquisition finance with a tax benefit should be safe	A factual question about each company's purpose	HMRC won <i>BlackRock</i> , <i>Kwik-Fit</i> , <i>JTI</i> (2024); <i>Syngenta</i> pending before the UT	P, 12, 28
L3	Is arm's length the right test?	The only test countries share	Treats integrated groups as strangers	Arm's length across borders; s 164A exemption at home	27, 26, 30
L4	Anti-diversion taxes outside CT?	Pay first, outside treaties (DPT; <i>Glencore</i>)	Treaty-compatible CT	DPT repealed; UTPP keeps pay-first inside CT	30, 23
L5	A global minimum tax	Ends the race to the bottom	Complexity; sovereignty; incentives	Enacted (MTT, DTT, UTPR); side-by-side package proposed, not law	30, 26

#	Debate	One side	The other side	Where the law stands (FY2026)	Chapters
L6	Interest restriction design	Simple, internationally shared ratio	Debt–equity bias; administrative burden	30% fixed ratio; FA 2026 simplified reporting company appointment	28, 12
L7	R&D relief	Incentive value	Fraud and error	Merged scheme; claim notification; additional information form	10
L8	CFCs and EU law	Protect the UK base	Freedom of establishment; State aid	2012 regime built partly in answer to <i>Cadbury Schweppes</i> ; Commission’s State aid decision annulled by the CJEU (2024, as reported)	26, 2
L9	Should tax follow the accounts?	Audited, consistent, cheap	Accounting choices move tax	It does, subject to statute (<i>NCL</i> , <i>GDF Suez</i>)	5, 6, 12
L10	Does transparency change behaviour?	Disclosure deters	Evidence still thin; burden	SAO, strategy, UTT in force; UTT widening proposed, not law (consultation 12 March–4 June 2026)	4, 27
L11	Territoriality	Exemption matches where value is created	Credit protects the base	Dividend exemption (2009); elective branch exemption (2011); compulsory exemption proposed, not law	25, 24, 26
L12	Certainty or fairness?	Purpose tests catch what mechanics miss	Answers depend on evidence of motive	Purpose tests spreading; clearances the partial answer	18, 19, 4

What is coming.

Status as at 9 October 2026. The 2027 sittings are expected to test **FA 2026**. Nothing in the “proposed” rows is examinable on FA 2026. The rubric says candidates answering by reference to more recently enacted legislation will not be penalised.

Item	What	Date	Status
Withholding on yearly interest	Savings basic rate, 22% for 2027/28 (20% for 2026/27)	2027/28	Enacted, coming next (FA 2026 ss 5–6)
TP guarantees	New rules reach all borrowing for periods commencing on or after 1 January 2028 (earlier by election)	1 January 2028	Enacted, coming next (FA 2026 Sch 6 para 12)
Draft Finance Bill 2026-27	Draft clauses published; technical consultation closed 7 September 2026	13 July 2026	Proposed, not law
– Foreign branch exemption	Compulsory for APs beginning on or after 1 January 2027; opening negative amount rules replaced by restrictions on carrying forward branch losses; anti-avoidance from 13 July 2026	—	Proposed, not law (chapter 25)
– Pillar Two side-by-side package	Implementation, with further MTT/DTT amendments	—	Proposed, not law (chapter 30)
ICTS	Reporting of international controlled transactions under FA 2026 s 48; consultation 16 June–31 July 2026; intended for APs beginning on or after 1 January 2027	—	Power enacted; regulations not made (chapter 27)
Distributions consultation	Distributions, repayments of capital, demergers; 23 June–14 September 2026	—	Proposed, not law (chapter 19)
UTT consultation	Wider taxes and taxpayers; further trigger; 12 March–4 June 2026	—	Proposed, not law (chapter 4)
Standardised company tax returns	Prescribed, fully tagged CT computations: pilot October 2027, mandatory September 2028 (consultation 10 March–2 June 2026)	—	Proposed, not law
Autumn Budget	The Budget will confirm the final contents of Finance Bill 2026-27	28 October 2026	Not yet happened at 9 October 2026
Corporate Tax Roadmap	Main rate capped at 25% for this Parliament	Published 30 October 2024	Government commitment, not statute
Bank Rate	Next MPC decision (moves HMRC interest rates: QIP debit = Bank Rate + 2.5%)	5 November 2026	Pending

The exam from 2028. From **May 2028** the CTA changes shape. LCG continues as an Advanced Technical paper: 3.5 hours, **four to six** questions of 10, 15 or 20 marks.

2028 LCG AT grid change	2026 grade	2028
Corporate interest restriction	1	2
Hybrid mismatches	1	2
Intangible fixed assets	1	2
Derivative contracts	2	3
Close companies	—	2 (added)
Gains on sales and grants of leases; R&D intensive SMEs; EOTs and EBTs	examinable	Not examined
CFC; TP and APAs	1	1
New learning outcome	—	“Critically evaluate and communicate the output of information generated by other parties or by Artificial Intelligence”

None of that applies to a 2027 sitting. It shows where the profession thinks the work is going.

The tax function to come.

The rules already enacted give a fair picture of a group like Tarnmoor over the next few years.

- **A data function.** Pillar Two returns need figures from every entity in every territory, 15 months after the year end (18 for the first). CbC reports, Master Files and Local Files need the same discipline. If the ICTS regulations are made, transaction data will travel with the return; if HMRC’s tagged computations arrive, the computation itself becomes data HMRC’s systems read before any person does.
- **A governance function.** The SAO certificate, the published strategy and UTT put the tax function’s controls before the board and before HMRC’s customer compliance manager (TCRM1000: risk ratings shared with the group). The corporate criminal offence puts its procedures before the courts.
- **A function of specialists, coordinated.** No single person knows every regime in this book at depth. The group head of tax, like our invented Tom Hesketh, knows enough of each to see the issue, ask the right specialist and put the answers into one recommendation for the board.
- **A function that checks.** Much of the first draft of tax work (the research memo, the summary of a new rule, the first pass at a computation) will increasingly come from software, including AI. The CIOT’s 2028 learning outcome describes the job that remains: evaluate that output critically; go back to the statute; check the date the law applies from; say whether a point is law, HMRC’s view, disputed or proposed.

The living law.

The book’s title is a claim. Corporate tax law is not a finished code. It is a set of answers to questions that keep changing, as groups grow, borders matter in new ways, accounts are rewritten and governments agree new floors. The four questions will still be asked after the rules that answer them today have changed.

So for the exam, keep the law for FY2026, and use it precisely. After the exam, keep the questions. Is this one taxpayer or many? Where was this profit made? What is the law following here? And what must this group do, by when, and what would a good adviser flag?

The last piece of this book is a note on sources: where the law in these chapters lives, what this book could not open, and how to keep up once the exam is behind you.

Key rules and figures

Item	Figure or rule	Source	Status
Separate entity	Each company computes, files and pays; no group return	<i>Salomon</i> [1897] AC 22; FA 1998 Sch 18	V
UK-to-UK TP exemption	Chargeable periods beginning on or after 1 January 2026	TIOPA 2010 s 164A; FA 2026 Sch 6	V
UTPP	31% (main rate + 6%); APs beginning on or after 1 January 2026; DPT repealed	FA 2026	V
Pillar Two	15% per territory; returns at 15 months (18 first)	F(No.2)A 2023 Parts 3–4	V
Withholding on yearly interest	20% (2026/27); 22% (2027/28)	ITA 2007 s 874; FA 2026 ss 5–6	V
Draft FB 2026-27	Published 13 July 2026; compulsory branch exemption (APs from 1 January 2027); side-by-side package	GOV.UK collection; commentary	Proposed, not law
Autumn Budget	28 October 2026	HM Treasury announcement (as reported)	Not yet happened (9 October 2026)
Corporate Tax Roadmap	25% main rate cap for this Parliament	Policy paper, 30 October 2024	Commitment
2028 CTA	LCG AT continues; CIR, hybrids, IFAs to grade 2; AI learning outcome	CTA Handbook 2028	V

Statutory and case references

- *Salomon v A Salomon and Co Ltd* [1897] AC 22 (HL).
- *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330; *Kwik-Fit Group Ltd v HMRC* [2024] EWCA Civ 434; *JTI Acquisition Company (2011) Ltd v HMRC* [2024] EWCA Civ 652; *Syngenta Holdings Ltd v HMRC* [2024] UKFTT 998 (TC) (UT appeal pending).
- *HMRC v NCL Investments Ltd* [2022] UKSC 9; *Delinian Ltd (formerly Euromoney Institutional Investor plc) v HMRC* [2023] EWCA Civ 1281.
- *Cadbury Schweppes plc v IRC* (Case C-196/04).

- CTA 2009 ss 14, 18, 18A, 46, 441; CTA 2010 Part 5, Part 5A, Part 7ZA, Part 14, Part 14B, s 1141; TCGA 1992 ss 135, 137, 139, 171, 175, 179, 185, Sch 7AC; TIOPA 2010 Parts 4, 6A, 9A, 10, s 164A; F(No.2)A 2023 Parts 3–4; FA 2026 ss 5–6, s 48, Sch 6 para 12, Sch 7.
- FA 2009 Sch 46; FA 2016 Sch 19; FA 2022 Sch 17; Criminal Finances Act 2017 ss 45–46.

A note on sources.

Every rule in this book came from somewhere. This note says where. It describes the places corporate tax law lives and how to read them, it says plainly what this book could not open while it was being written, and it suggests how to keep up once the exam is behind you. The law described throughout is the law for **FY2026**, and the facts in this note are as they stood in **October 2026**.

The statute book.

The law itself lives on **legislation.gov.uk**, the free official site run by The National Archives. Every Act this book relies on is there:

Act	Citation	URL pattern (section)	Short name in the audio
Corporation Tax Act 2009	2009 c. 4	legislation.gov.uk/ukpga/2009/4/section/441	the two thousand and nine Act
Corporation Tax Act 2010	2010 c. 4	legislation.gov.uk/ukpga/2010/4/section/1141	the twenty ten Act
Taxation (International and Other Provisions) Act 2010	2010 c. 8	legislation.gov.uk/ukpga/2010/8/section/371BC	the International Act
Taxation of Chargeable Gains Act 1992	1992 c. 12	legislation.gov.uk/ukpga/1992/12/section/171	the Gains Act
Capital Allowances Act 2001	2001 c. 2	legislation.gov.uk/ukpga/2001/2/section/51C	the Capital Allowances Act
Taxes Management Act 1970	1970 c. 9	legislation.gov.uk/ukpga/1970/9	the Management Act
Finance Act 1998 Sch 18 (company returns)	1998 c. 36	legislation.gov.uk/ukpga/1998/36/schedule/18	the company return rules
Finance (No. 2) Act 2023 Parts 3–4 (Pillar Two)	2023 c. 30	legislation.gov.uk/ukpga/2023/30	the Pillar Two legislation
Finance Act 2026 (Royal Assent 18 March 2026)	2026 c. 11	legislation.gov.uk/ukpga/2026/11 (add /enacted for the text as passed)	the Finance Act twenty twenty six

Revised and enacted. The **revised** text shows the law as later Acts have amended it; the **enacted** text shows exactly what Parliament passed. You need both: the revised text tells you what a section says now; the enacted text tells you what an amending Act did and, through its commencement provisions, from when. Those provisions often sit at the end of a Schedule, far from the section they govern (for example, the UK-to-UK TP exemption’s start date is in FA 2026 Sch 6 para 32: chapter 2).

The “Changes to legislation” box. Read it before you rely on any revised page. It gives the date up to which the text is “up to date with all changes known to be in force”, and lists effects the editors have not yet applied. The site itself warns that revised

legislation “may not be fully up to date”. When the box lists outstanding changes, the words on your screen may not be the law.

Point-in-time versions. You can read a section as it stood on a chosen date; for most legislation the record starts on **1 February 1991**. Tax law applies by period, so a 31 March company and a 31 December company can be under different versions of the same section on the same day (chapter 2’s three-company example on CTA 2010 s 1141).

Statutory instruments and treaties live on the same site: SI 1998/3175 (instalment payments), SI 2004/3256 (Disregard Regulations), SI 2004/3271 (change of accounting practice), SI 2016/237 (CbC), SI 2023/818 (TP records). Treaties reach a company’s return through Orders in Council under TIOPA 2010 s 2.

Judgments.

Court and tribunal judgments are published free by The National Archives through **Find Case Law** (caselaw.nationalarchives.gov.uk), launched in **April 2022**. Search by case name, neutral citation, judge, court or date. The neutral citation is the quickest key: *BlackRock HoldCo 5, LLC v HMRC* [2024] EWCA Civ 330 is at caselaw.nationalarchives.gov.uk/ewca/civ/2024/330.

Coverage of older decisions is uneven, so for an older case you may need the court’s or tribunal’s own pages, or the older free archive, BAILII. Two habits matter more than the source:

1. **Read the judgment, not a summary.** The paragraph that decides your point is rarely the one a newsletter quotes.
2. **Check what happened next.** A tribunal decision can be reversed, and an appeal may still be pending (*Syngenta Holdings Ltd v HMRC* [2024] UKFTT 998 (TC), Upper Tribunal appeal pending when this book was finished).

HMRC’s manuals and guidance.

HMRC publishes its internal manuals on GOV.UK (gov.uk/hmrc-internal-manuals). The ones this book drew on most:

Manual	Code	Used for
International Manual	INTM	Treaties, DTR, PEs, branch exemption, CFCs, transfer pricing
Corporate Finance Manual	CFM	Loan relationships, derivatives, the CIR
Company Taxation Manual	CTM	Groups, losses, instalments, distributions, demergers
Corporate Intangibles Research and Development Manual	CIRD	Intangibles, R&D, Patent Box
Capital Gains Manual	CG	Company gains, groups, SSE, reorganisations
Capital Allowances Manual	CA	Plant, SBA, fixtures
Senior Accounting Officers Guidance	SAOG	SAO
Tax Compliance Risk Management	TCRM	HMRC’s large business risk ratings

Manual	Code	Used for
Stamp Taxes on Shares Manual / SDLT Manual	STSM / SDLTM	Stamp duty, SDLT

Each manual has an **updates** page, and many pages carry banners where the law has moved faster than the guidance (for example the INTM transfer pricing pages after FA 2026). Around the manuals sit **policy papers**, **consultation documents and outcomes**, and **tax information and impact notes (TIINs)**, which say what a measure is for and whom it affects.

Status. A manual is **HMRC’s view, not law**. A tribunal is not bound by it, and where it conflicts with the statute, the statute wins. Where this book relied on a manual it says “HMRC’s view is” or “HMRC’s guidance says”. But departing from HMRC’s known position can, for a large business, create a duty to notify under the UTT rules (FA 2022 Sch 17; chapter 4). So the manuals are not law, and they still matter.

The OECD’s texts.

The OECD publishes the **Model Tax Convention and Commentary**, the **Transfer Pricing Guidelines** (2022 edition, published 20 January 2022), the **2010 Report on the Attribution of Profits to Permanent Establishments**, the BEPS reports of 2015 (including Action 2 on hybrids and Action 4 on interest), and the model rules and guidance behind **Pillar Two**.

For most of the code these texts are **persuasive**: in *Fowler v HMRC* [2020] UKSC 22 the Supreme Court said the Commentaries carry persuasive force “as the cogency of their reasoning deserves” (chapter 2). But for chargeable periods beginning on or after **1 January 2026**, FA 2026 writes them into UK law in three places:

Rule	Statute	OECD text referred to	Later versions?
Transfer pricing	TIOPA 2010 s 164	Model Art 9 (approved 18 November 2025); TP Guidelines 2022	Yes, “as amended or replaced from time to time”, subject to Treasury opt-out
Attribution to a PE	CTA 2009 s 20	Model Art 7 and Commentary; 2010 Attribution Report; TPG 2022; March 2018 guidance	Yes, as above
Definition of a PE	CTA 2010 s 1140A	Model Art 5 and Commentary (approved 18 November 2025)	Not confirmed whether later versions are followed (chapters 2, 23)

The 2025 update to the Model was approved by the OECD Council on **18 November 2025** and published the next day; revised full editions were expected in 2026.

In the exam the position is simpler: you are given the **2017 articles** of the Model as an on-screen PDF, and a **supplied treaty extract beats it**.

What this book could not open.

A source note should be honest about its gaps.

1. The OECD’s own texts. The OECD’s website could not be opened while the book was written. The book has not read the TP Guidelines, the 2025 Model and Commentary, or the 2010 Attribution Report in their full original form. Where it describes them, it relies on the statute that refers to them, HMRC’s descriptions (chiefly INTM), and published summaries, and says so where the point matters. The Commentary changes approved in November 2025 (for example, new paragraphs 44.1–44.21 on Article 5 on when a home office can be a PE) are known here only from professional summaries. A reader who needs the exact words of a Guideline or Commentary paragraph should go to the OECD’s own publication.

2. Examination documents not yet published. As this book was finished, the CIOT had published no **2027 syllabus grid**, no **2027 prospectus** and no **2027 tax tables**. Every grade in the Exam lens boxes comes from the **2026 grid**. The 2025-to-2026 grid comparison was made against the **draft** 2025 grid (January 2024), because the final 2025 grid could not be found. The **transitional rules** for the 2028 CTA changes were also unpublished.

3. The method of checking. For this edition, much of the verification relied on **search results that quote primary sources** (legislation.gov.uk, GOV.UK manuals, Find Case Law, CIOT pages), rather than on reading the full text of each source. A search result shows an extract, sometimes truncated. The labels follow from that:

What was seen	How the book states it
Clear extract of statute or judgment	“The law says” / “the courts have held”
HMRC manual text only (statute not seen)	“HMRC’s view is” / “HMRC’s guidance says”
Secondary reports only (commentators, press)	Attributed (“commentators put the deductions at about £654m”; “as reported”)
The book’s reasoning from the sources	“On this book’s reading”

Examples to calibrate by (check each against the full text in your own legislation product before relying on it for a client):

- **Associated companies for QIPs counted on the day before the AP begins** rests on HMRC’s manuals (CTM92530, COM95001); the amended text of SI 1998/3175 reg 3 was not found (chapters 1, 3).
- **Payments for a surrendered RDEC ignored for tax** rests on HMRC’s description of the new rule; the full text of FA 2026 s 31 was not seen (chapter 10).
- **The 3-month window for a required revised CIR return** (TIOPA 2010 Sch 7A para 8(4)) was seen in HMRC’s guidance (CFM98645), not in the statutory text itself (chapter 28).

4. The invented case. Everything about Tarnmoor, its people, numbers and countries (Vallaria, Marrovia) is invented. Real cases, statutes and dates are real. The invented case never stands in for a real one.

Keeping up after the exam.

Tax law moves on an annual cycle.

Stage	When	What to read	2026 example
Budget	Autumn	Budget documents, policy papers, TIINs	28 October 2026 (not yet happened as at 9 October 2026)
Legislation Day	Usually July	Draft clauses and technical consultation (GOV.UK collection)	13 July 2026: “Finance Bill 2026-27 draft legislation and technical tax documents”;

Stage	When	What to read	2026 example
			consultation closed 7 September 2026
Finance Bill	After the Budget	The Bill, explanatory notes	Finance Bill 2026-27 (the Budget will confirm its final contents)
Finance Act	Often spring	Enacted text and commencement provisions	FA 2026: Royal Assent 18 March 2026

Watch each measure's commencement words: "periods beginning on or after" a date is not the same as "payments made on or after" it.

Where to look:

- **Law:** legislation.gov.uk; the GOV.UK collection for each Finance Bill.
- **Judgments:** Find Case Law.
- **HMRC's thinking:** manual update pages; GOV.UK consultations; HMRC's Large Business pages ("HM Revenue and Customs: Large Business") and the TCRM manual on risk reviews.
- **Professional bodies:** the CIOT's *Tax Adviser* magazine (monthly, with a Technical Newsdesk section) and its weekly technical email to members; CIOT submissions and Finance Bill briefings; the ICAEW Tax Faculty's weekly newsletter **TAXwire** and monthly **TAXline**.
- **Firms:** Budget-day and Legislation-Day briefings. Use them as maps, then go back to the text.
- **International:** the OECD's announcements on Pillar Two and on the Model and Guidelines (FA 2026 now imports later versions of the TP Guidelines automatically, subject to the Treasury opt-out).
- **The exam:** the CIOT's tax tables page, syllabus and prospectus pages (2027 grid and tables), and key dates page.

And whatever the source, keep the habits this book has tried to teach: find the primary text; check the date it applies from; say whether a point is law, HMRC's view, disputed or only proposed; and when a summary arrives from someone else, or from software, read it as the 2028 learning outcome will ask, critically, against the source.

That is the end of the book. The law will keep living. You now know where to find it.

Key sources at a glance

Source	Address	Status in this book
Statute and SIs	legislation.gov.uk	Law (check the "Changes to legislation" box)
Judgments	caselaw.nationalarchives.gov.uk	Law (precedent from the UT upwards)
HMRC manuals	gov.uk/hmrc-internal-manuals	HMRC's view
Policy papers, TIINs, consultations	gov.uk	Announced / proposed, not law
OECD Model, Commentary, TPG	oecd.org (not opened for this book)	Persuasive; for TP, attribution and the PE definition, written into statute by FA 2026

Source	Address	Status in this book
CIOT exam documents	tax.org.uk	Exam facts (2027 grid and tables not published at October 2026)